The Institute of Chartered Accountants of Bangladesh (ICAB)

Business Strategy and Technology

Volume I



Workbook
For CA Professional Level Exams

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

Business Strategy and Technology

Module aim

To provide students with an understanding of how an organisation develops, implements and monitors strategy, including any ethical implications.

On completion of this module, students will be able to:

- explain, analyse and evaluate the consequences of an organisation's current strategic direction including objectives, market position and technology development;
- use data to evaluate the likely consequences of strategic choices and technology developments, and recommend strategies to meet the objectives of an organisation; and
- recommend appropriate methods for an organisation to implement and monitor strategies including strategies for technology and innovation, and demonstrate how data can be used subsequently to measure and monitor strategic performance.

Method of assessment

The Business Strategy and Technology is 3.5 hours long. The exam will consist of scenario- based questions, covering a range of different industries and types of organisation. Each question will cover one or more syllabus areas.

Ethics and professional scepticism

Ethics must underpin sound strategic and technological development for a business. Sustainability and the interests of all stakeholder groups are key considerations. Related learning outcomes are interwoven through the syllabus areas of Strategic analysis, Strategic choice and Implementation and monitoring of strategy. Students are expected to develop their skills to ensure business trust and professional scepticism are paramount.

Sustainability

The application of sustainability knowledge and understanding gained at Certificate Level is a key progression for the ICAB chartered accountant at Professional Level. Students will be expected to understand more advanced sustainability-related concepts and their business implications, for example, the different stakeholder perspectives on sustainability and climate change, and how they relate to sustainability versus the concept of Environmental, Social and Governance (ESG). This is an important foundation to considering relevant aspects of sustainability when analysing, choosing and implementing business strategy and risk management.

Specification grid

This grid shows the relative weightings of subjects within this module and should guide the relative study time spent on each. Over time the marks available in the assessment will equate to the weightings below, while slight variations may occur in individual assessments to enable suitably rigorous questions to be set.

	Weighting (%)
1 Strategic formulation & manifold analysis	30–40
2 Use of strategic choice	30–40
3 Implementation and monitoring of strategies	20–30
4 Ethical consideration & sustainability focus	05–10

Permitted texts

At the Professional and Advanced Levels, there are specific texts that you are permitted to use during your exam. All information for these texts is available at icaew.com/permittedtexts.

Professional Level exams	Permitted text
Audit and Assurance	√
Financial Accounting and Reporting	√
Business Planning: Taxation & Compliance	√
Business Strategy and Technology	√
Financial Management	√

Advanced Level exams	Permitted text
Corporate Reporting	No restrictions
Strategic Business Management	No restrictions
Case Study	No restrictions

The exams which have no restrictions include the following:

- Corporate Reporting
- Strategic Business Management & Leadership
- Case Study

Key resources

Whether you're studying the ACA qualification with an employer, at university, independently, or as part of an apprenticeship, we provide a wide range of resources and services to help you in your studies.

Take a look at the online exam resources available to you on icaew.com/permittedtexts and discover more resources and services at icaew.com/student benefits.

Syllabus, skills development and technical knowledge grids

The syllabus presents the learning outcomes for each exam and should be read in conjunction with the relevant technical knowledge grids and, where applicable, the skills development grids.

Student Insights

Access our practical and topical student content on our dedicated online student hub, Student Insights at icaew.com/student insights. You'll find interviews, guides and features giving you fresh insights, innovative ideas and an inside look at the lives and careers of our ICAB students and members. No matter what stage you're at in your journey with us, you'll find content to suit you.

Skills within the ACA

Professional skills are essential to accountancy and your development of them is embedded throughout the ACA qualification.

The level of competency required in each of the professional skills areas to pass each exam module increases as ACA trainees progress upwards through each Level of the ACA qualification. The skills progression embedded throughout the ACA qualification ensures ACA trainees develop the knowledge and professional skills necessary to successfully operate in the modern workplace and which are expected by today's forward-thinking employers.

The following professional skills areas are present throughout the ACA qualification.

Skill area	Overall objective
Assimilating and using information	Understand a business or accounting situation, prioritise by determining key drivers, issues and requirements and identify any relevant information.
Structuring problems and solutions	Structure information from various sources into suitable formats for analysis and provide creative and pragmatic solutions in a business environment.
Applying judgement	Apply professional scepticism and critical thinking to identify faults, gaps, inconsistencies and interactions from a range of relevant information sources and relate issues to a business environment.
Concluding, recommending and communicating	Apply technical knowledge, skills and experience to support reasoning and conclusion and formulate opinions, advice, plans, solutions, options and reservations based on valid evidence and communicate clearly in a manner suitable for the recipient.

The following provides further detail on the professional skills that you will develop in this particular module. To see the full skills development grids, please go to icaew.com/examresources.

Assimilating and using information Understand the situation and the requirements

- Demonstrate understanding of the business context.
- Recognise new and complex ideas within a scenario.
- Identify and explain the needs of customers and clients.
- Explain different stakeholder perspectives and interests.
- Identify and evaluate risks within a scenario.
- Identify and evaluate elements of uncertainty within a scenario.
- Identify and explain ethical issues including public interest and sustainability issues within a scenario.

Identify and use relevant information

- Interpret information provided in various formats.
- Evaluate the relevance of information provided.
- Filter information provided to identify critical facts.

Identify and prioritise key issues and stay on task

- Identify and explain business and financial issues from a scenario.
- Prioritise key issues.
- Work effectively within time constraints.
- Operate to a brief in a given scenario.

How skills are assessed You may be required to:

- understand key information from the scenario provided;
- understand the context of the scenario in terms of type of business, industry and wider context;
- recognise key ethical issues for an accountant undertaking work in accounting and reporting; and
- recognise specific issues that may arise in the context of the situation described.

Structuring problems and solutions Structure data

- Use spreadsheets to assimilate, structure and analyse data.
- Structure information from various sources into suitable formats for analysis.
- Identify any information gaps and appraise their significance.
- Frame questions to clarify information.
- Use a range of data types and sources to inform analysis and decision making.
- Structure and analyse financial and non-financial data to enhance understanding of business issues and their underlying causes.
- Present analysis in accordance with instructions and criteria.

Develop solutions

- Identify and apply relevant technical knowledge and skills to analyse a specific problem.
- Use structured information to identify evidence-based solutions.
- Identify and evaluate creative and pragmatic solutions in a business environment.
- Identify and explain opportunities to add value.
- Identify and evaluate problems that may result from a decision.
- Identify and evaluate a range of possible solutions based on analysis.
- Identify and explain ethical dimensions of possible solutions.
- Select appropriate courses of action using an ethical framework.
- Identify and evaluate the solution which is the best fit with acceptance criteria and objectives.
- Define objectives and acceptance criteria for solutions.

How skills are assessed You may be required to:

- identify and use information, including data visualisations, to define key business issues;
- demonstrate understanding of the business, its strategy, industry and wider context;
- demonstrate the impact of ethics on the objectives and methods of an organisation;
- identify and explain the ethical and sustainability implications of strategic proposals;
- demonstrate relevant technical knowledge;
- perform appropriate analysis of numerical data and demonstrate an understanding of what is relevant; and
- use data analysis to develop and illustrate an answer.

Applying judgement

Apply professional scepticism and critical thinking

- Recognise and evaluate bias and varying quality in data and evidence.
- Identify and appraise assumptions or faults in arguments.
- Identify and evaluate gaps in evidence.
- Identify and appraise inconsistencies and contradictory information.
- Assess interaction of information from different sources.
- Exercise ethical judgement.

Relate issues to the environment

- Appreciate when more expert help is required.
- Identify and explain related issues in scenarios.
- Assess different stakeholder perspectives when evaluating options.
- Retain an overview of the business issue or scenario.
- Appraise corporate responsibility and sustainability issues.
- Appraise the effects of alternative future scenarios.
- Appraise ethical, public interest and regulatory issues.

How skills are assessed You may be required to:

- evaluate the impact of a business proposal on an entity;
- assess the reliability, accuracy and limitations of any analysis performed;
- be able to produce arguments integrating numerical and descriptive analysis;
- prioritise the issues facing an entity;
- identify and appraise links and relationships between different issues affecting an entity and use these to establish priorities;
- evaluate options for an organisation, taking into account its stakeholders, objectives, priorities, available resources and ethical obligations; and
- provide reasons for the rejection of alternatives.

Concluding, recommending and communicating Conclusions

- Apply professional experience and evidence to support reasoning.
- Apply technical knowledge to support reasoning and conclusions.
- Use valid and different technical skills to formulate opinions, advice, plans, solutions, options and reservations.

Recommendations

- Present recommendations in accordance with instructions and defined criteria.
- Make recommendations in situations where risks and uncertainty exist.
- Formulate opinions, advice, recommendations, plans, solutions, options and reservations based on valid evidence.
- Make evidence-based recommendations which can be justified by reference to supporting data and other information.
- Develop recommendations which combine different technical skills in a practical situation.

Communication

- Present a basic or routine memorandum or briefing note in writing in a clear and concise style.
- Present analysis and recommendations in accordance with instructions.
- Communicate clearly to a specialist or non-specialist audience in a manner suitable for the recipient.
- Prepare the advice, report, or notes required in a clear and concise style.

How skills are assessed You may be required to:

- draw realistic conclusions from an analysis of data and the information provided;
- prepare a report or memorandum structured according to the requirements of the scenario, with appropriate context;
- provide reasoned advice based on an understanding of the business and the relevant scenario, including an assessment of possible alternatives;
- recommend suitable courses of action in a given situation; and
- identify and evaluate risks and outline reservations about the advice.

To help you develop your ability to demonstrate competency in each professional skills area, each chapter of this Workbook includes up to four Professional Skills Guidance points.

Each Professional Skills Guidance point focuses on one of the four ACA Professional Skills areas and explains how to demonstrate a particular aspect of that professional skill relevant to the topic being studied. You are advised to refer back to the Professional Skills Guidance points while revisiting specific topics and during question practice.

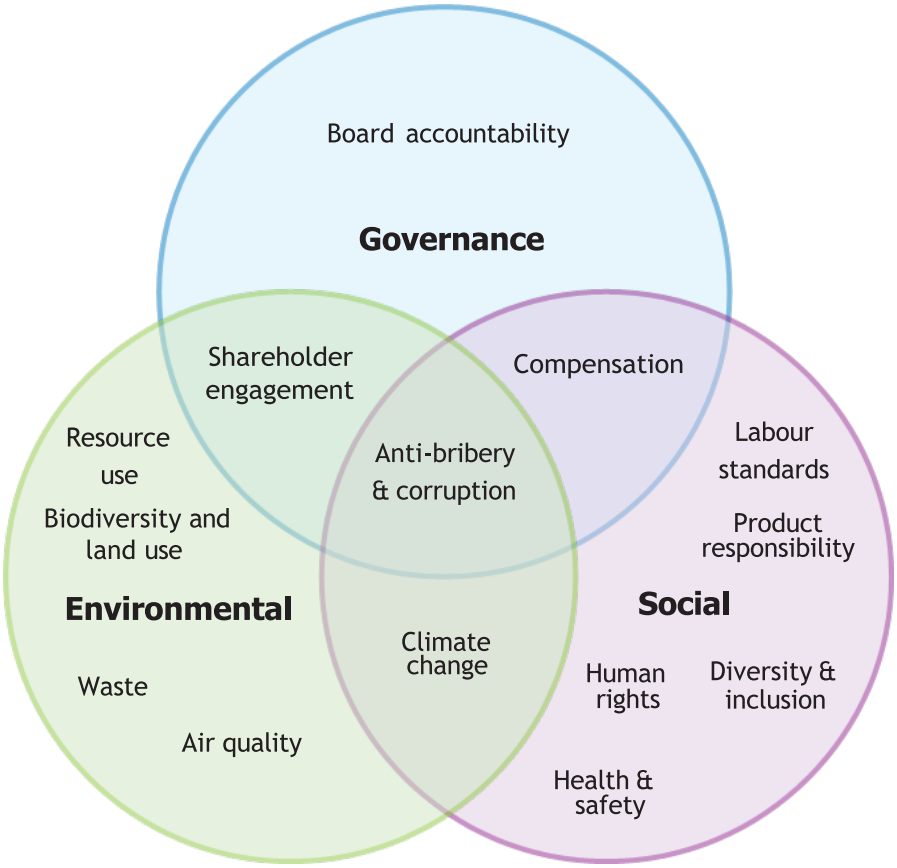
Sustainability in the ACA Qualification

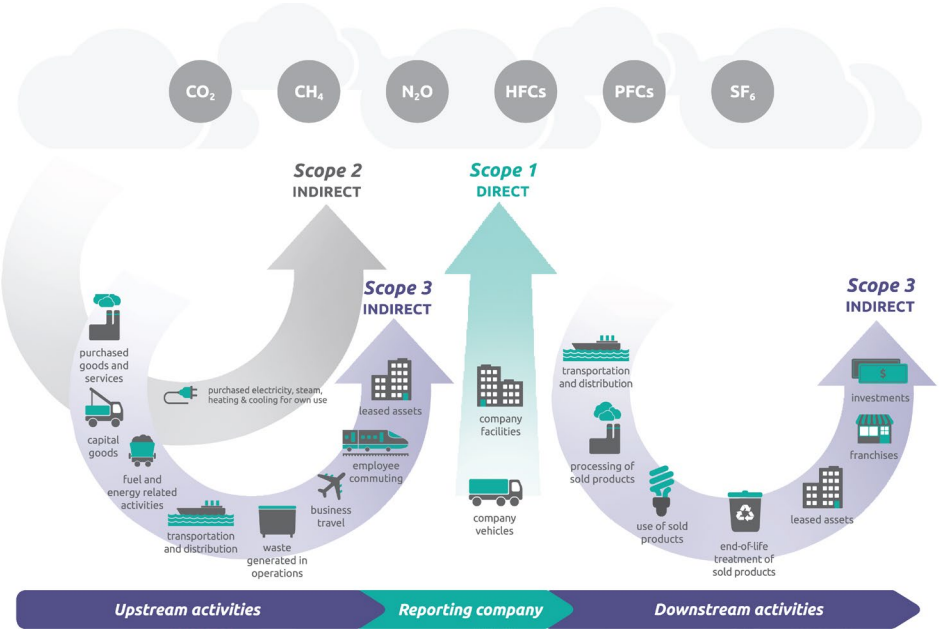
The sustainability landscape has developed at a rapid pace in recent years, with a marked shift from voluntary frameworks and guidance to more mandatory reporting and risk management requirements.

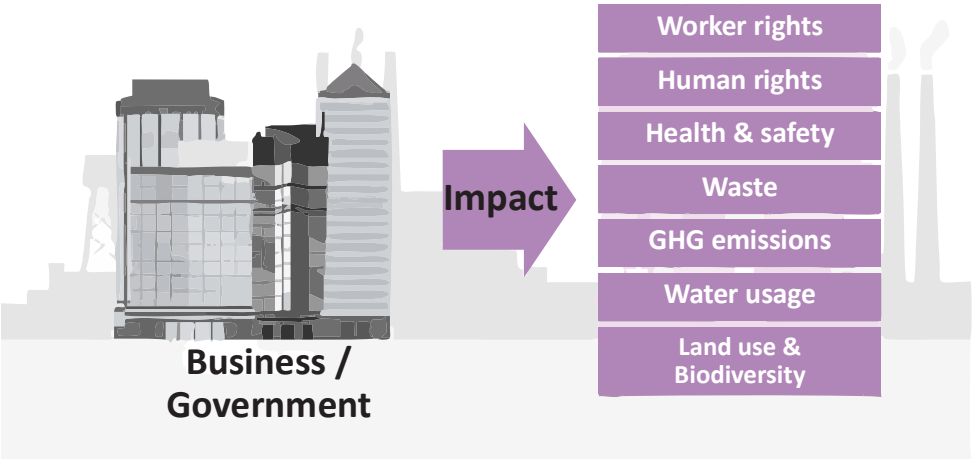
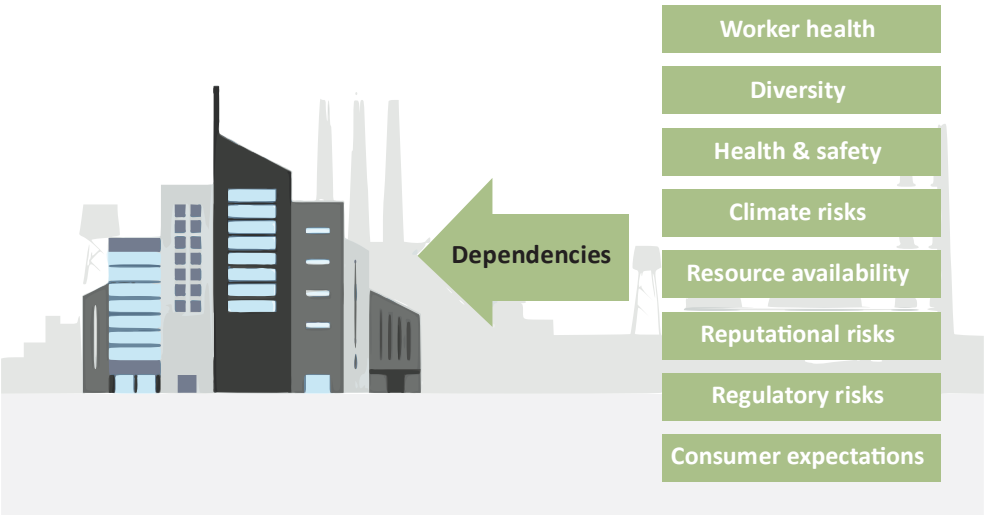
The relevance of sustainability to the role of accountants is growing, with the skillset provided by the CA becoming increasingly valuable to respond to the tide of incoming regulations and increasing investor and broader stakeholder requirements.

The taxonomy and language around sustainability and its related areas is varied and may as yet be unfamiliar and so there is a need for consistency of sustainability language and underlying concepts. ICAEW has created this glossary to provide support for greater consistency and concepts across the ACA exams.

Term	Definition or description
Climate scenario analysis	Environmental issues such as climate change are giving rise to significant risks for businesses. These may arise from physical climate events or the transition to a net-zero carbon economy. Scenario analysis is key to better understanding and managing future risks today, as well as supporting the transition to a net-zero carbon economy. Forward-looking assessments using scenario analysis is recommended by the TCFD to test strategic resilience to future climate shocks. It is not about providing profit forecasts or predicting the future but assures investors that the organisation is prepared for plausible future outcomes.
Corporate social responsibility	Corporate social responsibility (CSR) is a management concept whereby companies integrate social and environmental concerns in their business operations and interactions with their stakeholders. CSR is generally understood as being the way through which a company achieves a balance of economic, environmental and social imperatives ('Triple-Bottom-Line-Approach'), while at the same time addressing the expectations of shareholders and stakeholders. (UN Industrial Development Organisation: unido.org/our-focus/advancing-economic-competitiveness/competitive-trade-capacities-and -corporate-responsibility/corporate-social-responsibility-market-integration/what-csr) This term is used less often in recent times, following a swathe of articles exposing greenwashing practices associated with the movement. 'Sustainability' and 'ESG' tend to be more favoured.
Corporate Sustainability Reporting Directive (CSRD)	In tandem with the development of standards by the ISSB, the EU has adopted the Corporate Sustainability Reporting Directive (CSRD). The CSRD introduces detailed sustainability reporting requirements for large and listed companies and paves the way for mandatory sustainability assurance. The CSRD incorporates the concept of 'double materiality'. This means that companies have to report not only on how sustainability issues might create financial risks for the company (financial materiality), but also on the company's own impacts on people and the environment (impact materiality). This diverges from the ISSB concept of materiality, which remains aligned with financial materiality.
Double materiality	Double materiality means considering not only the sustainability issues that might create financial risks for the company (financial materiality), but also those sustainability issues where a company's activities materially impact on people and the environment (impact materiality).

Term	Definition or description
	This concept is fundamental to the CSRD.
ESG	Environmental, social and governance (ESG) approaches sustainability-related issues through a corporate lens and considers the impact of these risks on business and enterprise values (rather than on society more broadly). It is a frequently used terminology in corporate and investment communities. At a high level, it is another characterisation of sustainability, providing the three lenses of environment, social and corporate governance to use when exploring relevant sustainability factors:  When looked at in more detail, however, ESG is distinct from sustainability. It does not include consideration of planetary limits and a social foundation, together considered the 'safe operating space' within which companies, governments and individuals can sustainably operate. According to the Principles for Responsible Investment (PRI) (a United Nations- supported international network of investors) ESG issues faced by organisations can be defined as follows: **Environmental**: Issues relating to the quality and functioning of the natural environment and natural systems. These include: biodiversity loss; greenhouse gas (GHG) emissions; climate change; renewable energy; energy efficiency; air, water or resource depletion or pollution; waste management; stratospheric ozone depletion; changes in land use; ocean acidification; and changes to the nitrogen and phosphorus cycles. **Social**: Issues relating to the rights, well-being and interests of people and communities. These include: human rights; labour standards in the supply chain; child, slave and bonded labour; workplace health and safety; freedom of association and freedom of expression; human capital management and employee relations; diversity; relations with local communities; activities in conflict zones; health and access to medicine; HIV/AIDS; consumer protection; and controversial

Term	Definition or description
	weapons. **Governance**: Issues relating to the governance of companies and other investee entities. In the listed equity context these include: board structure, size, diversity, skills and independence, executive pay, shareholder rights, stakeholder interaction, disclosure of information, business ethics, bribery and corruption, internal controls and risk management, and, in general, issues dealing with the relationship between a company's management, its board, its shareholders and its other stakeholders. This category may also include matters of business strategy, encompassing both the implications of business strategy for environmental and social issues, and how the strategy is to be implemented. (**Source**: unpri.org/Uploads/i/m/n/maindefinitionstoprireportingframework_127272_949397.pdf)
ESG vs sustainability	Sustainability describes a world of thriving economies and just societies based on what nature can afford. It incorporates consideration of both the impacts and dependencies of an organisation and so includes those factors that are material both to the organisation but also to society. Environmental, social and governance (ESG) approaches this issue through a corporate lens and considers only how these risks and opportunities affect a business and its enterprise value. Whilst sustainability includes the concept of environmental and social limits (planetary limits and a social foundation) within which there is a safe operating space, ESG focusses on enterprise value and so does not incorporate considerations of a safe operating space.
GHG emissions – scope 1, 2 and 3	Scope 1, 2 and 3 is a way of categorising different kinds of Greenhouse Gas (GHG) emissions. **Scope 1:** The GHG emissions that an entity makes directly by eg, running boilers and vehicles. **Scope 2:** The GHG emissions it makes indirectly by eg, purchasing electricity or energy that is produced on its behalf. **Scope 3:** All the GHG emissions the entity is indirectly responsible for, up and down its value chain eg, by buying products from its suppliers, and from its products when customers use them.  (***Source**: GHG Protocol Corporate Standard)*

Term	Definition or description
Impacts and dependencies	There are two fundamental aspects to sustainability: One is organisations considering how their business positively or negatively affects environmental, societal and governance issues ('impacts').  *(**Source**: ifac.org)* The other is considering how environmental, social and governance issues can affect the organisation's ability to create and maintain value ('dependencies').  *(**Source**: ifac.org)* Information on dependencies is generally more useful for investors, who want to assess how well a company is managing its exposure to long-term ESG risks, and hence assess the value of the company to inform investment decisions. This relates to financial materiality. In this context, investor-useful information comprises financially material disclosure topics and performance metrics addressing sustainability dependencies (and impacts) relevant to enterprise value. Impact information is generally useful for broader stakeholders, including consumers, civil society and employees. The decisions they make are more attuned to information on how an organisation is impacting, for example, livelihoods; deforestation; equality and health. In this context information useful for broader stakeholders includes disclosures, indicators and contextual information addressing sustainable development, impacts, or public policy objectives. Reporting impact information alongside dependencies is aligned with the concept of

Term	Definition or description
	double materiality. However, a company's impacts can also be financially material due to reputational impacts affecting consumer demand, license to operate etc. These concepts are usefully visualised by the International Federation of Accountants here: ifac.org/system/files/publications/files/IFAC-enhancing-corporate-reporting- sustainability-building-blocks.pdf
	 (**Source**: *ifac.org*)
Mitigation and adaptation	In the face of increasing climate-related risks, organisations need to focus on both mitigation and adaptation activities. **Climate change mitigation** means avoiding and reducing emissions of greenhouse gases into the atmosphere to prevent the planet from warming to more extreme temperatures. This involves a transition away from fossil fuels to clean, renewable energy; halting deforestation; and restoring natural habitats to reach net zero emissions. **Climate change adaptation** refers to adjustments of strategies and actions in response to the effects and future risks of climate change. These risks may be linked to the physical impacts of climate change; but also, the economic impact of a transition towards net zero. Identifying, managing and adapting to these risks is key for the development of a resilient business that can survive, and even thrive in the unprecedented physical and transitional changes ahead.
Paris Agreement and Net Zero	The Paris Agreement is an international treaty on climate change that was signed by nearly 200 countries in 2015 at the United Nations Framework Convention on Climate Change's 21st Conference of Parties, known as COP21. This agreement is generally regarded as the framework for international action towards mitigating climate change and its impacts. The Paris Agreement set the ambition to a maximum of 2°C global temperature change, with the preferred goal of 1.5°C above pre-industrial levels. The term 'net zero' refers to the global reduction of greenhouse gas emissions to net zero by 2050 and is the action required to limit temperature rise to 1.5 degrees Celsius.
Physical and transition risks	The risks business and the public sector will face due to climate change can be categorised into two areas: **Physical risks**, which arise from the physical effects of climate change such as storms, extreme temperatures, wildfires, flooding.

Term	Definition or description
	Transition risks, which relate to social and economic shifts to a low-carbon economy such as changes to policy, regulation, technology and market.
Stranded assets	'Stranded assets' are assets that are economically stranded, having suffered from 'unanticipated or premature write-downs, devaluations or conversion to liabilities' (Smith School of Enterprise and the Environment, 2014).
	Stranded assets can be caused by a range of environmental-related risks including: Climate change New regulations Evolving social norms Litigation
Sustainability	Sustainability is a broad term that encompasses an environmental and social focus to improve people's lives and improve the planet for the long-term. The technical definition of sustainability comes from the 1987 Brundtland report, and is defined as development that: 'meets the needs of the present without compromising the ability of future generations to meet their own needs'. Frameworks, goals or categories for sustainability can help to break it down for practical application. This is where characterisations such as environmental, social and governance (ESG) or environmental, social and economic factors can be useful. Sustainability is not limited to the environment. Interpretations of the scope of sustainable development have developed from a narrow interpretation which focused on 'green issues' to broader interpretations which include concerns such as: Increasing extremes of poverty and wealth Population growth Biodiversity loss Deteriorating air and water quality Climate change Human rights Bribery and corruption
Sustainable Development Goals (SDGs)	The United Nation's Sustainable Development Goals are a set of 17 goals based on the key environmental, social and economic factors required for peace and prosperity for people and planet. They frame sustainability through the lens of environmental, social and economic characterisations, with a healthy environment underpinning a healthy society, which underpins a healthy economy.
The Taskforce on Climate-related Financial Disclosures (TCFD)	The G20 is an intergovernmental forum comprising 19 countries and the European Union. It works to address major issues related to the global economy, such as international financial stability, climate change mitigation, and sustainable development. The UK Government is the first in the G20 to mandate that the largest UK-registered companies provide disclosures, on a 'comply or explain' basis, in line with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). The TCFD recommendations are structed around four core elements – Governance, Strategy, Risk Management, and Metrics and Targets. Each of these core elements include reporting requirements and additional guidance for disclosing organisations. In particular, the TCFD recommendations focus on forward-looking financial disclosure. They ask organisations to identify climate-related risks and opportunities, to consider the financial implications, and to assess the resilience of the business strategy to future climate outcomes. TCFD recommends organisations use scenarios to explore future business risks arising from climate change and present the findings in the narrative report.
WEF Global Risks Report	The World Economic Forum's annual Global Risks Report explores some of the most severe risks the world may face over the next decade. It is underpinned by their annual Global Risks Perception Survey, bringing together leading insights from over 1,200 experts

Term	Definition or description
	across the World Economic Forum's diverse network.
	In 2024, perceptions of the most severe risks on a global scale over the next 2 and 10 years were as follows:  (**Source**: www3.weforum.org/docs/WEF_The_Global_Risks_Report_2024.pdf)
WEF IBC metrics	The World Economic Forum (WEF) International Business Council (IBC) metrics provide a useful starting point when considering what sustainability metrics may be relevant for an organisation. The WEF paper 'Measuring Stakeholder Capitalism' was written with the aim of developing a core set of common metrics and disclosures on non-financial factors, for sustainable value creation. It highlights the key themes significant to the planet, society and business and was produced in collaboration with Deloitte, EY, KPMG and PwC in 2020. The metrics are categorised into four pillars: Principles of Governance, Planet, People and Prosperity and aligned with their relevant SDGs.

Sustainability and the role of ACA Professionals

ICAEW Chartered Accountants ('ACA Professionals') recognise that sustainability is at the core of what they do and are capable of actively using their business skills to analyse how to make the new sustainable economy work for their business.

The relevance of sustainability to the role of accountants is growing, with the skillset provided by the ACA becoming increasingly valuable to respond to incoming regulations and increasing investor and broader stakeholder requirements.

Finance and accounting professionals need to move beyond simply measuring and reporting the impact of climate change, environmental regulation, supply chain pressure and rising energy costs.

ACA Professionals need to focus on understanding those implications and integrating them into financial management and business planning by integrating knowledge and understanding the broader implications of environmental, social and governance issues.

Sustainability and decision making

Integrating sustainability to strategic decision making and operational processes is closely related to the skills and experience of ACA Professionals. Examples include:

- Identification and management of risks
- Compliance with laws, regulations and code of corporate governance
- Design and operation of management control systems
- Measurement of environmental, social and governance (ESG) related liabilities and impaired assets, financial instruments and new forms of taxation, such as renewable energy reliefs or carbon emission tariffs and any assurance required thereon

Where the technical issues extend beyond the accountant's reach then the accountant will work with sustainability experts and other relevant experts when required, which is good practice.

Reporting

The role of ACA Professionals includes the preparation and issuance of reported sustainability information with related activities which include:

- identifying and evaluating sustainability-related risks and opportunities and advising on solutions to mitigate impacts and risks;
- considering how current and future sustainability-related risks and opportunities affect an organisation’s strategy, operations, financial reporting, regulatory and legal compliance and sustainability reporting requirements.
- advising on an organisation’s specific sustainability metrics to monitor and report.
- developing methods and solutions to measure sustainability metrics.
- developing processes and controls to produce and verify the information;
- preparing sustainability reports and advising on the sufficiency of current sustainability reporting disclosures;
- providing assurance over mandatory and voluntary sustainability reported information;
- providing sustainability information that is relevant to strategic and operational decision making; and
- influencing others in positions of power to take appropriate action to safeguard or improve an organisation's sustainability performance.

Applying sustainability related learning in ACA

ACA students can develop these skills by applying a common set of sustainability principles across every ACA module in this complex and fast changing area.

These core principles include, but are not limited to:

- Consider an organisation's sustainability-related dependencies alongside its sustainability-related impacts.
- Clarify that climate change is only one aspect of environmental concerns.

- Consider sustainability-related opportunities alongside risk.
- Consider physical risks as well as transition risks and opportunities.
- Confirm that climate and other environmental issues are considered against the broader context of sustainability.
- Apply a principles-based approach of identifying, evaluating and mitigating sustainability-related risks and opportunities where the sustainability landscape is complex and lacks a global/mandatory standard.

This can be aided by the application of the following ACA Professional Skills to specific sustainability-related situations:

- Assimilating and using information
- Structuring problems and solutions
- Applying judgement
- Concluding, recommending and communicating

ACA and technology

Changes in technology have automated many routine aspects of accountancy. However, with these changes in technology also come complexity and risk. Accountants need to adapt and develop new skills to manage the change resulting from the emergence of new technologies.

These and other innovations in technology are likely to have a significant impact on the way that accountants access information, transact and manage business finances. Technology tools can provide information more quickly and often more accurately than humans, but they cannot replicate human intelligence and quality decision-making, or effectively communicate the output of analysis.

Therefore, ACA professionals hold key roles such as validating the source of the data, interpreting, and analysing the outputs, and ensuring the tools support effective management of the organisation. Additionally, as routine and compliance work reduces, the ACA provides a focus on the development of skills that equip ACA professionals to work with the outputs of automated processes, with other specialists, and in a changing world.

While there are many new technology capabilities that have broad application across the business and consumer environment, ICAEW has identified seven trends that have the greatest potential to transform the accountancy profession: artificial intelligence (AI), automation, blockchain, cybersecurity, cloud computing, data and digital transformation. These technologies are explored across relevant ACA modules and are supported by the following definitions.

Term	Definition
Artificial Intelligence (AI)	Artificial Intelligence involves the creation and use of advanced computer systems to perform tasks that traditionally require human intelligence. This includes learning from data, reasoning and problem-solving, sensory understanding, language processing, and recognising patterns. AI systems are characterised by their ability to adapt to new information or environments, operate with a degree of autonomy, and make informed decisions. AI often, but not always, involves the use of Machine Learning.
Augmented Reality (AR)	Augmented Reality is a technology that overlays digital information – such as images, text or effects – onto the real world as seen through a device, such as a smartphone or AR glasses
Automation	Automation is the creation and application of technology to monitor and control the production and delivery of products and services. (The International Society of Automation, 2018)
Big Data	Big Data is the term that describes those 'datasets whose size is beyond the ability of typical database software to capture, store, manage and analyse.' (McKinsey Global Institute, Big data: The next frontier for innovation, competition and productivity)

Term	Definition
Blockchain	Blockchain is a specific form of distributed ledger technology that records data in a decentralised and immutable manner across multiple nodes. This structure makes records tamper-proof and enhances security by removing single points of failure. Blockchains are often public, allowing anyone to verify the data, though private configurations exist for tailored organisational needs. This technology supports cryptocurrencies and has many other applications, including supply chain oversight, digital identity and secure voting.
Chatbot	A chatbot is a software application designed to simulate conversation with human users. It uses natural language processing to understand and respond to user queries.
Cloud accounting	Cloud accounting refers to performing accounting tasks using cloud computing software, often delivered in a software-as-a-service (SaaS) model.
Cloud computing	Cloud computing is on-demand access, via the internet, to computing resources – applications, servers (physical servers and virtual servers), data storage, development tools, networking capabilities and more – hosted at a remote data centre managed by a cloud services provider (or CSP). (ibm.com/topics/cloud- computing~:text=Cloud%20computing%20is%20on,or%20CSP)
Cryptocurrency	Cryptocurrency is a digital asset that is designed to function as a medium of exchange and store of value. It operates through a decentralised computer network independent of any central authority, such as a central bank, which does not issue or regulate it. Cryptocurrencies use blockchain technology to achieve decentralisation, transparency and immutability, distinguishing them from traditional monetary systems and financial assets. While they perform roles similar to currency, under IFRS® Accounting Standards they are not recognised as cash or financial instruments but may be accounted for as intangible assets or inventory depending on the circumstances.
Cyber-attack	A cyber-attack is an attempt by individuals or groups to breach the cybersecurity of a specific organisation or individual. This includes any unauthorised access, manipulation or damage to computers, networks, digital systems or data. Cyber-attacks are carried out to steal, alter or destroy information, or to disrupt the operation of systems and services. Common forms of cyber-attacks include phishing, malware, ransomware, denial of service (DoS) and advanced persistent threats (APTs).
Cybersecurity	Cybersecurity is the collection of tools, policies, security concepts, security safeguards, guidelines, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect an organisation's and user's assets against cyber-attack.
Data analytics	Data analytics is the process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.
Data bias	Data is biased when it is not representative of the population that is being analysed. Bias can be inherent in the data collected or it can be introduced by those analysing the data.
Data mining	Data mining is the process of analysing large datasets to discover patterns, relationships and insights. It employs AI and statistical algorithms to identify correlations and trends that transform raw data into actionable information.
Distributed ledger technology (DLT)	Distributed ledger technology (DLT) encompasses a range of decentralised database systems where transactions are recorded and validated across multiple sites. Unlike traditional ledgers, DLT does not rely on a central authority, enhancing transparency and reducing the need for audits. While blockchain is a well-known type of DLT noted for its chained data structure, other forms of DLT may organize data differently and offer varying levels of access and privacy.
Generative AI	Generative AI refers to a type of artificial intelligence that is designed to generate new content, such as images, text, audio or video, based on patterns learned from a training dataset. Unlike predictive models that focus on making predictions or classifications based on existing data, generative AI models create entirely new data instances that mimic the characteristics of the training data.

Term	Definition
Infrastructure-as-a-service (IaaS)	Infrastructure-as-a-service, or IaaS, provides virtual computing resources over the internet. It allows businesses to rent servers, storage space and networking capabilities without needing to own physical infrastructure. Users can manage operating systems, storage and deployed applications while the service provider handles the physical hardware.
Machine Learning	Machine Learning is the capability of computer systems to learn from and make predictions or decisions based on large volumes of training data, without being explicitly programmed to do so. It involves two primary methods: supervised and unsupervised learning. In supervised learning, the model is trained on labelled data, meaning it learns to predict outcomes from input data that has an associated correct answer. Unsupervised learning involves training on data without labelled responses, allowing the model to identify patterns and relationships in the data independently.
Natural Language Processing (NLP)	Natural Language Processing is a branch of artificial intelligence that enables computers to understand, interpret, and generate human language in a way that is both meaningful and useful. By employing techniques from linguistics and computer science, NLP helps machines process and analyse large amounts of natural language data, facilitating tasks such as translation, sentiment analysis, voice-activated services and chatbot responses.
Platform-as-a-service (PaaS)	Platform-as-a-service, or PaaS, offers a development and deployment environment delivered over the internet, allowing users to build, test and deploy applications without the complexity of managing the underlying infrastructure. Providers supply a framework that developers can build upon, including support for software development kits, databases and development tools. PaaS is designed for developers who want to create applications without worrying about hardware, software updates or storage.
Robot	A robot is a programmable machine capable of carrying out complex actions autonomously or semi-autonomously. Typically equipped with sensors and actuators, robots are used in various industries for tasks that require precision and endurance or involve hazardous conditions.
Robotic Process Automation	Robotic Process Automation is a software solution that replicates a business process, designed to do a task that would otherwise be performed manually. It is programmed to follow 'if this, then that' instructions. It runs with other applications rather than replacing them.
Software-as-a-service (SaaS)	Software-as-a-service, or SaaS, is a delivery model that allows users to access software applications over the internet. These applications are hosted and maintained by external providers, offering convenience and reduced IT overhead for users. SaaS solutions are typically subscription-based, with common applications including email, customer relationship management (CRM) and collaboration tools.
Virtual Reality (VR)	Virtual Reality (VR) is a digital technology that creates a simulated environment, immersing users in a three-dimensional space. Users can interact with virtual objects and experience scenarios that mimic real life or imaginative worlds.

Chapter 1
Introduction to the Business Strategy and Technology exam

Introduction

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Learning topics

1 Business Strategy and Technology, and the ACA exams

2 Knowledge

3 Skills

4 Professional experience and common sense

5 Developing business awareness

6 A guide to the marking process

7 Data in the exam



Introduction

Learning outcome

- To become familiar with the context of the Business Strategy and Technology exam.

Syllabus links

The purpose of this chapter is as an initial help to approaching the Business Strategy and Technology exam. The knowledge, understanding, skills and business awareness that you will develop in relation to Business Strategy and Technology will be of great benefit when you progress to the Advanced level of the ACA syllabus.

Examination context

Whilst an appreciation of models and theories underlying the exam are important, the focus of your examination is a practical one. You will be required to interpret business scenarios and to provide professional advice to clients and management on what to do. This will include analysing data in a question scenario using functionality in the spreadsheet software provided in the exam. You will not be required to reproduce names and models for the sake of it – knowledge will always need to be applied. It is important not to be deterred by the emphasis on technology in the title of the examination. This will not be a stand-alone aspect of the exam but will be integrated into the scenarios. The emphasis will be upon understanding how technological developments have impacted on modern organisations, the process of setting strategy, and measuring performance.

You will not be expected to display a detailed understanding of the internal workings of IT systems, nor will you be required to exhibit knowledge concerning computer algorithms and the internal logic of software applications. You are however required to have a high-level understanding of the main technological developments affecting organisations and the business environment. This will include for example a working knowledge and understanding of data analytics and cyber security. It is important to remember that Business Strategy and Technology is a very practical exam, and your ability to apply your knowledge and understanding of a subject to a scenario is crucial.

The models and theories you will cover in this Workbook are to be used in three ways in the examination:

(a) To **analyse and interpret**: Applying the appropriate models and perspectives to the situation, data and issues outlined in the scenario will help you to see underlying causes better.

(b) To **generate solutions**: Many of the models include recommendations or approaches to resolving problems. You may wish to pass this advice on to management.

(c) To **substantiate your comments**: The models and their authors are recognised by management who may have studied them too. You would be expected to refer to them as a framework in a real business report. You will not, however, be expected to describe the models in great detail in your answer.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction to the Business Strategy and Technology exam.** The purpose of the Business Strategy and Technology exam at the Professional level of the ACA exams is to help you develop and demonstrate the knowledge and skills necessary to ensure an organisation with which you are involved can 'find its way' in the world. An important element of business strategy concerns the growing role that developing technologies and data analytics play in the activities of organisations. Constant technological change will shape your role as a Chartered Accountant and impact upon the professional advice you will provide.	**Approach** Read through this chapter, paying attention to each section, but particularly to the section on the use of data in the examination (section 7). **Stop and think** Pay careful attention to the advice about examination technique provided at the end of the chapter (section 8), and to try to apply the tips for exam technique as you do practice questions in preparation for your exam.	Whilst an understanding of models and theories underlying business strategy and technology is important, the focus of your examination is a practical one. You will be required to interpret business scenarios and to provide professional advice to clients and management on what to do. You will not be required to reproduce names and models for the sake of it – knowledge will always need to be applied. It is important not to overlook the focus on **technology** in this exam. This aspect will relate to the ways technological developments have affected modern organisations, the process of setting strategy, and measuring performance. You will not be expected to display a detailed understanding of the internal workings of IT systems or software. You will, however, be required to have a high-level	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
			understanding of the main technological developments affecting organisations. This will include having a working knowledge of areas such as data analytics, cyber security, artificial intelligence (AI), systems and digital assets. **Interpreting and analysing data** is also very important in this exam. The Business Strategy and Technology exam includes four main types of data related requirement: **A data analysis requirement**, requiring candidates to analyse a range of data in various exhibits, produce some relevant calculations and provide a commentary to go with their numerical analysis. This type of requirement might include, for example an analysis of a company's product portfolio and competitive positioning, an analysis of performance over two financial periods, or a comparison of the featured	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
			entity's actual financial results against its budgeted results. Such questions may also require the analysis of performance with reference to operational, non-financial key performance indicators. Questions may include data which cover different periods of time, for example, an entity's quarterly results rather than its full year results. Data may also relate to the whole entity featured in the question scenario or it may focus on particular business units, product streams, individual stores or branches. **A specific calculation**, as prescribed by the question requirement. Common examples of this type of calculation include computing a break-even working for a particular project, or preparing a profit forecast for a proposed business venture. **A supporting calculation**, where you are required to support your narrative answer with supporting	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
			calculations. Such questions may require an analysis of the financial merits of two proposed strategies, or an assessment of the performance of a given strategy. In addition to these types of requirement, you might also see question scenarios which contain data (financial or non-financial) but you are not provided with a specific requirement about how you should use it. In cases like this, it is important to understand that if the examiners have given you some data in a question scenario then they are expecting you to use it.	

1 Business Strategy and Technology, and the ACA exams

As a chartered accountant you will one day find yourself involved in helping an organisation 'find its way' in the world: taking its resources and capabilities and using them to exploit opportunities in markets and industries to satisfy its stakeholders over time. To 'find its way' the organisation must have an idea of what it wants to achieve and how it is going to achieve it. At its most basic, this is what business strategy means. A key part of business strategy concerns the growing role that technology and data analytics play in the activities of organisations. Such developments around the world are now of strategic significance and are therefore reflected in the ICAB syllabus. Constant technological change will shape your role as a chartered accountant and could have an impact on the professional advice you will provide.

The purpose of the Business Strategy and Technology examination at the Professional level of the ACA exams is to help you develop and demonstrate your knowledge, understanding and the skills necessary to ensure an organisation with which you are involved can find its way.

All Professional level exams require both factual knowledge and understanding, and analytical skills, plus the ability to apply knowledge in real-life scenarios. It is important to distinguish between what we mean by 'knowledge' and 'skills', and to see how the exam assesses each.

2 Knowledge

The knowledge required to do well in Business Strategy and Technology is primarily built on that acquired at Certificate level in the Business, Technology and Finance, and Management Information exams. Your knowledge and understanding is extended, enhanced and developed at this level but it is assessed very differently.

Each question in the exam consists of a 'scenario', often with a data analysis or quantitative element, followed by one or more 'requirements', to which you must prepare answers.

The other major difference between Certificate and Professional level is that knowledge is only assessed in the context of how it is applied to the business scenarios set out in the exam. Knowledge in the Business Strategy and Technology exam requires more than just an ability to display rote learning of the content covered in the Workbook, it also requires you to display an understanding of that knowledge by applying it to the scenario detail featured in the question.

While you can assume one or two marks will be available just for the basic knowledge of what each of the five forces is, most of the marks will be going for displaying an understanding of how that knowledge is used to analyse the scenario and explain the pertinent points under each heading.

3 Skills

To be successful in the Business Strategy and Technology exam you have to demonstrate a range of skills in applying knowledge. The following table describes the four categories gives you an example of how you can expect to have each skill tested in the Business Strategy and Technology exam.

Skill at Professional level	How the Business Strategy and Technology exam might test this skill
Assimilating and using information	
Understand the situation and the requirements	Reading a large amount of material in the scenario including different types of qualitative and quantitative data and distinguishing the parts that are relevant to each requirement
Identify and use relevant information	Taking both narrative and numerical data and information and combining them to understand and explain a situation more fully
Identify and prioritise key issues and stay on task	Identifying which pieces of data and/or information in the scenario relate to what you already know eg, identifying that information about economies of scale is relevant to the 'threat of new entrants' in Porter's five forces model. You need to be comfortable picking out key pieces of information from the scenario to help you answer the actual requirement set
Structuring problems and solutions	
Structure data	Using spreadsheets to assimilate, structure and analyse data. Calculating ratios and using other data relating to performance. Analysis may include identifying trends in both financial and non-financial data in the scenario, or using the headings in a model such as Five Forces, PESTEL or SWOT to break down the information in the scenario
Develop solutions	Drawing together ratios, trends in data, or categorised written information to get a clearer picture of the situation, highlight the key issues and begin to identify possible solutions
Applying judgement	
Apply professional scepticism and critical thinking	Identifying deficiencies in the data and information available and identifying what may be needed to address them. This involves developing a questioning approach when presented with data and information in a scenario
Relate issues to the environment	Using the analysis to date to identify feasible actions that could or must be taken, and their likely consequences

Concluding, recommending and communicating	
Conclusions	Applying technical knowledge and expertise to support reasoning and conclusions
Recommendations	Making a choice between possible actions or viewpoints and providing a reasoned explanation of that choice and its potential consequences
Communication	Being professional in producing material for the required purpose and audience

4 Professional experience and common sense

Technical knowledge, understanding, and professional skills are vital to success in Business Strategy and Technology, as we have seen, but the value of your common sense and professional experience should not be underestimated. Your analysis of a situation should always be tempered with your awareness of the 'real world', however this has been obtained. This applies in particular to answers where you make a recommendation: you should think twice for instance about asking for every conceivable piece of additional data or information before reaching a firm conclusion, or recommending a global overseas expansion to a firm with only 10 employees.

There may be occasions where you do not feel you have any technical knowledge to bring to bear on a scenario. In such a situation you may have to adopt a 'common' sense' approach to one or more requirements. While this is never going to earn you full marks it is better than not providing an answer at all.

A key aspect of professional experience that you need to develop is professional scepticism, that is looking at the qualitative and quantitative data and information that you have been given with a questioning eye. Data and information that is provided in-house by the management of a company desperate to raise finance, for instance, should be looked at with some scepticism, on the basis that the management may seek to overplay good news and underplay bad news to secure their objective. Data and information provided by a professional firm such as an independent reviewer of a business on the other hand may be taken with far less scepticism.

5 Developing business awareness

Throughout this Workbook we will be building up your knowledge and skills, and demonstrating how these apply to exam questions in a large number of topic areas. Each chapter begins with an example of the type of requirement you might expect for that topic area, so you become familiar from the beginning with the context of the exam.

The variety of scenarios and case examples that you will see in this Workbook will also help you to build up your business awareness. This is a vital element in developing the combination of knowledge, skills, professional experience and common sense that will help you to do well in the Business Strategy and Technology exam, and progress to Advanced level.

You can help yourself further in this respect by taking advantage of resources that are available online in the form of 'real world' case studies. Visiting the business pages of a quality newspaper and news websites is strongly recommended as they often provide useful articles and case studies on topical business and technological issues.

You should look out for case studies covering topics including:

- The external environment
- Technological developments (including automation, artificial intelligence (AI), digital assets and cryptocurrencies)
- Digital disruption/transformation
- Big data and data analytics
- Cyber security
- Finance and the role of the finance function as a business partner
- Marketing
- Operations
- People (including the concepts of human capital, shared service centres and workforce flexibility)
- Strategy
- Ethics and sustainability and environmental, social and governance (ESG) issues

6 A guide to the marking process

6.1 The distinction between Knowledge and Skills

Business Strategy and Technology (BST) has the highest skills content of all the Professional level examinations and as BST leads on to Advanced level, there may be some relatively open requirements. This is reflected in the marking process where the available marks for each requirement are divided into two pools: Knowledge marks (K) and Skills marks (S), with more marks awarded for skills than knowledge. The knowledge element will be 18% to 25% of the marks.

Broadly speaking the K marks are for demonstration of accurate knowledge and understanding from the Learning Materials that is relevant to the requirement, ie, the answer is developed using recognised models, tools and frameworks, not just common sense. This demonstration may be explicit or implied. This means that you do not have to set out your knowledge in the abstract before then applying it to the scenario: you can demonstrate your knowledge in the process of applying it to the scenario. Some of the K marks may also be for calculations that derive from basic knowledge and understanding, for example gross profit margins or expected values.

The S marks are for evidence of the skills discussed in the table in the 'Skills' section of this chapter.

6.1.1 Example: K and S marks

Requirement: 'analyse the competitive forces within an industry.'

K marks would be awarded for understanding the right model to select and knowing the key headings, in this case that 'competitive forces' suggests Porter's Five Forces model should be applied under its five headings.

S marks would be gained by:

- Applying the model to the context in the question (eg, identifying data and information from the scenario under each of the five headings)
- Analysing the data and information (eg, to evaluate the significance of each force)
- Reasoning and judgement (eg, summarising the key forces within the industry and their impact on the business in question)

7 Data in the exam

7.1 Types of data

Your ability to analyse and interpret different types data, presented in a variety of formats, will be critical to ensuring success when attempting the Business Strategy and Technology exam. Data in question scenarios may include not only traditional quantitative data (such as data relating to sales revenue, costs and profits) but may also include qualitative data which cannot be computed, such as posts left by customers on a company's social media account. Your ability to select and use relevant data to support your answers is an important skill that you will need to develop.

The Business Strategy and Technology exam could include question scenarios featuring data presented in a range of formats, including:

- Extracts from financial statements
- Posts left on social media feeds
- Extracts from balanced scorecards
- Data taken from organisational dashboards
- Visualisations such as diagrams, graphs, pie charts
- Data organisational dashboards
- Detailed granular data in a pre-populated spreadsheet to be assimilated and analysed using the spreadsheet functionality in the exam software

The chapter 'Evaluating and analysing performance and strategies' provides extensive coverage of the different types of data that may appear in the Business Strategy and Technology exam, and provides a useful illustration of the interaction between qualitative and quantitative data.

Note that, in the exam, around 20–25 marks may be available purely for calculations and demonstration of spreadsheet and statistical skills. Marks for discussion of your analysis would be awarded in addition to the 20–25 marks.

7.2 Question requirements

Data and data analysis are key features of the Business Strategy and Technology exam.

Candidates need to be comfortable in handling four main types of data related question requirements:

- A **data analysis requirement**, requiring candidates to analyse a range of data in various exhibits, produce some relevant calculations and provide a commentary to go with their numerical analysis. This type of requirement might include, for example an analysis of a company's product portfolio and competitive positioning, an analysis of performance over two financial periods, or a comparison of the featured entity's actual financial results against its budgeted results. Such questions may also require the analysis of performance with reference to operational, non- financial key performance indicators. Questions may include data which cover different periods of time, for example, an entity's quarterly results rather than its full year results. Data may also relate to the whole entity featured in the question scenario or it may focus on particular business units, product streams, individual stores or branches. Specific consideration is given to the data analysis requirement in the chapter 'Evaluating and analysing performance and strategies.'
- **Performing a specific calculation**, as prescribed by the question requirement. Common examples of this type of calculation include computing a break-even working for a particular project or preparing a profit forecast for a proposed business venture. This type of requirement is considered further in the chapter 'Risk management.' You may also be

asked to respond to some 'focused' questions whereby you are required to perform a series of short, specific calculations followed by focused discussion of each one. For example, in requirement 1.2 of the December 2022 exam, candidates were asked to respond to five focused questions posed by the chair of the board, each one requiring specific calculations and supporting discussion.

- A **supporting calculations requirement**, where you are required to support your narrative answer with supporting calculations. Such questions may require an analysis of the financial merits of two proposed strategies, or an assessment of the performance of a given strategy. Requirements which request supporting calculations require candidates to use their judgement in identifying the most appropriate type of calculation to be performed. Greater consideration of the types of supporting calculation that you might have to undertake is given in the chapters 'Risk management' and 'Evaluating and analysing performance and strategies.'
- **A requirement to assimilate and analyse granular data** provided in a pre-populated spreadsheet. You will need to use spreadsheet functionality to analyse the detailed transactional data before commenting on the data and drawing appropriate conclusions. Examinable spreadsheet functionality and example questions can be seen in the chapter Spreadsheet functionality.

  Some questions will not include a specific data related requirement but data will be included in the scenario. In this case candidates are expected to use the data provided to inform their answer.
  Greater consideration of this covered in the 'Using data when not specified by the question requirement' section of this chapter.

7.3 Using the data in the exam

7.3.1 Using data to inform decisions

Many questions in the Business Strategy and Technology exam require you to advise the management team at the entity featured in a question scenario. It is therefore very important to recognise that the data provided in questions is there to help inform the decisions or advice that you give – so you must refer to that data, and make use of it in your answer.

Giving well-reasoned and informed advice to management is intended to reflect the changing role of the finance profession. Today, Chartered Accountants are expected to do more than simply report an organisation's historic financial performance. Finance professionals are required to add value by extracting useful insights in the movements of critical figures (of both a financial and non-financial nature) to allow management to understand the success (or not) of the strategies that they have implemented.

Accountants are increasingly being expected to get involved in the preparation of business cases and are required to prepare calculations to analyse proposed business strategies. Your ability to provide this type of insight when attempting question requirements which ask for supporting calculations will therefore be very important in producing good answers in the Business Strategy and Technology exam.

7.3.2 Using data when not specified by the question requirement

In the event that you are provided with data in a question scenario with no specific requirement about how to use it, you are still strongly encouraged to incorporate it into your answer. If the examiners have given you some data in a question scenario, then they will expect you to use it.

7.3.3 Data and professional scepticism

It is important to be aware of the risks inherent in data when analysing and drawing conclusions from it. Candidates are expected to use professional scepticism to question the

data provided, considering problems such as data variability and data bias. As information is increasingly being generated and analysed by computer systems, there is a growing risk that it is taken at face value, without proper scrutiny. Candidates should exercise professional scepticism with regard to any data presented to them, considering the data source, and make a judgement on the likely reliability and accuracy of the information. The chapter, 'Risk management,' examines the use of statistical tools such as average, standard deviation and co-efficient of variation that allow an assessment of the amount of variability and therefore risk and uncertainty in a data set. Data may also be affected by bias due to the sampling or analysis process. Candidates should understand the different types of bias that can affect data and be prepared to apply professional scepticism when using data to advise an organisation on an appropriate course of action. Data bias is also examined in more detail in the chapter, 'Risk management.'

Chapter 2
Strategy and organisations

Introduction

Learning outcome

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Learning topics

1 What is strategy?

2 Overview of strategic planning approaches

3 A rational (prescriptive) approach to strategy formulation

4 Deliberate and emergent strategies (Mintzberg)

5 Positioning versus resource-based views of strategic advantage

6 Planning horizon

7 Strategy and ethics

8 Strategy, sustainability and ESG

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcome

- Evaluate an organisation's purpose in terms of its stated mission, objectives and critical success factors, highlighting omissions, inconsistencies and weaknesses, and considering the different objectives of stakeholders.
- Analyse the sustainability issues and the environmental, social and governance (ESG) factors which influence the organisation's current strategy, highlighting their likely impact on the success of the organisation.
- Analyse the external factors which may impact upon an organisation's performance and position, evaluating significant issues in areas such as:
  - Natural capital and climate change
  - Macroeconomic forces
  - International trade, financial systems and global economic factors
  - Government policies
  - Its industry and markets, including competition
  - Cultural environment
  - Stakeholder, ecosystem and participant impact
  - Markets for finance, labour and other resources
  - Supply chain factors
  - Technology developments
- Evaluate the sustainability and ESG implications of a strategy or combination of strategies.

Syllabus links

In the Business, Technology and Finance exam you will have covered the basic objectives and processes of strategic management. This chapter revises these topics and provides a range of alternative perspectives on the role of management in the strategy process.

The following topics, revised and expanded here, were introduced in your Business, Technology and Finance studies:

- General objectives of strategic management
- The strategic management process
- Nature and purpose of strategic plans, business plans and operational plans

The framework of the rational planning model will be employed in subsequent chapters.

Although much of the focus of this chapter (and Workbook) is upon the strategic management process from a commercial, business perspective it is important to recognise that a number of the key themes explored here will still be relevant to other types of organisations, (for example, not-for- profit organisations). The need for objectives and planning are likely to be common to all organisations.

Examination context

This chapter reviews some of the leading theories of strategy formulation and provides the names of many authorities on strategy.

The chapter also introduces a number of key concepts and approaches commonly involved in strategy formulation, including the concept of strategic fit.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**What is strategy?** Strategies are the courses of action a firm follows through time. An organisation that survives is one that has followed a successful strategy. One that fails or that loses out in a takeover did not have a successful strategy. Strategies affect earnings, jobs, the ability to pay suppliers and to determine which products and services customers get. Only in retrospect can we say with any certainty whether it has worked or not.	**Approach** Work quickly through this section which introduces different approaches to and levels of strategy. **Stop and think** Think about the firm that employs you. Do you know the strategies being followed at corporate, business and functional levels?	Strategy can exist at several levels in an organisation. In the exam you will be required to interpret business scenarios and to provide professional strategy advice appropriate to the organisation level.	
2	**Overview of strategic planning approaches** Management needs a way to ensure its strategies are good ones from the start. This section compares and contrasts the concept of strategic planning; strategies that are planned in	**Approach** Understand the terminology associated with strategic planning approaches. Review advantages and disadvantages of strategic planning. **Stop and think** Consider a company you are familiar with. Are they following a	Whilst an understanding of the underlying theories is important, the focus of your examination is a practical one. You will be required to review business scenarios and apply your theoretical knowledge to the question.	**IQ1: Famous business leaders** This example asks you to consider real-life examples of famous entrepreneurs and business leaders.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	advance with strategies made up 'on the run.'	top down (rational) approach or a bottom up (emergent) approach to strategy development?		
3	**A rational (prescriptive) approach to strategy formulation** Strategic planning is one of the most popular theoretical concepts in strategy development. This section studies the rational, or prescriptive, approach to strategy formulation in detail.	**Approach** Work through the topic slowly. The stages of the rational planning are important to learn. **Stop and think** What organisations can you think of that have done well? Do you think it was plain luck or was it achieved through a planned strategy? How could developments in technology influence strategic planning?	An understanding of the rational planning model can help to generate solutions to problems encountered in the business scenario. You can use the stages of the model to identify gaps in the strategy planning process and to advise management on potential solutions to issues.	
4	**Deliberate and emergent strategies (Mintzberg)** The emergent approach to strategic planning is the main alternative to the rational planning model approach. There is no right or wrong way to develop strategy but organisations will adopt different approaches depending on their individual circumstances.	**Approach** Review Mintzberg's theory and the specific terminology associated with this approach to strategy development. **Stop and think** Think about the firm that employs you. Does it have a clear idea of what it will be doing in five years' time that is more than just 'we'll still be here doing the same old thing'?	Mintzberg's emergent approach is a frequently studied business theory. In a real business report, you may well refer to such famous business models by name, if using them as part of your analysis of business problems and solutions. You will therefore get some marks for doing the same in your Business Strategy and Technology exam. However, you will not be required to reproduce names and models for the sake of it – the knowledge will need to be applied.	
5	**Positioning versus resource-based views of strategic**	**Approach** Read through the positioning and	To improve an organisation's competitive position,	**IQ2: Apple and the chicken and egg question**

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	advantage This topic considers whether the key to competitive advantage is to adapt the organisation to its environment or to develop internal competences that are hard to copy.	resource-based viewpoints. Be clear on the different characteristics of each approach. **Stop and think** Can you identify any real-life organisations who have adopted a resource-based view of competitive advantage?	you may be required to recommend a different approach to achieving strategic advantage. Use the scenario detail to see whether a resource based or a positioning approach would be more suitable.	This question asks you to consider whether Apple has adopted a resource-based or a positioning approach to strategy development.
6	**Planning horizon** The length of time over which strategy is developed varies depending on the level in the organisation. For example, corporate planning will stretch further into the future than operational planning.	**Approach** Read through the topic to understand the specific influences on planning horizons. **Stop and think** Why does short term planning often take priority over longer term planning? What problems can this lead to?	You may be required to consider planning horizons when advising on improvements to the planning process. Using your understanding of the influences on planning horizons you can advise the organisation on the most suitable approach, taking their circumstances into consideration.	**IQ3: Superware products** This question incorporates topics from all of this chapter and requires application to the scenario. Ensure you write your answer in the briefing note format requested.
7	**Strategy and ethics** Strategy pervades most areas of management. It influences how the organisation is viewed by investors and significant partners such as a supplier or the customer who has a	**Approach** Ethics is studied in detail in the chapter Ethics, sustainability and ESG. At this stage, you only need an awareness of the relationship between strategy and ethics.	Ethics underlies all business decisions and must therefore be taken into consideration when making recommendations in the exam.	
	major contract to award. When developing strategy managers must therefore pay attention to the ethical consequences of their decisions on different stakeholder groups.	**Stop and think** Do you know of any businesses who have adopted unethical strategies? In what ways were the strategies not deemed to be ethical? Which stakeholders were impacted?		

Topic	Practical significance	Study approach	Exam approach	Interactive questions
8	**Strategy, sustainability and ESG** The concept of sustainability is becoming more prevalent in society and organisations are facing increasing scrutiny with regard to their operations. More than ever, organisations need to do what is deemed 'right' so as to promote sustainability, diversity and equality for internal and external stakeholders.	**Approach** Sustainability issues including climate change, cut across all areas of business strategy from risk management to supply chain management. Read this introductory topic to sustainability to understand environmental, social and governance (ESG) issues. **Stop and think** Do you know of any businesses who demonstrate a commitment to sustainability? What strategies have they have adopted? What were the driving forces behind their move towards greater sustainability?	ESG issues are growing in importance when it comes to an organisations' strategic options and decisions. When making recommendations in the exam, consider the impact on sustainability, including climate change, diversity and equality.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 What is strategy?

Section overview

- Strategies are about the long-term development and survival of the business.
- Strategy takes place at several levels ranging from the corporate centre down to strategies for functions such as marketing, human resources and finance.

1.1 Approaches to strategy

There are probably as many different definitions of 'strategy' (or 'corporate strategy') as there are textbooks on the subject.

Definitions

Strategy: 'Is the direction and scope of an organisation over the long term, which achieves advantage for the organisation through its configuration of resources within a changing environment, to meet the needs of markets and to fulfil stakeholder expectations' (Johnson, Scholes, Whittington).

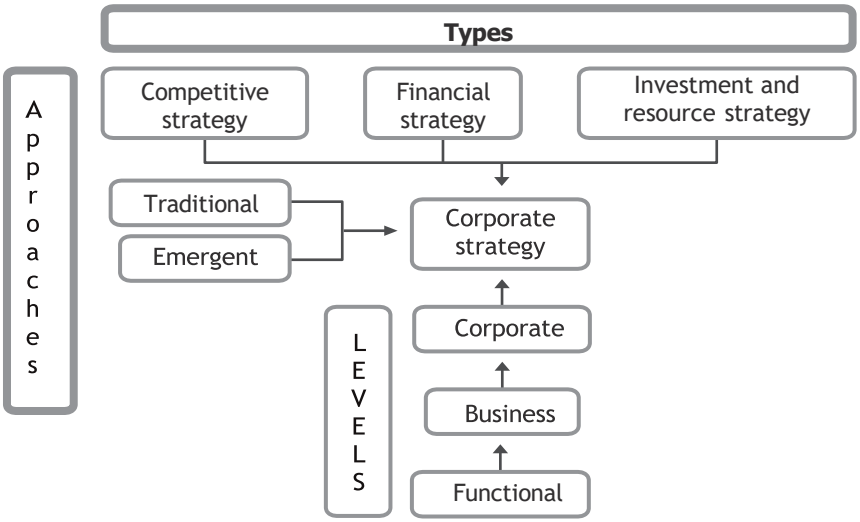
Corporate strategy: 'Is concerned with an organisation's basic direction for the future, its purpose, its ambitions, its resources and how it interacts with the world in which it operates' (Lynch).

From these we can say that strategy is therefore concerned with: the long-term direction (objectives) of the organisation; the environment in which it operates; the resources at its disposal, and managing relationships with stakeholders.

Theories of strategy and of strategic management must be used with caution. They don't apply in all situations and the evidence for them is not always clear cut. Therefore, this text draws attention to the limitations of some to help you decide how far you can apply them in the exam.

This chapter reviews two broad approaches to strategy: the **rational planning (traditional) approach** and the **emergent approach**. It also considers whether an organisation can achieve competitive advantage by orientating its strategy around its external environment (**positioning-based approach**) or around its internal competences (**resource-based approach**).

Figure 2.1: Approaches to strategy



CHAPTER 2

1.2 Levels of strategy

Strategy can exist at several levels in an organisation:

1.2.1 Corporate strategy

Corporate strategy is generally determined at head office/main board level. This covers the business as a whole – its overall mission and objectives, product/market decisions, major investment decisions, financing decisions and relations with external stakeholders.

1.2.2 Business strategy

This normally takes place in strategic business units (SBUs). **Competitive strategy** is normally determined at this level covering such matters as how advantage over competitors can be achieved and marketing issues, such as the marketing mix.



Definitions

Strategic business unit: This is a section, within a larger business, which is responsible for planning, developing, producing and marketing its own products or services for a distinct external market.

Functional (operational) strategies: This refers to the main functions within each SBU, such as production, purchasing, finance, human resources and marketing, and how they deliver effectively the strategies determined at the corporate and business levels.

2 Overview of strategic planning approaches



Section overview

- There is a contrast between the formal rational approach to strategic planning and the emergent approach to the strategy process.
- The rational planning model, originated by Ansoff, involves strategic analysis, strategic choice, implementation of the chosen strategy, then review and control.
- Mintzberg criticises it as a failure in practice and of dubious validity as an explanation of what does and should happen.
- The emergent approach views strategy as continuously and incrementally evolving.
- Many businesses succeed through the actions of the founder or CEO.

2.1 Contrast between rational planning and emergent approach

Rational approach Also called: • Top-down approach • Formal approach • Traditional approach	• Strategy involves setting goals first and then designing strategies to reach them. • Some prediction of the future is possible. • Outcomes of strategic choices can be predicted and controlled. • Possible to separate the planning and selection of strategies from the implementation of strategies.
Emergent approach Also called: • Bottom-up approach	• Builds management team with right strategic skills. • Managers of divisions granted significant autonomy. • Empowerment of managers to develop and adapt strategies as circumstances change and opportunities and threats arise. • Strategic choice and implementation happen concurrently.

2.2 Benefits claimed for strategic planning

The benefits claimed for strategic planning are:

- creating a management process to detect and respond to changes in market and environmental forces and so improve performance;
- providing a framework for SBUs to produce plans with clear, long-term goals thus avoiding short termism;
- enabling derivation of milestones for achievement of goals and monitoring progress by stages;
- mechanism to ensure harmony of objectives, both between SBUs and over time ('goal congruence');
- improving stakeholder perceptions, for example a clear strategy may improve the share price; and
- investing in the planning process develops future management potential and can aid continuity planning.

2.3 Mintzberg's criticisms of strategic planning

Strategic planning has fallen from popularity and has been criticised.

Mintzberg's critique below is amongst the most insightful. Mintzberg argues that planning does not work out in practice.

Problem	Comments
Practical failure	Empirical studies have not proved that **formal planning** processes contribute to success.
Routine and regular	Strategic planning often occurs as an **annual cycle**, but a firm cannot allow itself to wait every year for the month of February (for example) to address its problems.
Reduce initiative	Formal planning discourages **strategic thinking**. Once a plan is locked in place, people are unwilling to question it. Obsession with particular performance indicators means that managers focus on fulfilling the plan rather than concentrating on developments in the environment.
Internal politics	The assumption of 'objectivity' in evaluation ignores political battles between different managers and departments. The model does not describe reality.
Exaggerates power	Managers face limits to the extent to which they can control the behaviour of the organisation. The plans may be ignored by subordinates.
Impractical	The hierarchy of objectives, budgets, strategies and programmes does not reflect the reality of most organisations who prefer simple, easier to apply programmes such as capital budgeting.



Professional skills focus: Concluding, recommending and communicating

When recommending an appropriate strategy development process for an organisation, be it a rational or emergent approach, you should combine your technical knowledge of the benefits and criticisms of planning with evidence from the scenario. The most suitable approach will depend upon the specific circumstances of each organisation.

2.4 The role of the leader or entrepreneur in strategy

Many businesses have been successful through the actions of their founders, chief executives or entrepreneurial individuals within the organisation rather than through formal strategic planning.



Interactive question 1: Famous business leaders

Name some corporations which have been made successful by the business leadership given by a famous individual.

See **Answer** at the end of this chapter.

Entrepreneurs are individuals who build new businesses. An entrepreneur is not just the owner/manager of a small business but is best regarded as a manager who pursues opportunity and drives change to create value.

Entrepreneurship is a style of management, with a particular mix of innovation and risk.

3 A rational (prescriptive) approach to strategy formulation



Section overview

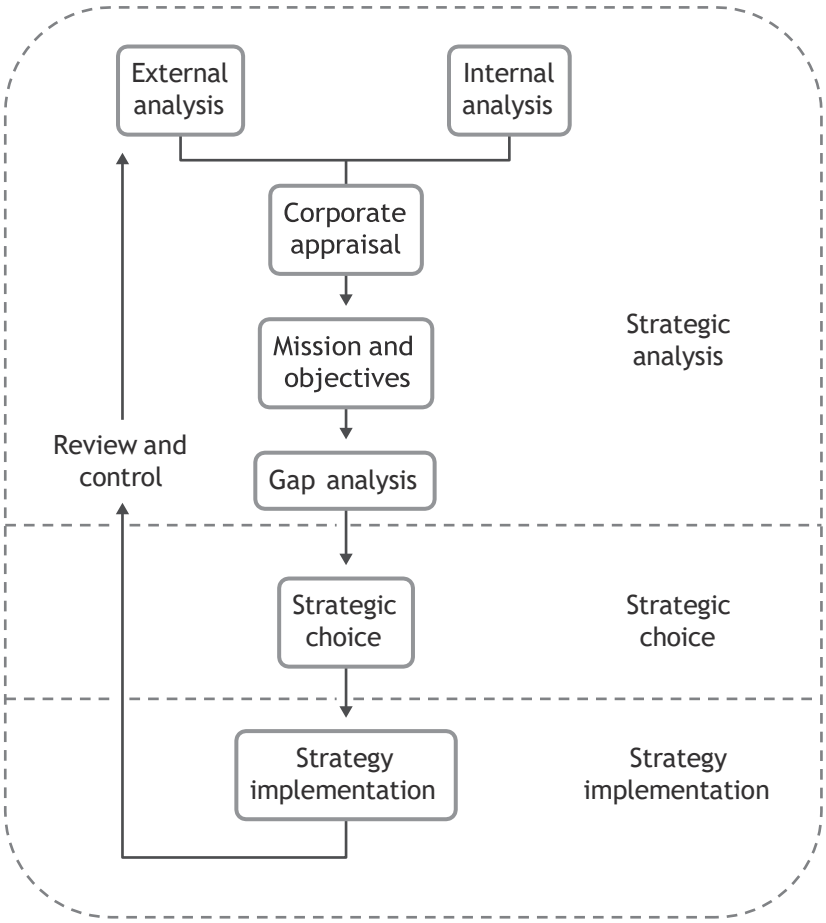
- The rational planning model starts with strategic analysis, which involves internal and external analysis then corporate appraisal. This informs the business's choice of mission, goals and strategic objectives.
- Any resulting gap in where the business wants to be and where it is currently headed is addressed by identifying and evaluating strategic options and selecting the most appropriate.
- Implementing strategies involves planning the appropriate resources and operations, structuring the business effectively and monitoring using appropriate control systems.



Definition

Rational planning model: A prescriptive approach to strategy formulation. There are three main stages to the model: strategic analysis, strategic choice and strategy implementation.

Figure 2.2: The rational planning model



The main stages in the rational approach are as follows:

- **Conduct a corporate appraisal**: This involves assessing both the present business environment and how it may develop over the planning timescale (typically five + years), and the internal position of the business (such as staffing levels, product quality and financial position).
- **Set mission and objectives**: Management will assess whether the long-term interests of the business are best met in its present industry and competing in its present way or whether the business needs to strike out in a new direction. This is called its mission. Objectives will be set for the coming years. The job of strategy is to attain them.
- **Gap analysis**: Involves comparing forecast performance with the strategic objectives set by management. If forecast performance is below the objectives set then this exposes a gap which must be filled by new and better strategy.
- **Strategic choice**: Management generate new business options for the firm, such as new products or markets, and evaluate these to arrive at a set of potentially successful and affordable strategies to help the firm reach the objectives set.
- **Strategy implementation**: Management carries out the strategy at corporate, business and functional levels by developing organisational structures, policies and programmes to carry it out.

The rational planning model (RPM) approach to strategy development is a suitable planning and strategy tool where conditions are stable but the modern businesses environment is increasingly dynamic and unstable. Whilst the RPM still allows us to understand the process of

strategy development, it requires some adaptations to remain useful as a strategic planning tool. For example, to keep pace with rapid changes in the wider business environment, it is essential to be more agile and flexible by building in frequent strategic reviews and shortening the planning timescale. Using tools such as scenario planning at the strategic choice stage would help decision makers to consider a range of possible future strategies to cope with changes in the external environment, such as technological advancements, economic changes or social shifts. In summary, while the RPM provides a systematic framework for strategy development, it must be modified to address the complexities and uncertainties of real-world planning.

4 Deliberate and emergent strategies (Mintzberg)



Section overview

- Mintzberg provides a framework that describes how strategic plans and incrementalism combine in practice to form strategies.
- The key point is to allow managers to craft strategies from events as time progresses.
- The conclusion is that a mixture of a strategic plan and management initiative will provide control but also organisational learning.

4.1 Deliberate and emergent strategies



Definitions

Intended strategies: Are those which are conscious plans imposed by management. If they are implemented, they are referred to as deliberate strategies.

Deliberate strategies: This is the term used to describe those intended strategies which are implemented.

Emergent strategies: Are those behaviours which are adopted and which have a strategic impact. Emergent strategies adapt to human needs and evolve continuously.

Emergent strategies adapt to human needs and evolve continuously. The emergent approach can involve the same degree of strategic analysis as the rational planning approach but the processes of choice and implementation take place together. This is for two reasons:

- **Identity of decision and action**. The managers that create and choose the strategies are also responsible for carrying them out.
- **Learning process**. The choice of strategies interacts with implementation. Rather than having a grand scheme for the next five years management tries something out this year, learns lessons from where it succeeds and fails, and develops new initiatives for next year.

In the emergent approach, objectives and strategies are a result of negotiations and discussion, taking into account the human element of the system. A strategy is tried and developed as it is implemented. Alternative strategies will be tried where it fails.

4.2 Five types of strategy

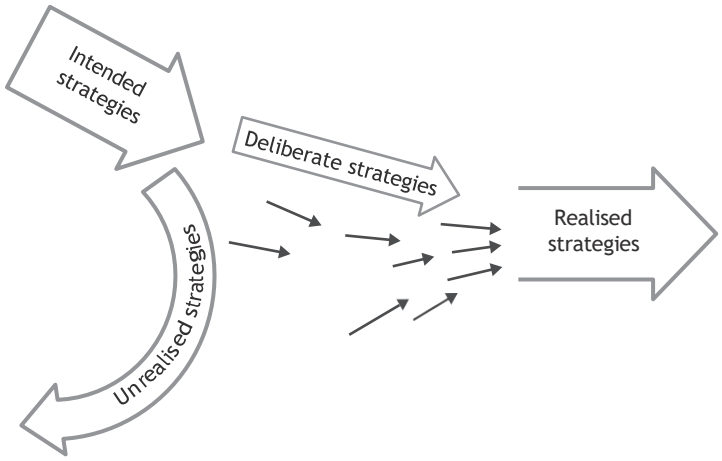
Mintzberg (*The Strategy Process*) identified the following:

- **Intended**: The result of a deliberate planning process

- **Deliberate**: Where the intended plans have been put into action
- **Unrealised**: Not all planned strategies are implemented
- **Emergent**: Strategies are created by force of circumstances
- **Realised**: The final realised strategy results from a balance of forces of the other types of strategies

The interaction of these strategies is illustrated in the following diagram:

Figure 2.3: Mintzberg's strategy process



Strategies must still have **purpose** and this will be set by senior management. No actual strategy will be **wholly deliberate** or **wholly emergent**.

The task of **strategic management** is to control and shape these **emergent strategies** as they **develop**.

5 Positioning versus resource-based views of strategic advantage

Section overview

- Early prescriptions for strategy emphasised that success lay in 'fitting' the organisation to its environment better (eg, satisfying shareholders and customers and staying on the right side of the authorities). This is known as the positioning approach.
- Modern resource-based views emphasise that long-term success lies in organisations, 'playing to their strengths' or **'competences**.'
- For competences to be capable of leading to **superior competitive performance** they must **fit** the present environment, **stretch** the firm to innovate and able to admit **leverage** to gain extra value in new lines of business.

5.1 Positioning view of strategic advantage

A firm or industry faced with the imminent obsolescence of one of its core products must decide whether to orientate strategy around external customer needs or rather orientate strategy around its internal resources and competences. Choosing the first is an example of a positioning approach.

Choosing the second applies the resource-based approach. Characteristics of the positioning approach are:

- A **focus on customer needs** and adapting products, and the process of making them, to any changes in these needs
- The **gaining of a superior position against rivals** through analysis of the industry and marking and adopting strategies to gain relative market share or reduce relative costs
- The **assessment of relations with stakeholders** such as government, shareholders, suppliers and distributors to use better relationships as a source of advantage
- **Seeking to gain preferential access to resources** such as materials, low-cost labour and scarce skills

The significant feature is the belief that successful strategy involves the business **adapting to its environment.**

The positioning view is covered in this text when we consider the work of Michael Porter (notably his five forces model of industries and his three generic competitive strategies) and is further considered in the sections dealing with marketing.

No writer will seriously question the need for successful products and good relations in assisting in making a firm successful from one year to the next. However, the positioning approach has been criticised as inadequate as an approach to sustainable success over decades with particular regard to the following:

- Product life-cycle means particular products will become obsolete so today's successful market position will become a liability in the future.
- Stakeholder groups, such as political parties, will decline in influence so relations with them will not sustain the firm.
- Long-term technological changes will eliminate cost advantages or technical superiority of a given product.

Perpetual change of the organisation's skills base and products will be disruptive and eventually leads the firm into fields in which it has little expertise.

5.2 Resource-based view of competitive advantage

Technological changes can destroy industries:

- Downloads damage CD and DVD manufacturers, distributors and retailers.
- Electronic methods of communication such as Facebook, instant messaging, email and text messages sent from mobile devices have threatened the traditional postal system.
- Genetic modification of organisms can compromise the pesticide and pharmaceutical industries.

The **resource-based view** is an **inside-out** view of strategy. Firms do not look for strategies external to them. They develop or acquire resources and **competences**, create new markets and exploit them.

Johnson, Scholes and Whittington say successful strategies require **strategic capability**. Resources and competences are needed for the successful execution of defined strategies.

Fit	Resources must be available to fit with the current product-market demands and current needs.
Stretch	This means being at the leading/shaping edge of new strategic developments in the industry. This suggests that the organisation's ambitions cannot be met with current resources and competences. Ambition should outpace resources.
Leverage	Existing resources are used in many different ways, so that extra value is extracted from them.

Creation of new markets

A fundamental point made by Prahalad and Hamel (*Competing for the Future*) is that markets are not 'given.' They can be created by corporate action. Companies do not merely 'satisfy' customer needs: they 'create' them.

Professional skills focus: Assimilating and using information

To understand whether an organisation is adopting a positioning or resource based view, look for evidence in the scenario of whether the strategy fills a gap in the market (positioning) or exploits organisational strengths (resource based).

Interactive question 2: Apple and the chicken and egg question

Apple is often cited as an example of a firm that creates industries through leverage of core competences in technological innovation and design of mobile devices.

This has created markets such as:

- Personal audio – through its portable iPod MP3 player enabling users to download the latest music via Apple iTunes.
- Personal computers – via the original Apple Macintosh 128K which, at the time of its release, revolutionised the computing industry by becoming the first mass-market PC. The evolution of Apple's computing division has led to the introduction of tablet computers, eg, iPad.
- Mobile phones – Apple's first iPhone helped to raise the bar in the standard of mobile technologies, heralding the introduction of a new generation of devices. Users are able to synchronise and connect Apple devices to one another due to the products' innovative design.

Requirement

Was it these technologies that built a whole new industry, or was the industry already there?

See **Answer** at the end of this chapter.

5.3 Comparison of positioning and resource-based views

According to the **resource-based view** of strategy the role of resources is **more than simply to execute** strategies determined by desired positions in product markets. Rather, the focus of the strategist should be on **resources and competences**. These are **assets** for the long term. Such a combination of resources and competences takes years to develop and can be hard to copy.

Some of the implications are explained in the following table:

Factor	Positioning-based view	Resource-based view
Profitability	Industry profitability determined by the five competitive forces. Position of a company in the industry determines its profitability.	Corporate profitability is based on sustainable competitive advantage achieved from the exploitation of unique resources.
Approach	Outside-in – ie, consider outside environment and markets then the company's ability to trade in these conditions.	Inside-out – consider key resources first, then how to exploit competitive advantage in available markets.
Diversity	Maintain diversified portfolio of products (see BCG matrix) to spread risk and generate cash in changing market conditions.	Focus only on products where company has a sustainable competitive advantage.
Key focus	Industry orientation and positioning in the market.	Focus on core competences which competitors do not possess and will find difficult to copy.

6 Planning horizon



Section overview

- Strategic management and strategic planning are often distinguished from operational issues by the length of time concerned: the horizon.
- Most managers have the need to deliver short-term results which can take priority over longer term strategic development of the business.
- The pressure for shorter term results and shorter planning horizons can come from the ownership of the organisation, its capital structure, the industry it is in, its environment and the nature of its management.

6.1 Short-, medium- and long-term planning

There terms are often used but remain ill-defined. A rule of thumb is:

- Short term: Horizon of 1–3 years
- Medium term: Horizon of 3–10 years
- Long term: 10+ years

6.2 Short run/long run trade off

Managers and businesses are frequently evaluated on short term successes such as profits. Strategic thinking requires that managers consider the long-term growth and survival of the business.

Therefore, management is required to balance short- and long-term considerations.

6.3 Influences on planning horizons

- **Nature of ownership**

  Firms with shareholders are obliged to ensure some financial return each year to their shareholders. Making sufficient profits each year will normally be needed to promote shareholder value. State-owned organisations do not have this obligation (but they will have different ownership issues to contend with, such as the changing nature of political agendas, different governments' attitudes to funding and state control).

- **Capital structure**

  Some investors, such as banks or private equity investors (sometimes called venture capitalists) do not require short term profits. Banks will continue to lend providing assets cover the loans and interest is paid. Private equity investors require profits and share values to grow over a 5–10 year period to give them a substantial capital gain when they sell their holding.

- **Nature of industry**

  Industries such as aircraft development, satellite communications and oil pipelines require large capital investments that take a long time to build and to pay back. Long-term plans are essential to justify these.

- **Nature of business environment**

  In rapidly changing environments it is likely that long-term planning may be futile. For example, industries such as bio-technology, home entertainment and mobile communications, where effects of technology and legislation are hard to predict, will tend to avoid plans and instead adopt a strategic management approach within a series of short-term plans.

- **Nature of management**

  Long-term planning is a skill and it is time consuming. Some entrepreneurial managers will avoid it, for example because they lack the time or skill, or because they are unwilling to become 'tied down by red tape.' Others, for example the management of family firms, are reluctant to consider changing the 'way it has always been done.'



Professional skills focus: Structuring problems and solutions

When assessing how to improve the planning process, an organisation needs to consider a range of business and industry specific influences. There is no single best way to plan strategy and the approach adopted will vary between companies and industries.



Interactive question 3: Superware products

Superware Products Ltd (Superware) was formed five years ago, in 20X4, by three colleagues who had left a major software house to work on the development of accounting software for small businesses. Superware currently (20X9) employs 18 staff at the company's head office in Swindon, and a further eight regionally-based salespeople in various parts of the UK.

Company structure

The three directors of Superware are Paul Shaw (Managing), Sanjeet Kamath (Sales) and Claire Barker (Development). They each have a small team reporting directly to them and they meet on a daily basis if they are in the office, to discuss the business and to brainstorm a little over coffee. All three directors come from a background of software sales to small and medium-sized organisations. Claire is responsible for six product development staff and two

administrators. Their staff work full time on developing and upgrading the Superware product, and meet regularly with the sales staff to get feedback from customers and users. In addition to the eight salespeople, Sanjeet has two sales administrators and a secretary working for them. The sales staff meet at head office on a weekly basis and the administrators work closely with the financial accountant. Paul takes responsibility for the remaining staff who perform general administration, reception and clerical tasks. Paul's only specialist staff member is Zandra who, with their assistant, maintains a high level of control over the company's financial reporting and accounts.

Planning and control

Once a year the directors, under the guidance of Paul and with assistance from Zandra, agree a full budget for the next 12 months. The budget is always based on the previous year's performance, with adjustments for known changes such as inflation, costs and forecasts of demand from sales staff feedback. During the discussion of the budget Zandra calculates various ratios to illustrate trends in the company's profitability and liquidity, and the budget is normally adjusted to ensure that trends are as desired. When the budget is agreed, a copy is sent to the bank for its records.

Each month throughout the year, Zandra produces a management report which shows performance against budget for every cost and revenue heading. This report, together with a commentary written by Paul, is sent to each director and they pass copies to their key staff after removing any sensitive information. Four times each year the remaining periods are reforecast and the adjusted end-of-year position (or out-turn) is also compared with the budgeted position. Paul writes an additional commentary in these months which identifies key actions to bring performance back to budget.

The current position

The directors are presently involved in finalising the budget for 20X9 and are concerned that the process of budgeting is becoming increasingly meaningless. The results for 20X8 show a significant shortfall in both revenue and profitability against both the budget and third quarter out-turn for the year, yet Paul is still insisting that the 20X9 budget should be the 20X8 budget uplifted for inflation and known changes. During the 20X9 audit Zandra mentioned the directors' concerns to the audit manager who suggested that you, as a recently qualified member of the audit team with an interest in strategic planning, might be able to advise the company on how to proceed. The directors have agreed that this would be useful, and have arranged a meeting at which you can meet them and discuss the role of planning within Superware.

Requirements

Prepare briefing notes to present at a meeting with the directors of Superware at which you will be expected to discuss the following:

(a) The current planning process

(b) Weaknesses of the current planning process

(c) Recommendations for improvement of the planning process. (Recommendations should be clearly justified.)

See **Answer** at the end of this chapter.

7 Strategy and ethics

Section overview

- The desire by management to act ethically affects the scope of strategies adopted but also requires that management keep an eye on the ethical consequences of its operations.

7.1 Impact of ethics on strategy

Ethics impacts at several points in the strategy process:

- In the **formulation of strategic objectives**. Some firms will not consider lines of business for ethical reasons.
- External appraisal will need to consider the **ethical climate in which the firm operates**. This will raise expectations of its behaviour.
- **Internal appraisal**: Management should consider whether present operations are 'sustainable', ie, consistent with present and future ethical expectations.
- **Strategy selection**: Management should consider the ethical implication of proposed strategies before selecting and implementing them.

Ethics and environmental, social and governance (ESG) will be covered in more detail in the chapter, 'Ethics, sustainability and ESG.'

Professional skills focus: Applying judgement

When developing strategy, judgement should be applied to assess the impact on stakeholders. For example, whilst strategy development is likely to benefit shareholders, this should not be at the expense of the environment.

8 Strategy, sustainability and ESG

Definitions

Impacts: Impacts consider how the decisions an organisation makes or its actions either positively or negatively affect environmental, societal and governance issues. Examples include worker rights, human rights, health-and-safety policy, waste, greenhouse gas (GHG) emissions, water usage, land usage and biodiversity.

Dependencies: Consider how the current and future environmental, social and governance issues can affect the organisation's ability to create and maintain value. Examples which may affect an organisation are worker health, workplace diversity, climatic conditions, resource availability, regulation, consumer expectations, other stakeholder expectations and risks to organisational reputation.

Globally, there is much greater awareness of the impact an organisation's operations can have on the environment and sustainability issues, as well as the affect that climate change has on the activities and profitability of organisations. As scrutiny over company operations increases, stakeholders are requiring companies to take action and disclose activities that have an impact on the environment, and sustainability issues. Companies are also expected to disclose any dependencies, affecting the organisation's ability to create and maintain value. In response to

these impacts and dependencies, organisations are developing new strategies to meet sustainability goals.

Environmental, social and governance (ESG) objectives are becoming a key part of organisational strategies enabling companies to implement new ways of working in their product delivery, supply chain and operations. Demonstrating a commitment to sustainability and responsible business practices helps an organisation to attract customers, build positive relationships with suppliers, attract and retain high calibre employees and demonstrate to shareholders their ability to deliver reliable returns.

According to the Principles for Responsible Investment (PRI), a United Nations-supported international network of investors, ESG issues faced by organisations can be defined as follows:

- Environmental: Issues relating to the quality and functioning of the natural environment and natural systems. These include: biodiversity loss; greenhouse gas (GHG) emissions, climate change, renewable energy, energy efficiency, air, water or resource depletion or pollution, waste management, stratospheric ozone depletion, changes in land use, ocean acidification and changes to the nitrogen and phosphorus cycles.
- Social: Issues relating to the rights, well-being and interests of people and communities. These include: human rights, labour standards in the supply chain, child, slave and bonded labour, workplace health and safety, freedom of association and freedom of expression, human capital management and employee relations; diversity; relations with local communities, activities in conflict zones, health and access to medicine, HIV/AIDS, consumer protection; and controversial weapons.
- Governance: Issues relating to the governance of companies and other investee entities. In the listed equity context these include: board structure, size, diversity, skills and independence, executive pay, shareholder rights, stakeholder interaction, disclosure of information, business ethics, bribery and corruption, internal controls and risk management, and, in general, issues dealing with the relationship between a company's management, its board, its shareholders and its other stakeholders. This category may also include matters of business strategy.

  (**Source**: https://www.unpri.org/Uploads/x/l/q/maindefinitionstoprireportingframework_971173.pdf)

As a matter of strategy, the assessment of business initiatives should take account of environmental, social and economic impacts. Conversely, the impact of business initiatives on the environment, society and the economy also needs to be considered. Enhancing sustainability is an essential part of running a good business and the impacts of each dimension need to be managed in an integrated way so that social, environmental and economic decisions contribute to the development of the business in delivering long-term benefits. Directors need to consider the impact of the organisation's operations, policies, products and procurement practices on the environment and on social and community issues, including impacts of its operations on the communities affected.



Context example: UN Sustainable Development Goals

In 2015, all United Nations Member States adopted the 2030 Agenda for Sustainable Development which outlines seventeen Sustainable Development Goals (SDGs). These goals encourage an end to poverty and deprivation whilst tackling climate change and protecting our planet.

The Agenda recognises that whilst all member governments can determine their own economic and social development programmes, governments maintain a responsibility to ensure the seventeen goals are met. The SDGs will likely act as a guide in the development of national sustainability policy and legislation. It is therefore important that businesses play their part, as a corporate citizen, in achieving the seventeen SDGs.

The SDGs are often referenced in company annual reports to contextualise the organisation's approach to developing an effective sustainability strategy. The SDGs can also be useful to help companies identify any gaps in their sustainability policy. The seventeen SDGs are set out below:

Goal	Description
(1) No poverty	End poverty in all its forms, everywhere.
(2) Zero hunger	End hunger, achieve food security and improved nutrition and promote sustainable agriculture.
(3) Good health and well-being for all	Ensure healthy lives and promote well-being for all at all ages.
(4) Quality education	Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all.
(5) Gender equality	Achieve gender equality and empower all women and girls.
(6) Clean water and sanitation	Ensure availability and sustainable management of water and sanitation for all.
(7) Affordable and clean energy	Ensure access to affordable, reliable, sustainable and modern energy for all.
(8) Decent work and economic growth	Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all.
(9) Industry, innovation and infrastructure	Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation.
(10) Reduced inequality	Reduce inequality within and among countries.
(11) Sustainable cities and communities	Make cities and human settlements inclusive, safe, resilient and sustainable.
(12) Responsible consumption and production	Ensure sustainable consumption and production patterns.
(13) Climate action	Take urgent action to combat climate change and its impacts.
(14) Protect and conserve water- based ecosystems	Conserve and sustainably use the oceans, seas and marine resources for sustainable development.
(15) Protect and conserve land-based ecosystems	Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, halt and reverse land degradation and halt biodiversity loss.
(16) Peace, justice and strong institutions	Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels.
(17) Strengthen partnerships	Strengthen the means of implementation and revitalise the global partnership for sustainable development.

(**Source**: United Nations (n.d) *The 17 Goals*. [Online] Available from: https://sdgs.un.org/goals)

8.1 Sustainability and business

8.1.1 Impact of business activity on the environment

Business activity can harm the wider environment in many ways. Although climate is the most prominent area of risk, it is important to look beyond climate change to address other sustainability issues. Below are some common examples:

- Emission of greenhouse gases during the production process. This can be reduced by more efficient technology and the use of filters.
- Manufacturing products or using packaging that is made from non-sustainable materials (eg single-use plastic which cannot be reused or recycled). The effect of this can be reduced by switching to the use of reusable materials.
- Use of fossil fuels for heating. The effect of this can be reduced by effective insulation, but using renewable sources of energy such as solar and wind power are a more effective means of reducing environmental damage.
- Transporting goods in petrol-and-diesel-powered trucks can be reduced by using electric vehicles.
- Sending waste to landfill sites increases carbon emissions because methane is produced.
- Deforestation in a company's supply chain impacts on biodiversity.

8.1.2 Impact of sustainability and climate issues on organisations

Sustainability and climate change issues impact organisations in a number of ways, including the following:

- Extreme weather such as floods and storms can lead to disruption of organisation's operations and damage to assets, or in extreme cases can threaten the safety of employees.
- The changing regulatory environment brings additional costs to organisations in terms of compliance with stricter regulations, reporting and fines for failure to comply.
- Reputational damage for organisations that are not striving to act in a sustainable manner. This can lead to loss of sales or even disruption of operations by activist groups.
- Impact on raw material availability and prices. For example, a decline in the population of pollinators, such as bees, impacts upon the diversity and availability of plant species in our food chain.
- Increased monitoring costs as stakeholders' awareness of social issues, such as modern slavery, increases.

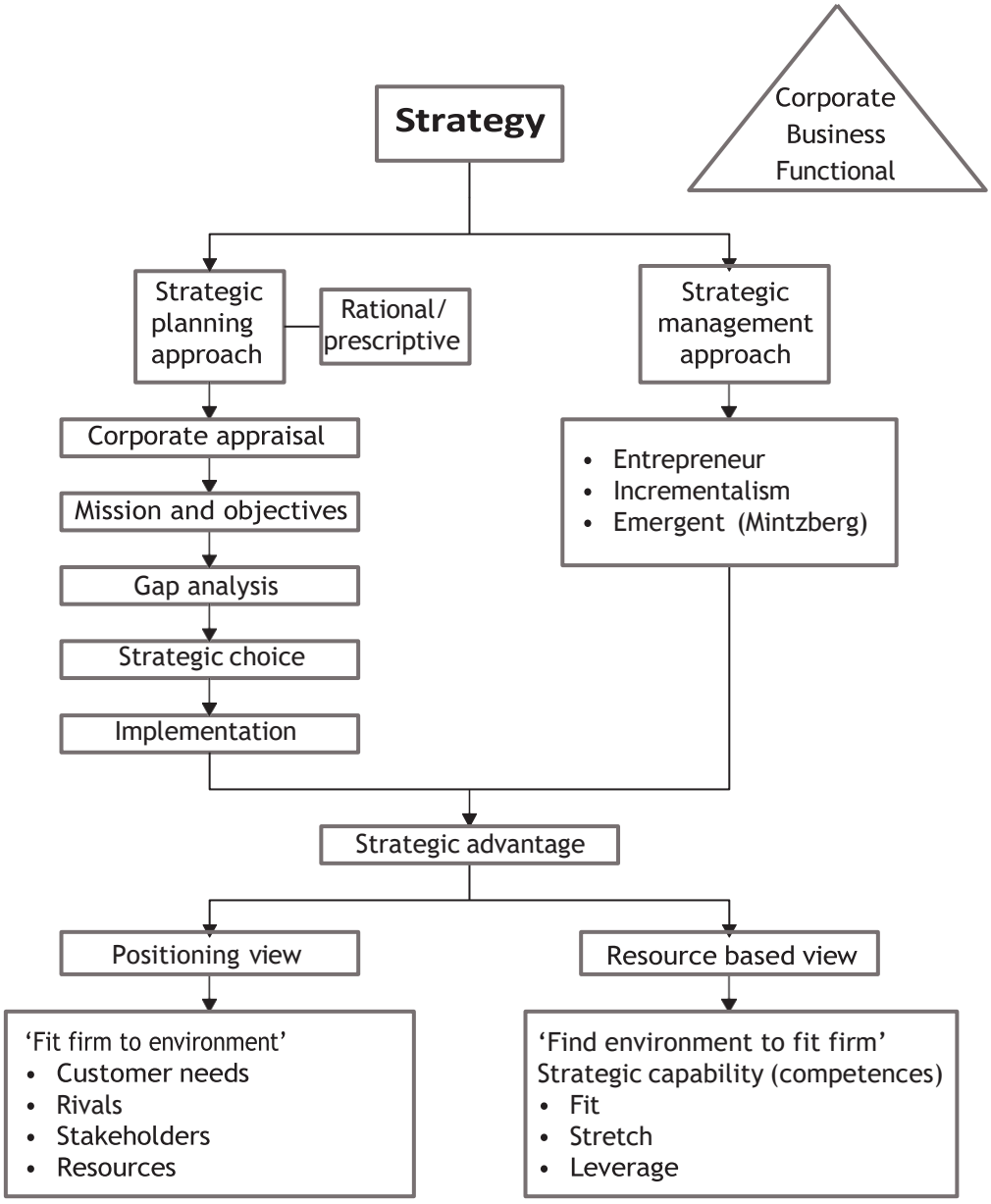
8.1.3 Accountants' role in sustainability and climate change solutions

The approach to managing climate change and sustainability taken by business and accountants is two-pronged. Firstly, regulation and intervention, such as mandatory reporting requirements, force companies to take a more proactive stance with regard to sustainability and climate change issues. Governments are beginning to use a range of laws and regulations to encourage businesses to act in a more sustainable manner. Accountants have key roles here in respect of information flows and compliance (eg, audit, reporting, taxation and grants).

Secondly, market forces and pressure from customers, suppliers and the media will determine how a business develops its strategy and manages sustainability. For example, when formulating strategy directors will need to consider the environmental, social and economic impacts of the business' operations. In supporting businesses, accountants have a key role to play around governance, strategy, assurance and risk management and how the finance function develops metrics and targets that relate to these.

Sustainability and climate change will also be examined in the chapters, 'Strategy and structure,' 'Risk management,' 'Evaluating and analysing performance,' 'Business planning and functional strategies' and 'Ethics, sustainability and ESG.'

Summary


Strategy
Corporate
Business
Functional
Strategic planning approach
Rational/ prescriptive
Strategic management approach
Corporate appraisal
Mission and objectives
Gap analysis
Strategic choice
Implementation
• Entrepreneur
• Incrementalism
• Emergent (Mintzberg)
Strategic advantage
Positioning view
Resource based view
'Fit firm to environment'
• Customer needs
• Rivals
• Stakeholders
• Resources
'Find environment to fit firm'
Strategic capability (competences)
• Fit
• Stretch
• Leverage

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Can you compare and contrast rational and emergent approaches to strategy? (Topic 2)
(2)	Do you know the stages involved in planning strategy using the rational planning model? (Topic 3)
(3)	Can you explain the five types of strategy in Mintzberg's emergent approach? (Topic 4)
(4)	Do you understand the difference between a positioning and a resource-based view of strategic advantage? (Topic 5)
(5)	Can you explain the main influences on planning horizons? (Topic 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
1	This question encourages you to identify the different levels of strategy within an organisation.
2	The rational model of strategic planning is one of the most recognised strategy planning models. Ensure you know the stages involved.
3	Mintzberg's emergent approach provides an alternative to the rational planning model enabling you to critique the rational model.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Solap Ltd (Mar 2020)	This question examines whether the business should implement a new strategy and which target market, either individual customers or business customers, would be a better strategic fit.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 For each of the following issues facing an airline, identify the appropriate level of strategy:
   (a) The decision whether to use permanent or contract staff to work as ground crew
   (b) The decision whether to develop a no-frills alternative airline to existing full-service airline
   (c) Buying aviation fuel futures to hedge against rising fuel costs

2 List stages in the rational model of strategic planning.

3 List the five types of strategy identified by Mintzberg.

4 Define 'fit,' 'stretch' and 'leverage' as used by Johnson, Scholes and Whittington.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Mittal Steel	Lakshmi Mittal
Facebook	Mark Zuckerberg
Berkshire Hathaway	Warren Buffett
Far Eastern Group	Douglas Hsu
Tesco	Sir Terry Leahy
Bodyshop	Anita Roddick
Ryanair	Michael O'Leary
Dell	Michael Dell
Tata Group	Ratan N Tata
Amazon	Jeff Bezos
Virgin Group	Richard Branson
Apple	Steve Jobs
Microsoft	Bill Gates
Sony	Akio Morita
Bannatyne's Health Clubs	Duncan Bannatyne
Amstrad	Alan Sugar
Huffington Post	Arianna Huffington
Ford	Henry Ford

Answer to Interactive question 2

Like the chicken and egg question, this cannot be answered.

- Apple provided a new way to make sales by fulfilling some of the same needs that had previously been satisfied by existing mobile phones and portable music players, books and magazines, conventional television programming and personal conversation. So, in a sense, these needs were already there and were being supplied by different industries.
- The value extracted from the needs through sales of personal computers and portable devices and the creation of a range of associated products, helped the mobile devices industry grow exponentially.

Answer to Interactive question 3

To: The directors

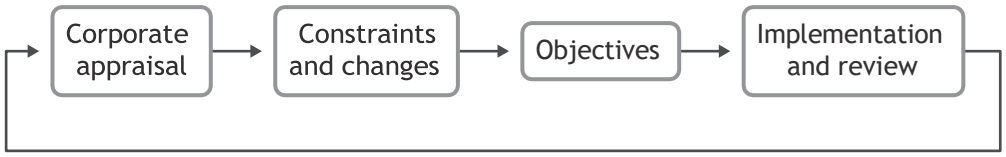
From: The auditor

Date: Today

Subject: The strategic planning process of Superware Products Ltd

(a) **Current planning process**

Currently, the planning process in Superware can be illustrated by use of the following model:



(b) **Weaknesses**

This model is commonly used in smaller organisations, and until 20X8 was perfectly suitable for the purposes of Superware. However, such an 'incremental' model, combined with a 'budget- constrained' management style such as that practised by Paul, does have some weaknesses in a dynamic environment such as the IT industry. These weaknesses, as illustrated by Superware, are as follows.

The use of corporate appraisal at the first stage tends to lead to a blinkered view of strategy, which will necessarily focus on the current products and markets of the company.

The lack of environmental analysis throughout the strategy process, with the exception of known economic changes as a constraint to business, leads to opportunities and threats not being considered until too late.

An incremental approach which led, particularly in 20X8, to an optimistic plan being formalised which was possibly not achievable.

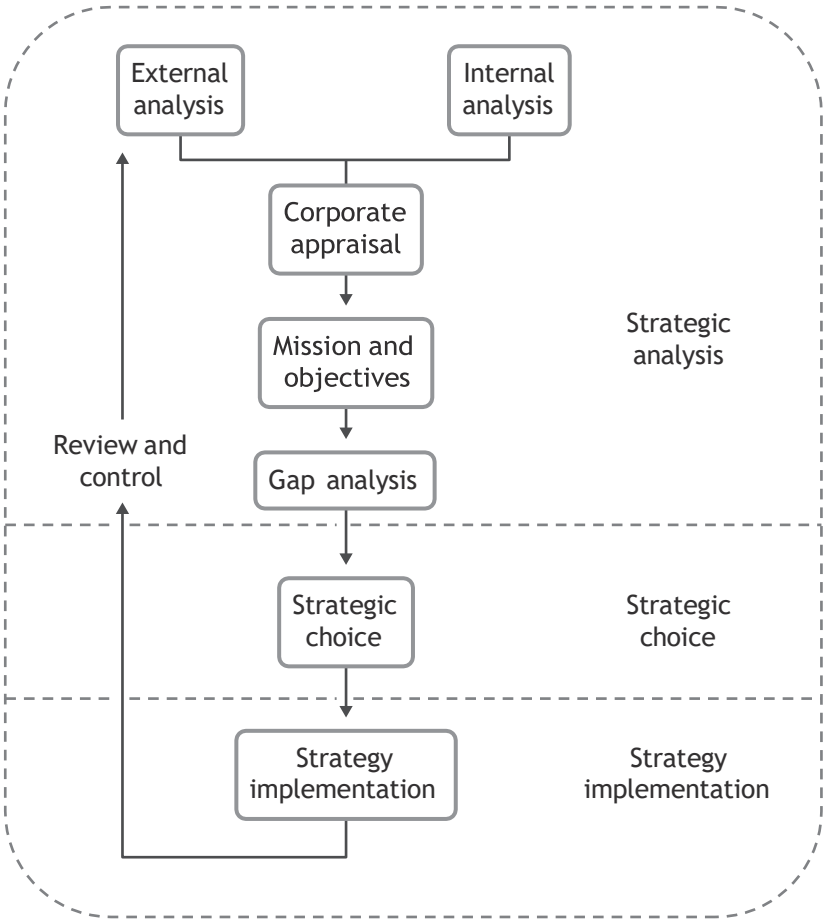
The modification of plans to meet personal objectives of the directors, regardless of the achievability of those objectives.

The short-term nature of the process, concentrating on a 12-month planning horizon, will tend to give a distorted view of the future and lead to a lack of direction and consistency in the goals communicated to managers and staff.

Having said all this, the process does have one significant strength in that the focus on implementation and review is very thorough, particularly in the revision of out-turns and the targeting of performance improvements.

(c) **Recommended modifications**

It is recommended that the company modify the planning process in line with the following model:



The detailed content and major changes from the current process are explained as follows.

External environmental analysis is a formal analysis of the context in which the company does business. It may well include studies of market size, customer needs, competitor behaviour and changes in technology. Such a study should concentrate on major changes which will affect Superware either as opportunities or threats.

Examples of such changes might include an emerging customer need for a tax module to cope with pay and file, demand for an alternative platform such as UNIX, or an opportunity to launch a totally new product line to meet unsatisfied demand.

Internal analysis of the organisation will identify the current strengths and weaknesses, not merely in terms of the financial performance but also some of the qualitative aspects.

Examples might include the organisation and resources of the company. Corporate appraisal summarised by SWOT.

Objectives should be agreed, taking into account the requirements of all interested parties, which are perceived as achievable by the managers and staff. Objectives should also take into account the risks and opportunities identified as a result of the environmental analysis.

Strategies can then be formulated, based on all the previous stages, to achieve the company objectives, protect against threats and exploit opportunities.

Examples of such strategies might be product or market development, or even diversification into, for example, management software for doctors or schools.

Implementation and review of strategy should still take place as currently, but as part of the implementation phase it will be necessary to re-evaluate the organisation structure and such tactical issues as investment.

The time horizon for the planning process should be extended to give better strategic visibility and to introduce some consistency between years. Due to the volatile nature of the IT industry, it is probably unnecessary to plan more than three years in advance.

Although the changes outlined seem a radical departure from the process currently carried out in Superware, the benefits in terms of business performance should be significant.

Answers to Self-test questions

1 The appropriate level of strategy:

(a) Functional strategy – concerns HRM

(b) Corporate strategy – affects shape and scope of business

(c) Functional strategy – financial strategy to hedge risk

2 The stages are:

(1) Corporate appraisal

(2) Mission and objectives

(3) Gap analysis

(4) Strategic choice

(5) Strategic implementation

3 The five types of strategy are:

(1) Intended strategy

(2) Deliberate strategy

(3) Unrealised strategy

(4) Emergent strategy

(5) Realised strategy

4 **Fit** – resources able to support current product-market demands and needs

Stretch – firm should have resources at cutting edge of the industry or should seek to acquire them

Leverage – resources can be used in many ways

Chapter 3

The purpose of an organisation

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 The concept of mission

2 Organisational goals and objectives

3 Stakeholder goals and objectives

4 Not-for-profit organisations

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Evaluate an organisation's purpose, in terms of its stated mission, objectives and critical success factors, highlighting omissions, inconsistencies and weaknesses, and considering the different objectives of stakeholders.

Syllabus links

Some coverage of stakeholders and their interests, and the nature and desirable qualities of business objectives, was given in your Business, Technology and Finance studies.

Examination context

In the exam, you may be required to create a mission statement for a given organisation or to identify the inconsistencies and omissions in an existing one. You may also be asked to suggest appropriate goals and objectives. This will involve balancing the needs of different stakeholder groups, identifying possible conflicts of interest and recognising the priorities for the organisation. One of the scenarios in the exam may feature a not-for-profit organisation so you must understand the particular issues such organisations face when determining objectives and strategy.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**The concept of mission** The purpose of an organisation may be communicated to stakeholders via a mission statement.	**Approach** Work through Topic 1 quickly, focusing on the elements of a mission. **Stop and think** In what ways is it helpful for an organisation to develop a mission statement? What criticisms could be levelled at mission statements?	You may be required to create a mission statement for a given organisation or to identify the inconsistencies and omissions in an existing one.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
2	**Organisational goals and objectives** The practice of accountancy grew from the need for the users of capital to be accountable to the owners of the capital. Therefore, the goals and interests of organisations had to be aligned with the owners' goals.	**Approach** Understand the primary aim of profit seeking organisations. Also ensure you understand why simplistic notions of profit maximisation are inadequate explanations of the economic goals of commercial organisations. **Stop and think** Assuming that businesses are in business to make money, is that a clear enough aim on which to base a strategy?	You may be asked to suggest appropriate goals and objectives for an organisation.	**IQ1: Gooseberry farm** This example requires you to draft a suitable mission statement and set of objectives for a golf club. The question requires application of knowledge to the scenario.
3	**Stakeholder goals and objectives** Today's organisations need to be accountable, in varying degrees, to stakeholders. The interests of these stakeholders set the goals and parameters of organisational strategy.	**Approach** Understand the different stakeholder groups and the ways we can categorise them. In particular, the stakeholder mapping model using power and interest (Mendelow) is particularly important for the exam. **Stop and think** How might a firm which provides social networking services, like Facebook, differ from a traditional manufacturing organisation?	You may be asked to suggest goals and objectives. This will involve balancing the needs of different stakeholder groups, identifying possible conflicts of interest and recognising which stakeholders should be prioritised.	**IQ2: Supavac** This question enables you to rehearse Mendelow's power-interest matrix by categorising four stakeholders discussed in the scenario.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Not-for-profit organisations** The number of not-for-profit organisations potentially outweighs profit seeking ones so it is important to understand the difference in goals and objectives.	**Approach** This is a short but important topic so read it carefully. **Stop and think** What sort of organisations are classed as not-for-profit?	One of the scenarios in the exam may feature a not-for-profit organisation so you must understand the particular issues such organisations face when determining objectives and strategy.	**IQ3: Foundry Theatre** This question focuses on how conflicting objectives can be prioritised in a not-for-profit organisation.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 The concept of mission

Section overview

- The purpose of an organisation may be communicated in a mission statement. The role and value of such statements has been a matter of debate.

1.1 Mission statements

Definition

Mission: The values and expectations of those who most strongly influence strategy about the scope and posture of the organisation (Johnson, Scholes and Whittington).

Johnson, Scholes and Whittington have suggested that 'the mission of an organisation is the most generalised type of objective and can be thought of as an expression of its *raison d'être*' (reason for existing).

1.2 Elements of mission

The Ashridge College model of mission (Campbell et al, *A Sense of Mission*, 1992) links business strategy to culture and ethics by including four separate elements in an explanation of the **features of a successful mission**.

- **Purpose**: Why does the organisation exist? Who does it exist for?
  - To create wealth for shareholders who take priority over all other stakeholders?
  - To satisfy the needs of all stakeholders, including employees, for example?
  - To reach some higher goal such as the advancement of society?
  - To alleviate the poverty of the needy?
- **Strategy**: The competitive position and distinctive competence of the organisation
- **Policies and standards of behaviour**: The policies and behavioural patterns underpinning its work
- **Values**: What the company believes in, which is replicated in employees' personal values

1.3 The importance of mission to corporate strategy

The role of mission in strategy is determined by the approach to strategy formulation:

- **Rational approach:** Mission is the starting-point of strategy formulation. It is the basis on which strategic objectives are set. Any strategy developed must be shown to be consistent with the mission before it is adopted. The culture and values of the organisation must be moulded to serve the strategy.
- **Emergent approach:** Mission is embedded in the culture of the organisation and used to generate strategic initiatives.

The authors of the Ashridge model claim their model suits either view because, regardless of whether strategy is formulated bottom-up or top-down, all four elements will have to be in place and congruent if the strategy is to be fully successful.

1.4 Mission statements

Mission statements are formal documents that state the organisation's mission. There is no standard format, but the four element Ashridge model of mission is a good basis for writing a mission statement.

Mission statements are published within organisations to promote desired behaviour: support for strategy and purpose, adherence to values and adoption of policies and standards of behaviour.

Benefits claimed for mission statements are that they:

- provide a basis for the control of organisations, ie, managerial and operational goals can be set on the basis of them;
- communicate the nature of the organisation to stakeholders; and
- help to instil core values in the organisation.

Some commentators are suspicious of mission statements:

- They are often **public relations** exercises rather than an accurate portrayal of the firm's actual values.
- They can often be full of **generalisations** from which it is impossible to tie down specific strategic implications or develop meaningful strategic objectives.
- They may be ignored by the people responsible for formulating or implementing strategy.

2 Organisational goals and objectives



Section overview

- We assume that the primary aim of profit seeking organisations is to increase the wealth of their owners.
- However, in practice, it seems likely that other factors may force management to offset profitability goals against other objectives.
- Not-for-profit organisations are likely to have multiple aims, reflecting a wider group of stakeholders.

2.1 Purpose of the organisation

A basic division of organisational purpose is:



Definitions

Profit seeking organisations: The **primary goal** for such organisations is the delivery of economic value to the owners, ie, to increase shareholder wealth. Goals such as satisfying customers, building market share, cutting costs, and demonstrating commitment to ESG are **secondary goals** which enable economic value to be delivered.

Not-for-profit organisations: The **primary goals** of such organisations are **non-financial** and can vary enormously. Goals often include meeting members' needs, contributing to social well-being and pressing for political and social change. Secondary goals will include the economic goal of not going bankrupt and, in some cases, generating a financial surplus to invest in research or give to the needy.

Often, the goals of NFP organisations will reflect the need to maximise the benefit derived from limited resources, such as funds. Their objectives may be more heavily influenced by external stakeholders such as the government.

2.2 Shareholder value maximisation

The simple assumption is that profit-seeking organisations seek to maximise shareholder value. The concept of shareholder wealth maximisation is relied on in several ways:

- As a decision-making criterion: Techniques such as NPV and IRR assume this to be the goal.
- As a criterion to evaluate divisional managers: Using performance measures such as return on capital employed (ROCE) or sometimes return on investment (ROI) which should exceed cost of capital and rise from year to year.
- As the basis for financial incentives for managers: Bonuses may be based on improvements in the ROCE, earnings per share (EPS) or share price from year to year.
- As a benchmark against which to evaluate the board: Investment analysts and 'active value' investors use shareholder value measures to evaluate corporate performance and some newspapers publish league tables to name and shame underperforming boards.

2.3 Limitations of shareholder value assumption

Shareholder wealth maximisation may not be an accurate **description** of managerial behaviour and decisions because:

- **Corporate governance is too weak** to give shareholders sufficient information or influence to ensure management maximise shareholder wealth rather than, say, their own emoluments.
- **It ignores the non-financial goals of shareholders**: Family firms, firms with ethical funds holding shares, and firms with substantial shareholdings in the hands of governmental bodies will be also required to satisfy non-economic objectives such as sustainability or employment.
- **It is impossible to verify**: Seen in retrospect, a board's decisions may be seen to have failed to maximise shareholder wealth. Yet, this is consistent with a board that wished to maximise shareholder wealth but whose decisions were limited by time, information available and their own skills. Also, to judge whether wealth was maximised, it would be necessary to know the outcomes of all the alternatives the board ignored.

It may not be a suitable **prescription** for management because:

- **Ignores the nature of the financial return required**: Shareholders receive their wealth from dividends and from capital growth. They are assumed to be indifferent but may not be in practice due to income needs and the different tax treatments of income and capital growth.
- **Overlooks the power of stakeholders** other than shareholders eg, increasing shareholder wealth at the expense of staff benefits may lead to loss of staff and industrial action.
- **Ignores environmental, social and governance (ESG) factors:** Many cultures take the view that profits should be balanced against the good of society and the natural environment.



Professional skills focus: Applying judgement

It is important not to simply assume that shareholder wealth maximisation is the primary goal of profit seeking organisations. Whilst profit will always be one of the main objectives, managers may also seek to balance profits against other stakeholder needs.

2.4 Setting business objectives

Hierarchically, missions and objectives can be shown as follows:

Figure 3.1: Mission and objectives hierarchy



There should be goal congruence, ie, the mission and objectives set at each level should be consistent with each other and not in conflict.

Quantifying objectives

Objectives must be capable of being quantified, otherwise progress towards them cannot be measured.

For a government agency or charity, for instance, to state its objective as 'to improve the welfare of old age pensioners' is not precise enough. It must state how it is going to measure the achievement – in terms perhaps of the number of places in old people's homes, the number of meals-on-wheels served, the number of patients treated in geriatric wards – so that several targets may make up its overall objective.

In other words, for objectives to be of use in practice, they must be SMART: **s**pecific, **m**easurable, **a**chievable, **r**elevant and **t**imebound – eg, 'increase online revenues by 25% within one year.'

Objectives specified in this way are often referred to as 'closed' objectives.

2.5 Examples of objectives

In practice objectives vary in attributes and in terms of the precision with which they are specified. The following gives some examples:

- **Corporate objective: Open**

  Our primary aims are to provide a sound investment for our shareholders by increasing shareholder value and also worthwhile job prospects for our employees. Our objectives are customer satisfaction, real growth in earnings per share and a competitive return on capital employed.

- **Corporate objective: Closed**

  The most important objective remains the achievement of a minimum return of 20% on average capital employed, with a target return of 25%.

- **Business unit objective: Open**

  One of the main aims for one of the business areas in which the company is involved is to play a leading role in meeting the requirements of the widening and expanding home entertainments industry.

- **Business unit objective: Closed**

  In the UK, we are budgeting our house building unit to sell 2,500 homes next year – a figure that will put it among the top 10 house builders. Ideally, existing performance statistics should be used to measure objectives; if a new system of data collection or processing has to be instituted to measure progress towards objectives, extra cost will be incurred.

Interactive question 1: Gooseberry Farm Ltd

The current date is May 20X6.

Mr and Mrs MacDonald are the owners of Gooseberry Farm Ltd. Gooseberry Farm operates a 1,200- acre arable site located five miles outside the local country town, Norbridge.

As a result of a change in the way government farming subsidies are calculated, Gooseberry Farm Ltd faces a sharp decline in its annual trading profits. The MacDonald's are therefore considering using 200 acres to establish a new exclusive 18-hole golf course, and golf club. In the event that they proceed with the proposal, Mr and Mrs MacDonald are keen that the golf club is established as a separate legal entity.

Mr and Mrs MacDonald intend to name the business the Millennium Golf Club Ltd.

From some preliminary research conducted into the local golf scene, Mr and Mrs MacDonald intend to limit membership to a maximum of 750 players to help create an exclusive environment at the new club. The policy of the club will be to keep the annual subscription fee for members as low as possible while maintaining high-quality facilities and helping to preserve the natural wildlife in the surrounding countryside.

A number of local businesspeople regard the establishment of the golf course as feasible, since planning permission will readily be forthcoming and membership waiting lists at the two existing clubs in the Norbridge area exceed 350.

On the assumption that target membership levels are achieved, annual subscriptions will initially to be set at £500 for each member. This will be £100 less than for full membership at the two rival golf clubs in the area. In addition, no joining fees will be payable in the first year of operation but, thereafter (as with the other two clubs), they will be equal to one year's subscription. On this basis, Mr and Mrs MacDonald are certain that they will be able to recruit around 350 members from the existing two clubs, including a good number of influential local businesspeople and low handicap players. In addition, the new club expects to recruit most of those currently on the waiting lists at its two local rivals.

As an employee of the firm of accountants used by Mr and Mrs MacDonald:

Requirement

Draft a mission statement that might be suitable for Millennium Golf Club Ltd and identify possible key objectives.

See **Answer** at the end of this chapter.

3 Stakeholder goals and objectives

Section overview

- Profit, or shareholder wealth, maximisation assumes that management are motivated and free to adopt policies that serve the interests of just one social group: the owners of the business.
- Stakeholder analysis suggests that management may seek to serve, or may be constrained by, a wider group of interested parties.

3.1 Role of stakeholders

Definition

Stakeholders: Are those groups or persons with an interest in what an organisation does.

Management theory rejects the assumption that firms seek shareholder wealth maximisation as too simplistic. Instead it states that the goals of an organisation will reflect the power and interests of the most powerful stakeholder groups.

There are three broad types of stakeholder in an organisation, as follows:

- **Internal** stakeholders (employees, management)
- **Connected** stakeholders (shareholders, customers, suppliers, financiers)
- **External** stakeholders (the community, government, pressure groups)

Interests of Stakeholders

The interests (or expectations) of stakeholders may be in **conflict**. Conflict may arise **between** groups (eg, employee demands for pay rises reduce profits available for shareholders) and **within** groups (eg, institutional shareholders in a recently floated plc may have different objectives from family shareholders).

Which expectations determine the organisation's objectives depends on the relative **power** of the stakeholder groups (see the section Stakeholder mapping: power and interest).

3.2 Internal stakeholders: employees and management

Because **employees and management** are so intimately connected with the company, their objectives are likely to have a strong influence on how it is run. They are interested in the following issues:

- The **organisation's continuation and growth**. Management and employees have a special interest in the organisation's continued existence.
- Managers and employees have **individual interests** and goals which can be harnessed to the goals of the organisation.

Internal stakeholder	Interests to defend	Response risk
Managers and employees	• Jobs/careers • Money • Promotion • Benefits • Satisfaction	• Pursuit of 'systems goals' rather than shareholder interests • Industrial action • Negative power to impede implementation • Refusal to relocate • Resignation

3.3 Connected stakeholders

Connected stakeholders and external stakeholders are both outside the organisation. Their difference lies in the degree of connectedness.

- Connected stakeholders supply resources to the organisation such as capital or sales revenue.
- External stakeholders do not have this direct connection but rather influence the context in which the organisation operates.

Connected stakeholder	Interests to defend	Response risk
Shareholders (corporate strategy)	• Increase in shareholder wealth, measured by profitability, P/E ratios, market capitalisation, dividends and yield • Risk	• Sell shares (eg, to predator) or remove management
Bankers (cash flows)	• Security of loan • Adherence to loan agreements	• Denial of credit • Higher interest charges • Receivership
Suppliers (purchasing strategy)	• Profitable sales • Payment for goods • Long-term relationship	• Refusal of credit • Court action • Wind down relationships
Customers (product market strategy)	• Goods as promised • Future benefits	• Buy elsewhere



Context example: Shareholder activism

A podcast on *The Financial Times* website in April 2016, contained an interview with the newspaper's Corporate Affairs correspondent, David Oakley. The interview explored the growth in shareholder activism. Oakley highlights the growing disparity between the level of pay between senior management and average workers, which has increased significantly since the 1990's, such that the most senior officers in large organisations now (2016) earn 150 times more than the average worker.

This has led to increasing numbers of shareholders challenging the proposed pay packages. Oakley notes that, in 2012, there were a number of such challenges, that resulted in the so-called 'shareholder spring', which led to increased legislation in 2013 around the need for companies to adopt clear pay policies. Although such measures have eased the pressure on corporate boards, the issue is not likely to disappear. In 2016, it was reported that 59% of shareholders in oil company BP voted against the proposed pay package of the company's CEO, Bob Dudley. As Oakley highlighted, although the vote was non-binding on BP it sent a clear signal to the directors that shareholders want a greater say over the corporate matters affecting shareholder wealth.

(**Source**: 'Shareholder activism on the rise' (2016) [Online] Available from: www.ft.com)

3.4 External stakeholders

External stakeholder groups – the government, local authorities, pressure groups, the community at large, professional bodies – are likely to have quite diverse objectives.

External stakeholder	Interests to defend	Response risk
Government	• Jobs, training, tax	• Tax increases • Regulation • Legal action
Interest/pressure groups	• Pollution • Rights • Other	• Publicity • Direct action • Sabotage • Pressure on government

These stakeholders are likely to play a greater role in determining the objectives for NFPs.

3.5 Dependency

A firm might depend on a stakeholder group at any particular time.

(a) A firm with persistent cash flow problems might depend on its bankers to provide it with money to stay in business at all.

(b) In the long term, any firm depends on its customers.

The degree of dependence or reliance can be analysed according to these criteria:

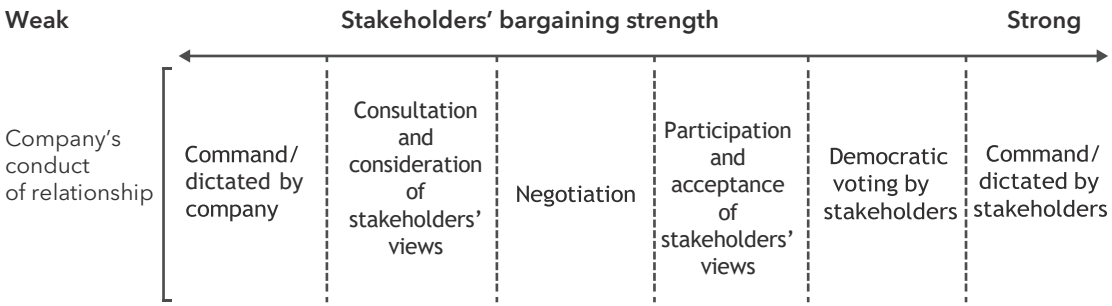
(a) **Disruption**: Can the stakeholder disrupt the organisation's plans (eg, a bank withdrawing overdraft facilities)?

(b) **Replacement**: Can the firm replace the relationship?

(c) **Uncertainty**: Does the stakeholder cause uncertainty in the firm's plans? A firm with healthy positive cash flows and large cash balances need not worry about its bank's attitude to a proposed investment.

The way in which the relationship between company and stakeholders is conducted is a function of the parties' **relative bargaining strength** and the philosophy underlying **each party's objectives**. This can be shown by means of a spectrum:

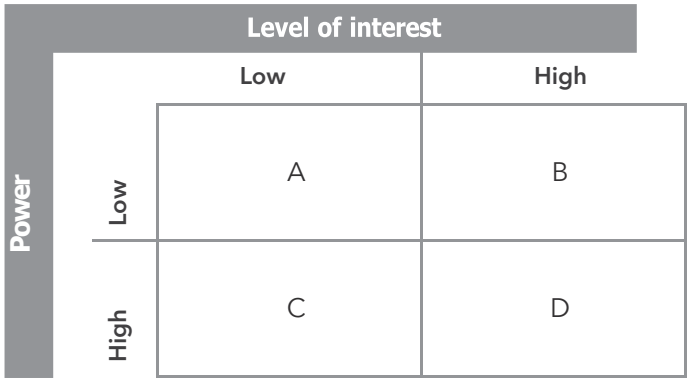
Figure 3.2: Conducting a relationship with a particular stakeholder



3.6 Stakeholder mapping: Power and interest

Mendelow suggests that stakeholders may be positioned on a matrix whose axes are power held and the likelihood of showing an interest in the organisation's activities. These factors will help define the type of relationship the organisation should seek with its stakeholders.

Figure 3.3: Mendelow's power interest matrix



(a) **Key players** are found in segment D. Strategy must be **acceptable** to them, at least. An example would be a major customer.

(b) Stakeholders in segment C must be treated with care. While often passive, they are capable of moving to segment D. They should, therefore, be **kept satisfied**. Large institutional shareholders might fall into segment C.

(c) Stakeholders in segment B do not have great ability to influence strategy, but their views can be important in influencing more powerful stakeholders, perhaps by lobbying. They should therefore be **kept informed**. Community representatives and charities might fall into segment B.

(d) Minimal effort is expended on segment A.

A single stakeholder map is unlikely to be appropriate for all circumstances. In particular, stakeholders may move from quadrant to quadrant when different potential future strategies are considered.

Stakeholder mapping is used to assess the **significance** of stakeholder groups. This in turn has implications for the organisation.

(a) The framework of **corporate governance** should recognise stakeholders' levels of interest and power.

(b) It may be appropriate to seek to **reposition** certain stakeholders and discourage others from repositioning themselves, depending on their attitudes.

(c) Key **blockers** and **backers** of change must be identified.

Stakeholder mapping can also be used to establish political priorities. A map of the current position can be compared with a map of a desired future state. This will indicate critical shifts that must be pursued.



Professional skills focus: Assimilating and using information

When determining how to manage stakeholders it can be useful to prioritise them, by considering their level of power and interest in the activities of the organisation. Stakeholder analysis can help to determine the appropriate strategy for managing each stakeholder.



Interactive question 2: Supavac plc

Supavac plc (Supavac) is a listed company which manufactures vacuum cleaners. Some 70% of its output is sold to Avold plc (Avold), a major UK-based chain of electrical stores.

Vacuum cleaners are sold under Avold's own label and are regarded as being in the mid to upmarket range. Manufacturing takes place at Supavac's two factories, both of which are in the UK and are of approximately equal size.

The workforce of Supavac is largely unskilled or semi-skilled and is not unionised.

Avold has been a major customer of Supavac for about 30 years, but a new management team recently took over at Avold. It informed the board of Supavac that a new annual contract is to be arranged which would involve a major reduction in prices offered, and that the volumes purchased next year would be only 60% of previous years. It was also made clear that further price reductions would need to take place in future years if the contract were to be maintained at the new lower volumes.

As employees became aware of the increasingly competitive conditions, the possibility of factory closure emerged.

The board of Supavac identified two strategies:

Strategy 1. Close one factory and attempt to cut costs at the other by a policy of efficiency improvements and redundancies.

Strategy 2. Close both UK factories and open a new factory in eastern Europe where labour costs are significantly lower than in the UK.

Requirements

Identify and justify the position of each of the following stakeholder groups in Mendelow's power- interest matrix with respect to the two strategies.

(a) UK-based employees

(b) Potential employees in eastern Europe

(c) Shareholders in Supavac

(d) Avold

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

When using a matrix to analyse a scenario it is important to examine both axes before drawing a conclusion. For example, in the case of Mendelow's matrix, ensure you conclude on the level of stakeholder influence only after identifying and justifying both the power *and* interest of each stakeholder group.

4 Not-for-profit organisations

Section overview

- The number of not-for-profit organisations potentially outweighs the profit seeking ones if we include voluntary sports clubs, interest groups and associations.
- Understanding how strategy is developed in these is important. It is similar to strategy formulation in businesses but without the comfort of the assumption of a single overriding goal of profit.

4.1 Voluntary and not-for-profit sectors

The term **not-for-profit organisation (NFP)** encompasses many different organisations whose only similarity is that they do not seek to make economic returns for their owners.

NFPs include:

- **Volunteer organisations** – providing services such as neighbourhood improvement, assisting the elderly, providing opportunities for children and youth, visiting the sick.
- **Charitable trusts** – set up around clear objectives to achieve some cultural or social goal (eg, education of the young, art and music).
- **Governmental bodies** – range from departments of central government down to local administrative bodies. Obvious examples include police services, armed forces and education services.
- **Mutually-owned public benefit corporations** – are effectively companies which do not issue shares to the public but rather whose capital is provided, and debts guaranteed to a certain limit, by others. They are free to raise debt from third parties. Their members are the stakeholder groups they serve and they will have procedures to consult and report to them. In the UK, these include rail infrastructure provider Network Rail and foundation

hospitals. A more well-known example are UK public schools which are, in fact, private schools for fee paying pupils but which have the legal status of a public corporation.

The taxation treatment of the incomes of NFPs is likely to be favourable because their surpluses are not treated as profits. For this reason, many NFPs have to work hard to defend their status against accusations that they are merely a tax avoidance device. To do this they need to demonstrate a genuine **public interest** motivation.

Business strategy issues are just as relevant to a not-for-profit organisation as they are to a business operating with a profit motive. The tasks of setting objectives, developing strategies and controls for their implementation can all help in improving the performance of charities and NFPs.

4.2 Objectives

Objectives will not be based on profit achievement but rather on achieving a **particular response**
from various target stakeholders.

Here are some possible objectives for an NFP:

(a) Surplus maximisation (equivalent to profit maximisation)
(b) Revenue maximisation (as for a commercial business)
(c) Usage maximisation (as in leisure centre swimming pool usage)
(d) Usage targeting (matching the capacity available, as in the National Health Service (NHS) in the UK)
(e) Full/partial cost recovery (minimising subsidy)
(f) Budget maximisation (maximising what is offered)
(g) Producer satisfaction maximisation (satisfying the wants of staff and volunteers)
(h) Client satisfaction maximisation (the police generating the support of the public)

There are no buyers in the NFP sector, but rather a number of different **audiences** (or stakeholders):

(a) A **target public** is a group of individuals who have an interest or concern about the charity.
(b) Those benefiting from the organisation's activities are known as the **client public**.
(c) Relationships are also vital with **donors and volunteers** from the general public.
(d) There may also be a need to lobby **local and national government** and businesses for support.

The objective setting process must **balance** the interests and concerns of these audiences, which may result in a range of objectives, rather than a single over-riding one.

To allow for this balance to be achieved, NFPs will typically feature wide **participation** in the objective setting process. Indeed, it may be a legal condition in their constitution and essential to maintaining their legal status.

Stakeholder power and interests are likely to be more obvious in NFPs than in profit-seeking organisations.



Interactive question 3: Foundry Theatre

The Foundry Theatre is a major regional theatre in Westingham and was built 70 years ago. 30 years ago the Arts Council awarded the theatre a grant for the first time 'to allow the theatre to undertake more prestigious productions than their own resources allow.' This grant (of £5,000) was very significant in that it marked the transition from **commercial** to **subsidised** theatre.

A few years after the Arts Council grant was awarded, the theatre was refurbished extensively with money from Westingham City Council at a cost of £884,000. Despite this, the theatre was soon in difficulties and heading for considerable financial losses. In a report published at the

time the council's treasurer stated that the theatre should 'slash costs and attract bigger audiences to improve its financial position.' In addition, the theatre was criticised for not staging enough popular shows, for inadequate use of the building and for having a 'top heavy' management structure.

Again the council offered to step in with financial assistance providing the theatre cut its costs and implemented a review of its management structure. The theatre administrator refused the council's terms, indicating that many of the council's proposed savings would severely compromise the theatre's artistic standards.

Changes were eventually made and the theatre survived.

The objectives of the theatre were enshrined in the memorandum of association of the Foundry Theatre Trust as follows:

- To promote, maintain, improve and advance education, particularly by the production of educational plays and the encouragement of the arts of drama, mime, dance, singing and music
- To receive, educate and train students in drama, dancing, music and other arts and to promote the recognition and encouragement of special merit in students

The company (and the theatre) has enjoyed varying degrees of success over the last 10 years (attendance figures are given in Exhibit 1).

The current position

In a recent article in *The Westingham Gazette,* the following comment was made.

'The artistic director has resigned, attendances are down by 50%, productions planned for the new year are cancelled, the company is heading for a £250,000 deficit – but there is no crisis at the Foundry, said Leila Chung, chief executive, Westingham Theatres Committee.'

In carrying out an internal analysis for Westingham Theatres Ltd, the following comments have been made.

James Knowles-Cutler (newly-appointed artistic director)

'The objective of the theatre is clear to me. We should aim to increase our audiences through a programme of challenging plays. Rehashing populist plays is not our role. We should attempt to attract well-known (in theatre terms) classical actors and seek to stimulate debate and interest in theatre through a programme of good classics (for example, *The Caretaker* by Pinter, *Waiting for Godot* by Beckett, etc,) and challenging modern plays. My ultimate objective is to establish ourselves as the leading ''serious'' theatre outside of London.'

Thomas Sutherland (finance director)

'We are still dependent for a large amount of our funding on central government grants. The percentage of our funding coming from this area looks to be about 50%. This is misleading because the actual amount of this funding has been growing very slowly. The fact that it represents up to 50% is due to a reduced proportion of revenue coming from box office receipts. Therefore, we really have one objective – to boost our sales or receipts from the box office. Our current revenue includes
£1,171,856 (20X9) down from a high of £1,596,245. Thus I estimate our ideal objective is to increase our box office receipts by 30% over the next three years. I believe there are a number of ways we can achieve this.

(1) We can reduce the price of our 'Foundry Card.' This is a membership card which allows the holder to attend five peak performances (ie, Friday and Saturday) for the price of four performances. By reducing the price we would encourage demand.

(2) We should also reduce our prices on an individual performance basis. I believe this would increase attendances by such an amount as to increase total revenues overall.

(3) The restaurant/café side could be improved. The theatre occupies a first rate position in the city and has an excellent atrium space in the entrance hall. This is already used at lunchtimes, etc, but could be profitably used in the evenings for pre-theatre dinner.'

Hitesh Modi (Westingham City Council, appointed to board of trustess of the Foundry Theatre)

'The trustees for the theatre believe the objective is to broaden the audience. The current composition of our audience is shown in Appendix II. Clearly the greater proportion of the audience comes from A/B income groups. We need to push more into other market segments. By boosting attendances in this manner we can go some way to achieving increased revenue figures. We think focusing on the production of highbrow theatre will only alienate a large group of the very people we are trying to attract.'

You are part of a consultancy team appointed by the Westingham Council to investigate the theatre's position.

Requirements

3.1 In the light of information provided in Exhibit 2, discuss the use of price reductions as a means of achieving the objectives as stated by the finance director.

3.2 Draft a memorandum to the trustees of the theatre explaining the objectives of the theatre as expressed by the artistic director, the finance director and the trustee. You should comment on their compatibility and suggest a possible prioritisation of these objectives.

Exhibit 1: Attendances at Westingham Theatre 20X0 to 20X9

Year	Theatre	Studio	Total
20X0	159,700	16,600	176,300
20X1	168,800	12,900	181,700
20X2	167,900	8,000	175,900
20X3	167,700	18,000	185,700
20X4	210,300	21,200	231,500
20X5	206,869	14,902	221,771
20X6	175,064	16,533	191,597
20X7	159,966	13,491	173,457
20X8	175,435	4,903	180,338
20X9	100,807	9,510	110,317

Exhibit 2: Demographic characteristics of theatre-goers and local population

		Total population in metropolitan county around Westingham	Foundry audiences	Foundry mailing list 20X9	Foundry card holders 20X9
(1)	Social class (% A/B/C1)	39%	80%	50%	71%
(2)	Education (% completing full time education, age 19 or over)	3%	50%	N/A	N/A
(3)	Age (% under 35)	37%	Main theatre 55% Studio theatre 75%	25%	7%

(4)	Sex (% females)	51%	50% apiece in main theatre and studio	66%	64%
(5)	Westingham post code	N/A	80% (estimated)	70%	91%

Exhibit 3: Revenues

Year	Box-office	Government grant
	£'000	£'000
20X3	1,144	927
20X4	1,306	1,072
20X5	1,330	1,054
20X6	1,446	1,095
20X7	1,596	1,065
20X8	1,117	1,103
20X9	1,172	1,157

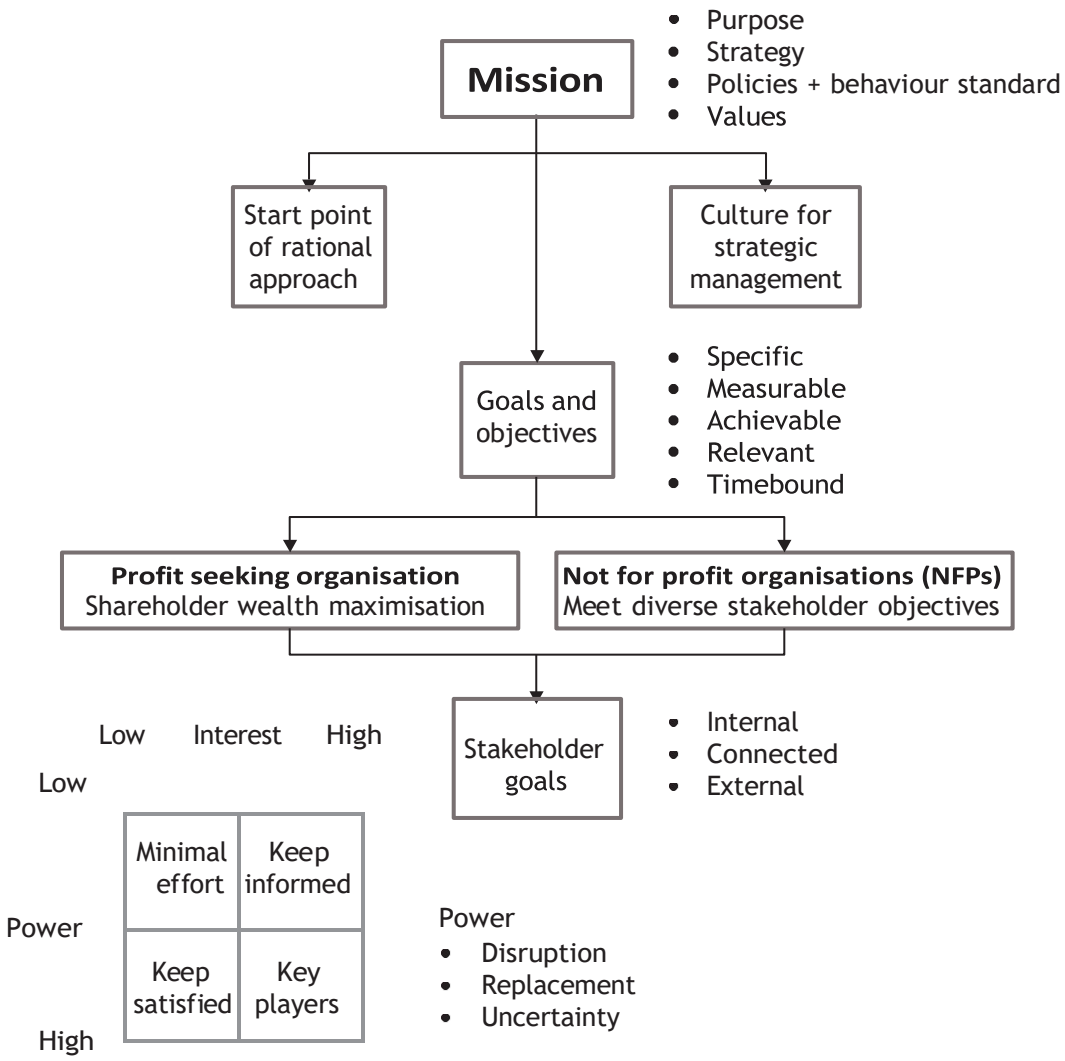
See **Answer** at the end of this chapter.



Professional skills focus: Concluding, recommending and communicating

When making recommendations it is important to base them upon analysis of all information in the scenario, including data in appendices. All advice and recommendations must be backed up by scenario evidence.

Summary


Mission
Purpose
Strategy
Policies + behaviour standard
Values
Start point of rational approach
Culture for strategic management
Goals and objectives
Specific
Measurable
Achievable
Relevant
Timebound
Profit seeking organisation
Shareholder wealth maximisation
Not for profit organisations (NFPs)
Meet diverse stakeholder objectives
Stakeholder goals
Internal
Connected
External
Low
Interest
High
Low
Power
High
Minimal effort
Keep informed
Keep satisfied
Key players
Power
Disruption
Replacement
Uncertainty

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Can you identify and explain the key elements of a good mission statement? (Topic 1)
(2)	Do you know the limitations of the shareholder value assumption? (Topic 2)
(3)	Can you analyse an organisation's stakeholders to determine their relative importance? (Topic 3)
(4)	What are the objectives of a not-for-profit organisation? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
1	Understanding the features of a mission statement will help you to critique an organisation's mission statement.
3	It is important to understand the criteria that good objectives must meet, for them to be of use in guiding strategy.
5	Objectives occur at different levels in the organisation. This question will help you to identify and develop objectives at each of these levels.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Nevin-Vac Ltd (Dec 2019)	Part 1 of this requires you to analyse the potential conflicts of objectives between the company and its stakeholders. It is important to identify the varying levels of power and interest held by stakeholders, as well as the different demands each one places on the company.
Balad Ltd (Sept 2018)	Part 1 of the question looks at the problem of conflicting objectives between Balad and their joint venture partner, the government. This gives you opportunity to understand the difference in objectives between profit seeking and not-for- profit organisations.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 What are the four elements in the Ashridge definition of 'mission'?

P ____

S ____

P ____

V ____

2 Indicate if the following statement is true or false. Mission statements have a standard format.

A True

B False

3 Fill in the blanks.

Most organisations set themselves quantified (a) ____ to enact the corporate (b) ____

Many objectives are: (c)

(c) ____

(d) ____

(e) ____

(f) ____

(g) ____

4 Fill in the blanks in the following:

Some objectives are more important than others. These are ____ called corporate objectives.

5 Are each of the below examples of unit objectives or corporate objectives?

(1) 'Increase the number of customers by 15%.'

(2) 'Produce reports within three days of month end.'

(3) 'Achieve 35% market share.'

6 There are three broad types of stakeholder. What are these?

7 Define an NFP.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Mission statement

For Millennium Golf Club Ltd, a suitable mission statement might be:

'Our mission is to become the premier golf club in the Norbridge area by offering excellent value for money. We will achieve this by charging low fees, having high quality facilities and restricting the membership numbers of the club to ensure exclusiveness. At the same time we will protect the environment and help to preserve the local countryside.'

Suitable key objectives might include:

(1) To achieve the membership target of 750 members in the first year

(2) To recruit at least 350 members from rival clubs

(3) To ensure 30% of golf club members have a low handicap

(4) To win an award for golf club design and facilities by 20X9

(5) To hold a local golf championship at the club by 20X9

(6) To monitor the wildlife around the golf club and make sure that numbers of breeds of wildlife are maintained

Answer to Interactive question 2

Mendelow's power-interest matrix:

Power	Interest: Low	Interest: High
Low		UK employees Eastern European employees
High		Shareholders Avoid

(a) **UK-based employees**

The power of employees to stop or moderate any closure decision is limited. If the entire UK workforce is united, then significant costs can arise from disruption. However, once the decision is announced the employees at the site that is not to be closed have a much lower negative interest in the decision. Indeed, from the perspective of self-interest their employment might even be more secure as a result of the closure of the other plant; hence they could develop a positive interest.

In general, however, UK employees would favour strategy 1 as there are fewer redundancies.

Perversely, if the redundancy payments are sufficiently high some employees may favour redundancy to continued employment and thus have a positive interest in strategy 2 (eg, if they were going to leave anyway).

(b) **Potential employees in eastern Europe**

Potential employees have probably not yet been specifically identified but they would have no power to influence the decision in either case.

Clearly, once selected, they would have a strong positive interest in strategy 2, particularly if local unemployment is high and/or Supavac is offering better pay and conditions than local employers.

(c) **Shareholders in Supavac**

The ability to maintain the Avold contract is essential to Supavac shareholders as it counts for 70% of sales. The strategies under consideration appear necessary to reduce costs and thus maintain the Avold contract, even if not at volumes previously attained. The shareholders would favour the strategy that best achieves this, having regard to all other factors (such as quality, certainty of supply, transport costs, labour costs).

The shareholders have the ultimate power to determine the direction of the company. While in the short term the directors are empowered to make the relevant decisions, they can be displaced if these are not in the interests of shareholders.

(d) **Avold**

Given that Avold takes 70% of Supavac's sales, it has considerable power over Supavac and is likely to be in a position to influence the decision of where production should take place. It will undoubtedly need assurances, if vacuum cleaners are to be manufactured overseas, as to quality and delivery schedules. The ability of Supavac to cut costs will have an impact on its ability to deliver price reductions.

Avold is interested in the reorganisation as vacuum cleaner manufacture is a competitive market, with a range of alternative suppliers available if Supavac fails to deliver cost reductions. (Alternatives are possible as there is an element of judgement involved, given the information available.)

Answer to Interactive question 3

3.1 Effectiveness of price reductions

The finance director has a stated objective of increasing sales revenue as far as possible and suggests reducing prices to achieve this.

As a means of enhancing sales the following comments are relevant.

Given the information on the population in Exhibit 2, 80% of the audience comes from social grouping A/B/C1.

It could be argued that going to the theatre represents a small amount of total expenditure for such groups, and therefore a rise in price may be possible to increase sales revenue.

Alternatively, to attract a wider audience (students, children, unemployed), price reductions may help to raise sales revenues.

The pricing structure needs to be much more precise, ie, it needs to take into account:

- time of week and performance (students, cheap mid-week seats); and
- ability of audience to pay and their income bracket.

It also assumes that the demand for theatre seats is driven largely by price. This is a very strong assumption. Non-price factors which would influence the demand would include the programme of plays itself, actors involved, time of year, etc. The implicit assumption made by the finance director is that, *ceteris paribus*, reducing price will increase demand. One badly chosen programme of plays could reduce overall demand in a given season.

3.2 Memorandum

To: Members of the Westingham Council

From: ABC Consultants

Date: Today

Subject: The Foundry Theatre – Objectives and role

The nature of objectives

Objectives differ dramatically between organisations and in the way they are expressed. The most obvious distinction is between open and closed objectives.

Open objectives contain no reference to a quantified target for the objective. For example, a statement such as 'we aim to increase our market share' is open. Thus there is no guidance on by how much to increase the target of the objective nor over what timescale.

Closed objectives contain some quantified target value for the objective in question. The following is an example of a closed objective: 'Our objective is to increase our market share (by volume) by 12% over the next three years.' This contains a criterion by which to assess the target volume. It gives a target (12%) and a timescale (three years).

The final point to be made about objectives is that as far as possible they must be consistent. It is important to have a principal objective in agreement with supporting objectives. It is the duty of senior management to ensure that objectives are consistent and avoid dysfunctional behaviour.

The objectives for the Foundry Theatre Introduction

Examination of the objectives for the Foundry Theatre are best undertaken from a 'stakeholder' viewpoint.

From the information given it can be seen that two of the objectives are 'open.' It is difficult to see how to assess the theatre against such open-ended objectives.

Clearly, in following the trust's objectives audience surveys could be carried out to determine:

- Income bracket
- Residential area
- Frequency of attendance, etc

Thus, given the data in Exhibit 2 on audience composition, this objective will be achieved if, *ceteris paribus*, more C1/C2 males under 35 attend plays and concerts. The objective can thus be clarified and become closed.

Compatibility of objectives

Clearly the objectives put forward by the artistic director and the trust are mutually incompatible. If either objective is to be pursued to the exclusion of the other, stakeholder conflict is assured. If so, two possible (there may be more) outcomes become apparent.

- The artistic director becomes disgruntled and resigns.
- The trustees become disaffected and attempt to make changes at the theatre (in the absence of more information on the memorandum of association of the trust, it is difficult to say what power they have).

The next issue is to see whether the objective of the finance director is compatible with the other two.

The objective of increasing box office receipts is compatible with either of the other two.

From the viewpoint of the artistic director, increasing audience figures (and therefore receipts) will come from a small percentage of the metropolitan area's population (29% are A/B/C1) and these already provide 80% of the audiences of the Foundry Theatre.

Given the increased ability to pay of the A/B/C1 income groups, increasing the attendance price of tickets and a more challenging series of plays may satisfy both the finance and artistic directors.

From the trust's viewpoint, putting on less 'difficult' plays and increasing the number of popular touring reviews/plays may well boost audiences. Therefore reducing price may well enhance demand in volume terms, thus increasing box office receipts overall.

Prioritisation of objectives

There is an additional important element here and that is the amount of government grant. Exhibit 3 shows the amount of government grant the theatre has received since 20X3.

The percentage of revenue accounted for by government grants is less important than the amount. It can be seen to have grown very little (compound annual growth of just 1.5% between 20X3 and 20X9). In real terms this has almost certainly fallen.

A critical issue facing the theatre therefore is its role as a subsidised theatre.

The current government is not disposed towards subsidies. There appears little hope of the grant increasing as a source of revenue.

The most important objective therefore is for the theatre to increase its box office revenues. Failure to do so (given no growth in subsidy) will eventually diminish the theatre's ability to stage its own productions.

The reduced ability to stage its own productions means that the artistic director's objective cannot be achieved.

Conclusions and recommendations

The main conclusions are as follows:

- Increasing box office revenue is the primary objective for the theatre.
- The finance director's assumptions on how this may be achieved are questionable.
- Audience research should be carried out re frequency/preferences, etc. This will provide information as to programmes and willingness to pay.
- The increased revenue appears likely from three principal sources:
  - Increased prices to current A/B/C1 theatre-goers and a challenging programme.
  - Lower prices to C1/C2/D income groups with a change in programme emphasis to 'popular' plays/musicals.
  - Perhaps a combination of both of these could work with plays/shows at varying prices during the week.
- Using the atrium space to provide a restaurant/café would probably increase non-theatre audience and thus provide an additional source of revenue.

Answers to Self-test questions

1 P urpose

S trategy

P olicies and standards of behaviour

V alues

2 Correct answer(s):

B False

3 Most organisations set themselves quantified

(a) objectives to enact the corporate (b) mission

Many objectives are:

(c) specific

(d) measurable

(e) achievable

(f) relevant

(g) time bound

4 Some objectives are more important than others. These are called primary corporate objectives.

5 Unit/corporate:

(1) Unit
(2) Unit
(3) Corporate

6 Broad types of stakeholder:

(1) Internal
(2) Connected
(3) External

7 An organisation whose attainment of its prime goal is not assessed by economic measures. Their first objective is to be a non-loss operation to cover costs. Profits are made only as a means to an end, such as providing a service.

Chapter 4
The macro environment

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Self-test questions
Answers to Interactive questions
Answers to Self-test questions



Introduction

Learning outcome

- Analyse the sustainability issues and the environmental, social and governance (ESG) factors which influence the organisation's current strategy, highlighting their likely impact on the success of the organisation.
- Analyse the external factors which may impact upon an organisation's performance and position, evaluating significant issues in areas such as:
  - Natural capital and climate change
  - Macroeconomic forces
  - International trade, financial systems and global economic factors
  - Government policies
  - Its industry and markets, including competition
  - Cultural environment
  - Stakeholder, ecosystem and participant impact
  - Markets for finance, labour and other resources
  - Supply chain factors
  - Technology developments

Syllabus links

Environmental analysis was covered in Business, Technology and Finance. However, its coverage was at the level of core knowledge. In the Business Strategy and Technology examination, you will be required to apply it.

Examination context

The majority of exam questions will require you to absorb and understand information about the external environment in which an organisation operates, based on a scenario. You will also need to assess the implications of the environment and changes in the environment for the strategic positioning and strategic decisions of an organisation. To do this, you will need to apply your knowledge using the tools and ideas covered in this chapter.

Applying a theoretical model or framework in its entirety, or discussing the model in general terms, when not asked to do so will only serve to waste your time in the exam, and will earn no additional marks.

In light of the name of the exam, Business Strategy and Technology, it is important that you appreciate the impact that technology and technological change is having on organisations. Exam questions could easily feature organisations which are dependent on the use of technology in delivering a service or as part of the process for new product development. Clearly, in such cases, technology will be vital to the organisation's ability to operate effectively.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**The business environment** The development of emerging economies, the fast pace of technology and the increasing demands of consumers all bring new markets and new challenges. If an organisation is to survive, these factors must be addressed and managed via appropriate strategy development.	**Approach** Read through this section to gain an understanding of the general macro-environment. **Stop and think** What are the main factors, stemming from the macro-environment, that an organisation needs to manage?	This chapter introduces the wider business environment. There is no need to memorise all the examples but rather try to appreciate the range of issues (including technological considerations) influencing organisational behaviour and strategy.	**IQ1: Considering the business environment** This application activity asks you to consider the external influences affecting a professional accountancy practice.
2	**Environmental dynamics** Strategy planning occurs in an uncertain environment so the development process and the strategy itself need to be flexible enough to deal with this uncertainty.	**Approach** Understand the nature of uncertainty presented by the external environment and the process by which an organisation can manage this uncertainty. **Stop and think** In what circumstances is scenario planning neither helpful nor appropriate in managing uncertainty?	You may be required to recommend how an organisation can reduce uncertainty in a dynamic environment. Recommendations should be practical and appropriate to the size and scale of the organisation in the question.	
3	**PESTEL analysis** The macro-environment exposes an organisation to a wide range of risks. To comprehensively assess these risks, models such as the PESTEL framework can be used.	**Approach** Read through the examples given for each of the headings in the PESTEL framework. There is no need to memorise these examples but you should appreciate the range of issues that a company can face. **Stop and think** What would be the main risks facing the organisation you work for, using the PESTEL	In the majority of exam questions, you will be required to absorb and understand information about an organisation's external environment, based on a scenario. You will also need to assess the implications of changes in the environment for the strategic positioning and	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		framework to generate ideas?	strategic decisions of an organisation. To do this you will need to apply your knowledge using tools such as PESTEL.	
4	**The international business context** The majority of businesses are exposed to global influences, whether in their supply chain, via customers, or through the regulations they adhere to. Globalisation requires a strategic response from organisations.	**Approach** Read through the section to understand the importance of globalisation in general terms. The Five C's model (Ohmae) and Michael Porter's Diamond are key theories to help understand the interactions of organisations in a global environment. **Stop and think** Consider the degree of globalisation of your firm. What impact does this have on your work?	The models in this chapter will be used to assess why an organisation might act globally or what national competitive advantage they may hold. As always, just restating models or theory is not sufficient to be awarded marks, instead they must be applied to the scenario provided.	**IQ3: Why do banks cluster?** This short question helps you to understand the concept of clustering, put forward by Michael Porter, by looking at a real-life industry.
5	**Limits to globalisation of business** In reality, trade between countries is often hindered by rules, regulations and political directives. This topic reviews the types protectionist measures in place globally and the impact of these on organisations and their competitive position.	**Approach** Work through the topic and understand the different types of protectionist measures. It is not necessary to learn the names of all the regional trading blocs but you should have a general awareness of their existence. **Stop and think** What is the current global situation regarding protectionism? To what extent does global free trade exist?	Protectionism can be helpful or harmful to organisations, depending on their position. In the exam you may need to advise on the impact that protectionism has on a particular company or industry.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 The business environment

Section overview

- Strategy is about matching the organisation to the threats/opportunities in its environment.
- The process of gathering and disseminating the necessary knowledge about a firm's external environment is a specific example of knowledge management.

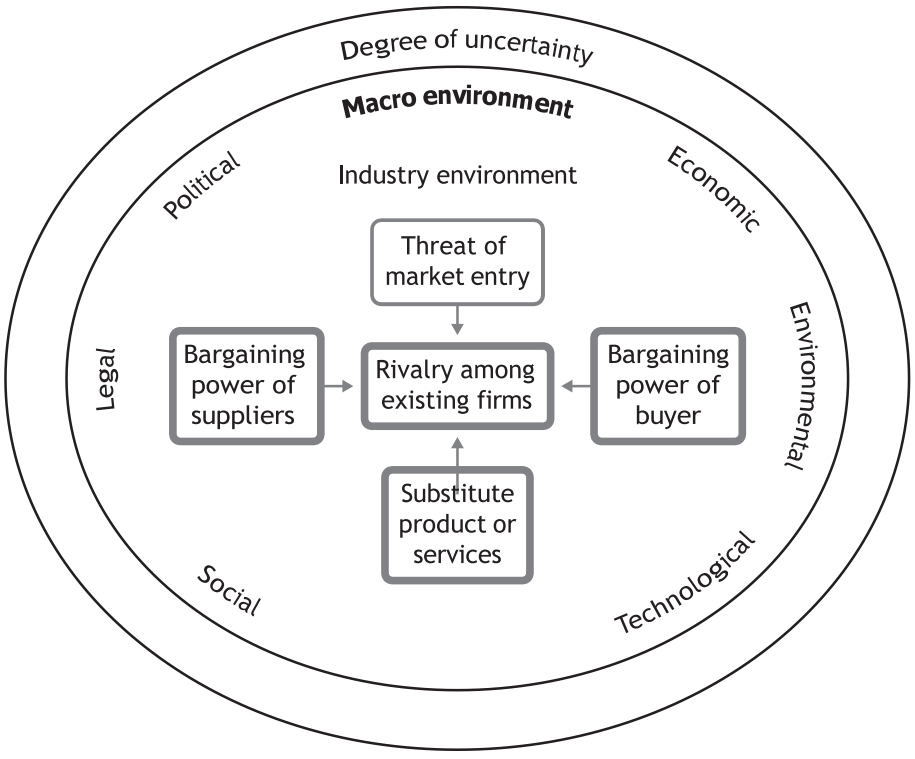
1.1 Importance of management understanding business environment

Definition

Ecosystem: A business ecosystem is the network of organisations that enable the delivery of a product or service. Participants in the ecosystem, such as suppliers, distributors, customers, competitors and government agencies, interact through competition or collaboration.

The environment or business ecosystem contains those factors 'surrounding the organisation.' It includes the general macro-economic environment (the political, economic, social, technological, ecological and legal influences in the countries a business operates in); and factors particular to the firm or industry such as competitors, customers and suppliers.

Figure 4.1: Tiers within the business environment

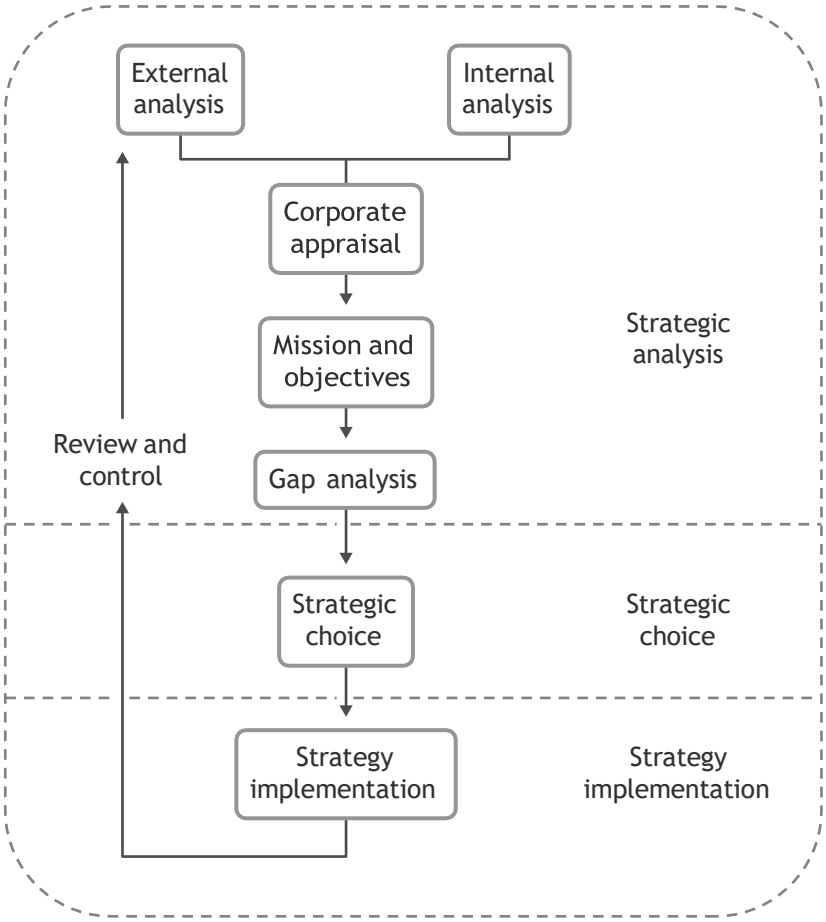


To be viable (eg, able to sustain itself through time) the organisation must achieve an appropriate 'fit' with this environment. This includes:

CHAPTER 4

- Results that meet the expectations of its owners (shareholders, government, members etc)
- Products and services that meet its clients' expectations at least as well as rivals'
- Ability to remain within the legal and ethical codes of the societies it works in
- Being attractive to staff as a place to work
- Satisfying the needs of other powerful or influential stakeholders

Figure 4.2: The rational planning model



Rational planning approach: Environmental appraisal is a **one-off assessment** which establishes the forces acting on the business at present and **forecasts** how these may develop during the years of the plan.

Strategic management approach: The need for **environmental scanning**. This is a continuous awareness by management of environmental issues enabling them to be routinely considered in decision making.

Interactive question 1: Considering the business environment

For a professional accountancy practice, answer the following questions.

Requirements

1.1 What are the main external factors, in your view?

1.2 How do these main environmental/external factors affect the strategies of the practice?

1.3 In your view, how do managers perceive change in the environment of the organisation?

1.4 How do you think managers incorporate environmental/external issues into decision making?

See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

Strategy development requires detailed analysis of the external environment, using data gathered from a wide range of internal and external sources. The information then needs to be checked for accuracy and relevance before being shared with managers involved in strategy creation.

2 Environmental dynamics

Section overview

- The ability of the business to plan, and its requirement for information about its external environment, will be influenced by how predictable its environment is.

2.1 Environmental uncertainty

Strategic planning takes place in the context of an uncertain future environment as competitors enter and leave the market, governments and their policies change, technology develops.

Changes in the external environment which have a long-term impact may be dealt with by strategic planning, but dealing with changes that have an immediate short-term impact may involve crisis management.

The intensity of environmental issues varies from sector to sector and company to company.

Some businesses exist in relatively **static** environments, where the environment is simple (few competitors, limited products, slow rate of change) but many face environments which are **dynamic** – complex and characterised by rapid change.

In static environments, the business's historic and current environment will be a useful predictor of the future. In dynamic environments this will be of little benefit.

The degree of uncertainty and pace of change will affect the amount of resources devoted to environmental assessment. For example, investment banks employ substantial research departments and each day begins with dissemination of relevant environmental information to traders and managers. Airlines also have research departments which 'red flag' issues on a regular basis and also provide reports and forecasts as inputs into their strategic planning process.

2.2 Scenario planning

Definition

Scenario planning: Concerns the development of pictures of potential futures for the purposes of managerial learning and the development of strategic responses.

2.2.1 When is scenario planning useful?

Scenario planning is useful where a long-term view of strategy is needed and where there are a few key factors influencing the success of the strategy, eg, in the oil industry there may be a need to form a view of the business environment up to 25 years ahead, and issues such as crude oil availability, price and economic conditions are critical. For example, Shell was the only major oil company to have prepared its management for dealing with the shock of the 1970s oil crisis through scenario planning and was able to respond faster than its competitors.

It is important to understand how scenario planning differs in nature from the normal strategic planning exercise. Scenario planning is a wider exercise than simply viewing the entity's operations at a company level and considering a range of external variables likely to impact on the ability of the entity to achieve its objectives. It tries to take a longer-term view of the different ways in which an industry may develop. Ultimately, strategic planning results in an organisation developing a strategy, whereas scenario planning is focused on identifying a range of plausible alternatives which give an indication as to the future state of an industry.

Factors such as technology may cause major uncertainty regarding the future shape of an industry (consider for example the impact that email has had on the delivery of letters and that e-readers have had on the book industry.) So, in scenario planning, a key question might be to consider where the industry will be in 10 years' time. An organisation that wishes to have a sustainable business needs to ask 'what if…?' questions and come up with contingency plans.

The nature of scenario planning means that precision is not possible, but it is important to develop a view of the future against which to evaluate and evolve strategies.

Scenario building attempts to create possible future situations using the key factors. The aim is to produce a limited number of scenarios so that strategies can be examined against them in terms of 'what if ...?' and 'what is the effect of ...?'

A UK-based car manufacturer could assess the impact of 'political changes' or 'opposing moves by competitors' such as the introduction of driver-less cars on its business. Financial models of the firm are often used in conjunction with this approach to assess impact on profit. Although these provide a useful approach, it is important not to become too committed to one scenario; after all, they are only forecasts which might not in the event be valid.

2.2.2 Steps

- Identify key forces which might affect an industry or market, using techniques such as PESTEL analysis (see section 3).
- Understand the historic trend in respect of the key forces.
- Build future scenarios, eg, optimistic, pessimistic and most likely.

The scenarios generated are then 'plots' to be played out making managers consider future possibilities and encouraging them to think about strategy more flexibly. In the chapter, 'Risk management,' we shall explore the role of scenario building and its use in risk management.

3 PESTEL analysis



Section overview

- In your Business, Technology and Finance studies, you will have encountered PESTEL factors in your studies of the environment of business.
- This section provides a recap of the key PESTEL factors and identifies how each may impact on the strategy of the organisation.
- Later sections extend analysis to the global business environment.

3.1 Recap of PESTEL analysis

PESTEL analysis was introduced in Business, Technology and Finance, but we will recap its key themes here. PESTEL is a handy checklist for identifying environmental factors:

- **P**olitical
- **E**conomic
- **S**ocial/cultural
- **T**echnological
- **E**cological/environmental
- **L**egal

PESTEL identifies the macro factors in the external environment which may affect a particular industry. Depending on the industry, some factors will be more significant, eg, legal and ecological issues may have a major influence in the airline industry, whereas political issues will play a major part in the healthcare industry.

The organisation must focus on the key influences currently affecting its industry and those that might become significant in the future ie, the key threats and opportunities that arise for the organisation as a result of the PESTEL analysis.

Professional skills focus: Structuring problems and solutions

In the exam, marks are not awarded for describing the PESTEL model. Instead use PESTEL and other models to structure your answer. This will make it easier for you to analyse the macro-environmental factors that affect the organisation's strategy.

3.2 Political factors

Political factors relate to the distribution of power locally, nationally and internationally.

Political risk is the possibility that political factors will have an impact on the business's environment or prospects. The impact could be positive or negative; the issue is the uncertainty created.

Types of risk include the following:

- **Ownership risk**: A company or its assets might be expropriated (or nationalised) by the state, normally with compensation. Confiscation is, effectively, expropriation without compensation.
- **Operating risk (indigenisation/domestication**: The firm may be required to take local partners. There may be a guaranteed minimum shareholding for local investors.
- **Transfer risk**: This may affect the company's ability to transfer funds or repatriate profits.
- **Political risk**: The government of the host country may change taxes or seek a stake in the business to increase its power or to satisfy local public opinion.

Managing political risk

Companies, especially transnational corporations, might take measures to reduce political risk. These include:

- Detailed risks assessments prior to investing in the country
- Partnering with a local business to increase acceptance of the project and to lobby for political support
- Avoid total reliance on one country – eg, oil companies extract oil from many countries to offset risks of interrupted supplies or spiralling costs

3.3 Economic factors

The economic structure of a country should be considered in strategic decision-making. Countries typically progress from reliance on primary industries (eg, agriculture, minerals, forestry) through manufacturing to tertiary services (eg, financial and commercial sectors).

A country's economy will affect overall wealth, financial stability and patterns of demand.

In setting strategy an organisation needs to consider where the economy is currently and where it is heading.

- Long-term exchange rates' behaviour affects the relative competitiveness of imported and domestically produced products and exports. A falling domestic exchange rate makes firm's exports more competitive and imported inputs more expensive. This may be determined by the value of key exports such as oil, minerals, crops, manufactured goods etc.
- Interest rates (long-term and short-term) affect cost of finance and also levels of demand in the economy.
- The economic infrastructure, for example access to payments systems, consumer and trade credit, access to venture and other capital, the quality of the stock exchanges.

3.4 Social/cultural factors

Social factors include

- **Make-up of population** – eg, growth rate, proportion of old and young people
- **Family structure** and size; the importance (or lack of it) of the extended family and relationships with non-family members; and the extended family providing contacts and work
- **Attitudes to diversity** – eg, the existence of gender and other stereotypes. In some cultures, gender stereotypes are more sharply drawn.
- Extent of **social mobility** – the degree of social stratification and difference within each society and whether people can move between them, the changes in size, wealth and/or status of different groups within the population and the geographical distribution of the population between regions and urban, suburban and rural areas

Cultural factors affect strategy in several ways:

- The **market for products** – eg, religious prescriptions on food, financial services
- **Promotional strategies** – eg, language of adverts, considerations of imagery and decency
- **Methods of conducting business** in countries – eg, conventions of negotiation, giving and receiving gifts, ensuring 'face' for contacts (ie, maintaining self-respect and status)
- **Methods of managing staff** – eg, language differences, attitudes to managerial authority
- Expectations of **business conduct** –eg, extent of engagement with environmental, social and governance (ESG) factors, time horizon of investment, engagement in political matters

3.5 Technology

The strategic significance of the technological environment includes:

- Technological base, and therefore customer and staff familiarity with it, varies across countries. Operations will have to take this into account.
- Technological change challenges existing industry structure and competitive advantages and so strategies to harness or evade it are necessary.
- Technological change can render existing products obsolete but can also provide opportunities to develop new products and ways of doing business. Therefore, continuous R&D and learning is necessary to remain competitive. The growing role of technology is explored in greater detail later in the Workbook.

- Technological change creates uncertainty which may influence the approach to strategy formulation that is adopted.
- Advances in technology may also provide new channels to get products and services to market.
- Technological change in the form of automation and intelligent systems (artificial intelligence and machine learning) are rapidly changing how organisations structure the activities they undertake, as computers, robots and machines increasingly perform tasks traditionally carried out by people. In the chapter, 'Strategic capability,' we discuss the topics of automation and intelligent systems in greater detail, when we consider the important area of strategic capability.



Context example: Tesla – using technology to become market leader

As the car industry gradually moves towards electric vehicle (EV) ownership, Tesla has successfully used technological innovation to become a market leader in EVs, enabling it to achieve revenue growth of 51.35% and 18.8% in 2022 and 2023 respectively.

Such technologies include Tesla's groundbreaking Autopilot system which uses sensors, cameras and advanced artificial intelligence (AI) algorithms to allow vehicles to navigate roads, change lanes and park themselves. To ensure that software in Tesla vehicles is kept up to date, Tesla vehicles regularly receive 'over-the-air' software updates via WiFi, which add new features and enhance existing ones. The technology behind Tesla batteries is deemed cutting edge with batteries offering a range and efficiency that currently exceeds all other EV batteries. For example, the 2023 Long Range Tesla cars can cover a distance of over 300 miles on a single charge.

Continued technological innovations and Tesla's visionary approach have solidified its position as market leader in the EV industry. In 2023, battery powered Teslas dominated market share, representing 55% of the US EV market and 19.1% of the global market.

*(**Source**: Trudy, A. (2023) Beyond the Wheel: Exploring the Cutting-Edge Technology Powering Tesla Cars. [Online] Available from: https://www.machinescience.org/beyond-the-wheel-exploring-the- cutting-edge-technology-powering-tesla-cars/ [Accessed 1 May 2024])*

3.6 Ecological environment factors

There is an increasing focus on maintaining the world's resources rather than depleting or destroying them, in order to ensure that they support human activity now and in the future.

This desire for 'sustainability' encompasses environmental issues such as:

- **Climate change and pollution**. Global warming is causing polar ice caps to melt, leading to a chain of events including rises in sea levels and climate change.
- **Energy gap** as fossil fuels diminish while developing nations, including the BRICS economies (Brazil, Russia, India, China and South Africa), are growing rapidly and demand more energy. At the Conference of the Parties (COP26) climate summit, 151 countries submitted climate plans to cut emissions by 2030. However, it was found that the 2030 targets of some of the major emitters (Australia, China, Saudi Arabia, Brazil and Russia) were too weak meaning that net-zero targets are unlikely to be achieved without a strengthening of their climate plan.

  (**Source**: Mountford, H et al. (2021) COP26 Key outcomes from the UN Climate talks in Glasgow. *World Resources Institute*. [Online] Available from: https://www.wri.org/insights/cop26-key- outcomes-un-climate-talks-glasgow).
- **Waste recycling** issues as developed countries recognise the forecast use of landfill and also realise that much landfill is hazardous waste (eg, batteries, electronic circuitry, oil and solvents in car engines).

- **Biodiversity** issues as growing of cash crops and destruction of forests for grazing or building land also destroys species of plant, insects and animals.
- Introduction of **genetically modified organisms** into the food chain which continues to cause debate. Those in favour explain how genetic engineering allows farmers to grow crops that resist drought, disease and pests resulting in higher yields to feed growing populations. Critics of GMO recognise that the introduction of genetically modified organisms can affect biodiversity as existing species are overrun by a more dominant, new species.

Main government policies are:

- Reduce carbon emissions through targets set in cross governmental accords such as the 1992 Kyoto, 2015 Paris and 2021 Glasgow agreements
- Penalisation of carbon creating industries through taxes levied on emissions or on fossil fuels used
- Investment in non-carbon creating technologies such as nuclear energy, wind and wave power and electric or hybrid cars
- Making foreign aid dependent on acceptance of environmental policies by recipient countries
- Regulations covering hazardous waste

Implications for business strategy

- Need to accept 'polluter pays' costs – taxes on emissions and requirements that firms buy certificates from refuse firms confirming recovery or destruction of materials the firm introduces into the supply chain
- Increased emphasis on businesses acceptance of ESG and principles of sustainable development
- Potential for economic gain from cleaning-up operations and selling surplus 'permits to pollute' to firms that have not cleaned up
- Potential competitive advantage from development of products that ecologically conscious buyers will favour
- Need to monitor ecology-related geo-political and legislative developments closely

3.6.1 Natural capital

Linked to the concept of ecology and sustainability is that of natural capital, climate change and green finance.



Definition

Natural capital: The stock of renewable and non-renewable natural resources that combine to yield a flow of benefits or 'services' to people (eg, biodiversity such as plants and animals, air, water, soils, minerals).

The flows can be ecosystem services or abiotic services; which provide value to business and to society.

The focus on natural capital has increased dramatically in recent years as organisations begin to better understand how their activities affect the natural world. The Natural Capital Forum (2018) compares the concept of natural capital to that of an organisation spending more than it earns, in as much that it will eventually run up a debt. When organisations take more out of the natural environment than they give back, they have run up a debt which needs to be paid back. This can be achieved, for example, through repairing the damage caused by polluting activities, or replanting forests where trees have been felled to provide timber for production. Organisations that 'keep drawing down stocks of natural capital without allowing or encouraging nature to recover, run the risk of local, regional or even global ecosystem

collapse. Poorly managed natural capital therefore becomes not only an ecological liability, but a social and economic liability too' (Natural Capital Forum, 2018).

The increasing focus on natural capital is starting to change the way in which organisations report on their activities, with many now attempting to place monetary values on the natural assets they use, to enable them to make better informed business decisions.

We will look at the increasing focus on sustainable business practices and sustainability reporting in more detail in the chapter, 'Ethics, sustainability and ESG.'

Definitions

Social capital: *The networks together with shared norms, values and understanding that facilitate cooperation within and among groups. Social capital enables people to work together effectively to achieve a common purpose or goal.*

Human capital: *The knowledge, skills, competencies and attributes embodied in individuals that contribute to improved performance and wellbeing. Human capital also refers to the economic value of a worker's experience and skills. Investing in people, through health care, quality education, jobs and skills can develop human capital.*

According to the Capitals Coalition (https://capitalscoalition.org/) the success of organisations is dependent on the value they obtain from natural, social and human capital. By considering these capitals it is hoped that by 2030 businesses and financial institutions will be able to make better decisions to improve sustainability. To assist with this, the Capitals Coalition has developed a two- pronged approach. Firstly, by using the Natural Capital Protocol organisations can identify, measure and value their impacts and dependencies on the natural world. This will help decision makers to focus on the risks and opportunities that the natural world presents. Secondly, the Social and Human Capital Protocol allows organisations to understand how, and by how much, their activities increase, decrease or transform social and human capital. It is important for organisations to recognise that people, from employees through to customers, suppliers and the wider community, are at the core of business. In order to be successful organisations must therefore support the well-being of these people, taking into consideration global issues such as poverty, inequality, economic instability and widening skills gaps, all of which impact on business value if not managed effectively.

*(**Source**: Social and Human Capital Coalition (2019) Social and Human Capital Protocol. [Online] Available at: https://capitalscoalition.org/capitals-approach/social-human-capital-protocol/)*

Definition

Green finance: *Can refer to financial investments into environmental goods and services, for example the protection of biodiversity. It can also refer to schemes to encourage sustainability, such as policies to encourage investment in renewable energies. Green finance can also specifically relate to the financial systems that deal with green investments, which are known as green bonds and green funds.*

The UK government launched its Green Finance Strategy in July 2023 to tackle the risks from climate change and environmental degradation and to ensure the necessary finance flows to net zero, energy security and environmental industries.

There are five key objectives within the strategy:

(a) *UK financial services growth and competitiveness – ensuring that more is done to support the UK's financial services sector encouraging venture capital to support innovative climate tech solutions and banks to lend to major renewables projects.*

(b) *Investment in the green economy – encouraging public and private investment in sustainable energy and other projects to help achieve carbon targets. It is estimated that, to deliver on the UK's net zero ambitions, an additional £50–£60 billion capital investment will be required each year through the late 2020s and 2030s.*

(c) *Financial stability – ensuring that the finance sector has the information it needs to manage risks from climate change and nature loss, since climate change and environmental degradation pose profound risks to the economy.*

(d) *Incorporation of nature and adaptation – nature and climate adaptation are included within the green finance policy framework in order to maintain the progress made towards 'nature finance' at COP 15 in December 2022.*

(e) *Alignment of global financial flows with climate and nature objectives – the UK will collaborate with international partners to support the development of global financial frameworks and encourage investment in emerging and developing markets.*

*(**Source**: Great Britain. Department for Energy Security and Net Zero (2023). Mobilising Green Investment 2023 Green Finance Strategy. London, HMSO)*

In response to the government's strategy ICAEW has signed up to the Green Finance Education Charter to ensure that today's accountants are fully versed in green finance and are able to consider and report on the impact that strategic decisions may have on the environment.

3.7 Legal factors

Legal factors relate to the role of law in society and its role in business relationships. This can be assessed in terms of:

- **Systemic factors**: How effective is the legal system at enforcing contracts? To what extent are legal decisions likely to be interfered with by politicians ie, are the courts independent of government? How easy is it to get hold of legal advice? How speedy are the courts? To what extent is regulation delegated? Are rights of private property genuinely enforceable?
- **Cultural factors**: To what extent are business relationships conducted formally or informally? The USA is regarded as a litigious society; in Japan (partly because of the small size of the legal profession), business is widely believed to be based more on long-term relationships.
- **Context and regulatory factors**: Cover civil and criminal law, laws relating to consumer protection and advertising, employment, health and safety and so forth. Furthermore, to what extent is competition promoted, regulated and enforced? Intellectual property rights are examples of specific issues which need to be considered.

Illustration – The PESTEL Model

*An electric car manufacturer is planning its strategy for the next five years. The following are some of the **PESTEL** factors it should consider:*

Political Influences

- *Governments are increasingly supporting green energy initiatives, including subsidies and grants.*
- *Incentives for electric vehicle purchases and green energy projects may change with government policies.*
- *Tariffs on imported components can affect production costs and competitiveness.*

Economic Influences

- *Interest rates, inflation, and economic growth will impact the broader car market.*
- *Higher disposable income in many countries may lead to increased car spending.*
- *Costs of importing raw materials and expanding production facilities overseas may rise.*

Social Influences

- *Consumers are increasingly drawn to eco-friendly products.*
- *Awareness of environmental impact has boosted demand for sustainable transport solutions such as electric cars.*
- *This trend can positively enhance the manufacturer's image.*

Technological Influences

- *Innovations in battery technology, charging infrastructure, energy density, and materials science significantly affect electric car development.*
- *Manufacturers must keep pace with these advancements.*
- *Staying ahead requires heavy investment in research and development.*

Environmental Influences

- *Rising emissions and climate change pressures drive focus on cleaner, sustainable production methods.*
- *Electric cars are part of the solution, but manufacturers must ensure environmentally friendly processes, materials, and disposal methods.*

Legal Influences

- *Compliance with stringent emission regulations is crucial, especially in regions with strict standards.*
- *Manufacturers must meet working condition and environmental law requirements.*
- *Breaches can result in fines, legal action, and reputational damage.*

It appears that, over the next five years, the electric car industry is poised for significant growth due to increasing government support, technological advancements, and rising consumer demand for sustainable products. However, economic uncertainties and raw material costs could pose challenges.

Overall, the market outlook remains highly positive.

Note that it does not matter under which category an influence has been listed. Tax has economic, legal and political dimensions. All that matters is that issues have been considered somewhere.

4 The international business context



Section overview

- Few if any businesses are unaffected by global influences from competition, new markets or, at the very least, cheaper sources of supply.

- The view that certain nations have built-in advantages from low costs or harder-working staff has given way to a more sophisticated view that home factors may configure to give advantages to a handful of specific industries.
- This is illustrated using Porter's Diamond model.

4.1 The importance of the global business environment

Rapid industrialisation from the 18th century was a consequence of early involvement of merchants and businesses in trade. In the 21st century improved transportation and communications and cross- border business ownership have created, for most industries, a global business environment.

Global competition affects firms in several ways.

- It provides the opportunities of new markets to exploit.
- It presents the threat of new sources of competition in the home economy from foreign firms.
- It offers an opportunity of relocating parts of business activity (or **supply chain**) to countries able to perform them better or more cheaply.
- It may drive cross border acquisitions and alliances.

This leads management to make significant strategic investment decisions that rely on assessments of the stability and trends of the global business environment:

- Development of products for international markets
- Advancing credit to clients in international markets or investing in businesses and assets in host countries
- Reliance of international sources for supplies of crucial inputs

4.2 The global corporation



Definition

Globalisation: The production and distribution of products and services of a homogenous type and quality on a worldwide basis.

Levitt (*The Globalisation of Markets,* 1983) described the development of a 'global village' in which consumers around the world would have the same needs and attitudes and use the same products. A global corporation would be one that operated as if the entire world was one entity, to be sold the same things everywhere.

Levitt's focus was on the marketing aspects of globalisation. The global business corporation will also be characterised by:

- **Extended supply chains**: Instead of making the product at home and exporting it, or setting up a factory in the host country to make it, the global corporation may factor out production so that different parts of the product (or service) originate in different countries. Womack et al (*The Machine That Changed The World*) suggest that the globalisation of the automobile industry led the way for this model.
- **Global human resource management**: This involves pan-national recruitment and development of human resources.



Interactive question 2: A global corporation

Some would say that such purely global organisations are rare. Industry structures change and foreign markets are culturally diverse. Even within the US, there is an enormous variety of cultural differences.

Requirement

Can you think of a global corporation that fulfils the requirements of the definition given above?

See **Answer** at the end of this chapter.

4.3 Ohmae's five Cs: factors encouraging development of global business

Ohmae (*The Borderless World*) has identified a number of reasons which might encourage a firm to act globally arranged into a 'five C's' framework.

The customer	Are consumer tastes across the world converging upon similar product characteristics?
The company itself	Selling in a number of markets enables fixed costs to be spread over a larger sales volume.
Competition	Global competitors, who are enjoying the benefits of global commitment, could encourage a previously local or regional operator to expand.
Currency volatility	Setting up assembly overseas is a way of reducing the exchange rate risks inherent in exporting and may also help to get around government-imposed trade barriers.
Country	Locating business activities overseas may provide cheaper access to labor, materials and finance, along with the goodwill of host governments.

The continuing political acceptance of free-trade by international economies is essential to the success of these strategic investments.

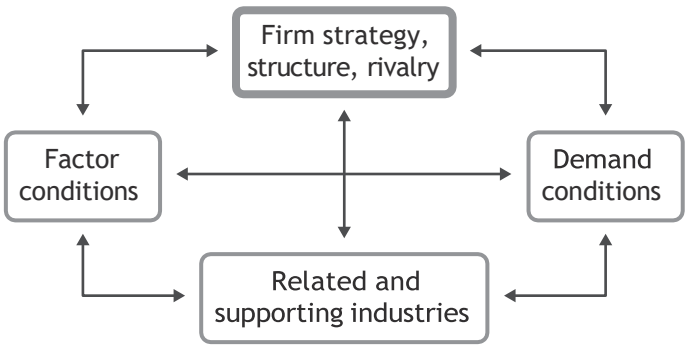
4.4 Porter's Diamond: The Competitive Advantage of Nations

Definition

Porter's Diamond: Helps organizations to understand the determinants of national competitive advantage. It identifies these as key determinants: firm strategy, structure, rivalry; demand conditions; related and supporting industries; factor conditions.

Management developing strategy in a global environment needs to understand the competitive advantages they have over firms from other countries. Porter (*The Competitive Advantage of Nations*) seeks to 'isolate the national attributes that foster competitive advantage in an industry.' Porter identifies determinants of national competitive advantage which are outlined in the following diagram. Porter refers to this as the Diamond.

Figure 4.3: Porter's Diamond



Role of factor conditions	Basic factors	Advanced factors
• Human resources skills, (price, motivation, industrial relations) • Physical resources (land, minerals, climate, location relative to other nations) • Knowledge (scientific and technical know-how, educational institutions) • Capital (ie, amounts available for investment, how it is deployed?) • Infrastructure (transport, communications, housing)	Basic factors include: • Natural resources • Climate • Semi-skilled • Unskilled labour Basic factors are inherited or, at best, their creation involves little investment.	Advanced factors include: • Modern digital communications • Highly educated personnel • Research laboratories and so forth They are necessary to achieve high order competitive advantages, such as differentiated products and proprietary production technology.

Role of demand conditions	Comment
The home market determines how firms perceive, interpret and respond to buyer needs. This information puts pressure on firms to innovate and provides a launch pad for global ambitions.	• There are few cultural impediments to communication in the home market. • The segmentation of the home market shapes a firm's priorities. Companies will generally be successful globally in segments which are similar to the home market. • Sophisticated and demanding buyers set standards. • Anticipatory buyer needs – if consumer needs are expressed in the home market earlier than in the world market, the firm benefits from experience. • The rate of growth – slow growing home markets do not encourage the adoption of state-of-the-art technology. • Early saturation of the home market will encourage export.

Role of related and supporting industries	Comment
Competitive success in one industry is often linked to success in related industries. Domestic suppliers are preferable to foreign suppliers, as 'proximity of managerial and technical personnel, along with cultural similarity, tends to facilitate free and open information flow' at an early stage.	This facilitates the generation of clusters. These are concentrations of many companies in the same industry in one area, together with industries to support them. For example, London in the UK is a global financial services centre, with a concentration of banks, legal services, accounting services and a depth of specialist expertise. Silicon Valley is a further example.

Role of strategy, structure and rivalry	Comment
Structure	National cultural factors create certain tendencies to orientate business people to certain industries. German firms have a strong presence in industries with a high technical content.
Strategy	Industries in different countries have different time horizons, funding needs and so forth. • National capital markets set different goals for performance. In some countries, banks are the main source of capital, not equity shareholders. • When an industry faces difficult times, it can either innovate within the industry, to sustain competitive position or shift resources from one industry to another (eg, diversification).
Domestic rivalry	• With little domestic rivalry, firms are happy to rely on the home market. • Tough domestic rivals teach a firm about competitive success. • Each rival can try a different strategic approach.

Two other variables, **chance events** and the **role of government**, also play their part in determining the competitive environment.

4.4.1 Interactions between the determinants

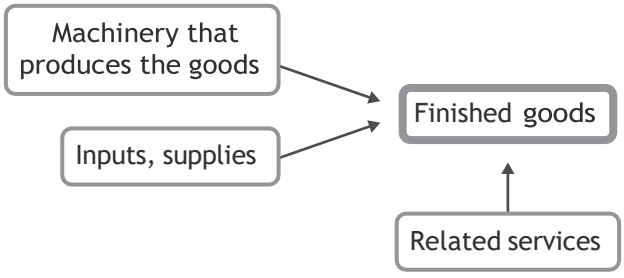
The factors in the 'Diamond' are interrelated. Competitive advantage in an industry rarely rests on a single determinant.

- Related industries affect demand conditions for an industry. For example 'piggy-back' exporting is when an exporting company also exports some of the products of related industries.
- Domestic rivalry can encourage the creation of more specialised supplier industries.

4.4.2 Clusters

Related business and industries are geographically clustered. A cluster is a linking of industries through relationships which are either vertical (buyer-supplier) or horizontal (common customers, technology, skills). Clusters are supposedly a key factor in the competitive advantage of nations.

Figure 4.4: Industry links in a cluster



Within a country, the industry may be clustered in a particular area.

- The Indian software industry is based in Bangalore.
- The UK investment banking industry is largely based in London.

Interactive question 3: Why do banks cluster?

It is easy to see why mining companies should congregate in a cluster around coal seams, or shipping services would congregate around ports, but why should banks and software companies be clustered in the same way, given plentiful IT and broad bandwidth communications?

See **Answer** at the end of this chapter.

4.4.3 Using Porter's Diamond to develop business strategies

Porter claims that firms gain competitive advantage from either of two sources.

- Lower costs of supply to customers which result in higher profitability (cost leadership)
- Differentiated service or reputation resulting in higher prices and sales revenues (differentiation)

Porter advises management to consider the diamond factors in their home country and to compare them with the diamond factors available to rivals from other countries.

Porter offers the following prescription.

- If the home diamond factors give a comparative cost advantage over those of foreign rivals then management should adopt strategies based on **overall cost leadership**. This may explain the strategies of South Korean car manufacturers like Hyundai/Kia, Daewoo and SsangYong (the latter two being respectively offshoots of General Motors and Daimler Chrysler).
- If the home diamond factors give a differentiation advantage over foreign rivals management should adopt strategies based on **differentiation**. This may explain why car manufacturers Mercedes, BMW and Audi tend to develop and initially produce their limousines in Germany but build vans and utility cars in Spain, South Africa and Brazil.
- If the diamond does not confer advantage over rivals then management must **focus** on sub- sections of the industry which large players may have overlooked or not be able to exploit commercially. This may explain the large number of private banks in Switzerland or the boutique sports car makers in Italy (Ferrari, Lamborghini, Maserati etc).

Professional skills focus: Concluding, recommending and communicating

Porter's Diamond is a useful model for identifying an organisation's sources of competitive advantage. Ensure that you also explain the implications that competitive advantage could have on business strategy before recommending a suitable course of action.

Context example: Chinese car industry

At the end of the 20th century, China's car production did not match any single large auto company in the developed world. In 2019 the International Organization of Motor Vehicle Manufacturers reported China was the world's largest car producer in 2018. But it is not just volumes. China's car makers now produce not just low-cost runabouts, but also luxury and sports models, 'concept cars' and even a few hybrid and electric vehicles. Local car makers in the fastest-growing car market would appear to have come of age.

Until recently many Chinese car makers built thinly-disguised copies of vehicles made by Volkswagen, GM and Toyota. In the past few years things have changed. In preparation for a push overseas local firms such as Chery, Great Wall and Geely have proved they can develop

their own vehicles too. Buying designs from international specialists and installing robotic production lines have led to an increase in the types of cars produced.

For a number of years foreign car makers had been worried by the Chinese firms' ultra low prices, however this has been changing in recent times. The rise of China's affluent middle class has led increasing numbers of Chinese consumers to switch to more expensive Western brands renowned for safety and flair. Chinese domestic car brands have also been damaged by poor safety crash results. Chinese cars exported today mostly go to Africa, south-east Asia and the Middle East, where expectations are lower and price matters more.

The development of China's car manufacturing business has been helped by a number of factors. A lot of early technology was borrowed. The government also offered support to fledgling firms via direct investments, guaranteed loans and a programme aimed at supporting Chinese production of electric cars. Universities provided technical help, especially in the development of expensive engines. Future legislation is likely to force foreign firms to do more research and development in conjunction with Chinese partners to ensure continued access to cutting-edge engineering skills.

(**Source**: International Organisation of Motor Vehicle Manufacturers (2019) *2018 Production Statistics*. [Online] Available from: http://www.oica.net/category/production-statistics/2018-statistics/)



Interactive question 4: Chinese car industry

Identify, using Porter's Diamond, the sources and nature of any competitive advantage enjoyed by Chinese car manufacturers.

See **Answer** at the end of this chapter.

5 Limits to globalization of business



Section overview

- Despite the forecasts there are many impediments to the development of global businesses such as protectionism. These are reviewed here.
- Pursuing a global strategy is a source of risk to a business, either because the forecast opportunity doesn't come about or because host governments change their policies towards 'foreign' investment and render it no-longer valuable.

5.1 Political risks in international business

The development of plans for international business will depend on the following factors:

(a) The stability of the government. Rapid changes or political unrest make it difficult to estimate reactions to an importer or a foreign business.

(b) International relations. The government and its role in the economy will affect the way in which the company may be allowed to trade, and this might be embodies in legislation.

(c) The ideology of the government and its role in the economy will affect the way in which the company may be allowed to trade, and this might be embodied in the legislation.

(d) Informal relations between government officials and businesses are important in some countries. Cultivation of the right political contacts may be essential for decisions to be made in your favour.

Political risk is still relevant with regard to overseas investment, especially in large infrastructure projects overseas. History contains dismal tales of investment projects that went wrong and were expropriated (nationalised) by the local government.

- Suspicion of foreign ownership is still rife, especially when prices are raised.
- Opposition politicians can appeal to nationalism by claiming the government sold out to foreigners.
- Governments might want to re-negotiate a deal to get a better bargain, at a later date, thereby affecting return on investment.

In addition to expropriation, there are other dangers:

- Restrictions on profit repatriation (eg, for currency reasons)
- 'Cronyism' and corruption leading to unfair favouring of some companies over others
- Arbitrary changes in taxation
- Pressure group activity

5.2 Protectionism in international trade

Protectionism is the discouraging of imports by, for example, raising tariff barriers and imposing quotas in order to favour local producers. It is rife in agriculture.

Protectionist measures include:

Tariffs or customs duties: A tax on imports where the importer is required to pay either a percentage of the value of the imported good (an *ad valorem* duty), or per unit of the good imported (a specific duty).

Nontariff barriers: Restrictions on the quantity of product allowed to be imported into a country. The restrictions can be imposed by import licences (in which case the government gets additional revenue) or simply by granting the right to import only to certain producers.

Minimum local content rules: A specified minimum local content of products should be made in the country or region in which they are sold to qualify as being 'home made' and so avoid other restrictions on imports. This leads manufacturers to set up factories in the country.

Minimum prices and anti-dumping action: To stop the sale of a product in an overseas market at a price lower than charged in the domestic market, anti-dumping measures including establishing quotas, minimum prices or extra excise duties are used.

Embargoes: A total ban or zero quota.

Subsidies for domestic producers: Financial help and assistance from government departments that give the domestic producer a cost advantage over foreign producers in export as well as domestic markets.

Exchange controls and exchange rate policy: Regulations designed to make it difficult for importers to obtain the currency they need to buy foreign goods.

Unofficial non-tariff barriers: Administrative controls such as slow inspection procedures or changing product standards which are hard for foreign suppliers to anticipate and respond to.

5.3 Trade blocs and triads

Trading blocs

Currently, a number of regional trading arrangements (or 'blocs') exist, as well as global trading arrangements. These regional trading groups take three forms.

(a) Free trade areas – members in these arrangements agree to lower barriers to trade amongst themselves, eg, NAFTA (USA, Canada, Mexico). NAFTA will be replaced with the United-States- Mexico-Canada-Agreement (USMCA) once ratified by the three member states.

(b) Customs unions – these agree a common policy on barriers to external countries. Tariffs, taxes and duties are harmonised amongst members.

(c) Common markets – in effect, the members become one trading area. There is free movement of all factors of production. The European Union (EU) features a common political decision-making process and a single currency and has economic union as an aim.

In addition to NAFTA and the EU, other major regional trade organisations include:

- Mercosur – Brazil, Argentina, Paraguay and Uruguay (Venezuela's membership was suspended in 2017)
- The Economic Community of West African States (ECOWAS)
- The Association of Southeast Asian Nations (ASEAN) – Indonesia, Malaysia, Philippines, Singapore, Thailand, Brunei, Cambodia, Laos, Myanmar, and Vietnam

Triad theory describes the international business environment as a limited number of 'superblocs.'

The triad

Ohmae developed the concept of a global economic triad in 1985, consisting of three main economic blocs: the USA, the EU and Japan, which controlled 75% of world trade at the time.

Triad theory rejects the idea that homogenous products can be developed and sold throughout the world. Multinationals have to develop their products for the circumstances of each triad.

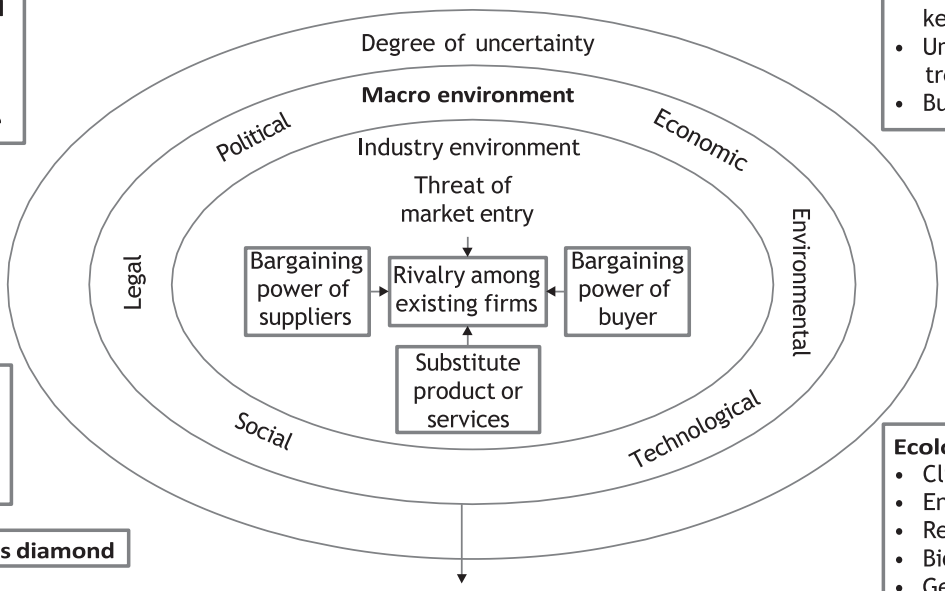
The Triad theory which applied in the latter part of the 20th century may be out of date now. The emerging markets, particularly those of China and India, but also Eastern Europe may give rise to additional trading blocs or a shifting economic triad for the 21st century of China, India and the US.

Summary

Dynamics
Turbulence =
Complexity x Predictability

Scenario planning
- Identifying key forces
- Understand trends
- Build scenarios

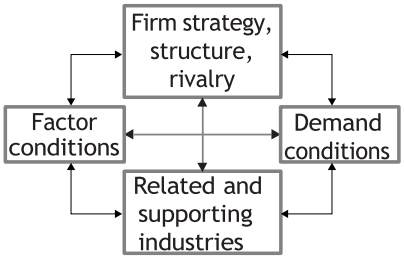
Environmental Information
- Gather
- Validate
- Disseminate



Political risk
- Ownership
- Operating
- Transfer

Ecological
- Climate change
- Energy gap
- Recycling
- Bio-diversity
- Genetic modification
- Natural capital

Porter's diamond



Global businesses

Limitation
- Protection
- Trade blocks

Ohmaes 5 C's
- Customer
- Company
- Competition
- Currency
- Country

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Do you understand the various sources of information and their limitations? (Topic 1)
(2)	Can you explain the benefits of scenario planning and list the stages involved? (Topic 2)
(3)	Can you conduct a PESTEL analysis of the macro-environment? (Topic 3)
(4)	Can you explain Ohmae's five Cs for encouraging global business operations? (Topic 4)
(5)	What are the limits and risks inherent in globalisation? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
1	This question is designed to encourage the generation of ideas. There are no relevant models or theories you can use so rely on commercial acumen and general business awareness instead.
2	Question 2 requires you to assess two macro-environmental factors; social and technological. It is important to explain how these factors impact future demand rather than simply describing them.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Vision Bank (Sept 2018)	Part 1 of the question requires you to analyse three external factors influencing banking. You are asked to refer to relevant models but are not told which ones to use. Ensure you understand which external environment models are useful and relevant in which circumstances.
Ignite plc, part 1 only (Practice Qs)	Part 1 requires an environmental analysis supported by data in two exhibits. The first exhibit contains a graph with some company history. The second exhibit provides key dates. Remember to apply your answers to the detailed scenario information provided. Review the solution to part 3 to see how spreadsheet functionality can be used in the exam to perform calculations.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 PDB Motors plc

PDB Motors plc is a major UK car manufacturer with plants in the UK and Europe. It is seeking to exploit both the buoyant North American and Brazilian markets for car sales.

Requirement

Suggest two reasons why it would be a logical strategy for PDB Motors plc to build an assembly plant in Mexico.

2 Busline plc

Social and technological factors always need to be assessed when analysing the environment within which a business operates.

Requirement

Give two examples of each of these factors which would be relevant to Busline plc, a UK operator of coach tours to Scarborough and Whitby (seaside towns in the North of England).

Suggest how each of your factors may impact future demand.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 External factors would include:

- Rival accounting firms seeking to take clients themselves
- Other professional practices which may direct work toward us
- Regulations such as tax laws, accounting standards and audit standards
- The labour market for post-qualified and qualified accountants
- The general state of the economy and its effect on business.

1.2 These factors create opportunities and threats. New regulations create a need for professional advisers to provide guidance to clients. Competitors or a thriving labour market with higher pay create threats (incidentally notice how you changed your perspective on the last point because you would like to have the higher pay but you are calling it a threat for your firm). This illustrates how flawed the distinction between 'internal' and 'external' is when we discuss environmental analysis.

1.3 This will depend on the managers' psychological make-up. Some will see it as a tiresome bind that makes them have to keep changing things and also which makes it hard to plan or feel certain. Others will see it as invigorating.

A very interesting test of management is the extent to which they see themselves as powerless in the faces of environmental changes or whether they believe they can shape and respond to them.

1.4 Again, this varies. Some will avoid making decisions which could be affected by environmental uncertainty, and will wait till it settles down (hence incrementalism). Some will simply ignore environmental issues that cannot be proven. Perhaps a more balanced approach is to adopt strategies that would still deliver benefit under a number of environmental developments or perhaps have several courses of action running at the same time, with each one designed to take advantage of different environments. In another context, energy companies invest in several different technologies because they do not know how oil prices and environmental regulations will develop.

Answer to Interactive question 2

Levitt cited examples such as Coca-Cola in his article. More recently, examples such as Starbucks, Mercedes Benz, Facebook, Google, Microsoft and Disney have been called global businesses.

In practice, these corporations offer subtly different products in different markets and their appeal is not global. For example, Coca-Cola has suffered badly from an anti-American sentiment.

Answer to Interactive question 3

The reasons cited for geographical clustering of financial and IT businesses are:

- *Proximity to educational and research centres (eg, in the US, the IT industry clusters around its universities)*
- *Networking and mutual exchanging of staff*

Answer to Interactive question 4

The real-life example suggests the following sources of the cost leadership advantages enjoyed by the Chinese car industry:

Demand conditions: China is a very large market and fast growing. This enables firms to gain significant economies of scale and also to justify investment in the new models and production equipment. Although demand is still high for domestic brands this appears to be changing as the number of affluent Chinese middle-class buyers continues to grow. Buyers from this group are now preferring to purchase foreign models. Historically, demand in China was driven for low price cars and which had forced car makers to concentrate on reducing costs.

Related industries: The only cited example is the assistance from universities in R&D. This provides significant cost advantages compared with in-house development. The low price of the Chinese vehicles suggests that steel and other components are being sourced cheaply too.

Factor conditions: China clearly has a good technical education system. It is also known for having abundant cheap labour and land available for building car plants. It has good sea links and freight handling for the purposes of exporting.

Firm strategy, structure and rivalry: The Chinese government is keen for the market to achieve future growth among Chinese brands and has put in place measures to support local car makers. This will give each significant economies of scale and an incentive to invest in product and process improvement. That foreign-made cars are allowed into China gives a stimulus to product development and the search for competitive advantage.

Answers to Self-test questions

1 PDB Motors plc

Two reasons from the following:

- This would allow PDB to take advantage of low labour costs in Mexico.
- The location would be close to potential major markets, cutting transport costs and reducing lead time.
- The North American Free Trade Agreement (NAFTA) will avoid sales to the USA and Canada being subject to import restrictions.
- It delivers sales growth prospects to a company facing a saturated European market.

2 Busline plc

Social factors

Two examples from the following:

- Increasing car ownership (lower demand)
- Higher proportion of older people in society (higher demand)
- Cheap overseas packages available (lower demand)

Technological factors

Two examples from the following:

- Development of faster trains (lower demand)
- More comfortable coaches being developed (higher demand)
- Greater internet accessibility, creating more awareness of other travel options (lower demand)

However, the ability to book coach tour tickets online coupled to a dynamic pricing approach may actually increase demand (higher demand). Furthermore, customers may demand improved functionality when using coaches, for example, free WiFi.

Chapter 5

The industry and market environment

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Porter's Five Forces approach

2 Industries, companies, markets and technologies

3 Product life cycles and international activities

4 Industry segments and strategic groups

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Analyse the external factors which may impact upon an organisation's performance and position, evaluating significant issues in areas such as:
  - Natural capital and climate change
  - Macroeconomic forces
  - International trade, financial systems and global economic factors
  - Government policies
  - Its industry and markets, including competition
  - Cultural environment
  - Stakeholder, ecosystem and participant impact
  - Markets for finance, labour and other resources
  - Supply chain factors
  - Technology developments
- Analyse an organisation's current markets and competitive strategy in sufficient detail for decisions to be made, drawing conclusions consistent with the qualitative and quantitative data available and highlighting relevant issues in terms of their likely impact on the strategy of the organisation.
- Explain and demonstrate how products and services can evolve in the face of developing technologies, consumer demand and industry competition.

Syllabus links

Some of the models covered here will be familiar to you from the Business, Technology and Finance syllabus.

Examination context

This chapter looks at models such as Porter's Five Forces and life cycle analysis. Applying the appropriate models to the scenario in the exam will help you understand and analyse the wider context in which the organisation is operating and the factors that are likely to impact on business performance.

As we highlighted in the chapter The macro environment, candidates need to be prepared for exam questions to ask them to use models in a number of different ways. Questions may ask you to apply specific elements of a model to a scenario or you may be asked to apply the whole model in its entirety. Regardless of which approach is taken it is important that you apply your knowledge of the theory to the question scenario.

Practise questions to learn to identify the clues from the question scenario, which indicate where different models could be used to help provide ideas to discuss in your answer.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Porter's Five Forces approach** The competitive pressures of the industry affect the level of profitability of the business as a whole. Understanding the five forces present in an industry can help to understand current profitability and to predict the future potential of a business.	**Approach** Read through Porter's Five Forces model and ensure you understand the factors that influence the strength of each force. **Stop and think** What can an organisation do to reduce the threat of new entrants to the market?	Applying appropriate models, such as Porter's Five Forces, to the scenario in the exam will help you understand and analyse the wider context in which the organisation is operating and the factors that are likely to impact on performance.	**IQ1: Blockbuster** This real-life example requires application of the Five Forces model to explain the decline of the film rental company, Blockbuster.
2	**Industries, companies, markets and technologies** The stage of the industry in its lifecycle affects cash flows and the competitive challenges the industry members face. Understanding of the life cycle is essential to a management team that wishes to deliver competitive success.	**Approach** Remind yourself of the stages in the lifecycle and ensure you understand the relevant strategic implications at each point. **Stop and think** Share prices are influenced by the long- term earnings available in the industry as a whole and the perceived ability of the firm's management team to succeed better than rivals in the industry. Which industries do you think have their best years still to come and which already have their best years behind them?	Ensure you understand the key elements of the model and also its significance for the financial outlook of an industry or organisation so that you can make appropriate recommendations.	**IQ2: Profitability of airlines** This question looking at the airline industry, requires you to assess industry profitability using the life cycle and Five Forces models.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	**Product life cycles and international activities**	**Approach** Read this section to understand the impact of the international trade life cycle on long-term product strategy. **Stop and think** Do the phases of the international trade life cycle apply to emerging economies, like China?	When recommending growth strategies for an organisation, consider product life cycles in different countries to identify whether there is a viable market.	
4	**Industry segments and strategic groups** Within any industry it is possible to identify different market segments or strategic groups. By targeting each segment, a firm can defend their position and maintain or even increase profitability.	**Approach** Understand the key considerations in identifying strategic segments and country clusters. **Stop and think** What are some of the cultural differences between the UK and the US which mean the marketing mix for a new product may not be identical?	The recognition of industry segments may inform the strategies and recommendations you propose in the exam.	

Once you have worked through this guidance, you are ready to attempt the further question practice included at the end of this chapter.

1 Porter's Five Forces approach

Section overview

- Strategic analysis requires management to consider the competitive forces in the organisation's industry, and Porter's Five Forces is one of the most influential models used. Porter's Five Forces was introduced in your Business, Technology and Finance studies.
- Long term profitability determined by the extent of competitive rivalry and pressure on an industry.
- By considering the strength of each force and the implications for the organisation, management can develop strategies to cope.
- Like all models of analysis it has limitations particularly in industries that are rapidly changing.

1.1 The Five Forces model

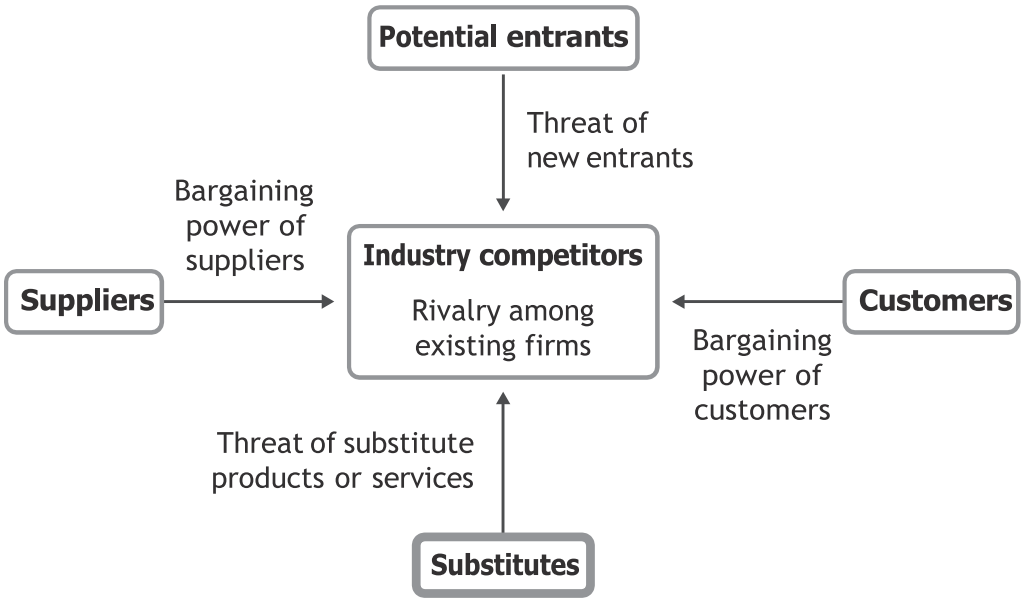
Definition

Porter's Five Forces: According to Michael Porter, five competitive forces influence the state of competition in an industry: threat of new entrants; bargaining power of customers; threat of substitute products or services; bargaining power of suppliers; rivalry among existing firms.

The Five Forces model was introduced in your Business, Technology and Finance studies, so we will only highlight its key themes here, rather than looking at it again in detail.

According to Porter, five competitive forces influence the state of competition in an industry. These collectively determine the profit (ie, long-run return on capital) potential of the industry as a whole.

Figure 5.1: The Five Forces model



(Adapted from *Competitive Strategy* (Porter, 1980))

Porter claims that the intensity of the fifth force, the rivalry amongst industry competitors, is driven by the intensity of the other four forces. If these other forces are driving profitability down, the firms in the industry will compete more intensely to restore their own profits.

1.2 The threat of new entrants

A new entrant into an industry will bring extra capacity and more competition. The strength of this threat is likely to vary from industry to industry, depending on the strength of the barriers to entry. Barriers to entry discourage new entrants and influence the likely response of existing competitors to the new entrant.

These will include:

- Economies of scale and scope
- Product differentiation
- Capital requirements
- Switching costs
- Access to distribution channels
- Cost advantages of existing producers, independent of economies of scale
- Response of incumbents

Entry barriers might be lowered by:

- Changes in the environment
- Technological changes
- New distribution channels for products or services

Generally, an industry with low barriers to entry will be characterised by a large number of small firms.

The impact of e-commerce on traditional business models over the last 20 years has been significant and has helped to break down traditional barriers to entry in certain industries. A number of well- known retailers around the world have gone out of business after failing to recognise (and respond) to the fact that traditional barriers to entry, such the associated costs of establishing physical stores, can now easily be overcome by competitors selling the same goods online directly to customers.



Definition

Economies of scale: Economies arising within the business from the organisation of production (internal economies), or attainable by the business because of the growth of the industry as a whole (external economies).

1.3 The threat from substitute products

A substitute product is a product/service produced by another industry which satisfies the same customer needs.

Substitutes affect profitability of an industry through putting a ceiling on prices (eg, air fares will determine the maximum level of train fares over similar routes), affecting volumes of demand and forcing expensive investments and service improvements (eg DVDs supplied with booklets, posters and other offers to make them more attractive as artefacts compared to virtual downloads).

Threat from substitutes is determined by:

- relative price/performance (eg, speed of plane travel against the speed of train travel may be higher but does this justify the higher price?); and
- switching costs from one to another (eg, downloads may be cheap but necessitate buying a smart phone or computer).

Interactive question 1: Blockbuster

Launched in 1985, US company Blockbuster became the largest film rental company in the world. It offered customers the ability to rent video games and movies (initially on video cassettes and later DVDs) for a short period, from its owned and franchised stores. By the mid-1990s, it employed 60,000 staff and operated 9,000 stores worldwide.

However, although it had once been a leading provider of home entertainment, the company finally closed down its operations in late 2013.

Requirement

Identify the factors that enabled substitutes to cause the financial decline of Blockbuster. See **Answer** at the end of this chapter.

1.4 The bargaining power of buyers (customers)

Buyers (customers) may include:

- industrial customers and distributors seeking to obtain lower costs to boost their own margins, or better inputs and smoother transactions with suppliers;
- governmental or other not-for-profit organisations seeking to gain more benefit for their clients; and
- consumers wanting better quality or technologically advanced products and services at lower prices.

Buyer power may depend on the number of alternative suppliers in the industry. Buyer power is increased by:

- the customer buying a large proportion of total industry output;
- the product not being critical to the customer's own business and a lack of proprietary product differences which would otherwise make them favour or be locked into one supplier;
- low switching costs (ie, the cost of switching suppliers);
- the size of the purchase relative to the size of the supplier; and
- high degrees of price transparency and supplier information available in the market.

1.5 The bargaining power of suppliers

Industry profitability can be affected by powerful suppliers. Suppliers can exert pressure for higher prices but this depends on a number of factors.

- The number and size of suppliers

  Are there just one or two dominant suppliers to the industry, able to charge monopoly or oligopoly prices?
- The threat of new entrants or substitute products to the supplier's industry
- Whether the suppliers have other customers outside the industry, and do not rely on the industry for the majority of their sales

  If the industry supplied is not an important customer, suppliers may be unwilling to negotiate or discount.
- The importance of the supplier's product to the customer's business
- The extent to which the supplier has a differentiated product
- The level of switching costs for their customers

The internet tends to lessen supplier power, reducing barriers to different supplier migration.

1.6 Competitive rivalry

If rivalry is fierce, firms compete aggressively which reduces the profit potential for all players in the industry.

The intensity of competition will depend on the following factors:

- Rate of market growth: The level of rivalry in an industry is intensified when market growth is slowing or stagnant.
- Level of fixed costs: High fixed costs make it more likely that competitors will compete on price in the short-term in order to earn a contribution from sales to help cover costs.
- Ease and cost of switching for buyers: Suppliers will compete aggressively if buyers can, and do, switch easily.
- Importance of capacity utilisation/economies of scale: A supplier might aim to achieve a significant increase in output, in order to obtain reductions in unit costs.
- Degree of uncertainty regarding the actions of rival firms: A key characteristic of an oligopoly is that the actions of one firm produce a response from rivals. When a firm is uncertain about the behaviour of a competing firm, there is a tendency to respond by formulating a more aggressive strategy.
- Strategic importance: Where success in a particular market is a prime strategic objective, firms are more likely to act increasingly competitively to meet their targets.
- Exit barriers: High exit barriers (non-current assets with a low break-up value; redundancy payments, effect of withdrawal on the other operations within the group) increase the cost of ceasing operations and cause firms to try and earn profits by any means available.

1.7 Using the Five Forces framework

The Five Forces framework should be used to identify the key forces affecting an organisation and hence the opportunities available and threats to be considered. The key forces will tend to differ by industry so, for example, in the UK for producers of own branded food products, the power of the large UK retail buyers (eg, Tesco, Sainsbury's, Asda, Morrisons, etc) will be very important.

Consideration should be given to whether the forces will change over time and if so, how. Strategies will need to be developed to adapt to these changes.

It is essential for an organisation to determine not only how it stands in relation to the forces but also how its competitors stand.

Competitive strategy will be concerned with how an organisation can influence the competitive forces, eg, can competitive rivalry be diminished? Can barriers to entry be created?

The ideal market, in which profits are easiest to make, is one where there is:

- Low supplier power
- Low customer power
- Little prospect of substitutes emerging
- High barriers to entry
- Weak inter-firm competition



Professional skills focus: Applying judgement

An analysis of the five forces affecting an industry examines the current position at a moment in time as it applies to all participants in the industry. It does not apply specifically to a particular organisation within the industry so it cannot predict any organisation's future competitiveness. Use scenario information and your judgement to assess whether the organisation can influence competitive forces and improve their own competitive position over time.

1.8 Limitations of the Five Forces model

Limitations of the Five Forces model include:

- **Ignores the role of the state**: In many countries, the state is a factor in the industry and influences the forces via ownership, subsidy, or presentation or regulation of competition. The Five Forces model seems to present government as just a rule setter.
- **Not helpful for not-for-profit organisations**: The Five Forces are those which determine industry profitability. If profitability is not a key objective for managers, they might not consider Five Forces analysis to be helpful.
- **Positioning view and not resource-based**: It assumes profitability will be determined by dealing better with the Five Forces ie, outside-in. Individual business', strategic decision-makers should focus on product-market strategy. This ignores competence building for innovation to enter new industries.
- **Assumes management are required to maximise shareholders' wealth**: In some countries, companies pursue market share objectives instead, as has been the case in Japan, traditionally, and South Korea, where large groups, with easy access to credit (and low cost of capital) did not overtly pursue profit objectives.
- **Dynamic industries**: The model is less useful in industries that are rapidly changing as it is difficult to predict how the forces may change. Dynamic industries may require a greater focus on risk management.
- **Ignores potential for collaboration to raise profitability**: The model underplays the potential for collaboration (eg, supply chain collaboration) to build long-term relationships with suppliers, customers or distributors, joint ventures, to avoid substitutes, and so on.
- **Some industries may include additional forces:** Porter's Five Forces model can be extended to include a sixth force, referred to as 'complementors.' Complementors are those entities that enhance the attractiveness of an organisation to its customers or suppliers. For example, app developers complement the offering of smartphone and tablet computer makers. As this illustrates some industries will be affected by a wider range of factors than those in the traditional Five Forces model.

Illustration 2 – Porter's Five Forces

Consider the attractiveness of the industry for a builder of commercial property:

Competitive Rivalry

There are likely to be tens and perhaps hundreds of rival firms! Within this, larger firms have some advantages:

1. *Greater bargaining power when purchasing prime development sites.*
2. *Dealing with major customers.*
3. *Economies of scale (e.g. in using prefabrication building techniques).*
4. *Further possible applications.*
5. *Better able to offset risk.*
6. *Better able to use sophisticated techniques such as critical path analysis needed for larger developments.*
7. *More able to offer part-exchange deals to house buyers.*

However, this must not be taken to extremes:

1. *The individuality of each construction project limits economies of scale – each firm is required to tailor their product – basically make sure each house fits its design.*
2. *Small firms can benefit from learning effects.*
3. *Even small firms can benefit from learning effects.*

Overall, it is likely to be a highly competitive market where price wars and industry consolidation are common.

Threat of Entry

- *There are likely to be low barriers to entry through low capital requirements (equipment can be hired if necessary) and a potential high level of available, skilled labour.*
- *Working capital may be an issue but progress payments from buyers can be used to reduce this barrier.*
- *There are also likely to be few legal barriers as no formal qualifications are needed.*

It will therefore be important to build a brand and a reputation (for example, based on reliability, quality, workmanship and efficiency) to ensure that a buyer chooses an existing builder over a new rival.

Threat of Substitutes

The main threat is second hand property available for rent or purchase.

There may be a lot of property available but high prices in some parts of the country might make new property more attractive. (However, this will partly be offset by high land prices in such areas.) But as governments continue to invest in regeneration initiatives there should still be a demand for new buildings.

This factor is likely to be closely linked to the PESTEL model, for example, the threat will be highest when the economy is in decline, but it will be low when demand for housing is increasing.

Power of Suppliers

There are likely to be numerous suppliers of materials selling an undifferentiated product. Suppliers should generally have low power and large builders should be able to demand bulk discounts and to achieve cost control.

Power of Consumers

Commercial buyers will have low switching costs. The product is undifferentiated, and buyers may themselves be experiencing low profitability. This is likely to make them powerful and allow them to demand lower prices for work done.

Overall Opinion

Margins in this industry are likely to be low. It is very competitive, and buyers have lots of power (and lots of available substitutes).

Commercial builders will have to rely on a high volume of work and will need to establish a reputation that ensures that buyers choose them over rivals.

4 Porter's Diamond

Porter tried to answer the following questions:

- *Why does a nation become the home base for successful international competitors in an industry? Germany is renowned for car manufacture; Japan is prominent in consumer electronics.*
- *Why are firms based in a particular nation able to create and sustain competitive advantage against the world's best competitors in a particular field?*
- *Why is one country often the home of so many of an industry's world leaders?*

(a) Favorable factor conditions:

(i) physical resources such as land, minerals and weather
(ii) capital
(iii) human resources such as skills, motivation, price and industrial relations
(iv) knowledge that can be used effectively
(v) infrastructure

Porter also found that Countries with factor disadvantages were forced to innovate to overcome these problems. For example, Japan had high energy costs, which led to efficient product and process development demanded worldwide.

(b) *Demand conditions:*

There must be a strong home market demand for the product or service. This determines how industries perceive and respond to buyer needs and creates pressure to innovate. A compliant domestic market is a disadvantage because it does not force the industry to become innovative and able to excel.

(c) *Relating and supporting industries: the success of an industry can be due to its suppliers and related industries. Sweden's global superiority in its pulp and paper industries is supported by a network of related industries including packaging materials, wood-processing, conveyor systems and truck manufacture. Many of these supporting industries have also achieved leading global positions.*

(d) *Firm strategy, structure and rivalry: organisational goals can be determined by ownership structure. Unquoted companies may have slightly longer time horizons to operate because their financial performance is subject to less scrutiny than quoted companies. They may also have different 'return on capital' requirements.*

Porter found that domestic competition was vital as a spur to innovation and enhanced global competitive advantage.

Conversely, where governments have encouraged mergers to get the critical mass required to be a global player, these national monopolies have not typically been successful in establishing a global position.

Illustration 3 – Porter's diamond

Starbucks, a large American cafe chain, has been very successful when expanding overseas in areas such as Canada, Japan and the UK. To some extent this can be attributed to the following:

- ***Factor conditions:** Starbucks were able to offer better-looking premises, which were more attractive to customers as a place to meet and mix than coffee shops previously established in these countries.*
- ***Demand conditions**: Starbucks had developed in a US market where consumers were very demanding. Each customer wanted a bespoke/personal experience and Starbucks had to develop systems to cope with this (such as allowing customers to choose which type of coffee, the amount of milk or cream, the size of the cup, etc.). This allowed the company to easily adapt to new tastes and cultures in new overseas markets.*
- ***Structure and rivalry:** existing suppliers in these new countries were often small, local and undifferentiated. Starbucks were able to offer a branded experience and economies of scale which kept prices down. The skills it developed in achieving huge success in its domestic market were exploited to the full in these new markets.*

  The result is that Vancouver and London now have more Starbucks per person than New York.

  However, Starbucks has been slow to expand into some markets such as Germany and France (which are much larger than other markets such as the UK and Japan).

This can be put down to:

- ***Factor conditions:** these countries have established cafe cultures and consumers are already experiencing high quality environments in some instances.*
- ***Demand conditions:** consumers often have little diversity in their tastes in these countries and there is less demand for bespoke products. Existing domestic cafes have already developed systems to cope with this when necessary.*
- ***Structure and rivalry:** existing cafes have a built-up reputation and loyalty that Starbucks might struggle to overcome. Whereas Starbucks is often seen as a differentiator in markets such as Japan and the UK, it is likely to be perceived as a low-cost alternative in markets such as Germany and France.*

So Porter's diamond can be used to choose between overseas destinations for expansion. It is important when choosing a country for overseas expansion that the elements of the diamond are considered and the chance of success assessed.

- ***Firm strategy, structure and rivalry:*** *not much rivalry, so no structural advantages.*
- *Although factor conditions provide the right environment and home demand would be strong, the other elements of the diamond are missing.*

Professional skills focus: Concluding, recommending and communicating

When analysing the five forces present in an organisation, deciding on the strength of a force is a subjective activity. Always ensure that your point of view is justified and uses scenario evidence. The strength and validity of your argument is more important than whether your answer resembles the model solution.

2 Industries, companies, markets and technologies

Section overview

- The industry life cycle model describes the stages of development from introduction, through growth, shakeout and maturity, into decline.
- The phase that an industry is at will affect the behaviour of the competitive firms within the industry and have implications for choice of strategy.

2.1 Industry life cycles

Definitions

Industry: A group of organizations supplying a market offering similar products using similar technologies to provide customer benefits.

Industry life cycle: Describes the phases of development that an industry goes through. The key stages of the industry life cycle are: introduction; growth; shakeout; maturity; and decline.

The concept of life cycle analysis is popular in strategic management and can be used to describe the phases of development that an industry, or market segment within an industry, goes through.

The key stages of the industry life cycle are:

- **Introduction** – newly invented product or service is made available for purchase and organizations attempt to develop buyer interest

  There may be significant competitive advantage to those firms who are first in the industry.
- **Growth** – a period of rapid expansion of demand or activity as the industry finds a market and competitors are attracted by its potential
- **Shakeout** – a period in which market growth begins to slow. Weaker players are forced to leave the industry

- **Maturity** – a relatively stable period of time where there is little change in sales volumes year to year but competition between remaining firms intensifies as growth continues to slow down
- **Decline** – a falling off in activity levels as firms leave the industry and the industry ceases to exist or is absorbed into some other industry

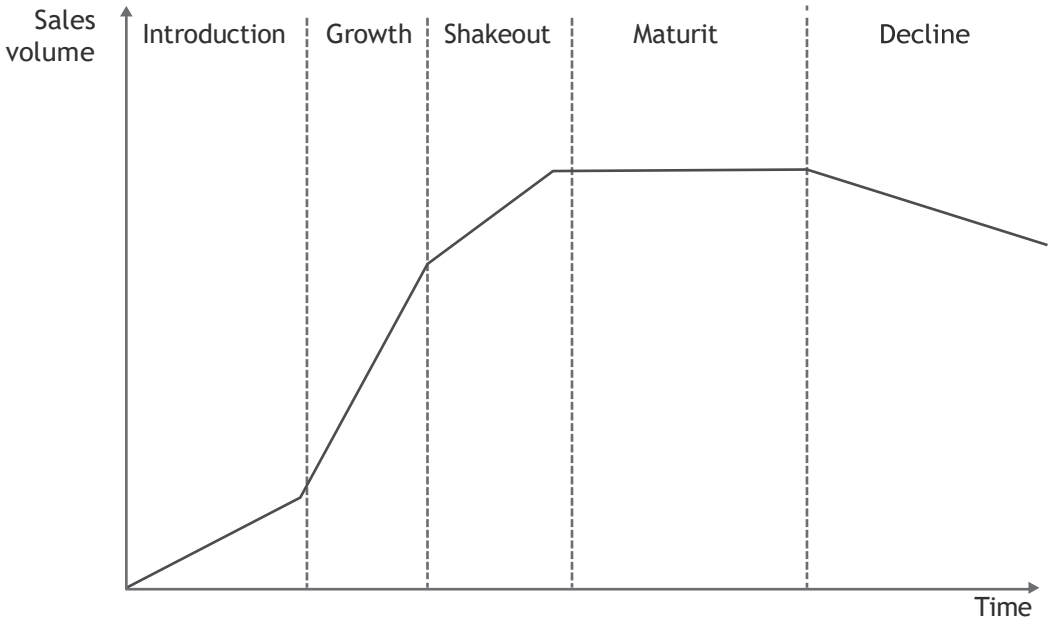
Each phase has different implications for competitive behaviour and corporate strategy eg, if an industry is growing, the organisations operating in that industry can grow as the market develops; in a mature industry, growth can only be achieved by stealing market share from other competitors and typically the market becomes more fragmented.

Some industry life cycles are identical in pattern and timing to that of their product (eg, in the hat industry, or steel industry). Others have longer life cycles than the particular products, eg, the music industry which has endured from sheet music till MP3 and downloads, merely releasing (and re- releasing) its music as new products as the format changes.

Many businesses will not wish to risk having only a single product or all their products at the same stage of development as they may all decline together. This leads to the concept of a balanced product portfolio which is discussed further in the chapter, 'Strategic capability.'

The financial returns to firms in an industry vary according to the stage:

Figure 5.2: Industry life cycle



2.2 Characteristics of the industry at different phases

	Introduction	Growth	Shakeout	Maturity	Decline
Customers	Experimenters, innovators	Early adopters	Growing selectivity of purchase	Mass market, brand switching is common	Price competition Commodity product
R&D	High	Extend product before competition	Seek lower cost ways to supply to access new markets	Low	
Company	Early mover	React to more	Potential	Battles over	Cost control or

	Introduction	Growth	Shakeout	Maturity	Decline
	Production focused	competitors with increased marketing	consolidation through buying rivals	market share Seek cost reduction	exit
Competitors	A few	More entrants to the market	Many competitors, price cutting but winnowing out of weaker players	Depending on industry, a few large competitors	Price-based competition, fewer competitors
Profitability	Low, as an investment	Growing	Levelling off	Stable, high or under pressure	Falling, unless cost control

2.3 Strategic implications of life cycles

Both industries and products have life cycles and management must pursue different strategies at each stage:

Introduction stage

- Attract trend-setting buyer groups by promotion of technical novelty or fashion.
- Price high (skim) to cash in on novelty or price low (penetration) to gain adoption and high initial share.
- Support product despite poor current financial results.
- Review investment programme periodically in light of success of launch (eg, delay or bring forward capacity increases).
- Build channels of distribution.
- Monitor success of rival technologies and competitor products.

Growth stage

- Ensure capacity expands sufficiently to meet firm's target market share objectives.
- Penetrate market, possibly by reducing price.
- Maintain barriers to entry (eg, fight patent infringements, keep price competitive).
- High promotion of benefits to attract early majority of potential buyers.
- Build brand awareness to resist impact from new entrants.
- Ensure investors are aware of potential of new products to ensure support for financial strategy.
- Search for additional markets and product refinements.
- Consider methods of expanding and reducing costs of production (eg, contract manufacturing overseas, building own factory in a low-cost location).

Shakeout phase

- Monitor industry for potential mergers and rationalisation behaviour.
- Seek potential merger candidates.
- Periodic review of production and financial forecasts in light of sales growth rates.
- Shift business model from customer acquisition to extracting revenue from existing customers.
- Seek to extend growth by finding new markets or technologies.

Maturity phase

- Maximise current financial returns from product.
- Defend market position by matching pricing and promotion of rivals.
- Modify markets by positioning product to gain acceptance from non-buyers (eg, new outlets or suggested new uses).

- Modify the product to make it cheaper or of greater benefit.
- Intensify distribution.
- Leverage the existing customer database to gain additional incomes (eg, mobile phone operators seeking to earn from content management)
- Engage in integration activities with rivals (eg, mergers, mutual agreements on competition).
- Ensure successor industries are ready for launch to pick up market.

Decline phase

- Harvest cash flows by minimising spending on promotion or product refinement.
- Simplify range by weeding out variations.
- Narrow distribution to target loyal customers to reduce stocking costs.
- Evaluate exit barriers and identify the optimum time to leave the industry (eg, leases ending, need for renewal investment).
- Seek potential exit strategy (eg, buyer for business, firms willing to buy licences etc).
- The response of competitors is particularly important – there may be threats as they attempt to defend their position, or opportunities (eg, when a competitor leaves the market).

Professional skills focus: Assimilating and using information

The phase that an industry is at in the industry life cycle will have a significant impact on strategy development. Use the scenario information to determine the appropriate phase thus enabling you to suggest suitable competitive strategies.

Context example: Apple's iPhone

A company's policy on innovation will be linked to its assessment of how the product lifecycle concept applies to its portfolio. Apple has tended to launch a new version of its iPhone device every 12 months. Each new version offers users more advanced features than previous models. Once older models of the iPhone have reached a certain age Apple has tended to withdraw certain elements of user support. In October 2016, Apple began warning users that support for 32-bit applications using the Apple operating system (iOS) would come to an end. The announcement came amid Apple's plans to move all of its future iPhone devices onto a 64-bit operating system architecture. In late 2017, Apple launched the iPhone X. In addition to the near bezel-less frame and wireless charging capability, Apple removed the iconic home button which had become a staple feature of the devices' previous incarnations, to improve the users' visibility of the screen. In the most recent round of innovation Apple has launched the iPhone 12 with 5G connectivity as well as the fastest chip currently available, upgraded camera features and improved water resistance. According to Apple CEO Tim Cook he believes that, '2020 was our top year of innovation ever' including the iPhone 12, the Apple watch, the iPad and the M1 processor in the MacBook Air. However, critics argue that the new iPhone 12 is merely keeping up with the competition rather than introducing radical innovation to the smartphone market.

(**Source**: 'Tim Cook: 2020 was "Apple's top year of innovation"' (2021) *AppleInsider*. [Online] Available from: https://appleinsider.com/articles/21/02/19/tim-cook-2020-was-apples-top-year-of- innovation-ever)

Interactive question 2: Profitability of airlines

The airline industry as a whole is loss making (ie, adding profits of successful airlines to losses of unsuccessful ones). Even successful airlines struggle to get an operating margin above 10%.

Requirements

2.1 Using the following models, identify contributory factors to the low rates of profits in airlines.

(a) Industry life cycle

(b) Porter's Five Forces

2.2 Identify potential strategies to restore profitability in the light of your analysis.

See **Answer** at the end of this chapter.

3 Product life cycles and international activities



Section overview

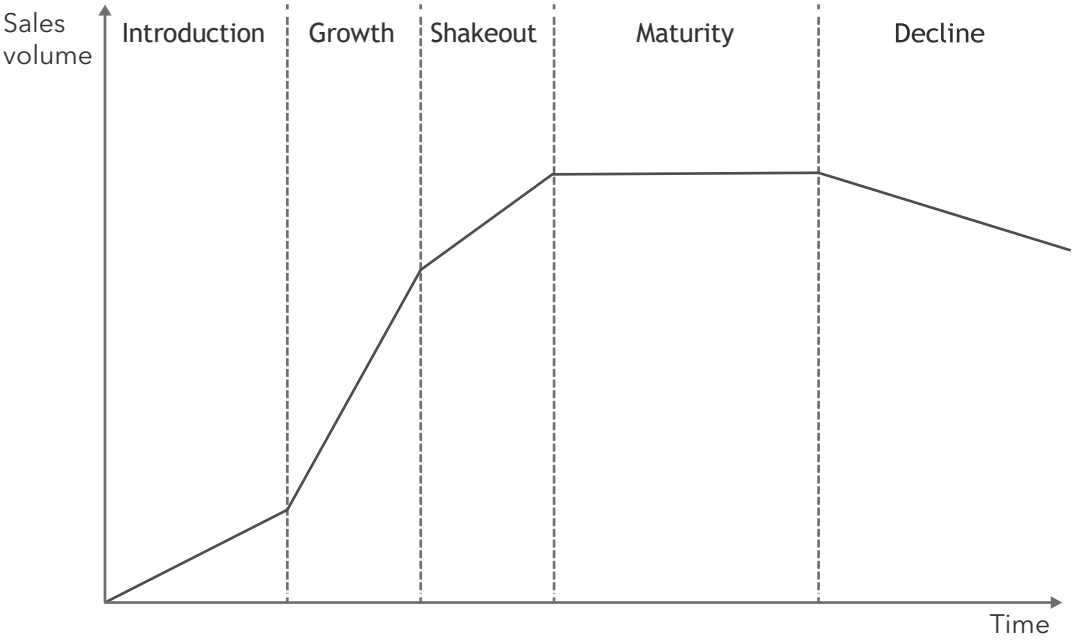
- Global firms recognise that markets develop at different rates.
- These differences in stage of development mean that products can be managed differently across the world.

3.1 Extending product life cycles through operating abroad

When domestic performance declines, some firms try to close the gap by exporting.

This is possible only if there are **different product life cycle patterns** in different countries as shown in the diagrams below.

Figure 5.3: Product life cycles in different countries



International business must consider many markets simultaneously, with a view to implementing a global introduction and manufacture. The financial returns to an investment may depend on the roll- out of this strategy.

3.2 International trade life cycle

The international trade life cycle is used in developing long-term product strategy. It postulates that many products pass through a cycle during which high income, mass-consumption countries are initially exporters but subsequently lose their export markets and ultimately become importers of the product from lower-cost economies.

From the perspective of the initiator high income country, the pattern of development is as follows:

- **Phase 1. The product is developed in the high income country** (eg, the US). There are two main reasons for this:
  - High-income countries provide the greatest demand potential.
  - It is expedient to locate production close to the market during the early period so that the firm can react quickly in modifying the product according to customer preferences.
- **Phase 2. Overseas production starts**. Firms in the innovator's export markets (such as the UK) start to produce the product domestically. Thus, for example, the UK market is then shared by the innovative US firm and the UK firms.
- **Phase 3. Overseas producers compete in export markets**. The costs of the UK producers begin to fall as they gain economies of scale and experience. They may also enjoy lower costs of labour, materials etc, than the US firms. The UK firms now start to compete with the US producers in third- party export markets such as, say, India or Brazil.
- **Phase 4. Overseas producers compete in the firm's domestic market**. The UK firms become so competitive, due to their lower production costs that they start to compete with the US firms in the US domestic market. The cycle is now complete.

4 Industry segments and strategic groups

Section overview

- Returning to concepts of an industry it is possible to see segments or strategic groups within the same industry.
- Competitive strategy should be based on choosing the right segments for the organisation to operate in, and achieving success in each chosen segment by defending the firm's position there.

4.1 Industry segment recognition

Assessing the environment at industry level ignores the existence of industry segments. A company needs to segment the market, target its customers, and implement a marketing mix to satisfy them. The grid below identifies some of the key issues.

Benefits to management from recognising strategic segments are:

- Better tailoring of products and marketing mix to the wants of customers within a group (this is called market segmentation and targeting and is covered in detail in the chapter Strategies for products and markets).
- Closer definition of competitors (ie, those within the same segment) as distinct from others in the same industry but serving different sub-groups.
- Identification of mobility barriers, ie, factors preventing potential rivals entering the segment or preventing management from taking firm into new segments.

4.2 Key considerations

The grid below identifies some of the key considerations in identifying strategic segments:

The product	What category of product is it? Examples: consumer product, consumer service, specialist business product, business service, component, raw material, etc
The customer	Who is the primary customer (eg, consumer, business, organisation, government)? What is the location of the customer (eg, local, national, regional or global basis)? Is the buying decision made centrally or locally? Cultural differences might affect buying behaviour, especially in negotiation and necessitate a difference in approach (eg, the appointment of go-betweens).
Segmentation	Are there different groups of customers with different buying characteristics? Is industry divided naturally by country or region? Do trade barriers or tariffs enforce segmentation? Does the industry effectively straddle several borders? In a global industry there may be no point in segmenting by country. If there are many competitors, a potential supplier might prefer to stay close to one particular market. A supplier may, because of its size or because of transportation differences, be unable to serve the entire industry.

Competitors	Where is rivalry strongest? Are there any niches with less competition? The identification of industry segments can enable firms to defend niche segments against larger, less focused, rivals.

4.3 Identifying country clusters

In choosing which groups of **countries** to enter, a firm might focus on particular countries or regions or groups of countries with similar characteristics using the following bases.

Basic data	Issue
Level of economic development, infrastructure and so on	For example, the lack of a fixed line telecommunications network in Africa may encourage take-up of mobile telecommunications.
Cultural similarities (eg, for intellectual property, common language)	It is easy to overestimate the similarities between two countries that might be assumed because they speak the same language. For example, despite the common use of English, there are distinct cultural differences between the US and the UK.
Member of economic groupings (eg, a strategy for the EU)	Economic groupings such as the EU have tariff barriers for some external goods. They may have common product standards which must be adhered to.
Similar market or regulatory structures	This suggests similar marketing mixes may be appropriate to more than one market. American credit card companies have expanded in the UK because UK consumers use credit cards. German consumers tend not to use credit cards as frequently.
Inter-market timing differences: life cycles	Certain markets have similar demand patterns for similar goods but that one leads and the other lags. For example, it is assumed that internet penetration will rise in the developed world, but that the US will lead, and other countries will follow as innovations spread.

If countries are deemed to be similar, then it may be possible to use one country to 'predict' the behaviour of another.

4.4 Mobility barriers

These are factors that make it hard for a firm in one strategic group to develop or migrate to another. They function as barriers to entry and, as such, can enable superior rates of profit to be enjoyed by firms within a strategic group.

They relate to the following:

- **Characteristics**, such as branding, user technologies and so on, specific to markets overseas or to geographical regions within a country.
- **Industry characteristics** – economies of scale and large production facilities might be required to move into a mass volume end of the market. Greater investment in research and development might be required to move to the **quality end.**
- The organisation may lack the **distinctive skills** and competences in the new market area.
- **Legal barriers**.

Professional skills focus: Structuring problems and solutions

Using appropriate models, such as Porter's Five Forces and life cycle analysis, will help you to structure your answer and analyse a range of factors that contribute to business performance. It is vital to apply your knowledge of the models to the question scenario, rather than simply describing the models.

4.5 Buyers in the public sector

Developing business in industrial segments where governmental institutions are significant buyers raises special considerations:

- **Public accountability**: Governmental use of public money is often subject to controls and scrutiny that would be unthinkable in private corporations. This will vary from country to country according to the extent to which public accountability for expenditure is deemed to be important to the political system.
- **Governments are rarely monolithic**: Different government departments may have different cultures, agendas and resources. Regional political variations mean that local government purchasing units may have different processes.
- **Political considerations**: Public procurement will look at the whole social benefit and not merely costs. Therefore, employment effects, and factors such as pollution will be considered. Government bodies may also require that its suppliers can show they conform to its own policies in matters of non-discrimination, sustainability, etc.
- **Purchasing by tender**: Usual forms of buying procedure are the open tender and the selective tender. For a selective tender process, the firm needs to be accepted on the appropriate list. In some countries, it takes considerable persistence to get to that stage, since it may take several visits to appropriate government officials to establish a good working relationship.

To assess **internal capabilities, performance metrics, and stakeholder requirements for strategic fit**, you'll want to structure the evaluation in three interconnected layers:565

Internal Capabilities

- ***Resources & Assets**: Evaluate tangible (financial capital, technology, infrastructure) and intangible (brand reputation, intellectual property, human capital) resources.*
- ***Core Competencies**: Identify unique strengths that provide competitive advantage (e.g., innovation, operational efficiency, regulatory compliance expertise).*
- ***Processes & Systems**: Assess efficiency, scalability, and adaptability of internal processes, including governance and risk management.*
- ***Culture & Leadership**: Examine organizational culture, leadership style, and alignment with strategic goals.*

Performance Metrics

- ***Financial Metrics**: Revenue growth, profitability, return on investment, cash flow stability.*
- ***Operational Metrics**: Productivity, cost efficiency, quality assurance, supply chain resilience.*
- ***Innovation Metrics**: R&D output, speed-to-market, adoption of new technologies.*
- ***Human Capital Metrics**: Employee engagement, retention, training effectiveness.*

- ***Sustainability & Compliance Metrics**: ESG performance, regulatory adherence, ethical standards.*

👥 *Stakeholder Requirements*

- ***Shareholders/Investors**: Expect profitability, risk management, and sustainable growth.*
- ***Customers**: Demand quality, affordability, innovation, and trustworthiness.*
- ***Employees**: Seek fair compensation, career development, and a supportive work environment.*
- ***Regulators**: Require compliance with laws, standards, and ethical practices.*
- ***Community & Society**: Increasingly expect corporate responsibility, sustainability, and social impact.*

🎯 *Strategic Fit*

The alignment occurs when:

- ***Capabilities** support the delivery of stakeholder requirements.*
- ***Performance metrics** demonstrate effectiveness in meeting both internal and external expectations.*
- ***Strategic objectives** are realistic given current resources and adaptable to future challenges.*

*A practical way to visualize this is through a **Strategic Fit Matrix**, mapping internal strengths against stakeholder demands, and identifying gaps where investment or restructuring is needed.*

Here's the full text from the page you uploaded, transcribed exactly as it appears:

Strategic capabilities, resources and competences

Strategic capability is the adequacy and suitability of the resources and competences an organisation needs if it is to survive and prosper.

If a business can obtain unique resources and core competences this should lead to its success.

This can be explained in the following table:

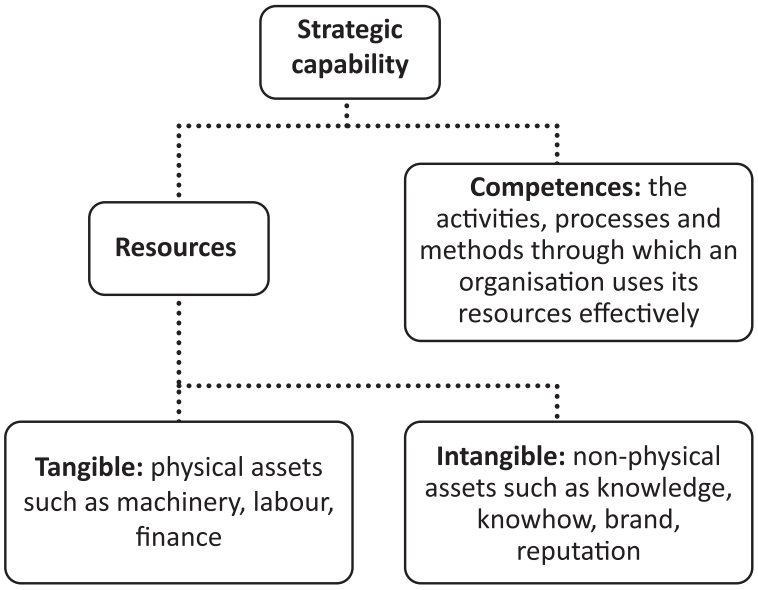
Threshold capabilities	***Resources***	***Competences***
• *these are necessary for any organization to exist and compete in an industry* • *they are likely to be common to most rivals and easily copied* • *they will not lead to success or competitive advantage.*	***Threshold resources*** ***Example:** any daily newspaper has reporters, editors, printing staff etc.*	***Threshold competences*** ***Example:** every consumer electronics firm will have capabilities in electrical engineering.*

Strategic Capabilities	*Unique resources*	*Core Competences*
• *these are particular to an individual business* • *they will be hard to copy* • *they will be valued by the customer* • *they will lead to competitive advantage*	***Example:** A particular newspaper may be able to stand out from its rivals if it has an exclusive deal with the country's top sport star who will write a daily column on his/her/their sport.*	***Example:** Sony believe they have core competences in design and user-friendliness that their rivals can't match.*

So as part of an internal analysis a business should look for any unique resources that it may own or core competences that it has created. These would be significant strengths to any business.

More on strategic capabilities

Note that capability refers to resources and competences and their relationship can be shown as:

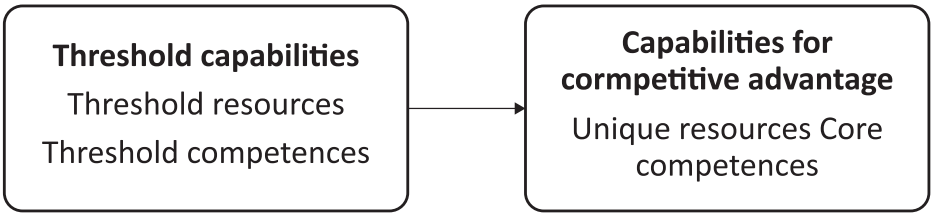


Strategic capability can also be divided into threshold capabilities and capabilities for competitive advantage.

- *Threshold capabilities. These are the minimum capabilities needed for the organization to be able to compete in a given market.*

They consist of threshold resources and threshold competences – the resources and competences needed to meet customers' minimum requirements.

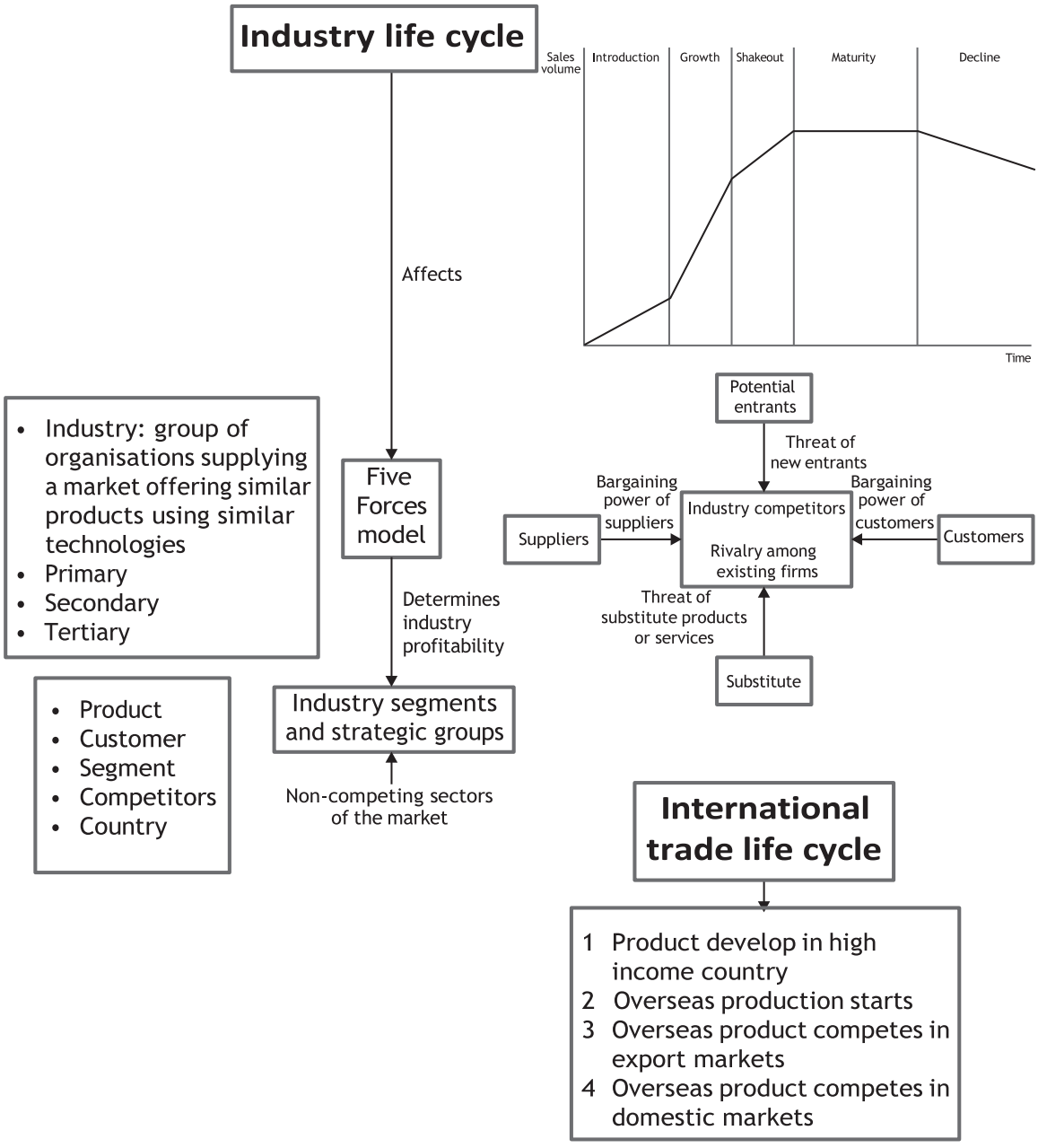
- *Capabilities for competitive advantage. The capabilities that allow an organisation to beat its competitors. These capabilities must meet the needs and expectations of its customers. Unique capabilities are not enough – they must be valued by the customers.*



- *Unique resources are those resources that create competitive advantage and that others cannot imitate or obtain. Examples of unique resources are:*
  - *brand*
  - *situation, for example, near a source of raw material or a source of cheap labour*
  - *sunk – competitors have to cover depreciation costs*
  - *right to use a patented process.*

  Note that if the unique resource is people-based, the people can move to competitors or start their own business.
- *Core competences are the activities, processes and methods through which an organisation uses its resources effectively, in ways that others cannot imitate or obtain. Examples of core competences are:*
  - *sophisticated IT that, for example, enables complex and accurate demand forecasting*
  - *a corporate culture that fosters innovation*
  - *the ability to share and lever knowledge throughout the organisation.*

Summary


Industry life cycle
Sales volume
Introduction
Growth
Shakeout
Maturity
Decline
Time
Affects
Industry: group of organisations supplying a market offering similar products using similar technologies
Primary
Secondary
Tertiary
Five Forces model
Potential entrants
Threat of new entrants
Bargaining power of suppliers
Suppliers
Industry competitors
Rivalry among existing firms
Bargaining power of customers
Customers
Threat of substitute products or services
Substitute
Determines industry profitability
Industry segments and strategic groups
Product
Customer
Segment
Competitors
Country
Non-competing sectors of the market
International trade life cycle
1 Product develop in high income country
2 Overseas production starts
3 Overseas product competes in export markets
4 Overseas product competes in domestic markets

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Can you assess the attractiveness of an industry using Porter's Five Forces? (Topic 1)
(2)	Do you know the limitations of Porter's Five Forces model? (Topic 1)
(3)	Do you understand the characteristics of each phase in the industry lifecycle? (Topic 2)
(4)	Can you recommend appropriate strategies for each phase of an industry or product lifecycle? (Topic 2)
(5)	Do you understand the concept of strategic groups/segments in an industry? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
1	This question requires you to justify whether you deem buyer (customer) power to be high or low. It is a good introduction to using one of Porter's Five Forces to help assess the competitiveness of a company.
2	This is another Porter's Five Forces question, focusing this time on the strength of supplier power. Exam questions are unlikely to look at only one of the forces in isolation, so this is a warm-up question.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Vision Bank (Sept 2018)	Part 1 of this question asks you to analyse external factors creating change in the European banking industry. The question does not specify which models to use so select those that you feel are most appropriate.
Innotoy Ltd (Sept 2018)	Part 1 requires an analysis of the reasons behind the company's sales performance. The question provides you with several sources of data to incorporate into your answer, including a pie chart, quantitative and qualitative data.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 Mr Mavers runs a small newspaper and sweet shop in the centre of a large city.

Requirement

Will their customers exert a high or low bargaining power over them? Justify your answer.

2 'Large companies often exert a high bargaining power over their suppliers.'

Requirements

For the following two businesses, identify the types of suppliers they will have, and discuss the level of bargaining power these suppliers will have over each business.

(a) A large, mid-price chain of clothes shops
(b) A large top division football club

3 'Audit fees for UK companies have fallen by 20% in real terms over the last 10 years.'

Requirement

Given the intensity of competition within the industry, why do accountancy firms not withdraw from audit and focus their efforts instead on more profitable areas of work?

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Substitutes include:

- Supermarkets sell many of the most popular film titles at low prices.
- Online shops such as Amazon provide DVDs (in addition to its own streaming service, Amazon Prime).
- Netflix and Apple offer downloads.
- Unregulated download sites and file sharing allows piracy of movies and TV shows.

These substitutes predominantly reduced the willingness of customers to visit Blockbuster stores with the consequence that the company's sales revenue fell.

The principal reason is the improvement in price/performance of these substitutes.

Supermarkets may be cheaper but are, importantly, convenient because households shop there each week and so simply add the latest film release to their trolley. Furthermore, purchasing the latest films removes the need for customers to return to a Blockbuster store once the rental period has finished. Where households are not minded to follow film releases, they were unlikely to visit Blockbuster.

Film downloads may be free or cheaper. They are also more convenient because again no special visit to a store is needed, the film trailer can be sampled and be immediately available for watching on various computer platforms.

Amazon may be cheaper but also provides customer film reviews which enable buyers to have more information before buying than could be gained by a visit to a Blockbuster store.

The introduction of new technologies indicates that traditional Blockbuster customers had little loyalty to the company as they were able to easily switch to different substitute providers of film entertainment products.

Answer to Interactive question 2

1.1 Low rates of profits in airlines:

(a) **Industry life cycle**

The industry seems to be at the shakeout phase with overcapacity due to many operators and liberalisation of competition (so-called 'open skies') leading to greater competition on profitable routes.

Consolidations (eg, Air France with KLM) and failures (eg, Monarch Airlines) have occurred.

(b) **Porter's Five Forces Buyer power**

- Increased availability has led to more choice in the market.
- The growth of electronic booking services (eg, e-bookers, expedia.com, lastminute.com) has restricted ability of airlines to charge full price.
- The change in the nature of the buyer towards short-haul leisure where price is more important than it was to business travellers.

Supplier power

- Aviation fuel accounts for 30%–35% of costs and is determined by oil producer cartels and large oil companies.

- Airframes are provided by two firms (Boeing and Airbus) and engines by three firms (GE, Pratt and Whitney, Rolls Royce).
- Airport landing plots and services are provided by national monopolies.

Substitutes

- Faster trains with better facilities which travel to centre of cities
- Alternative leisure eg, cruises
- Technologies such as video-conferencing, Facetime and WhatsApp

Entrants

- Low-cost, point-to-point providers attack by short-haul router
- Opening up of competition by bi-lateral agreement (eg, USA and EU) or under pressure from World Trade Organisations

Competitive rivalry

- Very high fixed cost industry makes competition for volume force prices down towards marginal cost
- Limited opportunities for differentiator given similarity of aircraft and destinations
- Volatile demand due to seasons and economic/political factors

1.2 **Restoring profitability**

- Consolidate airline industry to reduce capacity.
- Operate alliances to rationalise competition and benefit from economies of scale (ground handling, fuel purchase etc).
- Oppose increasing take-off and landing slots or greater competition.
- Reduce fixed costs, eg, by outsourcing, better capacity planning.
- Differentiate service to gain higher yield per passenger.

Answers to Self-test questions

1 The correct answer is: High bargaining power

Presumably, there are many other similar shops nearby, so customers will go elsewhere if the shop does not stock the products they want.

2 Types of suppliers and level of bargaining power:

(a) Chain store

- Suppliers will be small independent manufacturers of clothes.
- Many suppliers will exist.
- All suppliers will have very similar products.
- High bargaining power over suppliers is likely, given that if the chain store is dissatisfied with one supplier, there is unlikely to be a problem finding an alternative.

(b) Football club

- Main suppliers are players.
- Players are highly skilled individuals.
- Each player's specific attributes will differ.
- Low bargaining power is therefore likely, given that some players will not be easily replaceable.
- This contradicts the quotation, but the situation arises because the suppliers, although small, do not offer a standard service.

3 Accountancy firms have a strategic need to offer audit in the sense that clients will expect a range of services. The audit is often the loss leader that introduces the client to the firm. Other more profitable services can then be offered.

All large companies are obliged by law to have an audit, so accountancy firms will always have a market.

Chapter 6
Strategic capability

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Analysing an organisation's strategic capability

2 Critical success factors and core competences

3 The resource audit

4 Benchmarking competences

5 Transforming resources: The value chain

6 Outsourcing and shared service centres

7 Supply chain management

8 Networks, relationships and architecture

9 The product-service portfolio

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

In the context of a business scenario:

- Evaluate an organisation's purpose, in terms of its stated mission, objectives and critical success factors, highlighting omissions, inconsistencies and weaknesses, and considering the different objectives of stakeholders.
- Analyse the external factors which may impact upon an organisation's performance and position, evaluating significant issues in areas such as:
  - Natural capital and climate change
  - Macroeconomic forces
  - International trade, financial systems and global economic factors
  - Government policies
  - Its industry and markets, including competition
  - Cultural environment
  - Stakeholder, ecosystem and participant impact
  - Markets for finance, labour and other resources
  - Supply chain factors
  - Technology developments
- Explain and evaluate the significance and impact of the internal factors in a given situation which affect or may influence an organisation's ability to achieve its chosen strategy, including its:
  - Current resources
  - Product/service portfolio
  - Value chain and networks
  - Organisational, operational and technological capabilities (including core competencies, existing business processes, human capital and workforce flexibility)
- Evaluate and interpret data provided, including identifying and explaining the causes and effects of different types of data bias, and applying an appropriate degree of professional scepticism.
- Select and justify a strategy or combination of strategies which will best achieve the organisation's objectives, taking account of known constraints and capabilities, including stakeholder risk preferences and the potential for developing technologies to increase or mitigate risks.
- Explain and demonstrate how products and services can evolve in the face of developing technologies, consumer demand and industry competition.
- Evaluate how strategies for technology and innovation, workforce flexibility, remote and hybrid working and shared service centres can support the organisation's achievement of its overall strategy.
- Select and evaluate methods of further developing an organisation which adjust existing strategies or implement new strategies to take account of changing position and risk.

Syllabus links

You will have been briefly introduced to most of the concepts in this chapter in your Business, Technology and Finance syllabus.

Examination context

This chapter includes key principles of strategic capability, core competences and resource-based strategy. Questions are likely to focus on the linkages between elements and the manner in which, when used together, they can facilitate strategy and leverage competitive advantage.

In this chapter, we also explore the increasingly important role that technological capabilities now play in modern organisations. Terms including big data, data analytics, artificial intelligence (AI), automation, cloud computing and crowdfunding are increasingly mentioned in the media as they become part of everyday business language. Having a good understanding of this content is important as you prepare for your Business Strategy and Technology exam. However, as mentioned in the chapter, 'Introduction to the Business Strategy and Technology exam,' the inclusion of these topics in the learning materials does not mean that you will be required to display a detailed understanding of the internal workings of IT systems, nor will you be required to exhibit knowledge concerning computer algorithms and the internal logic of software applications.

You will, however, be required to have a high-level understanding of the main technological developments affecting organisations, and how technology can affect their strategies, or their ability to implement those strategies successfully. Remember that the Business Strategy and Technology exam is a very practical exam, and your ability to apply your knowledge is crucial.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Analysing an organisation's strategic capability** It is conventional for accountants to consider 'resources' and 'assets' purely in financial reporting terms. However, what makes an organisation successful might often be things that are not so readily accessible for financial reporting. These factors will be considered throughout this chapter.	**Approach** Read this brief section introducing the concept of strategic capability. **Stop and think** Adding up the asset values of a firm is only one step in understanding the value of a business. What else should we be considering?	You may be asked to assess a company's strategic capability. Be aware of the various models and theories that will help you.	
2	**Critical success factors and core competences** Critical success factors provide focus to an organisation, enabling	**Approach** Review how to identify core competences and critical success factors (CSFs) and how they can contribute to	You may be asked to evaluate a company's core competences or critical success factors (CSFs). Ensure you understand the CSF	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	them to channel their energies into a small number of goals deemed essential for competitive advantage.	competitive advantage. Kay's three sources theory highlights where core competences can originate from. **Stop and think** Consider the firm you work for. Which of Kay's three sources is the most important in adding value?	concept and terminology. Whilst you may not be required to use terminology in your own answers, an understanding of the concepts will help you to respond to the question requirements.	
3	**The resource audit** Understanding the resources an organisation possesses, both tangible and intangible, is a useful activity to understand business value. As an accountant it is important to be able to see beyond the numbers to the underlying realities. For example, if you are asked to comment on a forecast, or be part of a team that does a 'due diligence' audit, these are business realities that you must be attuned to.	**Approach** This section contains many examples of sources of business value. There is no need to memorise these examples but you should have a range of ideas to call upon in the exam when making suggestions and recommendations. For an increasing number of organisations, competitive advantage is facilitated through the possession of technological capabilities. Ensure you are comfortable with the terminology and concepts covered in this section. **Stop and think** How is technology impacting on the accountancy industry and where is it adding value?	As the use of technology increases this offers greater flexibility for both workers and employers alike. This is evident given the growing numbers of people now working from home. A good understanding of the technology aiding competitive advantage is critical to prepare you for your Business Strategy and Technology exam.	
4	**Benchmarking competences** Resources need to be used efficiently in order to deliver the highest possible return on investment. Benchmarking compares the use of an organisation's assets with that of competitors or industry leaders, to	**Approach** Review and understand the four types of benchmarking to understand the differences between them and the suitability of each in different business circumstances. **Stop and think**	Benchmarking could be tested in any of the three exam questions. Be sure you understand the four bases of benchmarking so that you can apply them to the question scenario.	**IQ1: Car seats** This question combines an analysis of Porter's Diamond with an assessment of how benchmarking could improve the competitive position of the company.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	identify areas of strength or weakness.	Can big data help or hinder the benchmarking process?		
5	**Transforming resources: the value chain** Porter's value chain encourages management to perceive business as a sequence of activities which, when linked together, lead to competitive advantage.	**Approach** Remind yourself of the value chain model, seen in previous studies, and pay particular attention to the worked example. Review the concept of the value system which, in the modern business environment, is a source of sustainable competitive advantage. **Stop and think** Can you identify an organisation whose value system is a source of competitive advantage?	Questions are likely to focus on the linkages between the elements in the value chain and how these permit sustainable competitive advantage. Also, you may need to consider the linkages in the wider value system of suppliers, distributors and customers to understand where value can be added.	**IQ2: Hairdressers** The question requires an application of the value chain to an organisation as well as critiquing the value chain model itself.
6	**Outsourcing and shared service centres** As supply chain linkages improve, the use of third parties and shared service centres to perform tasks traditionally done in- house is becoming increasingly common. Issues around whether to outsource and subsequently who to outsource to are likely to involve the finance team.	**Approach** Read through each section paying particular attention to Harmon's process-strategy matrix. **Stop and think** Does the firm you work for outsource any competences? Is the outsourcing in line with Harmon's process- strategy matrix?	Harmon's matrix can be used in the exam to assess the suitability of outsourcing. The model must be applied and recommendations must be justified in the context of the scenario organisation.	**IQ3: Outsourcing core competences** This question looks at the key issue of whether core competences should be outsourced. **IQ4: Outsourcing R&D** This short question is designed to encourage idea generation about the advantages and disadvantages of outsourcing different functions.
7	**Supply chain management** Managing the supply chain can improve efficiency and therefore profitability for many organisations. Technology is vital to supply chain management but with	**Approach** Understand the key activities involved in managing the supply chain. In particular be aware of the inherent risks in using technology to enhance the supply chain. Ensure you can advise on the	You may be required to recommend improvements to a supply chain in order to increase organisational efficiency. Be aware of the components of supply chain management and ensure that all recommendations are	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	its increasing use come risks that need managing.	mitigating actions an organisation can take to protect themselves. **Stop and think?** Consider a supermarket's use of technology to improve the supply chain. What are the risks involved?	practical and appropriate for the organisation in question.	
8	**Networks, relationships and architecture** Networks of interconnected businesses are enabling companies to provide innovative products and services as well as driving business performance. Network structures exist across the globe but may vary in their nature depending on the industry or the country of origin.	**Approach** Read through the section paying attention to the different types of architecture and network. Do not get caught up in the terminology used but rather understand the perceived benefits and challenges of working in a network. **Stop and think?** What environmental changes have led to the rise of network and virtual structures?	Questions are likely to focus on the benefits and limitations of networks and alliances. A good awareness of real-life examples of alliances can help to generate ideas in the exam.	
9	**The product-service portfolio** To improve profitability, management need a holistic view of the products and services they offer. The Boston Consulting Group matrix offers a visual approach to portfolio management, highlighting the success of product lines and enabling managers to take appropriate action.	**Approach** Read through the section ensuring you can reproduce a BCG matrix, by studying the worked example. Be sure to also understand the shortcomings and criticisms of portfolio analysis, especially since it has declined in favour in recent years. **Stop and think** Can you plot the products or services of the firm you work for on the BCG matrix? What managerial decisions might this lead to?	Exam questions may ask you to map a company's products and services on the BCG matrix. Ensure that you justify the relative market share and market growth percentage using the information provided in the scenario.	

Once you have worked through this guidance, you are ready to attempt the further question practice included at the end of this chapter.

1 Analysing an organisation's strategic capability

Section overview

- Having analysed its external environment, an organisation must assess its strategic capability as the next step in strategic analysis.

To develop a strategic plan, an organisation must be aware of its current position. In the rational approach to strategic planning, having completed an analysis of the external environment, management needs to undertake internal analysis. This involves consideration of:

- Critical success factors and competences
- Resources
- Value chain
- Supply chain
- Product/service portfolio

2 Critical success factors and core competences

Section overview

- Critical success factors (CSFs) are the areas at which an organisation must excel if it is to achieve sustainable competitive advantage (SCA).
- Threshold resources and competences are the basic resources and activities required by all firms in the market and which are necessary to stay in business.
- Only by having unique resources and core competences can a firm generate SCA.
- Kay identified three distinct capabilities or sources of core competence: competitive architecture, reputation and innovative ability.

2.1 Critical success factors

Definitions

Critical success factors (CSFs): Are a small number of key goals vital to the success of an organisation ie, 'things that must go right.'

An alternative definition is provided by Johnson, Scholes and Whittington.

'Those product features that are particularly valued by a group of customers, and, therefore, where the organisation must excel to outperform the competition.'

This second definition is more restricted because it deals merely with product features rather than considering additional factors which are vital to commercial success such as product availability, competitive knowledge or cost and performance control.

Key performance indicator (KPI): A measure of the level of performance in an area where a target level must be achieved for the business to outperform rivals and achieve competitive advantage.

2.2 Identifying CSFs

The concept of CSFs was originally developed by Daniel in 1962 and refined by the Massachusetts Institute of Technology (MIT) as a device for aligning the information provided by a firm's information systems to the firm's business needs to ensure it is relevant and complete (this aspect is discussed further in the chapter Strategies for information).

MIT proposed five areas in which CSFs should be identified.

(a) **The structure of the particular industry**: These are the factors shaping the success of the industry as a whole and the factors that will determine the number and profitability of the players within it eg, consumer adoption of genetically modifies foods is a CSF for any firm involved in developing or growing GM crops.

(b) **Competitive strategy and position**: The key elements of the business strategy that must be delivered. For example growth in the market share or percentage coverage of target market.

(c) **Environmental factors**: Although not directly under the influence of management these must be monitored and action taken if they deviate from the firm's plan. For example a house building firm would regard the state of the economy and lending rates as CSFs and if they were to become adverse would cut back on its new-starts.

(d) **Temporary factors**: These could be internal changes that are being made to organisational structure, or cost reductions. The success of these short-term projects is critical to the overall success of the business.

(e) **Functional managerial position**: Each managerial role will have CSFs associated with it related to the manager's performance of their role.

2.3 CSFs and competitive advantage



Definitions

Threshold competences: The activities and processes involved in using and linking the firm's resources **necessary to stay in business**.

Core competences: The critical activities and processes which enable an organisation to achieve its critical success factors (CSFs) and therefore achieve a sustainable competitive advantage. The core competences must be **better** than those of competitors and **difficult to replicate**.

Threshold resources: The **basic** resources needed by **all** firms in the market.

Unique resources: Those resources which give the firm a sustainable competitive advantage over its competitors, enabling it to meet the CSFs. They are resources which are **better** than those of the competition and **difficult to replicate**.

CSFs differ from one market segment to another, eg, in some price may be key, in others quality, in others delivery, etc.

CSFs concern not only the resources of the business but also the competitive environment in which it operates, discussed in the chapters, 'The macro environment' and 'The industry and the market environment', ie, how will the business achieve a **sustainable competitive advantage** (**SCA**) over its competitors?

The following diagram shows the relationship between the different **resources** of an entity and the activities and processes which transform those resources into outputs to create added value (**competences**). It also shows the way in which entities can generate a SCA over their competitors by their unique control/ownership of particular core competences in these processes and activities.

Figure 6.1: Generating sustainable competitive advantage

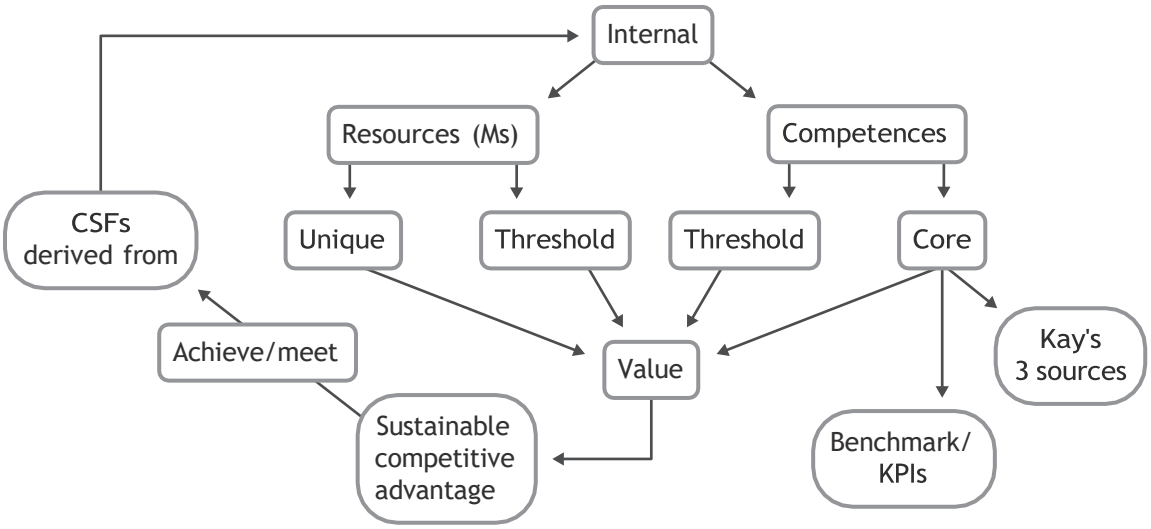


Figure 6.2: Resources and competences

	Resources	Competences
No SCA	Threshold resource	Threshold competence
SCA	Unique resource	Core competence

2.4 Core competences – Kay's three sources

Kay (1993) argues that there are three distinct capabilities a company can develop that add value. These capabilities or core competences can originate from three sources.

Competitive architecture

This is the network of relationships within and around a business. There are three divisions as described below.

- Internal architecture – relationships with employees
- External architecture – relationships with suppliers, intermediaries and customers
- Network architecture – relationships between collaborating businesses

The knowledge, routines and information exchanges created by these relationships (particularly those which are long term) can produce core competences which other businesses cannot replicate.

Reputation

This is the reason why customers come back, investors invest, potential employees apply for jobs and suppliers supply. Reputations (at least good ones) are not developed overnight – they can take years. Once a business has a good reputation it provides a core competence that rivals cannot match.
Examples (may) include BMW and Virgin Atlantic (reputation for quality and service).

Innovative ability

This is the ability to develop new products and services and maintain a competitive advantage. Organisational structure, culture, routines, etc, and collaboration between employees, customers and suppliers (ie, the architectures discussed above) influence the ability of a business to innovate. Apple, for example, has consistently been innovative.

3 The resource audit

Section overview

- A resource audit catalogues the assets by considering physical resources, intangibles, human resources, technological resources and financial resources.
- An alternative and handy checklist is the 9Ms (which you should already be familiar with from BTF).
- Firms own many assets. Some of these assets will be sources of superior earnings in the future for the business and are called strategic assets.
- Therefore it is not sufficient to simply identify the resources. A business must understand whether they are strategic assets ie, unique resources that underlie the firm's SCA.

Definition

Resource audit: Cataloguing the assets of an organisation by considering physical resources, intangibles, human resources, technological resources and financial resources.

The **resource-based** approach views the resources of the organisation not just as facilitators to gain competitive advantage from product-market strategies but as sources of strategic advantage in themselves.

In reviewing strategic capability, a first step is to conduct a **resource audit**. This covers physical resources, intangibles, human resources, technological resources and financial resources.

The audit should be comprehensive, but it is useful to identify the unique resources which underlie the firm's sustainable competitive advantage (ie, what sets it apart from other organisations) as opposed to those that are necessary (ie, threshold) but do not form the basis of SCA.

Professional skills focus: Assimilating and using information

When conducting a resource audit, ensure you prioritise the key issues and explain how and why they add value to an organisation. Weaker answers will merely describe core competences and unique resources without explaining why they are strategic assets.

3.1 Physical resources

These include resources owned by the firm and resources to which the firm has access, for example in a supply chain or network.

- Physical assets should be audited reviewing how cost-effectively they are used. A measure of **capital productivity** is profit per unit of capital.
- **Inventories** and working capital are also resources, but they have to be financed. The focus of just- in-time approaches to inventory management and production (JIT) has been to reduce the need to finance working capital.
- Raw materials. Is the firm vulnerable to sudden changes in prices – are there long-term supply contracts or hedging instruments which can overcome this?
- Finally, are physical resources constraints on strategic activity (ie, **limiting factors**)?

3.2 Intangibles and other resources

Brands and other reputational assets are resources created by a firm through the process of transforming inputs into outputs. Patents and other aspects of intellectual property are also intangibles.

These also include customer relationships and relationships with other key stakeholders such as media, and governments.

3.3 Human resources and labour markets

Human resources comprise the productive services people offer to the organisation. An audit of human resources can include more generally the following:

- **Headcount**

  Does the firm have enough people to do the task or can the work be done more productively with fewer?
- **Skills base** available to the firm

  This is measured though qualification and training, and the social and psychological aptitudes linking the technical skills to performance.
- **Culture**

  The emotional and motivational climate of an organisation is critical to its success particularly in industries where personal service is essential to the 'experience' the company is offering.
- **Workforce structure** and organisation structure
- **The right mix of labour and capital**

  There is a trade-off, in some respects, between using people and using equipment to save money or to increase efficiency. For example, reducing the costs of a call centre can be achieved by:
  - voice activated software and voice recognition software to process simple transactions; and
  - outsourcing it off-shore to a country where labour costs are lower.

  The choice will depend on the potential cost savings and benefits and perhaps customer resistance and the firm's attitudes to reputational risk if it cannot achieve its level of service. In addition to achieving the right balance of labour and capital many larger organisations have become increasingly focused on achieving the right mix of labour. Issues relating to workforce inclusion and diversity are highly topical.
- **Service levels**

  Whilst some services can be automated, others cannot – customer service staff are often those who encounter the most moments of truth with the customer. In a service-led

economy, the quality of human interaction is an important element of customer satisfaction. To provide good service, those at the customer interface must be supported by a management infrastructure of robust information systems and good training and supervision.

- **Intellectual property and knowledge**

  Knowledge based industries require the creation of and use of intellectual property. The skills and mindset necessary for this may often rely on the education and culture of the country of operation.

3.3.1 Human capital and workforce flexibility

Two important issues to consider when undertaking an audit of an organisation's human resource capabilities are: **human capital** and **workforce flexibility**.



Definition

Human capital: Is concerned with the collective attributes of an organisation's human resources. It includes the capabilities, creativity, skills and knowledge of an organisation's staff which combine to enable the organisation to create economic value.

Over the last 50 years, especially in many of the world's most advanced economies, there has been a gradual shift in the types of jobs being undertaken by the general population, with fewer people now working in traditional production and manufacturing roles. Growing numbers of workers are now involved in increasingly innovative, creative processes, often in hi-tech environments. As such, organisations need to think carefully about how they can get the best out of these workers to realise their strategies and to generate acceptable returns for their shareholders.

To increase the value of the human capital at their disposal many organisations have developed their own programmes specifically designed to get the most from their staff.

Practical ways in which human capital can be enhanced include:

- **Education and training**: Providing employees with the opportunity to learn more about a subject or skill, which they can then apply to their roles in the workplace, may help to boost productivity. Providing opportunities for education and training is likely to be critical to organisations operating in hi-tech, fast-paced industries as the need to keep products and services relevant to the needs of customers is likely to be an ongoing challenge.
- **Allowing creativity**: Organisations should encourage workers to be creative and to try out new ideas, and to challenge existing ways of doing things. This requires management to adopt a more open mind-set and to accept that the outcomes of some employee-directed schemes may not result in a commercially viable solution.
- **Infrastructure**: To get the best from employees, organisations need to ensure that workers have access to the necessary equipment and resources to perform their jobs effectively. Infrastructure in the form of internet and communications technologies are critical to most workers nowadays. Infrastructure in the form of knowledge management systems can also play an important role in sharing information among co-workers. Knowledge management is considered in more detail in the chapter Strategies for information.
- **Recognising the intellectual property within the workforce**: Organisations need to recognise the value of their workers in terms of the intellectual property (IP) that they can create. The ability to capture and share the ideas of workers which can be turned into IP may be achieved in part by the use of knowledge management systems mentioned above.
- **Motivation**: Organisations need to devise ways of keeping workers motivated. As such management need to recognise the talents and efforts made by employees, this may be achieved through offering appropriate financial and non-financial incentives. Today many

organisations operate their own talent management programmes which are aimed at identifying and retaining individuals considered to be important to the future of the organisation.

- **Competition**: Organisations may attempt to harness the creative abilities of the workforce through establishing competitive working environments. Organisations can achieve this by framing work in the context of a 'problem' to be solved. Such an approach may be appropriate when developing highly innovative products as workers are encouraged to be creative and to draw on their expert knowledge to find a solution.
- **Participation in activities**: Allowing workers greater participation in decisions affecting their work may help to bring a fresh perspective to achieving work-related tasks.

  The value generated by organisational activities aimed at improving human capital should form part of the human resource audit. Consideration needs to be given to whether the associated cost and effort of developing human capital programmes provides the intended benefit to the organisation.

Workforce flexibility

Flexibility has become a key feature of the relationships that exist between workers and employers. Organisations wishing to maximise the benefits from these relationships need to consider a number of developments as they have implications for the organisation's audit of its human resources. Recent developments here include:

Flexible workplace arrangements

Many organisations now provide their workers with greater autonomy in terms of when and where they work. This approach has been driven, in part, by the recognition that people are unique, and that instigating mandatory hours of work (eg, 9am to 5pm) represents a failure to take account of the fact that some workers are more productive at different points in the working day (eg, late at night or earlier in the morning). In addition, many organisations now offer flexible workplace arrangements having recognised that workers increasingly have varied lifestyles and commitments outside of the work environment, for example, some workers may act as carers for relatives in addition to working. This change in approach represents a desire among organisations to actively encourage a better work-life balance for employees. The introduction of flexible workplace arrangements is particularly pertinent to the concept of human capital as it can help organisations not only to retain the best talent in its workforce but also to attract potential recruits.

Home working

The widespread use of internet-enabled technologies has fundamentally changed the way in which many people now work, with growing numbers now working from home. The global Covid-19 pandemic expedited the transition to home working for many companies. This brings benefits to the worker and employer. For many employees, home working offers a better work-life balance, and reduces the associated cost of commuting to work. From an organisation's perspective home working allows for a reduction in expensive office space and some studies suggest that home working can improve engagement and worker productivity. Home working does however present some challenges for employers and employees alike. Home working weakens the traditional mechanisms of control that many organisations have grown accustomed to in relation to monitoring their employees. This, in turn, heightens the risk that managers lose contact with their staff and colleagues. From the employees' perspective, home working may result in feelings of isolation and cause stress.



Definitions

Remote working: Also known as working from home, refers to the practice of employees working outside of a traditional office setting. Remote workers have the flexibility to work from their homes, coworking spaces or any other location that is productive for the employee.

Hybrid working: A flexible working arrangement whereby employees work in the office occasionally but work remotely for the remainder of their contracted hours.

The Covid-19 pandemic led to a disruptive shift in working patterns with employees being forced to work at home, using technologies such as Skype, Microsoft Teams and Zoom to facilitate communication. According to a report by the Chartered Institute of Personnel Development (CIPD, 2020), before the pandemic, 65% of employers did not offer regular home working but, after the pandemic, more employers are following a hybrid model combining home and remote working.

Both employers and employees can benefit from remote and hybrid working. Benefits for organisations include:

- Increased cost-efficiency – working from home enables organisations to significantly reduce overhead costs such as office rental, utilities and equipment.
- Enhanced productivity – remote staff do not face the distractions of an office environment, resulting in improved output and productivity. Furthermore, the lack of a commute allows some workers to be more flexible about their working hours, working at a time of day to best suit them.
- Reduced absenteeism and turnover – home based employees or those working in a hybrid environment are less likely to take unplanned leave to deal with personal or family illness and emergencies. Home based working also serves to motivate employees resulting in a fall in staff turnover and better employee retention.
- Adaptability and scalability – remote and hybrid working allows organisations to quickly adapt to changing circumstances. For example, it is easier to scale up or down to cope with business seasonality, when there is no impact on the need for premises and staff can be based anywhere geographically.
- Environmental impact – reduced commuting and office space helps organisations to reduce their carbon footprint.

However, home and remote working is not without problems and organisations need to be aware of issues such as the possible negative impact on employee work-life balance as well as a lack team cohesion arising from minimal face-to-face interaction. Home working also poses information security challenges for companies, with employees accessing information through remote servers and technical support teams managing IT hardware and software problems remotely.

Responding to changing needs



Definition

Gig economy: Employment is temporary or part-time involving freelance and independent contractors. Businesses and contractors can benefit from the flexibility it provides but contractors also experience fluctuating working hours and pay.

Organisations in many industries now employ workers under different types of employment contract. In a bid to maintain flexibility in response to changing business needs some organisations have started to restrict the number of workers employed on full or part time contracts, with many workers increasingly being hired on a temporary, freelance basis.

This change is associated with the continuing trend towards the creation of the gig economy. Such flexibility presents benefits for organisations and workers alike. For organisations, particularly those involved in project work, the use of short-term contracts enables particular skills to be brought in as and when required on an ad-hoc basis, thereby avoiding the need to pay salaries and to make pension contributions. Workers hired in this way are able to be

selective about the work they undertake based on those projects that they are most interested in. Arrangements such as these are associated with Handy's shamrock (flexible firm) theory, which is discussed in the chapter Strategy and structure.

However, it must be remembered that the gig economy gives rise to ethical dilemmas such as fair treatment of workers. The gig economy and 'zero-hours contracts' are often criticised as being exploitative since workers do not benefit from the same employment rights as a contracted employee. Furthermore, the impermanent and flexible nature of the gig economy means that workers are free to move to where wages are the highest, leaving companies struggling to find workers during peak periods. For example, in the period following Brexit and the Covid pandemic, the UK experienced a shortage of HGV drivers who had moved out of the industry towards higher paying jobs.



Context example: Gig economy

The use of independent contractors is particularly prevalent in platform-based firms such as Deliveroo and Uber. The benefit of such work is that it provides contractors with flexible hours to fit around their lives but according to a report by digital thinktank Doteveryone, the gig economy can 'trap workers in a precarious existence where they need to devote ever-more time to the platform in order to remain financially stable.' The report suggests that often the gig economy results in a lack of financial security, a loss of dignity at work and an inability to progress in a career or train to leave it.

According to one Uber driver, the platform offers low rates of pay and also carries hidden costs; "I do 60 hours, I make £750. But then you have to deduct expenses, around £150 on fuel […] then you pay insurance, VAT for cars. It's been four weeks where I've made no more than £400.'

(**Source**: Hern, A. (2020) 'Gig economy traps workers in precarious existence says report.' [Online] Available from: https://www.theguardian.com/business/2020/jan/29/gig-economy-traps-workers-in- precarious-existence-says-report [Accessed 21 June 2024])

Changing make-up of the workforce

The ageing population in many of the world's most advanced economies is predicted to lead to an increase in the pensionable age for most workers. A consequence of this is that governments are increasingly putting pressure on organisations to employ greater numbers of older workers. PwC's 'Golden Age Index' for 2017 highlighted that the UK economy would gain up to £80 billion if more organisations employed a greater number of workers aged over 55 years old (PwC, 2017).

For many organisations, retaining and employing a greater number of older workers will require a change in the mind-set of management, as they need to able to recognise the value of the work experience that older workers bring. PwC (2017) highlight that this will require organisations to change their human resource practices by offering 'flexible working, partial retirement options and role redesign.' Issues around diversity and inclusion have also become increasingly important in recent times. Many organisations today aim to pro-actively manage issues relating to diversity having recognised that diversity extends beyond issues related to race, ethnicity, age and gender. Diversity is also concerned with the fact that, as individuals, people have different personalities, preferred working styles and individual needs.

Technology and workforce flexibility

Closely connected to the issue of workforce flexibility is the important role that technology has played in facilitating this. As such, it is important that the technological resources associated with workforce flexibility are included as part of the organisation's resource audit. As mentioned above, the ability for workers to perform their jobs not only from home, but from other parts of the world has only been possible due to the growing use of internet technologies. For organisations to get the maximum benefit that such flexibility offers it is

important that careful consideration is given to the creation of appropriate strategies for technology.

Devising effective strategies will require management to consider the following:

- Flexible workers based from home or other parts of the world need to be provided with the hardware and software necessary to undertake the work. Such equipment needs to have internet connectivity, especially if files and work resources are only available via cloud-based servers.
- Management need to consider the work environments of those flexible workers based offsite, especially as the employing organisation may owe a duty of care to protect such workers under health and safety regulations. Where flexible workers are expected to deal with customers, for example via video conferencing technologies such as Zoom, management need to consider whether such arrangements are likely to be appropriate in terms of promoting a consistent image.
- Management need to ensure that sufficiently robust security measures are in place to protect organisational data used away from the office. This is particularly important given the risks of confidential data getting lost, hacked or corrupted.
- In the case of IT-related problems occurring, flexible workers need to have access to IT support from a helpdesk.

3.4 Financial resources

An organisation will need finance for any expansion. One aspect of a resource audit would be to look at the different sources of finance available to the organisation – internal generation, loans, equity, credit. However, there will be implications arising from obtaining finance from external sources, such as ceding control to other stakeholders, unavoidable interest payments in the future, the need to keep the investment markets informed. Management may prefer to invest from retained profits as there is not the management time (or scrutiny) involved in getting outside parties to invest more. In recent times, crowdsourcing and, more specifically, crowdfunding has become an effective way for smaller organisations to access funding from external parties.



Definitions

Crowdsourcing: The process of getting work or funding, usually online, from a network of people (Oxford Dictionary).

Crowdfunding: Is a way of raising finance by asking a large number of people for a small amount of money (The UK Crowdfunding Association).

Advances in internet technologies have changed the way in which organisations can raise finance. Historically, organisations would need to approach a handful of finance providers (for example, banks) to raise funds, but nowadays it is possible for organisations to access thousands and even millions of individuals willing to fund a business expansion or project. Crowdfunding involves an individual and/or organisation posting details of its project on a website through which individuals can choose to provide funding to support the project.



Context example: Crowdfunding

The UK Crowdfunding Association identifies the most common types of crowdfunding as:

Donation/reward crowdfunding attracts people who invest in a project as they believe in the cause, ie, supporting a charitable cause in order to make a positive difference. In some cases, rewards might be offered in exchange for providing funds, for example in the case of a band wishing to attract funding to play a concert, contributors may receive 'acknowledgments on an album cover, tickets to an event, regular news updates.'

Debt crowdfunding attracts investors who receive their funds back with interest. This is known as peer-to-peer lending (P2P). This is similar to traditional bank lending, whilst the returns are financial (interest on the loan), investors benefit from supporting a project that they believe in.

Equity crowdfunding attracts those investors which provide funding in exchange for equity, for example, shares or a stake in a project. As with traditional business shares, the investor takes a risk that the value of their investment may go down as well as up.

(**Source**: UK Crowdfunding Association (2017) 'What is Crowdfunding?' [Online]. Available from: https://www.ukcfa.org.uk/what-is-crowdfunding/)

3.5 Technological resources

Technology is a resource in many different ways. Here we focus on two aspects.

- The organisation's capability to manage technology projects, especially IT projects. The costs and complexities of such projects means there is potential for failure (and success) on a huge scale.

  Implementing a successful technology solution enabled low-cost carriers such as easyJet and Ryanair to reduce their cost structures and to open low-cost air travel to many people. Alternatively, failed technology implementations can drive away customers. The development and implementation of new information systems is discussed further in the chapter, 'Strategies for information.'
- The impacts of the technology itself:
  - enables the development of a new product or service generated by technology;
  - Has a disruptive impact on an industry (eg, digital music downloads threaten to overturn the traditional music industry business model);
  - enables increase in productivity; and
  - engenders additional risks.

  Developments in technology are discussed later in this chapter. The strategic value of information technology and the risks associated with information technology (IT) and information systems (IS) are discussed in more detail in the chapter, 'Strategies for information.'

Context example: Technology and the Covid-19 pandemic

Normal life was suspended during the global lockdowns and quarantines of the Covid-19 pandemic, but technology enabled many business and social activities to continue in new and often disruptive ways. According to the World Economic Forum there are several key technology trends that have been accelerated by Covid-19 and 'these technologies may have a long-lasting impact beyond Covid-19.'

For example:

- Online shopping and robot deliveries to avoid face-to-face contact, minimising virus transmission.
- Digital and contactless payments have become the recommended form of payment to avoid circulation of banknotes and coins.
- Remote work using virtual meetings, cloud technology and work collaboration tools which limits exposure to the virus but also reduces commute times and provides more flexibility for workers and their employers.
- Telehealth enabling remote monitoring and diagnosis of patients using wearable devices.
- Supply chain 4.0 which describes the use of big data, cloud computing, internet of things (IoT) and blockchain to create a more resilient supply chain, with reduced reliance on paper-based records and manual processes.

- Robotics and drones have played an increasing role in labour intensive business particularly affected by Covid-19, such as retail, food, manufacturing and logistics. For example, robots have been used disinfect hospitals to help destroy viruses.

Whilst these technologies have enabled societies to survive the pandemic, there is also a long-term impact on the workforce, with technology displacing people resulting in widespread redundancies.

(**Source**: Fan, Z and Xiao, Y. (2020) '10 Technology trends to watch in the Covid-19 pandemic.' [Online] Available from: https://www.weforum.org/agenda/2020/04/10-technology-trends-coronavirus-covid19-pandemic-robotics-telehealth/ [Accessed 21 June 2024])

3.6 Big data and data analytics

Advances in technology have helped to make data an increasingly important resource in business. Making use of the insights that can be gained from data analysis has made data management a strategic issue for many organisations. As a result, assessing how an organisation manages the data it holds should form an important part of a strategic capability review.

The increased emphasis on the importance of data has given rise to the now widely used terms of big data and data analytics. In this section, we introduce the concept of big data and data analytics.

In the chapter, 'Strategies for information,' we consider how the use of big data can help organisations achieve a competitive advantage. It is important to recognise that artificial intelligence (AI) (see 'Developments in technology') capabilities would be very limited without big data, which allows models to be more accurate and helps to identify more complex patterns.

Definitions

Database: A structured collection of records or data that is stored in a computer system along with rules as to the information that will be sought from it, so that queries may be answered by interrogating the database.

Big data: The term that describes those 'datasets whose size is beyond the ability of typical database software to capture, store, manage and analyse' (McKinsey Global Institute, 2011).

An alternative definition is provided by Gartner: **big data** concerns 'high-volume, high velocity and high-variety information assets that demand cost-effective, innovative forms of information processes for enhanced insight and decision making.'

Data analytics: The process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.

Descriptive analytics: A technique using historic quantitative or qualitative data to provide an account of what has happened, via reports, dashboard, bar charts and other visualisations. For example, descriptive analytics can be used to analyse revenue in more detail to understand and compare sales trends over time. Descriptive analytics is the simplest of the data analytics techniques and answers the question, 'what happened?'

Diagnostic analytics: This takes a deeper look at data to understand the causes of events and behaviours. By using techniques such as drill-down, data mining and correlations, it is possible to examine and better understand why something happened. For example, diagnostic analytics could be used to understand the reasons behind changing demand for a product. Diagnostic analytics answers the question, 'why did this happen?'

Prescriptive analytics: Data is used to determine the best course of action. Machine-learning algorithms are an important part of prescriptive analytics because they can sort through large

quantities of data to make recommendations. For example, prescriptive analytics is used to curate customers' social media feeds and recommendations based on content individuals have previously engaged with. Prescriptive analytics answers the question, 'what should we do next?'

Predictive analytics: This technique uses data to predict future trends and events. Historical data is used to make assumptions about the future, using techniques such as regression analysis. For example, predictive analytics could be used to predict a company's future annual cash flows.
Predictive analytics answers the question, 'what might happen in the future?' Closely linked to the term data analytics is data mining.
Data mining: Is the process of analysing large datasets to discover patterns, relationships, and insights. It employs AI and statistical algorithms to identify correlations and trends that transform raw data into actionable information.

Cloud computing: 'Is on-demand access, via the internet, to computing resources – applications, servers (physical servers and virtual servers), data storage, development tools, networking capabilities, and more-hosted at a remote data centre managed by a cloud services provider (or CSP).' (**Source**: https://www.ibm.com/topics/cloud-computing#:~:text=Cloud%20computing%20is%20on,or%20CSP)

Cloud accounting: 'Refers to performing basic accounting tasks, like managing and balancing the books, using software that resides in the cloud and is often delivered in an as-a-service model.' (**Source:** http://www.netsuite.com/portal/resource/articles/accounting/cloud-accounting.shtmtext=Cloud%20accounting%20refers%20to%20performing,service%20model)

Internet of things: A system of interrelated computing devices, mechanical and digital machines, or objects that are provided with unique identifiers and the ability to transfer data over a network without requiring human-to-human or human-to-computer interaction.

3.6.1 Growth in the amount of data in business

Today, organisations have access to greater quantities of data than in the past, with vast amounts of transactional data available from a number of internal and external sources, such as suppliers and customers. Most organisations now use the large amounts of data they capture in order to make strategic decisions. The existence of data is commonplace and, in isolation, does not result in significant competitive advantage. However, if organisations use their data in conjunction with AI tools (see 'Developments in technology'), they will gain access to far more insightful, accurate and up-to-date information enabling better strategic decision making.

The growth in the amount of data now available has been largely fuelled by increasing internet usage and by developments in communication methods such as wireless networks, social media sites and smartphones. An increasing number of organisations are embracing the 'internet of things' by embedding sensor technologies, such as RFID (radio frequency identification) tags and tracking devices, into their operations to gather data from a diverse range of activities. Companies including British Gas, an energy supplier in the UK, have introduced so-called smart meters as a way of measuring the amount of electricity consumers are using on a daily basis. Such meters also allow home owners to better manage their household energy costs as the meter records and wirelessly transmits the level of energy consumption back to the energy provider.

Leading data analytics software firm, SAS, offers the following explanation of big data and its importance for businesses.

'Big data is a term that describes the large volume of data – both structured and unstructured – that inundates a business on a day-to-day basis. But it's not the amount of data that's important. It's what organisations do with the data that matters. Big data can be analysed for insights that lead to better decisions and strategic business moves.'

(**Source**: '*Big data – What it is and why it matters*.' [Online] Available from: www.sas.com)

Data analytics concerns the ability to analyse large sets of data to reveal meaningful insights. As the definition outlined at the beginning of this section highlights, data analytics involves the discovery of patterns and trends which can be used by organisations when making decisions. Data analytics often involves the use of software and IT/IS infrastructures. Traditionally, the ability for most organisations to analyse such vast quantities of data was too prohibitive due to the cost and difficulties involved.

This however is gradually changing as the use of increasingly cost-effective technologies such as cloud computing architectures and open-source software become more readily available.

Nonetheless the possession of data analytics tools can be regarded as an important part of an organisation's strategic capability. As we shall explore here and also in the chapter Strategies for information, big data in a commercial setting is increasingly being used to identify trends that may exist in vast quantities of data in the pursuit of building a competitive advantage and value creation.

3.6.2 The Vs of big data

Doug Laney, an analyst with technology research firm Gartner, suggests that big data can be defined with reference to the three Vs of big data: volume, velocity and variety.

Volume

The vast quantities of data generated are a key feature of big data. Advances in technology and data analytics software have enabled very large data sets to be processed. This is helping organisations to gain a deeper understanding of customer requirements. For example, organisations can collect large amounts of external data about their customers from customers' use of the internet and social media. This data can now be combined with internally generated data for example, from customer loyalty cards or transactions recorded at shop tills, to build up a more detailed profile of the customer.

The volume aspect of big data has challenged the strategic capabilities of many organisations wishing to exploit its potential. Most notably, these have involved enhancing existing IT infrastructures through the use of cloud computing architectures so that they are capable of holding greater amounts of data.

Velocity

Velocity refers to the speed at which 'real time' data flows into the organisation and the speed at which the data is processed by the organisation's systems to produce a meaningful output. Many online retailers have developed capabilities which enable them to record the movements and 'clicks' made by a customer when using the organisation's website. As such, online retailers are now able to build up a better picture of those products and services the customer found most interesting as opposed to only recording the final sale transaction with the customer. Analysing the customers' clicks while still visiting the website has enabled online retailers to recommend relevant additional items for purchase based on those items already viewed. Online websites including Amazon and eBay use this tactic to encourage customers to make extra purchases.

Variety

Variety is concerned with the diverse range of forms that big data can take. An increasing amount of data generated comes in an unstructured form, ie, data which is not easy to hold in a database.
Unstructured data may take the form of words used by people on social media sites such as Facebook and Twitter, along with shared content such as photographs or video recordings.

Capturing, processing and storing unstructured data presents further challenges to organisations which may need to develop their existing IT/IS capabilities to be able to firstly store such data and secondly extract meaning from the data they hold. Data that is too large, moves too fast or fails to fit neatly with existing IT infrastructures reduces the value which can be derived from it.

The three Vs of big data can also be extended to include an additional characteristic: veracity.

Veracity

Veracity is concerned with the truthfulness of the data collected. For data to have any value when being used for decision-making in an organisation, it needs to be truthful, ie, it must not present a bias or contain inconsistencies. The use of poor-quality data may have expensive and far-reaching consequences for those organisations which rely on it for making strategically important decisions. For example, an organisation may decide to introduce a type of product in the belief that there is sufficient customer demand for it, when in reality this may not be the case.

3.6.3 Practical considerations with big data

Before organisations introduce a big data programme, there are a number of practical issues which should be considered. These include:

- Will a big data programme give the organisation a competitive advantage?
- Does the organisation have the requisite capabilities to get the most from introducing a big data programme (eg, AI tools) to interrogate the data?

Factors here might include:

(a) Are there workers within the organisation or in the job market with the required skills capable of analysing large data sets?

(b) Storing vast quantities of data places a greater emphasis on organisations having robust data security measures in place. Are these security measures in place or do they need to be developed? (The concept of cyber security is considered later in the Workbook.)

(c) Does the organisation have the financial resources and time available to invest in or upgrade IT/IS?

(d) Furthermore, the issue of data ownership is likely to present challenges for organisations, ultimately who owns the data held? Does it belong to the organisation or customer?

In the chapter, 'Strategies for information,' we return to the topic of big data when we consider how it can help organisations to implement and monitor a strategy and assist in the creation of a competitive advantage.

3.7 Developments in technology

It is important to recognise that big data and data analytics are just one of a number of technological developments which could have a significant impact on the strategic capabilities of organisations, and ultimately the ability of these organisations to realise their strategies. Ensuring that management considers an organisation's use of developing technologies will form an important element of the technology resource audit.

This section focuses on the following technological developments:

- Automation and robotic process automation (RPA)
- Artificial intelligence (AI)
- Digital assets
- Blockchain and cryptocurrency



Professional skills focus: Applying judgement

You are not expected to be an expert in the detailed workings of IT systems. However, you will need a high-level understanding of how and when emerging technologies can affect an organisation's strategies or their ability to implement strategies.

3.7.1 Automation

Definition

Automation: 'The creation and application of technology to monitor and control the production and delivery of products and services' (The International Society of Automation, 2018).

Technological advances have rapidly increased the ability for organisations of all sizes to automate activities which had historically been carried out by human workers. The concept of automation in business is not new, as many examples exist of machines having taken over the work traditionally carried out by human beings. The use of robots to complete a variety of pre-programmed production activities is today standard practice in many of the world's manufacturing industries.

However, as the definition provided above highlights, the automation of business processes is not solely restricted to traditional manufacturing type businesses, and is now in widespread use in many service industries. In recent times, automation has become increasingly associated with the concept of cognitive technologies, which enable computer systems to undertake evermore complex tasks.

Definitions

Robots: Are programmable machines capable of carrying out complex actions autonomously or semi-autonomously. Typically equipped with sensors and actuators, robots are used in various industries for tasks that require precision, endurance, or involve hazardous conditions.

Bots: Software programs, also known as software robots, that can automatically execute tasks and actions. Bots are useful for performing repetitive, logic-based tasks, following a set of pre-programmed rules. Some bots also make use of artificial intelligence (AI) to mimic human behaviour. For example, chatbots use AI to enable conversation with humans.

Chatbot: Is a software application designed to simulate conversation with human users. It uses **natural language processing** to understand and respond to user queries.

Robotic process automation (RPA): Is a solution to replicate a business process, designed to do a task that would otherwise be performed manually. It is programmed to follow 'if this, then that' instructions. It runs with other programs rather than replacing them.

(**Source**: https://www.icaew.com/technical/technology/technology-and-the-profession/risks-and- assurance-of-emerging-technologies/what-is-cognitive-technology)

The use of robots and bots to perform pre-programmed production activities is already standard practice in many manufacturing industries (eg, car manufacturing). However, process automation is now becoming increasingly widespread across other sectors such as agriculture, healthcare and service industries.

The use of robots and bots can bring benefits to an organisation including:

- ***Improved accuracy** – robotic machinery can operate at a far higher level of precision and accuracy than human beings, thereby reducing the rates of error in a production environment to almost zero. This allows organisations to reduce the costs of wasted, damaged materials in production*
- ***Greater productivity** – unlike human beings, robotic technologies can be used 24/7, thereby providing organisations with far greater flexibility than that offered by human workers, who are protected by health and safety and employment rights in many parts of the world.*

- ***Cost savings*** *– recruitment, training and development of employees can be time-consuming and expensive. Using robots, who require minimal training and no pay, allows a company to significantly reduce its headcount and associated staff costs, including salaries, overtime pay and benefits.*
- ***Added value*** *– the use of robots to perform repetitive tasks frees up employees to perform more creative and value adding tasks, such as product/service innovation and problem solving. Such tasks help companies to achieve competitive advantage and to deliver higher returns to shareholders as well as serving to motivate employees.*

However, it is also important to recognise the potential problems, risks and ethical issues surrounding the use of automated technology including:

- ***Job displacement*** *– robots can be used to replace people resulting in redundancies. In order to act ethically in this regard, companies need to consider how to minimise the impact on staff by supporting re-training programmes and giving existing employees opportunities to become involved in more value-adding work.*
- ***Privacy and security risks*** *– as robots become more integrated into the workplace, there is a risk that they collect and store sensitive information. Cybersecurity breaches may result in robots being hacked and sensitive data being leaked.*
- ***Risk of failure*** *– as robots are used with increasing frequency, there is a risk that businesses become over-reliant on them such that, if they fail due to power disruption, cybersecurity breaches and mechanical or software failures, the business cannot function in the short term, incurring expensive downtime and repair costs. Malfunction of robots may also pose a risk to employee safety.*



Context example: Robots in farming

Robots have traditionally been associated with factory-based manufacturing, but their application is increasingly being seen in industries from banking to farming. RPA can be used to manage software robots to perform repetitive, low value work that is often undesirable to people.

For example, French canned vegetable producer Bonduelle has been working with scientists to develop robotic harvesting of cauliflowers. The idea is popular amongst British fruit and vegetable growers who are facing a decline in seasonal workers as a result of the UK's departure from the EU.

Fieldwork Robotics, a spinout from the University of Plymouth, has already developed the world's first raspberry picking robot, which has the advantage of being able to work 24/7 unlike human fruit pickers. Its latest venture is an early prototype for a cauliflower harvesting robot which has a gripper and a cutter to neatly slice off a cauliflower head.

The robot is guided by sensors and 3D cameras and uses machine learning to identify cauliflowers that are ready to be picked. Fieldwork Robotics will be responsible for collecting data and using it to train the computer algorithms that power the robotic arms. Bonduelle will provide all the information needed about optimal vegetable ripeness and harvesting conditions, as well as access to fields.

(**Source**: Kollewe,J. (2020) Robots gear up to march to the fields and harvest cauliflowers. *The Guardian*. [Online] Available from: https://www.theguardian.com/business/2020/sep/21/robots- gear-up-to-march-to-the-fields-and-harvest-cauliflowers)

3.7.2 Artificial intelligence (AI)



Definitions

Artificial intelligence (AI): Is the field of study and application involving the creation and use of advanced computer systems to perform tasks traditionally requiring human intelligence. This includes learning from data; reasoning and problem-solving; sensory understanding; language processing; and recognising patterns. AI systems are characterised by their ability to adapt to new information or environments, operate with a degree of autonomy, and make informed decisions. AI often, but not always, involves the use of machine learning.

Machine learning: Is the capability of computer systems to learn from and make predictions or decisions based on large volumes of training data, without being explicitly programmed to do so. It involves two primary methods: supervised and unsupervised learning. In supervised learning, the model is trained on labelled data, meaning it learns to predict outcomes from input data that has an associated correct answer. Unsupervised learning involves training on data without labelled responses, allowing the model to identify patterns and relationships in the data independently.

Natural language processing: Is a branch of **AI** that enables computers to understand, interpret, and generate human language in a way that is both meaningful and useful. By employing techniques from linguistics and computer science, NLP helps machines process and analyse large amounts of natural language data, facilitating tasks such as translation, sentiment analysis, voice-activated services and **chatbot** responses.

As the definitions above illustrate, AI in its broadest sense has the functionality to interpret some form of stimulus, and is then capable of responding in some fashion. Although often used interchangeably, it is important to recognise that the terms AI and machine learning are, in fact, subtly different. As outlined above, AI is concerned with creating advanced computer systems which have the ability to think for themselves, in much the same way that humans use their intelligence to weigh up information as the basis for determining appropriate actions. Machine learning is focused on the science associated with getting computer systems to learn how to act without being specifically programmed to do so. In both cases, it is important to recognise the link between AI and big data since, without access to large datasets, it would not be possible to train the computer systems.

Artificial intelligence (AI) and strategy

It is important to recognise that a number of different automation and AI technologies exist in different organisations and industries. In this section, some consideration is given to the different ways these technologies can support organisations to achieve their strategies.

- ***Customer service and support** – virtual assistants, sometimes referred to as 'chatbots,' use AI to undertake repetitive tasks, such as replying to frequently asked questions raised by an organisation's customers. A number of websites offer customers the opportunity to enter into conversational dialogue with a virtual assistant in real time, and the virtual assistant is capable of answering simple questions. The use of virtual assistants can enhance the customer experience, as the need for customers to call a company's customer service centre is reduced, thereby increasing the likelihood that customers will make a purchase while online instead of switching to a competitor.*
- ***Data analysis** – AI processes data faster than humans allowing organisations to gain insights more quickly and to take rapid action to update strategies in line with market trends. AI enables non- data experts to analyse large datasets, helping managers across organisations to make better data-driven decisions. The more data an organisation has, the greater the ability of AI to identify more complex patterns.*
- ***Personalised marketing** – AI uses machine learning algorithms to analyse vast quantities of customer data, identifying patterns and making predictions about customer behaviour.*

Companies can use this information to personalise their interactions with customers using targeted advertisements, product recommendations and personalised messaging, thereby strengthening customer loyalty and gaining market share.

- ***Improved supply chain management** – a number of companies are enhancing their home delivery service by using AI powered drones (robotic technology) to deliver goods to customers quickly and efficiently. Following a successful trial of delivery drones, online retailer Amazon is integrating drones into its fulfilment network. Amazon Prime Air aims to enhance Amazon's supply chain strategy by reducing delivery costs and getting orders to customers more quickly.*



Definition

***Generative AI:** Refers to a type of **artificial intelligence (AI)** that is designed to generate new content, such as images, text, audio, or video, based on patterns learned from a training dataset. Unlike predictive models that focus on making predictions or classifications based on existing data, generative AI models create entirely new data instances that mimic the characteristics of the training data.*

Generative AI is advancing rapidly. ChatGPT was released in November 2022 and, since that point, new iterations of generative AI technology have been released several times a month. McKinsey research has found that generative AI features could add up to US$4.4 trillion annually to the global economy and it is now estimated that the technology will achieve a median level of human performance for many capabilities, such as creativity, logical reasoning and problem solving, by 2030 (McKinsey 2023). Generative AI will likely have the biggest impact on knowledge-based work with the fields of education, law, technology and the arts seeing many roles and tasks being automated.

***(Source:** McKinsey & Company (2023) What's the future of generative AI? An early view in 15 charts. [Online] Available from: https://www.mckinsey.com/featured-insights/mckinsey-explainers/whats- the-future-of-generative-ai-an-early-view-in-15-charts [Accessed 19 June 2024])*



Context example: Tesco and AI

Tesco is using generative AI and other technologies in a variety of ways to improve business operations and enhance the customer experience.

***Forecasting models** – the traditional time-series approach to forecasting works on the principle that history repeats itself either as a trend, a cycle or seasonal effect. In reality, unexpected events, such as Covid, undermine this approach. To overcome this problem, Tesco uses sophisticated algorithms to more accurately predict future customer demand, which helps the supermarket to better plan business operations.*

***Consumer behavioural insights** – Tesco gathers information on customer purchases, through the Clubcard scheme and the mobile app, to understand what they want and need. This enables Tesco to create personalised rewards and promotions for customers based on their shopping behaviours, adding value to the individual shopping experience.*

***Fraud detection and prevention** – AI algorithms are used to analyse orders placed with Tesco in order to identify unusual transactions that may be fraudulent. According to Venkat Raghavan, Tesco Business Solutions director of enterprise analytics: 'on a monthly and yearly basis, we have stopped huge numbers of fraudulent transactions in real time.'*

Having launched the Clubcard programme in the 1990s, ahead of most retailers, Tesco continues to effectively utilise data and technology to improve strategic decision-making, from customer engagement through to supply chain management.

(***Source:*** *Bordoloi, P. (2023) How this company is redefining retail experience with generative AI [Online] Available from: https://analyticsindiamag.com/how-this-company-is-redefining-retail-experience-with-generative-ai/ [Accessed 1 May 2024])*

Key considerations when using developing technologies

To be able to make effective use of developing technologies, such as automation and AI, organisations need to give careful consideration to a number of factors which may affect their ability to leverage the benefits offered.

Often, the rationale for using developing technologies is that it enables organisations to save the cost of employing staff to undertake lower-level, routine, repetitive tasks. Organisations need to carefully factor in the associated redundancy costs of replacing staff with automated technologies. Replacing workers with new technologies also raises ethical considerations as to whether such strategies are fair. Negative perceptions of this among customers may cause reputation damage. A counter argument to these negative aspects is that the use of developing technologies will remove the need for human beings to undertake routine tasks, and should instead allow organisations to retain, and use these workers to perform more value-adding tasks, such as using their creativity to help improve organisational processes, products and services. This approach may require organisations to invest in human capital programmes to be able to effectively utilise the workers at their disposal.



Context example: The dangers of AI

In April 2023, Geoffrey Hinton quit his job as one of Google's top AI scientists, stating that he was concerned about the rapid development of AI. A 2023 survey of AI experts revealed that 36% fear that AI development may result in a 'nuclear level catastrophe.' The key concern is that the rapid acceleration in AI will likely result in artificial general intelligence (AGI), which has the ability to improve itself without human intervention. For example, Google's AlphaZero AI learned how to play chess better than any human in just nine hours, simply by playing against itself millions of times and learning from the outcomes. According to Hunt (2023), 'such super intelligent AI will be able to do in about one second what it would take a team of 100 human software engineers a year or more to complete.' At this point, it will become difficult to control the AI because any control mechanisms a human could think of would already have been considered and mitigated by the AI itself. Regulators around the world are starting to take action but need to respond quickly. In the words of Thierry Breton, the 2023 European Commissioner for the internal market, 'AI raises a lot of questions socially, ethically, economically. But now is not the time to hit any 'pause button.' On the contrary, it is about acting fast and taking responsibility.'

Sources*:*

- *Hunt, T. (2023) Here's why AI may be extremely dangerous - whether it's conscious or not. [Online] Available from: https://www.scientificamerican.com/article/heres-why-ai-may-be-extremely- dangerous-whether-its-conscious-or-not/ [Accessed 18 July 2023]*
- *O'Carroll, L. T. (2023) EU moves closer to passing one of world's first laws governing AI. [Online] Available from: https://www.theguardian.com/technology/2023/jun/14/eu-moves-closer-to- passing-one-of-worlds-first-laws-governing-ai/ [Accessed 18 July 2023]*

- **Costs** – The introduction of developing technologies will present organisations with a number of significant costs. Costs here will most likely include the associated costs of purchasing the physical hardware and software to be used, and the infrastructure needed to support the technology. In the case of smaller organisations, the costs of introducing developing technologies may in fact prove prohibitive. Careful consideration needs to be given to the associated costs of hiring in workers (either on a permanent or contract basis)

to help the organisation develop the necessary infrastructure. The associated costs of training staff to use developing technologies, especially where automated robotic systems are integrated into human workspaces also need to be factored in.

- **Speed of change and competitive advantage** – Constant change increases the likelihood of technological obsolescence in relatively short time frames. As such, management need to consider the impact that updating developing technologies will have on an organisation's financial resources not only at the point of introduction but also into the longer term as system updates and upgrades are required. Consideration should also be given to the potential competitive advantage that organisations are likely to gain when introducing new technologies. The fact that the use of automated systems is so widespread in certain industries raises doubts as to whether organisations adopting their use will be able to create a sustainable competitive advantage. Consideration also needs to be given to extent that organisations may suffer a competitive disadvantage by failing to introduce new technologies, as in time they may come to represent a threshold resource.
- **Impact on customers** – Organisations also need to consider the impact that the introduction of developing technologies will have on customers. For example, it is unlikely that all of a company's customers would want to engage with a 'chatbot' when visiting a website, with some still preferring to deal with a human being.
- **Risk of error** – Although technology provides many benefits, organisations need to be aware of potential flaws in AI systems, such as data bias or inaccurate information, that could result in costly or even dangerous errors.



Context example: AI in recruitment

Any bias in the data used to train machines will be reflected in the algorithm meaning that AI can further exacerbate gender and race discrimination. Amazon's AI recruiting system was abandoned after it was found that female candidates for software developer posts were being overlooked. The computer models had been trained to vet applicants by observing candidate profiles from the previous 10 years – most of these applicants had been men so the algorithm had taught itself that male candidates were preferable.

(**Source**: Dastin, J. (2018) *Amazon scraps secret AI recruiting tool that showed bias against women Reuters*. [Online] Available from: https://www.reuters.com/article/us-amazon-com-jobs-automation- insight-idUSKCN1MK08G [Accessed 18 July 2023])



Professional skills focus: Applying judgement

Data and information provided by systems is open to error in the same way as information prepared by humans. There is a tendency to accept data generated by machines, but the rise in more plausible fakes and misinformation increases the need to question data. Accountants must apply professional scepticism to machine-based data output, identifying errors, gaps and inconsistencies in the information so that data-driven decisions are robust.

3.7.3 *Regulation of AI*

The pace of change of AI and the impact it is having on organisations and individuals has resulted in a raft of legislation being created to ensure that the technology is developed and used in a safe and ethical manner. All companies must take this legislation into consideration when developing AI tools to use in the course of their business operations.

The EU Artificial Intelligence Act (AI Act) is the world's first comprehensive AI law designed to ensure better conditions for the development and use of AI technology. The AI Act was adopted by the European Parliament in March 2024 and will be fully applicable by March 2026.

The AI Act distinguishes between unacceptable AI risk systems which are deemed a threat to people and will therefore be banned, and high-risk systems that could negatively affect safety or fundamental rights. Such high-risk systems will be assessed before being put on the market and they will be subject to assessment throughout their lifecycle.

Similarly, the US Executive Order on Artificial Intelligence aims to protect North Americans from the potential risks of AI systems by requiring that developers share their safety test results with the US Government. The National Institute of Standards and Technology will also set standards to ensure that AI systems are safe, secure and trustworthy.

The Bletchley Declaration was signed by 28 countries at the AI Safety Summit on 1 November 2023. The declaration is a commitment by all participating countries to establish a framework ensuring that AI technologies are developed and used responsibly and safely across the globe.

Sources:

- *European Parliament (2023) EU AI Act: First regulation in artificial intelligence [Online] Available from: https://www.europarl.europa.eu/topics/en/article/20230601STO93804/eu-ai-act-first- regulation-on-artificial-intelligence [Accessed 1 May 2024]*
- *The White House (2023) FACT SHEET: President Biden Issues Executive Order on Safe, Secure and Trustworthy Artificial Intelligence [Online] Available from: https://www.whitehouse.gov/briefing- room/statements-releases/2023/10/30/fact-sheet-president-biden-issues-executive-order-on-safe-secure-and-trustworthy-artificial-intelligence/ [Accessed 1 May 2024]*
- *McFarland, A. (2023) What is the Bletchley Declaration Signed by 28 Countries? [Online] Available from: https://www.unite.ai/what-is-the-bletchley-declaration-signed-by-28-countries/ [Accessed 1 May 2024]*

3.7.4 Digital assets



Definition

Digital assets: Assets which are held in digital form, that is to say assets which are not available in physical form. Common examples of digital assets include: PDF files, images, audio and video files.

The widespread use of computer systems around the world means that most organisations now hold at least some of their assets in digital form. Digital assets represent strategically important resources for most organisations as they are ultimately linked to an organisation's ability to deliver its selected strategy. As such, many organisations have moved to enhance their strategic capabilities in terms of how they manage their digital assets by implementing digital asset management (DAM) systems.

Most **digital asset management systems** are effectively a centralised, easy to use, repository in which different types of digital asset can be stored. Demand for digital asset management systems, especially among larger organisations, has been driven by the sheer volume of digital assets in existence which are held by different individuals, in different locations, across organisational networks. Common problems associated with this approach include: difficulties in finding digital assets (files, photos etc) on the network especially when required for use by more than one individual or department; digital assets getting lost; and issues around version control of digital assets saved on the network. Such occurrences hinder workforce productivity and ultimately the ability of organisations to utilise their digital assets in the realisation of their overall strategy.

Features of digital asset management systems

Digital asset management systems can support organisational strategies by ensuring that digital assets are easily accessible and available to use as required.

Common features of digital asset management systems:

- Digital assets are saved centrally to avoid the need for multiple network locations.
- Access rights can be set so that only individuals with appropriate authorisation can access and amend digital content.
- Digital assets can be saved according to their file type which is designed to support ease of use.
- A search function which allows users to search for digital assets in the event that the asset name cannot be recalled (ie, the file name). Search functions allow the user to search for content using everyday language (ie, December's budget file 20X8).
- Many digital asset management systems are integrated with cloud-based technologies so that the organisation's digital assets can be securely stored and can be accessed around the world.



Context example: Bynder and Five Guys

Bynder is a cloud-based DAM platform that allows marketing teams to create, find and use digital content. The platform saves time so that brands can launch campaigns more quickly and efficiently. Bynder also enables people within global organisations to collaborate across countries, ensuring consistency in marketing campaigns.

Bynder customers have achieved a 200% growth in e-commerce sales with an estimated $50,000 cost savings per campaign and a $1.5 million reduction in agency spend.

One of Bynder's customers, Five Guys, a hamburger franchise, has over 1,600 locations (one-third owned; two-thirds franchisees) across the US, Canada, Europe, Asia and the Middle East. Rapid expansion created a need for one cloud-based system to consolidate digital assets and make them easily searchable. Five Guy's goal with regard to digital asset management was to 'have something that could work in Dubai as well as in Kansas.' Before using Bynder, Five Guys stored and distributed their marketing and branding assets in a variety of ways, with each department having their own approach – including the use of Dropbox, external hard drives, shared folder intranet systems and an extranet. The process was difficult to manage, and employees struggled to find the digital assets they needed. With Bynder, Five Guys now has a central database of assets, with built-in permissions, expiration features and asset protection, which can be shared with internal departments, external agencies, vendors and the media, significantly reducing search time. The Bynder DAM allows Five Guys to maintain a worldwide brand consistent across time zones, languages and cultures, strengthening brand recognition and creating greater brand equity.

*(**Source**: Bynder (n.d) Five Guys International expansion highlights the growing need for DAM at Five Guys [Online] Available from: https://www.bynder.com/en/customers/five-guys/ [Accessed 2 May 2024])*

Implementing a digital asset management strategy

The successful implementation of a digital asset management strategy requires the consideration of a number of practical issues, many of which are pertinent to an organisation's technology resource audit:

- **Infrastructure capabilities and storage needs** – management need to assess the organisation's current approach to the storage of digital assets in order to determine how best to configure and structure their digital asset management system. This is important in ensuring that it meets their needs.

- **Management support** – the introduction of a digital asset management system for most organisations will require senior management support, especially as the upheaval to existing work patterns is likely to be extensive during the implementation stage.
- **Selection of supplier** – organisations which have not previously used a digital asset management system need to take care to ensure that the supplier of the system is appropriate to the organisation's needs.
- **Project team** – given the strategic importance of many digital assets, the implementation of a digital asset management system should be overseen by a dedicated project team to ensure that any disruption caused by the implementation of the system is minimised.

3.7.5 *Blockchain and cryptocurrency*



Definitions

Blockchain: *Is a specific form of* ***distributed ledger technology*** *that records data in a decentralised and immutable manner across multiple nodes. This structure makes records tamper-proof and enhances security by removing single points of failure. Blockchains are often public, allowing anyone to verify the data, though private configurations exist for tailored organisational needs. This technology supports* ***cryptocurrencies*** *and has many other applications, including supply chain oversight, digital identity, and secure voting.*

Distributed ledger: *Distributed ledger technology (DLT) encompasses a range of decentralised database systems where transactions are recorded and validated across multiple sites. Unlike traditional ledgers, DLT does not rely on a central authority, enhancing transparency and reducing the need for audits. While* ***blockchain*** *is a well-known type of DLT noted for its chained data structure, other forms of DLT may organise data differently and offer varying levels of access and privacy.*

Cryptocurrency: *A digital asset that is designed to function as a medium of exchange and store of value. It operates through a decentralised computer network independent of any central authority, such as a central bank, which does not issue or regulate it. Cryptocurrencies use blockchain technology to achieve decentralisation, transparency, and immutability, distinguishing them from traditional monetary systems and financial assets. While they perform roles similar to currency, under IFRS, they are not recognised as cash or financial instruments, but may be accounted for as intangible assets or inventory depending on the circumstances.*

*(**Source**: https://www.merriam-webster.com/dictionary/cryptocurrency)*

The major benefit offered by blockchain is its enhanced security over the recording of transactions with all participants in the network having access to updated records, so that each individual transaction has effectively been audited by the computers in the network. Any attempt by a participant to interfere with a transaction (eg, by attempting to post incorrect details) will be rejected by the other computers (nodes) in the network. Failure to achieve consensus will lead to the transaction not being recorded in the ledger in the blockchain. Blockchain therefore provides an effective control mechanism which addresses some of the fundamental cyber risks associated with using IT systems and the internet. Due to the inalterability of data in a block, blockchain lends itself well to many other situations.

For example, the most well-known use of blockchain is for cryptocurrency such as Bitcoin, with the technology enabling peer to peer transactions without the need for intermediaries such as banks. However blockchain is now widely used across many industries including: healthcare data management to securely store patient records; in banking to facilitate cross-border payments with greater transparency and lower fraud risk; and in supply chain management to track goods and verify authenticity.

Context example: Using blockchain to resolve payment disputes at Walmart

A common problem in the logistics industry is the large number of data discrepancies arising during the freight carrier invoicing process, resulting in manual reconciliations and delayed payments. For Walmart, each invoice can include over 200 data points, including information such as stop locations, gallons of fuel, and temperature updates, for each of the 500,000 annual shipments. Such discrepancies resulted in approximately 70% of freight invoices requiring manual intervention and reconciliation before payment could be made. The cause of the problem stemmed from the existence of multiple, incompatible systems used by Walmart and its many third-party carriers. To end payment disputes with its third-party freight carriers, Walmart Canada decided to apply a blockchain approach. The introduction of the system not only eliminated the disputes (with only 1% of invoices now experiencing discrepancies), it has also resulted in operational efficiencies. For example, it is now possible to determine which routes are the best in terms of time and fuel consumption. The blockchain solution has also enabled Walmart and its supply chain partners to optimise efficiency by vehicle, route, load weight, and even the optimal time to travel.

(***Source**: Vitasek, K., et al. (2022) How Walmart Canada Uses Blockchain to Solve Supply-Chain Challenges [Online] Available from: https://hbr.org/2022/01/how-walmart-canada-uses-blockchain- to-solve-supply-chain-challenges [Accessed 2 May 2024])*

Factors for consideration when using cryptocurrencies

The widespread use of internet technologies around the world is likely increase the demand for cryptocurrencies, especially in those parts of the world where the majority of the population do not have access to conventional banking services. However, organisations interested in accepting cryptocurrencies, such as Bitcoin, as a form of payment for goods supplied need to give careful consideration.

The following factors should be considered:

- **Impact on reputation** – the ability of users to anonymously send and receive cryptocurrencies around the world has caused concern in some quarters over the suitably of their use in business. Concerns have been raised that criminals have started to use Bitcoin and other cryptocurrencies as a means of transferring the proceeds of crime. Organisations considering accepting cryptocurrency payments therefore need to weigh up the negative connotations that this may bring and the potential for reputation damage.
- **Capabilities required** – an organisation's ability to accept cryptocurrencies will be dependent on having the appropriate infrastructure capabilities in place. The volatility in the value of many cryptocurrencies has led many organisations which accept cryptocurrency payments, to do so through the use of online intermediaries. Intermediaries such as BitPay enable an organisation's customers to pay for goods in Bitcoin, at a 'locked-in' exchange rate and then instantly convert the value of the Bitcoin into the organisation's preferred stable currency (for example, Euro, British Pound, or American Dollar), and deposit the funds into the organisation's bank account. As such intermediaries bear all of the risks in this relationship, organisations using their services are required to pay a settlement charge.

Context example: CBDC

As an alternative to existing cryptocurrencies, the Bank of England has published a discussion paper on whether to introduce a Central Bank Digital Currency (CBDC). Currently, the Bank of England provides banknotes for households and businesses as well as e-money for certain financial institutions. A CBDC would bridge the gap between these current offerings by providing e-money to all companies and individuals. The proposed CBDC, or digital pound, would have the same value as pounds sterling and is not intended to replace physical cash.

Discussion and research into a CBDC is ongoing. In February 2023, the Bank of England published a consultation paper to gain feedback from the payments industry, academics and other interested parties to fully understand the benefits and risks.

(**Source**: Bank of England (n.d) *The digital pound*. [Online] Available from: https://www.bankofengland.co.uk/the-digital-pound [Accessed 2 May 2024])

3.8 The need for integration

Resources considered on their own are inert. **Resources are of no value unless they are organised into systems**, and so a resource audit should go on to consider how well or how badly resources have been utilised, and whether the organisation's systems are **effective** and **efficient**.

Resource	Utilization
Technical resources	For example, processes for new product development, ability to serve customers efficiently.
Managerial skills	An effective management is a key organisation resource in planning activities, controlling the organisation and motivating staff.
Organisation	Organisation structure is critical. For example product or brand divisionalisation or brand management should facilitate communication and decision-making, at the level of the brand.
Information and knowledge systems	These have a strategic role.

The organisation and transformation of resources to create value is covered in more detail in section 5, which looks at value chain analysis.

3.9 The 9Ms checklist of resources

The **9Ms model** was introduced in your Business, Technology and Finance studies. The model can be used to summarise the resources and sources of competences to be evaluated, which can be broken down into: machinery, make-up, management, management information, markets, material, men and women, methods, and money.

3.10 Limiting factors

Definition

Limiting factor: A factor which at any time, or over a period, may limit the activity of an entity, often occurring where there is shortage or difficulty of availability.

In the short term, a business must make the best use of the resources available to it. In the long term, the company may wish to:

- reduce the shortfall by obtaining more of the resource; and
- economise on use by reconsidering the activities consuming the resource (eg, redesign a product to use less machine time).

4 Benchmarking competences

Section overview

- Benchmarking compares the use of assets across the firm or across the industry and indicates where they might be used better or where they are already a source of superior performance.

Definition

Benchmarking: The establishment, through data gathering, of targets and comparators, through whose use relative levels of performance (and particularly areas of underperformance) can be identified. By the adoption of identified best practices it is hoped that performance will improve.

Once a business has identified its CSFs and core competences, it must identify performance standards which need to be achieved to outperform rivals and achieve SCA. These standards are sometimes called key performance indicators (KPIs).

One way of setting KPIs is to use benchmarking. Benchmarking is defined by the Chartered Institute of Management Accountants (CIMA) as, '[t]he establishment, through data gathering, of targets and comparators, through whose use relative levels of performance (and particularly areas of underperformance) can be identified. By the adoption of identified best practices it is hoped that performance will improve.'

To ensure a balanced and comprehensive range of performance measures are set, the balanced scorecard can be used.

4.1 Purposes of benchmarking

Benchmarking encourages improvement and change to achieve strategic competitive advantage over competitors, or at least to reduce costs and streamline operations.

Professional skills focus: Structuring problems and solutions

In order to devise solutions to business problems, it is important to apply relevant technical knowledge from the Business Strategy and Technology syllabus. An understanding of the four bases of benchmarking will enable candidates to explain how to carry out an effective benchmarking programme and the benefits of such a programme for an organisation looking to improve performance.

4.2 Bases for benchmarking

Ensuring that you have an understanding of the different types of benchmarking covered in this section is very important. Benchmarking could easily appear in any of the three questions in the Business Strategy and Technology exam. Commenting on candidate performance in previous sittings, the examiner noted that many candidates struggle to gain the marks on offer when attempting requirements which required an understanding of the four bases of benchmarking outlined below.

Internal benchmarking

- Historical comparison looks at performance over time to ascertain trends/significant changes, etc, but the danger is that performance against competitors is ignored.

- Branch comparisons within the same organisation may help to identify best practice which can be implemented in all branches. Again, the danger is ignoring competitors.

Competitive benchmarking

Competitive benchmarking involves comparing performance with other firms in the same industry or sector. This may involve the use of league tables (eg, schools, hospitals, universities). The problem with industry norm comparisons is that the whole domestic industry may be performing badly (so international comparisons are better) or the whole international industry is losing out to other industries (so a wider perspective is needed – see below).

Activity (or best in class) benchmarking

Comparisons are made with best practice in whatever industry can be found. British Airways improved its aircraft maintenance, refuelling, turnaround, etc, by studying Formula One motor-racing pit teams.

Generic benchmarking

Benchmarking against a conceptually similar process. Again, Formula One was used by car manufacturers to help reduce changeover times on production lines.



Interactive question 1: Car seats

Yaz plc manufactures car seats for children. Yaz's home country, Z land, has extensive legislation on car safety for many years and child seats are compulsory. The company was formed 10 years ago by an entrepreneur who had previously worked as a technical consultant for an industrial foam company. Despite strong competition, Yaz plc has succeeded largely by careful marketing.

The car seats come in a range of sizes and there are a variety of options from fully integrated seats for very young babies to booster seats for older children. The company's main customer is an accessory manufacturer with a major presence in Yaz plc's home market. It buys the car seats from Yaz plc and sells them under its own brand as 'safety approved.' It advertises the car seats in accessory brochures and on its website. The company's second major customer is a large superstore in the home country which specialises in children's clothing and accessories such as prams and pushchairs. The remaining sales are to a varied mix of large and small mainly independent car accessory retailers.

The car seats have historically all been produced on a single site in the north of the home country. The managing director uses their connections to source the foam padding from several suppliers with a commitment to achieving the lowest price but complying with safety standards and expectations. Z land has sophisticated economy with efficient capital markets; JIT logistics are common in all forms of manufacturing.

The company is considering possible methods of expansion and is currently considering exports to neighbouring countries.

Requirements

1.1 Explain how conditions in Z land could give Yaz plc a competitive advantage when it starts its export operations.

1.2 The managing director of Yaz plc is constantly trying to improve the productivity and quality of their manufacturing operations and is considering a programme of benchmarking. Explain why a benchmarking programme would help Yaz plc and suggest how it might be carried out.

See **Answer** at the end of this chapter.

5 Transforming resources: The value chain

Section overview

- Porter's value chain encourages management to perceive of the business as a sequence of activities that add value to inputs so that the final good or service shall command a profitable price on the market. This model was introduced in Business, Technology and Finance, and is recapped here.
- The crucial activities that sustain competitive advantage are called cost drivers and value drivers.
- Competitive advantage can be created and sustained by linkages in the value chain which help to co-ordinate and optimise activities.
- Extending the value chain to an underlying value system of suppliers, distributors and customers makes it hard for competitors to replicate.

5.1 Recap of Porter's value chain model

Definition

Value chain: The sequence of business activities by which value is added to the products or services produced by an entity.

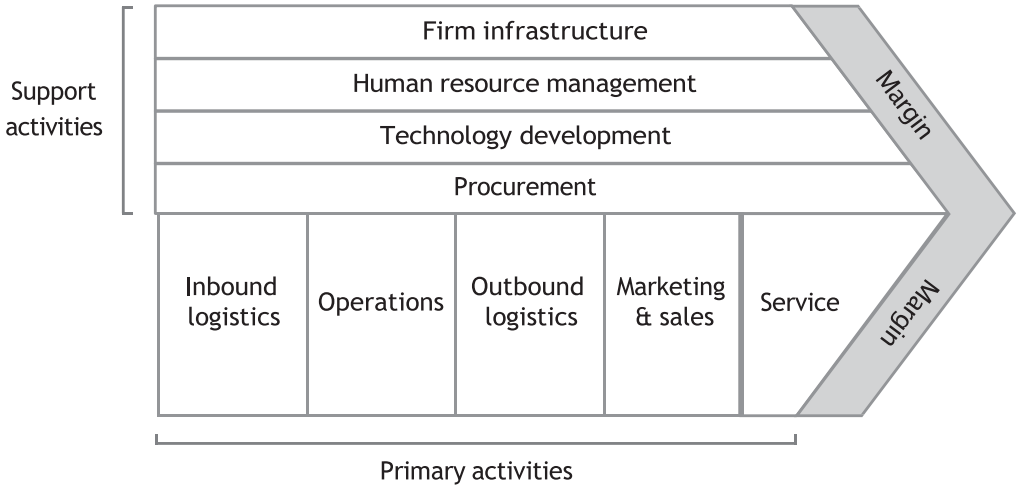
In overview, value chain analysis sees the firm as an input/output device. Figure 6.3: Porter's value chain model

Firm

Inputs from suppliers ⟶ Value – creating activities ⟶ Outputs to customers

The value chain consists of the organisation's resources, activities and processes that link the business together, and the profit margin. Together these create the total value of output produced by the business, quantified by the price paid by the customer.

Figure 6.4: Porter's Value Chain model



(**Source**: Porter, *Competitive Advantage*)

The **margin** is the excess the customer is prepared to **pay** over the **cost** to the firm of obtaining the necessary resource inputs and of performing value-creating activities upon them before selling them to the customer.

5.2 Value chain activities

Primary activities relate to production, sales, marketing, delivery and service, in other words anything directly relating to the process of converting resource inputs into outputs.

Activity	Comment
Inbound logistics	Receiving, handling and storing inputs to the production system (ie, warehousing, transport, stock control etc)
Operations	Convert resource inputs into a final product or service. Resource inputs are not only materials. 'People' are a 'resource', especially in service industries.
Outbound logistics	Storing the product and its distribution to customers: packaging, warehousing etc
Marketing and sales	Informing customers about the product, persuading them to buy it, and enabling them to do so: advertising, promotion, etc
After sales service	Installing products, repairing them, upgrading them, providing spare parts, advice (eg, helplines for software support)

Support activities provide purchased inputs, human resources, technology and infrastructural functions to support the primary activities.

Each provides support to all stages in the primary activities – eg, procurement where, at each stage, items are acquired to aid the primary functions.

At the inbound logistics stage, it may well be raw materials, but at the production stage capital equipment will be acquired, and so on.

Activity	Comment
Procurement	Acquire the resource inputs to the primary activities (eg, purchase of materials, subcomponents, equipment)
Technology development	Product design, improving processes and/or resource utilisation
Human resource management	Recruiting, training, developing and rewarding people
Management planning and firm infrastructure	Planning, finance, and quality control (crucially important to an organisation's strategic capability in all primary activities)



Professional skills focus: Concluding, recommending and communicating

Rather than simply stating the activities in the value chain you should examine how and where they add value. You will not be asked to draw a value chain so ensure you present your analysis in accordance with the instructions provided in the exam.

Worked example: Maple plc

Maple plc is a manufacturer and online retailer of bespoke furniture designed entirely to the consumer's specification. The furniture is made using high quality materials and skilled craftsmen to produce exquisite one-off items of furniture. Their furniture is considered a high added-value product that sells at a high price.

Significant advertising supports the brand image of the product. Every element of the supply to the customer is controlled by Maple as the company manufactures, sells and delivers the furniture directly to the consumer.

An outstanding level of after-sales service is also provided as each piece of furniture is sold with a 10- year guarantee, two years interest free credit, optional treatments to prevent stains or damage and optional furniture cleaning services.

Customer satisfaction is a key value of the company and a strict approach is taken to discipline in relation to customer complaints.

The staff are all either skilled or semi-skilled and the company runs a highly respected training programme to ensure they continue to develop their skills. The production machinery has recently been upgraded to the highest standard following a tendering exercise from equipment suppliers.

Inventory is well controlled and the strong links with the suppliers via integrated systems allows the correct materials to be automatically ordered when an order from a customer is confirmed.

Strong IT systems also support the finance and marketing functions of Maple.

The company operates online, with no physical presence, which allows it to offer a wide range of choice to the customer allowing them to select different elements and 'build' their furniture to their own specifications.

Once complete, delivery is made using their own vans and the furniture is carefully installed by experienced staff.

Requirement

Draw the value chain for Maple plc.

Solution

Firm Infrastructure	**Profit-orientated culture, tight financial control**					Margin
Technology Development	IT ordering systems, inventory control, payables management		Delivery IT systems		IT credit arrangement systems	
Human Resource Management	Training HO supply staff generally and in IT system	Manufacturing skills training, working practices	Delivery IT systems training	Discipline relating to customer issues	Training of delivery/ Installation staff	
Procurement	Managing supplier relationships, payables management	Tendering system for new equipment, significant financing support		Marketing department	Financing and administration of customer credit facilities	
Primary activities	Optimal delivery, sourcing high quality materials	Latest equipment, prime site factory, skilled labour	Prime sites for shops, delivery to customers	Installation for customers, advertising	Optional cleaning service, 10-year guarantee	Margin
	Inbound Logistics	Operations	Outbound Logistics	Marketing and Sales	Service	

In the Business Strategy and Technology exam, you will not be required to draw diagrams consisting of specific shapes such as the one shown above which is in an arrow like form.

5.3 Cost and value drivers

Cost drivers

Using the value chain as a basic analysis tool, it is possible to look at each of the value activities and identify the major influences on the costs incurred. These structural factors which influence cost are the cost drivers. For example, supermarkets regard the diversity of products (food, clothes, spirits, audio, etc) stocked as cost drivers because for each additional product line stocked the supermarket incurs the costs of logistics, stocking, stacking, programming electronic point of sale systems (EPOS), product training and promotion costs.

The factors which influence the cost of a given activity may vary, even between competitors in the same industry. An understanding of cost behaviour will allow a firm to assess the possibilities of adopting a least cost competitive stance.

Value drivers

Unlike cost drivers, the potential sources of value are likely to be many and varied. An understanding of the value drivers for a particular key value activity is essential for a firm trying to differentiate itself from its competitors.

For example, if competitive advantage centres on the durability of a product, then this can be supported by the sourcing of components, product design and maintenance services offered (the key value activities). In turn, the value drivers for these support activities might be supplier vetting and approval procedures, the use of freelance designers and in-house after-sales service teams.

5.4 Linkages

One of the key aspects of VCA is that it recognises that the firm's resources are not a random collection but are organised in such a way that the firm's products or services are valued by its customers.

Activities in the value chain affect one another. **Linkages** connect the activities in the value chain. They have two roles.

- They **optimise activities** by enabling trade-offs. For example, more costly product design or better quality production might reduce the need for after sales service.
- Linkages reflect the need to **co-ordinate** activities. For example, Just in time (JIT) requires smooth functioning of operations, outbound logistics and service activities such as installation.

These linkages are often unrecognised, especially if there is a rigid functional structure. A value chain analysis can help draw them to management's attention and so improve business performance.

Increasingly linkages between activities are achieved through the use of IT/IS system applications. For example, in respect of procurement activities organisations now use EDI (electronic data interchange) as a way of placing orders with suppliers. Internet technologies can reduce production times and costs by improving information flows as a way of integrating value chain activities, eg, by making procurement more efficient or sharing demand information with suppliers.

In respect of human resource management linkages between staff in different departments is increasingly being achieved through the use of self-service portals for employees to book holiday or make training requests. In terms of primary activities, the use of robots and 3D printing are creating stronger ties between product design activities and production activities.

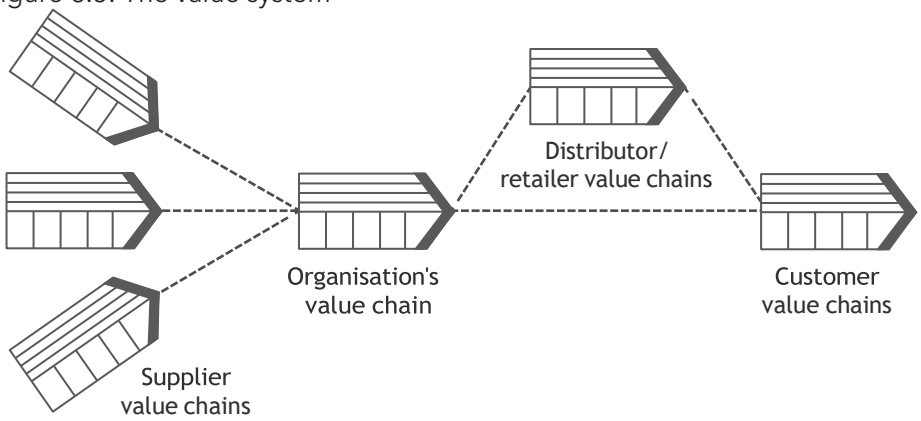
Furthermore, linkages between operational activities and outbound logistics are now increasingly supported through the use of RFID technology, which can track the progress of goods from pick-up at the warehouse to delivery to the end customer, all of which should help improve organisational performance.

5.5 The extended value system

A firm's value chain is connected to what Porter calls a **value system** (ie, activities that add value that extend beyond the organisation's **boundaries**).

For example, when a restaurant serves a meal, the quality of the ingredients – although the cook chooses them – is partly determined by the grower. The grower has added value, and the grower's success in growing produce of good quality is as important to the customer's ultimate satisfaction as the skills of the chef.

Figure 6.5: The value system



5.6 The value chain and competitive advantage

Competitive advantage can be **sustained by linkages** in the value chain and also in the wider **value system** of suppliers, distributors and customers. The planning of these linkages can provide the basis for cost advantages or become the basis on which the firm's products are differentiated from those of competitors. **Competitors can often replicate parts of a value chain, but it is more difficult to copy linkages**. As businesses outsource more and more activities, the links in the value system become more important. Electronic communications enhance the ability of businesses to outsource.

5.7 Use in strategic planning

The principal use of the value chain is to assist in understanding the business and its strengths and weaknesses, as a form of position analysis.

However, the value chain can be used specifically to:

- Identify strategically significant activities (the value activities) as an aid to targeting capital investment.
- Compare with the value chains of competitors, to identify sources of differentiation.
- Identify opportunities for synergy between the firm and a potential acquisition, for example opportunities to transfer skills or share activities.

The value system highlights the relationship between a firm and its customers and suppliers.

- This will assist managers in identifying competitive forces in the system, and targeting potential vertical integration prospects.
- Management of these wider linkages can make it more difficult for competitors to replicate

the organisation's value chain and hence contributes to sustainable competitive advantage.

Interactive question 2: Hairdressers

Xena Ltd is a chain of hairdressers with 14 sites operating in the business districts of the capital and three other major cities. It has a very simple philosophy – quality haircuts for women who are short of time. It operates a no appointment, drop-in system. Customers take a ticket on arrival and wait in a large comfortable seating area until their numbers are called. All staff are multi-skilled and there are no specialists. The company aims to keep waiting times below 15 minutes.

The salons offer a wide range of services from very simple cuts to more complex styles and treatments. In 50% of their stores Xena Ltd also offers beauty treatments, such as facials, in a separate salon on site. The company's main publicity comes from personal recommendation by satisfied customers, but they also occasionally advertise in high quality women's magazines.

After a recent period of expansion, the management team of Xena Ltd feel that their business model is not being applied consistently throughout the organisation and they have decided improvements and adjustments need to be made. However, none of the management team knows how to relate their philosophy to their operations to the best effect.

Requirements

2.1 Using the concept of the value chain, explain how Xena Ltd can adopt the quality and speed approach throughout its activities.

2.2 What are the benefits and problems of value chain analysis for a company such as Xena Ltd?

See **Answer** at the end of this chapter.

6 Outsourcing and shared service centres

Section overview

- Outsourcing is the use of an external supplier as a source of components, products or services previously provided in-house.
- The practice of **outsourcing** may be used to strengthen an organisation's value chain.
- **Harmon's process-strategy matrix** can be used to help assess organisational processes, and the most appropriate way of delivering them. Automation and outsourcing form key elements of the matrix.
- **Shared service centres** provide an alternative to outsourcing.

6.1 Outsourcing

Definition

Outsourcing: The strategic use of outside resources to perform activities traditionally handled by internal staff and resources (thebalance.com).

With the help of technology and telecommunications it is now possible for **one service provider** to devise a common process to deal with those activities common to **many different organisations in a single location**.

In addition to cost considerations, management may take the view that a chain is only as strong as its weakest link and therefore supply chains can be strengthened by outsourcing weak links to more competent providers.

Interactive question 3: Outsourcing and core competences

Should a core competence ever be outsourced? See **Answer** at the end of this chapter.

The issues to be considered in deciding **whether to outsource** include:

- The firm's **competence** in carrying out the activity itself. Low competence implies high cost and risk of poor performance. This is considered below where Harmon's process-strategy matrix is discussed.
- Whether **risk** can be managed better by outsourcing, eg, shift legal liability to the provider and possibly also levy charges for breakdowns in performance that will mitigate losses.
- Whether the activity can be **assured and controlled** by the framework of a contract and performance measures, eg, outsourcing payroll can normally be done relatively easily but systems development is more open-ended.
- Whether **organisational learning and intellectual property** is being transferred. The in-house operation may be a source of significant learning leading to product and process improvement. This is one reason that in the early stages of the international production life cycle (The macro environment chapter) firms keep manufacturing in-house rather than outsource to cheaper contract manufacturers.

The issues to consider in deciding **whom to outsource to** include:

- The **track record** of the provider and its experience of similar partnerships
- The **quality of relationship** on offer eg, will they place staff at your premises, hold regular meetings, provide open-book accounts?
- The **strategic goals** of the provider eg, is this their core business, will they operate globally alongside the firm?
- The **economic cost** of using them (including whether they will take staff over and pay for transferred assets)
- Their **financial stability**

Interactive question 4: Outsourcing R&D

Give two advantages and two disadvantages of a computer software company outsourcing its research and development.

See **Answer** at the end of this chapter.

6.1.1 Harmon's process-strategy matrix

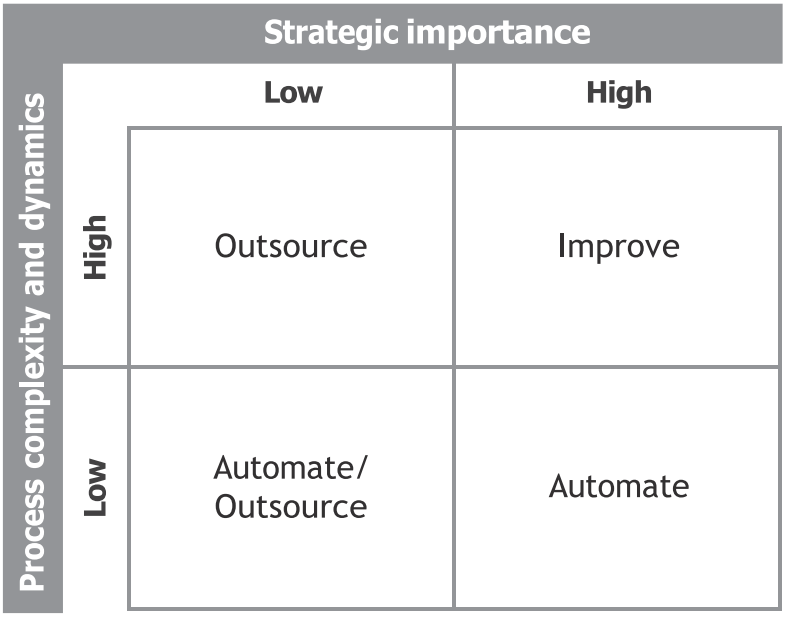
Definition

Harmon's process-strategy matrix: Is used in the analysis of business processes. It assesses the strategic importance of a process as well as its complexity and dynamics to determine how that process should be managed.

As we have already seen in this chapter, automation and outsourcing are important elements in the concept of strategic capability. Both terms form part of Harmon's (2014) process-strategy matrix which helps organisations to identify how existing organisational processes can be managed.

The matrix considers the strategic importance of existing processes against their complexity and dynamics.

Figure 6.6: Harmon's process-strategy matrix



(Adapted from: Harmon, 2014)

The way in which organisational processes should be enhanced and managed will depend upon how they are classified on the matrix:

Low strategic importance and **low complexity and dynamic** processes are simple and straightforward. As they provide the organisation with no competitive advantage they should either be **automated** through the use of technology solutions eg, the use of chatbots to handle basic customer service queries, or potentially **outsourced** eg, allowing a third party call centre to handle customer queries.

High strategic importance and **low complexity and dynamic** processes are important to the organisation, but fairly simple to perform. Such processes should be **automated** to drive efficiencies, for example, using robots on production assembly lines; or self-service checkout tills in shops.

Low strategic importance and **high complexity and dynamic processes** add little value and are not considered a core competence. Nonetheless, the high levels of complexity associated with these processes increase the difficulty of automating them, as such **outsourcing** is often appropriate. For example, an online retailer of technology products might use a specialist distribution firm to manage the deliveries to customers on its behalf.

High strategic importance and **high complexity and dynamic processes** represent a core competence to the organisation and are therefore highly important to its success. Such processes draw upon the knowledge, skills and experience of human workers, and should therefore be **improved** as much as possible. For example, a firm offering the latest smartphone technologies will need to enhance its product development processes to ensure that its offering remains relevant to customers.

Harmon's (2014) process-strategy matrix provides an organisation's management with a useful start point when considering the management of process enhancements. It is important to note, however, that the way in processes are classified will be dependent on the situation facing the organisation as issues of strategic importance and the process complexity are context specific.

6.2 Shared service centres

Definition

Shared service centre: A number of internal transaction processing activities which had previously been conducted in a number of different departments, or business units, are brought together into one site within an organisation.

Shared service centres provide large organisations with an alternative to outsourcing activities. Any organisational activity can be consolidated into a shared service centre. However, activities commonly performed through shared service centres include: purchasing, human resource management, payroll, and finance. Organisations that have established shared service centres have tended to do so to in order to realise their overall strategy, which in the case of most commercial entities is often driven by the objective of reducing costs in order to generate improved profits. The use of standardised technologies and service level agreements have been key enablers of shared servicing.

Shared service centres present organisations with a number of advantages and disadvantages.

Advantages

- **Cost savings** from reduced headcount and the realisation of the associated economies of scale resulting from operating from a single location.
- **Knowledge** between those based in the shared service centre can be more easily shared than when activities were embedded in different parts of the organisation. For example, a company has just created a new shared service centre to provide payroll services to the entire organisation. The new centre has brought together six payroll teams each of which had previously been responsible for providing payroll services to one of the organisation's departments. By consolidating the payroll teams in this way members of the new shared service centre can more easily share their knowledge of best practice in payroll processing.
- The use of **standard processes** by shared service centres ensures that all departments or business units in receipt of these services are treated consistently.

Disadvantages

- Department or business **specific knowledge may be lost**. For example, the creation of a shared service centre to manage all of an organisation's finance matters may not be able to provide financial information to an individual department with the same degree of insight than would be the case if the finance team were integrated within that department.
- Closely connected to the previous point is that staff based in shared service centres are often **removed from the day-to-day realities** facing the departments or business units that they serve. This diminishes the value that they might be able to add to the departments.
- The physical distance between the shared service centre and the business areas that it serves may **weaken the relationships** that exist between the two.

7 Supply chain management

Section overview

- Supply chain management (SCM) is the management process, often assisted at the operational level by high power IT applications, of synchronising the networks in the service of the final customer.

7.1 What is supply chain management?

Definition

Supply chain management (SCM): The management of all supply activities from the suppliers to a business through to delivery to customers.

This may also be called **demand chain management** (reflecting the idea that the customers' requirements and downstream orders should drive activity) or **end-to-end business** (e2e). In essence it refers to managing the value system.

The main themes in SCM are:

- **Responsiveness** – the ability to supply customers quickly (which has led to the development of just in time (JIT) systems to keep raw materials acquisition, production and distribution as flexible as possible)
- **Reliability** – the ability to supply customers reliably
- **Relationships** – the use of single sourcing and long-term contracts better to integrate the buyer and supplier

7.2 Technology and SCM

Technology is vital to SCM, given the vast flow of information between suppliers, customer and intermediaries.

Technology applications which have facilitated SCM include:

- Email
- Web-based ordering and tracking (which involves outsiders seeing some management information on an extranet)
- Electronic data interchange (EDI) of invoices and payments, ordering and sharing of inventory information
- Satellite systems able to track positions of trucks
- Radio data tags fixed to pallets or boxes of valuable items to enable them to be located in the supply chain (including within a warehouse)

This has led to:

- Reductions in costs
- Better outsourcing opportunities
- Increased product and service innovation
- Mass-customisation of products – ie, customised products made by mass production methods (eg, Dell computers, superior car marques)

7.3 Supply chain networks

Supply chain management involves optimising the activities of companies working together to produce goods and services. It can involve the following:

- Closer **partnership** relationships with a **reduced number of suppliers**
- **Reduction in customers served**

  For the sake of focus, companies might concentrate resources on customers of high potential value.
- **Price and stock co-ordination**

  Firms co-ordinate their price and stock policies to avoid problems and bottlenecks caused by short-term surges in demand, such as promotions.

- **Linked computer systems**

  Electronic data interchange and use of intranets saves on paperwork and warehousing expense.
- **Early supplier involvement** in product development and component design
- **Logistics design**

  A major technology firm restructured its distribution system by enabling certain product components to be added at the distribution warehouse rather than at the central factory, for example user-manuals which are specific to the market (ie, user manuals in French would be added at the French distribution centre).
- **Joint problem solving** among supply chain partners
- **Supplier representative on site**

  The aim is to co-ordinate the whole chain, from raw material suppliers to end customers. The chain should be considered as a **network** rather than a **pipeline** – a network of vendors support a network of customers, with third parties such as transport firms helping to link the companies.

7.4 *Supply chain management and cybersecurity*

In the chapter, 'Strategies for information,' we explore the increasing need for organisations to have in place robust measures to reduce the threats facing IT/IS infrastructures.

Definitions

Cybersecurity: *Is the collection of tools, policies, security concepts, security safeguards, guidelines, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect an organisation's and user's assets against* ***cyber-attack****.*

Cyber-attack: *Is an attempt by individuals or groups to breach the* ***cybersecurity*** *of a specific organisation or individual. This includes any unauthorised access, manipulation, or damage to computers, networks, digital systems, or data. Cyber-attacks are carried out to steal, alter, or destroy information, or to disrupt the operation of systems and services. Common forms of cyber-attacks include phishing, malware, ransomware, denial of service (DoS), and advanced persistent threats (APTs).*

7.4.1 *Importance of cybersecurity in supply chain management*

The desire to protect systems from external third parties, such as hackers, intent on stealing corporate data is well documented, however, the increasing use of IT systems in linking together the organisation's information systems with those systems of its suppliers is now presenting new challenges. As a result, the issue of cybersecurity in the supply chain has risen up the agenda in recent years.

Linking the organisation's supply chain systems with those of its suppliers represents the opening up of another point of entry for undesirable third parties. According to a report compiled by BlueVoyant in 2023, in which 2,100 companies were interviewed, the mean number of breaches in respondents' supply chains that negatively impacted their organisations increased from 3.29 (2022) to 4.16 in 2023.

One of the major risks faced by companies is encouraging supply chain vendors to consistently address risk in a timely manner after they are made aware of a vulnerability or security issue in their systems. As a result, 85% of respondents stated that their budget for third-party risk has increased in the last 12 months, in order to tighten controls and raise awareness that third-party vendors and suppliers represent a risk in terms of cybersecurity.

*(**Source**: BlueVoyant (2023) The State of Supply Chain Defense Annual Global Insights Report 2023 [Online] Available from: https://www2.bluevoyant.com/TheStateofSupplyChainDefense2023Report [Accessed 2 May 2024])*

7.4.2 *Consequences of poor IT security*



Context example: Airbus data breach

Aerospace giant, Airbus, was victim to a data breach in 2023 after a cyber-criminal, going by the name of USDoD, hacked into Airbus via the account of an employee based at a Turkish airline. Teams investigating the breach traced the access point back to a computer at the Turkish airline, a customer of Airbus, which contained third-party login credentials for Airbus. The investigation found that an employee at the Turkish airline had unwittingly downloaded malware onto their computer which then proceeded to hack into Airbus systems, giving hackers access to the personal information of 3,200 Airbus vendors. The breach demonstrates how cyber risk extends to a company's supply chain. Companies must ensure that their customers and suppliers also employ adequate cybersecurity controls if they are all to remain protected from similar cyber breaches.

***(Source:** Speed, R. (2023) Airbus suffers data leak turbulence to cybercrooks' delight [Online] Available from: https://www.theregister.com/2023/09/13/airbus_data_leak/ [Accessed on 2 May 2024])*

7.4.3 *How to manage cybersecurity in supply chains*

Although the use of firewalls and other network protections is widespread, attackers are always looking for weak areas in a company's defences where they could break through. Businesses therefore need to maintain vigilance and continue to invest in protecting both new and old software and systems. In an attempt to control IT expenditure, the roll out of updates and patches may be delayed but it is these weak points that make it easier for hackers to infiltrate organisational supply chains. It is therefore critical to maintain investment in the necessary hardware and software to identify and guard against threats.

Cyber strategy should be the responsibility of a chief information security office (CISO) who has the necessary resources to choose the right products and partners to defend against rapidly evolving cybersecurity threats. Cybersecurity should also be taken into account when performing due diligence over suppliers. In particular, larger companies with complex supply chains need to ensure that their own suppliers are following best practice in terms of cybersecurity procedures. Data breaches will damage a company's reputation and customer goodwill as well as exposing them to fines and penalties regardless of who is to blame.

According to ICAEW's head of data analytics and yech: 'it's important to remember that the work you may have historically done to protect your internal systems is no less relevant when those systems sit with third parties.' There is a need to prioritise and target supply chain assurance activities around those areas which represent the greatest risk. This means directing cybersecurity efforts to the weakest points in supply chain systems. These tend to be the points at which the systems of different parties in the supply chain intersect. Weak points such as these make it easier for hackers to infiltrate organisational supply chains. The report highlights that the growing threat posed by cyber risks represents a significant opportunity to make positive changes to the way in which supply chains are managed.

*(**Source**: ICAEW Insights (2022) How to manage the cyber security risks lurking within supply chains [Online] Available from: https://www.icaew.com/insights/viewpoints-on-the-news/2022/oct- 2022/how-to-manage-the-cyber-security-risks-lurking-within-supply-chains [Accessed May 2 2024])*

8 Networks, relationships and architecture

Section overview

- Network analysis recognises that businesses are frequently webs of networks between internal departments and also with outside contractors, customers, and suppliers.
- This gives rise to the importance of understanding the relationships between the partners and the value of **relational contracts** based on trust and commitment to replace **transactional contracts** in which each side tries to get the greatest gain for itself.
- The virtual firm is introduced and a modern organisational structure which replaces vertically integrated businesses with a high reliance on networks.

8.1 What do we mean by architecture?

The concept of the **value system** suggests a variety of interrelationships between different businesses. We shall now explore the nature of some of these relationships.

Definition

Network architecture: The network of relational **contracts**, within or around, the firm.

A **relational contract** contains parties doing business with each other in a long-term relationship. Its provisions are only partly specified but it is enforced not by legal process but by the needs the parties have to go on doing business with each other (as opposed to a **spot contract** which is a one- off transaction).

These **relational contracts** may have a **legal basis**, but also include a **pattern of expectations** that the parties have of each other.

Firms may establish these relationships in two ways, internally and externally.

Internal networks … with and among their employees (internal architecture)	Organisation structure and culture; job descriptions and work patterns to encourage development; employment contracts (eg, employer commitment vs 'short term hire'); remuneration structure to encourage 'loyalty', 'creativity' and a willingness to satisfy individual preferences for the collective's benefit.
External networks … with their suppliers or customers (external architecture) among firms engaged in related activities (Kay, 1993)	Relationships with suppliers – eg, long-term supply contracts, detailed design specifications – firms share knowledge and establish fast response times on the basis of relational contracts. Networks are **groups** of firms making relational contracts with each other, who need to do business together in the long term, and who arguably depend on a common skills base.

The type of network relationship can range from the **collaborative** (founded **on commitment and trust)** to mainly **transactional** (just a buy-sell relationship). A **collaborative** network involves a great deal of co-operation, which may be enshrined in joint venture agreements. In a **transactional relationship**, there is no commitment to the long term.

Drivers of collaboration strategies that result in network arrangements can be characterised as follows:

- **Blurring of market boundaries** – eg, convergence of telecommunications and computing. This increases the complexity of technologies.

- **Escalating customer diversity**. Customers are becoming more demanding. In global markets, customers are more diverse almost by definition.
- **Skills and resource gaps**. Firms need to collaborate in technologically demanding markets.

Definition

Asset specificity: Where investments are made to support the relationship which have the effect of locking parties into a relationship to some degree.

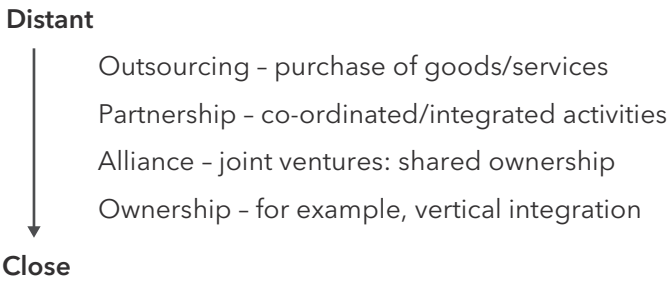
An example is the investment by the Anglo-French company Eurotunnel in an undersea rail link that locks Eurotunnel into partnerships with the rail operators using it from either end, (ie, Eurostar and SNCF). Both sides required long-term contracts before they would make the commitments necessary.

If a firm makes a **relationship-specific investment,** this implies that it would not make sense to make the investment **outside** the business relationship (eg, if the component was so specialised no-one else would buy it).

8.2 Types of external network

The **relationship** between firms in a network can be close or distant, and we can model them as follows:

Figure 6.7: Possible relationships between firms in a network



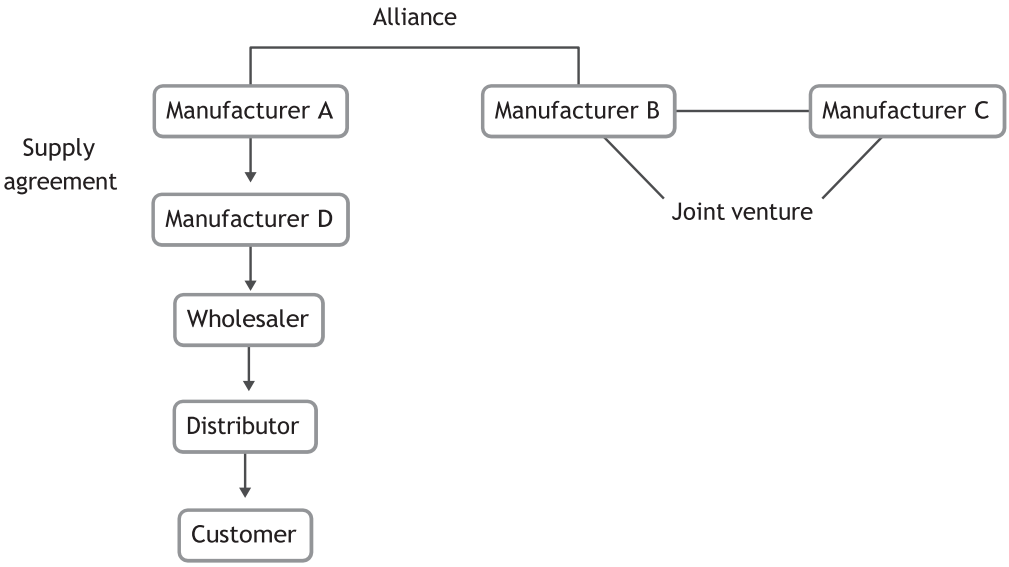
Definitions

Alliance: An agreement between firms to share a commercial opportunity characterised by each member of the alliance retaining autonomy and pursuing its own commercial interests.

Partnership: Joint participation between two or more organisations in the serving of a market or project, characterised by the close interrelationship of operations, exchange of staff and mutual trust and commitment to working with the other(s).

In many industries, collaborative ventures and strategic alliances are becoming increasingly common. They can be very complex.

Figure 6.8: Horizontal and vertical supply chain linkages



Networks display **horizontal** (eg, joint ventures) and **vertical** (supply chain) linkages.

8.3 Choosing alliance partners

Firms enter long-term **strategic alliances** with others for a variety of reasons.

- They share development costs of a particular technology.
- The regulatory environment prohibits take-overs eg, most major airlines are in strategic alliances because in most countries there are limits to the level of control an 'outsider' can have over an airline.
- Complementary markets or technology.

Strategic alliances only go so far, as there may be disputes over control of strategic assets.

Choosing alliance partners

The following factors should be considered in choosing alliance partners.

Drivers	What benefits are offered by collaboration?
Partners	Which partners should be chosen?
Facilitators	Does the external environment favour a partnership? Relevant factors here would include the availability of suitable providers, legal environment that does not outlaw collaboration as anti-competitive, and high investment costs involved in establishing provision that could not be borne by a single user of the service.
Components	Activities and processes required by the network. What will the alliance partner contribute?
Effectiveness	Does the previous history of alliances generate good results? Is the alliance just a temporary blip? For example, in the airline industry, there are many strategic alliances, but these arise, in part, because there are legal barriers to cross-border ownership.
Market-orientation	Alliance partners are harder to control and may not have the same commitment to the end-user.

Alliances have limitations:

(a) **Core competence**: Each organisation should be able to focus on its core competence. Alliances do not enable it to create new competences.

(b) **Strategic priorities**: If a key aspect of strategic delivery is handed over to a partner, the firm loses flexibility. A core competence may not be enough to provide a comprehensive customer benefit.

8.4 Networks and global business

There are some distinct forms of global business network.

Keiretsu and chaebol

These are business networks common in Japan and Korea, whereby groups of firms are linked in a number of different ways.

- A general trading company exists at the centre.
- A central bank circulates finance from one activity of the network to another.
- Many of them have received favourable treatment from the state.
- There are cross shareholdings between companies.
- They depend on personal relationships and agreements (high trust).

In both countries, such firms have made high investments and typically result in conglomerate diversification. This business model has come under attack, as a number of chaebol have collapsed recently.

Family networks

Networks based on family structures are common in businesses run by overseas Chinese according to Dicken (*Global Shift*). The family – a relatively small group of insiders – is key to decision making, and operates on the following principles.

- The purposes of the firm is: 'the long-term interest on family prosperity.'
- Risks must be hedged to protect family assets.
- Key decision makers exist in an inner circle.
- Such firms do not trust non-family members.
- Personal obligations cement and reinforce non-contractual business relationships.

The network is exclusive, but family loyalties mean effective business co-ordination in many countries.

Networks and globalisation

Networks and relationships on any number of levels may be suitable for global businesses. When these are linked to the type of geographic cluster identified in the chapter The macro environment there is the potential for considerable complexity.

8.5 The virtual firm

An extreme example of networking is the so-called **virtual firm**. It is created out of **a network of alliances and subcontracting arrangements**. It is as if most of the activities in a particular **value chain** are conducted by different firms, even though the process is loosely co-ordinated.

9 The product-service portfolio



Section overview

- Firms with multiple products (eg, consumer goods firms like Heinz) or multiple business units (eg, GE) are said to be managing a portfolio of businesses in the same way as a fund manager might manage a portfolio of stocks and shares.

- The Boston Consulting Group matrix (BCG matrix) is a technique to assist management to visualise their portfolio and to manage it to improve the financial performance of the corporation as a whole. The BCG matrix was introduced in Business, Technology and Finance, and is recapped in this section.
- Treating businesses as investment portfolios was popular in the US and Europe in the 1960s and 1970s but has declined in favour since, with the search for core competences and core businesses. This has led to a re-evaluation of the concept of portfolio analysis.

9.1 The need for a mix of products and services

Many businesses sell more than one type of product or service. For example:

- Accounting firms sell audit services, tax advisory services, accounting services, and so on.
- Consumer goods companies such as Procter and Gamble sell a mix of products such as soap powder, children's nappies, cosmetics, drinks, dental hygiene products and shaving products (amongst many others).

These are sold in different markets because of technological and social change, the influence of competition, the demands of shareholders that their investments grow and so on.

The product life cycle and BCG models (to be discussed shortly) can help assess the balance of a product portfolio.

Context example: Apple and portfolio management

American technology giant Apple, maker of the iPhone, iWatch, and iPad actively manages its product portfolio to keep ahead of the competition. Central to this effort has been Apple's recruitment of workers with knowledge of developing technologies. Apple's on-going recruitment drive is part of the company's push to challenge Google in the field of internet searches. Apple is keen to develop smartphone features capable of giving users what they want before they ask.

In an interesting development in early 2018 it was widely reported that Apple had poached the head of Google's artificial intelligence (AI) unit to run its own machine learning and AI operations. Hern (2018) noted that John Giannandrea's appointment represented part of Apple's push to become the market leader in artificial intelligence (AI). 'Under his [John Giannandrea's] command, Google Brain, the company's main AI research team, has rebuilt the technology that underpins some of Google's landmark products, including search, translation and voice recognition' (Hern, 2018).

(**Source**: Hern, A. (2018) Apple poaches Google's AI chief in push to save Siri. *The Guardian*. [Online] Available from: www.theguardian.com)

9.2 Product life cycle (PLC) revisited

The concept of a life cycle for an industry or product was explored in the chapter The industry and market environment, along with the strategic implications for each stage of the cycle.

Many businesses will not wish to risk having only a single product (or group of closely related products) or all their products at the same stage of development as they may all decline together.

The business should seek to maintain a balanced portfolio of products with variety to protect against downturns in the fortunes of individual products and to have products at different stages of development. Thus a business needs:

- a mix of yesterday's products, today's products and the products of tomorrow;
- a range of products with different length cycles;

- lots of products in development/introductory stage; and
- lots of products in maturity to support others.

In the strategic analysis process, a firm should assess:

- the stage of life cycle that any particular product has reached;
- each product's remaining life (how long it will continue to contribute to the portfolio);
- how urgent is the need to develop and innovate new and improved products; and
- whether the life can be extended, or the balance of the portfolio improved, by targeting other markets. Different markets may be at different stages in the life cycle, so a company can increase the balance of its portfolio by developing overseas markets (eg, the market for luxury cars is mature in the US and Europe but growing in India and China).

9.3 Recap of the Boston Consulting Group matrix

Definition

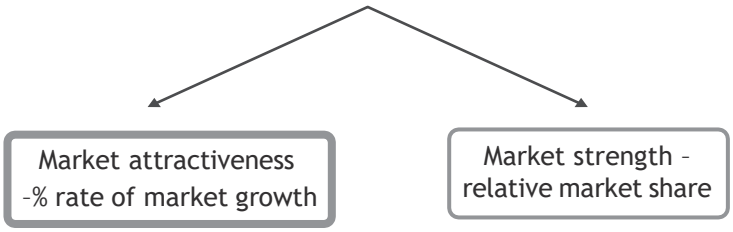
BCG matrix: A tool which examines market growth rates and an organisation's relative market strength in its markets to assess the attractiveness and balance of a business portfolio.

9.3.1 The basics

This matrix was developed by the Boston Consulting Group (BCG) in 1968. BCG analysis can be applied to:

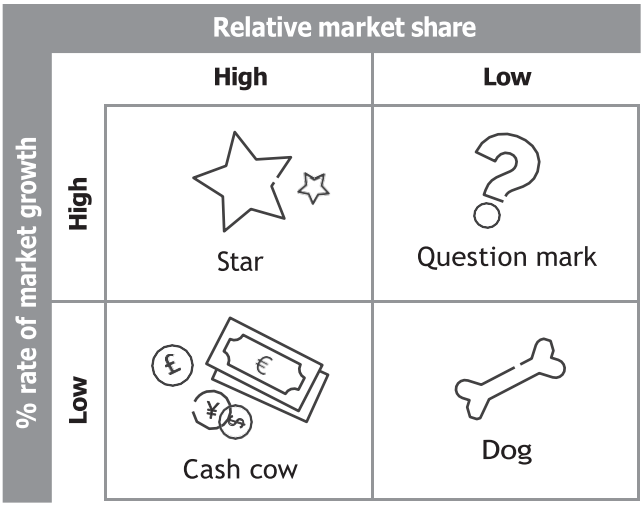
- **Individual products**
- **Whole strategic business units (SBUs)** and business streams

A company analyses its products or SBUs along two dimensions: Figure 6.9: Market attractiveness and strength



This gives the following matrix:

Figure 6.10: Boston Consulting Group matrix



The BCG matrix differs from the product life cycle in that it takes account of external market factors, such as growth rate and share.

- Just as a firm might have a portfolio of products at different stages of the life cycle, it can have a portfolio of different products on the matrix.
- The objective (again) is for the company to have a balanced portfolio.

9.3.2 Boston classification of quadrants

- **Stars**

  Stars are products with a high share of a high growth market. In the short term, these require capital expenditure in excess of the cash they generate to maintain their market position, but promise high returns in the future. High growth rates will however attract newcomers/competition.

- **Cash cows**

  In due course, stars will become cash cows, with a high share of a low-growth market. Cash cows need very little capital expenditure and generate high levels of cash income. Cash cows generate high cash returns, which can be used to finance the stars. Low growth makes attacks by new firms wishing to enter the market unlikely.

- **Question marks (also known as a 'problem child')**

  Question marks are products in a high-growth market, but where they have a low market share. Do the products justify considerable capital expenditure in the hope of increasing their market share, or should they be allowed to die quietly as they are squeezed out of the expanding market by rival products? Because considerable expenditure would be needed to turn a question mark into a star by building up market share, question marks will usually be poor cash generators and show a negative cash flow.

- **Dog products**

  Dogs are products with a low share of a low growth market. They may be ex-cash cows that have now fallen on hard times or question marks that never succeeded in gaining critical mass in a market. Dogs should be allowed to die, or should be killed off. Although they will show only a modest net cash outflow, or even a modest net cash inflow, they are 'cash traps' which tie up resources and provide a poor return on investment.

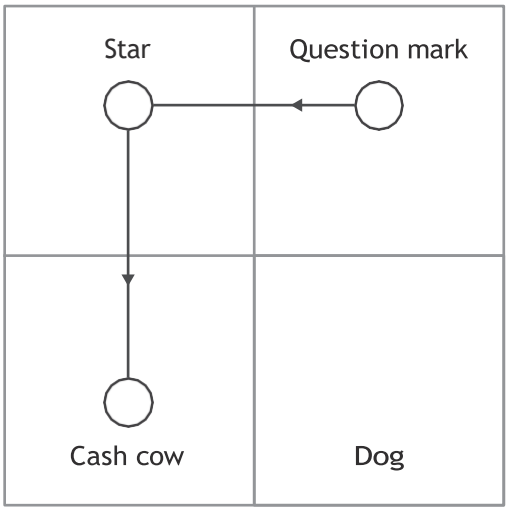
  Although the best strategy is often to exit the market, this is not the case for all dogs. They can be a valid part of a product portfolio, for example to complete a range, or to fill a niche market.

  There are also **infants** (ie, products in an early stage of development), **war horses** (ie, products that have been cash cows in the past, and are still making good sales and earning good profits even now) and even cash dogs, which are dogs still generating cash, and dodos, which have low shares of low growth markets and which are losing cash.

Notes

1. Clearly, if the company has four cash cows, that is good. However, if they are a small proportion of the company's total sales, it is not as impressive as it first appears.
2. For individual products, the objective is to move the product in an anticlockwise direction around the matrix to become a cash cow, ie:

Figure 6.11: Boston classification of quadrants



9.3.3 *Plotting a BCG matrix*

How are products plotted onto the matrix? For each of the company's products, calculate:

- *Relative market share: A typical method is to use your sales/largest competitor sales.*
- *Percentage growth rate of the market: In excess of 10% growth is often regarded as high, but it will depend upon the type of market.*
- *Express the sales of each product as a percentage of the company's total sales. Each product is then represented by a circle – the area of which is proportional to the sales of that product.*

Professional skills focus: Structuring problems and solutions

When using matrices (BCG matrix), it is important to discuss both axes before recommending a suitable strategy. For example, before advising a business to invest in Star products you should demonstrate, using scenario information, why market growth rate and market share are high.

Context example: Plotting a BCG matrix

An equipment company has five products with the following sales and market characteristics:

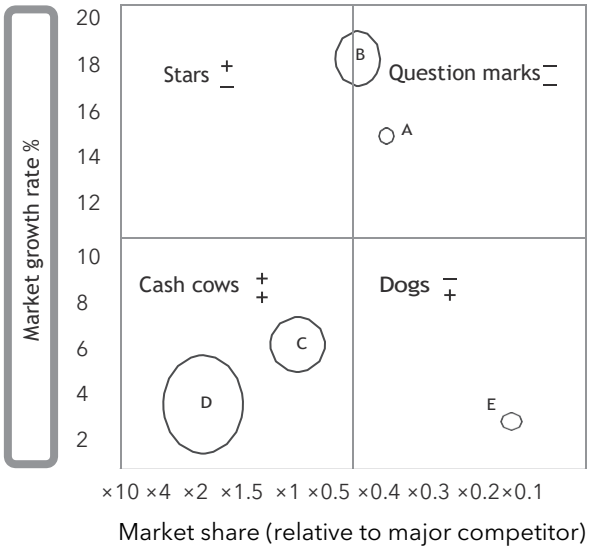
Company's product	*Sales (£m)*	*£m sales Top 3 firms*			*Market growth rate (%)*	*Relative share*
A	*0.5*	*0.7*	*0.7*	*0.5**	*15%*	*0.71*
B	*1.6*	*1.6*	*1.6**	*1.0*	*18%*	*1.0*
C	*1.8*	*1.8**	*1.2*	*1.0*	*7%*	*1.5*
D	*3.2*	*3.2**	*0.8*	*0.7*	*4%*	*4.0*
E	*0.5*	*2.5*	*1.8*	*1.7*	*4%*	*0.2*

** Company sales within the market*

Relative share calculated as company sales/top firm sales or company sales/sales of competitor. This information can then be plotted on to a matrix. The size of the circles indicates the

contribution the product makes to overall turnover, and the centre of circles indicates their position on the matrix:

Figure 6.12: Plotting a Boston Consulting Group matrix



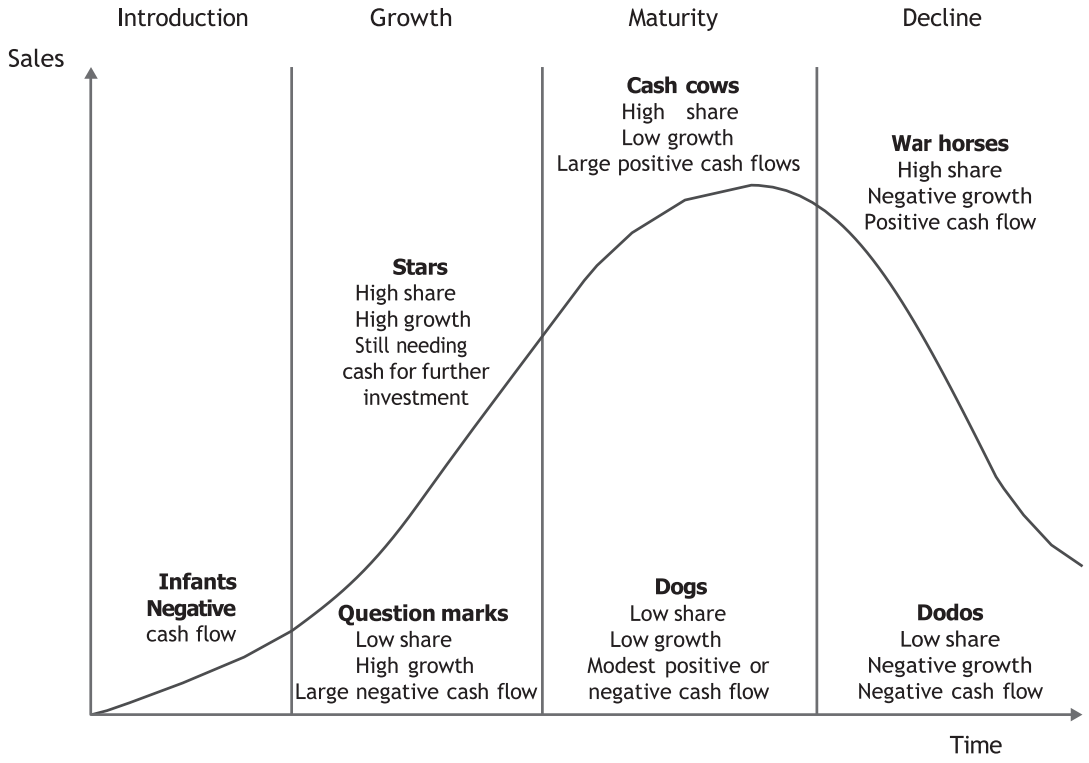
The evaluation and resulting strategic considerations for the company in the matrix above are:

- *There are two cash cows, thus the company should be in a cash-positive state.*
- *New products will be required to follow on from A.*
- *A is doing well but needs to gain market share; continued funding is essential. Similar for B.*
- *C is a market leader in a maturing market; strategy of consolidation is required.*
- *D is the major product which dominates its market; cash funds should be generated from it.*
- *Is E profitable? Funding to maintain the position or selling off are appropriate strategies.*

9.3.4 BCG matrix and PLC

Product life cycle can be added to a market share/market growth classification of products.

Figure 6.13: The product life cycle



9.4 Shortcomings of the BCG matrix

BCG portfolio analysis is useful because it provides a framework for planners to consider and forecast potential market growth and to evaluate the competitive dimension through an evaluation of market share and the likely changes in cash flow. However, it should not be used uncritically, as follows.

- Factors besides market share and sales growth affect cash flow (eg, amount of R&D and investment in new technologies).
- Many firms, anxious to present a good ROCE and EPS to investors, still use return on investment when assessing the attractiveness of a business opportunity, despite the opportunity it gives for accounting manipulation and the fact that it ignores the time value of money. Therefore, question marks and stars can look like bad businesses.
- The model provides no real insight into how to compare one opportunity with another when considering which opportunity should be allocated investment resources, eg, how does a star compare with a question mark?
- Rates of profit of some small businesses can be very high. Therefore in the right conditions a firm can profit from a low share of a low-growth market. (This point is made by Porter in his criticism of the BCG and he uses it to justify focus strategies to gain competitive advantage. See the 'Strategic options' chapter.)
- The model does not take risk into account, which is a crucial difference from the investment portfolio approach from which it takes its inspiration.
- The matrix focuses on known markets and known products. As a generation tool, it sits firmly in the rational planning model and also within the positioning approach to strategy.

- The model assumes industry and market can be defined for purposes of calculating share and growth. Ignoring substitute products can lead management to overestimate the attractiveness of a business unit for investment purposes.
- The model suffers from difficulties in forecasting growth.

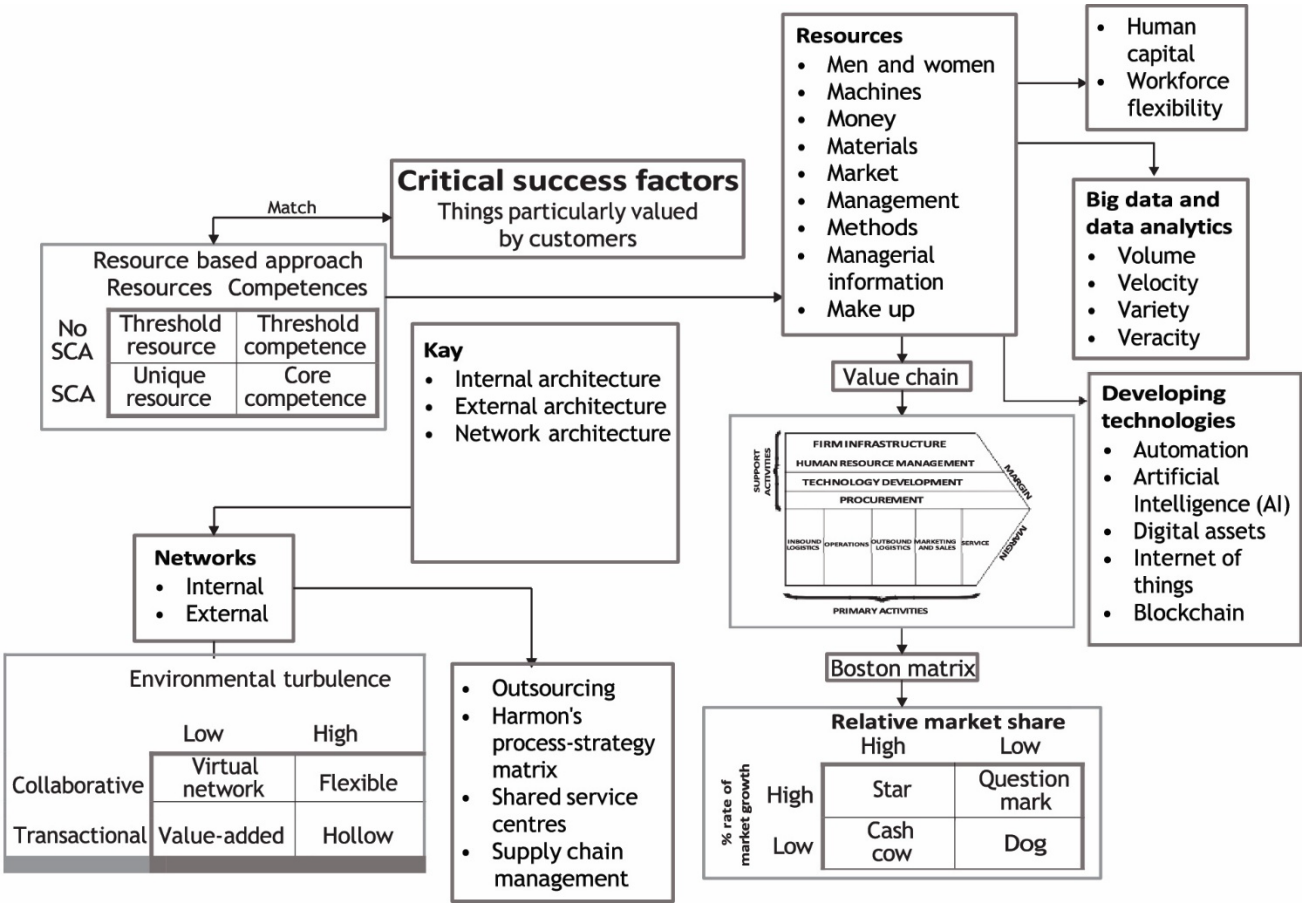
9.5 General criticisms of portfolio analysis

Portfolio analysis invites management to view their businesses as a collection of income generating assets which, combined, create a corporation with a financial performance that mixes risk and returns in a way that will appeal to shareholders. In recent times there has been a greater focus among organisations to concentrate on their 'core businesses' and 'core competences' with less focus on creating a balanced portfolio.

Drawbacks of portfolio planning approaches:

- Portfolio models are simple; they do not reflect the uncertainties of decision-making.
- BCG analysis, in particular, does not really take risk into account.
- They ignore opportunities for creative segmentation or identifying new niches.
- They assume a market is given rather than something that can be created and nurtured. After all, industries may be unattractive because customer needs have not been analysed sufficiently.
- They rely on identifiable products rather than services, or more nebulous relationships.
- They ignore the profit-generating capability of business relationships.
- Creating a corporation with the financial characteristics of a well-balanced portfolio does not increase the share price. This is because investors can diversify risk in how they construct their own portfolio.
- Recycling cash flows from cash cows to question marks ignores the alternative of paying out dividend and letting shareholders decide where to invest the money.
- Creation of portfolios may cause the business to move beyond its core competences and so lead to diminishing returns on investment through time.

Summary


Resources
Men and women
Machines
Money
Materials
Market
Management
Methods
Managerial information
Make up
Human capital
Workforce flexibility
Big data and data analytics
Volume
Velocity
Variety
Veracity
Developing technologies
Automation
Artificial Intelligence (AI)
Digital assets
Internet of things
Blockchain
Critical success factors
Things particularly valued by customers
Match
Resource based approach
Resources Competences
No SCA
Threshold resource
Threshold competence
SCA
Unique resource
Core competence
Kay
Internal architecture
External architecture
Network architecture
Value chain
FIRM INFRASTRUCTURE
HUMAN RESOURCE MANAGEMENT
TECHNOLOGY DEVELOPMENT
PROCUREMENT
SUPPORT ACTIVITIES
MARGIN
INBOUND LOGISTICS
OPERATIONS
OUTBOUND LOGISTICS
MARKETING AND SALES
SERVICE
PRIMARY ACTIVITIES
Networks
Internal
External
Environmental turbulence
Low
High
Collaborative
Virtual network
Flexible
Transactional
Value-added
Hollow
Outsourcing
Harmon's process-strategy matrix
Shared service centres
Supply chain management
Boston matrix
Relative market share
High
Low
% rate of market growth
High
Star
Question mark
Low
Cash cow
Dog

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Do you understand the concept of CSFs? (Topic 2)
(2)	Do you know what human capital is and how it can be enhanced? (Topic 3)
(3)	Do you understand technology developments and how they can add value? (Topic 3)
(4)	What are the four bases of benchmarking? (Topic 4)
(5)	Do you know what a value system is? (Topic 5)
(6)	What should organisations consider before outsourcing activities? (Topic 6)
(7)	Which technologies can be used to enhance supply chains? (Topic 7)
(8)	What strategies can be implemented after conducting a BCG portfolio analysis? (Topic 9)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Rapid Fit	Question 3 requires you to think practically in considering the impact of a company's resources on the ability to implement a strategy. Exam questions will not always reference a model but instead will expect you to use commercial and business acumen to develop recommendations and solutions.
Gizmo Computer Games Ltd	This question requires application of the concept of CSFs and KPIs to a short scenario. The exam may require you to develop a set of KPIs so ensure that your KPIs can actually be measured eg, the number of/the quantity of/the percentage of. Be sure to write your response in the required format.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Bagaj Lux (March 2018)	Part 1 of the question requires you to analyse a value chain to understand how it supports competitive strategy. Avoid repetition of the information you have been given and instead explain how the factors drive value or control costs.
Muple plc (June 2018)	Part 1 asks you to suggest how a new system can improve efficiency and profitability. You could use the 4Vs framework of big data to explore ideas but this may cause you to miss some important points. Do not allow models and theories to restrict your response but instead use them to help develop breadth in your answer.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 A major UK chain of betting shops has decided to establish an offshore operation based on the Channel Island of Alderney. This is because such locations do not need to charge punters a tax levy. Bets would be placed by telephone, email or over the internet.

Requirement

Describe three key resources that would be required to offer such a service.

2 What is internal benchmarking? Suggest two ways a chain of pubs could use internal benchmarking to improve performance.

3 Rapid Fit UK (RFUK)

Rapid Fit UK (RFUK) is a highly profitable listed company specialising in fitting new tyres, brake pads, exhausts etc, to cars and vans. It is now seeking to diversify and has decided to offer fixed price servicing on a while-you-wait basis. This would be pre-booked by motorists over the internet. RFUK's managers believe that they can undercut franchised dealers by offering a quick, no-frills service for routine servicing, but are worried about their fitters' ability to tackle complex repair jobs on a wide range of vehicles.

Requirement

Evaluate the effect of the following four factors on RFUK's ability to deliver this strategy: financial resources, human resources, current services offered, and information systems.

4 Explain what is meant by benchmarking and suggest why organisations might use it.

5 BCG

What is a 'cash cow' in the Boston Consulting Group (BCG) matrix? Suggest two examples.

6 Gaddes Ltd

Gaddes Ltd is the UK's largest manufacturer of digital radios. Sales for the year ended 31 January 20X4 were £42 million, with an estimate of £48 million for the following year in a market that is expanding by 12% a year. Gaddes Ltd's major competitor had sales of £36 million in the year ended 31 January 20X4.

Requirement

Explain how Gaddes Ltd's radios would be characterised when applying the Boston Consulting Group (BCG) matrix. Describe how existing competitors are likely to react in this market.

7 Gizmo Computer Games Ltd

Matti Heikkinen is the managing director of Gizmo Computer Games Ltd ('Gizmo'), a growing software house that specialises in writing computer games.

Recently the firm was visited by Lisa Ng, a student on placement as part of their MBA course. An extract from their report is given below.

'I feel that Gizmo's main critical success factors (CSFs) are innovation, command of technology, bug rate and graphics skills and you should look to measure and control key performance indicators (KPIs) in these areas.'

Matti is completely confused by the jargon in the report and has asked you to prepare a brief memorandum to explain what Lisa is talking about before they talk to Lisa on the telephone tomorrow.

Requirement

Write a memorandum to Matti, giving reasons why the CSFs highlighted might be important to Gizmo, and suggestions for a suitable KPI to measure each CSF.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Porter identifies four elements of national competitive advantage that support the export efforts of successful firms.

These elements and how they can be applied to Yaz plc are explained below.

Factor conditions are a country's endowment of the inputs to production, such as human resources, physical resources, knowledge, capital and infrastructure. Porter distinguishes between basic and advanced factors. The latter are more important for sustained success and include modern communication and investment in facilities and highly educated personnel. Z land appears well-endowed with these advanced factors, having sophisticated financial markets and industries using modern systems such as JIT.

Demand conditions in the home market have determined how Yaz has responded to customer needs. Careful marketing has made this response successful and Yaz has an enviable reputation at home for quality, innovation, reliability and customer focus that should transfer well to the world market. The success that has been achieved to date has meant that Yaz has the necessary economies of scale to be able to compete globally.

As the home market has shaped Yaz's priorities, the company would be well advised to use this experience and seek abroad those segments that have been successfully targeted in the domestic market. This will require an investment in market research, as the company must determine how well the products will be received abroad. This is vital, as there is little point in launching products if the customers do not want them or can see little difference from existing offerings towards which they may already feel very loyal.

The impact on the home market of more international activity must also be considered. Does Yaz plc have the resources to be able to support both markets, and continue to maintain its accustomed high standards?

The presence of **related and supporting industries** at home, which have to date supplied Yaz with the components it has needed for its successful products, will be important in launching those products internationally. The continued support of these suppliers will be vital, at least in the initial stages of international development. Yaz must assure itself that these suppliers have the resources to provide a higher level of support. Otherwise, international suppliers may need to be sought and this will demand closer and more complex supply chain management.

National firm strategy, structure and rivalry issues create distinctive business environments in different countries. For example, domestic rivalry is important because tough domestic rivals teach a firm about competitive success, and rivals for the home market have to try different strategic approaches.

Yaz has been successful against strong competition in the domestic market and this has provided good training for the international market, which may feature more, and larger, competitors than Yaz has been used to facing at home. However, Yaz must ask itself whether its reputation for supplying reliable and good quality products will be enough to guarantee its success in a wider competitive market. It could be that the wider market does not value reliability and quality as highly as Yaz's domestic customers. This would wipe out its main differentiating factor.

1.2 Benchmarking can be very useful for business, both in relation to internal processes and to wider management concerns.

Internally, the adoption of best practice should improve productivity; reduce waste and costs associated with quality failures; and contribute to increased customer satisfaction.

At the **operational** management level, benchmarking is useful if there is any tendency to complacency and it can improve awareness of the processes by which value is currently created and how they could be improved in the future.

At the **strategic** level, benchmarking can be an important contributor to awareness of competition in the changing task environment and how the company is responding to it, both practically and strategically.

There are **disadvantages** to benchmarking. A full programme can overload managers with demands for information, restrict their attention to the factors that are to be benchmarked and affect their motivation by seeming to reduce their role to copying others. It can also undermine competitive advantage by revealing trade secrets. Strategically, it can divert attention away from innovation and the future by focussing it on the **efficiency of current operations**. This is a particularly important point for Yaz, with its current move towards exporting: this will require a great deal of attention by managers at all levels.

If Yaz were to undertake a programme of benchmarking, firm commitment by the managing director would be essential to drive it along. It would then be necessary to identify the areas in which improvement was sought and to decide how such an improvement would be identified and measured. Since benchmarking is about **processes rather than results**, measures would have to be rather more detailed than the usual summary measures used in normal management reports.

It would then be necessary to **identify suitable benchmarking partners**. Some industries, such as printing in the UK, run sophisticated benchmarking programmes; Yaz may be able to join such a scheme. Alternatively, trade associations or chambers of commerce may be able to help. Yaz need, not, of course, benchmark against competitors, or even against other motor accessory manufacturers. Its distribution operation, for instance, might be compared with a similar operation in a completely different industry.

Once a scheme of measurement and comparison is in place, it is necessary to determine what **improvements** are possible and to implement them. It will be tempting for the managing director of Yaz to delegate this role to a single manager, but better results will be obtained if the responsibility for making and monitoring the necessary changes is embedded in the normal management structure. Success and failure in making and continuing the agreed improvements can then be monitored as part of the **normal performance review process**.

Answer to Interactive question 2

2.1 The value chain is a model of how firms create value for their customers. The value chain describes a number of activities carried out in the firm.

Primary activities are directly related to the processes of production and sales.

Inbound logistics are those activities involved with receiving, handling and storing inputs to the production system.

Operations convert the resource input into the end product. Outbound logistics relate to storage and distribution.
Marketing and sales inform customers about the product and include advertising and promotion.

After sales service

Support activities obtain purchased inputs, human resources, technology and infrastructure to support the primary activities.

Competitive advantage is obtained by configuring the value chain in certain ways. Xena Ltd can use the value chain to ensure that their philosophy of quick, quality haircuts can be adopted and maintained throughout the business. The main areas that Xena Ltd needs to concentrate on are human resource management, procurement, technology development, operations, marketing and sales.

Human resource management

An important way Xena Ltd generates value for its customers is by operating without appointments and with multi-skilled staff. This means that whatever a customer needs, they can expect to be attended to quickly and efficiently without having to plan ahead for an appointment.

The company therefore must ensure their staff have the capabilities to meet the objectives of quality and speed. It is clear that they need to be highly trained as they need to be able to work quickly and avoid making mistakes. They need to be multi-skilled so that each member of staff can achieve maximum utilisation and be in a position to deal with any customer and her needs. The company also needs to ensure that they have an adequate workforce of trained juniors to deal with washing hair, cleaning of the salon and general fetching and carrying. This will ensure that the stylists themselves are not wasting time when they could be generating income for the salon.

Technology development

There are many areas in this kind of business where technology can help to achieve the organisation's stated aims. The simple ticket waiting system might be developed to provide an indication of waiting time and an option to prefer a particular stylist, for example. The salons could also use modern technology to make the salon experience more appropriate for their target clientele. This could include free Wi-Fi or tablet computers in the waiting area for busy clients to use while they wait.

Operations

Xena Ltd should consider making the beauty salon business entirely separate from the hairdressing salon as the two businesses seem to offer a mixed message to clients – one of speed but also relaxation. Furthermore the company needs to analyse its current and potential market and determine whether they will require more complex services such as colouring as this kind of procedure would add to the time the stylist needs to spend with each client. They could consider offering a separate area for such services and having dedicated staff working in this area.

There is potentially a new market for Xena Ltd to explore by considering the people who are just too busy to leave the office for a haircut. They could target large office complexes and offer in-house hairdressing services at convenient times.

Marketing and sales

Xena Ltd has been fortunate in that its name has become well-known through personal recommendation. However, it would be unwise to reply on this simple recipe. A sophisticated business needs an appropriate marketing communications strategy. In the case of Xena this may also include the use of social media marketing. This may require the assistance of consultants to develop properly, but Xena Ltd should certainly consider some kind of targeted campaign, even if only run at a low level of intensity to ensure its services are known to potential customers. Careful advertising in local and even national newspapers might be appropriate, though it would be expensive. A high-quality direct mail campaign to business addresses might be more appropriate.

2.2 By performing a value chain analysis a company such as Xena Ltd is forced to look in detail at its activities and identify areas for improvement. This may never be achieved if the company is simply concentrating on external analysis as a source of new opportunities. Businesses need to focus on trying to achieve sustainable competitive advantage; by considering each activity of the business as a potential source of strength or a possible weakness, the company can ensure

that it maximises the value that it offers. This can help to identify core competences, which are particularly appropriate source of competitive advantage in the long term.

All companies should concentrate on achieving consistency throughout their operations. That is, if a particular target is set, such as quality or speed or value, then this should be applied to all the activities of the business to ensure that achievement in one area is not negated by failure in another. Examining the business in the light of the value chain is a method of ensuring that value created in one area is not destroyed in another. In the case of Xena Ltd there is, for example, an element of contradiction between the aim of targeting women who are short of time and the use of a queuing system rather than appointments.

A further aspect of the value chain that needs to be considered is the application of this concept to the entire value system and the linkages between that system. By considering these linkages, a company can achieve better relationships with its customers and suppliers and ensure partners are sought who hold similar values and conduct business in a similar manner ie, are compatible. The value chain also has some limitations in its application. Fairly obviously, it was based on a manufacturing model, and it may be difficult to apply to businesses in the service sector such as Xena Ltd. Companies in this situation need to ensure they are comfortable with general principles of the exercise and not get too caught up in trying to make their business fit within a certain framework. Companies need to ensure they do not focus on value chain analysis to the detriment of environmental analysis and competitive forces.

Answer to Interactive question 3

Should a core competence ever be outsourced?

(1) The firm may effectively be surrendering its source of competitive advantage.

(2) If all the knowledge needed to run a business is held 'outside' it, short-term profit improvements may be made at the (long-term) expense of the ability to innovate.

(3) A current competence may be less relevant in future, in which case outsourcing may be part of an exit strategy.

(4) Managers may disagree as to the business and processes they consider to be core.

Answer to Interactive question 4

Advantages of outsourcing R&D

(1) Potentially less expensive if R&D is used on an ad hoc basis

(2) Gain from outside expertise and competence

(3) Flexibility to cope with larger projects or to render cost base more variable

(4) Frees management up to focus on more important or strategic issues

Disadvantages of outsourcing R&D

(1) May be cheaper in-house if R&D is a perpetual and continuing activity

(2) Exposes firm to risk from poor quality or unreliable/unstable provider

(3) Loss of organisational learning

(4) Loss of control over intellectual property (IP) (eg, who owns the developments?)

Answers to Self-test questions

1 Key resources:

- Staffing will be a major issue, since a small island will not have a large number of available and suitable staff, and relocation from the UK would be costly.
- Technology will also be important, given the variety of ways of placing bets. The company will have to invest heavily to ensure the systems work.
- Finance to acquire and equip suitable premises will be significant.
- Gambling licence is an example of a threshold resource as without it the company would be unable to operate.

2 Improving performance through internal benchmarking:

- Internal benchmarking is the comparison of current results with other results recorded by the same organisation.
- A chain of pubs could compare the performance of individual pubs in the chain to identify best practice. Overall results could be compared year on year to monitor improvements.

3 **Rapid Fit UK (RFUK)**

Four factors on RFUK's ability to deliver the strategy:

- Financial resources: As a profitable listed company, RFUK should easily be able to afford what is really only an extension of its current service.
- Human resources: This is a key constraint because the current staff may lack the skills needed. A programme of recruitment and training will probably be required.
- Current services offered: This strategy seems like a sensible addition to the current service and is a logical fit – it is product development.
- Information systems: The service will be unpopular unless RFUK can rely on the internet booking idea working properly. Again, a key issue.

4 Benchmarking is the establishment through data gathering of targets and comparators, by the use of which can be identified relative levels of performance (and particularly areas of underperformance).

Four sources of comparative data are: internal, competitive, activity (or process) and generic. By adoption of identified best practices, it is hoped that performance will improve.

5 **BCG**

The BCG matrix is a way of analysing a portfolio of products by considering their market share and market growth. On this matrix a 'cash cow' is a product with a high market share and low market growth.

A high market share implies that the product is well established. Low market growth implies that it is probably nearing the end of the product life cycle. The product therefore has few serious competitors, and this is unlikely to change in the future. In the short term this product is a money spinner, but in the longer-term sales may well die away. Examples may include Bic biros and Casio electronic calculators.

6 Gaddes Ltd

Company sales are forecast to grow at 14%, whilst the market generally is growing at 12% – according to the BCG model the growth rate is likely to be considered high. As market leader, Gaddes Ltd's sales are almost 17% higher than their major competitor. Thus, they also have a high relative market share.
As a result, the radios are likely to be categorised as a star product. Competitors are likely to be attracted to the market by the high growth rate and the prospect of generating good returns. These factors may give rise to moderate cash investment by competitors.

7 Gizmo Computer Games Ltd

Memorandum

To: Matti Heikkinen
From: An assistant
Date: Today
Subject: Strategic planning

A competence-based approach to strategic planning involves looking at what we are good at – our core competences. Ideally these are areas that we have to be good at to succeed ('critical success factors' or 'CSFs') and are also difficult for competitors to copy.

Once CSFs have been identified, they need to be measured and controlled. This is done by setting targets for related areas. Each CSF could involve looking at many key performance indicators ('KPIs').

Critical success factors of Gizmo and suggested KPIs

Lisa has suggested four areas to consider. My thoughts on these are as follows:

- **Innovation**. Given the rate of change in the industry, it is vital that Gizmo's games are seen to be up to date, even 'cutting-edge.' One way of measuring this is to look at the number of extra features or gimmicks in each new game compared with its predecessor.
- **Command of technology**. With technology changing so rapidly it is vital that programmers are totally aware of what the hardware is capable of doing. It will be difficult to find suitable KPIs for this as it is very difficult to quantify. One way could be to send staff on external specialist update courses that include tests or exams at the end. Scores on these tests could be monitored.
- **Bug rate**. Nothing will alienate customers more quickly than bugs in games that prevent them being played correctly. It is thus vital that games are bug-free. This can be measured easily by looking at the number of bugs found once a game is sold, within say six months. Ideally this would also involve assessing whether or not bugs are serious.
- **Graphics**. Many players are impressed more by the graphics than they are by the complexities of a game, so again Lisa has identified a key area. Assessing graphics performance will be difficult – possibly the best way is to look at consumer reviews in magazines which will grade games. We want at least a four-star score.

In summary, Lisa has suggested some important areas that Gizmo needs to consider. However, these should be reviewed along with more conventional measures, such as cost control.

Chapter 7
Strategic options

Introduction
Learning outcomes
Syllabus links
Examination context
Chapter study guidance
Learning topics
1 Rational planning model revisited
2 Corporate appraisal (SWOT analysis)
3 Gap analysis
4 Generic competitive strategies: How to compete
5 Product-market strategy: Direction of growth
6 Other strategies
Summary
Further question practice
Self-test questions
Answers to Interactive questions
Answers to Self-test questions



Introduction

Learning outcomes

- Evaluate an organisation's purpose, in terms of its stated mission, objectives and critical success factors, highlighting omissions, inconsistencies and weaknesses and considering the different objectives of stakeholders.
- Analyse an organisation's current markets and competitive strategy in sufficient detail for decisions to be made, drawing conclusions consistent with the qualitative and quantitative data available and highlighting relevant issues in terms of their likely impact on the strategy of the organisation.
- Explain and demonstrate how to position particular products and services in the marketplace to maximise competitive advantage and develop a marketing strategy by selecting, capturing and analysing relevant data.

Syllabus links

The basic concepts of competitive strategy and strategic growth were covered in your Business, Technology and Finance studies. The topics are summarised again here as the concepts covered in this chapter form a core area of Business Strategy and Technology. As well as developing the ideas further they are also applied to scenario problems of the sort you may face in your examination.

Examination context

This chapter looks at various models which can assist an organisation in developing its products and markets and in choosing strategies for competitive advantage. In the exam these models can be used to assess the strategies already identified in the question or as a way of generating strategic options for the business. Either way, the concepts of SWOT analysis, Porter's generic strategy model and Ansoff's growth matrix are fundamental knowledge for the Business Strategy and Technology exam.

As we highlighted in the chapter, 'Introduction to the Business Strategy and technology exam,' you will encounter question requirements in the Business Strategy and Technology exam which will require you to 'think on your feet.' Such requirements will not direct you to use a particular model or framework, nor specify calculations that you are expected to prepare. Instead, they will require you, for example, to suggest strategies to help improve the performance of the organisation featured in the question, or to identify and recommend strategic options that could be implemented by management to capitalise on an opportunity. To produce a good answer when attempting this type of requirement, you need to ensure that you keep your answer as practical and realistic as possible so that it could be implemented by management. This chapter covers a number of important themes in relation to strategic options that will help you when attempting requirements such as this.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Rational planning model revisited** The final three stages of the rational planning model involve the development of strategic options, that close the gap between the organisation's goals and its current position.	**Approach** Review this short section to recap knowledge from previous chapters. **Stop and think** Consider a firm with which you are familiar. What is their overall mission? Are they achieving this with the strategy they have in place?	This chapter looks at the models which assist an organisation in developing its products and markets and in choosing strategies for competitive advantage. In the exam, these models can be used to assess the strategies identified in the question or as a way of generating strategic options for the organisation.	
2	**Corporate appraisal (SWOT analysis)** A SWOT analysis allows managers to take a holistic look at the present position of the business, considering internal strengths and weaknesses as well as external opportunities and threats.	**Approach** Review and learn the SWOT matrix. **Stop and think** Consider the accountancy profession. Using an organisation with which you are familiar, think about its strengths, weaknesses, opportunities and Threats. How does it use its Strengths to take advantage of Opportunities? How does it mitigate threats?	If an exam question asks you to produce a SWOT analysis, avoid falling into the trap of providing a descriptive answer that re-states scenario strengths, weaknesses, opportunities and threats. You must explain the implications of the points you make for the organisation in the scenario.	
3	**Gap analysis** Gap analysis compares the difference between what an organisation hopes to achieve with what it is expected to achieve, based on	**Approach** Work quickly through this short section. **Stop and think** Consider two firms you are familiar with. What strategies do they	Be aware of the general types of strategies used to close the planning gap.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	current performance.	currently have in place and what types of strategies are these?		
4	**Generic competitive strategies: how to compete** One of the first decisions for an organisation looking to change strategic direction is how they intend to compete. Simplistically, this means deciding between a cost leadership or a differentiation approach.	**Approach** Learn Porter's generic strategy model since it is a highly examinable area. Ensure you understand the advantages and drawbacks of each strategic approach. **Stop and think** Consider the airline industry. Identify cost leader and differentiator airlines. What are the features of each?	Porter's generic competitive strategies are a core model for the Business Strategy and Technology exam. Ensure you can identify the competitive position of an organisation as well as advising how they can achieve an alternative strategy.	**IQ1: Eurofoods** This question asks you to write a report identifying strategies resulting in competitive advantage as well as advising on possible future strategic options. Use spreadsheet functionality to analyse the data provided.
5	**Product-market strategy: direction of growth** Once an organisation has established its competitive position it needs to establish the direction of growth, deciding on which products and markets to expand into.	**Approach** Ansoff's matrix is a core area that has been covered in previous studies. Recap your knowledge by reading through the section. Ensure you understand the differences between diversification approaches. **Stop and think** Consider the products and brands you regularly consume. Which are examples of product or market development?	Ansoff's growth vector matrix could be used in the exam to provide you with potential growth strategies for an organisation. Be ready to assess the advantages and drawbacks of each strategy for the organisation in the scenario.	**IQ2: Blue Jeans Group** The first part of this scenario- based question requires a common-sense approach in considering relevant factors when awarding supplier contracts. The second part asks for a SWOT analysis and an evaluation of Ansoff's matrix to develop future strategies. In both instances ensure your answer is applied to the question, using the scenario detail and the appendix information.
6	**Other strategies** There are	**Approach** Read quickly	In the exam ensure you consider the	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	occasions when an organisation needs to divest of a business unit or withdraw from a product or market. In such situations the costs of exiting must be weighed up against the costs of remaining in the market.	through his section paying attention to the reasons behind withdrawal or divestment strategies. **Stop and think** Review recent divestments or demergers reported in the business press. What were the reasons behind the withdrawal strategy?	potentially substantial exit costs before recommending that a company withdraws or divests from a market.	

Once you have worked through this guidance, you are ready to attempt the further question practice included at the end of this chapter.

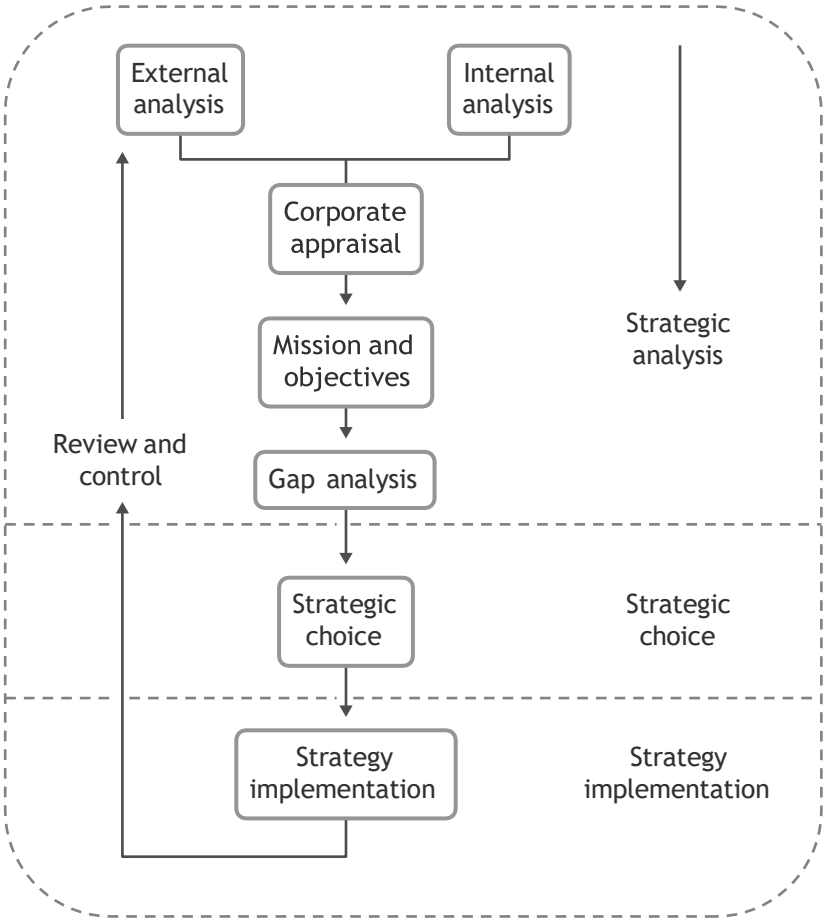
1 Rational planning model revisited

Section overview

- The development of strategic options involves the final three steps of the rational model.
- Choices involve understanding the present situation, identifying gaps, and developing potential ways to deal with this.

1.1 The rational model

The chapter, 'Strategy and organisations,' introduced the rational model. Figure 7.1: The rational planning model



The present chapter considers three of the stages:

- **Corporate appraisal**: Combining assessment of environment (the chapters, 'The macro environment' and 'The industry and market environment') with assessment of resources, competences and capabilities (the chapter 'Strategic capability') to help management identify the strategic position of the business and its forecast performance.
- **Gap analysis**: Management compare forecast performance with the strategic objectives of the business to identify where strategic adjustments are needed to deliver planned performance.

- **Strategic option development (strategic choice)**: Management generate and evaluate strategic options to close the planning gap identified.

1.2 Three strategic choices: overview

Johnson, Scholes and Whittington (in *Exploring Corporate Strategy*) identify three distinct groups of strategic options. Strategic choice requires that management makes choices under each of the following:

Definitions

Competitive strategy: The way that the firm will seek to win customers and secure profitability against rivals.

Product/market strategy: Concerns the decision on what products to offer and the markets to be served. This is closely linked to Ansoff's growth vector matrix.

Development strategy: The decision on how to gain access to the chosen products and markets.

2 Corporate appraisal (SWOT analysis)

Section overview

- Before dreaming up options, management needs to take stock of the present position of the business.
- A SWOT analysis is an important technique for visualising the situation and is drawn from the environmental assessment and internal appraisal already conducted. SWOT analysis was introduced in your Business, Technology and Finance studies; as a result the material covered here should serve as a recap of your earlier studies.

2.1 Role of corporate appraisal

Definition

Corporate appraisal: A critical assessment of an entity's internal strengths and weaknesses, and the opportunities and threats it faces in the external environment, to establish its condition prior to preparation of its long-term plan.

A complete awareness of the organisation's environment and its internal capacities is **necessary** for a rational consideration of future strategy, but it is not **sufficient**. The threads must be drawn together so that potential strategies may be developed and assessed. The most common way of doing this is to analyse the factors into **strengths**, **weaknesses**, **opportunities** and **threats**. Strengths and weaknesses are diagnosed by the internal analysis, opportunities and threats by the environmental analysis.

SWOT analysis is covered in detail in the Business, Technology and Finance text.

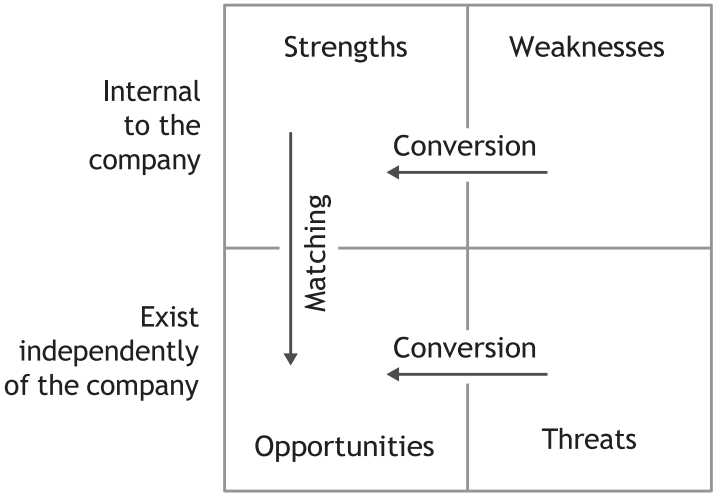
2.2 Bringing them together – the cruciform chart

A cruciform chart (literally 'cross form') can be drafted on a flip-chart by the person facilitating the strategy discussions. Its benefits are:

- Limitations on space restricts management to focusing on the big points
- Allows mapping of connections between points (see below)

However, effective SWOT analysis does not simply require a categorisation of information; it also requires some **evaluation of the relative importance** of the various factors under consideration. In the exam it is vital that you indicate the relative importance of points that you identify and provide a summary of the key issues to go with your cruciform.

Figure 7.2: SWOT analysis



- **Match strengths with market opportunities**

  Strengths which do not match any available opportunity are of limited use while opportunities which do not have any matching strengths are of little immediate value.
- **Conversion**

  This requires the development of strategies which will convert weaknesses into strengths to take advantage of some particular opportunity, or converting threats into opportunities which can then be matched by existing strengths.

Professional skills focus: Structuring problems and solutions

Many questions will not reference a specific theory but it can still be helpful to use a model such as SWOT to frame your answer. This will help you to draw together information from different sources into a logical and structured format for analysis, resulting in a more professional response.

3 Gap analysis

Section overview

- Gap analysis helps management visualise the ground to be made up between their intentions for the performance of the business and its forecast performance without new initiatives (strategies).

- There are three groups of strategies to help close the shortfall of performance (gap): improve efficiency, develop new market and products, and diversify.

3.1 Overview of gap analysis

Gap analysis compares two things:

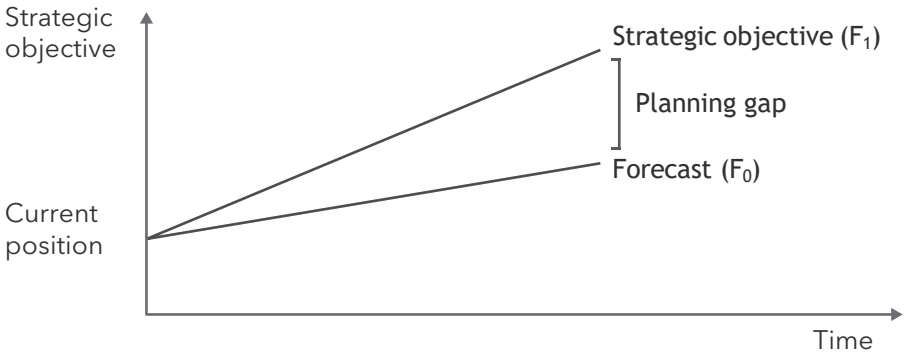
- The organisation's **targets** for achievement over the planning period
- What the organisation would be **expected to achieve** if it carried on in the current way with the same products and selling to the same markets, with no major changes to operations

  This is called an **F_0 forecast,** by Argenti.

Definition

Gap analysis: The comparison between an entity's ultimate objective and the expected performance from projects both planned and under way, identifying means by which any identified difference, or gap, might be filled.

Figure 7.3: Gap analysis



3.2 Strategies to fill the gap

The planning gap may originate from a number of causes:

- Ambitious objectives being set by management (or imposed on management by investors)
- Underperformance of existing product portfolio (eg, maturity stage approaching)
- Difficult environment (eg, industry or economic slow-down)

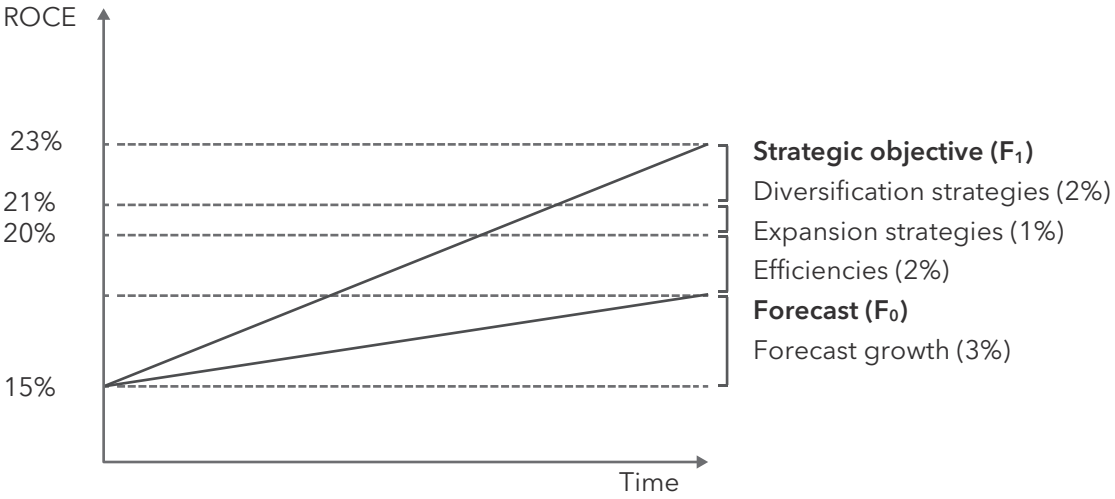
The gap could be filled by new product-market growth strategies.

For example, a management team wishing to increase profitability might consider:

- **Efficiency strategies** reduce the costs of present products and economise on the assets used.
- **Expansion strategies** develop new products and/or new markets.
- **Diversification strategies** enter new industries which have better profit and growth prospects.

These are illustrated as follows:

Figure 7.4: ROCE



Gaps can also be closed by the simple expedient of setting the objectives lower. Most writers on strategy regard this remedy as an unacceptable admission of defeat by management.

4 Generic competitive strategies: How to compete

Section overview

- Firms must position themselves well in two markets: the market for their products; and in the stock market.
- Porter's concept of competitive advantage states that such positioning can be achieved only in three mutually exclusive ways: cost leadership, differentiation and focus.
- Porter's generic competitive strategies were introduced in the Business, Technology and Finance text and are summarised again here as they are a core topic for Business Strategy and Technology.

4.1 Competitive advantage

Competitive advantage is anything which gives one organisation an edge over its rivals.

In the 1960s and 1970s, this tended to be interpreted solely in terms of the marketing concept of providing the customer with superior benefits and so winning sales.

Porter widened the concept of competitive advantage in 1980 by stating that competitive advantage is the consequence of a successful competitive strategy.

Competitive strategy means 'taking offensive or defensive actions to create a defendable position in an industry, to cope successfully with competitive forces and thereby yield a superior return on investment for the firm. Firms have discovered many different approaches to this end, and the best strategy for a given firm is ultimately a unique construction reflecting its particular circumstances' (Porter).

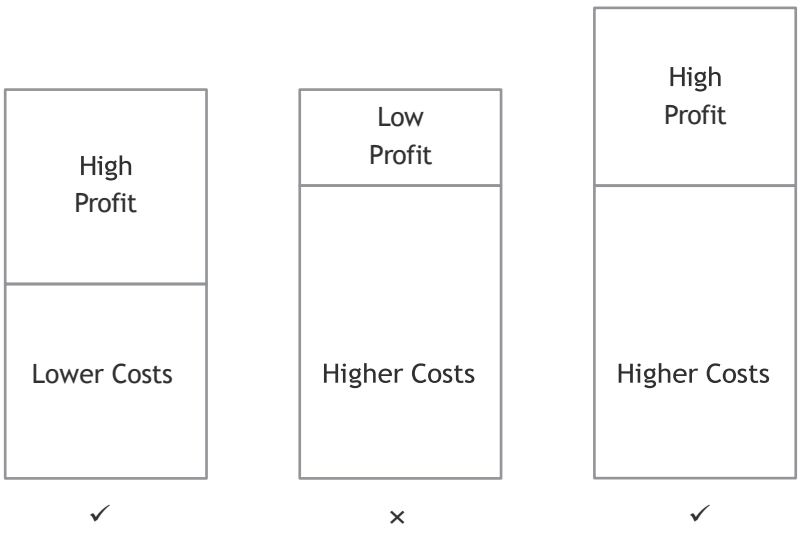
Note that Porter defines competitive advantage in terms of 'superior return on investment' rather than simply superior sales or higher sales revenue.

In the chapter, 'Strategic capability,' we examined the concept of the value chain and discussed how a business can create and sustain competitive advantage using cost or value drivers. The choice of competitive strategy will determine whether the focus of the chain should be cost (**cost leadership**) or value (**differentiation**) and will have implications for functional strategies (see the chapter Business planning and functional strategies).

4.2 The choice of competitive strategy

Porter argued that selecting and implementing one of these strategies is the only way to counter the industry forces in his Five Forces model. The diagram below summarises his argument.

Figure 7.5: Competitive strategy choices



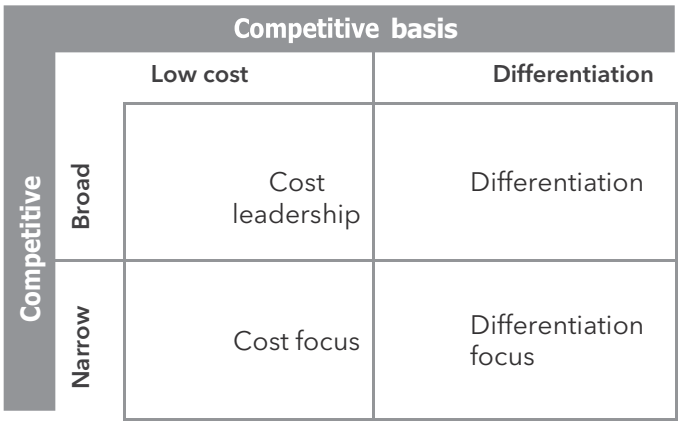
Competitive pressures will increase as a market ages so that once the mature stage of the industry is reached only two competitive strategies will deliver competitive advantage (ie, superior ROI).

- **Low cost**: A firm following this strategy will withstand the shrinking margins better and so, as rivals fall away, may be left as a major player with enhanced power against that of suppliers/buyers.
- **Differentiation**: A firm presenting itself as a superior provider may escape price pressure by avoiding straight-forward price comparisons with rivals.

A **stuck in the middle** strategy is where the firm has sought to attract many segments at different price points and so is seen as not as differentiated as the market leader but, perhaps because of the costs of serving the differentiated segment, not able to make good profits at the cost leader's prices.

4.3 Porter's generic strategies

Porter's generic strategies are illustrated in the diagram below: Figure 7.6: Porter's generic strategies



4.3.1 Cost leadership

Definition

Cost leadership strategy: A strategy that seeks to achieve the position of lowest-cost producer in the industry as a whole.

By producing at the lowest cost, the manufacturer can compete on price with every other producer in the industry, and earn the higher unit profits, if the manufacturer so chooses. A cost leadership strategy can be achieved in a number of ways including: supply chain management, establishing production facilities to obtain economies of scale, using the latest technologies to reduce costs, benefiting from the learning curve effect, and reducing overhead costs.

Classic examples of companies pursuing cost leadership are Ryanair and Lidl. Large out-of-town stores specialising in one particular category of product are able to secure cost leadership by economies of scale over other retailers.

4.3.2 Differentiation

Definition

Differentiation strategy: Assumes that competitive advantage can be gained through **particular characteristics** of a firm's products.

How to differentiate

(a) **Build up a brand image** (eg, Pepsi's blue cans are supposed to offer different 'psychic benefits' to Coke's red ones).

(b) **Give the product special features** to make it stand out (eg, Mercedes finger-print recognition security system).

(c) **Exploit other activities of the value chain** (see the chapter Strategic capability) eg, marketing and service.

(d) Use **IT** to create **new services** or **product features**.

4.3.3 Generic strategies and the Five Forces

	Advantages		Disadvantages	
Competitive force	**Cost leadership**	**Differentiation**	**Cost leadership**	**Differentiation**
New entrants	Economies of scale raise entry barriers.	Brand loyalty and perceived uniqueness are entry barriers.		
Substitutes	Firm is not so vulnerable to less cost-effective alternatives.	Customer loyalty is a weapon against substitutes.		
Customers	Customers cannot drive down prices further than the next most efficient competitor.	Customers have no comparable alternative. Brand loyalty should lower price sensitivity.		Customers may no longer need the differentiating factor. Sooner or later customers become price sensitive.
Suppliers	Flexibility to deal with cost increases.	Higher margins can offset vulnerability to supplier price rises.	Increase in input costs can reduce price advantages.	
Industry rivalry	Firm remains profitable when rivals go under through excessive price competition.	Unique features reduce direct competition.	Technological change will require capital investment, or make production cheaper for competitors. Competitors learn via imitation. Cost concerns ignore product design or marketing issues.	Imitation narrows differentiation

4.3.4 Focus (or niche) strategy



Definition

Focus (niche) strategy: A firm concentrates its attention on one or more particular segments or niches of the market, and does not try to serve the entire market with a single product. Within the niche, the firm can either aim to be a cost leader or pursue differentiation.

Porter suggests that a focus strategy can achieve competitive advantage when 'broad-scope' businesses fall into one of two errors:

- Under-performance occurs when a product does not fully meet the needs of a segment and offers the opportunity for a differentiation focus player.
- Over-performance gives a segment more than it really wants and provides an opportunity for a cost focus player.

Advantages

- A niche is more secure, and a firm can insulate itself from competition.
- The firm does not spread itself too thinly.
- Both cost leadership and differentiation require superior performance – life is easier in a niche, where there may be little or no competition.

Drawbacks of a focus strategy

- The firm sacrifices economies of scale which would be gained by serving a wider market.
- Competitors can move into the segment, with increased resources (eg, Lexus moved into the US luxury car market, to compete with Mercedes and BMW).
- The segment's needs may eventually become less distinct from the main market.

Competitive strategy options

Generic strategies: cost leadership, differentiation and focus

Professor Michael Porter identified three generic strategies through which an organisation can achieve competitive advantage.

	Cost Leadership	***Differentiation***	***Focus / Niche***
Aim	*To cut costs of production/purchasing/service and in turn cut selling prices*	*To offer a product that can't be matched by rivals and charge a premium for this "difference"*	*Position the business in one particular niche of the market*
How	• *economies of scale* • *use of learning effects* • *large production runs* • *using cheaper labour and materials* • *moving to cheaper premises*	• *branding* • *quality and design* • *innovation* • *knowledge management* • *control over suppliers* • *customer support*	• *find a segment where the cost leader or differentiators have little or no presence and build business here* • *reduction in product range*
Benefits	• *high volumes* • *creates a barrier to entry* • *can operate in unattractive segments* • *win price wars* • *reduced power of substitutes*	• *builds brand loyalty and repeat purchases* • *higher margins* • *reduction in power of customers*	• *develops brand loyalty* • *little competition* • *often a first step towards the other generic strategies*
Threats	• *no fallback position if leadership is lost* • *larger rivals (possibly from overseas) may enter the market*	• *perform badly in a recession* • *often easily copied in the long run* • *need to constantly innovate*	• *low volumes* • *if successful, it attracts cost leaders and differentiators* • *few barriers to entry*

	• *strong currency makes imports cheaper*	• *needs much higher marketing than cost leadership* • *fewer barriers to entry* • *smaller volumes*	
Suitability	*Large organisations with economies of scale*	*Innovative companies with large marketing budgets*	*Small businesses with entrepreneurial flair, strong market knowledge and a risk taking attitude (often new starts)*

A business that fails to achieve one of these generic positions will be ***stuck in the middle*** *– it will lose some customers who will move downmarket to the cost leader, other customers who will move upmarket to differentiators, and others will move to rivals who focus on their specialist needs.*

Here's the full text from the page you uploaded, transcribed exactly as it appears, with the formatting preserved:

Ways of achieving differentiation

Quality differentiation
This has to do with the features of the product that make it better – not fundamentally different but just better.

Design differentiation
Differentiate based on design and offer the customer something that is truly different as it breaks away from the dominant design if there is one. Dyson vacuum cleaners would be an example of this.

Image differentiation
Marketing is used to feign differentiation where it otherwise does not exist, i.e. an image is created for the product. An example may be Patagonia who focus on their image for sustainability and environmental responsibility to attract customers. This can also include cosmetic differences to a product that do not enhance its performance in any serious way (e.g. packaging).

Support differentiation
More substantial, but still no effect on the product itself, is to differentiate on the basis of something that goes alongside the product, some basis of support, such as after-sales service. An example would be John Lewis in the UK, who prioritise customer service and in 2024 re-introduced their 'never knowingly undersold' price promise.

Rewards of a differentiation strategy:
- *better margins through being able to charge higher prices*
- *higher quality offsets competitive rivalry*
- *product uniqueness reduces customer power*
- *quality acts as a barrier to entry*
- *quality reduces the attractiveness of substitutes.*

Risks of such a strategy:

- *cheap copies from rivals*
- *being out-differentiated*
- *customers unwilling to pay the extra (e.g. in a recession)*
- *differentiating factors no longer valued by customers (e.g. due to changes in fashion).*

Focus / Niche

A niche or focus strategy involves a business targeting a specific, well-defined segment of the market (e.g. a specific location or type of customer), offering specialised products or services tailored to the unique needs of that group, thereby building strong customer loyalty and reducing competition.

This can be further categorized as:

Cost focus
This involves selecting a particular niche in the market and focusing on providing products for that niche. By concentrating on a limited range of products or a small geographical area the costs can be kept low.

Differentiation focus
Select a particular niche and concentrate on competing in that niche based on differentiation.

Reward
You become an expert in your field and understand the marketplace.

Risks
The segment may not be sustainable enough to provide the firm with a profitable basis for its operations in the long term.

4.4 Conceptual difficulties with generic strategy

In practice, it is rarely simple to draw hard and fast distinctions between the generic strategies as there are conceptual problems underlying them.

- **Cost leadership**
  - **Internal focus**: Cost refers to internal measures, rather than the market demand. It can be used to gain market share: but it is the **market share which is important,** not cost leadership as such.
  - **Only one firm**: If cost leadership applies cross the whole industry, only one firm will pursue this strategy successfully. However, the position is not clear-cut.
    - More than one firm might **aspire** to cost leadership, especially in dynamic markets where new technologies are frequently introduced.
    - The boundary between cost leadership and cost focus might be blurred.
    - Firms competing market-wide might have different competences or advantages that confer cost leadership in different segments.
  - **Higher margins can be used for differentiation**: Having low costs does **not** mean you have to charge lower prices or compete on price. A cost leader can choose to 'invest higher margins in R&D or marketing.' Being a cost leader arguably gives producers more freedom to choose **other** competitive strategies.
- **Differentiation**:

Porter assumes that a differentiated product will always be sold at a **higher** price.

- However, a **differentiated product** may be sold at the same price as competing products to **increase market share.**
- **Choice of competitor**. Differentiation from whom? Who are the competitors? Do they serve other market segments? Do they compete on the same basis?
- **Source of differentiation**. This can include **all** aspects of the firm's offer, not only the product.

Restaurants aim to create an atmosphere or 'ambience', as well as serving food of good quality.

Focus probably has fewer conceptual difficulties, as it ties in very neatly with ideas of market segmentation. In practice most companies pursue this strategy to some extent, by designing products/services to meet the needs of particular target markets.

More generally, critics of Porter's model have argued that some companies successfully pursue 'hybrid' strategies (combining cost leadership and differentiation) over long periods of time. For example, furniture store IKEA combines low prices with differentiated Swedish design.



Professional skills focus: Applying judgement

Michael Porter suggests that, if a company is not pursuing a cost leader or differentiator approach, they are stuck in the middle and will ultimately fail. However, many organisations successfully pursue hybrid strategies so use your judgement before dismissing a 'stuck in the middle' position as a strategy destined for failure.



Interactive question 1: EuroFoods

EuroFoods is a French-German consumer products group with a revenue of €8 billion a year at 20X2 retail prices. One of EuroFoods' activities is the manufacture of ice-cream. It is the largest producer of ice cream in Europe.

Medley is an American company. It has worldwide sales of €5 billion a year and these come mainly from chocolate products. Three years ago Medley started to diversify. It did this by selling a new product, ice-cream, in one of its existing markets, Europe. Although Medley had no prior experience of ice-cream, it believed that it could exploit its existing expertise in food products, marketing and distribution in this new area. Medley's products are renowned for their quality, and all of its ice cream products are sold at higher prices than those of competitors to help reinforce the company's image of being a premium brand.

The European ice-cream industry revenue is €6 billion at 20X2 retail prices.

Market share	**%**
EuroFoods	60
Medley	10
Local producers*	30
	100

* These are defined as manufacturers who sell within only one European country.

Distribution has always been a very important aspect of the food industry. However, it is particularly so in the ice-cream business. This is because the product must be kept refrigerated from factory to shop, and also whilst it is stored in the shop.

Many of the shops which sell EuroFoods' ice-cream are small businesses and the freezer which is required for storage is a costly item for them to buy. EuroFoods has therefore developed a scheme whereby it will install and maintain such a freezer in these shops. The shop owner does not have to pay for the freezer. The only condition which EuroFoods imposes is that the freezer must be used exclusively for the sales of its products.

EuroFoods believes that this arrangement has worked well for everybody in the past. EuroFoods' expenditures on the freezers have ensured that its products have reached the consumer in good condition and also enabled it to simplify inventory control. It has also played a part in building its market dominance by enabling shops which otherwise would not be able to do so, to sell its products.

The European ice-cream business

The peak time of year for sales of ice-cream in Europe is from mid-June to mid-August. These summer sales are deemed 'impulse' sales by the trade and are traditionally made from small retail outlets where EuroFoods tends to have its exclusive arrangements. The other sort of sale is the 'take- home', which are purchases made in larger quantities at supermarkets. These outlets do not have exclusive agreements with EuroFoods.

EuroFoods tracks European impulse and take-home ice-cream sales using data provided by a third- party data analytics organisation.

The raw data for 20X2 is as follows:

	A	B	C
1	**Sales category**	**Sales revenue (£'bn)**	**Sales volume (tonnes)**
2	Impulse	1.2	2,857
3	Impulse	0.9	2,143
4	Take-home	0.5	1,613
5	Take-home	0.03	97
6	Impulse	1.13	2,690
7	Take-home	0.9	2,903
8	Take-home	0.08	258
9	Impulse	0.04	95
10	Take-home	0.08	258
11	Impulse	0.08	190
12	Impulse	0.65	1,548
13	Take-home	0.41	1,323
14			

Medley

Medley would like to obtain its future growth from the impulse sector of the market. It owns 14,000 non-exclusive freezer cabinets, mainly in Ireland. However, it is costly to maintain these to sell the eight products which constitute its product range. Another problem is that in many cases small shops have room for only one freezer and this has often already been supplied by EuroFoods. As Medley's Ireland managing director said: 'It means only big competitors with a full range of products can enter the market.'

Medley would like to be able to place its products in the freezers provided by EuroFoods. However, when it tried to do this two years ago in Spain, EuroFoods was successful in a legal action to prevent this.

Medley has now complained to the European Union that EuroFoods' exclusive freezer arrangements restrict competition and are unfair.

You are presently working for Thunderclap Newman, a merchant bank, as a business analyst in its confectionery division.

Write a report to the head of the confectionery division of your bank, which:

Requirements

1.1 Identifies strategies which lead to competitive advantage.

1.2 Makes recommendations, using the data provided, to **both** companies on their possible future strategy options if the EU decides that exclusive freezer arrangements are:

- Anti-competitive and, in future, freezers should be available to any manufacturer
- Not anti-competitive and EuroFoods can continue to protect the use of its freezers

Note: A billion equals one thousand million.

See **Answer** at the end of this chapter.

5 Product-market strategy: Direction of growth

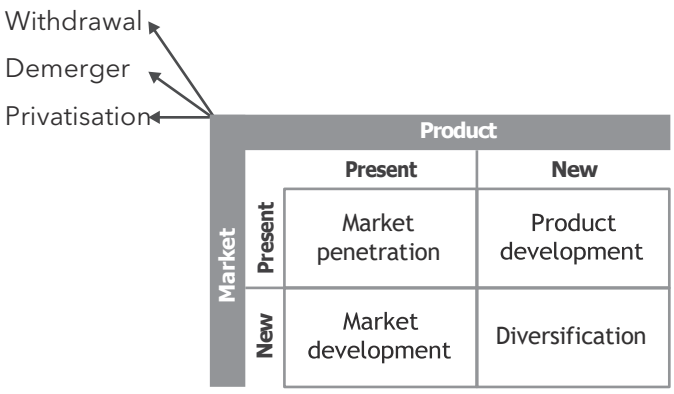
Section overview

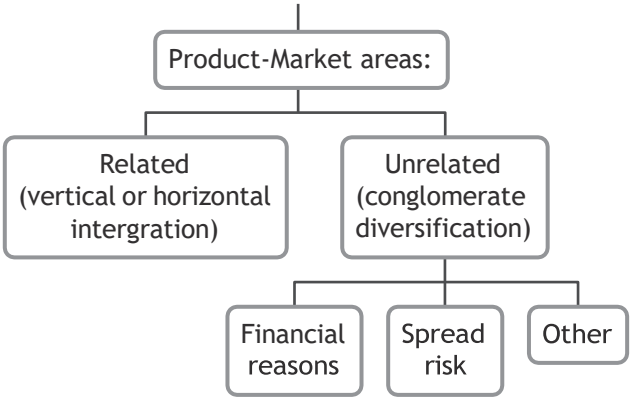
- The second strategic choice, outlined in section 1 above, is which products and markets to serve.
- Ansoff classifies the choices on a matrix into market penetration, product development, market development and diversification. Ansoff's growth vector matrix was introduced in your Business, Technology and Finance studies, and is recapped in this section.
- Each strategy has its particular benefits and drawbacks.

5.1 The product-market growth matrix

Ansoff drew up a **growth vector matrix**, describing how a combination of a firm's activities in current and new markets, with existing and new products can lead to **growth**. The four available growth strategies are: market penetration, product development, market development and diversification.

Figure 7.7: Ansoff's growth vector matrix





5.2 Growth vectors

Ansoff identifies four directions (or vectors) of growth available to the business which were introduced in the Business, Technology and Finance text. Unlike Porter's generic strategies, where only one should be followed, management can pursue all four of Ansoff's vectors if it wishes to, although some eg, diversification, are riskier than others. In the Business Strategy and Technology exam you may be required to use the Ansoff matrix to analyse the ways in which a business has grown.

5.2.1 Market penetration

The firm seeks to do four things:

- **Maintain or increase its share** of current markets with current products eg, through competitive pricing, advertising, sales promotion.
- **Secure dominance** of growth markets.
- **Restructure** a mature market by driving out competitors.
- **Increase usage** by existing customers (eg, airmiles, loyalty cards)

5.2.2 Market development: Present products and new markets

There are many possible approaches. Here are some examples.

- **New geographical areas** and export markets (eg, a radio station building a new transmitter to reach a new audience)
- **Different package sizes** for food and other domestic items so that both those who buy in bulk and those who buy in small quantities are catered for
- **New distribution channels** to attract new customers (eg, organic food sold in supermarkets not just specialist shops, internet sales)
- **Differential pricing policies** to attract different types of customers and create **new market segments**. For example, travel companies have developed a market for cheap long-stay winter breaks in warmer countries for retired couples.

5.2.3 Product development: New products and present markets

This has several advantages:

- The company can exploit its existing marketing arrangements such as promotional methods and distribution channels at low cost.
- The company should already have good knowledge of its customers and their wants and habits.
- Competitors will be forced to respond.
- The cost of entry to the market will go up and newcomers may be discouraged.

5.2.4 Diversification: New products and new markets

Diversification occurs when a company decides to make **new products for new markets**. It should have a clear idea about what it expects to gain from diversification. Diversification is the riskiest of the four strategies.

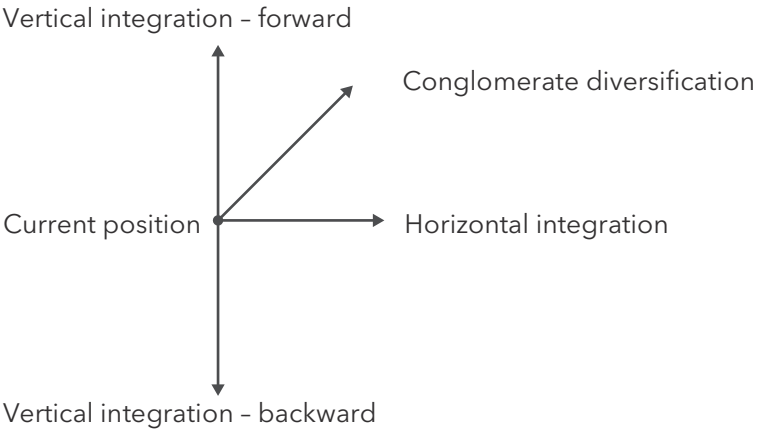
- **Growth**: New products and new markets should be selected which offer prospects for growth which the existing product-market mix does not.
- **Investing surplus** funds not required for other expansion needs, bearing in mind that the funds could be returned to shareholders. Diversification is a high-risk strategy, having many of the characteristics of a new business start-up. It is likely to require the deployment of **new competences**.

5.3 Types of diversification

Ansoff identifies **two classes** of diversification:

- **Related diversification**: Integrating activities in the supply chain or leveraging technologies or competences. This involves either horizontal or vertical integration.
- **Conglomerate diversification**: The development of a portfolio of businesses with no commercial similarity or links between them.

Figure 7.8: Types of diversification



5.3.1 Horizontal integration (related diversification)

Horizontal integration is development into activities which are competitive with or directly **complementary** to a company's present activities. There are three cases:

- **Competitive products**: Taking over a competitor can have obvious benefits, leading eventually towards achieving a monopoly. Apart from active competition, a competitor may offer advantages such as completing geographical coverage.
- **Complementary products**: For example, a manufacturer of household vacuum cleaners moving into commercial cleaners. A full product range can be presented to the market and there may well be benefits from having many of the components common between the different ranges.
- **By-products**: For example, a butter manufacturer discovering increased demand for skimmed milk. Generally, income from by-products is a windfall to be counted, at least initially, as a bonus.

5.3.2 Vertical integration (related diversification)

Vertical integration occurs when a company becomes its own supplier (backward) or distributor forward).

- **Backward integration** – taking over responsibility for **upstream processes** eg, a clothing retailer producing or designing its own clothes
- **Forward integration** – taking over responsibility for **downstream processes** eg, an electrical goods retailer setting up its own installation, servicing and repairs service

Advantages of vertical integration

- **Economies of combined operations** – eg, proximity, reduced handling
- **Economies of internal control and co-ordination** – eg, scheduling and coordinating operations should be better

  Information about the market can be fed back to the production companies.
- **Economies of avoiding the market** – negotiation, packing, advertising costs are avoided
- **Tap into technology**

  Close knowledge of the upstream or downstream operations can give a company valuable strategic advantage. For example, computer manufacturers have instituted backwards integration into semi-conductor design and manufacturing to gain a better understanding of the technology and its potential.
- **Safeguarding proprietary knowledge**

  If a firm makes components itself, it does not have to supply specifications to its suppliers; this information therefore stays confidential.
- **Assured supply and demand**

  The firm will have first call on supplies in scarce periods and the greatest chance of having an outlet in periods of low demand. Fluctuations in supply and demand are not eliminated but can, perhaps, be better planned for.
- **Reduction in bargaining power of suppliers and customers**

  Two of Porter's forces on a firm are customer and supplier bargaining power. So, if our suppliers are giving us a rough time, we take them over or set up our own supply company. Similarly with distribution channels.
- **Enhanced ability to differentiate**

  More of the product comes under control so we have a greater ability to differentiate it. For example, a specialist chain of shops could be established with a distinctive brand image.
- **Stronger relationships** with the final consumer of the product
- A share of the **profits** at all stages of the value chain
- Creation of **barriers to entry**

Disadvantages of vertical integration

- **Vertical integration increases the proportion of the firm's costs which are fixed**. For example, if the firm purchases from an outside source, all those costs will be variable. If the input is produced internally, the firm has to bear all the fixed costs of production. Vertical integration increases business risk from this source.
- **Reduced flexibility to change partners**. If the in-house supplier or customer does not perform well, it is not easy to switch to outsiders. You will probably have to get rid of the inhouse company first.
- **Capital investment needs**. Vertical integration will consume capital resources. For integration to be a good choice it must yield a return greater than, or equal to, the firm's opportunity cost of capital, adjusting for strategic considerations.
- **Cut off from suppliers and customers**. By integrating a firm may cut itself off from the flow of technology from its suppliers or market research information from its customers. For example, a firm will have to take responsibility for developing its own technology. Other

potential suppliers may be reluctant to share their technology as they would be supplying it not just to a customer, but a customer who is also a competitor.

- **Dulled incentives**. The captive relationship between buyer and seller can quickly lead to inefficiencies. These can quickly spread through the group as products produced at too high a cost is passed through.
- **Differing managerial requirements**. Different businesses need different management skills. Because a company is a successful manufacturer, this does not mean that it can turn its hand to retailing with a reasonable chance of success.
- Avoid transaction costs arising from external relationships. Costs arise over contract negotiation, compliance monitoring, redress actions etc.
- **Overconcentration**. A company places 'more eggs in the same end-market basket' (Ansoff). Such a policy is fairly inflexible, more sensitive to instabilities and increases the firm's dependence on a particular aspect of economic demand.
- The firm **fails to benefit from any economies of scale** in the industry into which it has diversified. This is why, in the publishing industry, most printing is subcontracted to specialist printing firms, who can work machinery to capacity by doing work for many firms.

5.3.3 Conglomerate diversification

Conglomerate diversification has not been very fashionable in the USA and Europe where its financial returns have been disappointing. However, it has been a key strategy for companies in Asia, particularly South Korea. In the previous chapter we explored the role of chaebol (conglomerates) in Japan and South Korea.

Conglomerates

- The characteristic of conglomerate (or unrelated) diversification is that there is no common thread, and the only synergy lies with the management skills. Outstanding management seems to be the key to success as a conglomerate, and in the case of large conglomerates they are indeed able, because of their size and diversity, to attract high-calibre managers with wide experience.
- Two major types of conglomerates can be identified. The **financial conglomerate** provides a flow of funds to each segment of its operation, exercises control and is the ultimate risk taker. In theory it undertakes strategic planning but does not participate in operating decisions. The **managerial conglomerate** extends this approach by providing managerial counsel and interaction on operating decisions, on the assumption that general management skills can be transferred to almost any environment.

Advantages of conglomerate diversification

- **Risk-spreading**

  Entering new products into new markets offers protection against the failure of current products and markets.
- **High profit opportunities**

  An improvement of the **overall profitability and flexibility** of the firm through acquisition in industries which have better economic characteristics than those of the acquiring firms.
- **Ability to grow** quickly by making acquisitions in diverse fields
- **Escape** from the present business
- **Better access to capital** markets on mergers and acquisitions
- **No other way to grow**
- **Use surplus cash**
- **Exploit under-utilised resources**
- **Obtain cash**, or other financial advantages (such as accumulated tax losses)

- **Use a company's image and reputation** in one market to develop into another where corporate image and reputation could be vital ingredients for success
- Avoidance of the disadvantages of other types of diversification (eg, anti-monopoly legislation)

Disadvantages of conglomerate diversification

- The **dilution of shareholders' earnings** if diversification is into growth industries with high P/E ratios.
- **Lack of a common identity and purpose** in a conglomerate organisation. A conglomerate will only be successful if it has a high quality of management and financial ability at central headquarters, where the diverse operations are brought together.
- **Failure in one of the businesses will drag down the rest**, as it will eat up resources.
- **Lack of management experience**: Japanese steel companies have diversified into areas completely unrelated to steel such as personal computers, with limited success.
- **Poor for shareholders**: Conglomerate acquisitions give no additional benefit to the shareholders – since there is no synergy, the individual investor will do no better investing in a subsidiary company through a holding company than they would have done if they had invested in the subsidiary directly. Shareholders can spread risk quite easily, simply by buying a diverse portfolio of shares. They do not need management to do it for them.
- Since there is **no synergy** there is no operating advantage over several smaller firms.
- Earnings of conglomerates and the price-earnings ratios of their shares seem to be particularly **badly affected by economic recession** (and this may mean that during a recession they are unable to continue with acquisitions).

The methods by which Ansoff's growth strategies can be implemented (eg, organic growth, acquisition etc,) will be considered in the chapter, 'Methods of development.'

Professional skills focus: Assimilating and using information

Although there is a lot of content in the Business Strategy and Technology syllabus, you will encounter question requirements requiring you to 'think on your feet.' Ansoff's growth vector matrix can help you to assimilate scenario information to develop a range of practical strategy ideas and points.

Interactive question 2: Blue Jeans Group

Note: Assume that the current date is March 20X9. The currency in Blue Jeans' country is the dollar.

The Blue Jeans Group was floated in March 20X4 on a major European stock market with a capitalisation of over $22 million. The company was founded 11 years earlier by three Kenyan Asian brothers who began their venture with a market stall based in the capital city of a developed European country which is outside of the Eurozone.

Eight years prior to flotation, the business had been built up to such an extent that the brothers were forced to choose between the wholesaling and retailing arms of their operation. In the event, they decided to focus their effort on the faster-growing wholesaling activities. The capital released by the sale of the retail outlets was then used to purchase a warehouse near to the capital city to stock the garments. It was at this time that the decision was taken to develop Blue Jeans as the brand name for the range of jeans and fully co-ordinated casual wear in which they were trading.

When the brothers began their wholesaling operations, the rapid growth in the market for jeans meant that their largest competitors had full order books and were not in a position to satisfy market demand. Therefore there was plenty of 'market room' for a company like Blue

Jeans. The brothers decided to concentrate their effort initially on smaller retailers, since many of these were not being adequately supplied by the larger (mainly US) manufacturers.

Eventually contracts were obtained with some major European retailers. The small retailer was not ignored but, as Blue Jeans grew, it was forced to direct its efforts towards the more established shops rather than market traders.

Manufacturing – sourcing policy

In the first instance Blue Jeans turned to Hong Kong to obtain the larger quantities which it required for its expanding business. It generally takes seven or eight months for a new manufacturing unit to attain the standards which are demanded by Blue Jeans. Around 90% of the company's orders are now produced in Hong Kong. Blue Jeans considers that its policy of contracting out the manufacture of its garments has generally been successful. However, recent delays in producing new styles of jeans from new patterns have caused problems.

Currently Blue Jeans is radically restyling part of its Big Stuff Company brand (BSCO) brand and hopes to take the market by surprise. A contract to produce the first batch of 5,000 pairs of the new design is about to be awarded. Two competing tenders are being considered.

- **Supplier A:** An existing Hong Kong based supplier, offering to deliver the garments in three to six months' time at a cost of $10 per pair payable on delivery.
- **Supplier B:** A new supplier to Blue Jeans, which in the past has worked almost entirely for one of its smaller competitors. Supplier B is offering to produce the jeans at $9 per pair payable in advance. It will deliver in nine months and will pay a penalty fee of $0.50 per garment per month for any late deliveries.

On only one occasion has Blue Jeans become involved in the manufacture of its own garments. The outcome of which was near disastrous. The experience led the brothers to make two important policy decisions.

First, they decided not to go into manufacturing themselves but to concentrate on buying and selling. Secondly, they decided to stick with experienced manufacturers and not to attempt to obtain too great a degree of manufacturing process innovation. Recent changes in textile industry technology, eg, flexible manufacturing, JIT, etc, have led one of the brothers to question this approach.

Product market strategy

During the past decade considerable changes have taken place in the jeans market. Therefore flexibility and ability to respond to fairly rapid changes in fashion are an essential component of the ability of a company, such as Blue Jeans, to survive in the jeans business.

The current jeans product strategy of Blue Jeans is based upon a portfolio of four brand names, each of which has its distinctive appeal and identity. First, there is the Blue Jeans brand itself. This is the original brand and is the leader in the group's international activities. The Blue Jeans brand, which is targeted at fashion-conscious men and women in the 15–25 age bracket, consists of two main elements. There are basic denim jeans which are offered on an all the year-round basis and there is a casual collection offered on a seasonal basis. The jeans brand is from time to time strengthened by the addition of jeans-related products. These have included footwear, marketed under licence,leather jackets and a range of accessories such as belts and watches. It is envisaged that bags, holdalls and grips will also be introduced.

The Big Stuff Company brand (BSCO) is more 'classical' leisurewear with more contemporary fashions. The BSCO brand is aimed at both men and women in the 16–25 age group. The Buffalo brand, which was designed in Bordeaux initially for the French market, has its own distinctive French flavour. Moreover, its sales are biased heavily towards women, although it caters for both sexes in the 16–24 age group. By contrast, Hardcore is tough and masculine, based upon a traditional 'macho' image. Since it was introduced, it has developed its own clearly defined niche within the men's jeans market – namely the 16–35 age group.

Company financing

The development of Blue Jeans during its early years was reflected in a steady expansion in its revenue and profitability. However, five years on, losses were incurred due to a number of unfortunate events. By the 20X2/X3 financial year profitability had recovered and had reached a total of almost $1 million. To maintain growth in March 20X4 five and a half million shares, representing almost one quarter of the group's equity, were sold at 100 cents on a major European stock market. This sale raised over $5 million for investment purposes.

Since the floatation of the Blue Jeans Group in March 20X4, the company has gone from strength to strength, with average sales growth being roughly 50% per annum. (The Appendix contains Blue Jeans' financial details). Turnover in the year ending 31 March 20X9 is expected to be over $100 million with profits of over $10 million. The brothers are keen to maintain this record of sales growth, while at the same time providing the highest possible returns to their shareholders.

The jeans market

During 20X4 a revival in the jeans market occurred, stimulated by Levi's successful reintroduction of its five pocket, fly button 501 jeans. This development, backed by a heavy advertising campaign, may be seen in terms of a more general appeal to nostalgia in society which was prevalent at that time. A craze for stone-washed jeans also helped to boost sales temporarily. However, this fad had fizzled out by 20X7, by which time overall sales were again static.

A more important trend during the mid to late 20X0s was for the jeans market to become increasingly fashion conscious. Traditionally the style of jeans has changed relatively slowly and manufacturers have relied on making standardised products at high volume. This has tended to accentuate the importance of production economies of scale.

Jeans market 20X6

United States (490m pairs)	Europe (180m pairs)
Levi Strauss 24%	Levi Strauss 11%
Diesel 14%	Diesel 4%
Lee 10%	Wrangler 3%
Wrangler 10%	Lee 2%
Guess 3%	Lee Cooper 2%
Others 39%	Blue Jeans 2%
	Others 76%

More recently, rapid changes in style have required companies to exhibit greater flexibility. Designer jean companies, such as Blue Jeans, have generally done well.

Of the major manufacturers, Levi and Diesel have prospered. By contrast, Wrangler and Lee Cooper have suffered from their 'cowboy' and 'old fashioned' images respectively.

In an attempt to reverse the adverse trend, Wrangler initiated a major TV advertising campaign. This followed an expansion of such activity by Levi and Blue Jeans. Each of the campaigns had one factor in common – targeting of adolescents, the chief consumer of jeans.

A common feature of the strategic response of the major manufacturers to their business environment has been a decision to withdraw from manufacturing and source their output from contract manufacturers in the Far East.

The unquestioned European leader in this respect has been Blue Jeans.

APPENDIX

Blue Jeans plc financial details

Blue Jeans: Five-year trading summary

	20X8 $'000	20X7 $'000	20X6 $'000	20X5 $'000	20X4 $'000
Revenue	97,461	72,241	50,242	31,113	19,906
Profit on ordinary activities before taxation	12,756	8,399	5,905	4,208	2,633
Taxation	5,019	2,867	2,010	1,718	1,177
Profit on ordinary activities after taxation	7,737	5,532	3,895	2,490	1,456
Minority interests	240	180	160	47	36
	7,497	5,352	3,735	2,443	1,420
Earnings per share	31.9c	22.8c	15.9c	10.4c	7.8c

Requirements

2.1 Outline the factors Blue Jeans should consider in awarding the contract to produce the first batch of the new style BSCO jeans.

2.2 As a management consultant, prepare a memorandum to the managing director which:

(a) Performs a corporate appraisal of Blue Jeans at March 20X9.

(b) Uses Ansoff to analyse its future strategy options.

See **Answer** at the end of this chapter.

Professional skills focus: Concluding, recommending and communicating

When advising a business on an appropriate growth strategy, ensure you examine a range of potential strategies before concluding on which is the most suitable using a combination of your technical knowledge and the evidence provided in the scenario. Recommendations should be practical and demonstrate commercial acumen.

6 Other strategies

Section overview

- The growth strategies identified by Ansoff involve essentially successful business divisions.
- Where divisions are less successful, there are strategic choices involving letting them go.

6.1 Withdrawal

Withdrawal may be an appropriate strategy under certain circumstances.

- Products may simply disappear when they reach the end of their life cycles.
- Underperforming products may be weeded out.
- Sale of subsidiary businesses for reasons of corporate strategy, such as finance, change of objectives, lack of strategic fit.
- Sale of assets to raise funds and release other resources.

Exit barriers may make this difficult and/or costly.

- Cost barriers include redundancy costs, termination penalties on leases and other contracts, and the difficulty of selling assets.
- Managers might fail to grasp the idea of decision-relevant costs ('we've spent all this money, so we must go on').
- Political barriers include government attitudes. Defence is an example.
- Marketing considerations may delay withdrawal. A product might be a loss-leader for others, or might contribute to the company's reputation for its breadth of coverage.
- Psychology. Managers hate to admit failure, and there might be a desire to avoid embarrassment.
- People might wrongly assume that carrying on is a low-risk strategy.

6.2 Divestment and demerger

Divestment and demerger have become more common as companies seek to reverse the diversification strategies they once pursued. There are several reasons for this.

- To rationalize a business as a result of a strategic appraisal, perhaps as a result of portfolio analysis, where a lack of fit has been identified. Another reason might be to free up management time to concentrate on core competences and synergies.
- To sell off subsidiary companies at a profit, perhaps as an exit route after managing a turn-round or as a management defense strategy to avoid a potential take-over of the whole company.
- To allow market valuation to reflect growth and income prospects. Where a low growth, steady income operation exists alongside a potentially high growth new venture, the joint P/E is likely to be too high for the cash cow and too low for the star. The danger is that a predator will take over the whole operation and split the business in two, allowing each part to settle at its own level.
- Satisfy investors: diversified conglomerates are unfashionable. Modern investment thinking is that investors prefer to provide their own portfolio diversification.
- To raise funds to invest elsewhere or to reduce debt.

  Demerger can realize underlying asset values in terms of share valuation. ICI's demerger of its attractive pharmaceuticals business led to the shares in the two demerged companies trading at a higher combined valuation than those of the original single firm.

Sustaining competitive advantage

Once competitive advantage is achieved it will be important that it is sustained. Competitive advantage can best be sustained by strategic capabilities which are:

- *valued*
- *rare, and*
- *robust.*

Further details

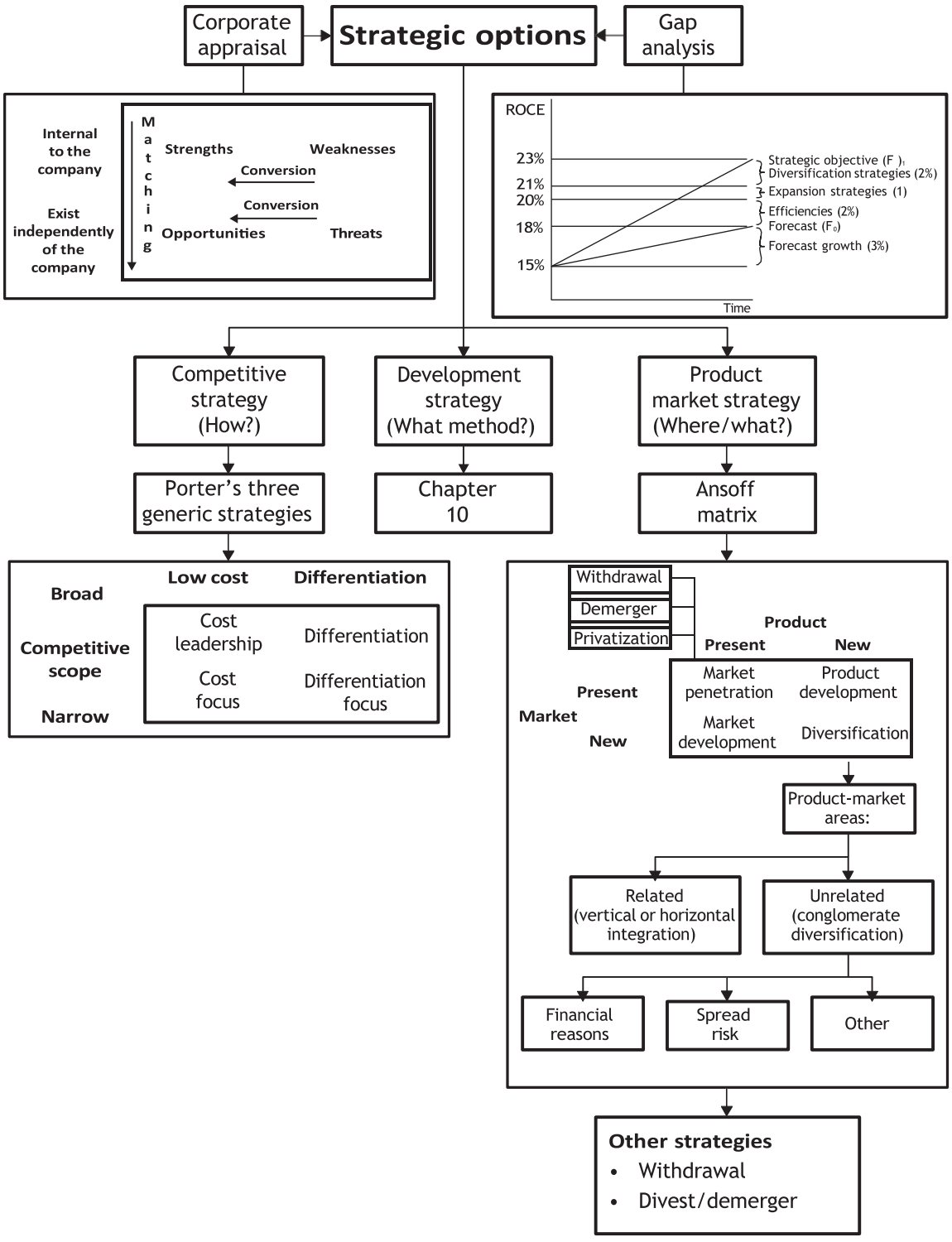
Value of strategic capabilities.

The strategic capability must be of value to the customer. A distinctive capability is not valuable unless it is valued by customers. Also, the value of strategic capability must be able to generate what customers value in terms of products or services. For example, a financial consultancy firm might develop a unique framework for insight analysis. However, if this tool does not provide valuable insights for strategic decision-making for clients, it will not be considered a valuable strategic capability.

Rarity of strategic capabilities.
Competitive advantage will not be sustained unless the strategic capabilities are rare. This means that unique resources or competences are needed to allow the organisation to outperform its rivals.

Robustness of strategic capabilities.
For a competitive advantage to be sustained, strategic capabilities must be robust and difficult to imitate. Physical or tangible resources, like machinery or technology, can be copied by rivals. So, emphasis should be on how resources are organized and utilized. For example, an investment firm might have a highly skilled management team that analyses data and maintains strong relationships with clients. This makes an organization's strategic capabilities harder for competitors to replicate.

Summary


Corporate appraisal
Strategic options
Gap analysis
Internal to the company
Exist independently of the company
Matching
Strengths
Weaknesses
Conversion
Conversion
Opportunities
Threats
ROCE
23%
21%
20%
18%
15%
Time
Strategic objective (F1)
Diversification strategies (2%)
Expansion strategies (1)
Efficiencies (2%)
Forecast (F0)
Forecast growth (3%)
Competitive strategy (How?)
Development strategy (What method?)
Product market strategy (Where/what?)
Porter's three generic strategies
Chapter 10
Ansoff matrix
Broad
Narrow
Competitive scope
Low cost
Differentiation
Cost leadership
Differentiation
Cost focus
Differentiation focus
Withdrawal
Demerger
Privatization
Product
Present
New
Market
Present
New
Market penetration
Product development
Market development
Diversification
Product-market areas:
Related (vertical or horizontal integration)
Unrelated (conglomerate diversification)
Financial reasons
Spread risk
Other
Other strategies
• Withdrawal
• Divest/demerger

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Do you know how to perform a corporate appraisal ? (Topic 2)
(2)	What are the generic competitive strategies and their advantages and disadvantages? (Topic 4)
(3)	Can you explain and apply the product-market growth vector matrix? (Topic 5)
(4)	Do you understand the different types of diversification? (Topic 5)
(5)	Can you explain when a business should consider divestment or demerger? (Topic 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
7	This question is designed to encourage the generation and application of ideas using Ansoff's growth vector diagram. You might like to consider the strategies available to a real organisation to help contextualise the question. In the exam you will always be given a scenario to apply your answer to.
8	This question is open-ended and requires you to use all the knowledge you have gained so far as well as your experience of the real business world. In the exam there will always be some questions which do not prescribe models to use or techniques to follow.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Bevattna Ltd (Sept 2021)	Part 1 of the question draws on knowledge gained in the chapter, 'Strategic capability.' Topics will not be tested in isolation in the exam and questions can draw on many areas of study as well as on your own experience. To produce a good answer to part 2, you need to refer to specific knowledge studied in the chapter, 'Ethics, sustainability and ESG,' although a common-sense approach will also help you to gain marks here. Part 3 of the question examines knowledge gained in this chapter regarding diversification strategies. It is important to allocate the marks awarded for this question to each of the three parts so that you manage your time effectively.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted this question, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 Define corporate appraisal.

2 How can corporate appraisal be used to guide strategy formulation?

3 What is gap analysis?

4 What is required for a successful cost leadership strategy?

5 How do you differentiate?

6 Draw Ansoff's growth vector diagram.

7 Explain two alternative strategies for existing products or markets that can be pursued.

8 Explain how a producer of natural spring water could attempt to gain a competitive advantage over its rivals giving specific examples.

9 If a tennis racquet manufacturer began selling a line of tennis clothing, what sort of growth would this be in terms of Ansoff's matrix? Suggest two ways in which such development could be achieved.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Report

To: Head of confectionery

From: Business analyst

Date: Today

Subject: EuroFoods and Medley – the international ice-cream market

Terms of reference

This report outlines the strategy options for EuroFoods and Medley under the alternative scenarios resulting from the pending EU decision on exclusive freezer arrangements.

Competitive advantage

There are a number of different generic strategies which lead to competitive advantage for a firm's products, and these were identified by Michael Porter of the Harvard Business School.

High volume/low cost (overall cost leadership)

The cost of manufacture of the product is reduced to the lowest level in the market, thus leading to increased margins. The firm is also able to engage in price wars more effectively than its competitors.

Differentiation

Significant differences are developed in the quality, features and marketing of the product. Customers are therefore willing to pay a higher price, or the market might fragment altogether, leading to total domination of a niche.

Focus

Either of the above strategies can be combined with a greater or lesser degree of concentration on a smaller number of potential customers. Use of a focus strategy may defeat competitors using either of the two strategies above, but targeting a wide market.

It will also be important in devising strategies for EuroFoods and Medley to consider the effects of the competitive forces in the marketplace.

1.2 Scenario 1 – EU decision outlaws exclusive freezer arrangements

This decision will have a profound impact on the ice-cream market throughout Europe, as it will directly threaten the strong supplier status of EuroFoods in the impulse market. An indication of how significant this might be, can be gained from some analysis of the market data.

Current position

	A	B	C
1	**Sales category**	**Sales category**	**Sales volume (tonnes)**
2	Impulse	1.2	2857
3	Impulse	0.9	2143
4	Take-home	0.5	1613

	A	B	C
5	Take-home	0.03	97
6	Impulse	1.13	2690
7	Take-home	0.9	2903
8	Take-home	0.08	258
9	Impulse	0.04	95
10	Take-home	0.08	258
11	Impulse	0.08	190
12	Impulse	0.65	1548
13	Take-home	0.41	1323
14	**Total sales**	**6**[1]	**15975**[2]
15	Impulse	4[3]	9524[4]
16	Take-home	2[5]	6452[6]
17			
18	**ANALYSIS**		
19	**% European market**	**Revenue**	**Volume**
20	Impulse sales	67%[7]	60%[8]
21	Take-home sales	33%[9]	40%[10]
22		100%	100%

[1] =SUM(B2:B13)

[2] =SUM(C2:C13)

[3] =SUMIF($A$2:$A$13,"Impulse",$B$2:$B$13)

[4] =SUMIF($A$2:$A$13,"Impulse",$C$2:$C$13)

[5] =SUMIF($A$2:$A$13,"Takehome",$B$2:$B$13)

[6] =SUMIF($A$2:$A$13,"Takehome",$C$2:$C$13)

[7] =B15/B14

[8] =C15/C14

[9] =B16/B14

[10] =C16/C14

Note that, in the Business Strategy and Technology exam, you will be required to analyse data using spreadsheet functionality. To learn more about the use of spreadsheet software and examinable spreadsheet functionality please refer to the chapter, 'Spreadsheet formulae.'

From the data it is clear that impulse sales are significant in terms of both volume (60% of sales) and revenue (67% of sales). However, the data does not indicate exactly what share EuroFoods has of the impulse sales market, but it is unlikely to be less than its 60% overall share of the market, due to the competitive advantage gained from its exclusive freezer arrangements. Indeed, the commentary suggests EuroFoods to be dominant in this lucrative market segment. The outcome of an EU judgement in favour of Medley would therefore be to remove a significant entry barrier – the control of distribution.

EuroFoods' strategic options

The threat of new entrants to the market must be considered by EuroFoods as significant when forming a competitive strategy to take account of this scenario. Ideally, the entry barrier to the impulse sector formerly provided by the exclusive freezer arrangement must be replaced by another of equal effectiveness.

It would appear that the greatest current advantage that EuroFoods possesses in the EU impulse sales market, with the exception of the exclusive freezer arrangement, is its scale of production and established position as market leader.

This suggests that barriers to entry are available in the areas of economies of scale and the experience effect, both of which should lower the cost of production. It seems clear that an 'overall cost leadership' strategy may well be open to EuroFoods, which would enable super-profit to be taken.

It is therefore appropriate to recommend that Euro Foods invest heavily in product development and marketing to produce, brand and place newer, cheaper products, as such an approach is likely to be more effective when competing with Medley.

Medley's strategic options

The removal of exclusive freezer arrangements by the EU will present Medley with a major opportunity for growth. Although there will be a cost impact, as Medley may have to negotiate a fee for the use of the Euro Foods freezers, this will be far less significant than the removal of a major entry barrier. The EU is likely to view a punitive fee strategy by Euro Foods as being similarly anti-competitive. In order to capitalize on the EU's decision, Medley will need to ensure that the products it develops in the future are sufficiently appealing to customers as they will be able to directly compare, and choose between Euro Foods' offering and Medley's when they are stored in the same freezer.

Medley's strength seems to lie in its ability to demand higher prices as it offers a differentiated product. Therefore any strategy that it pursues must not damage this approach. Profits earned by Medley should be reinvested in widening the distribution network into outlets previously dominated by EuroFoods, and upon reinforcing the brand image of its ice cream products.

For Medley maintaining the focus on the impulse sales segment seems preferable to attempting to compete in the take-home market which yields far lower margins.

Scenario 2 – Exclusive freezer arrangements remain

This represents a continuation of the current market conditions, which suggests that Euro Foods will find it easier to maintain its dominance of the market. However, Medley has already achieved a 10% market share with a new product and further penetration is likely.

Any cost advantages enjoyed by Euro Foods will ensure that Medley cannot compete without a significant subsidy from the other (non ice-cream) areas of the business.

Euro Foods' strategic options

Euro Foods must continue to exploit its competitive advantage in the impulse segment by entering into more exclusive freezer arrangements in areas of Europe not significantly penetrated. In the take-home sector, however, Euro Foods is very vulnerable to attack even though margins are lower and branding is probably less significant.

Euro Foods may like to consider supplying major supermarket chains with a low-price product, possibly under an own brand.

Medley's strategic options

If the exclusive freezer arrangements are to continue, Medley might try to develop more of a differentiation-focus strategy by supporting the brand in the impulse segment.

Significant capital expenditure will be required to supply and maintain freezers in competition with Euro Foods, and many small retailers will be unable to provide space for both.

Medley will have to examine opportunities for alternative retail methods which are less expensive and more attractive to the retailers. It may be possible, for example, to invest in the development of smaller freezers which could be placed on the counter. This may require Medley to limit the number of lines on offer to make the best use of the limited display space and avoid stock-outs or heavier distribution costs due to more frequent deliveries.

In the take-home segment, the exclusive freezer arrangements do not apply, and Medley has an opportunity to penetrate the market with multi-buy packs of the same branded product.

However, the brand will have to be heavily supported by advertising to guard against countermoves by Euro Foods. It may be possible to widen the range of lines using other Medley brand names, if the impulse sale segment seems out of reach. Medley cannot rely on retailers breaking the exclusive freezer arrangement with Euro Foods, but can make it known that it will supply non-exclusive freezers if retailers have problems with Euro Foods. This strategy may backfire if Euro Foods refuses to supply retailers which break the agreement.

Conclusions

It can be seen that the decision in the EU is fundamental to the strategy formulation of both companies.

Answer to Interactive question 2

2.1 **Choice of supplier**

Many factors should be taken into account in selecting a supplier. The main considerations are the following.

Cost

Supplier A is more expensive but is paid on delivery. Once penalty payments are incurred B becomes even cheaper.

Delivery

The importance of prompt delivery needs to be considered. Delivery by B is very late whilst A's is earlier but uncertain. Late delivery by B may save cost but it could lead to a loss in profits. Delivery dates quoted on both tenders could be considered to be unacceptably long.

Quality

Supplier B is new to Blue Jeans and may fail to meet the required quality standard.

Reliability

Supplier B is new to Blue Jeans and two significant risks are involved.

Credit risk – payment is in advance and Blue Jeans are therefore carrying the credit risk.

Security – there is some danger that the design of the new jeans may be 'leaked' to Supplier B's existing customers.

In conclusion, Supplier A appears the safer option but delivery dates need to be renegotiated. It would probably be better to test Supplier B on a less important order before allowing it to work on new designs.

Supplier B is new to Blue Jeans and two significant risks are involved.

2.2 **Memorandum**

To: Board of directors, Blue Jeans Group

From: A consultant

Date: March 20X9

Subject: Strategic position of Blue Jeans Group and future strategy options

(a) **Current strategic position**

- The current financial position of the firm is strong in terms of profit and sales growth. EPS has shown a dramatic increase. Its past profit problems now appear to be resolved. No information is available on liquidity and financial structure and it is necessary to examine these areas before making a final recommendation.
- It has a range of products aimed at particular market segments and a 'designer image which is important in the current market for jeans. It has a clearly focused strategy based on product differentiation.
- Its share of the European market is low (20X6) and it appears to have no stake in the large US market. However, in Europe it is of similar size to most other companies, apart from Levi Strauss. The jeans market is currently static and intense competition can be expected. Competition from other leisurewear manufacturers (eg, track suits, etc,) is also possible.
- It is currently supplied almost exclusively from Hong Kong. This could well have cost advantages, but several problems are apparent.
  - If the political situation in Hong Kong becomes unstable then this could eventually threaten supplies.
  - Exchange rate changes could lead to uncertainty over costs of products to be sold in the European market.
  - A danger of forward integration by existing suppliers also exists.
  - Long lines of supply and a long lead time in bringing new suppliers up to the required quality standard may hamper Blue Jeans' ability to exhibit the greater flexibility needed to cope with rapid changes of style. Changes in production technology may now be increasing the attractiveness of in-house manufacturing.
- Little information is available as to Blue Jeans' existing customer base and detailed information will be required before a final recommendation can be made.

(b) **Future strategy options Introduction**
The objectives of the firm are expressed in terms of sales and profits. To a certain extent these two factors are in conflict as sales can often be increased at the expense of profit although this has not appeared to be a problem in the past. Maintaining past growth in both these areas is a considerable task in the face of a static market for jeans, and unless Blue Jeans can make advances in market share, a gap between objectives and actual performance is likely to develop if it simply continues with its existing strategy.

Options

The options for future strategy can be thought of under four headings.

(1) **Diversification** – moving into new areas

(2) **Product development** – selling new products to existing customers

(3) **Market development** – selling existing products in new markets

(4) **Market penetration/internal efficiency** – growth in sales and profits by increasing share of existing market, and/or reducing cost.

Diversification

- Blue Jeans has no experience of diversification into totally different product markets, so this possibility is discounted.
- Horizontal diversification is a possibility, involving the takeover of an existing competitor. Two existing competitors (Lee and Wrangler) are currently experiencing difficulties due to their old-fashioned image and could be potential targets. They would both provide footholds in the US market and possibly allow Blue Jeans to generate economies of scale. However, on the evidence available both of these companies are considerably larger than

Blue Jeans (see US market share) which could make any takeover difficult (but not impossible).

- Vertical integration: Two possibilities exist here.
  - Forward integration into retail: Given the nature of jeans retailing this seems unlikely, however, more detail on existing customers is required before this can be ruled out. Forward integration into retail. Given the nature of jeans retailing this seems unlikely, however, more detail on existing customers is required before this can be ruled out.
  - Backward integration into manufacture: Although previous attempts have been unsuccessful, this does not mean that the strategy should be dismissed out of hand. It is investigated in detail in the next section.

Establishment of a manufacturing facility

Advantages

- Savings in transportation costs, search costs, etc.
- Improved quality
- Greater flexibility in design and manufacture if features such as flexible manufacturing, JIT, etc., are introduced
- More rapid response to changes in styles
- 'Secrecy' of new designs also maintained
- Avoidance of exchange risk if manufactured in the home country (Exchange risk on exports would still exist.)

Disadvantages

- Blue Jeans will carry the 'volume risk' of manufacture. If demand falls it will still have to cover its fixed manufacturing costs.
- Subcontracted suppliers, due to their experience or location, may offer cost advantages.

Product development

- Some attempts have already been made to broaden Blue Jeans' product range by the addition of jeans-related products.
- This trend could be continued by the introduction of other products such as sportswear or similarly related products, which could be sold through existing distributors. Careful analysis of the demand for these new products would be required. Significant marketing expenditure could be required to promote these products.
- The possibility of online sales should be investigated. This would avoid the need to find new distributors.

Market development

- Blue Jeans' coverage of the European market should be reviewed. As only limited information about existing coverage is available investigating other countries in which Blue Jeans' could sell to should be undertaken.
- Blue Jeans has no stake in the US market which in 20X6 was almost three times larger than the European market.
- Licensing of the Blue Jeans name to manufacturers in other countries could be considered, although this could detract from quality and hamper any export drive at a later date.
- Online sales could enable Blue Jeans to enter new markets/market segments without the necessity of a physical presence. This could be a first step before any overseas expansion is considered.

Market penetration

- The situation in the jeans market appears to be changing from one requiring high volume at low cost to one of product differentiation.

- Blue Jeans should therefore continue to differentiate its product through advertising and aiming at particular market segments. New brands for new segments could be introduced. Online sales/website may encourage loyalty and repeat purchases.
- Cost reduction is of course important but this should not be at the expense of the policy of differentiation. This will be a major consideration in the decision to establish manufacturing facilities. The increased flexibility of own manufacture and the ability to introduce new products rapidly may outweigh the benefits of reduced cost and risk from out-sourcing. Alternatively, the internet could be used to seek new supplies and reduce costs.

Conclusions

- The recent financial performance of Blue Jeans has been strong but, in a static jeans market, existing growth rates will be difficult to maintain.
- Changes in the competitive nature of the jeans markets may lead to a greater emphasis on flexibility, rather than cost. A detailed financial appraisal of in-house manufacturing is now required. This could either be by a green field start-up or an acquisition.
- Blue Jeans' existing policy of differentiation should be continued.

Answers to Self-test questions

1 A critical appraisal of strengths, weaknesses, opportunities and threats.

2 Match strengths with market opportunities; convert weaknesses into strengths and threats into opportunities.

3 Comparison of the objective with the outcomes of already-planned activities.

4 Economies of scale; latest technology; learning curve effect; improved productivity; minimised overhead costs; favourable access to sources of supply.

5 Build brand image; create special features in the product; exploit the value chain.

6 Ansoff's growth vector

		Product: Present	Product: New
Market: Present		Market penetration	Product development
Market: New		Market development	Diversification

7 Using the BCG matrix, one of four strategies can be pursued for each product.

Building market share: This is an appropriate strategy if:

- Market growth rate is high.
- The product is in its growth stage (of the product life cycle).

Such a strategy is appropriate for stars and some (if not all) problem children but requires considerable cash to fund high marketing expenditure.

This strategy involves heavy advertising, discounted pricing and intensive use of promotional techniques.

Holding market share: This is appropriate where both the product and market are mature, as in the case of cash cows, but could be applied to some stars.

Holding is achieved by ensuring that advertising expenditure and prices are comparable to those of competitors.

Harvesting: This strategy allows market share to decline, thus allowing the company to maximise its short-term earnings.

It could be applied to the problem children which the firm does not wish to or does not have the resources to turn into stars.

Harvesting is typically achieved by cutting marketing expenditure and/or raising prices.

Withdrawal: This is an appropriate strategy where the product has a lower than viable market share with no realistic hope of an improvement – typically applicable to dogs.

The product is in an unattractive market, and there is thus little purpose in improving market.

8 Product differentiation:

- Advertising campaign to stress health giving properties
- Package in fancy glass bottles
- Label the bottle using more stylish design

Cost leadership:

- Use plastic bottles
- Bring prices per litre down below competitors
- Sell in multi-packs to increase volume

9 Product development – sales of a new and different product are made but to the same (original) market or customer base.

This could be achieved by:

- Buying in tennis clothing made by another manufacturer and rebadging it
- Developing their own range of clothes from scratch
- Entering into a strategic alliance with a clothes manufacturer to develop the range together

Answers to Self-test questions

1 A paint manufacturer segmenting the market in paint sold to other businesses might use the following types of segmentation:

- Type of business: Potential customers may be divided into several different groups such as paint wholesalers, do-it-yourself retail outlets, specialist decorating outlets, housing developers, contracting decorators, and vehicle manufacturers.
- Usage, range and size are all means of segmenting the paint market. The size of container and packaging of the paint will vary according to the user needs of the customer. Contracting decorators may use large containers of a limited range of colours and not be particularly concerned about packaging, while do-it-yourself outlets and specialist stores may require a full range of colours and containers of various sizes with attractive decoration.
- Geographical area is an important segmentation variable for this type of industry. Customers may be domestic or overseas. Paint is exported to many different countries – each will need their own marketing strategies.

2 Reasons why demographic segmentation alone may not be a successful basis for car manufacturers targeting their customers include:

- A car manufacturer may use buyers' age in developing its target market and then discover that the target should be the psychologically young (young at heart) and not the young in age. (The Ford Motor Company used buyers' age in targeting its Mustang car in America, designing it to appeal to young people who wanted an inexpensive sporty car. Ford found to its surprise that the car was being purchased by all age groups.)
- Income is another variable that can be deceptive. One would imagine that working class families in the UK would buy a Vauxhall Astra and the managerial class would buy BMWs. However, many Astras are bought by middle-income people (often as the family's second car) and expensive cars are often bought by working class families (plumbers, carpenters etc).
- Personal priorities also upset the demographic balance. Middle-income people often feel the need to spend more on clothes, furniture and housing which they could not afford if they purchased a more expensive car.
- The upgrading urge for people trying to relate to a higher social order often leads them to buy expensive cars.
- Some parents although 'well off' pay large fees for the private education of their children and must either make do with a small car, or perhaps no car at all.

3 Market segmentation is the process of identifying groups of buyers with different buying desires or requirements. Market targeting is the firm's decision regarding which market segments to serve. Markets made up of buyers seeking substantially different product qualities and/or quantities are called 'heterogeneous markets.'

4 For example:

- By geographical region (eg, North vs South, different countries)
- By demographic factors (eg, age, sex, social class, lifestyle, education, income)
- By the way the product is used (eg, professional builders or amateur DIY'ers)
- By customer requirements (eg, tea granules, bags and leaves are a response to different levels of convenience required)

5 Industrial and consumer markets differ in the following ways.

Consumer markets	Industrial markets
Products purchased to satisfy personal needs	Products bought for use in firm's operations or to make other products
Buying decision may be complex and irrational: 'it caught my eye'	Buying motive linked to improving quality and/or profitability. Technical specifications are a very important element of the product definition
Likely to have many customers with low buying power	Likely to be fewer firms but each has greater spending power
Customers spread out	Customers concentrated, either geographically or by industry
Longer distribution channels	More likely to sell direct
Advertising is main promotional tool	Personal selling extremely important More negotiation involved with pricing

6 To the **purchaser** the brand name is important.

- It distinguishes the product from alternatives.
- It permits repurchase of a product which has proved satisfactory when previously bought.
- The purchaser is familiar with the attributes of each well-known brand.
- The problem of making a choice is reduced.
- The familiar brand name encourages a feeling of security about the purchase. To the **manufacturer** the virtues of branding are somewhat different.
- It encourages repurchase (this is effectively the same as 'brand loyalty').
- The brand name is a merchandising asset: it is useful in persuading people to purchase at the point of sale.
- The brand name becomes associated with the product's intended attributes, thus positioning it in the customer's mind and the market.
- The brand name is used in all promotion effort and tends to enhance the effectiveness of advertising.

7 The promotion mix consists of four elements.

- Advertising – paid communications in the media which are designed to influence potential customers favourably regarding a company's products or services. Advertising is sometimes called **above-the-line** promotion.
- Sales promotion – non-media promotional activity aimed at increasing sales. Sales promotion includes a variety of techniques such as give-aways, competitions, trading stamps and exhibitions. It is sometimes called **below-the-line** promotion.
- Public relations – the creation of positive attitudes regarding products, services, or companies by various means, including unpaid media coverage and involvement with community activities.
- Personal selling – the techniques by which a sales force makes contact with potential customers.

8 There are several reasons for using separate firms for getting goods to the consumer. These include the following.

- Market knowledge is far deeper in an established intermediary.
- Market coverage is larger for a firm with a distribution chain already running; set-up costs of a distribution network are large.
- Distribution speed is likely to be much higher in an existing company specialising in this area.
- Distributors may cover a range of complementary products to enhance sales of the principal product.

9 Targeting involves selecting the most attractive market segments, and designing those elements of the marketing mix to fit the identified segment.

10 For any two characteristics:

Intangibility	Judgemental evaluation
Inseparability	Provider and client impact on quality of service
Variability	Consistency based on delivery process
Perishability	Instantaneous consumption that cannot be stored
Non ownership	Services are used and not owned

11

Relationship	Description
Partner	The most loyal business associate
Advocate	Active recommendation for business
Supporter	Some tacit approval for offering
Client	Some repeat activity
Purchaser	Completed at least one transaction
Prospect	Likely source of potential business

12 Jacmel Products plc

Refer to the answer to Jacmel Products plc in the Question Bank.

Chapter 8

Strategies for products and markets

Introduction

Learning outcomes

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Chapter study guidance

Learning topics

1 Revision of product market strategies
2 Segmentation, targeting and positioning
3 Marketing research
4 Branding and brand equity
5 Marketing mix
6 Product
7 Place
8 Promotion
9 Price
10 Relationship marketing
11 Marketing and ethics

Summary

Further question practice

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Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain and demonstrate how to capture and analyze qualitative and quantitative data, presented in different formats, to provide relevant information for decision making at an appropriate level within an organization.
- Explain and demonstrate how products and services can evolve in the face of developing technologies, consumer demand and industry competition.
- Explain and demonstrate how to position particular products and services in the marketplace to maximize competitive advantage and develop a marketing strategy by selecting, capturing and analyzing relevant data.

Syllabus links

In your Business, Technology and Finance studies, you will have covered the basic objectives and processes of marketing management. You will also have considered how the marketing function assists in the achievement of business objectives.

This chapter revises these topics and explains how marketing is an essential part of management both in understanding the environment within which the organization operates and as a means of promoting growth and developing other strategic objectives.

Examination context

This chapter is important for the exam. Questions may test your understanding of marketing concepts in a variety of different scenarios. An understanding of product and marketing strategies may also involve a particular issue, such as pricing. When faced with a requirement on marketing, it is important that you give consideration to the wider business strategy of the organization featured, as any marketing activities undertaken need to be consistent with this.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Revision of product market strategies** Marketing is a functional strategy enabling an organisation to implement its chosen business strategy.	**Approach** Read through the terminology in the section and understand the application of marketing to Porter's generic strategies (how to compete) and to Ansoff's matrix (direction of	This entire chapter is very important for the exam. Questions may test understanding of marketing concepts in a variety of different types of scenarios.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		growth). **Stop and think** How has Amazon used marketing to grow their business?		
2	**Segmentation, targeting and positioning** Market segmentation divides the mass market into smaller sub- segments of similar customers. This activity improves a company's ability to target customers with marketing tailored to their needs.	**Approach** Read through the section to understand segmentation, targeting and positioning. Ensure you are clear on how to segment and target customer groups as well as on the benefits of this marketing activity. **Stop and think** Consider a firm you are familiar with. Is there evidence of market segmentation and if so, what are the bases of segmentation?	Exam questions may require you to identify market segments and methods of targeting particular customer groups. Answers should be practical, taking into consideration the specifics of the organisation in the scenario.	**IQ1: Rex Ltd** This question tests your understanding of key terminology from the chapter, such as product positioning and market targeting. You are required to apply your answer to the scenario provided.
3	**Marketing research** Marketing research enables organisations to identify customer needs for future product/service development, as well as to evaluate the effectiveness of current marketing campaigns.	**Approach** Read through the section to gain an understanding of the types of market research. The worked example on net promoter scores shows how online surveys can capture marketing information. **Stop and think** What are the problems associated with selecting and	Questions are unlikely to ask for explanations of the different types of market research. Instead be able to discuss potential sources of information available to a company and the problems and limitations of each. For example, a company may wish to amend its pricing policy so a coherent approach should be put forward where the pricing decision is based upon appropriate market research.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		using a sample of data for research purposes?		
4	**Branding and brand equity** Brand strength is an important source of value and growth. A strong brand creates future earnings and value through a company's ability to launch spin off products and services. It also acts as a barrier to new entrants.	**Approach** Understand the terminology and the brand positioning model in this section. In particular, review how companies are able to track brand awareness. **Stop and think** Apple is one of the most recognised global brands. How has Apple benefited from their strong brand equity?	Developing a strong brand may be a strategic approach adopted by a company in an exam question. Be able to discuss how a company could develop their brand and the benefits this could bring to them.	
5	**The marketing mix** The marketing mix is a set of controllable marketing variables that can be adjusted and altered to create a product or service that appeals to the target market.	**Approach** Review the components and features of the extended marketing mix (7Ps). You will be looking at them in detail in the rest of the chapter. **Stop and think** Consider a firm you are familiar with. How do they promote their product or service to different target markets?	In the exam you may be required to advise on how a company can change their marketing mix to better appeal to their target customers.	**IQ2: Services marketing** This question highlights the differences between a product and service before requiring you to apply the marketing mix to a service company. **IQ3: Marketing mix** This short question asks you to apply relevant elements of the marketing mix to two different industries; banking and component manufacturing.
6	**Product** Product in the marketing mix refers to what the customer is actually buying. Features of the product can be	**Approach** Review the elements of a product that can be changed to make it more appealing to the	In a question on the marketing mix you may be asked to advise on how to tailor the product to meet the needs of customers in the target demographic.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	altered to attract target customers.	target market. **Stop and think** Consider the food manufacturer Heinz. How have they tailored their ranges of baked beans to attract different target customers?		
7	**Place** Place refers to the distribution channels available to firms. Organisations must analyse customer groups to establish the best way of getting their products to those customers.	**Approach** Review the section to understand distribution channel considerations. Read the worked example to understand how technology can result in a change of channel. **Stop and think** What impact did the global coronavirus pandemic have on distribution channels in the retail industry?	In a question on the marketing mix you may be asked to advise on how to alter the distribution channel so that it meets the needs of customers in the target demographic.	
8	**Promotion** Promotion influences the target customers' perceptions of the product to encourage purchase and to increase brand loyalty.	**Approach** Ensure you are familiar with the promotion mix and the various types of advertising available to a firm. **Stop and think** Can you distinguish between sales promotions and advertising?	In a question on the marketing mix consider the different approaches to promotion in order to assess which ones are suitable for the organisation presented in the scenario.	**IQ4: Canal Cruises** This question combines marketing strategies with Ansoff's matrix. You are asked to suggest potential promotion strategies.
9	**Price** Pricing is a key strategic decision. It influences sales	**Approach** Read the section fully paying particular	Be able to recommend appropriate price strategies based on price elasticity and any	**IQ5: Pricing methods** This question tests two different

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	volumes and profit margins. Pricing also signals perceived levels of quality to customers and can be used as part of a branding strategy.	attention to the different pricing strategies available. **Stop and think** What do you think the price elasticity of mobile phones is? Which of the four Cs has the greatest influence on the price that mobile phone companies are able to charge for their products?	of the four Cs (cost, customers, competitors, corporate objectives) discussed in the question scenario.	approaches to pricing strategy covered in the topic content; competitor based methods and demand/market based methods.
10	**Relationship marketing** Relationship marketing is the process of attracting, maintaining and enhancing customer relationships in order to create long term value for companies. The approach has been facilitated by improvements in IT allowing businesses to capture data and better understand their customer base.	**Approach** Review the distinction between transactions marketing and relationship marketing. Understand how to develop a relationship marketing strategy. **Stop and think** Amazon was one of the first companies to effectively use customer relationship management (CRM). What is their approach and what benefits has it brought?	Relationship marketing is becoming increasingly popular as companies gain access to greater volumes of customer data. An exam question may link the concepts of relationship marketing and big data to evaluate how data can lead to better customer relationships and retention.	**IQ6: Branding and relationship marketing** This question addresses the importance of branding to a company. You are also asked to explain how relationship marketing can help to attract and maintain customers.
11	**Marketing and ethics** The act of promoting products and services to customers can raise ethical questions. Were customers	**Approach** Read quickly through this short section. **Stop and think** Consider the marketing of	In all exam questions be aware of the ethical implications present in the scenario. Also ensure that recommendations address any ethical issues.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	given access to all the product information before purchase? Could promotional activity be deemed to be misleading in any way? Did the company act with integrity at all times?	children's toys. Is it ethical to show toy and games advertisements during television programmes aimed at young children?		

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Revision of product market strategies

Section overview

- Marketing is one of the functional strategies responsible for implementing the strategic choices of management.
- Marketing can help create Porter's generic strategies of cost leadership, differentiation or focus through how it targets and positions products.
- Marketing strategy identifies and helps develop new products and markets in the Ansoff matrix.

1.1 Marketing terminology

Definition

Marketing: Can be defined as the set of human activities directed at facilitating and consummating exchanges. From this it can clearly be seen that it covers the whole range of a firm's activities.

Alternatively, marketing can be defined as 'the management process which identifies, anticipates and supplies customer requirements efficiently and profitably' *(Chartered Institute of Marketing).*

Professional skills focus: Applying judgement

Questions may test your understanding of marketing concepts in different business situations. You must always consider marketing in the context of wider business strategy. Does the marketing appeal to key stakeholders? Does it support and enhance the business strategy?

Customer, consumer and targeting

A distinction can be made between the customer, who purchases and pays for a good or service, and the consumer, who is the ultimate user of the good or service.

Thus, if a company makes corn flakes, its customers are supermarkets etc, but the consumer is the individual who eats the corn flakes. Both customer and consumer need to be targeted.

To obtain greater precision a firm may segment its market, ie, divide it into smaller parts where the parts can be treated differently for marketing purposes. The firm can then target particular segments. Segmentation is covered in section 2 below.

Marketing orientation

A firm which has a marketing orientation will see the needs of consumers/customers as vital. If it develops and markets products to meet these demands (ie, to meet the critical success factors), certain structural characteristics will be apparent within the company, ie:

Function	Activity/department in the company
Identifying customer/consumer needs	Marketing research
Developing products to meet consumer/customer wants/needs	R&D/production
Determining the value of the product to the customers	Pricing
Making the product available to the customer	Distribution
Informing the customer/consumer of the product's existence and persuading them to buy it	Promotion

1.2 Product-market strategy: Direction of growth

In the chapter, 'Strategic options,' we noted that when deciding their strategies, organisations have to make three key choices:

- **How to compete**: Competitive strategies include cost leadership, differentiation or focus.
- **Direction of growth**: Product/market strategy refers to the mix of product and markets (new or existing) and what the firm should do.
- **Method of growth** (acquisition or organic growth): This will be covered in the chapter, Methods of development.'

Marketing strategy deals with the first two of these because it enables an organisation to concentrate its limited resources on the greatest opportunities, defining how the organisation will engage customers, prospects and the competition in the market arena, to increase sales and profits and so achieve a sustainable competitive advantage.

1.3 Marketing strategy and Porter

Porter's three generic strategies are recipes to create superior long-term profitability.

- **Overall cost leadership** – achieve lowest delivered cost to customer to boost margins and survive market entry and price wars better than competitors.
- **Differentiation** – acquire status of premium perceived value in the market to enable higher prices to be charged and to resist competition from cheaper 'follower' products.
- **Focus** – monopolise a niche segment by provided either a specifically tailored product of very high perceived value or by cutting extraneous costs to gain access to the lowest price segments.

Marketing strategy positions products in the marketplace according to these generic strategies. This will involve correct tailoring of the main elements of marketing, the **marketing mix**:

- **Product** – the offering the customer consumes
- **Price** – the pricing point and actual cost in use to the customer
- **Promotion** – how a product or service is advertised and sold
- **Place** – where it is available, can be accessed or bought from
- **People** – the personnel the customer meets
- **Physical evidence** – the look and feel of the business premises, publicity etc
- **Process** – the way the customer makes a purchase or the way the customer is dealt with

The final three Ps are particularly important for service companies' marketing

1.4 Marketing strategy and Ansoff

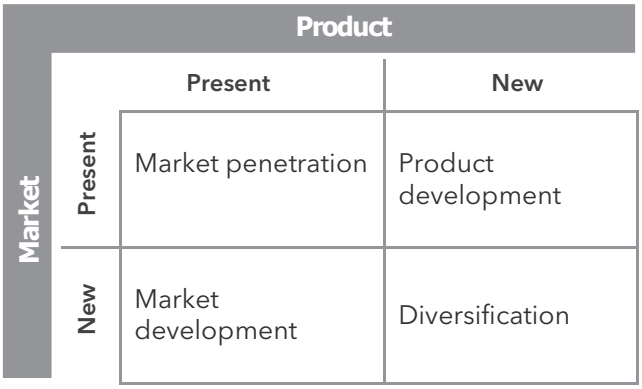
Definitions

Product/market strategy: Concerns the decision on what products to offer and the markets to be served. This is closely linked to Ansoff's growth vector matrix.

Market segmentation: A tool of marketing strategy that helps management to identify new markets, and to use a marketing mix to arrive at a desirable market position.

The Ansoff matrix identifies various growth options (see details in previous chapter).

Figure 8.1: The Ansoff matrix



Market penetration: Maintain or to increase its share of current markets with current products, eg, through competitive pricing, advertising, sales promotion and to increase usage by existing customers.

Market development: Expand into new market segments or geographical areas. **Product development**: Launch of new products to existing customers or similar markets.
Diversification: Develop into new industries (new products and new market segments).

1.5 Danger in assuming 'one size fits all'

Market segmentation refers to the practice of looking for sub-groups in a market.

Focus players obviously depend on this, but it is also practised by broader market players too:

- Differentiated breakfast cereal manufacturer Kellogg's segments the market into children's cereals (Rice Krispies, Frosties etc), adult cereals (Corn Flakes), commuters (cereal brands in a bar).
- US-based cost leader supermarket chain Wal-Mart segments the market into geographical locations where its price-conscious positioning will appeal.

The argument for **mass marketing** is that it creates the largest potential market, which leads to the lowest costs, which in turn can lead to lower prices or higher margins.

Critics point to the increasing splintering of the market, which makes mass marketing more difficult and denies the firms that use mass marketing the opportunities of niche markets.

A proliferation of media (internet, cable TV, mobile phones) and distribution channels (downloads, social media, direct selling from websites) is allowing more personalised shopping and more personalised marketing messages. It is difficult to practice 'one size fits all' marketing and some observers even claim that mass marketing is dying. It is being replaced by **target marketing** and **personalised marketing,** which is facilitated by big data and data analytics. For example, data gathered from customers helps organisations to better

understand their target audience, allowing them to tailor their marketing approach and add value to the organisation.

2 Segmentation, targeting and positioning

Section overview

- Market segmentation divides markets into sub-units to help target the marketing effort.
- Segmentation bases are the methods used to divide consumer and industrial markets.
- Positioning a product involves putting in the market at a point that will attract the interest of its target segments and able to satisfy their requirements.

2.1 Market segmentation

Definition

Market segmentation: The division of the market into homogeneous groups of potential customers who may be treated similarly for marketing purposes.

Segmentation allows the organisation to vary its marketing mix to each segment it chooses to enter. Alternatives are:

- Mass (undifferentiated) marketing – no segmentation eg, sugar
- Niche (concentrated) marketing – concentrate on one or two market segments eg, Morgan cars
- Micro marketing – complete segmentation, tailoring products and services to individual needs eg, greetings card manufacturer, Moonpig allow customers to design and customise their own cards

2.2 Benefits of market segmentation

- The organisation may be able to identify new marketing opportunities, because it will have a better understanding of customer needs in each segment, with the possibility of spotting further subgroups.
- Specialists can be used for each of the organisation's major segments. For example, small business counsellors can be employed by banks to deal effectively with small firms.
- The total marketing budget can be allocated proportionately to each segment and the likely return from each segment. This optimises return on investment.
- The organisation can make adjustments to the product, price and other elements of the marketing mix to improve returns.
- The organisation can try to dominate particular segments, gaining the competitive advantage from a Focus strategy.

2.3 The bases for segmentation

The methods used to split the market up into segments are called **segmentation bases**. They will seek to segment markets according to factors such as:

- Type of customer (eg, business, personal, own use, presents, etc)
- Different needs and tastes of the customer
- Location of the customer

- Spending potential of customer
- Circumstances of the customer (eg, loans targeted at new businesses or those with poor credit ratings)

Segmentation can be divided into industrial segmentation and consumer segmentation. Industrial segmentation includes:

- Geographic (eg, as basis for sales force, distribution or because industries cluster)
- Purchasing characteristics (eg, order size, frequency of order)
- Benefit (eg, reliability, economy, durability, versatility, safety, value for money)
- Company type (eg, type of business, sole trader, partnership, limited company)
- Company size (eg, number of employees, profits, revenue)
- Technological (eg, capable of/willing to buy online and to make use of developing technologies)

Consumer segmentation includes:

- Geographic (eg, as by country, region, city, etc)
- Psychological – groups sharing common psychological characteristics (eg, old people may be security-oriented)
- Purchasing characteristics (eg, heavy user, medium user, low user)
- Benefit (eg, soap powders – smell, whiteness, economy, stain removal)
- Demographic – divides the market into groups based on such things as age, gender, family size, income, occupation, race etc.

  (One method – socio-economic grouping – is explored further below.)
- Technological (e.g., whether the customer uses technology – social media, mobile devices, etc)

2.3.1 Socio-economic grouping

Socio-economic	Social status	Job description
A	Upper middle class	Higher managerial, administrative and professional e.g., chief executive, surgeon
B	Middle class	Middle management, administrative and professional e.g., teacher, bank manager
C1	Lower middle class	Supervisory, clerical, junior management, administrative, non-manual eg, bank clerk, salesperson
C2	Skilled working class	Skilled manual workers eg, electrician, carpenter
D	Working class	Semi and unskilled manual jobs eg, assembly line worker, refuse collector
E	Subsistence	Lowest grade workers, unemployed eg, casual workers

Modern information and communications technology, especially social media, make it possible to create 'segments of one' for personalised marketing.

- Personalised versions of home pages for online stores (eg, Amazon 'page you made')
- Loyalty cards allowing personalised offers to be given at the check-in (eg, screens on shopping carts in supermarkets), check-out or in personalised mailings

- Interactive TV with specifically tailored advertisements in the commercial breaks
- Personalised email, social media promotions, text messages and alerts

2.3.2 Buyer and customer behaviour

A crucial element in the marketing process is understanding **why** a buyer does or does not purchase an organisation's goods or services. If the organisation does not understand the process, it will not be able to respond to the customer's needs and wishes.

Due to the differences that often exist between 'consumer buyers' (those who purchase items for personal consumption), and 'industrial buyers' (those who purchase items on behalf of their organisation and where there are far fewer but larger buyers), it is traditional to split buyers into these two broad groups for analysis.

Consumer adoption model

The people who first buy one type of consumer goods are frequently the same people who first try others. Customers can be divided into groups according to the speed with which they adopt new products.

The **innovators** are relatively young, technology savvy, lively, intelligent, socially and geographically mobile and of a high socio-economic group (largely AB).

Conversely, the **laggards**, who are slow to accept new products, are older, less intelligent, fixed in their job and residence, less well off, and lower on the socio-economic scale. It can be seen that when a company launches a new product, its early customers are likely to be significantly different from its later ones. The consumer adoption model is also consistent with the product life cycle.

This concept can be very useful for marketers trying to assess for example, future demand for technological products such as virtual personal assistant devices.

2.4 Targeting



Definition

Targeting: Involves selecting the most attractive market segments.

The attractiveness of a market segment depends on it being:

- **Measurable** – the ability to forecast the sales or market potential of the segment. Knowing this will be essential for production and distribution planning and also for financial forecasting.
- **Accessible** – the ability of the firm to make and distribute a product to and the availability of suitable promotional media.
- **Stable** – the likelihood that the segment will persist for sufficient time to enable a return on the investment of developing a marketing mix for it.
- **Substantial** – the profits available will give an adequate return on capital employed.
- **Defensible**: there should be barriers to entry to allow the firm some measure of dominance.

Issues to consider include:

- How big is the market segment?
- How quickly is it growing?
- How many competitors are there and what is their market share?
- What are the main distribution channels?
- Are there any potential substitute products or services?
- What is the relative power of buyers/suppliers?

- What resources and competences does the company have?
- Can the segment be accessed through the deployment of internet technologies?

Target marketing tailors a marketing mix for one or more segments identified by market segmentation.

Targeting strategies can be:

- **Single segment** strategies (concentrated strategies): One market segment is served with one marketing mix – suitable for smaller organisations with limited resources.
- **Selective specialisation** (multi-segment strategies): Different market mixes are offered to different market segments. Proctor and Gamble provide Pampers disposable nappies to young families, cosmetics such as Calvin Klein to the youth market and Old Spice to the elder male.
- **Product specialisation**: The organisation specialises in a particular product and tailors it to suit different market segments. Dell makes computers targeted at homes and at businesses.
- **Market specialisation**: The organisation specialises in serving a particular market segment and offers that segment an array of different products. Harley Davidson aims at the older and born- again biker and sells a range of motorcycles, accessories, apparel and, with less success, cosmetics.
- **Full market coverage**: The organisation attempts to serve the entire market. This coverage can be achieved by means of either a mass market strategy in which a single marketing mix is offered to the entire market, such as Starbucks coffee houses, or by a multi-segment strategy in which sufficient separate marketing mixes are offered to cover the whole market. Many supermarket chains attempt the latter when they offer economy, standard, and premium ranges of own-label products in lines that include food, cleaning products, clothing and light bulbs.

2.5 Positioning



Definitions

Positioning: The overall location of a product or service in the buyer's mind in relation to other competing products, services /brands.

Re-positioning: Changing the identity of a product or service, relative to the identity of competing products or services, in the collective minds of the target market.

A product or brand can be positioned in a number of ways, eg, via a price or emphasis on a particular characteristic or set of characteristics. In other words, positioning means giving a product a place relative to its competitors on factors such as quality, price, image, being exotic, providing status, etc.

Positioning can be facilitated by a graphical technique called perceptual mapping, various survey techniques and statistical techniques like multi-dimensional scaling and factor analysis.

One way of obtaining the information required to draw up this type of matrix would be to ask target consumers to rank the products on a five-point scale on quality. Values could then be attributed to the respective answers as follows: very good score: 5, good score: 4, reasonable score: 3, poor score: 2 and very poor score: 1. The information could be brought together as shown below.

Figure 8.2: Product positioning matrix



Even such a rather simple product positioning matrix as shown above may give valuable insights in the relative positions of the various brands.

The first conclusion is that the position of brand B is rather precarious. It is more expensive than brand C, but considered to be of lower quality. C is considered to be of better quality, but sells at a lower price. There also appears to be a gap in the market in the middle segment at a price level between D and C.

Context example: Watches

Leading global watch brands are positioned to appeal to different buyer groups. Swiss brand Omega was founded in 1848, and its watches are largely targeted at business professionals and watch collectors. Omega is the producer of quality precision watches and prides itself on its long- time association with the Olympic Games. Fellow Swiss brand TAG Heuer is classed as a luxury watch brand, targeted again at business professionals but also sports fans due to the long running partnership that it had with the McClaren F1 team, and subsequently the Red Bull F1 team. Fossil watches by contrast was established in the USA in the 1980's. Its watches are targeted more as fashion items and are sold at considerably lower prices.

Interactive question 1: Rex Ltd

Rex Ltd is a UK-based nationalised car manufacturer that is going to be privatised in the next four years. It has suffered from years of poor management and under-investment. This has resulted in a poor public image and a diverse product range. Details of current models are given below.

Off-road division

Range Rex: A market leader with a strong image as being the off-road vehicle to be seen in around town. It enjoys a high profit margin but is starting to face increasing competition in a growing market.

Land Rex: A leader in the market of 'working' off-road vehicles. Has a huge market share and faces few competitors in a fairly static market.

Family division

Mindless: A revolutionary design – 30 years ago. This is the original small car. It is now competing against many larger models including Rex's Matchless in the small family hatchback

market. The Mindless is not a hatchback and, as a result of nil investment over the last 20 years, is regarded as being an anachronism, bought only by enthusiasts. It is totally unprofitable.

Matchless: An economical and fun to drive small family hatchback. The car is well designed but poorly built. It has the potential to become market leader but is held back by its poor reputation. This is a growing but highly competitive market.

Hopeless and hapless: Two models in the medium-size family market. They are both poorly designed, poorly built and have astonishingly bad reputations. Neither car has a market share of any significance. The market is not growing. It is, however, thought vital to have a car aimed at this market sector.

Executive division

The Rex. What was once a car synonymous with quality has had its reputation somewhat tarnished lately due to its unreliability. Its existing customer base is loyal but increasingly being persuaded to buy more reliable imported cars. This is a growing and highly profitable market.

Requirement

Explain what the terms 'product positioning' and 'market targeting' mean and how these might be applied in developing Rex's strategy.

See **Answer** at the end of this chapter.

3 Marketing research



Section overview

- The definition of marketing in earlier emphasises meeting customer requirements and also efficiency.
- Marketing research helps management identify needs that can be satisfied at a profit to the firm.
- It also helps evaluate the effectiveness of the component parts of the marketing effort to ensure marketing reaches its objectives efficiently.

3.1 Areas for marketing research

To be able meet the critical success factors in target segments and develop sustainable competitive advantage over competitors, information is needed.



Definition

Marketing research: Is the systematic gathering, recording and analysing of information about problems relating to the marketing of goods and services.

Marketing research therefore includes not only market research but also the gathering of any data useful for formulating the seven 'P's marketing mix.

Market research involves looking at specific markets, their size, market trends, information re segmentation, customer characteristics, customer needs and wants, demand curves, competitors' products, etc.

Product research could include laboratory testing to analyse product safety, durability and shelf-life.

Pricing research could include attempts to generate more accurate figures to facilitate cost-plus pricing.

Promotional ('market communications') research might include contacting social media sites or the websites of online newspapers to determine how much they would charge for advertising.

Distribution research could include contacting potential retail outlets to determine what margins they would expect to make.

3.2 Stages in marketing research

A research programme will involve the following steps:

- Defining (and locating) problems, setting objectives
- Developing hypotheses
- Research – desk and field research
- Data collection
- Analysis and interpretation
- Conclusions and recommendations

3.3 Desk research



Definition

Desk research: Is the gathering and analysis of existing or secondary data. This may use existing company reports and other information from both internal and external sources.

Information from internal sources

Many companies develop internal databases. Information can come from many sources eg, accounts department, production records, orders etc. Supermarkets use loyalty cards, databases and the output from data analytics software to segment and target their customers.

Other often neglected sources of information are:

- Management accounts – analysis of sales/profits by produce or region
- Sales department – more sales analysis (customer complaints)
- R&D department – information about technical developments

Rules for successful desk research

- Assume that the work has already been done – it just needs to be located.
- Think laterally and keep an open mind.
- Follow up leads, however vague.
- Get behind the published data, since often what is published is just a summary.
- Avoid saying 'market research.'
- Avoid asking for 'statistics.'
- Use internal sources of data as this is often available in organisational databases.

3.4 Field research



Definition

Field research: Involves the collection of new (primary) information direct from respondents. As such it is usually more expensive than desk research and so is only performed if desk research fails to answer all questions asked.

3.4.1 Types of research

There are three basic types of field research.

- **Opinion research** – to determine people's opinions on general issues (eg, pollution)
- **Motivation research** – to determine why people do what they do, especially why they would buy one product rather than another

Their motives may be complex/subconscious.

- **Measurement research** – to quantify research so that sample results can be extrapolated to the target population

For example, how many people are planning a holiday to Italy next year?

Specific techniques

- In-depth interviews
- Group interviews
- Trial testing – eg, out of three chocolate bars, which would you choose?)
- Word association – eg, 'lager drinkers' – lout?
- Observation – eg, use cameras to determine how long on average it takes to serve customers in a restaurant
- Questionnaires – very common
- Online – internet surveys and focus groups



Context example: Net promoter scores

Many organisations have taken to using online surveys accessed via their websites to gather direct feedback from customers. These surveys provide organisations with a so-called net promoter score which indicates how strongly a customer feels about the company's products or services. This technique measures the likelihood of a customer promoting the company and its offering to others by scoring their response, usually on a scale of 1 to 10. For example, customers might be asked how likely they would be to return to the site and make a purchase, or how likely they would be to recommend the company's offering to a friend or family member.

Customers who give a score of 9 or 10 are described as 'promoters,' those giving a score of 7 or 8 are 'neutral,' and those scoring between 1 and 6 are 'detractors.' The net promoter score (NPS) represents the percentage of customers who are promoters *less* the percentage of customers who are detractors. (For example, if 44% of customers gave a score of 9 or 10, 17% gave scores of 7 or 8, and while 39% gave scores between 1 to 6, the NPS is 5 (ie, 44–39).

A high (ie, positive) net promoter score suggests customer loyalty, whereas a low score (ie, a negative NPS) indicates that the customer is unhappy and is likely to tell others about their views. Net promoter scores provide an effective gauge of how an organisation is being perceived by its customers, and can provide useful insights into those aspects of its offering which need further improvement.

Sampling

- Ideally, one should choose **random samples**, where each person in the target group has an equal likelihood of being selected. If large enough, a random sample will be representative of the target population in every respect, not just those considered important. Consequently extrapolation of results is more reliable and easier to quantify. Unfortunately it can be very difficult to be unbiased in a sampling technique.
- A popular alternative is quota sampling, where certain characteristics of the sample are predetermined. People are then chosen specifically to fill the required quotas within the sample.

For example, suppose the target population is made up of 56% men and 44% women, a quota sample of 200 people would therefore contain 112 men and 88 women. Once 88 women had been questioned, no more would be asked.

The main problem with quota samples is that, while they may be representative as far as preselected criteria are concerned, they are likely to be biased in other respects. Consequently, it is more difficult to predict how the population as a whole will behave.

- Opinion and motivation research tend to use small samples, whereas measurement research samples are much larger to facilitate more accurate extrapolation.
- In **panelling**, the same sample is retained so that changes/trends in behaviour are easier to identify.
- Sampling may involve personal face-to-face contact (eg, door-to-door, intercepting people in shopping centres, etc), telephoning, mailshots and email shots or by putting questionnaires in magazines.

The problems with surveys and questionnaires are, firstly, a low response rate and, secondly, that the sample picks itself, so may not be representative of the population as a whole as only those wishing to partake in the questionnaire will respond.

In recent times it has become increasingly common for organisations to run surveys via their websites. In many cases this approach is directed to gain user feedback on using the entity's website, products or services. Companies such as Survey Monkey help businesses and individuals alike to run surveys on various issues through social media sites such as Facebook or Twitter.

Test marketing

Test marketing involves a trial run of a product in a typical segment of the market before proceeding to a national launch.



Context example: Boohoo

In early 2018, it was reported that the online fashion company, Boohoo, had achieved a 97% jump in revenues on the previous year. Boohoo's products are targeted at 16-to-24-year-old women. The company's success had been achieved in part by its approach to marketing. Known as 'test and repeat,' Boohoo offers a large selection of clothes on its website, but only then restocks its warehouse with the best-selling lines (BBC, 2018).

Boohoo has shunned traditional approaches to marketing, instead preferring to maximise its appeal through attracting influential people to promote its brand via social media channels. Neate (2017) notes comments made by Neil Catto, Boohoo's chief financial officer who, in 2017, said 'we work with a whole spectrum of influencers, celebrities and wannabe-bloggers – all people with a presence online – and we work with them so they can spread the word about Boohoo. It goes like wildfire on Instagram' (Neate, 2017).

(**Sources**: Neate, R. (2017). 'Fashion retailer Boohoo nearly doubles profit after celebrity Instagram tie-ups.' *The Guardian*. [Online]. Available from: www.theguardian.com; BBC (2018) 'Boohoo online fashion chain sees sales and profits surge.' [Online] Available from: www.bbc.co.uk [Accessed 18 July 2023])

Test marketing could involve just selling a product in selected locations. At the other end of the scale the test may incorporate all aspects of the marketing mix in a certain area of the country. Such a test market should have the following characteristics:

- Small
- Self-contained
- Representative
- Adequate promotional facilities

Experimentation

Users of the experimental method attempt to investigate only one variable at a time, keeping all other factors constant.

Examples of the experimental approach can be found in advertisement testing, where alternative advertisement designs can be assessed in otherwise identical marketing situations. It can also be found in package testing, where different packaging styles are used whilst other factors are held constant.

Theoretically, any variable could be tested. The method for setting up a test would be similar to that set out below, which describes how to carry out a **sales area test**.

- Select areas which are as nearly identical as possible and which represent the market for the tested product.
- Ensure that all factors except that being tested are as nearly identical as possible. In a sales area test this means using similar distribution outlets in comparable positions within the area.
- Record sales in each area before the variable is introduced.
- Set up the new variable in all except one or two areas. These are the control areas, in which previous marketing mix settings are maintained.
- Measure sales while the tested variable is set up, and afterwards. Differences between the test- variable areas and the control areas are due to the effects of the test variable.

In practice, it is difficult to find test areas which resemble each other closely, and non-tested variables tend to alter during the test due to factors beyond the control of researchers.

As the above section highlights, organisations need market research to help inform the process of organisational decision-making. As well as being useful to product development, and sales and marketing teams, market research information can be used by the finance function in the preparation of budgets and forecasts. In the chapters, 'Evaluating and analysing performance and strategies' and 'Business planning and functional strategies,' consideration is given to the way in which the role of the finance function has evolved to become more than just a performance reporting mechanism, and increasingly acts as a business partner which can provide value adding insights to support decision- making at different levels within the organisation.

4 Branding and brand equity



Section overview

- Brands add value to products by making them recognisable and endowing them with associations attractive to the target segment.
- The ability of a brand to do this, to be the basis for future product launches, and to defend a product's market share against incursions makes a brand an asset because it generates future earnings.
- Although difficult to value precisely for balance sheet purposes it is conventional to describe this ability to create future value as brand equity.

4.1 Branding

Brands have three essential features:

- **Name**: This should be legally protected, memorable, and be consonant with the product itself if possible. The names of cosmetic brands like Obsession and Clinique do the latter well, whereas others like Estee Lauder and Helena Rubenstein as names say very little at all.

- **Livery**: Designs, trademarks, symbols, and a range of visual features which should make it identifiable. Brands like Apple and Coca Cola are very recognisable.
- **Associations and personality**: This helps a brand distinguish a company's product from competing products in the eyes of the user. Drinks like Bacardi Breezer are fun drinks whereas Chivas Regal has gravitas.

4.2 Branding policy

There are different branding policies that an organisation can adopt:

- **Single company name**: Examples of companies which use a single label on all products, and describe individual items in a more or less factual way include Apple, Samsung, Crosse & Blackwell and Heinz. This policy has several advantages; the attributes possessed by one product are transferred to another and new product launch is simplified because there is no need to build up new brand awareness (eg, Virgin and derivatives of easyJet).
- **Different brand names for each product**: This is where a company produces a number of products with significantly different positions in the market, or where the market is highly segmented, the brand strategy is often to use different brand names for each product. This policy is very common among manufacturers of soap powders, chocolate bars and breakfast cereals.
- **Own branding**: Many retailers sell grocery, clothing and hardware products under a brand name of their own to help create loyalty to the store rather than to the producer of the product.



Context example: Buzz scores

To support their brands many organisations actively use digital media technologies to create a 'buzz' around the products and services they sell. The creation of a 'buzz' is intended to generate an interest in the organisation's offering, with the intention of motivating potential customers to make a purchase. Organisations have become adept at capturing customer data to better understand the likely future purchasing patterns of individuals. For example, if an online streaming service understands what individual customers like to watch, then it can develop similar shows to get them to return and to extend their memberships.

The use of social media feeds and corporate Twitter accounts are increasingly used to highlight an organisation's latest offering, and crucially engage in two-way communications with the public. The ability to create a buzz affects the extent of brand awareness.

The YouGov BrandIndex (2019) website provides a 'buzz' ranking which lists those brands that members of the public claim to have been most aware of during a particular period of time. The YouGov BrandIndex collates the findings from six million brand awareness interviews across 27 countries.

Youtube, Netflix and Samsung claimed the top three places in the 2018 'buzz' ranking of the top 25 brands.

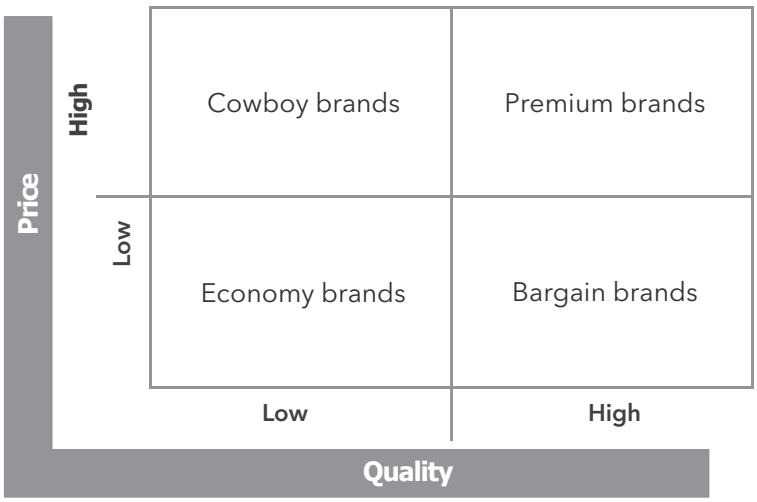
(**Source**: YouGov BrandIndex (2019) *Top Buzz Rankings*. [Online] Available from: https://www.brandindex.com/ranking/2018-buzz [Accessed 18 July 2023])

4.3 Brand positioning

A basic perceptual map can be uses to plot brands in perceived price and perceived quality terms.

- Cowboy brands – excessively priced brand for the quality of the product
- Premium brands – top of the range quality, but high-priced
- Bargain brands – good quality for a relatively low price
- Economy brands – cheap brands, low-priced and low quality

Figure 8.3: Brand positioning map



Price and quality are important elements in the marketing mix, but they will not, in the customer's opinion, be considered independent variables. A high price will usually be associated with high quality and equally low price with low quality. Thus, while everybody would like to buy a bargain brand, there is a problem to overcome. This is a question of belief: will customers accept that a high- quality product can be offered at a low price? A key question is whether the quality of the product is readily discernible by the consumer.

Professional skills focus: Concluding, recommending and communicating

Before recommending brand strategies it is important to understand the current position in the eyes of the consumer, in terms of perceived price and quality. You can then recommend appropriate strategies to re-position the brand, in line with the company's objectives and strategy.

4.4 Brand equity

Definition

Brand equity: An intangible asset that adds value to a business through positive associations made by the consumer between the brand and benefits to themselves.

- **Financial**: One way to measure brand equity is to determine the price premium that a brand commands over a generic product.
- **Brand extensions**: A successful brand can be used as a platform to launch related products. The benefits include raising brand awareness leading to reducing advertising expenditures and enhancing the core brand. These benefits are more difficult to quantify than are direct financial measures of brand equity.
- **Consumer-based**: A strong brand increases the consumer's attitude strength towards the product associated with the brand, leading to perceived quality, inferred attributes and eventually, brand loyalty.

The benefits of a strong brand equity include:

- A more predictable income stream
- Increased cash flow by increasing market share, reducing promotional costs and allowing premium pricing
- Having an asset that can be sold or leased
- Reduced marketing costs because of high brand awareness and loyalty
- More power in bargaining with distributors and retailers
- Higher prices accepted by the market because the brand has higher perceived quality
- Potential for launching extensions easily because the brand has high credibility
- Defence against price competition

5 Marketing mix

Section overview

- The marketing mix represents the tools marketers have to position products and to obtain sales.
- The traditional four Ps marketing mix was designed for tangible products and has been extended into the seven Ps to apply to service-based businesses.
- The seven Ps were introduced in Business, Technology and Finance. The key themes are recapped here.

Professional skills focus: Assimilating and using information

To perform well in the exam, you should tailor the marketing mix to the business in the question, using information provided in the scenario. Generic descriptions and discussions of the seven Ps in general terms will be awarded very few marks.

5.1 Seven marketing Ps

Definition

Marketing mix: The set of controllable marketing variables that a firm blends to produce the response it wants in the target market.

In the Business, Technology and Finance text, you were introduced to the seven Ps of the marketing mix (product, price, place, promotion, people, processes and physical evidence), the first four of which are primarily directed at tangible products. We recap this again here.

The tertiary sector of a developed economy will typically account for over half its economic activity. This is the service sector.

Services differ from products because of their intangibility and consequent need to provide reassurance to the customer through the visible aspects of service provision. This leads to the extended marketing mix for services and knowledge-based businesses, known as the seven Ps.

In practice, many manufacturing industries will pay attention to the service elements of their offering too as a form of differentiation eg, car makers will pay attention to the showroom and after-sales service to enhance their brands and fast-food providers likewise.

The three extra Ps with particular emphasis in service marketing are:

- **People**: The people working for an organisation often say more about that company than any product or service can. They must portray the values of that organisation whenever they contact customers – a restaurant could serve the finest food imaginable, but it counts for nothing if the waiter has poor personal hygiene. It is therefore important to recruit, train and retain the right people who embody the values and brand of a company. Artificial intelligence (AI) is increasingly used to filter applicants for jobs and to conduct initial assessments. Similarly, AI can be used to personalise training programmes to ensure that training is relevant and up-to-date for each employee.
- **Processes**: The way in which a good or service is delivered has an impact on the way in which customers perceive the organisation. Increasingly, many processes are automated, particularly for online businesses, with algorithms processing data and to provide insightful information and to improve efficiency and consistency.
- **Physical evidence**: The elements of 'marketing mix' which customers can actually see or experience when they use a service, and which contribute to the perceived quality of the service eg, the physical evidence of a retail bank could include the state of the branch premises, as well as the delivery of the banking service itself. For online services, physical evidence may include the design and layout of the website and the existence of AI powered chatbots and virtual assistants to handle customer queries.

5.2 Characteristics of service

A service can include a haircut, an audit, a theatre presentation, the processing of a financial transaction in a bank account or an insurance policy.

There are some basic characteristics of services that distinguish them from purely physical products:

- **Intangibility**: A service is not a physical thing. A bank transaction is performed for you, you have evidence that it has been achieved, but in itself it is what someone does for you.
- **Inseparability**: The delivery of the service occurs often at the same time it is consumed. You do not store a haircut for consumption later. The service is produced by the barber/hairdresser and consumed by you at the same time.
- **Heterogeneity/variability**: Many services face problems in ensuring a consistent standard. For example, the friendliness of flight attendants on an aircraft can affect your enjoyment of the service. This is also true of business services such as auditing or the offering of financial advice: regulatory bodies and the firms themselves go to great lengths to ensure there are procedures in place to ensure consistency. Interestingly though, the increasing use of intelligent systems and virtual assistants (as discussed in the chapter Strategic capability) may help to address issues relating to the consistency of service customers receive.
- **Perishability**: A service cannot be stored. You cannot store a haircut for later consumption.
- **Ownership**: Typically, a service rarely results in a transfer of ownership. The purchase of a service sometimes only confers the right to use something.



Context example: Disney

Disney theme parks are a good example of service delivery. The processes, including booking, queuing procedures at the attractions, operations of the attractions and design of the customers' walk through the park, are vital to its functioning. So too are the employees or the 'cast' as they are called; their job is to interact with customers.

Physical evidence is clear in the branding and thematic coherence as well as the existence of souvenirs to take away, photographs of the people enjoying the ride and so on.

Interactive question 2: Services marketing

2.1 Identify four differences between services and products, giving a practical example for each, and discuss the problems that these differences present to the marketer.

2.2 Identify the extended marketing mix which a small service company, such as a management consultancy, would need to consider when marketing its services.

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

In the Business Strategy and Technology exam, you should avoid describing the features of the marketing mix. Instead, you should use the features to help you identify a range of marketing opportunities that can help to add value to the organisation in the scenario.

5.3 The extended marketing mix

Mix element	Comment
Product	Quality of the product as perceived by the potential customer. This involves an assessment of the product's suitability for its stated purpose, its aesthetic factors, its durability, brand factors, size, packaging, associated services, etc.
Price	Includes prices to the customer, discount structures for the trade, promotion pricing, methods of purchase, alternatives to outright purchase.
Place	Distribution channels, location of outlets, online sales, position of warehouses, inventory levels, delivery frequency, geographic market definition, sales territory organisation, intermediaries and logistics between the producer and the end consumer.
Promotion	Covers the **communications mix** • Advertising (online and via social media) • Public relations • Personal selling • Sales promotions (eg, contests or limited special offers)
People	Staff appearance, service training, technical and technological knowledge, manner etc.
Processes	Efficiency of the service For example, the ease with which a well-designed online loan application form can be completed could be an important element in a bank's loan service.
Physical evidence	Items that give physical substance, such as logos, staff uniforms and store layout/design. However, the purpose of evidence is that a service is intangible: physical evidence enforces the idea by giving something to show for it.

Interactive question 3: Marketing mix

Indicate the main characteristics of marketing mixes which would be appropriate for the following:

Requirements

3.1 A large banking group

3.2 A company that manufactures electronic components for computer manufacturers

See **Answer** at the end of this chapter.

6 Product

Section overview

- **Products** are what the customer is physically buying and experiencing.
- Product strategy decides which features to add to a product, ranging from basic features to the augmented ones that may differentiate it from rivals.
- Online marketing and AI help organisations to further augment the product offering.
- New product development is a part of this process and is the product development strategy identified by Ansoff. It is expensive and risky and so needs to be justified.
- Developing products for global markets, and whether to adapt them to different country markets, is reviewed in connection with Ansoff's market development strategy.

6.1 Defining and classifying products

Marketers consider products not as things with features, but as packages of benefits that satisfy a variety of consumer needs.

Products cover offerings that fall into one of the following categories:

- **Goods** – something tangible (ie, something that is felt, tasted, heard, smelled or seen)
- **Services**

  Unlike goods, services are not stored; they are only available at the time of use, and the consistency of the benefit offered can vary from one purchaser to another (eg, not exactly the same hair cut each time).
- **Ideas**

  The marketer attempts to convince the customer to alter their behaviour or their perception in some way. Marketing ideas are often a solution put forth by non-profit groups or governments to get targeted groups to avoid or change certain behaviour.

6.2 Components of a product

The total product offering is made up of three main elements:

- **Basic** (or core) product, eg, a mobile phone – at the very heart of all product decisions is determining the key or core benefits a product will provide. From this decision, the rest of the product offering can be developed.

- **Actual** product, eg, the latest iPhone – while the consumable product is, in most cases, the most critical of all product decisions, the actual product includes many separate product decisions including product features and technologies, branding, packaging, labelling, and more.
- **Augmented** product – goods and services that provide additional value to the customer's purchase (eg the latest iPhone on a mobile contract, or an iPhone provided with insurance).

Buying products online enables companies to improve and customise the product offering. For example, the ability to deliver interactivity and more detailed information through the internet is the key to promoting the augmented product offering online.

Also, the buying process can be customised which contributes to the product offering, with companies able to offer ancillary products along with the main purchase at the initial point of sale. For example, EasyJet allows customers to book a flight, hotel and car hire at the same time, providing customers with an enhanced product.

Artificial intelligence (AI) further supports the augmented product offering with companies able to create more personalised products and algorithms recommending products to customers based on previous purchases and buying habits.

6.3 New product development

New product development (NPD) is a generic term which incorporates innovative products and modifications and improvements to existing products.

Not all NPD is blue-skies innovation.

	Novelty to customer	
Novelty to firm	**Low**	**High**
Low	Product refinement	Product repositioning
High	New product line	New to the world

The product development strategy of the company can:

- Develop new product features through adapting existing features.
- Create different quality versions of the product.
- Develop additional models and sizes.

Reasons for product development

- The firm has high relative share of the market, strong brand presence and enjoys distinctive competitive advantages in the market.
- There is growth potential in the market. (The Boston Consulting Group recommends companies invest in growth markets.)
- The changing needs of its customers demand new products. Continuous product innovation is often the only way to prevent product obsolescence.
- It needs to react to or incorporate technological developments.
- It needs to respond to competitive innovations in the market.

However, product development strategy carries considerable investment risk. A company typically has to develop many product ideas to produce one good one. Earlier in the Workbook we explored the growing role that crowdsourcing has started to play in business. Crowdsourcing used in conjunction with product development provides organisations with the opportunity to get feedback from groups such as customers on products and services. Feedback can be used as a way to suggest improvements to an organisation's offering, which

in turn may help to reduce the associated cost and effort of new product development. Despite the increase in the use of crowdsourcing, new product development is very costly. Furthermore, even when a product is successful it might still suffer a short life cycle with rivals quick to 'copycat' in the market, but with their own innovations and improvements.

6.4 Global products: Standardise versus adapt

Products can be classified according to their degree of potential for global marketing:

- Local products – seen as only suitable in one single market
- International products – seen as having extension potential into other markets
- Multinational products – products adapted to the perceived unique characteristics of national markets
- Global products – products designed to meet global segments

Factors encouraging standardisation	Factors encouraging adaptation
Economies of scale in production and marketing	**Differing usage conditions**. These may be due to climate, skills, level of literacy, culture or physical conditions.
Consumer mobility	**General market factors** – incomes, tastes, etc
Technology	**Government** – taxation, import quotas, non-tariff barriers, labelling, health requirements. Non-tariff barriers are an attempt, despite their supposed impartiality, at restricting or eliminating competition.
Image	**History**. Sometimes, as a result of colonialism, production facilities have been established overseas. Eastern and Southern Africa is littered with examples. These facilities have long been adapted to local conditions.
	Financial considerations. To maximise sales or profits, the organisation may have no choice but to adapt its products to local conditions.
	Pressure. Sometimes, suppliers are forced to adapt to the regulations imposed on them (eg, the EU) if they wish to enter into the market.

Options available to an organisation wishing to launch a product in a foreign market are as follows:

- Introduce the product without any changes.
- Alter the product to meet local conditions or preferences. The use of AI enables companies to create products suitable for different markets, and indeed personalised for individuals, by analysing customer data.
- Create brand new products to meet the needs and exclusive conditions of the market.

Whatever strategy is chosen, the organisation also needs to consider adjusting its marketing strategy to meet local needs.

7 Place

Section overview

- The aim of distribution is to position the product where the target consumer can readily access it whilst at the same time maximising the earning to the firm.
- There are many distribution channels available to firms and they are selected on complex grounds including support, margin and market position.
- Distributing to overseas markets involves similar channel selection decisions.
- The internet has revolutionised distribution channels with companies able to reach global audiences.

7.1 Distribution channel

Organisations need to decide on the best way of getting their products to the customer.

The distribution channels used by the organisation need to be consistent with its approach to price, product and promotion. The places where the product is available say a lot about its perceived quality and status. The channels of distribution must match the image of the product and the customer's perception of the product.

7.1.1 The role of the internet

The internet has significant implications for 'place' in the marketing mix, since it has a global reach, meaning that firms can now sell to a much wider geographical market than they have traditionally been able to. Furthermore, the internet is 'open' 24/7, meaning that customers can search for, and buy, products at their own convenience, rather than being constrained by the opening hours of a traditional shop.

The internet has also created new marketplaces and channel structures which affect the 'place' where online transactions take place. For example, when booking a holiday online, buyers and sellers interact directly, through companies such as Airbnb, rather than going through an intermediary such as a travel agent. Conversely, new online intermediaries have developed to replace traditional 'bricks and mortar' travel agents, such as Expedia which presents online customers with a range of suitable package holidays including flights, accommodation and car hire.

In order to improve website users' experience and increase engagement with this distribution channel, marketers can use **A/B testing**, also known as 'split testing.' Multiple versions of a website are created, each with slight variations, such as different layouts, colours or buttons. Internet traffic to the websites is split with equal numbers of users being directed to the original and new variations of the site. Feedback is gathered on metrics such as click and conversion rates to determine the impact of the changes on user engagement. The version that performs the best becomes the final website ensuring that it is as user friendly as possible. A/B testing can also be used in product design to test variants of a prototype before the final version is launched.

7.2 Points in the chain of distribution

Distribution functions are carried out through a **channel** of distribution which comprises all the institutions or people involved with the movement and exchange of products or services.

Retailers are traders operating outlets which sell directly to households. Retailers are increasingly using direct selling via the internet.

Wholesalers are intermediaries who stock a range of products from competing manufacturers to sell on to other organisations such as retailers.

Distributors and dealers are organisations which contract to buy a manufacturer's goods and sell them to customers. In addition to selling on the manufacturer's product, distributors often promote the products and provide after-sales service.

Agents purchase the manufacturer's goods but earn a commission on whatever sales they make.

Franchisees are independent organisations which in exchange for an initial fee and (usually) a share of sales revenue are allowed to trade under the name of a parent organisation. Examples include Ikea, McDonald's and some Starbucks shops.

Direct selling includes:

- Mail order
- Telephone selling
- Personal selling (consumer/industrial)
- Online shopping

7.3 The choice of distribution channel

Distribution channels fall into one of two categories: direct and indirect channels.

- **Direct distribution** means the product going directly from producer to consumer without the use of a specific intermediary. Direct distribution methods generally fall into two categories: those using online sales channels, and other channels such as the press, leaflets and telephones to invite response and purchase by the consumer, and those using a sales force to contact consumers face-to-face.
- **Indirect distribution** refers to systems of distribution which make use of an intermediary; a wholesaler, retailer or perhaps both.

  The rise of influencers on social media is a form of indirect distribution. Influencers act as intermediaries between brands and consumers and have loyal followings on social media platforms, enabling them to promote products or services. Many brands collaborate with influencers as part of their marketing strategy to reach their target market indirectly.

Considerations in developing efficient channels of distribution:

- The reach of the distributor
  Can they access the target markets?
- The degree of exclusivity that the channel will offer Will the firm's goods be sold side by side with rivals?
- The amount of support given by the channel
  It may be necessary for the channel to provide an efficient after-sales and repair service, or to agree to an immediate exchange of faulty products, advertising or sales promotion support.
- The economic costs of supplying such as number of delivery drops, the average order size and whether they can return unsold goods
- Support for combined promotions



Context example: Insurance

Before the internet many car insurance sales were made through brokers eg, the Automobile Association (AA) in the UK. With the internet there was the opportunity to sell direct eg, Direct Line, via call centres and for people to obtain quotes for insurance via the company's website.

The internet also led to the creation of online comparison sites (such as GoCompare, or Confused.com) which allow customers to review and compare products from a range of different companies.

7.4 Selling and distribution in overseas markets

There are a number of elements to consider when selling overseas. How the company's **sales presence** in export markets is organised is one of the key decisions.

Depending on the product, it may be sold directly. For example, over the internet or by exhibiting at local trade shows.

Many businesses look for a **partner** who already understands the local market. For example:

- They can sell to a **distributor** who then sells their products locally.
- They can use a **sales agent** who sells products on their behalf, or puts them into contact with potential customers on a commission basis.
- They can enter into a **joint venture** with a local business. This gives them a share of the management and profits of the joint venture, but is a more complicated and expensive option.

If an organisation wants complete control over sales, it can set up its own **local office**. This is the most expensive option.

8 Promotion

Section overview

- Promotion is more than advertising. It also involves public relations, personal selling and sales promotion. We consider the increasing use of social media as a means of promoting products and services along with the risks it brings in the chapter Strategies for information.
- Promotion does more than tell people the product and firm exist. It aims to influence the target customers' perceptions of the product so that they see it as a viable solution to their needs.
- Sales force selection, training and management are therefore as much part of this element of the mix as designing a poster.

8.1 Promotion mix

The promotion mix consists of four elements:

(a) **Advertising** – paid communications in the media (including online) which are designed to influence potential customers favourably regarding a company's products or services. Advertising is sometimes called above-the-line promotion.

(b) **Sales promotion** – non-media promotional activity aimed at increasing sales. Sales promotion includes a variety of techniques such as give-aways, competitions, trading stamps and exhibitions. It is sometimes called below-the-line promotion.

(c) **Public relations** – the creation of positive attitudes regarding products, services, or companies by various means, including unpaid media coverage and involvement with community activities.

(d) **Personal selling** – the techniques by which a sales force makes contact with potential customers.

The promotional mix is often described in terms of push and pull effects.

- A **pull effect** is when consumers ask for the brand by name, for example because they have been given a money-off coupon or offered a free gift.
- The demand from the consumer then induces retailers or distributors to stock up with the company's goods.

- A **push effect** is targeted on getting the company's goods into the distribution network. This could, for example, be by giving a special discount on volume or as a sales incentive to ensure that wholesalers and retail customers stock up with products that the company is promoting.

8.2 Sales promotion

Sales promotions are those marketing activities other than personal selling, advertising and publicity, that stimulate consumer purchasing and dealer effectiveness, such as displays, shows and exhibitions, demonstrations and various non-recurrent selling efforts not in the ordinary routine.

Examples of sales promotion activities are:

- Coupons to be redeemed against purchase or free gifts
- Promotions directed to distributors such as 'listing allowances' paid by consumer goods firms to stores so that they will stock the good, or volume bonuses to car dealers
- Sales force promotions aimed at motivating the sales force to sell more (might include contests)
- Influencer giveaways and contests on social media

8.3 Advertising

Advertising is an explicit invitation to buy the offering. It also seeks to reinforce the positioning of the product; for example, for nearly 100 years until 2022, UK department store, John Lewis, advertised its products with the tagline 'never knowingly undersold,' which reinforced the company's brand image of quality and ethical trading. Advertising is often classed under one of three headings:

- **Informative advertising** – conveying information and raising consumer awareness of the product. Common in the early stages of the product lifecycle or after modification to the product.
- **Persuasive advertising** – concerned with creating a desire for the product and stimulating actual purchase. Used for well-established products, often in the growth/maturity stages of the product life cycle. The most competitive form of advertising.
- **Reminder advertising** – reminding consumers about the product or organisation, reinforcing the knowledge held by potential consumers and reminding existing consumers of the benefits they are receiving from their purchase.

8.3.1 The objectives of advertising

The objectives of an advertising campaign will vary from organisation to organisation, but are likely to include:

- Communicating information about a product
- Creating an awareness among consumers of new products
- Highlighting specific features of a product such as the product's unique selling proposition (USP)
- Increasing sales and profits (or increasing donations in the case of non-profit making organisations)

8.3.2 Advertising media

The principal media are:

- **Television**

  This is developing into a targeted media as channels multiply with digital TV and viewers reveal product preferences through interactive TV such as responding to interactive polls.

- **Newspapers and magazines**

  Magazines in particular are targeted at specific customer groups.
- **Commercial radio**
- **Internet**

  This is via websites, including social media platforms and influencers, promotion on search engines, and paying for banner advertising on associated websites. Targeted advertising, using AI to analyse customer behaviour and preferences, allows companies to deliver personalised adverts.
- **Posters**
- **Direct mail**



Context example: Influencer marketing

According to a survey by SproutSocial (2023), 81% of US-based social marketers consider influencer marketing to be an essential part of their social media strategy. There are a range of approaches to influencer marketing campaigns but all are partnerships that allow an organisation to promote sales and build brand awareness. The different types of campaigns are:

- ***Giveaways and contests** – these help to increase engagement and promote the brand widely, with the influencer describing how to enter the contest eg, sharing a post with a certain number of people, completing a social media challenge.*
- ***Product collaborations** – 62% of marketers utilise this approach to create hype and excitement around a product launch eg, unboxing videos, product reviews and pre-release content. For example, a beauty influencer may be sent a skincare set and does a review of each product on YouTube.*
- ***Affiliate influencer campaigns** – the influencer promotes a product/service, sharing a link or code with followers. The influencer then earns a share of the profits when their followers buy the product/service. This approach is adopted by 57% of marketers in the SproutSocial survey (2023). An affiliate marketing influencer may also be a brand ambassador promoting a brand's product or service. For example, Gymshark uses brand ambassadors, known as Gymshark Athletes, to show their latest clothing purchases and share discount codes.*
- ***Sponsored posts** – these posts (denoted by a hashtag such as #brandname) appear on influencers' social media accounts and the brand pays the influencer for this promotion.*

  *(**Source**: SproutSocial (2023) 7 examples of influencer marketing campaigns. [Online] Available from: https://sproutsocial.com/insights/influencer-marketing-examples/ [Accessed 9 May 2024])*

8.4 Public relations

Public relations has the aim of earning understanding and support and influencing opinion and behaviour (eg, through corporate sponsorship). It is the planned and sustained effort to establish and maintain goodwill and mutual understanding between an organisation and the public. PR activities, such as press releases, are often part of an organisation's response during times of crisis management.

PR encompasses more than customers. It seeks to help the firm build relationships with:

- Customers
- Consumers
- Employees
- Influencers (such as government, regulators and investment advisers)
- Investors

- Suppliers
- Potential employees

8.5 Personal selling

The sales force engages in personal one-to-one selling, as compared with the non-personal activities of advertising and sales promotion. It will include the activities of:

- Delivery and repair staff who may also sell service agreements and upgrades
- Sales staff within the premises of the sales organisation
- Travelling sales representatives
- Call centre staff

Interactive question 4: Canal Cruises

Canal Cruises Ltd is 60% owned by Captain Salmon. The company has 60 narrow boats and is located just off a major boating canal in Southern England. There are 20 boats of each of the following lengths, 30ft, 50ft and 70ft. Boats are hired to families and parties of people during the cruising season, which is April to October.

The narrow boats are regarded generally as being of high quality and their hire charge reflects this. All boats have a microwave, stereo, Wi-Fi and a HD-TV on board. The boats are currently advertised in the Waterways World magazine and website.

Recently Canal Cruises has been approached by the directors of Welsh Cruisers Ltd who wish to sell their business. Welsh Cruisers Ltd is located on the largest boating canal in Wales and has 30 narrow boats. The boats are of a much lower quality than those of Canal Cruises and over recent years less than half of the boats have been hired out at any one time during the season.

Prepare briefing notes for Captain Salmon covering the following areas.

Requirements

4.1 Assuming that Welsh Cruisers is to be acquired and using Ansoff's matrix, comment on the marketing strategies which the company can now pursue, and state with reasons that which you would recommend.

4.2 Suggest how the company may go about promoting the newly-acquired Welsh Cruisers and increase the number of boats hired.

See **Answer** at the end of this chapter.

9 Price

Section overview

- Pricing affects sales revenues and profits through affecting margin and volumes.
- Prices should be set with regard to **costs**, **customers** and **competitors**: the three Cs.
- The sensitivity of volumes of demand and total earnings to price changes is assessed using the economic principles of the price elasticity of demand. The concept of price elasticity of demand was introduced during your Business, Technology and Finance studies.
- Although revenues must exceed costs so that a profit can be made it will be shown that basing price solely on costs is likely to be suboptimal.
- Basing prices on customer perceptions of value will establish the maximum prices that can

be charged to a customer, but tends to overlook competition which may put a lower ceiling on maximum price.

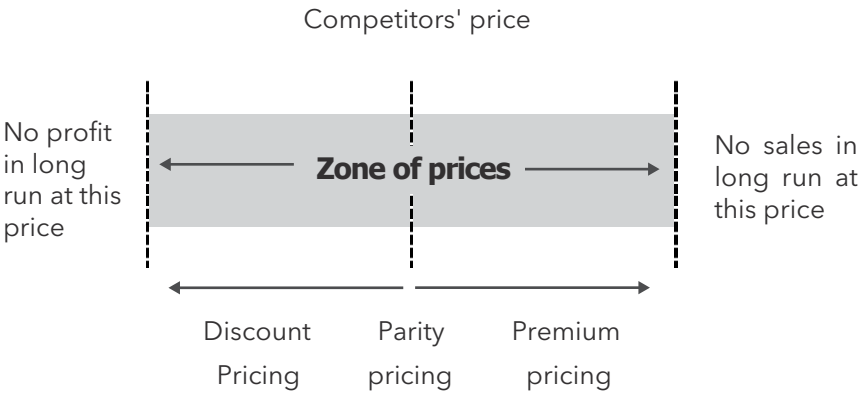
- The internet and AI are changing pricing models to reflect real-time customer behaviour through dynamic pricing.

9.1 Principles of pricing – the three Cs

Kotler presents the pricing decision as a balance between three Cs

- Costs
- Customers
- Competitors

Figure 8.4: Pricing policies



Prices must be supported by the remaining elements of the marketing mix. The ability of a firm to charge more than competitors depends on the ability to create differentiation.

A fourth C is corporate objectives.

Corporate objectives

Possible pricing objectives are:

- To maximise profits using demand, elasticity and cost information – the assumed objective in economic theory
- To achieve a target return on investment (ROI or ROCE) This results in a cost-based approach.
- To achieve a target revenue figure (eg, sales maximisation below)
- To achieve a target market share (eg, using penetration pricing – see below)
- To match the competition, rather than lead the market where the market is very price sensitive

9.2 Price elasticity of demand

Economics states that the market demand for a good will increase as the price falls.

Definition

Price elasticity of demand: Measures how far demand for a good will change in response to a change in its price.

$$PED = \frac{\text{Change in quantity demanded, as a \% of original demand}}{\text{Change in price, as a \% of original price}}$$

The price elasticity of demand is used in pricing decisions to:

- forecast the impact on revenues of a change in the selling price; and
- forecast the impact on sales volumes of a change in the selling price.

PED less than 1 = inelastic demand

Demand inelasticity above zero means an increase in price will result in a smaller percentage fall in quantity demanded, thus total expenditure by customers will rise.

PED more than 1 = elastic demand

When demand is elastic, an increase in price will result in a larger percentage fall in the quantity demanded such that total expenditure by customers will fall.

PED = 1 = unit elasticity

With unit elasticity, expenditure by customers will stay constant given a change in price.

9.2.1 Positive and negative price elasticities of demand

Since demand usually increases when the price falls, and decreases when the price rises, elasticity usually has a negative value. It is usual to ignore the minus sign, therefore, but note that there are types of goods where elasticity is actually positive, and the demand curve is upward sloping. These are known as Giffen or Veblen goods.



Definition

Giffen goods: Are consumed more as the price increases, effectively reversing the law of demand. Giffen goods are generally inferior goods without any clear substitute.

Scottish statistician, Sir Robert Giffen (1837–1910), observed that as the price of staple foods such as bread increased, the disposable income of poor families fell. With less money to spend on luxury foodstuffs such as meat they were forced to buy more bread to supplement their diet, despite the higher price.



Definition

Veblen goods: Demand for the good rises as price increases due to consumer perception that a higher price reflects better quality. It is also argued that a higher price may make a product desirable as a status symbol. Veblen goods are generally luxury or designer products.

9.2.2 Price elasticity of demand and sales revenue

Consider the following demand schedule which shows the effect of the price of this good on sales revenue the firm receives. The schedule shows the demand for a normal good with a downward sloping demand curve.

Price	Quantity demand	Total revenue
£10	50	£500
£5	150	£750

In this example, the lower price permits a higher sales revenue to be obtained. This is because the fall in price has led to a significant rise in the volume of demand. Demand would be said to be **elastic**.

If at a price of £5 only 80 units were sold, then changing the price from £10 to £5 would mean that total revenue would fall from £500 to £400, and demand would be said to be **inelastic**.

(a) When demand is **elastic**, a change in price will lead to a change in total revenue in the opposite direction.

  (1) If the price is lowered, total sales revenue would rise, because of the large increase in the volume demanded. This is the case in the example above.

  (2) If the price is raised, total sales revenue would fall because of the large fall the volume in demanded.

(b) When demand is **inelastic**, total revenue moves in the same direction as the change in price.

  (1) If the price is lowered, total sales revenue would fall, because the increase in sales volume would be too small to compensate for the price reduction.

  (2) If the price is raised, total sales revenue would go up in spite of the small drop in sales quantities.

  Information on price elasticity therefore indicates how consumers can be expected to respond to different prices.

9.2.3 Price elasticity of demand and sales volume

Management need to forecast the effects of changes in price on sales volume in two situations:

- Production planning: The level of production will need to be changed to avoid shortages, if the price is cut, or unsold stocks and slack capacity, if the price is raised.
- Rationing demand: Where capacity is fixed and in excess demand the price can be raised to reduce the demand.

9.2.4 Influences on price sensitivity of demand

Price elasticity of demand is a measure of the price sensitivity of customers for a good.

Main influences making demand insensitive to price (ie, making demand price inelastic) are:

- The product is regarded as a necessity by buyers (eg, cigarettes).
- There are few close alternatives available from competitors (ie, a lack of **substitutes**).
- The product is highly differentiated and so the customer is brand loyal and will not switch even if prices rises.
- The time since the price changed is short. Therefore customers have not had a chance to notice the price change or to source alternatives.
- The price of the product is insignificant as a proportion of total spending.

9.3 Price discrimination



Definition

Price discrimination: Sometimes also referred to as differential pricing, involves setting different prices for a similar product in different parts of the market.

The economic principle behind not setting the same price for all is that it may be lower than the keenest (price inelastic demand) customer segments would pay, and so lose revenue, but also too high for less keen (price elastic demand) segments and so lose volumes. Charging high prices to the former and low prices to the latter will maximise revenues.

To be successful however, there must be:

- Different elasticities in different markets
- Little 'leakage' between the markets where there are different prices, so separation is maintained

With the prevalence of online sales, the internet allows consumers in different markets to easily compare prices, so it becomes harder to maintain this separation.

Different methods of differential pricing are:

- **Market segment**: In many countries in the world, there are discounts for students and young people for certain products and services (eg, cinema tickets, rail travel).
- **Product version**: Many car models have 'add on' extras which enable one brand to appeal to a wider cross-section of customers. Final price need not reflect the cost price of the add on extras directly: usually the top of the range model carries a price much in excess of the cost of provision of the extras, as a prestige appeal.
- **Place**: Theatre seats are usually sold according to their location so that patrons pay different prices for the same performance according to the seat type they occupy.
- **Time**: Hotel prices vary according to season. These are all attempts to increase sales revenue by covering variable but not necessarily average cost of provision.
- **Dynamic pricing**: The price of the product varies according to present levels of demand compared with normal demand patterns. AI algorithms analyse current market conditions, competitor pricing, and demand fluctuations in order to adjust prices dynamically, responding to real-time change and optimising revenue. For example, budget airlines will initially set the prices of a future flight low and AI computer programs will track cumulative sales volume so that, if demand rises more sharply than normal, the price will be increased.

9.4 New product pricing: Market penetration and market skimming

Market penetration pricing is a policy of low prices when the product is first launched to gain sufficient penetration into the market. It is therefore a policy of sacrificing short-term profits in the interests of long-term profits.

- The firm wishes to **discourage rivals** from entering the market.
- The firm wishes to **shorten the initial period of the product's life cycle**, to enter the growth and maturity stages as quickly as possible. (This would happen if there is high elasticity of demand for the product.)

Market skimming: The aim of market skimming is to gain high unit profits very early on in the product's life.

- The firm charges high prices when a product is first launched (eg, a popular new book may first be published in hardback format, then only later in paperback).
- The firm spends heavily on advertising and sales promotion to win customers.
- As the product moves into the later stages of its life cycle (growth, maturity and decline) progressively lower prices will be charged. The profit is skimmed off in progressive stages until sales can only be sustained at lower prices (eg, newly released smartphones and computer games are launched at high prices initially, then the prices are lowered subsequently).
- The firm may lower its prices to attract more price-elastic segments of the market; however, these price reductions will be gradual. Alternatively, the entry of competitors into the market may make price reductions inevitable.

9.5 Prices and costs

With the exception of some not-for-profit organisations all organisations will require that in the long run sales revenues should exceed costs.

Therefore management often seek to set prices of each product on the basis of its costs to achieve a **mark-up** on the costs to attempt to earn a profit.
These approaches were covered in your earlier studies. Briefly they are:

- **Marginal cost based**: The price is set as a mark-up on the variable costs of the product to give a contribution. This contribution should be sufficient to cover overheads with an additional amount for profit.
- **Full cost based**: The overheads are allocated to the product, eg, by absorption costing, and a mark-up added to this representing the profit.
- **Target return based**: The full cost is increased by an amount representing the rate of profit required on the assets used to make the product.

Basing price on costs may have several advantages:

- **Simplicity of operation for distributors**: Stores with thousands of lines of stock and frequent changes will simply set mark-ups for each product class.
- **Control of sales discounting**: Sales teams and distributors will be aware of the mark-up (more likely **margin** ie, percentage of full sales price that represents profit) and will ensure they do not drop price to uneconomic levels to win a sale.
- **Ease of budgeting**: Systems of standard costing and budgetary control require that prices and costs be forecast more than a year in advance. It is easier to make assumptions based on costs and then use variance analysis and reporting to deal with exceptions.
- **Conformity with contracts**: An increasing number of commercial partnerships have followed state procurement methods of cost-plus contracts to ensure fair but not excessive profits for suppliers. Often the supplier is required to offer **open book accounting** so that partners can verify this.

The problems of cost-based pricing are that it:

- **Ignores the effect of prices on volumes**: Most estimates of costs assume a forecast (standard) level of production. If this results in an excessive price then the firm will either not achieve these volumes, and so not recover fixed overheads, or it will suffer the costs of an increasing inventory of unsold goods. In both cases profits would be reduced.
- **Ignores the effect of volumes on costs**: Stimulating demand by accepting low prices and margins on initial production may enable a firm to gain economies of scale over time and also to access a much larger market.
- **Is useless for very high fixed cost industries**: Where variable cost per customer served is low or zero (eg, television broadcasting, cinemas, sports grounds and festivals, hotels), the objective of pricing must be to maximise sales revenue. This can only be accomplished by referring to the demand schedule and price elasticity of demand, and not by reference to costs.
- **May not suit positioning of the product**: Successful differentiation will increase potential prices without increasing costs in the same proportion. There is a danger the firm could undersell its product and reduce profits.
- **Ignores competitive conditions**: Where a product is sold in several markets, margins should vary. In less competitive markets margins can be higher, but lower in more competitive markets. Having the same price in all markets is unlikely to maximise profits (see differential pricing above).
- **Does not consider the implications for sales of other products made by the firm**: Selling some products at low or negative margins may generate sales of associated purchases (a so-called **loss leader** approach).
- **Inherent problems in assessing costs**: The approach will focus on production costs and allocate other costs as overheads. The methods of attributing costs to products may not be sensitive enough and hence lead to some potentially profitable products to be priced out of the market.

- **Invites poor cost control**: Increasing costs will be passed on as higher prices resulting in less sales and revenues.

  In practice, cost-based prices are taken as the starting point for prices but these are then adjusted for considerations of strategic advantage, competition etc, by the management of the firm or by the sales team in the field.

9.6 Basing prices on customer perceptions of value

Effective sales teams are able to negotiate prices to obtain the maximum price the customer is willing to pay. However setting list prices and deciding pricing points for product ranges requires a more general approach.

Recall the three Cs (costs, customers, competitors) above. Prices should be set according to the perceived value differences between the product and its rivals.

Methods include:

- **Going rate approach**: Where the product is being launched into an established market, the existing market prices are taken as a ready guide to value. A firm launching a new chocolate bar would place its price close to the price of the most similarly positioned product. A house builder would look at the prices of similar established properties in the area.
- **Product comparison approach**: Show a panel of target customers two products: a benchmark product which already has an established market price; and the new product for which a price is needed. Let the panel tell you how much more (or less) they would pay for the new product compared to the old.
- **Factor pricing approach**: Some of the augmented features of a product can have known price potential, eg, car manufacturers can assess the price premium gained by having an automatic gearbox, sports styling kit, additional seating etc. Once the price of the basic car is set, the prices of the higher specification versions can be established by adding up the prices of the extra features.
- **Economic value to customer approach**: Some products are bought for the value they give. In business-to-business marketing the price a supplier charges for its products must take account of the price that can be achieved for the finished product. Fleet cars may be sold at a premium if the supplier can show better residual values or lower running costs. In consumer markets prices may be increased to cover the benefits of interest free credit or extended warranties.

9.7 Special pricing decisions

- **Promotional prices** are short-term price reductions or price offers which are intended to attract an increase in sales volume. (The increase is usually short-term for the duration of the offer, which does not appear to create any substantial new customer loyalty.) Loss leaders and money off coupons are a form of promotional pricing.
- **Everyday low prices** is a response to customer cynicism about many of the promotional prices being in fact the right price after highly promoted reductions to an artificially inflated price. Firms will maintain low prices on a number of benchmark products to restore customers' faith.
- **Product line pricing** refers to the situation where a firm produces ranges of products of different sizes and qualities. It is essential that appropriate **price differentials** be maintained to stop one product underselling another, say a smaller high specification car robbing customers from a larger low specification one, but also close enough to allow sales teams to trade some customers up to higher value versions.
- **Captive product pricing** refers to the situation where prices of accessories can be inflated because the customer already has the basic product. Examples include ink cartridges for printers, spares for cars, drinks and desserts in a restaurant selling an attractively-priced

main product. In these situations the pricing decision is taken to maximise the total earnings from the customer, sometimes over a number of years, rather than the earnings from each particular product.

- **Predatory pricing** describes artificially low prices designed to drive competitors out of the market. In many countries this is regarded as an illegal anti-competitive action and the authorities will scrutinise the costs of the supplier in relation to the price to establish whether the margin being achieved is realistic or deliberately low. In cross-border trade this would be called **dumping**.

Interactive question 5: Pricing methods

The managing director of a small manufacturing company, specialising in industrial packaging tape, is worried that the cost-plus pricing method currently used is not necessarily the most appropriate.
They ask you to provide a memorandum that:

Requirements

5.1 Explains the role and importance of pricing to the marketing effort.

5.2 Suggests and explains the differences in both competitor-based methods and demand/market- based methods which could be considered as alternatives.

See **Answer** at the end of this chapter.

Pricing Analysis

- ***Cost-Based Pricing**: Ensures coverage of production and overhead but risks ignoring customer perception.*
- ***Value-Based Pricing**: Focuses on customer willingness to pay, often yielding higher margins when differentiation is strong.*
- ***Dynamic Pricing**: Adjusts in real time based on demand, seasonality, or competitor moves (common in airlines, e-commerce).*
- ***Competitor Benchmarking**: Regularly compare against rivals to avoid overpricing or underpricing. Tools and analytics platforms automate this process for accuracy.*

Positioning Evaluation

- ***Price Positioning**: Determines whether the product is perceived as premium, mid-market, or budget. Misalignment can erode brand equity.*
- ***Differentiation Strategy**: Positioning should highlight unique features (quality, innovation, service) that justify pricing.*
- ***Customer Segmentation**: Different segments perceive value differently; premium buyers may prioritize exclusivity, while mass-market buyers focus on affordability.*

Market Data Integration

- ***Demand Trends**: Use market research to identify growth segments and adjust pricing accordingly.*
- ***Elasticity Analysis**: Measure how sensitive customers are to price changes; high elasticity requires cautious increases.*

- ***Competitive Landscape**: Track rivals' promotions, bundling, and loyalty programs to anticipate shifts.*
- ***Performance Metrics**: Revenue growth, market share, and customer acquisition costs are key indicators of strategic effectiveness.*

Strategic Effectiveness Framework

Dimension	Key Question	Indicators of Effectiveness
Pricing	*Does pricing maximize profit while staying competitive?*	*Margin growth, elasticity response*
Positioning	*Is the product clearly differentiated in the market?*	*Brand perception, customer loyalty*
Market Data	*Are decisions based on accurate, timely insights?*	*Market share trends, competitor benchmarking*
Stakeholder Fit	*Do strategies meet investor, customer, and regulatory expectations?*	*ROI, compliance, satisfaction scores*

Risks & Trade-Offs

- ***Overpricing**: Can alienate price-sensitive segments.*
- ***Underpricing**: Risks eroding profitability and brand prestige.*
- ***Data Misinterpretation**: Poor analytics can lead to misguided strategic shifts.*
- ***Competitor Reaction**: Aggressive pricing moves may trigger price wars.*

10 Relationship marketing

Section overview

- Repetitive purchases of a product create the potential for the firm to build a relationship with the customer.
- This leads to a distinction between transactions marketing, which sees product sales as a sequence of independent sales, and relationship marketing under which a transaction is another chance to maintain and deepen the relationship with the client.
- The change in focus has been driven by improvements in information technology and the use of algorithms and AI, which enable better tracking of customers. There is also a need to retain and increase spend per customer in mature markets where winning new customers is an expensive *nil sum* game for the industry.

10.1 Transactions marketing and relationship marketing

Many marketers say that the marketing mix does not cross product/service boundaries whereas customers do. Customers expect firms to be consistent in how they treat them.

The regular client of a sandwich bar, railway station or hotel will perceive that they have a relationship with the firm. However to its staff the customer is just another transaction in a busy day. This disparity in perception can lead to difficulties when the customer believes their relationship has been breached by some action of staff.

Definitions

Transactions marketing: A management approach that focuses on the product, and develops marketing mixes for a product according to the needs customers satisfy when they buy it.

Relationship marketing: Management process that seeks to attract, maintain and enhance customer relationships by focusing on the whole satisfaction experienced by the customer when dealing with the firm.

The key characteristics of relationship marketing are:

- Every customer is considered an individual person or unit.
- Activities of the company or organisation are predominantly directed towards existing customers.
- It is based on interactions and dialogues.
- The company or organisation is trying to achieve profitability through the decrease of customer turnover and the strengthening of customer relationships.

10.2 Developing relationship marketing

Building up customer relationships requires a change of focus from the 'transaction-based approach' to the relationship approach. The contrast is shown in the following table.

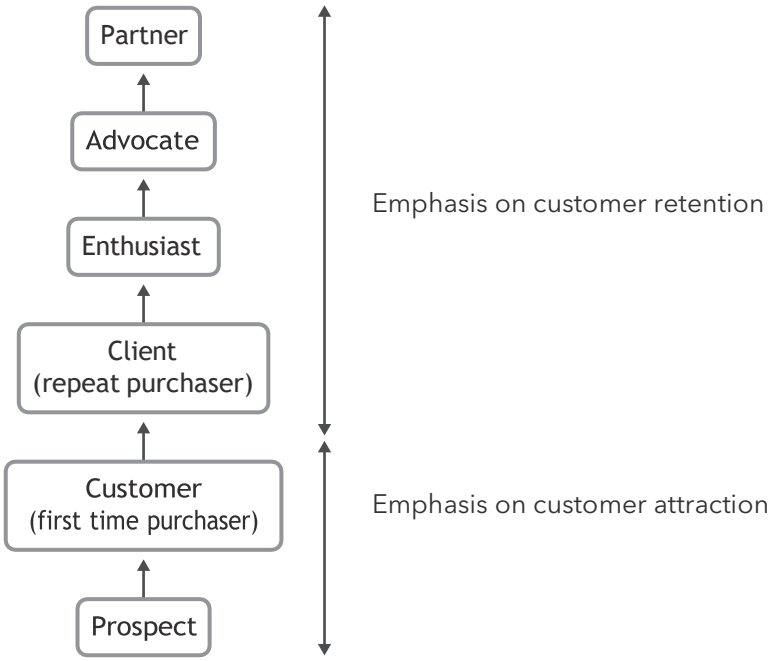
Transaction marketing (mainly one-way communication)	Relationship marketing (mainly two-way communication)
Focus on single sale	Focus on customer retention
Orientation on product features	Orientation on product benefits
Short time scale	Long time scale
Little customer service	High customer service
Limited customer commitment	High customer commitment
Moderate customer contact	High customer contact
Quality is the concern of production	Quality is the concern of all

Instead of one-way communication aimed solely at gaining a sale, it is necessary to develop an effective two-way communication process to turn a prospect into a lifetime advocate.

Payne shows this as a **relationship marketing ladder**. Only repeated good experiences of dealings with the firm will lead to a customer turning from a client into someone willing to tell others they should be buying from us. This is not uncommon in consumer markets such as automobiles, hairdressing, financial services etc.

Partners are principally found in business-to-business marketing and refers to situations where trust has grown to the point that our customers will seek to tailor their business to us and not to seek alternative suppliers. The exchange of technical information and consultation of design that goes between a major airline and an engine manufacturer is an example of this.

Figure 8.5: Relationship marketing ladder



Stronger bonds to build loyalty and retention can be developed by:

- Loyalty schemes (eg, supermarket loyalty cards, frequent flier schemes, company clubs)
- Personalisation programmes (eg, Amazon suggesting films etc, which suit returning customers)
- Structural ties (eg, providing customers with computer equipment to manage orders)

Relationship marketing has grown in response to several factors:

- **The increasing cost of attracting new customers**: It costs more to win new customers than to keep old ones. In mature markets encouraging customers to switch mobile telephone provider, credit card or home loan involves the firm in giving significant incentives which are readily matched and so the offer has to be raised.
- **Marketing strategies based on product development**: Stores, utility providers and media owners seek to expand by selling wider ranges of products to their existing customers. Therefore the customer may deal with several parts of the business at once. A bad experience with one part could collapse sales in the rest.
- **Increased capabilities of information technology**: Common databases, data analytics software and AI tools used by organisations allow customer data relating to past dealings and current transactions to be captured. These applications are an important element in **customer relationship management** (CRM).

10.2.1 Links to value chain and value system

Relationship marketing is a refocus of the traditional marketing approach, with a greater emphasis being placed on the creation of customer value. This requires a detailed understanding of the customer's value chain and an ability to identify whereabouts in that chain the opportunities for enhancing value arise.

Interactive question 6: Branding and relationship marketing

Your client is a large automobile manufacturer.

Requirements

Explain the concept and importance of branding to the company.

Explain the way in which relationship marketing can be used by the company to attract and retain its customers.

See **Answer** at the end of this chapter.

11 Marketing and ethics

Section overview

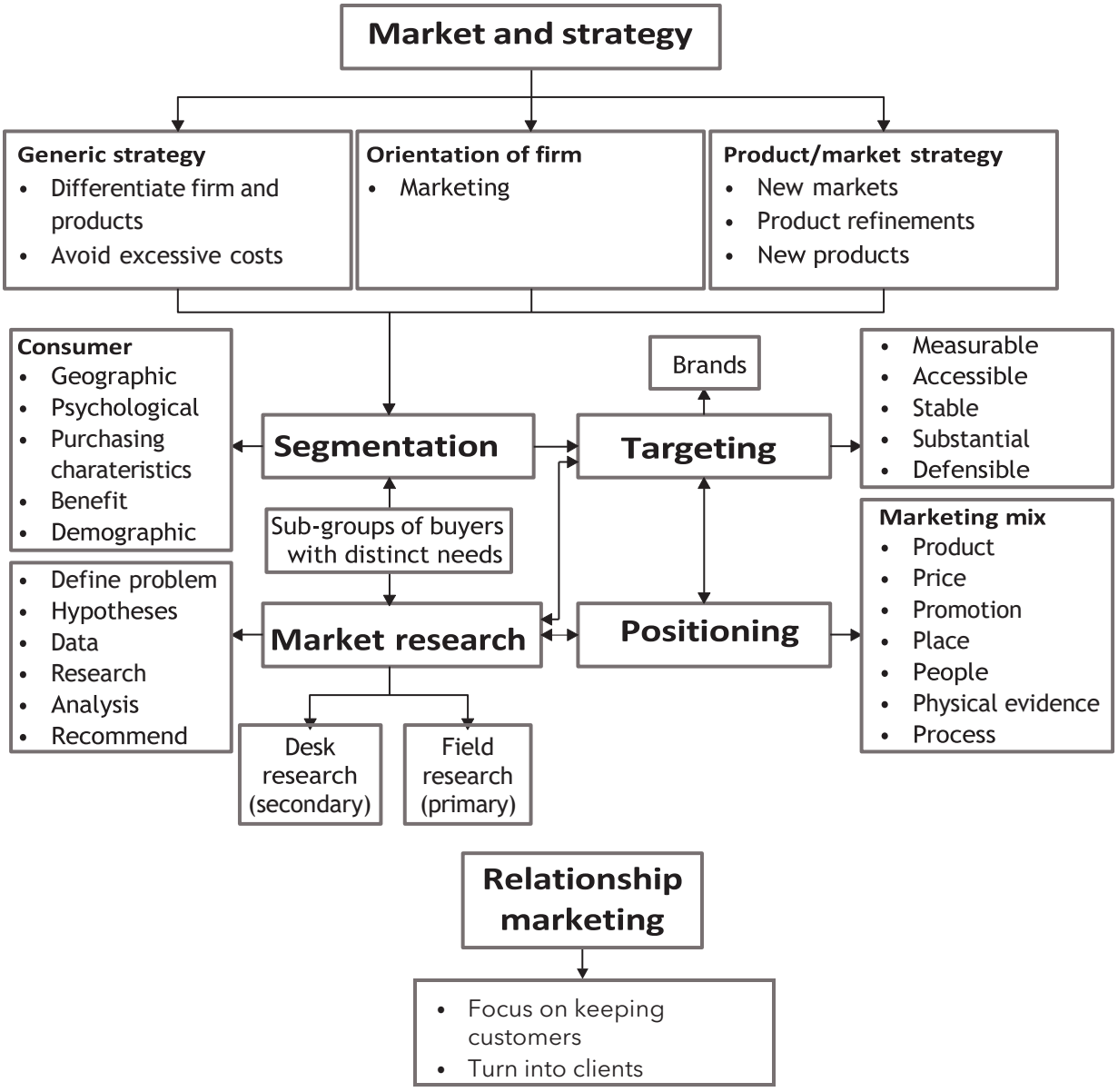
- The way that marketing is carried out may raise ethical concerns.

The way that marketing is carried out may raise ethical concerns. Ethical issues begin with questioning whether marketing exists to sell people things they don't need and so wastes resources and causes envy and dissatisfaction. The nature of products, the means by which they are promoted, the level of prices and the selective way they are made available are also ethical issues. There is also the key ethical question of honesty in marketing. These issues are examined in more detail in the chapter, 'Ethics, sustainability and ESG.'

Professional skills focus: Applying judgement

The activity of encouraging customers to buy products can raise serious ethical concerns. When advising on marketing strategies, be sure to appraise any ESG or ethical issues associated with the marketing effort.

Summary


Market and strategy
Generic strategy
• Differentiate firm and products
• Avoid excessive costs
Orientation of firm
• Marketing
Product/market strategy
• New markets
• Product refinements
• New products
Consumer
• Geographic
• Psychological
• Purchasing charateristics
• Benefit
• Demographic
Segmentation
Brands
Targeting
• Measurable
• Accessible
• Stable
• Substantial
• Defensible
Sub-groups of buyers with distinct needs
Marketing mix
• Product
• Price
• Promotion
• Place
• People
• Physical evidence
• Process
• Define problem
• Hypotheses
• Data
• Research
• Analysis
• Recommend
Market research
Positioning
Desk research (secondary)
Field research (primary)
Relationship marketing
• Focus on keeping customers
• Turn into clients

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
1.	What is the difference between market segmentation, targeting and positioning? (Topic 2)
2.	Do you know what the benefits of strong brand equity are? (Topic 4)
3.	Do you know the features of the extended marketing mix? (Topic 5)
4.	What are the four elements of the promotion mix? (Topic 8)
5.	What are the key influences on pricing strategies? (Topic 9)
6.	How does relationship marketing differ from transactions marketing? (Topic 10)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
2	This question asks you to evaluate the usefulness of demographic segmentation in the car industry. You should always aim for a balanced argument – consider points in favour and against demographic segmentation.
6	This is a knowledge-based question, looking at the importance of a brand name to purchasers and manufacturers.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Jacmel Products (March 2018)	Part 2 of the question examines two marketing concepts; the factors to be taken into consideration when doing market research and how to develop a marketing mix for the organisation. Avoid writing generic answers but instead apply them to the question scenario.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 What types of segmentation would a paint manufacturer segmenting the market in paint sold to other businesses use?

2 Why might demographic segmentation by itself not be a successful basis for car manufacturers targeting their customers?

3 Explain briefly market segmentation and market targeting, and the relationship between the two.

4 Describe, with examples, two ways in which a market can be segmented.

5 Give four differences between industrial and consumer markets.

6 Why is a brand name important to the following?

a) Purchasers

b) Manufacturers

7 Briefly describe the four elements of the promotion mix.

8 Give two reasons why most consumer goods manufacturers choose not to distribute and sell their goods directly to the public.

9 Describe the use of targeting in marketing planning.

10 Show the marketing implications for two of the service characteristics.

11 Complete the table below describing the different relationships with a customer or client.

Relationship	Description
Partner	
Advocate	
Supporter	
Client	
Purchaser	
Prospect	

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

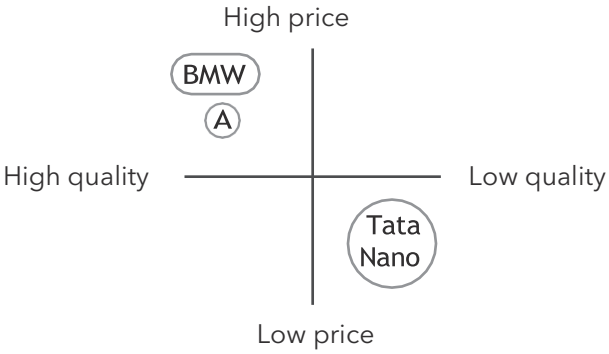
Answer to Interactive question 1

Positioning and targeting

Product positioning is a technique which carefully targets various product attributes of the (chosen) market segments.

Various factors of the product can be considered (eg, quality and price) and the company can in this way decide how to position its product. This will also help to focus on the competition and on what Rex will have to develop if it is to be successful.

Considering quality and price, this might be represented as follows:



BMWs are regarded as high-quality expensive cars; the Tata Nano, was branded as the 'world's cheapest car' (production ceased in 2018), it was regarded as a lower profit inexpensive vehicle. By focusing on the products in this way Rex Ltd can decide where it wants to position itself. As it enjoys a high reputation for its off-road vehicles, it might wish to try to move the whole business more upmarket. A possible position might therefore be at A, ie, quality to rival BMW but at a lower price.

Market targeting considers how markets can be split into different sectors and then each sector targeted with a specific product. There are three possible approaches.

- **Undifferentiated marketing**: One product, one market. No attempt is made to segment the market.
- **Differentiated marketing**: The market is segmented with products being developed to appeal to the needs of buyers in the different segments.
- **Concentrated marketing**: The market is segmented with the product being specifically targeted at a particular segment.

As Rex Ltd has different products aimed at different sectors, off-road, small, family hatchback, etc, it is obvious that it has adopted a differentiated approach. This might be developed further to produce a range of a particular model. For example, the new improved Matchless could be produced as a three-door, five-door, GTi, etc. This will be necessary if Rex Ltd is going to win the market share it wants.

Answer to Interactive question 2

2.1 There are five characteristics of a service, which are described below:

- **Perishability**: A service cannot be stored or saved for later consumption. It has an immediacy that cannot be held over until sometime in the future. For example, a meal in a

restaurant has to be eaten at the time it is paid for. This can cause problems with the utilisation of capacity as some occasions in the restaurant, eg, evenings and weekends, will be more popular than others, eg, lunchtimes. Marketers have to give incentives for customers to purchase at off- peak times to counter this eg, happy-hour deals. Such tactics are often achieved through the use of internet technologies. Users of discount apps can download discount codes or QR codes which entitle them to reduced bills if redeemed at certain times of the day in participating restaurants.

- **Intangibility**: You cannot touch or feel the service offering as it has an abstract delivery. Unlike a product which you can touch (and smell and see) a service has no physical presence. It is only the paperwork that accompanies the service which has a tangible element, eg, an MOT certificate in the UK after the car has had its annual service and is deemed roadworthy. This can cause problems since customers cannot see what they are getting for their money, and they can only make a judgement based on experience of the service.
- **Inseparability**: A key distinguishing feature of a service is that the provider and receiver of the service are inseparable in the sense that the customer has to be present for the service to take place – unlike a product, where you can buy a can of soft drink, but the seller does not have to be present when it is consumed at a later date. This presents a problem for the marketer as they cannot always ensure that the process is enjoyable for the customer.
- **Heterogeneity**: The delivery of the service will vary each time to the customer. This is because a service is dependent on the unique interaction between the provider and the customer which will vary depending on the individuals. The variability is created by the influence of human behaviour in the transaction and consistency can become a difficult problem to manage. A meal in one Pizza Express restaurant may be a very different experience from a meal in the same restaurant in a different town.
- **Non-ownership**: With a product, eg, a computer, ownership is transferred at the point of sale. Ownership of a service typically remains with the provider and payment for the service just confers the right to use something. For instance, streaming a film under a rental agreement effectively allows the customer to watch the film during the rental period but the film itself is not physically owned by the customer.

These are the differences between a service and a product and their associated problems for the marketer.

2.2 The extended marketing mix

The extended marketing mix comprises people, process and physical evidence and is to be applied to a small independent firm of management consultants to derive the following benefits.

People

There should be a strong emphasis on staff training to ensure a consistently high quality of provision. Poor customer service is the most commonly quoted reason for a change in sourcing services and is the most difficult problem to overcome to recover lost custom. The high level of people involvement in management consultancy demands that their customers are treated in a very professional manner throughout the delivery process. As their customers will judge the quality of the service by the conduct of the staff the close proximity of the staff working in a small business magnifies the need to adequately train all employees. This can include such areas as personal presentation, dealing with enquiries, providing quotations and maintaining knowledge of both technical and technological competencies in line with current developments.

Physical evidence

The image of the branches of the consultancy and any correspondence that is sent out in response to enquiries, including from the website and social media platforms, need to be consistent and include company brand identity such as logo or accreditation awards. This is

crucial as it is one of the means that current or prospective clients will use to evaluate the consultancy.

Staff apparel, interior decoration of the branches, tidiness and signage should reflect a common and consistent quality image for the management consultancy. It should believe that the colour scheme and logo reflect its professionalism and trustworthy image which should be maintained to retain its fresh feel. All its literature and website and social media content should be regularly updated to provide an impression of current thinking for its clients that enhances quality perceptions for the offering.

Process

As part of customer service, efficient administrative processes underpin a high quality of provision. For instance, if a client has spent an unnecessary amount of time trying to contact a management consultant, they would become very frustrated and annoyed at the waste of their valuable time. It sends all the wrong messages concerning the offering and will become a source of friction between the two parties that will have to be recovered. The small business will need to consider putting procedures and resources into place to ensure these problems are carefully managed and that the client's expectations are at least achieved, if not surpassed. Processes here may involve the use of cloud-based client areas on the business's website, so that clients can send and receive documentation which may be too big to transfer to specific consultants via email. The use of digital asset management systems may also be appropriate.

Conclusion

Many companies, large and small, often treat these areas of the marketing mix with limited attention, which results in a poor perceived level of customer service. By paying due attention to the quality of all the people, the physical evidence and the process involved in the management consultancy operation will enhance the service marketing provision.

Answer to Interactive question 3

3.1 A large banking group

A large banking group, such as Barclays, has to focus on four key sectors.

- The consumer market
- The corporate market
- The small/medium business market
- The financial markets

In all these sectors both international and domestic considerations are necessary.

The bank, whilst essentially a service, offers its customers a range of products. Although some of these products are intangible, they are nevertheless perceived by customers as offering specific benefits and meeting specific needs. It is important for a large banking group to engage all the elements of the marketing mix for these sectors.

In the consumer market distribution has become a major issue, particularly with the advent of online banking. Service is an important element of the bank's response to an increasingly competitive marketplace. New products are being launched as the bank's marketing environment poses new opportunities and threats. Communication is critical both in terms of customer acquisition and retention. The heavy use of online and social media marketing is evidence of the importance attached to these components of promotion.

Within the corporate market a different range of tools will be utilised. In particular, relationship marketing and sponsorship become important elements of the mix. A range of financial services is offered to corporate clients particularly with investments. The product mix, communication and distribution structure will vary from the consumer market, with the sales function becoming more dominant.

For the small/medium business the role of the business adviser is important, along with the various online and in-branch services the bank provides to assist the business in managing its financial affairs more effectively. It is not uncommon to see TV and online advertising targeted at entrepreneurs. Each element has an important part to play in the bank's competitive position.

3.2 Electric component manufacturer

A company that manufactures electronic components for computer manufacturers will focus its marketing activities on relatively few customers in the business sector. The need for consumer marketing activity will therefore generally be unnecessary although organisations such as Intel have gained a strong market position in the supply of computer chips by building a strong brand reputation with consumers. The assumption in this case is that this manufacturer is focused upon its business customers.

The predominant marketing mix activities will focus upon product quality and delivery with strong sales force and technical support. It is likely that corporate entertainment and the building up of relationships throughout the customer's organisation will be important aspects of the company's marketing programme. The role of distribution is important particularly in terms of product availability and speed of delivery. There is a danger that this market can become price driven as technological change means new products are copied or become obsolete very quickly. A strong commitment must therefore be made to research and new product development.

Packaging and branding are less critical components as tools of communication, although they can play a role in supporting the manufacturer's overall positioning. Publicity, particularly in the trade press, and via online articles can be important tools of communication. The supply of support literature and price structure alongside easy to access order processes will enhance the competitive position of this company. With a focus on fewer customers, direct marketing techniques should predominate. The relationship that the manufacturer has with distributors in the supply chain will also be important to ensure wide availability of component parts.

Answer to Interactive question 4

4.1 Briefing notes

To: Captain Salmon

From: J Sayso, Chartered accountant

Date: Today **Subject:** Marketing

Marketing strategies

If Welsh Cruisers Ltd is acquired, this will represent growth in the business of Canal Cruises. The information provided suggests that the quality of Welsh Cruisers' boats is much lower than that of Canal Cruises, as is the level of boat hiring. Four possible growth strategies could be adopted. These are discussed below.

Market penetration

Market penetration involves selling existing products in existing markets. The overall market of Canal Cruises is the narrowboat hire market and is restricted to those who read and use the Waterways World magazine and website. It targets the top end of this restricted market. To sell more of the existing product to this market it would have to convert the lower quality Welsh Cruisers' boats into those of a quality similar to its own (eg, installing Wi-Fi connectivity, HD-TVs, microwaves and stereos). Such conversion may be very expensive (complete boat refits and painting may be required) but the company would be operating in a market segment with which it is familiar. However, there may not be the demand for an extra 30 quality boats.

Market development

Existing products are sold in new markets. Again, conversion of Welsh Cruisers' boats is necessary and further expense will be incurred in developing new markets (market research, promotion etc). New markets can be developed by advertising, promotion via channels other than Waterways World.

Product development

Canal Cruises could leave the lower quality narrowboats as they are and target the lower end of its Waterways World market. Extra promotional expenses would be incurred as would marketing research costs (which would be necessary to gain information about the new stage segment).

Diversification

This involves leaving the lower quality boats as they are and selling to potential customers who are not already in the company's existing market. Marketing research and promotion costs would be incurred as for 'market development.'

Recommendation

Canal Cruises should pursue a diversification strategy, because Welsh Cruisers already has some business gained via its existing advertising and promotional channels; the business needs development. Restricting promotion to Waterways World (product development) may result in lower hirings. The other two strategies (converting the boats) are likely to be too expensive.

4.2 Promotion

The main promotional objective will be to increase hirings of Welsh Cruisers' boats to the same level as that of Canal Cruises. The promotional possibilities are discussed below.

Waterways World

The company could promote all its activities through the Waterways World channels (magazine and online) as it does presently. This policy has been very successful to date. Should the company adopt the diversification strategy above, it is doubtful whether the target market (those looking for a cheap boat) would read articles published by Waterways World, and the promotional objective would not be achieved.

Adverts could still be placed in the Waterways World magazine and online but other channels should also be used (see below). It is recommended that the name 'Welsh Cruisers' is maintained and separate advertisements used for the differing parts of the business, otherwise people may begin to associate the lower quality of Welsh Cruisers' boats with those of Canal Cruises.

Wider promotion

It has already been mentioned that Welsh Cruisers must have existing means of promotion and they should be examined carefully to see if they are reaching the target market.

An advertising message needs to be thought out – for example 'value for money' could be emphasised and this must be communicated to the target market. Advertisements could be placed in the larger circulation daily or Sunday newspapers (and including their online supplements), social media promotions could be used, travel agents could be approached to stock brochures and so on.

The possibility of online sales should be investigated. A website could be created (either for the company as a whole or for Welsh Cruises alone). Discounts could be offered for online booking, repeat purchases etc, to encourage market penetration and development. The site could be used to promote a particular image for the business and reinforce the brand.

Other promotional techniques

To increase sales and gain repeat hirings, various other 'non-advertising' techniques could be used. Examples are set out below.

- Welsh Cruisers could accept all male or female parties on 'social drinking' holidays (with the option for the customer of taking out damage insurance!)
- '20% off' coupons could be issued to customers for use later in the hiring season or '10% off next year's hire charge' coupons.
- Drivers could be provided at a small extra charge for those who are wary of taking out a boat for the first time and who would otherwise not hire.

Answer to Interactive question 5

5.1 **Memorandum**

To: Managing director

From: An accountant

Date: XX/XX/XX

Subject: Report on pricing methods

Introduction

I have been asked to produce a report on the importance of pricing in marketing terms and also to explain the differences in competitor-based and demand-based methods.

The importance of pricing in marketing terms

Pricing plays an essential role in the marketing of your product. First of all, you need to cover all of your costs, but the price will help to create an image of your product in the eyes of your customer.

As part of the marketing mix, price will help the perceived quality, value and image. If the price is high, then customers generally take the view that the product is of high standard and is good quality. This of course, needs to be backed up with the other elements of the marketing mix. If the price is low, there is a danger that the perception is of low quality and is 'cheap and cheerful.' This is only a danger, however, if you want to position your product as a high-quality item. In general terms, price will help you to position your product in the market. This can be visualised with a 'perception map.'

Product positioning map



The above map shows two dots, which demonstrate that in positioning your product by price, it will create an image to your customer.

Price can help to gain market share by using methods such as 'price skimming' or 'price penetration.' Penetration will gain a large marketing share as price is set very low, whereas

skimming pricing is where the price is set high, usually for new products launched into a market with few competitors and a smaller market share is gained.

Key factors that concern pricing

There are four key factors that affect pricing decisions, also known as the 4 Cs:

- Cost – related to the actual costs involved
- Consumer/customer – related to the price the consumer will pay
- Competition – related to competitors prices for substitute or complimentary products
- Company – related to the company's financial objectives

Financial issues – cost

- This is the lower level of a price. Often, accountants use cost when deciding on the pricing structure. There are at least four different types of costs in regard to a product or service:
  - Fixed cost – a cost that does not change according to the increase in the number of units produced (ie, rent and rates for the premises)
  - Variable costs – a cost that changes according to the number of units produced such as raw materials
  - Total costs – a sum of fixed and variable cost times the quantity produced
  - Average cost – the total cost divided by the number of units produced
- Contribution allows the accountant to analyse whether the product can be sold at less than cost for a period of time, but making a contribution to the costs.
- Break-even analysis indicates the amount of units that must be sold at a given price to cover costs.
- Company's financial objectives in terms of profitability also need to be taken into account when considering the price.

Economic issues

Economic issues such as the following also need to be taken into account:

- Customers' demand
- Demand is considered, and calculations on how much will be demanded at a certain price using the demand curve will be undertaken.
- It is useful to know the shape of the demand curve when setting prices as you can set a high price, if your market is inelastic.
- Marketing communications serve to influence the demand curve to make it more inelastic.
- You must consider inflation year on year, affecting the cost of employment, raw materials and distribution.
- This is also a consideration for customers' disposable income.

Competitors

- Competitors must be taken into account.
- The marketer looks at competitors, macro environment, internal environment, stage in the product life cycle and sets a price at what the market will bear.

All of the above factors and perspectives play a key role in finalising a price.

5.2 Competitor-based pricing

This method is where the pricing policy is based upon competing prices in the market. This is different to cost-plus pricing in that it takes into consideration how the other competitors are

pricing their products and how their products are perceived by their customers. Cost-plus pricing does not do this, and merely covers costs and leaves room for a little profit. The price does not necessarily have to be cheaper than competitors, as discussed before, it depends upon how you want your products to be perceived by your customers and compared to your competitors.

Some of the methods used for competitor-based pricing include price matching, going rate pricing and predator pricing.

Price matching: This is where the company guarantees that the product cannot be bought for less anywhere. If it can be bought for less, they usually refund the difference. Therefore, the price is very much based on the competitors in the marketplace.

Going rate pricing: Here the pricing policy is determined by the competitors' pricing strategy and a similar price is set (but not guaranteed as above).

Predator pricing: This is where the pricing policy is set low so that the competition has problems in competing for market share.

Market/demand-based pricing

The final method is more suitable to take into account market needs and wants and relates to what is in demand. Compared to competitor-based pricing, it takes demand into consideration. As customers are becoming more demanding, this is a more suitable method of pricing.

Economic issues and the elasticity of demand are considered here.

There are a number of methods such as penetration and skimming strategies, discount and allowance pricing, segmentation pricing and promotional pricing. I will explain a number of these methods below.

Skimming: This is where a high price policy is undertaken to 'skim the cream' of the market. This is more advisable if you have a product which is new into the market and there are few competitors. It is important that you are able to lower the price once you have established a customer base and need to gain more market share.

Penetration: This is where the price starts off low and market share is gained quickly. It is difficult however, to increase the price once this has been undertaken.

Segmented pricing: Companies will often adjust their basic prices to allow for differences in customers, products and locations. The company sells a product at two or more prices, even though the difference in price is not based on differences in costs. Examples may be where different customers pay different prices for the same product such as rail travel First Class and Standard fares. Another example is time pricing where prices vary by the day or the hour such as telephone companies and 'off-peak' calls.

Conclusion

I hope that this has helped in your consideration of the pricing policy to adopt for the industrial packaging tape. Please contact me should you require any further information.

Answer to Interactive question 6

6.1 Importance of branding

One of the most distinctive skills of professional marketers is their ability to create, maintain, protect, reinforce and enhance brands. A brand is a name or term like Toyota, General Motors or Ford, a symbol or design which is used to identify the goods or services of one seller to differentiate them from those of competitors. Thus the brand identifies the manufacturer and supplier of the product. Brands, unlike other forms of intellectual property, such as patents and copyrights do not have an expiry date and their owners have exclusive rights to use their brand name for an unlimited period of time.

A brand has value to the business, known as brand equity. They can reinforce customer loyalty as well as name awareness, perceived quality, strong brand associations and other assets such as channel relationships. Branding also increases innovation by giving producers an incentive to look for new features that can be protected against imitating competitors. Thus branding will result in more product variety and choice for consumers.

The use of branding

A brand conveys a specific set of features, benefit and services to the buyer. The brand has four different dimensions, which are described below.

Attributes

A brand first brings to mind certain product attributes such as build quality, power capability and so on. A large automobile manufacturer would use these attributes in its advertising and promotional activities.

Benefits

Customers do not purchase attributes, they purchase perceived benefits. Therefore, attributes must be translated into functional and emotional benefits. For example, the attribute 'well built' might translate into benefits demanded by our customers, such as reliability or high resale value.

Values

A brand also says something about the buyer's values. The brand marketer must identify the specific group of buyers whose values coincide with the delivered benefits package such as high performance, safety and prestige.

Personality

A brand also projects a personality. The brand will attract people whose actual desired self-image match the brand's image. This would be important for the business customer who purchase from the large automobile manufacturer as well as the consumer purchasing an automobile.

A company must define its overall branding strategy which affects all of its products. It is necessary to consider how new products fit into the brand structure particularly as the large automobile manufacturer will have developed a series of marques that identifies each family of its products. Safeguarding the association of quality developed with the large automobile manufacturer's products will be paramount.

6.2 The concept of relationship marketing Introduction

Customer relationship marketing is becoming increasingly more important owing to the increase in customer education and expectations. Many large firms now have a dedicated policy for this subject, and we need to consider the implications.

Customer lifetime value

For any organisation, the sale should not be considered as the end of the relationship but instead the beginning of the process to retain that customer. Therefore, it is more efficient to keep existing customers happy and delighted with their experience rather than finding new customers. This process should be continued at each sale and be seen as part of a long-term relationship between ourselves and the customer.

Relationship marketing

This is a long-term approach to creating, maintaining and enhancing strong relationships with customers and other stakeholders. Organisations need to view each transaction as part of a long-term goal. If the customer is satisfied with the product or service, they have received for the price they have paid, they are more likely to return. A short-term outlook on the other hand will consider only a quick profit and not the more important possibility of a repeat purchase.

There are five different distinguishable levels with the relationship that can be formed with customers who have purchased a product or service. These are:

Basic

Selling a product without any follow up

Reactive

Selling a product with follow up encouraged on the part of the customer

Accountable

Having sold a product, the follow up occurs a short time afterwards to confirm the customer's expectations have been met.

Proactive

The salesperson contacts the customer from time to time with suggestions regarding improved products.

Partnership

The company works continuously with the customer to deliver improved levels of value.

Relationship marketing can contribute to an organisation in a number of ways. It can establish a rapport with customers creating trust and confidence. It allows an opportunity to interact and hence communicate the large automobile manufacturer's commitment to satisfying customer's needs and wants. It can help to improve their experience and adds that personal touch, which links the emotions of both parties. By creating a notional bond as one of its objectives, relationship marketing strives to achieve a sense of belonging thereby making the customer feel part of the business. It attempts to tailor products and services to cater for specific needs of customers, therefore reducing the need to switch behaviour. The use of database management and information communication technology helps to address the customer needs in a focused manner and can be manipulated to the individual's requirements.

There are significant benefits that can be derived from relationship marketing. It can contribute to cost savings as it is up to five times more expensive to find a new customer than retain an existing customer. It can help to entice new customers away from competitors as a perceived added value activity. It will also make it more difficult for existing customers to switch, as there is an emotional bond that underpins loyalty to the customer and the company.

Answers to Self-test questions

1 A paint manufacturer segmenting the market in paint sold to other businesses might use the following types of segmentation:

- Type of business: Potential customers may be divided into several different groups such as paint wholesalers, do-it-yourself retail outlets, specialist decorating outlets, housing developers, contracting decorators, and vehicle manufacturers.
- Usage, range and size are all means of segmenting the paint market. The size of container and packaging of the paint will vary according to the user needs of the customer. Contracting decorators may use large containers of a limited range of colours and not be particularly concerned about packaging, while do-it-yourself outlets and specialist stores may require a full range of colours and containers of various sizes with attractive decoration.
- Geographical area is an important segmentation variable for this type of industry. Customers may be domestic or overseas. Paint is exported to many different countries – each will need their own marketing strategies.

2 Reasons why demographic segmentation alone may not be a successful basis for car manufacturers targeting their customers include:

- A car manufacturer may use buyers' age in developing its target market and then discover that the target should be the psychologically young (young at heart) and not the young in age. (The Ford Motor Company used buyers' age in targeting its Mustang car in America, designing it to appeal to young people who wanted an inexpensive sporty car. Ford found to its surprise that the car was being purchased by all age groups.)
- Income is another variable that can be deceptive. One would imagine that working class families in the UK would buy a Vauxhall Astra and the managerial class would buy BMWs. However, many Astras are bought by middle-income people (often as the family's second car) and expensive cars are often bought by working class families (plumbers, carpenters etc).
- Personal priorities also upset the demographic balance. Middle-income people often feel the need to spend more on clothes, furniture and housing which they could not afford if they purchased a more expensive car.
- The upgrading urge for people trying to relate to a higher social order often leads them to buy expensive cars.
- Some parents although 'well off' pay large fees for the private education of their children and must either make do with a small car, or perhaps no car at all.

3 Market segmentation is the process of identifying groups of buyers with different buying desires or requirements. Market targeting is the firm's decision regarding which market segments to serve. Markets made up of buyers seeking substantially different product qualities and/or quantities are called 'heterogeneous markets.'

4 For example:

- By geographical region (eg, North vs South, different countries)
- By demographic factors (eg, age, sex, social class, lifestyle, education, income)
- By the way the product is used (eg, professional builders or amateur DIY'ers)
- By customer requirements (eg, tea granules, bags and leaves are a response to different levels of convenience required)

5 Industrial and consumer markets differ in the following ways.

Consumer markets	Industrial markets
Products purchased to satisfy personal needs	Products bought for use in firm's operations or to make other products
Buying decision may be complex and irrational: 'it caught my eye'	Buying motive linked to improving quality and/or profitability. Technical specifications are a very important element of the product definition
Likely to have many customers with low buying power	Likely to be fewer firms but each has greater spending power
Customers spread out	Customers concentrated, either geographically or by industry
Longer distribution channels	More likely to sell direct
Advertising is main promotional tool	Personal selling extremely important More negotiation involved with pricing

6 To the **purchaser** the brand name is important.

- It distinguishes the product from alternatives.
- It permits repurchase of a product which has proved satisfactory when previously bought.
- The purchaser is familiar with the attributes of each well-known brand.
- The problem of making a choice is reduced.
- The familiar brand name encourages a feeling of security about the purchase. To the **manufacturer** the virtues of branding are somewhat different.
- It encourages repurchase (this is effectively the same as 'brand loyalty').
- The brand name is a merchandising asset: it is useful in persuading people to purchase at the point of sale.
- The brand name becomes associated with the product's intended attributes, thus positioning it in the customer's mind and the market.
- The brand name is used in all promotion effort and tends to enhance the effectiveness of advertising.

7 The promotion mix consists of four elements.

- Advertising – paid communications in the media which are designed to influence potential customers favourably regarding a company's products or services. Advertising is sometimes called **above-the-line** promotion.
- Sales promotion – non-media promotional activity aimed at increasing sales. Sales promotion includes a variety of techniques such as give-aways, competitions, trading stamps and exhibitions. It is sometimes called **below-the-line** promotion.
- Public relations – the creation of positive attitudes regarding products, services, or companies by various means, including unpaid media coverage and involvement with community activities.
- Personal selling – the techniques by which a sales force makes contact with potential customers.

8 There are several reasons for using separate firms for getting goods to the consumer. These include the following.

- Market knowledge is far deeper in an established intermediary.
- Market coverage is larger for a firm with a distribution chain already running; set-up costs of a distribution network are large.
- Distribution speed is likely to be much higher in an existing company specialising in this area.
- Distributors may cover a range of complementary products to enhance sales of the principal product.

9 Targeting involves selecting the most attractive market segments, and designing those elements of the marketing mix to fit the identified segment.

10 For any two characteristics:

Intangibility	Judgemental evaluation
Inseparability	Provider and client impact on quality of service
Variability	Consistency based on delivery process
Perishability	Instantaneous consumption that cannot be stored
Non ownership	Services are used and not owned

11

Relationship	**Description**
Partner	The most loyal business associate
Advocate	Active recommendation for business
Supporter	Some tacit approval for offering
Client	Some repeat activity
Purchaser	Completed at least one transaction
Prospect	Likely source of potential business

Chapter 9
Strategy and structure

Introduction
Learning outcomes
Syllabus links
Examination context
Chapter study guidance
Learning topics
1 Strategy and structure
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Introduction

Learning outcomes

- Evaluate and recommend an organisational structure appropriate to the strategy, taking into account a range of strategic, operational and functional factors.
- Explain and analyse the governance structure of an organisation and justify the steps needed to develop its corporate governance to meet the needs of its stakeholders, strategic objectives and its compliance requirements.
- Explain and analyse how an organisation can implement and monitor sustainability and ESG policies

Syllabus links

The rudiments of organisational structure and governance were covered in the syllabus for Business, Technology and Finance.

Examination context

The key element in this chapter is how structure links with strategy. Knowledge of organisational structures in isolation from strategy would not normally be examined. The idea that there is no one ideal structure is important, as it means that issues of structure will need to interact with the strategy according to the particular circumstances of the scenario. Organisations which are structured divisionally face particular issues including the extent of decentralisation, performance evaluation and transfer pricing. It is important to recognise the increasingly important role that outsourcing and internet technologies are having on organisational structures. Such developments have given rise to the concept of boundary-less organisations.

This chapter contains references to a number of named studies. It is desirable to attribute the source of these studies in describing them. However, for examination purposes it is not the intention that the names should be quoted or reproduced without application. Rather, it is intended that the implications and results of these studies can be applied appropriately to practical scenarios to inform applied strategy and organisational structure recommendations.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Strategy and structure** The relationship between strategy and structure can be complex. Structure deals with the implementation	**Approach** Read through the different viewpoints on the direction of influence between strategy and structure. Does strategy follow structure or structure	It is important to recognise that different types of organisation will require different structures. Look at the features of the organisation in the scenario to	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	of the strategy but may also influence strategic choice.	follow strategy? **Stop and think** In the organisation you work for, does everything run smoothly? Does the structure enable better working practices or does it hinder effective working?	determine the most appropriate structure. It is important to recognise throughout the exam that there is no one ideal structure.	
2	**Mintzberg's organisational forms** Mintzberg's theoretical model suggests that all organisations possess six key building blocks. The specific structure of a company depends upon which blocks are most dominant.	**Approach** Mintzberg's organisational forms were introduced in Business, Technology and Finance. Use IQ1: Organisational configurations to test your knowledge. **Stop and think** Which of Mintzberg's building blocks is most dominant in the organisation you work for? Which organisational configuration does your company therefore most closely resemble?	Knowledge of organisational structures in isolation from strategy would not normally be examined. Questions may be set which require a discussion of whether an organisation's existing structure is appropriate in light of a proposed future strategy. Questions may also ask for a discussion of any issues that may exist with the organisation's current structure.	**IQ1: Organisational configurations** The question asks you to apply your knowledge of organisational configurations to two short scenarios.
3	**Types of business structure** Structure evolves as businesses grow, moving from simple structures to more complex divisionalised structures.	**Approach** Read quickly through the basic structural types focusing on the advantages and disadvantages of divisionalisation and the matrix structure. **Stop and think** Consider a divisionalised organisation you are familiar with. On what basis are the divisions structured?	Basic structural types are unlikely to be tested in isolation. Be prepared to advise on how an organisation can structure in order to support strategic change.	**IQ2: Erewhon Bank** Using the scenario detail advise on the most appropriate organisational structure for the bank.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Span of control** The shape and structure of an organisation is influenced by the number of people reporting in to one manager. Span of control varies depending on industry and type of company.	**Approach** This is a short knowledge- based section so read through it quickly. **Stop and think** In what circumstances is a wide span of control most appropriate?	Span of control is unlikely to be tested in isolation. Questions may require you to provide advice on altering the span of control in line with a change to strategy.	
5	**Flexible structures** The increasingly dynamic business environment facing most organisations has given rise to flexible, boundary-less organisational structures, such as network, virtual, hollow and modular organisations. The growth in the number of boundary- less organisations today has largely come about as a result of the widespread use of internet technologies and outsourcing.	**Approach** Read through the section to understand the six flexible organisational structures described. **Stop and think** Can you think of a company that has adopted the flexible shamrock structure? What are the reasons behind this structural change?	Assess the organisation in the exam question to establish whether a flexible structure would be appropriate. Consider the size of the organisation, the number of people employed, the types of technology used and the products or services sold.	
6	**Issues for divisionalised organisations** As an organisation reaches a certain size and scale it is likely to adopt a divisionalised structure to improve control. A divisional structure can be centralised or decentralised in terms of how much power and authority is diffused	**Approach** Read through the section taking particular note of the methods and problems of managing and controlling divisionalised organisations. Spend time understanding transfer pricing methods and considerations. **Stop and think**	The Business Strategy and Technology exam is predominantly a written paper. However, you may need to demonstrate or understand the impact of a transfer price on divisional or group profitability. Ensure you can perform some simple transfer pricing calculations	**IQ4: Marble Makers Ltd** This calculation example helps to explain the implications of setting different transfer prices. **IQ5: External offer** This question demonstrates how transfer prices have to be acceptable to the two divisions involved in the

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	throughout the organisation.	In what circumstances might a transfer price be demotivating for a divisional manager?	to support your discursive arguments.	transfer as well as to the company as a whole. **IQ6: Full cost transfer price** This short question looks at whether a transfer price based on full cost is acceptable. **IQ7: Full or variable cost?** This final calculation question compares full cost and variable cost transfer pricing approaches.
7	**Organisational structures for international business** Appropriate structure for an international business depends on the international development stage/ global environmental circumstances.	**Approach** Read quickly through this short section paying particular attention to the multi-national business structures proposed by Bartlett and Ghoshal. **Stop and think** What are the challenges of controlling and managing the performance of a multi- national business?	Questions may focus on the most appropriate type of multi-national business structure or they may look at the problems and difficulties of being a multi-national business.	
8	**Governance** Regardless of structure, organisations need to practise good corporate governance to protect key stakeholders.	**Approach** Many of the topics in the section on corporate governance will be familiar but make good notes on corporate governance in not-for-profit organisations. **Stop and think** Should cybersecurity be the responsibility	Exam questions may examine governance in both profit seeking and not-for-profit organisations.	**IQ8: Director's remuneration** This short question considers the governance and behavioural implications of various components of director remuneration. **IQ9: Happy Harvester Ltd** This scenario- based question examines

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		of the board or should it remain in the hands of IT professionals?		the impact that a stock exchange listing is likely to have on governance and risk management processes.

Once you have worked through this guidance, you are ready to attempt the further question practice included at the end of this chapter.

1 Strategy and structure

Section overview

- The management team and staff of a firm must be organised to carry out the operations and strategy of the business.
- There is a debate about the direction of influence between strategy and structure. Does management build a structure once it has decided strategy or does the structure determine the strategy, through its influence on the flows of information and management's assessment of what is possible?
- The most appropriate structure depends on the stage of development of the organisation and the nature of its competitive environment (**contingency approach**).

1.1 Structure needed to implement strategy

A strategy without effective organisation of the people required to carry it out is doomed. Strategies can only be implemented by, and through, people.

Developing an appropriate structure requires consideration of three areas:

- **Organisational configuration** – the primary groupings of staff into departments or divisions
- **Centralisation/Decentralisation** – where the responsibility for decision making lies
- **Management systems** – includes the make-up of the senior management team eg, the corporate board, and the methods they use to govern the organisation

This includes the processes used to monitor financial results, to arrive at strategic decisions and to manage risk.

Definition

Organisational structure: How the various functions of an organisation (operations, marketing, HR, finance etc,) are formally arranged into departments or sections, and how responsibility and authority are allocated.

Professional skills focus: Applying judgement

There is no one ideal structure. The appropriate structure for an organisation depends on the strategy being pursued and the specific circumstances applicable to the organisation in question.

1.2 Impact of strategic choices on structure and *vice versa*

The relationship between strategy and structure is a complex one.

Structure follows strategy

This **top-down approach** says that management decide the strategy then build or revise organisational structure to implement it.

The argument for structure following strategy was put forward by Chandler. He argues that the structure of the organisation must be adapted to fit the strategy adopted by management.

In his analysis, any changes to organisation structure were a response to the organisation's stage of growth:

- Geographic expansion called for departmental offices to be set up to administer the new field units.
- Vertical integration required a central office and multi-departmental structure.
- Diversification required a general office to administer divisions operating in different industries.

Strategy follows structure

An alternative **bottom-up view** is that the strategy a firm follows emerges from, or depends on, its structure or that the structure limits the choice of strategy.

For example:

- Organisational structure and the interests of people within it shapes the flow of information to those responsible for strategic management. For example government ministers can only respond to issues they are told about and can select only from the options they are presented with.
- What actually gets done depends on power. The informal organisation may feature quite different power relations than suggested by the formal structure.
- Highly centralised structures tend to stifle innovative strategic solutions.
- Divisionalised structures restrict collaboration and 'joined up' strategies.
- Bureaucratic structures focus on maintaining the status quo.

Both the top-down and bottom-up views are extreme expressions. Managers recognise both forces will be at work:

- Management will restructure to implement new strategies.
- Management strategies will be partially unrealised because the structure worked against them.
- Structures will develop organically as teams and managers adapt to new challenges and initiatives.
- Restructuring will create new initiatives and possibilities at the same time as suppressing others.

1.3 Contingency approach to organisation structure

The modern contingency approach takes the view that there is no one best, universal structure. There are a large number of variables, or situational factors, which influence organisational design and performance. The contingency approach emphasises the need for flexibility.

The most appropriate structure for an organisation depends on its situation. It is an 'if then' approach, ie, **if** certain situational factors are present, **then** certain aspects of structure are most appropriate.

Typical situational factors include:

- Type and size of organisation and purpose
- Culture
- Preferences of top management/power/control
- History
- Abilities, skills, needs, motivation of employees
- Technology (eg, production systems)
- Environment (see below)

Burns and Stalker identified two (extreme) types of structure (and management style).

- **Mechanistic** – rigid structure, bureaucratic management structure/style, applicable in stable environments
- **Organic** – more fluid appropriate to changing circumstances (ie, dynamic environments)

This links with the traditional/emergent approaches to strategy and structure. Both mechanistic and organic elements may exist side by side in any one organisation, eg, in a hotel 'production' departments like the kitchens may be suited to a mechanistic structure but 'service' departments like marketing/reception may work better with organic structures.

Professional skills focus: Assimilating and using information

The Business Strategy and Technology syllabus is holistic and topics are rarely tested in isolation. When assessing organisational structures, knowledge from other areas of the syllabus, for example external environment, internal resources and technology, should be incorporated into the analysis.

2 Mintzberg's organisational forms

Section overview

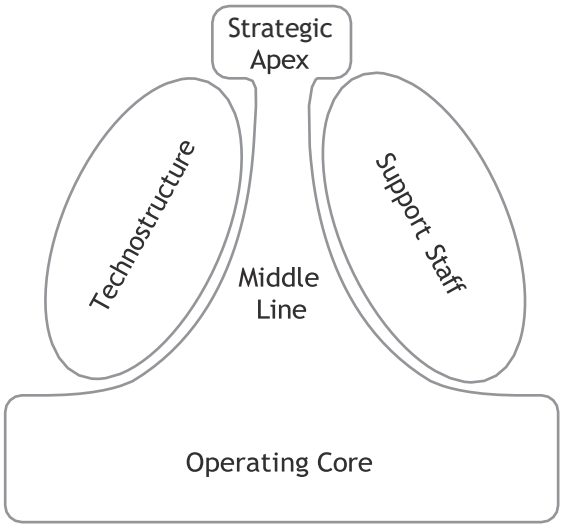
- Organisational structure sets out how the various functions within the organisation are arranged.
- Mintzberg suggested that all organisations can be analysed into six building blocks.
- The structure of the business will depend on which of the building blocks is more dominant.

2.1 Components of organisations

In Business, Technology and Finance, you were introduced to Mintzberg's theory of organisational configuration (sometimes called **the structure of sixes**), characterised by five distinct components that operate within the sixth, the **ideology** of the organisation or **culture**.

Using the diagram below and your knowledge from Business, Technology and Finance, attempt the interactive question Organisational configurations to test your understanding of Mintzberg's theory of organisational configuration.

Figure 9.1: Mintzberg's configuration of organisations



Interactive question 1: Organisational configurations

Identify the organisation configurations suggested in the following cases.

Requirements

1.1 Creation Ltd provides public relations services to clients. It is run by five partners, with a staff of copy editors, designers, party-throwers and people with contacts in the press. Clients contact one of the partners who assembles a team to solve a client's problem, though the partner does not direct the solution.

1.2 Smithers Ltd is a small family company. The chief executive and founder is a strong leader and tends to dominate decision making. They do not believe in discussing their decisions with staff.

See **Answer** at the end of this chapter.

We will now go on to consider the structures suggested by Mintzberg in more detail:

- Entrepreneurial
- Functional (or bureaucratic)
- Divisionalised
- Matrix

3 Types of business structure

Section overview

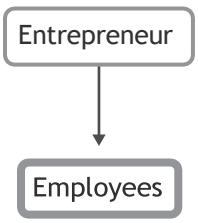
- Generally, as a business grows, its structure progresses from entrepreneurial to functional to divisionalised.
- Matrix structures attempt to co-ordinate separate departments to serve joint goals such as particular customers or projects.
- A matrix structure can occur independently or within a functional or divisional structure.

3.1 Entrepreneurial structure (simple)

Typically, a single owner-manager in a small business, who has specialist knowledge of the product or service and has total control over the running of the business.

This structure is flexible and quick to adapt to change, but dependent on the entrepreneur and limited in its ability to cope with expansion or diversification.

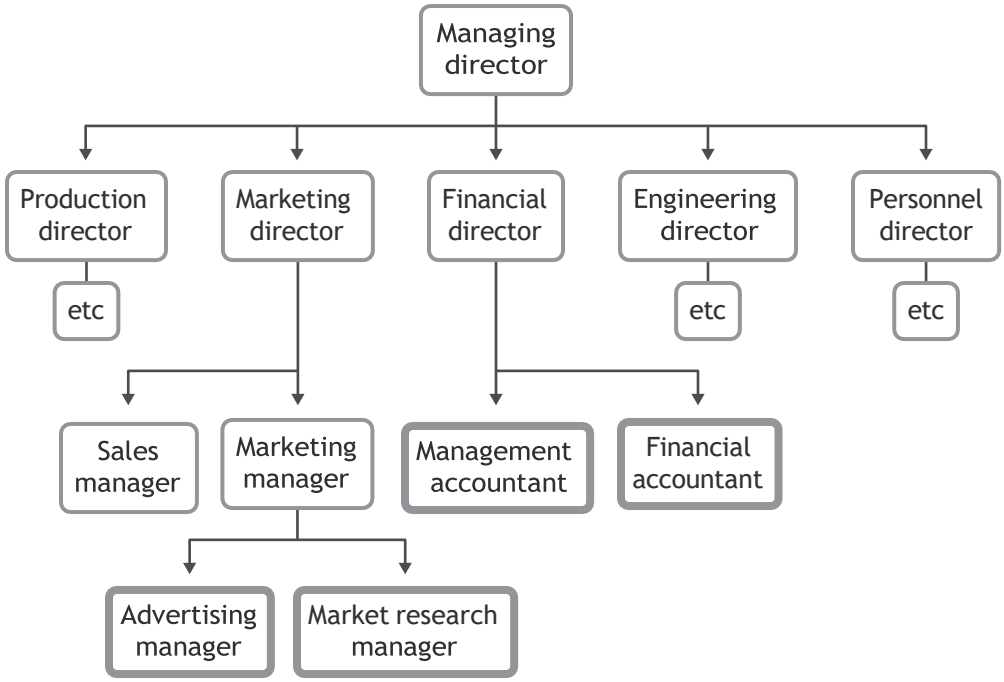
Figure 9.2: Entrepreneurial structure



3.2 Functional structure (bureaucracy)

Functional structure leads to departments that are defined by their functions, that is, the work that they do. Specialism means the firm is more efficient and can benefit from economies of scale, but it can lead to conflict and the bureaucracy can hamper cross functional innovation and creativity. The rigid structure is unsuitable for changing environments.

Figure 9.3: Functional structure



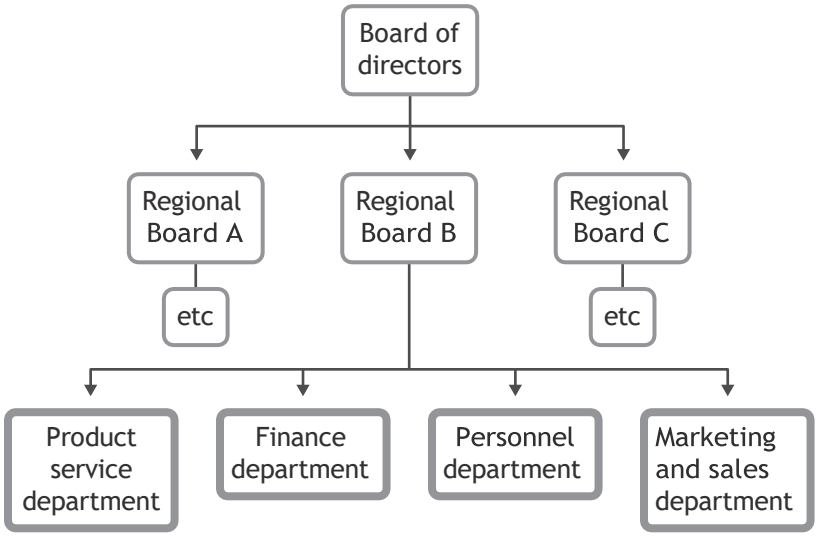
3.3 Divisional structure

The business can be divided into autonomous units based on geography, product or market. Divisionalised structures can be adapted for growth and diversification and are most suitable for larger diversified businesses.

3.3.1 Geographic structure

Some authority is retained at Head Office (organised, perhaps, on a functional basis) but day-to-day service operatins are handled on a territorial basis. Within many sales departments, the sales staff are organised on this basis.

Figure 9.4: Geographic structure



Advantages of geographic divisionalisation

- Better and quicker local decision making at the point of contact between the organisation (eg, a sales executive) and its customers.
- It may be less costly to establish area factories/offices than to run everything centrally (eg, costs of transportation and travelling may be reduced).
- It might be essential for overseas operations to cope with different environments.

Disadvantages of geographic divisionalisation

- Duplication of management effort (eg, a national organisation divided into 10 regions might have a customer liaison department in each regional office).
- It struggles to cope with large clients who span the divisions.

3.3.2 Product/brand divisionalisation

Product divisionalisation: The elements of an organisation are grouped by products or product lines. Some functional divisionalisation remains (eg, manufacturing, distribution, marketing and sales) but a divisional manager is given responsibility for the product or product line, with authority over personnel of different functions.

Advantages

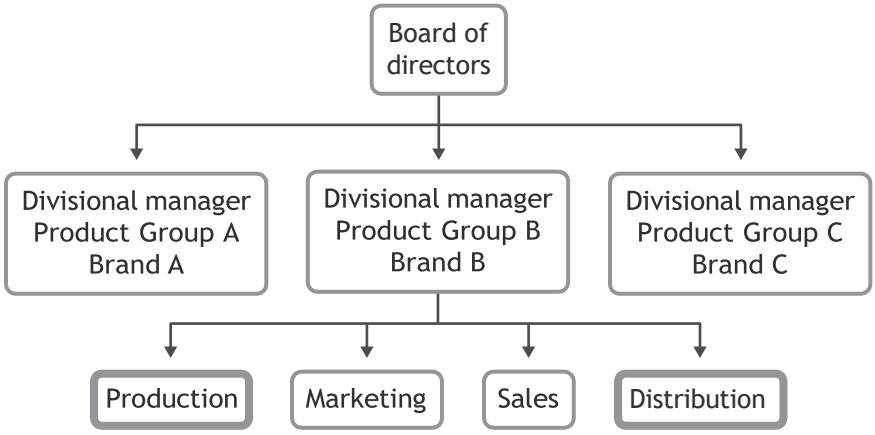
- Individual managers can be held accountable for the **profitability** of individual products.
- Specialisation can be developed. For example, some salesmen will be trained to sell a specific product in which they may develop technical expertise and thereby offer a better sales service to customers. Service engineers who specialise in a single product should also provide a better after sales service.
- The different functional activities and efforts required to make and sell each product can be coordinated and integrated by the divisional/product manager.
- It should be focused on how a business makes its profits.

The **disadvantage of product divisionalisation** is that it increases the overhead costs and managerial complexity of the organisation.

Brand: A brand is the name or design which identifies the products or services of a manufacturer or provider and distinguishes them from those of competitors. Brands may denote different products or, often, similar products made by the same firm.

Figure 9.5: Product/Brand divisionalisation

Product/brand divisionalisation



- Branding implies a unique marketing position. It becomes necessary to have brand divisionalisation. As with product divisionalisation, some functional divisionalisation remains (especially on the manufacturing side) but brand managers have responsibility for the brand's marketing and this can affect every function.
- Brand divisionalisation has similar advantages and disadvantages to product divisionalisation. In particular, overhead costs and complexity of the management structure are increased, the relationships of a number of different brand departments with the manufacturing department, if there is only one, being particularly difficult.

3.3.3 Customer or market segment divisionalisation

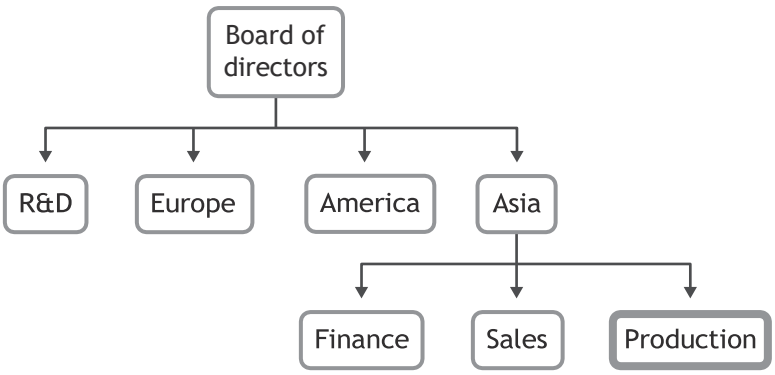
- Divisionalisation by customer is commonly associated with sales departments and selling effort, but it might also be used by a jobbing or contracting firm where a team of managers may be given the responsibility of liaising with major customers.
- Another example is where firms distinguish between domestic consumers and business customers, with different marketing and supply efforts for each.

3.4 Hybrid structures

Very few organisations divisionalise on one basis alone.

Many organisation hierarchies in practice combine elements of a number of these approaches. In the example below, research and development is centrally organised, but the operating activities of the firm are geographically arranged. This is an example of a **hybrid structure**.

Figure 9.6: Hybrid structure



Professional skills focus: Concluding, recommending and communicating

When recommending which type of structure an organisation should adopt, avoid listing the advantages and disadvantages of different structural forms. It is important to apply your technical knowledge of structural types to the scenario in question, in order to justify your recommended approach.

Interactive question 2: Erewhon Bank

The Erewhon Bank plc has branches in the UK, Eire, France, Germany and Denmark. It grew from the merger of a number of small local banks in these countries. These local banks were not large enough to compete single-handedly in their home markets. The Erewhon Bank hopes to attract both retail and corporate customers, through its use of home banking services and its heavily advertised direct bank service, which is a branchless bank. The direct bank service allows customers to conduct banking transactions using an online banking portal, and via a dedicated customer support telephone line. The bank also specialises in providing foreign currency accounts, and has set up a revolutionary service whereby participating customers can settle their own business transactions in euros.

Requirement

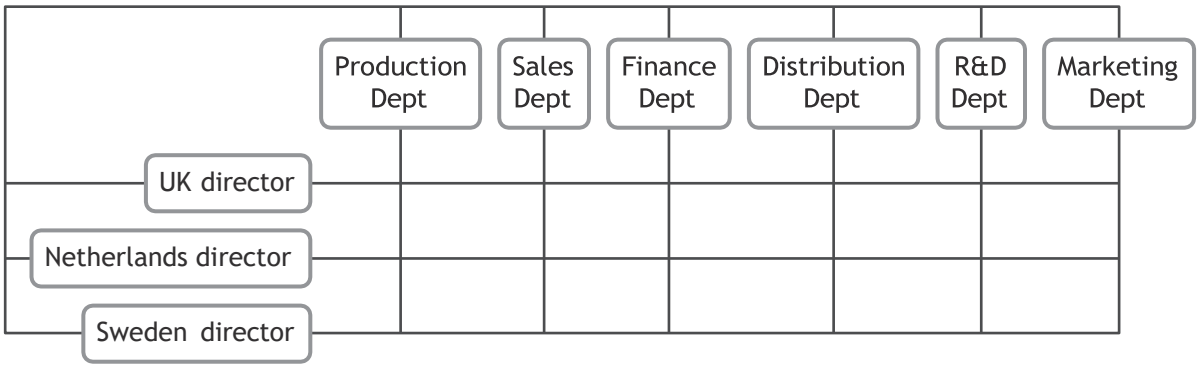
What sort of organisation structure do you think would be appropriate? See **Answer** at the end of this chapter.

3.5 Matrix organisation

A matrix organisation structure provides for the formalisation of management control between different functions, whilst also maintaining functional divisionalisation. It can be a mixture of a functional, product and territorial organisation. The matrix structure is most suitable for complex/hi- tech industries.

The matrix organisation imposes the multi-disciplinary approach on a permanent basis.

Figure 9.7: Matrix structure



The product managers may each have their own marketing team; in which case the marketing department itself would be small or non-existent.

In some cases, the matrix structure involves the appointment of a special manager responsible for a project or customer. They are charged with ensuring that the necessary departments pull together to achieve what is needed.

Advantages of a matrix structure

- It offers greater **flexibility**. This applies both to **people,** as employees adapt more quickly to a new challenge or new task, and to **task and structure**, as the matrix may be short-term (as with project teams) or readily amended.
- It should improve **communication** within the organisation.
- Dual authority gives the organisation **multiple orientation** so that functional specialists do not get wrapped up in their own concerns.
- It provides a **structure for allocating responsibility to managers for end-results**. A product manager is responsible for product profitability, and a project leader is responsible for ensuring that the task is completed.
- It provides for **inter-disciplinary co-operation** and a mixing of skills and expertise.
- There are many geographic areas with distinct needs, but the firm wishes to exploit economies of scale.

Disadvantages of matrix structure

- Dual authority threatens a **conflict** between managers. To prevent this, the authority of superiors should not overlap and areas of authority must be clearly defined. A subordinate must know to which superior they are responsible for each aspect of their duties.
- One individual with two or more bosses is more likely to suffer **role stress** at work.
- It is sometimes more **costly** – eg, product managers are additional jobs which would not be required in a simple structure of functional divisionalisation.
- It may be **difficult for the management to accept** a matrix structure. A manager may feel threatened that another manager will usurp his authority.
- It requires consensus and agreement which may slow down decision-making.

Interactive question 3: Boxer plc

Boxer plc is a company which manufactures dried pasta, produces ready-to-eat meals and is about to start making specialist pasta sauces for distribution to independent delicatessen shops.

The dried pasta revenue and profits have been substantial and stable in the last few years, with sales of the Boxer brand to all large supermarket chains as well as to wholesalers.

The ready-to-eat meals are produced only for two major supermarket chains. Products are branded by the supermarkets under their own names.

Boxer has recently recruited Jake La Motta from Sauce Specialists Ltd. They have considerable knowledge of and contacts within the small delicatessen market. Boxer wishes to pursue a cautious approach to this new area, incurring only limited investment.

Requirement

Outline an appropriate structure for Boxer plc.

See **Answer** at the end of this chapter.

4 Span of control

Section overview

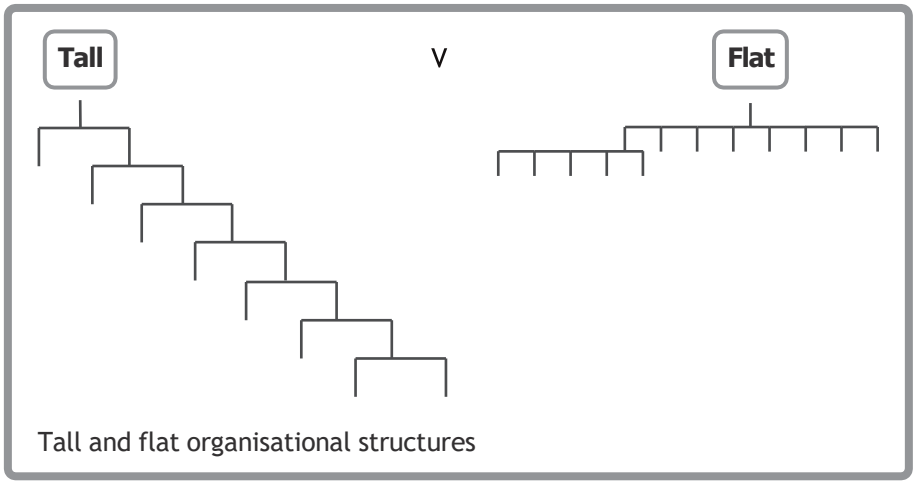
- Span of control refers to how many people report to one manager. This will influence the shape of an organisation.
- Wide spans of control create flat management hierarchies whereas narrow spans of control create tall organisational structures.

4.1 Introduction

Definition

Span of control: The number of subordinates reporting to one person.

- The span of control refers to the number of people reporting to one person.
- This influences the shape of the organisation:



Tall and flat organisational structures

- A determinant of whether the organisation is tall or flat is the use of delegation – 'the transfer of legitimate authority without passing on ultimate responsibility.'

Factors influencing span of control

- **Location of subordinates** – the more widely spread, the fewer that can be managed effectively.
- **Complexity/nature of the work** – as complexity increases (and the need for greater teamwork), so the span decreases.
- **Management personality and ability** – the better they are, the more people they can manage.
- **Subordinate ability** – the better they are, the more that can be delegated and therefore managed by the manager.
- **Level of organisational support** – personnel departments can remove the routine personnel tasks from a manager, enabling them to manage more people.
- **Level of 'danger' involved if delegation takes place** – the more dangerous, the less people that can be managed.

Effects of setting span of control incorrectly

Too wide (flat)

- Loss of contact between superior and subordinates – demoralised subordinates
- Loss of control over subordinates
- Subgroups form with unofficial leaders

Too narrow (tall)

- Too many management levels and too much cost
- Delays in decision-making (because of the length of the chain of command)
- Over-supervision and demoralised staff

Span and IT

IT can have significant effects on organisational structure in terms of:

- New patterns of work
- Form and structure of groups
- Supervisory/management roles
- Changes in lines of authority
- Job design/descriptions
- Centralisation/decentralisation of decision making and control

New technology (eg, the internet) has often resulted in flatter structures (ie, wider spans) with fewer levels of management. Office-based technology can facilitate a greater range of functions and self- checking for staff.

5 Flexible structures

Section overview

- Flexible structures allow firms to adapt to changing circumstances. A number of flexible structures can also be classified as boundary-less organisations.
- Networks can exist within and between organisations.
- Virtual organisations operate predominantly through electronic communications.
- Hollow organisations are those in which all non-essential activities are outsourced.

- Modular organisations outsource the production of a particular component(s) to specialist outsourcers.
- Handy's shamrock structure or flexible firm captures the idea that modern organisations strive to be lean at the core but maintain access to other skills and activities through a variety of networks.

5.1 Boundary-less organisations



Definition

Boundary-less organisations: Are entities which are structured in such a way as to make it easier to collaborate with external parties. Such organisations remove the internal barriers that often exist between different functions and departments.

Activities and processes regarded as bureaucratic and restrictive are removed to enable the organisation to concentrate on achieving its core objectives. Boundary-less organisations are focused on the creation of relationships with external groups including, customers, suppliers and even competitors. It is believed that being closer to such groups should enable the organisation to become more adaptable to change. Such structures effectively allow organisations to extend their value chains both forwards and backwards. Central to the creation of boundary-less organisations has been the increased use of outsourcing, and the establishment of virtual communication networks facilitated by internet technologies.

Organisational forms including network, virtual, hollow and modular organisations can be all regarded as being boundary-less organisations.

5.2 Network organisations

Network organisations were introduced in the chapter, 'Strategic capability.' The idea of a **network structure** is applied both within and between organisations.

Within the organisation, the term is used to mean something that resembles both the **organic** organisation discussed earlier in this chapter and the structure of informal relationships that exists in most organisations alongside the formal structure. Such a loose, fluid approach is often used to achieve innovative response to changing circumstances.

The network approach is also visible in the growing field of **outsourcing** as a strategic method. Complex relationships can be developed between firms, who may both buy from and sell to each other, as well as the simpler, more traditional practice of buying in services such as cleaning. These were discussed extensively in the chapter, 'Strategic capability.'

Writers such as Ghoshal and Bartlett point to the likelihood of such networks becoming the corporations of the future, replacing formal organisation structures with innovations such as **virtual teams**. Virtual teams are interconnected groups of people who may not be in the same office (or even the same organisation) but who:

- Share information and tasks
- Make joint decisions
- Fulfil the collaborative function of a team

Organisations are now able to structure their activities very differently:

- **Staffing**: Certain areas of organisational activity can be undertaken by freelance or contract workers. Charles Handy's shamrock organisation (see below) is gaining ground as a workable model for a leaner and more flexible workforce, within a controlled framework. (The question is: how can this control be achieved?)

- **Leasing of facilities** such as machinery, IT and accommodation is becoming more common.
- **Production** itself might be outsourced, even to offshore countries where labour is cheaper. (This, and the preceding point, of course beg the question: which assets and activities do companies retain, and which ones do they 'buy-in'?)
- **Interdependence** of organisations is emphasised by the sharing of functions and services. Databases and communication create genuine interactive sharing of, and access to, common data.

Network structures are also discerned between competitors, where **co-operation on non-core competence matters** can lead to several benefits:

- Cost reduction
- Increased market penetration
- Experience curve effects

Typical areas for co-operation between **competitors** include R&D and distribution chains. The spread of the **Toyota** system of manufacturing, with its emphasis on JIT, quality and the elimination of waste has led to a high degree of integration between the operations of industrial **customers** and their **suppliers**.

5.3 Virtual organisation

In the chapter, 'Strategic capability,' we introduced the term virtual firm and above we considered the concept of the virtual team. Some of the main features of virtual organisations are considered in this section. The virtual organisation is closely linked to the concept of workforce flexibility which we discussed in the chapter Strategic capability.

The use of electronic communications, which have been facilitated by advancements in IT systems, is central to virtual organisations. The ability for employees within an organisation to communicate with one another through the use of email, extranets, intranets and e-conferencing has removed the need to physically bring individuals together in a single work location. This is one aspect of the virtual organisation concept, and has given rise to increased workforce flexibility. This is evident given the growing number of people now working from home, a trend which has grown following government mandated home-working during the Covid-19 pandemic. The need for such workers to visit a physical office has been removed by the widespread use of internet technologies. Whilst the increase in home working brings many benefits to workers and employers alike, it poses new challenges for organisations. Companies are grappling with decisions around how to facilitate hybrid working so that employees can combine home working with time spent in the office. This emerging working model, which has arisen largely as a result of the pandemic, raises questions around employee health and safety, employee engagement and infrastructure such as the reduced need for office space and the provision of IT hardware/home office equipment for employees.

Context example: Home working

The growth in the use of instant messaging and video conferencing, such as Microsoft Teams, Skype and Zoom has given workers greater freedom to work from most places in the world. The use of free services such as WhatsApp have helped workers around the world keep connected, while the use of Dropbox software and cloud technologies now means that workers can store and access their documents anywhere.

In 2020, during the height of the Covid pandemic, 60% of the UK's adult population were working from home. 26% of the working adult population plan to continue working from home permanently or occasionally now that lockdown has ended, citing reasons such as increased productivity, money savings and greater free time from not commuting.

(**Source**: Lilly, C. (2022) Working from home (WFH) statistics. [Online] Available from: https://www.finder.com/uk/working-from-home-statistics [Accessed 18 July 2023]).

It is important however, to recognise that the concept of the virtual organisation is not solely about home working. As discussed earlier in respect of virtual teams, the virtual concept is now being used to link customers and suppliers to the operations of the organisation. In the case of the customer relationship, the need to interact and sell goods or services to the customer via physical premises is removed. The need for customer-facing employees is also eliminated. Online retailer Amazon is a good example of a virtual organisation which operates without a physical store presence, as the majority of items sold are provided by partner organisations which use the Amazon website as a platform to reach customers.

5.4 Hollow organisations

Hollow organisations share some of the same features as network organisations, and in essence the use of outsourcing effectively enables an organisation to be hollowed out. In hollow organisations all of those activities and processes classed as being non-essential are outsourced to specialist providers. Commonly outsourced processes include HR and payroll. It is believed that by removing such activities the organisation is then free to focus on those activities deemed to be most value adding. For example, a company involved in the manufacture of innovative, cutting-edge tablet computers may outsource the physical production of the devices to a third party, but would retain activities including R&D and marketing as these are deemed critical to the organisation's future success. The strong focus on outsourcing enables the organisation to reduce its costs by only retaining those workers considered to be essential.

5.5 Modular organisations

In much the same way as a hollow organisation, modular organisations also involve outsourcing. The concept of the modular organisation involves separating the organisation's production processes into individual modules. The activities undertaken by these modules are then outsourced to a number of different specialist parties which become responsible for producing one aspect or component used in the overall production process. For example, several outsourcers might each produce one of the technical components on behalf of a company which makes high speed trains.

The core group of workers that remain with the company are then responsible for putting together all of the various component parts produced externally by the different outsourcers to manufacture a complete train. The benefits of this approach are that outsourcing allows the organisation to reduce its costs and gain access to specialist skills that would take a significant amount of time to develop in- house.

Historically, car manufacturers would own subsidiary companies which produced components for use in manufacturing the final product (ie, a car). The growing use of the modular organisation model has helped to reduce the need for organisations to have burdensome ownership and reporting structures by removing the need for such subsidiary companies. Instead, the modular model increases competition among the individual module outsourcers as they have to compete with other entities operating in the same market and providing the same services. This in turn helps to lower the component purchase price to the purchasing organisation.

5.6 The shamrock organisation

Largely driven by pressure to reduce personnel costs and to adapt to new market imperatives, there has been an increase in the use of part-time and temporary contracts of employment. These allow rapid down-sizing in times of recession or slow growth and can save on the costs of benefits such as pensions, holiday pay and health insurance. The growth in the proportion of the workforce employed on such less-favourable contracts has attracted political attention but continues. It has produced the phenomenon of the **flexible firm** or, as Handy calls it, the **shamrock organisation**.

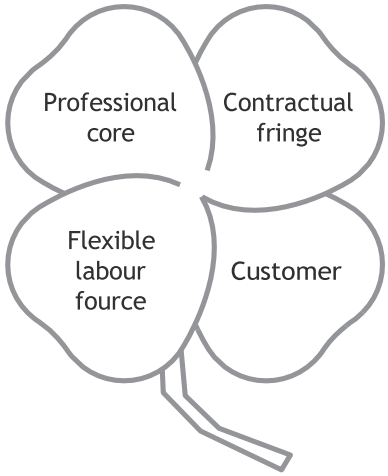
Handy defines the **shamrock organisation** as a 'core of essential executives and workers supported by outside contractors and part-time help.' This structure permits the buying-in of services as needed, with consequent reductions in overhead costs. It is also known as the **flexible firm**.

Figure 9.8: The shamrock organisation

Representation of Handy's shamrock organisation

The **professional core** are permanently employed staff who provide the core competencies and distinctive knowledge base of the organisation.

The **flexible labour force** are temporary and part-time workers who can be deployed, when required by peaks in demand (eg, seasonal tasks or projects).



The **contractual fringe** are external providers (consultants, sub-contractors and freelancers) who can undertake non-core activities and/or provide specialist services more economically than the organisation could arrange internally. Many organisations now **outsource** activities such as IT, logistics, maintenance, call-centre management and so on.

Customers are a fourth cluster, to whom the organisation may be able to 'sub-contract' some tasks. Information and communication technology (such as the internet) has allowed sales, service and supply to be conducted on a 'self-service' basis: booking tickets, downloading music/books, getting online help and so on. (Even low-tech equivalents, such as home-assembly furniture, enable the organisation to devolve activities to customers and save costs.)

Organisations are increasingly seeking to be lean at the core – where activities are important to their competitive strategy – while maintaining access to a full range of flexibly deployed services at the periphery.

6 Issues for divisionalised organisations

Section overview

- An organisation is centralised when decision-making authority is in its strategic apex.
- Centralisation offers greater control and coordination. Decentralisation offers greater flexibility.
- Using financial controls necessitates the development of responsibility centres and the use of investment-based control measures such as ROCE and residual income (RI).
- Divisional inter-trading requires the setting of appropriate transfer prices. The concept of transfer pricing is an area that candidates attempting the Business Strategy and Technology exam have struggled with. It is therefore particularly important that you take your time as you read through the next section.

6.1 Centralisation vs decentralisation

Centralisation/decentralisation refers to how much authority/decision-making ability is diffused throughout the organisation.

Definitions

Centralisation: Decision-making authority is concentrated in one place in an organisation; that is, in the centre or strategic apex.

Decentralisation: The ability to make decisions (ie, commit people, money and resources) is passed down to lower levels of the hierarchy.

Factors affecting amount of decentralisation:

- **Management style** – authoritarian = centralised
- **Size of organisation** – as size increases, decentralisation tends to increase
- **Extent of activity diversification** – the more diversified, the more decentralised
- **Effectiveness of communication** – decentralisation will not work if information is not communicated downwards
- **Ability of management** – the more able, the more decentralisation
- **Speed of technological advancement** – lower managers likely to be more familiar with changing technology, therefore decentralise
- **Geography of locations** – if spread, decentralise
- **Extent of local knowledge needed** – if required, decentralise

6.1.1 Advantages/disadvantages of decentralisation Advantages

- Senior management free to concentrate on strategy: day-to-day decisions are delegated to lower levels of management
- Motivation for lower managers from increased delegation/responsibility
- Local expertise of managers improves decisions based on local knowledge
- Quicker and more effective responses to local conditions
- Career paths for managers/employees

Disadvantages

- More difficult to co-ordinate organisation as lots of people are making the decisions, rather than just a few
- Incongruent decisions – ie, different levels of management may pursue different objectives
- Loss of control by senior management
- Complicated structures
- Problems with transfer prices
- Evaluating divisional performance becomes difficult
- Duplication of some roles (eg, administration)

6.2 Rules for successful divisionalisation

Definition

Divisionalisation: The division of a business into autonomous regions (geographic divisionalisation) or product businesses (product/brand divisionalisation), each with its own revenues, expenditures, capital asset purchase programmes and profit responsibility.

A divisionalised structure:

- Focuses the attention of subordinate management on business performance and results
- Enables greater flexibility in business units to enable them to respond to local competitive challenges
- Enables financial evaluation and comparison of performance of divisions, eg, by measures such as return on capital employed

Three key considerations in successful divisionalisation are:

- **Autonomy** – divisional management should be able to run their businesses otherwise there is little to be gained from having separate divisions.
- **Controllability** – the factors against which divisional managers are evaluated should be within their control.
- **Corporate optimality** – divisions should follow courses of action that bring the best result for the corporation as a whole.

In practice, there can be a tension between these three considerations, for example:

- Corporate centre wishes to implement **group-wide initiatives** on quality, risk management, human resource development or corporate branding which is irrelevant to, or conflicts with, the immediate business needs of a division.
- Inter-trading between divisions is important but there are disputes on the appropriate **transfer price** because each division want to maximise its own profits.
- Allocation of **head office costs** between divisions for central services such as IT, HRM, marketing, corporate treasury mean that many of the divisional costs are uncontrollable.
- **Local competitive conditions** seem to require different products and prices from those laid down by head office, eg, in a national marketing campaign.



Context example: Leisure clubs

The following shows some of the problems that can occur where divisionalisation is operating inappropriately.

A major operator of health and leisure clubs has over 40 centres in a country. The centre manager has profit centre responsibility and is also evaluated on ROCE each year for the purposes of granting a bonus pool to the centre which is shared between the manager and staff. The clubs are ranked into grades according to their size and the range of activities offered. All exercise equipment and facilities are determined by the grade of club and the replacement of equipment is on a strict 5-year basis.
Members join a particular centre and pay fees to it. The fees they pay are based on the grade of club they join. However membership of one club entitles them to use other clubs in the chain.

A number of problems have arisen:

- Managers of lower grade clubs situated near higher grade clubs have canvassed members by emphasising that their fees are lower but that members can still use the higher grade club if they choose.
- Some clubs face competition from smaller independent fitness clubs which are able to undercut the national pricing structure.
- Managers of older clubs are complaining that they are being forced to replace equipment that is still perfectly serviceable, and preferred by customers over newer versions which have slick but pointless features, and so are losing out on bonuses because the book value of assets leaps.
- Managers of established clubs are complaining that they get little benefit from the central re- charge for marketing because most marketing activity is being used to launch new clubs.

- Managers of new clubs complain that they are not getting bonuses because they have new equipment and membership numbers are still growing and this is causing staff to leave or become despondent.

6.3 Performance management of divisions

Responsibility centres

Control requires that managers are appointed with clear **domains of responsibility** such as range of activities, geographical scope and resources. As covered above, these are the basis of divisionalisation.

From a financial control perspective responsibility centres are:

- **Revenue centres** – responsible for revenues only such as a sales department
- **Costs centres** – responsible for keeping expenditure within limits such as a hospital ward or IT function
- **Profit centre** – responsibility for revenues and costs (and therefore profit) but not balance sheet
- **Investment centre** – a business within a business responsible for balance sheet and profit

Multi-divisional firms generally assign investment centre responsibility to divisions.

The nature of responsibility will influence the way in which performance is managed, since division managers must only be held to account for factors within their control. Divisional performance management is covered in the chapter Evaluating and analysing performance and strategies.

6.4 Transfer pricing between divisions

Definition

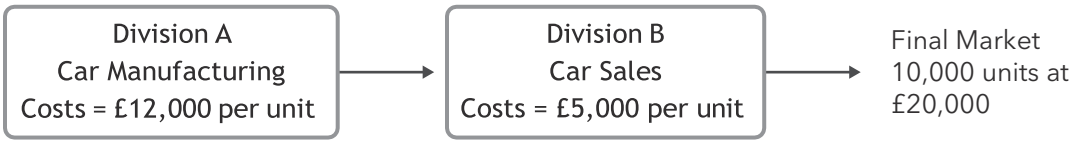
Transfer price: The price at which one division in a group sells its products or services to another division in the same group.

Divisions buying and selling with each-other leads to transfer prices. Several situations may give rise to this:

- Transfer of finished goods between divisions eg, a car manufacturer selling cars to its sales division.
- Transfer of components between divisions eg, engine manufacturing plant selling engines to the car assembly plant.
- Transfer of staff or customers between divisions eg, a professional practice seconding staff from one office to work on a project run by another office.
- Provision of central services eg, the group IT function selling hardware, training and user support services to divisions.

Consider the following example:

Figure 9.9: Transfer pricing between divisions



Transfer prices have several implications:

- **They determine the profits of divisions** – if the upstream (supplying) Division A charges Division B a higher price of £15,000 for its cars, all of the final profit from the product (£30 million) will be enjoyed by it and none by the downstream Division B.
- **They affect performance evaluation** – if Division A takes all the profit, its manager will look better.
- **They determine the tax to be paid** – if Division A is in a different country does take all the profit for itself, it will be taxed according to the tax rates in its country.
- **They determine the currency in which profits are made** – suppose Division B is in a country where dividends are subject to punitive withholding taxes. By charging a high price, Division A is taking the money out of Division B's country as a payment for the cars and not as a dividend and so avoiding the withholding tax on dividends.
- **They may determine the price and final sales of the product** – suppose Division B decides to set its market price as a 15% mark-up on costs. If the cars are transferred by Division A at cost, the final price would be £19,550 (ie, £12,000 + £5,000) (1.15). If the transfer price were £15,000 then the final price would be £23,000. This would clearly have a significant effect on volumes sold and therefore profits. Another situation is where the receiving division must pay an **import tariff** on its receipts of the components. Here charging a low transfer price will reduce the amount of the tariff and so avoid the final good being priced out of the market.
- **They can lead to dysfunctional decisions** – if either division believes it can get a better deal from the market, it may take it. For example, if division B could obtain supplies of cars elsewhere, say from other dealers supplied by A, it might leave A with unsold stock. Conversely A might supply to alternative channels and leave B with empty showrooms and unabsorbed overheads.

Cost based methods of setting transfer prices

This leads to the inevitable problem of deciding which cost to use:

- **Full cost** – the variable costs plus an amount to cover overheads. This leaves the supplying division in a break-even situation.
- **Variable cost** (or marginal cost) – this leaves the supplying division making nil contribution and so enduring losses equal to its fixed costs.
- **Opportunity cost** – the revenue foregone by not selling the item to highest bidder.

Optimal transfer pricing requires that divisions sell components at the higher of variable cost and opportunity cost.

Other methods of setting transfer prices

Managers of divisions will want to record a profit. For this reason the following transfer price setting methods have been identified:

- **Negotiated prices** – the transfer price is established by discussions between the divisional managers in a bargaining process.
- **Two-part transfer prices** – the transfer price is set at variable cost to ensure corporate optimality but in addition to this price the supplying division records an extra amount in its sales ledger to arrive at a profit figure for evaluation purposes.
- **Dual pricing** – the receiving division records the transfer at standard variable cost which may aid decision making. The transferring division reports the transfer at a higher value (eg, cost plus) to give a profit incentive. This should lead to goal congruence but may lead to poor cost control as profits are made more easily. The accounting problem makes this method unpopular.

Considerations in transfer pricing

- Impact on group profitability
- Impact on product positioning – where the internal transfer price is also the price on external markets it will influence the positioning of the product
- Costs of the system – month ends determining and recording inter-company charges ('chasing wooden dollars') is a non-value adding activity
- Motivational impacts of the system – transfer prices affect evaluation of managers, bonuses for divisions and the purchasing decisions of the divisions



Professional skills focus: Structuring problems and solutions

Whilst Business Strategy and Technology is not a calculative exam, it is still expected that you can perform some basic calculations to support arguments in favour of, or against, a particular divisional structure. It is therefore important to understand the considerations involved in setting transfer prices, including the impact on divisional profitability.



Interactive question 4: Marble Makers Ltd

Marble Makers Ltd manufactures and sells high-end marble for use in domestic kitchens. The company's customers often pay a premium to purchase marble as part of bespoke kitchen designs.

The company has two divisions, the manufacturing division and the retail division. The manufacturing division is based in a factory in Kent, and it imports marble from overseas and finishes it to the customers' individual requirements. The retail division consists of four small shops located in wealthy areas across the UK. The managing director was keen to locate the shops as close as possible to those areas lived in by members of the target market. They believe that the shops act as a great showcase for Marble Makers' final product. The retail division is the manufacturing division's only customer.

The head of finance has provided the following projections for the two divisions for the next 12 months. These projections show external income and costs before any transfer price recharges:

	Manufacturing £m	Retail £m
Estimated retail sales	–	30
Variable costs	12	5
Fixed costs	7	3

Requirements

4.1 Calculate the expected profit or loss to be made by each division over the next 12 months. You should assume that transfer prices are based on the current arrangement of retail price less 40%.

4.2 Determine the transfer pricing formula (retail price less an appropriate %) which would enable the manufacturing division to break-even in the next 12 months. You should assume that costs are in line with the projections provided.

See **Answer** at the end of this chapter.

Interactive question 5: External offer

Unit costs	Division A £m	Division B £m
Variable	10.00	15.00
Transfer price	–	20.00
Fixed costs	5.00	10.00
Profit	5.00	25.00
Selling price	20.00	70.00

Division A can sell outside at £20 per unit or transfer internally to Division B at £20 per unit. B receives an offer from a customer of £30 per unit for its final product.

Requirements

5.1 Will B accept the offer of £30 per unit given the existing transfer price?

5.2 Is this the right decision from the company's point of view if:

- A has surplus capacity?
- A is at full capacity?

See **Answer** at the end of this chapter.

Interactive question 6: Full cost transfer price

A multi-product company has two divisions.

Unit costs for a particular product

	Manufacturing division £	Selling division £
Variable	20.00	15.00
Fixed (apportionment of costs incurred for all products)	11.00	–
	31.00	15.00

Transfers are at full cost. Ultimate selling price = £40.00

Are the transfers recommended from the point of view:

6.1 Of the company?

6.2 Of the selling division?

See **Answer** at the end of this chapter.

Interactive question 7: Full or variable cost?

A corporate power plant serving divisions A and B:

Power plant

Budgeted fixed cost per month: £10,000 Standard variable cost: £1/kwh
Actual total cost in January: £18,000

Usage of power plant in January

	A	B
Budgeted usage (kwh)	4,000	6,000
Actual usage (kwh)	4,000	2,000

Requirements

How much are A and B charged if:

7.1 The charge is based on full actual cost?

7.2 The charge is based on standard variable cost plus a share of budgeted fixed costs?

See **Answer** at the end of this chapter.

Business Model Structure

Sole traders, partnerships, and companies differ mainly in ownership, liability, and growth potential: sole traders offer simplicity but high personal risk, partnerships allow shared resources but can face conflicts, while companies provide limited liability and scalability but require more regulation.

Sole Trader

- ***Definition***: *A single individual owns and runs the business.*
- ***Advantages***:
  - ***Full control*** *over decisions and profits.*
  - ***Simple setup*** *and minimal paperwork.*
  - ***Direct tax treatment*** *(profits taxed as personal income).*
- ***Limitations***:
  - ***Unlimited liability*** *– personal assets at risk.*
  - ***Limited capital*** *(restricted to owner's resources).*
  - ***Continuity risk*** *– business may end if the owner stops.*

Partnership

- ***Definition***: *Two or more individuals share ownership, responsibilities, and profits.*
- ***Advantages***:
  - ***Shared expertise and resources*** *– partners bring diverse skills.*
  - ***Greater capital access*** *compared to sole traders.*
  - ***Flexibility*** *in management and profit-sharing agreements.*
- ***Limitations***:
  - ***Unlimited liability*** *(unless a limited partnership is formed).*
  - ***Potential conflicts*** *among partners.*
  - ***Profit sharing*** *reduces individual earnings.*
  - ***Continuity issues*** *if a partner leaves or dies.*

Company (Private/Public Limited)

- ***Definition***: *A separate legal entity owned by shareholders, managed by directors.*
- ***Advantages***:
  - ***Limited liability*** *– shareholders' personal assets are protected.*
  - ***Scalability*** *– easier to raise capital through shares or loans.*
  - ***Continuity*** *– existence is not tied to individual owners.*
  - ***Professional image*** *– often more credible with banks and investors.*

- ***Limitations***:
  - ***Complex setup*** – *requires registration and compliance with corporate law.*
  - ***Higher costs*** – *legal, accounting, and regulatory expenses.*
  - ***Less flexibility*** – *directors must follow governance rules.*
  - ***Profit distribution*** – *dividends may be taxed separately.*

Comparison Table

Feature	*Sole Trader*	*Partnership*	*Company*
Ownership	*Single person*	*2+ partners*	*Shareholders*
Liability	*Unlimited*	*Unlimited (unless limited partnership)*	*Limited*
Capital Access	*Limited*	*Moderate*	*High (shares, loans)*
Control	*Full*	*Shared*	*Directors/Board*
Continuity	*Ends with owner*	*Ends with partner exit/death*	*Perpetual*
Setup Complexity	*Very low*	*Low–moderate*	*High*
Tax Treatment	*Personal income*	*Personal income split*	*Corporate tax + dividends*

Strategic Analysis

- ***Sole traders*** *are best for small, low-risk businesses needing speed and independence.*
- ***Partnerships*** *suit professional services (law, accounting, consulting) where collaboration adds value.*
- ***Companies*** *are ideal for growth-oriented ventures needing external investment, credibility, and long-term sustainability.*

For Bangladesh context:

- *Many small businesses (shops, freelancers) operate as* ***sole traders*** *due to simplicity.*
- ***Partnerships*** *are common in professional firms and trading businesses.*
- ***Companies*** *(especially private limited) are preferred for manufacturing, tech startups, and financial services, as they attract investors and comply with Bangladesh Securities and Exchange Commission (BSEC) regulations.*

7 Organizational structures for international business



Section overview

- International business needs structures based on divisionalised structures but varied to reflect the national cultures of the countries where they are to be based.
- The steps in becoming an international (or transnational) organisation are outlined.
- The appropriate structure for an international business will depend on the stage of its international development and the tradeoff between local responsiveness and global coordination.

7.1 The development of overseas operations

With overseas operations, business structures are likely to be made complex by distance (geographical and cultural).

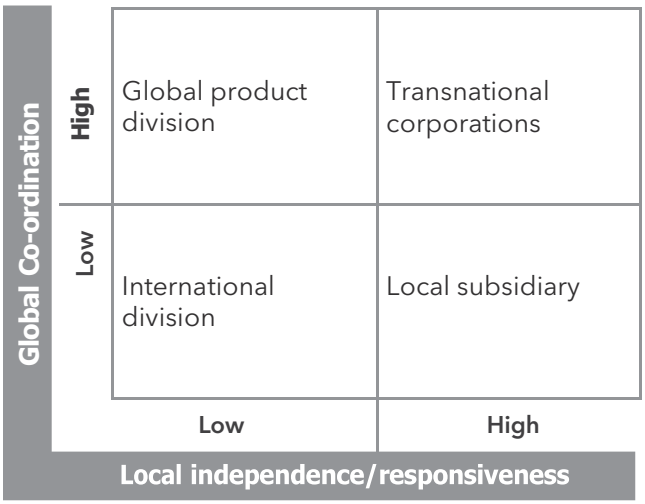
Organisational structures for international expansion often start by having a separate division for international activities. As growth occurs the business is often reorganized into divisions by geographical area or alternatively organized by worldwide product groupings. Eventually this may lead to a matrix structure.

The critical issue in devising an appropriate structure for an international business is the extent to which the need for local independence and responsiveness takes precedence over global coordination.

Thus, international businesses can follow a **multi-domestic strategy** where activities are located in individual national markets and products/services tailored to local needs, or a **global strategy** where standardised products are developed and produced centrally.

7.2 Multi-national business structures

Bartlett and Ghoshal identify four possible structures for a multi-national business: Figure 9.10: Multi-national business structures



International division – a stand-alone division added on to the domestic structure, which draws on the products and technology of the home business. Often observed when a business first starts to internationalise.

Local subsidiary – geographically based and operate independently. Local management has a high degree of autonomy. Appropriate for a business following a **multi-domestic strategy**.

Global product division – typical for a company following a **global strategy,** which will have separate world-wide divisions for soft drinks, alcoholic beverages etc.

The transnational approach – which attempts to achieve high local responsiveness and high global coordination, has been used by some international companies to build in strategic and organisational flexibility. The transnational corporation (TNC) is like a matrix. It involves having dispersed and interdependent subsidiaries, integrated into a worldwide operation, with different parts of the organisation specialising in different areas.

The TNC:

- co-ordinates **various stages** of the **production chain** between different countries;
- can take advantage of differences in geographical distribution in factors of production (eg, raw materials, skilled labour, access to capital) and government policies (eg, taxes, subsidies); and
- has geographical flexibility; it can switch resources and operations at an international and global scale.

8 Governance

Section overview

- At its broadest, corporate governance would cover all aspects controlling the organisation including its structure and systems. Here, it is restricted to a discussion of the role of the corporate board.
- Governance should take the overview of the direction of the business and consider the proper policies to deal with risk and the transparency of the appointment of directors etc.
- The governance of not-for-profit organisations requires greater transparency than the governance of businesses.

8.1 Introduction

Over the last two decades, in the wake of a series of major corporate scandals such as Enron, Worldcom, Volkswagen, and Lehman Brothers, there has been a growing concern to make board stewardship of public companies more effective.

It is important when deciding on an appropriate structure that practical matters of corporate governance are not forgotten. Areas to consider include:

- The split between executive and non-executive directors
- The possible establishment of an audit committee
- The possible creation of an internal audit function
- Building responsibility for risk management into job descriptions
- Creating a framework for communication with external and internal stakeholders

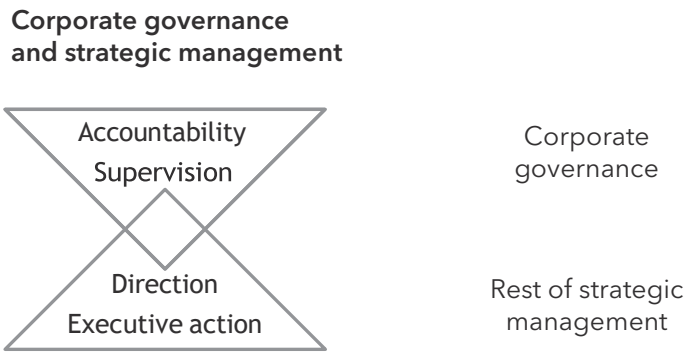
8.2 Strategy and governance

Definition

Corporate governance: The set of rules which governs the structure and determines the objectives of an organisation and regulates the relationship between the organisation's management, its board of directors and its shareholders.

- Corporate governance is about what the board of an organisation does and how it sets the values of the organisation, and is to be distinguished from the day-to-day management of operations by full-time business executives. The powers of executive managers to direct business operations are one aspect of governance, but management skills are not.
- Similarly, corporate governance is not concerned with formulating business strategy, although the responsibility of the board of directors and executive managers is for strategic decisions taken.

Figure 9.11: Strategy and governance



The diagram shows the distinction between governance and the rest of strategic management, with governance mainly concerned with accountability and supervision.

The **two-tier board form of governance** practised in Germany recognises this split. The upper, supervisory board is responsible for monitoring and overseeing the work of the executive board which runs the business, and has the power to hire and fire its members. The management body is responsible for direction and executive action. Thus the supervisory board is responsible for governance.

8.3 Structure of governance

The **UK Corporate Governance Code** (Financial Reporting Council, 2024) is a code of practice embodying a **shareholder-led approach to corporate governance.** The Code is a guide to a number of key components of effective board practice, based on the underlying principles of all good governance: accountability, transparency, probity (integrity) and focus on the sustainable success of an entity over the longer term.

The Code applies to all companies with a Premium Listing of equity shares on the London Stock Exchange, regardless of whether they are incorporated in the UK or elsewhere. Listing of shares is run by the UK Listing Authority (UKLA), which is part of the Financial Conduct Authority (FCA). The UKLA's Listing Rules require **all companies with a premium listing** to apply the Code's main Principles and to include in their annual reports **a statement of compliance** with the supporting principles and provisions of the Code or **an explanation of non-compliance** (which may be justified in certain circumstances provided good corporate governance is still achieved). **Other companies** can apply the Code more flexibly but are encouraged to follow it as an example of **'best practice'** and may experience pressure from their stakeholders if they do not adopt it.

The **key principles** set out in the five main sections of the Financial Reporting Council's (2024) Code are as follows:

(a) **Board leadership and company purpose.** The company should be headed by an 'effective and entrepreneurial board whose role is to promote the long-term sustainable success of the company' FRC, 2024: p.6). The board is expected to:

(1) Ensure that the company generates value for shareholders and society.

(2) Lead by example, establishing the company's purpose, values, strategy, and ensuring that these are aligned to the company's culture.

(3) Ensure the necessary resources are in place for the company to meet its objectives, and to measure performance against them.

(4) Provide effective engagement with shareholders and stakeholders.

(5) Ensure that practices are put in place to ensure that staff are able to raise matters of concern with the board.

(b) **Division of responsibilities.** There should be a clear **division of responsibilities** at the head of the company between the **running of the board** and the executive responsibility for the **running of the company's business**. 'The roles of the chair and chief executive should **not be exercised by the same individual'** (FRC, 2024: p.8). The chair is responsible for leadership of the board and ensuring its effectiveness in all aspects of its role.

'The board should include an appropriate **combination** of **executive** and **non-executive directors** (and in particular independent non-executive directors) such that no one individual or small group of individuals dominates the board's decision taking.' (FRC, 2024: p.8). The role of non-executives is seen as critical in preventing a listed company from being run for the personal benefit of its senior executive directors. The chair is responsible for ensuring that the board is supplied in a timely manner with **information** to enable it to discharge its duties.

Non-executive directors should **constructively challenge** and **help develop proposals on strategy**. Non-executive directors should have **sufficient time** to discharge their responsibilities effectively.

(c) **Composition, succession and evaluation**. 'Appointments to the board should be subject to a formal, rigorous and transparent procedure' (FRC, 2024: p.10).

The board and its committees should have the appropriate balance of skills, experience, and knowledge of the company to enable them to discharge their respective duties and responsibilities effectively.

All directors should be subject to annual re-election.

The board should undertake an annual evaluation which considers its 'performance, composition, diversity and how effectively members work together to achieve objectives' (FRC, 2024: p.10).

(d) **Audit, risk and internal control.** The board needs to establish procedures to ensure the independence and effectiveness of internal and audit functions, and to satisfy itself of the integrity of the company's financial and narrative statements.

Also, the board should present a fair, balanced and understandable assessment of the company's position and prospects' in those statements (FRC, 2024. p.11).

The board should put in place measures to manage risk, part of which involves determining 'the nature and extent of the principal risks the company is willing to take in order to achieve its long- term strategic objectives' (FRC, 2024: p.11).

The directors should confirm in the annual report that they have carried out a robust assessment of the principal risks facing the company, including those that would 'threaten the company's business model, future performance, solvency or liquidity and reputation' (FRC, 2024: p.13). The directors should describe those risks and explain how they are being managed or mitigated.

'The board should monitor the company's risk management and internal control framework and, at least annually, carry out a review of its effectiveness. The monitoring and review should cover all material controls, including financial, operational, reporting and compliance controls' (FRC, 2024: p.13). The board should establish an audit committee of at least three or, in the case of smaller companies, two independent non-executive directors.

'In annual and interim financial statements, the board should state whether it considers it appropriate to adopt the going concern basis of accounting in preparing them, and identify any material uncertainties to the company's ability to continue to do so over a

period of at least twelve months from the date of approval of the financial statements.' (FRC, 2024: p. 14).

(e) **Remuneration.** Executive directors' remuneration should be designed to support strategy and promote the long-term success of the company. There should be a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual directors.

A remuneration committee of independent non-executive directors should have delegated responsibility for setting remuneration for all executive directors and the chair. 'No director should be involved in deciding their own remuneration, […] remuneration for all non-executive directors should not include share options or other performance-related elements' (FRC, 2024: p.15).

(**Source**: Financial Reporting Council (2024) *UK Corporate Governance Code* [Online] Available from: https://www.frc.org.uk/library/standards-codes-policy/corporate-governance/uk-corporate-governance-code/ [Accessed 7 May 2024])

8.4 Reward structures

The remuneration committee exists in public companies for the purpose of demonstrating to shareholders and any other interested parties that there is an objective process for determining the financial rewards of directors and any senior staff who are remunerated on a performance related system. The committee is composed of non-executive directors; members of the firm of external auditors have also sat on the remuneration committee.

The committee has delegated responsibility for setting remuneration for all executive directors and the chair. The committee should also recommend and monitor the level and structure of remuneration for senior management. The board of directors implements the necessary recommendations.

Issues considered by the committee would include the following:

- Remuneration levels for non-executives
- Length of service contracts for executive directors
- Performance related systems of reward
- Pension contributions
- Compensation for loss of office
- Share option schemes

It is important to remember that the corporate governance issues on rewards extend to the entire reward package of individual directors, as well as to the reward policy generally.

The package may consist of:

- Annual compensation (basic salary, pension contributions by the company for the individual, payments by the company into a personal pension scheme arrangement for the individual, a bonus (often a cash bonus) tied perhaps to the annual financial performance of the company and various perks, such as membership of the company's health insurance scheme, private use of company aircraft or boats, and so on).
- Long-term compensation, consisting of share option schemes or company shares or the award of additional options depending on long-term performance indicators.
- A severance payment arrangement, whereby the company is committed to giving the individual a minimum severance payment if they are forced to leave the company.

It is often useful to think of a reward package as a combination of fixed and variable elements:

- The fixed elements are the remuneration received by the director regardless of performance, such as fixed salary and salary-related pension.
- The variable elements are the performance-related elements (cash bonuses, awards of share options or shares depending on performance, etc).

8.5 Role of the board and non-executives

Boards of directors in the UK have five principal roles:

- **Accountability** – the liability to render account to someone else

  A director is accountable to the shareholders, at common law or by statute, and the company's annual report and accounts, for example, should be presented to the shareholders for approval.
- **Supervision** – monitoring and overseeing management performance
- **Direction** – formulating the strategic direction in the long term
- **Executive action** – involvement in implementing and controlling strategy
- **Risk assessment and management** – determining the nature and extent of the risks the company is willing to take to achieve its objectives and ensuring good practices in risk management

The 'tone at the top' sets the pattern for the way in which a company conducts itself, and board members should give ethical leadership. A board of directors should have the necessary skills, experience and integrity, both individually and collectively, to govern the company effectively.

A lack of collective experience among the board members will affect the quality of decision-making by the board.

The board of directors should exercise full control and monitor executive management.

- There should be a clearly accepted division of responsibility to ensure a balance of power between the role of the chair and chief executive.
- The board should recruit non-executive directors of sufficient calibre and number.
- The board should have a formal schedule of matters for decision to ensure that direction is firmly in its hands.
- All directors should take independent professional advice where necessary at the company's expense.

Non-executive directors (NEDs) should bring an independent viewpoint to the issues of strategy, performance, resources and standards of conduct. They should be independent of management and free of any responsibility that could materially interfere with the exercise of independent judgement apart from their fees and shareholding. Fees should be time-related and reflect responsibilities.

NEDs should be appointed by a formal selection process and appointment approved by the board for a specific term subject to re-election – their re-appointment should not be automatic.

Non-executive directors should scrutinise the performance of management in meeting agreed goals and objectives, and monitor the reporting of performance.

They should satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible. They are responsible for determining appropriate levels of remuneration of executive directors and have a prime role in appointing and, where necessary, removing executive directors, and in succession planning.

Directors' duties

You should be familiar with the duties of directors from your earlier law studies. As you will recall the UK Companies Act 2006 places the following 'general duties' on company directors:

Duty	Explanation
To act within powers (s.171)	Directors must: • Act in accordance with the company's constitution. • Exercise powers only for the purpose for which they were

Duty	Explanation
	conferred.
To promote the success of the company (s.172)	Directors must act in the way they consider, in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole.
To exercise independent judgment (s.173)	It does not mean that they are not exercising independent judgment where they act in accordance with: • an agreement duly entered into by the company that restricts the future exercise of discretion by its directors; or • the company's constitution.
To exercise reasonable care, skill and diligence (s.174)	The care, skill and diligence that would be exercised by a reasonably diligent person with: • The general knowledge, skill and experience that may reasonably be expected of a person performing their functions as director. • Actual general knowledge, skill and experience.
To avoid conflict of interest (s.175)	A director must avoid a situation in which they have or could have a direct or indirect interest that conflicts or possibly may conflict with the interests of the company or another duty.
Not to accept benefits from third parties (s. 176)	A director must not accept a benefit from a third party by reason of their: • being a director; or • doing (or not doing) anything as director (unless the acceptance of the benefit cannot reasonably be regarded as likely to give rise to a conflict of interest).
To declare interest in proposed transaction or arrangement (s.177)	Provided the director is, or ought reasonably to be, aware of the situation, they must declare the nature and extent of any such interest (direct or indirect) to the other directors, unless it cannot reasonably be regarded as likely to give rise to a conflict of interest.

8.6 Cybersecurity and the board

In the chapter, Strategic capability,' we discussed the growing importance that cybersecurity plays in helping businesses protect the IT/IS infrastructures used in their supply chains. The concept of cybersecurity is explored in greater detail in chapter Strategies for information, however it is worth highlighting the greater expectations that are now being placed on the board of directors in terms of managing cyber risks effectively.

A report from security specialists Savanti, called 'Effective Board Governance of Cyber Security: A Source of Competitive Advantage,' recommends a number of measures which corporate boards should instigate so that they are better able to respond to the threats posed by cyber risks. The board is ultimately responsible for cybersecurity and the report includes recommendations to address this issue:

Understand their unique role as a board

The report suggested that corporate boards should focus on resilience and recovery, remaining up- to-date and being prepared to respond as a board in the event of a cyber incident

Be appropriately informed about technology, data and cybersecurity

At least one non-executive director should have experience in technology, digital, data, cybersecurity or other forms of security, such as physical or supply chain.

Put cybersecurity on the board's agenda

The report recommends that cybersecurity should feature at least quarterly when there is something critical ongoing and the board report should be delivered by the chief information and security officer (CISO). In instances where the company has particularly high data and cyber risks, it is recommended that a separate technology committee is set up.

Provide directors and the executive team with access to independent cybersecurity advisers

It is recommended that the CEO, CFO, CISO and non-executive directors in particular are provided with independent advice, coaching and mentoring to fill knowledge and skills gaps. This can help the board to prioritise issues and balance the operational requirements of the business against the need to maintain cybersecurity.

The recommendations mentioned here link closely to the concept of risk management, which is discussed further in the chapter, 'Risk management.'

(Source: Brinson, R. and Briggs, R. (2023) *Effective Board Governance of Cyber Security – A source of competitive advantage* [Online] Available from: https://info.savanti.co.uk/hubfs/Savanti%20Insight%20%E2%80%93%20Effective%20Board%20Gove rnance%20Of%20Cyber%20Security.pdf?hsCtaTracking=de8e84a5-57d1-4576-aef4-4dba891eed32%7Cb48719b7-8e2c-455e-8264-3e5777fb1d9f [Accessed 3 May 2024])

8.7 Board role in sustainability

Investors and other external stakeholders are placing increasing importance on environmental, social and governance (ESG) issues, recognising their importance in delivering long-term business value.

Equally employees and management want to work for companies that are actively addressing ESG issues and giving back to society and the environment. The board therefore has a key oversight role in ensuring that the organisation effectively monitors and manages ESG factors. Some considerations for the board with regard to managing ESG factors include:

- Ensuring that the board has the necessary expertise and skills to manage ESG risks and opportunities
- Ensuring that ESG risks and opportunities are integrated into the company's long-term strategy
- Communicating regularly with investors and stakeholders regarding the company's approach to managing sustainability, identifying risks and mitigating actions
- Ensuring that regulatory ESG reporting requirements are met, using appropriate reporting frameworks and standards

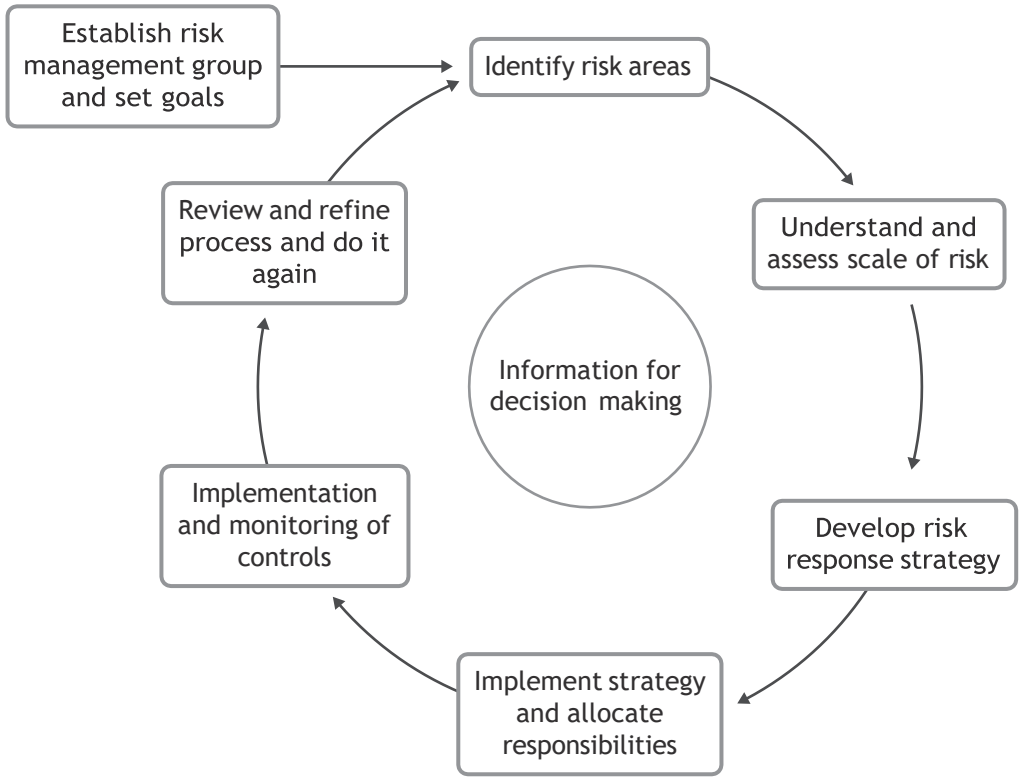
8.8 Risk profiles

An issue in corporate governance is that the directors of companies might take decisions intended to increase profits without giving due regard to the risks. In some cases, companies may continue to operate without regard to the changing risk profile of their existing businesses. The **moral hazard** to shareholders from the increasing risk profile of a firm is greater than to its directors. Shareholders stand to lose some or all of the value of their investment in the business. To shareholders, investment risk is important, as well as high returns.

Directors, on the other hand, are rewarded on the basis of the returns the company achieves, linked to profits or dividend growth, and their remuneration is not linked in any direct way to the risk aspects of their business. Risk assessment and risk management is now recognised, particularly in the UK, as an ingredient of sound corporate governance and greater emphasis has been placed on this in recent revisions to the Corporate Governance Code.

The duties of the board of directors include robustly assessing the principal risks facing the company, ensuring that there is an operative and effective framework of prudent controls which enables the risk to be assessed and managed. Shareholders should feel confident that the board is aware of the risks faced by the company, and that a system for monitoring and controlling them is in place. The risk management cycle is an interactive process of identifying risks, assessing their impact, and prioritising actions to control and reduce risks.

Figure 9.12: The CIMA risk management cycle



('The CIMA risk management cycle', taken from *Fraud Risk Management: A Guide to Good Practice*.)

Once the risks have been identified and assessed, and the organisation's risk appetite has been set, strategies can be developed by the risk management group to deal with each risk that has been identified.

Strategies could include:

- Ignoring small risks (but ensuring that they remain under cyclical review)
- Contractual transfer of risk
- Risk avoidance
- Risk reduction via controls and procedures
- Transferring risks to insurers

Risk management is covered in more detail in the chapter, 'Risk management.'

Interactive question 8: Director's remuneration

Explain and assess the impact of various components of remuneration on a director's behaviour:

- Performance related bonuses
- Transaction bonuses
- Share options

See **Answer** at the end of this chapter.

Interactive question 9: Happy Harvester Ltd

Happy Harvester Ltd (HH) is a family-owned business, based in Norfolk, England. HH manufactures combine harvesters for use by farmers of grain crops. The widespread use of combine harvesters in global agriculture helps to save farmers time during the annual harvesting process. Combine harvesters are capable of cutting and collecting vast quantities of crops including wheat, oats and corn, which would otherwise be extremely labour intensive if performed manually.

Farid Dehghan is the managing director of HH, and is the son of the original founder. In recent years HH has experienced significant growth in demand for the machines it manufactures. The company's growth is being heavily driven by increasing orders from large farms in developing countries including China and India. Farid recognises that the continued success of HH lies in the company's ability to innovate the types of machines the company makes. Due to global environmental concerns coupled with growing demand for more efficient combine harvesters, HH is constantly under pressure to reduce the emissions generated by its machines.

To fund the significant research and development costs associated with innovating new models of combine harvester, Farid is considering an Alternative Investment Market (AIM) listing. However, they have some concerns. During a recent meeting with their accountant, Farid commented: 'I have done some preliminary reading around obtaining an AIM listing, and I know that if we offer some shares to the public there are governance implications for how we run the company, which will increase our responsibilities towards a wider group of stakeholders. I am particularly concerned that we will not be able to take the same risks in our approach to business. I'm worried our results will suffer, even if we do have better access to finance for research.'

Requirement

Explain the impact that an AIM listing is likely to have on HH and the likely changes that are going to be required to the company's governance and risk management processes.

See **Answer** at the end of this chapter.

8.9 Governance of government, public and non-profit organisations

This section applies to the following:

- **Government** – areas like defence and the law, which are the responsibility of the nation state
- **Public** – the provision of health, transport, energy and other services which may be the responsibility of the state or may have been privatised, depending on the political views of the government
- **Not-for-profit** – institutions that work for the common public good but are independent of the state (eg, charities, trusts and similar institutions)

  In profit-oriented organisations, the board's minimum responsibilities are established by statute, regulation and case law. Many corporate boards also assume broader

responsibilities in other key areas, such as health and safety or environmental practices. No similar set of legal minimum responsibilities exists for non-profit organisations' boards. Many of the issues are the same but there are some that are of specific importance to these sectors:

- **Accountability**: This is fundamental to the corporate governance of public bodies, and in recent years, the voluntary sector with regard to both the proper stewardship of public and donated funds and the increasing demand for service users to be involved in decision-making.
- **Stakeholders**: Whilst commercial companies are primarily accountable to the shareholders, organisations in the public and voluntary sectors are accountable to a wide range of stakeholders, including service users, the general public, funders and national government. Issues of accountability are not clear-cut and conflicts can arise, eg, charity trustees have a legal duty to act in the interests of their beneficiaries, but if the charity is a membership body this may conflict with the wishes of members.
- **Openness and transparency**: There is a demand for open government and a distrust of decisions taken 'behind closed doors.' Voluntary organisations also face calls for transparency.
- **Governance/board structures**: The unitary board is not common in these sectors. Boards, or their equivalent, may be directly elected or appointed, and are often volunteer-based.
- **Monitoring performance**: In recent years, a major emphasis in the public sector has been on performance measurement and evaluation. Increasingly voluntary organisations are beginning to look at ways of measuring outcomes.

  Each group involved in a not-for-profit organisation – its board, management, staff, volunteers, donors and others – plays a part in its governance system.

The board's role and activities can be examined in terms of five distinct areas:

- **Responsibilities and mandate**: In profit-oriented organisations, the board's minimum responsibilities are established by statute, regulation and case law. No similar set of legal minimum responsibilities exists for NFP boards. The board bears the ultimate responsibility, though it usually delegates the authority to run the organisation to a CEO and a management team. The board's primary role is to oversee management and ensure that the NFP's affairs are being conducted in a way which achieves the organisation's objectives. NFP boards should have responsibility for:
  - strategic planning for the organisation;
  - risk identification and management;
  - management effectiveness and succession;
  - communications with stakeholders; and
  - internal control and management information systems.
- **Structure and organisation**: The structure and mandates of the board and each of its committees should be documented, to help ensure that board members, management and the NFP's stakeholders clearly understand the board's role. The board should also consider the qualifications it requires of individual board members to help them carry out the board's responsibilities.
- **Processes and information**: Processes of decision-making and consultation should be open and will need to conform to procedures laid down in statute law (eg, planning applications) or in accordance with procedures laid down by the organisation itself. Information must be provided to interested parties and may be subject to various legal duties of disclosure.
- **Performance assessment and accountability**: Boards of directors are accountable for their actions, and board members of all organisations are exposed to a growing personal liability resulting from the actions of the board and the organisation as a whole. Even

though NFP board members are volunteers, their liability is the same as that of remunerated members of corporate boards. The responsibilities of board members include:

- acting in good faith, in the best interests of the NFP;
- avoiding conflicts of interest;
- being diligent with regard to board meetings and obtaining information; and
- obtaining a degree of confidence regarding the CEO's integrity and ability.

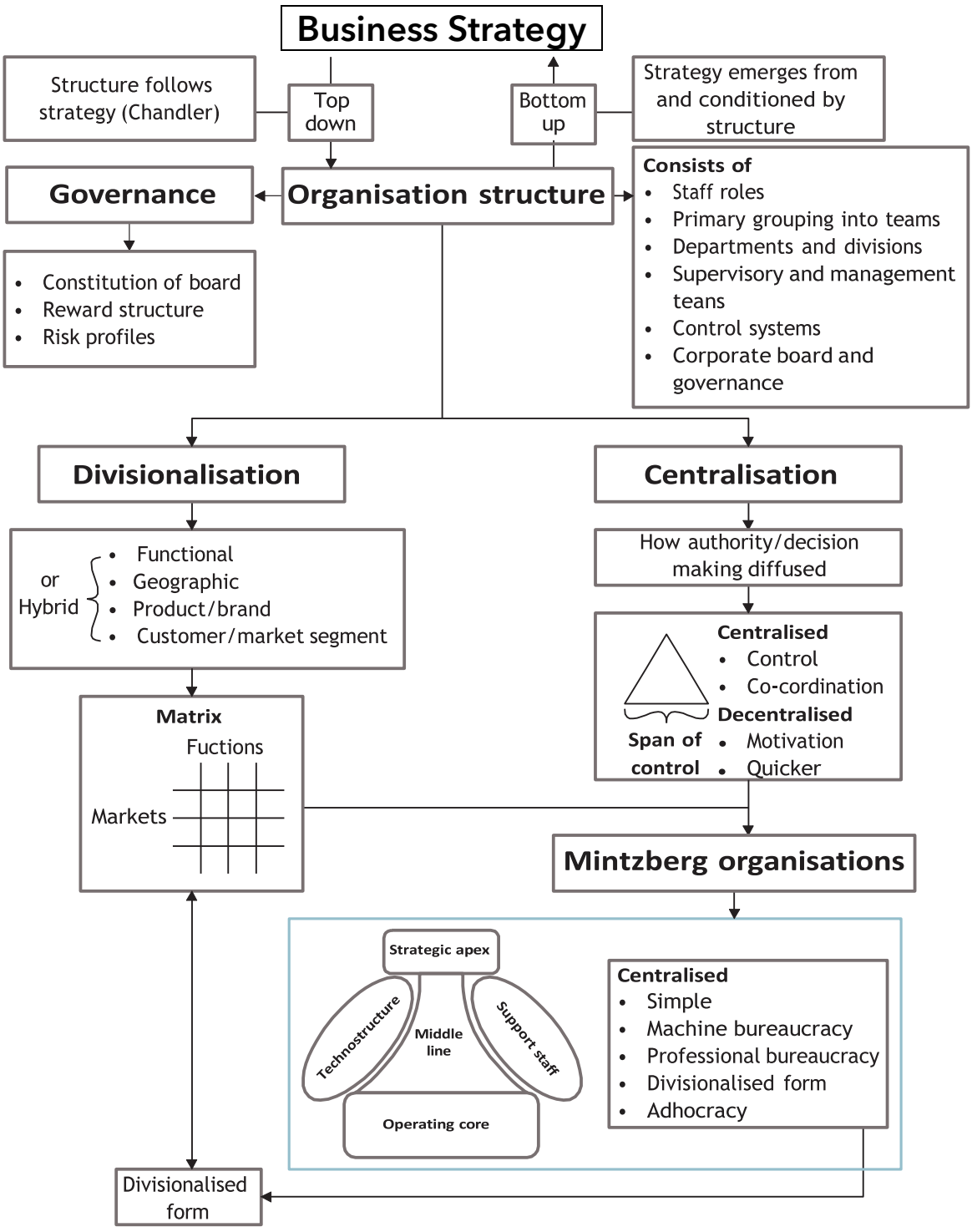
- **Organisational culture**

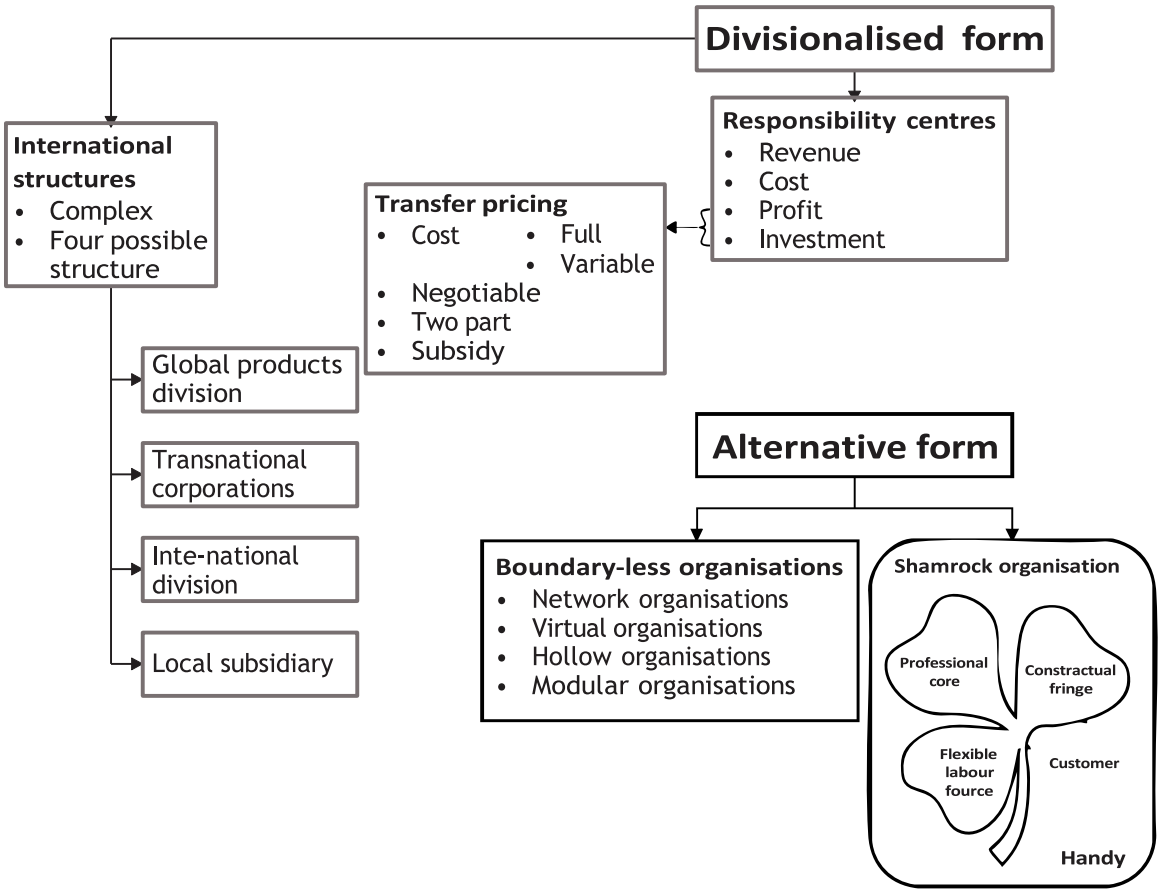
  A key development for the corporate governance of the UK public sector was the Nolan Committee on Standards in Public Life.

The Nolan Seven Principles of Public Life include:

- **Selflessness** – holders of public office should take decisions solely in terms of the public interest. They should not do so to gain financial or other material benefits for themselves, their family or their friends.
- **Integrity** – holders of public office should not place themselves under any financial or other obligation to outside individuals or organisations that might influence them in the performance of their duties.
- **Objectivity** – in carrying out public business, including making public appointments, awarding contracts or recommending individuals for rewards and benefits, holders of public office should make choices on merit.
- **Accountability** – holders of public office are accountable for their decisions and actions to the public and must submit themselves to whatever scrutiny is appropriate to their office.
- **Openness** – holders of public office should be as open as possible about the decisions and actions that they take. They should give reasons for their decisions and restrict information only when the wider public interest clearly demands.
- **Honesty** – holders of public office have a duty to declare any private interests relating to their public duties and to take steps to resolve any conflicts arising in a way that protects the public interest.
- **Leadership** – holders of public office should promote and support these principles by leadership and example.

Summary


Business Strategy
Structure follows strategy (Chandler)
Top down
Bottom up
Strategy emerges from and conditioned by structure
Governance
Organisation structure
Consists of
Staff roles
Primary grouping into teams
Departments and divisions
Supervisory and management teans
Control systems
Corporate board and governance
Constitution of board
Reward structure
Risk profiles
Divisionalisation
Centralisation
or Hybrid
Functional
Geographic
Product/brand
Customer/market segment
How authority/decision making diffused
Centralised
Control
Co-cordination
Decentralised
Motivation
Quicker
Span of control
Matrix
Fuctions
Markets
Mintzberg organisations
Strategic apex
Technostructure
Middle line
Support staff
Operating core
Centralised
Simple
Machine bureaucracy
Professional bureaucracy
Divisionalised form
Adhocracy
Divisionalised form


Divisionalised form
Responsibility centres
• Revenue
• Cost
• Profit
• Investment
Transfer pricing
• Cost
• Full
• Variable
• Negotiable
• Two part
• Subsidy
International structures
• Complex
• Four possible structure
Global products division
Transnational corporations
Inte-national division
Local subsidiary
Alternative form
Boundary-less organisations
• Network organisations
• Virtual organisations
• Hollow organisations
• Modular organisations
Shamrock organisation
Professional core
Constractual fringe
Flexible labour fource
Customer
Handy

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
(1)	What is the contingency approach to organisational structure? (Topic 1)
(2)	What are the six components of organisational structure according to Mintzberg? (Topic 2)
(3)	Can you explain the different types of divisionalisation and the advantages and disadvantages of each? (Topic 3)
(4)	What types of flexible structure could an organisation adopt? (Topic 5)
(5)	What factors should be taken into account when setting a transfer price between divisions? (Topic 6)
(6)	What is the board's role in ensuring effective governance in non-profit organisations? (Topic 8)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
1 Greenleaf	This question is a good example of an exam requirement. You are asked to recommend, with reasons, an appropriate organisation structure based on information provided in a short scenario.
9	This problem-solving question requires you to identify the source of a problem that has arisen as well as suggesting potential solutions. Solutions should be practical and useful for the company in the question, demonstrating good application.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Ordio Ltd (September 2021)	Part 2 requires you to analyse Ordio's organisational structure and assess the extent to which it supports innovation and competitive advantage. Although the question does specifically reference a particular theory of structure, it can be helpful to apply theoretical models to create a clear structure for your analysis. Use your knowledge and judgement to select the model(s) that help you to best explain the situation.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries.

Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 Greenleaf Ltd

Greenleaf Ltd has grown from a small entrepreneurial company of five staff to a larger organisation of 35. The growth, though welcome, has thrown Greenleaf into chaos.

No-one is sure what they should be doing and mistakes are beginning to be made.

Requirement

Recommend, with reasons, a suitable organisation structure and suggest the mechanism required to co-ordinate the various parts of the organisation.

2 Suggest two ways in which a company can ensure corporate governance processes are incorporated into the organisation structure.

3 What is a professional bureaucracy?

Give two examples of organisations that would suit this form of structure.

4 What is meant by a matrix organisation structure?

5 Compare and contrast centralisation and decentralisation.

6 How do 'the location and complexity of the work' and 'the degree of delegation possible' influence the span of control?

7 Travel Fast Ltd

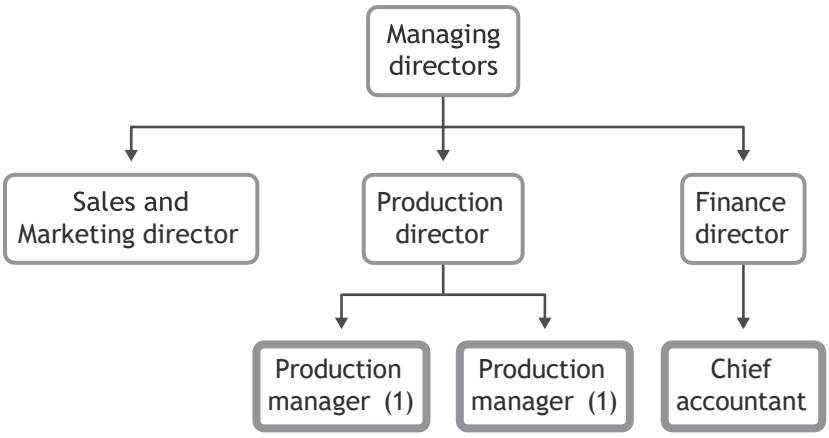
Travel Fast Ltd is an established bus company. Its organisation chart shows a three-tier structure of directors, managers and drivers.

Requirement

What factors will influence the span of control of the managers?

8 A substantial architectural practice designing and managing the construction of various buildings is likely to be best suited to a matrix organisational structure. Why?

9 Within a manufacturing business an excerpt from the organisation chart is as follows:
Organisation chart



The chief accountant is collating budget information for the coming year and the production managers (after reference to the chart) are unwilling to supply figures, saying they report to the production director.

Requirement

Explain why the problem has arisen and how it can be solved.

10 In the context of international structures, explain the difference between a 'global product division' and a 'local subsidiary' and suggest when each might be appropriate.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Adhocracy

1.2 Professional bureaucracy

Answer to Interactive question 2

The bank basically serves two markets: the personal sector and the corporate sector. However, it would perhaps be ill advised to organise the bank **solely** on that basis because:

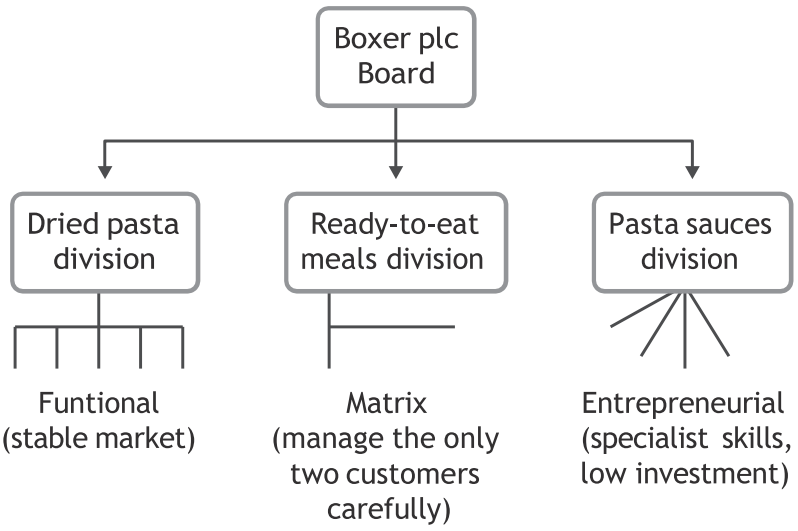
The banking needs of customers in the **personal sector** are likely to be quite distinct. This market is naturally segmented geographically. Despite the fact that most online and telephone banking services can nowadays be accessed globally, users of both services are still likely to require the online portal to be set out using their home language, home currency, with tech support being available from their home nation. Furthermore, different countries are likely to have different banking regulations which will need to be complied with, this reinforces the argument for geographic segmentation. In addition the telephone banking staff will need to able to speak the same language as customers, with staff available at all times of the day, this therefore lends itself to an organisational structure which takes account of local conditions.

For the personal sector, a geographic organisation would be appropriate, although with the centralisation of some common administrative functions, so that the bank gains from scale economies and avoids wasteful duplication.

For the **corporate sector**, different considerations apply. If the bank is providing sophisticated foreign currency accounts, these will be of most benefit to multi-nationals or companies which regularly export from, or import to, their home markets. A geographical organisation structure may not be appropriate, and arguably the bank's organisation should be centralised on a Europe wide basis, with the country offices, of course, at a lower level.

Answer to Interactive question 3

Boxer plc structure:



Answer to Interactive question 4

4.1 Profits and losses – transfer price based on existing basis

	M Division	R Division
	£m	£m
Estimated retail sales	–	30
Estimate sales/purchases (at 60% of retail sales)	18	(18)
Variable costs	(12)	(5)
Fixed costs	(7)	(3)
Loss/profit	(1)	4

4.2 Transfer price set on break-even basis

Sales needed to break-even = £19m (£12m + £7m)

19m ÷ 30m = 0.633
Transfer price needs to be Retail price less 36.66%

Answer to Interactive question 5

5.1 Division B would **reject** the offer as there is a negative contribution of – £5 (30 – 20 – 15).

5.2 If A has **surplus capacity**, it is acceptable to the company, as contribution is £5 (30 – 15 – 10). If A is at **full capacity**, there is a lost external sales contribution in A of £10.
Therefore, for the company, contribution = – £5, thus reject. (B may also lose contribution.)

Answer to Interactive question 6

6.1 **Company** – transfers recommended, as contribution = £5 (40 – 20 – 15)

6.2 **Selling division** – transfers not recommended, as contribution = – £6 (40 – 31 – 15)

Answer to Interactive question 7

7.1 The charge is based on full actual cost:

	A	B	
Actual recharge	£18,000/6,000 × 4,000	£18,000/6,000 × 2,000	
	= £12,000	= £6,000	£18,000
Expected recharge (per kwh)			
£1 + £10,000/10,000 = £2/kwh	4,000 × £2	2000 × £2	
	£8,000	£4,000	£12,000

7.2 The charge is based on standard variable cost plus a share of budgeted fixed costs:

	£	£	
Proportion of budgeted fixed cost according to budget usage	4,000	6,000	
Standard variable cost of actual usage	4,000	2,000	
	8,000	8,000	£16,000

In power plant £(18,000 – 16,000) = £2,000 adverse variance remaining uncharged due to inefficiency.

Answer to Interactive question 8

Performance related bonuses: Directors may be paid a cash bonus for improving the performance of the company. Performance related bonuses can be effective in aligning the interests of the directors with those of the shareholders, as improved company performance may help to trigger bonus payments. The danger with performance related bonuses is that if not adequately controlled, directors may be incentivised to take short term decisions to improve performance to the detriment of the company's longer term performance simply to trigger bonus payments. To guard against excessive payouts, some companies impose limits on bonus plans as a fixed percentage of salary or pay.

Transaction bonuses tend to be much more controversial. Some chief executives get bonuses for acquisitions, regardless of subsequent performance, possibly indeed further bonuses for spinning off acquisitions that have not worked out. The danger with such schemes is that it may encourage directors make acquisitions simply for the sake of it and not because it benefits the company. Again, such behaviour may be to the detriment of the company if bonuses are being paid in respect of acquisitions which do not workout.

Share options give directors the right to purchase shares at a specified exercise price over a specified time period in the future. If the price of the shares rises so that it exceeds the exercise price by the time the options can be exercised, the directors will be able to purchase shares at lower than their market value. Such schemes can be effective in encouraging directors to stay with the company over the longer term as share options act as an incentive for directors to work harder at improving the company's performance. It is likely that share options will influence the level of risk that the directors are prepared to take as the pursuit of high-risk strategies may reflect negatively on the company's share price, which may diminish the potential return the directors may be able to realise when they exercise their options. Share options may also help to ensure that directors focus on the company's share price as opposed to focusing solely on profit measures.

(The UK Corporate Governance Code 2018 highlights that non-executive directors should not be offered share options or other performance-related measures, as they may impact upon their independence.)

Answer to Interactive question 9

Governance and risk management as a result of listing

Happy Harvesters Ltd is currently 100% family-owned. By listing on AIM it will become a part publicly-owned company with a wider range of range of shareholders. This may give rise to possible agency issues as the owners and managers of HH will no longer necessarily be the same individuals.

Institutional shareholders are likely to have expectations concerning the corporate governance of HH – where corporate governance is about the relationship between the HH board and external stakeholders. Companies listed on the Alternative Investment Market (AIM) are not required to follow the 'comply or explain' aspects of the UK Corporate Governance Code. However, AIM companies are required to report that they have followed the provisions of a recognised corporate governance code. Following the provisions of a recognised corporate governance code should help to increase investor confidence.

HH may benefit by going beyond minimum regulatory requirements and adopting a positive approach to corporate governance, HH is likely to be more successful in satisfying the needs of stakeholders which may help to improve the company's competitive advantage especially if this helps to attract more investors.

As HH has been a growing business to date, it is likely that the company will have already put in place some form of internal controls and management information systems to help the company meet its objectives and create a culture of innovation. When HH lists the company should ensure that the corporate governance provisions surrounding the principles of leadership and the division of responsibilities are adopted. Such provisions will require the separation of the roles of the chair and CEO. The chair should be solely responsible for running the board and the CEO responsible for running the company.

HH should also look to appoint some independent non-executive directors to ensure that the board has the necessary skills to govern the effectively.

Risk management

Farid is concerned that by taking HH onto AIM that they will not be able to take the same types of risk. Clearly, to continue the company's success the directors will need to give consideration to the risks attached to the strategic decisions they make. External shareholders need to have confidence that the board is aware of the risks HH faces and have systems in place for monitoring them. As a result Farid will need to ensure that there are systems in place to identify the strategic, operational, financial and hazard risks faced by the business. The scale of the risks can then be assessed, and appropriate priorities determined for risk mitigation. Risks can then be dealt with according to the TARA model – transfer, avoidance, reduction or retention (discussed in the chapter Risk management).

For example HH could take steps to reduce the reputational risks that may arise as a result of the high levels of emissions that the company's combine harvesters currently emit.

Given the nature of HH's business the board and management will need to take into account any legal requirements such as health and safety in the manufacturing process.

Answers to Self-test questions

1 Greenleaf Ltd

Recommendation – functional (bureaucratic)

Reasons:

- Formal job descriptions
- Clear reporting lines
- Formal procedures

Co-ordinating mechanism – standardisation of work.

2 Two of the following:

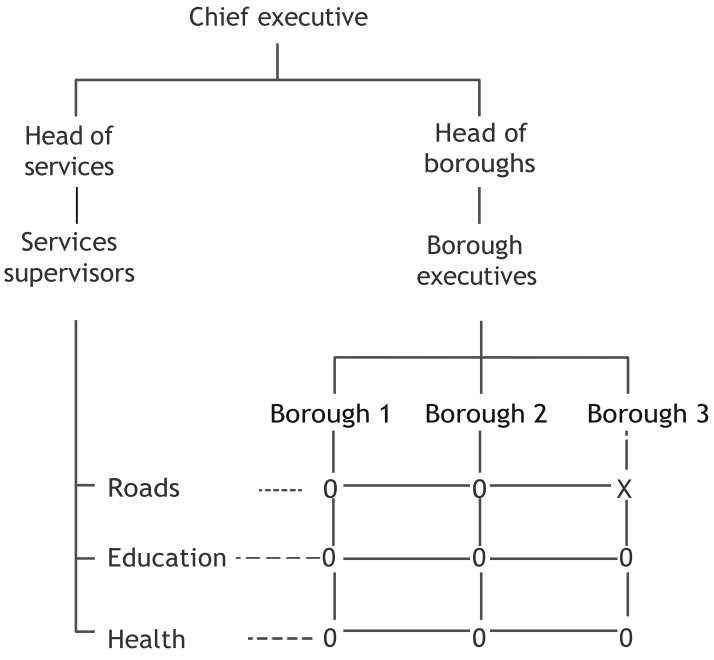
- Appoint both executive and non-executive directors to the board
- Establish an audit committee to oversee the board
- Create an internal audit function

3 An organisation where the main building block is the operating core (professionally skilled staff) and the controlling mechanism is the standardisation of skills.

Suitable organisations:

- Solicitors' practice
- GP practice
- Accountants' practice

4 The matrix structure involves overlaying a second set of hierarchical connections over the first but at right angles to it. As an example, consider a county council.



In this structure, service supervisors for roads, education, health, etc in accounting, economics and marketing report to the head of services. Borough executives report to the head of boroughs. Each carries equal weight in terms of authority.

An individual (X above) who is part of Borough 3 may at the same time be part of the team responsible for roads. Thus, the individual reports two ways – to the service supervisor and to the borough executive, and is subject to two lines of authority.

5 A centralised structure is a condition where the upper levels of an organisation's hierarchy retain the authority to make most decisions. The authority of lower levels to make decisions is very limited.

A decentralised structure is a condition where authority to make most decisions is passed down to lower levels of the hierarchy.

Upper levels of the hierarchy tend to set organisation objectives and strategies; lower levels are left to decide about detailed operational plans and take day-to-day decisions.

Decisions are taken quicker and are often better than in centralised systems as they are made by people with the relevant skills/knowledge. Delegation is part of decentralisation because authority must be delegated for decentralisation to occur.

6 Influencing the span of control:

- **The location and complexity of the work**: If the work is technically sophisticated, requiring a range of technical expertise or is physically widely distributed, then the smaller should be the span of control.
- **The degree of delegation possible**: The degree to which authority can be delegated to subordinates to carry out their tasks, which in turn is influenced by the ability of the subordinates. The less supervision required, the more the subordinates who can be controlled, eg, an audit team.

7 Travel Fast Ltd

The following factors influence the span of control.

(1) Drivers should understand what is required of them without much guidance, eg, sticking to a set timetable with fixed stopping points.

(2) Face to face contact is not often necessary.

(3) Objective measures can be used to evaluate performance, eg:

- Bus mileage
- Takings per trip
- Customer complaints

The managers' span of control is likely to be fairly large.

8 A single design director or project management director is unlikely to be able to control all the projects of the practice at one point in time.

This overall directorship role would be allied with individuals or teams controlling individual jobs, eg:

Design director:

Project 1

- Designer A
- Manager B

Design director

- Designer C
- Manager D

9 The problem arises from two aspects of the organisation chart.

(1) It completely ignores the 'information flows' around a business – in this case budgets and management accounts.

(2) The chart can encourage staff to interpret their roles very narrowly; in reality the responsibilities of the production managers would necessarily include budget information.

The solution to the problem would be moving 'up' the organisation chart, and then back down again, ie, the finance director (and the managing director if necessary) ensuring that the production director explains the importance of budget information to the business as a whole.

A combination of organisation chart and detailed job description, one of which would be communicating budget details to the chief accountant, would also be of assistance.

10 International businesses can follow a multi-domestic strategy where activities are located in individual national markets and products/services tailored to local needs, or a global strategy where standardised products are developed and produced centrally.

Thus, international structures vary depending on the extent of global coordination and the amount of local independence/responsiveness required.

A **global product division** is typical for a company following a global strategy, which will have separate world-wide divisions for soft drinks, alcoholic beverages etc. This gives high global coordination but limited local responsiveness.

A **local subsidiary** is geographically based in the individual national market and operates independently. Local management has a high degree of autonomy, hence local responsiveness is high and global coordination is low. This is appropriate for a business following a **multi-domestic strategy**.

Chapter 10
Risk management

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Risk and uncertainty

2 Introduction to risk management

3 Risk appetite

4 Risk identification

5 Risk analysis

6 Evaluating and addressing risk

7 Risk monitoring, reviewing and reporting

8 Risk and uncertainty in decision-making: Sensitivity, breakeven analysis and relevant cash flows

9 Probability, expected values, statistical tools and standard deviation

10 Risk management and business continuity planning

Summary

Further question practice

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain and evaluate the risks attached to an organisation's present position, using all relevant qualitative and quantitative data, and considering attitudes to risk, security and cyber security.
- Explain and evaluate different types of data distributions and data trends using appropriate statistical tools, data analysis and spreadsheets, including consideration of cause and effect and the implications for business risk.
- Evaluate and interpret data provided, including identifying and explaining the causes and effects of different types of data bias, and applying an appropriate degree of professional scepticism.
- Assimilate, structure and analyse transactions and other granular data provided, using spreadsheets.
- Explain and evaluate the risks attached to proposed courses of action in a given situation, considering all relevant factors and assumptions made and select and justify strategies for managing risk.
- Select and justify a strategy or combination of strategies which will best achieve the organisation's objectives, taking account of known constraints and capabilities, including stakeholder risk preferences and the potential for developing technologies to increase or mitigate risks.
- Explain and demonstrate how management information can be used to evaluate an organisation's proposed strategies, including forecasting financial performance and the risk associated with forecasts.
- Evaluate the value of information and limitations of data, having regard to data variability, data bias and risk, and considering the ethical implications of the selection, capture, analysis and use of data.
- Organise, structure and assimilate historic and estimated data in appropriate ways, using available statistical tools, data analysis and spreadsheets, to support business decisions.
- Select and evaluate methods of further developing an organisation which adjust existing strategies or implement new strategies to take account of changing position and risk.

Syllabus links

Some of the risks associated specifically with IT/IS will be covered in the chapter, 'Strategies for information.' This chapter introduces the concept of cyber risk and the growing danger that it presents to organisations.

The concept of risk and risk management was introduced in your Business, Technology and Finance studies.

The concept of entity risk is discussed later in this chapter. A key component of entity risk is financial risk. While you need to be generally aware of financial risk management for Business Strategy and Technology, this topic is dealt with primarily in the Financial Management learning materials, which also deals in more detail with methods of handling risk and uncertainty in decision making.

Risk management is an important topic and is taken forward at Advanced level.

Examination context

The issues involved in analysing risk, for example in the context of the external environment, have already been discussed in previous chapters. This chapter discusses attitudes to those risks and how an organisation can manage such risks.

Some questions in the Business Strategy and Technology exam may feature financial or other quantitative data which you are expected to use in assessing the types of risks facing an organisation featured in a scenario. Questions may require you to analyse the level of risk by conducting sensitivity analysis to determine an entity's break-even point.

Questions in the Business Strategy and Technology exam will not only test your ability to identify risks but to also provide practical suggestions as to how the risks identified could be addressed, through the use of appropriate mitigation measures. This chapter provides extensive coverage of the issues of risk identification, evaluation and mitigation.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Risk and uncertainty** Management cannot blame poor results on bad luck, but instead may find themselves called to account by shareholders for not having taken adequate strategies to manage the risks the organisation faces. Managers must therefore actively manage both risk and uncertainty.	**Approach** Be clear on the differences between risk and uncertainty since different evaluation techniques apply to each. **Stop and think** What risks does the accounting profession currently face?	You may need to review a scenario and identify areas of risk and uncertainty before advising on mitigating strategies.	
2	**Introduction to risk management** If an organisation is to manage risk effectively, policies and procedures need to be developed. Managers and staff at all levels in the organisation should be involved in monitoring and reporting on risks.	**Approach** Read quickly through the topic paying particular attention to who is responsible for risk management and also to the range of risk management policies a large corporation may have in place. **Stop and think** Consider an organisation you are	In an exam scenario you may need to identify sources of risk and the policies management can adopt to mitigate risk. To respond to such questions, use the content from this risk topic as well as being aware of risk management strategies in the	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		familiar with. What risk management policies does it have in place? Who is responsible for risk management?	real- world.	
3	**Risk appetite** Attitudes to risk, shaped by shareholders and other key stakeholders, will influence risk management strategies.	**Approach** Understand the many influences on risk appetite including Miles and Snow's influence of managerial culture. **Stop and think** Consider your own risk appetite. Are you risk seeking, risk averse or risk neutral? What factors have influenced your personal attitude to risk?	An appreciation of risk appetite will help you to develop appropriate risk management strategies for the organisation in the exam scenario.	
4	**Risk identification** Risk identification exposes the range of risks a business is exposed to, enabling a business to develop an appropriate response. External environment analysis and internal assessment tools may be useful in conducting comprehensive risk identification.	**Approach** Understand the sources of risk and be clear on the difference between controllable and uncontrollable risk. Have an awareness of the contents of a risk register. **Stop and think** For a company you are familiar with identify all the risks they are exposed to, using the risk classifications in this topic.	Before developing recommendations to manage risk, an exam question may require you to identify a range of risks present in an organisation. Keep your answer broad by referring to the risk types identified in this topic.	
5	**Risk analysis** An organisation is unlikely to have the time or the resources to respond to all risks equally. It is therefore important to analyse and	**Approach** Read through the approach to risk assessment and study the risk profiling matrix. The worked example gives an insight into the implications of risk	Assessing and profiling risk is likely to be examined in conjunction with addressing those risks. Prioritise the risks identified before using	**IQ1: Identification of risks facing an airline** This question applies the knowledge gained so far in this chapter to the airline industry.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	prioritise risks. Any risk identified needs to be assessed on a scale of severity and frequency of occurrence.	assessment in the airline industry. **Stop and think** Identify a publicly listed company you are interested in. Download their annual report and review their risk management approach.	knowledge gained from later topics in the chapter, as well as commercial awareness, to make recommendations.	Consider a wide range of risks to which airlines are exposed and ensure your recommendations for improvement to controls are practical.
6	**Evaluating and addressing risk** Once risks have been assessed an organisation needs to develop an appropriate response. The chosen response is likely to depend on the significance of the risk and the risk appetites of management.	**Approach** Read through the potential approaches to addressing risk. Pay particular attention to the TARA matrix which assesses the severity and frequency of risk in order to develop a suitable strategy. **Stop and think** Using the annual report you have downloaded (see Topic 5 Stop and Think) assess the company's risks, using the TARA framework.	An exam question may ask you to devise recommendations to mitigate an array of risks. Think commercially and prioritise the risks you address, in order to manage the resources of the organisation but also to manage your time in the exam.	**IQ2: Risk assessment of outsourcing cleaning** This question asks you to consider risks and other factors to be considered when evaluating an outsourcing proposal. **IQ3: Managing risks in an oil company** This question asks you to prepare a risk register detailing the nature of the risk, the impact of the risk and possible risk management procedures.
7	**Risk monitoring, reviewing and reporting** Risk management approaches change as threats and opportunities change. Management must establish systems for monitoring and reviewing risk to ensure that the controls in place remain relevant.	**Approach** Read quickly through this short topic ensuring you are comfortable with the examples of risk monitoring processes. **Stop and think** Is there evidence of risk monitoring and reporting in the organisation you work for? Are you involved in any of the activities?	Exam responses need to be practical and applied to the scenario. Ensure you can identify and suggest appropriate risk monitoring processes for the organisation in the scenario.	**IQ4: Risk monitoring in a fast-food restaurant** This practical question asks you to recommend appropriate risk monitoring systems for a fast-food chain. Use the scenario and your own experience to generate ideas. **IQ5: Ferry** This comprehensive question requires

Topic	Practical significance	Study approach	Exam approach	Interactive questions
				you to identify and explain risks in the scenario as well as suggesting how the risks can be managed.
8	**Risk and uncertainty in decision making: Sensitivity, break-even analysis and relevant cashflows** A business can improve its confidence in a decision by trying to reduce uncertainty using any of the numerical techniques covered in this topic.	**Approach** Ensure you spend time working carefully through the worked examples and interactive questions, focusing on when and how to use the techniques in the exam. Remember that the numbers alone will not gain much credit. You must explain the implications of the calculations you have performed for the organisation in the question. **Stop and think** What are the limitations of using data and calculations to inform risk mitigation strategies?	Although Business Strategy and Technology is predominantly a discursive exam, you should support your discussion with calculations where appropriate. Brought forward knowledge of break-even and sensitivity analysis as well as relevant cashflows can help you perform a more comprehensive analysis of risk and uncertainty, in questions where you are provided with numerical data.	The following interactive questions look at different elements of relevant cashflows. Ensure you can perform the calculations quickly and accurately. The emphasis in the exam is on the discussion of the numbers. **IQ6: Material with no alternative use** **IQ7: Material with a scrap value** **IQ8: Relevant cost of surplus labour**
9	**Probability, expected values, statistical analysis and decision trees** The techniques in this topic assist managers in decision making when managing an array of business risks. The action of assigning probabilities to risks enables an organisation to prioritise and effectively allocate limited resources.	**Approach** Read through the explanations and limitations of each technique and type of analysis. The section on how to use statistical data will give you an insight into how you are expected to use data in the Business Strategy and Technology exam.	In the exam you will be expected to use data to inform and support the answers that you give. Any statistical data provided is intended to be used in a high-level manner to give you points which you can refer to in your written answer. You will not be required to learn statistical formulae (eg standard deviation) but may need to use	**IQ9: Gamma** This task requires you to use spreadsheet functionality to calculate and interpret the mean and standard deviation of the data. The emphasis is on interpreting the implications of your calculations for the business.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
			spreadsheet	
	Statistical analysis, such as standard deviation and co-efficient of variation, permit an organisation to evaluate the risk associated with strategic options and investment decisions.	**Stop and think** Why do organisations find expected values useful for decision making despite their limitations?	functionality to calculate such formulae for you.	**IQ10 Alpha and Gamma** This task requires you to use data in a pre- populated spreadsheet and spreadsheet functionality to calculate the correlation and standard deviation for the data. **IQ11: Safe Storage Ltd** Using the scenario data advise on how profitability is impacted following a discount proposal.
10	**Risk management and business continuity planning** To enable business continuation in the event of unprecedented and material crises, management should put in place contingency plans. These are enacted in the event that the risk occurs, and should go some way to maintaining business stability.	**Approach** This is a short section so read through quickly for awareness. **Stop and think** Consider an organisation you are familiar with. To what extent was there a contingency plan in place to deal with the global Covid-19 pandemic? What impact did the crisis have on the organisation and was the damage minimised by the existence of a contingency plan?	In the exam look out for any unusual or one- off risks that managers may have failed to consider in their risk identification and assessment process. Such risks need to be incorporated into the risk management process due to their potential magnitude and impact.	

Once you have worked through this guidance, you are ready to attempt the further question practice included at the end of this chapter.

1 Risk and uncertainty

Section overview

- Risk arises when there may be a variety of possible outcomes.
- Risk management is concerned with the positive and negative aspects of risk. A business may look to minimise its downside risk while leaving open the potential to share in any upside.
- The term 'risk' is often muddled with 'uncertainty' which is strictly-speaking different because the latter cannot be quantified.
- Modern thinking suggests that all future outcomes are subject to uncertainty which ranges from a 'clear enough future' to one of 'true ambiguity.'
- Therefore risk management requires management to treat risks that it can forecast but also to take courses of action to cope with risks it cannot forecast.

1.1 What is risk?

It is usual to consider risk as negative, and in the field of safety this is certainly true since there is no gain if things go right - just a loss if they go wrong. As a result, safety risk management concentrates on the prevention or minimisation of harm. In most other spheres, however, risk implies variability which may work in the favour of the business (**an opportunity**) or against it (**a risk**).

Risk is more than probability. It includes consequences. The chances of flipping a coin and getting heads is 50%. It only becomes a risk if we gamble on the outcome. The larger the amount at stake, the bigger the risk, but the probability stays the same.

Risk is also different from uncertainty, which arises due to a lack of information about the future.

Definitions

Risk: The possible variation in outcome from what is expected to happen.

Uncertainty: The inability to predict the outcome from an activity due to a lack of information.

Downside risk (pure risk): The possibility that the outcome will be worse than expected ie, something will go wrong (the worst-case scenario).

Upside risk (speculative risk or opportunity): The possibility that something could go better than expected (best case scenario).

Risk management is increasingly recognised as being concerned with both the positive and negative aspects of risk and looks to control risk from both perspectives.

For example, a person buying a house with a loan may decide to fix the interest rate for a period. They are eliminating two kinds of risk: the downside risk that their loan would become more expensive if the interest rate rose but also the upside risk that it could have become cheaper if the interest rate had fallen.

Businesses may look for ways to manage their downside risk, whilst at the same time leaving open the potential to share in any upside, although this flexibility may come at a price premium. In the context of our house purchase example, a capped rate loan would offer such an opportunity.

1.2 Risk and uncertainty

There is a technical distinction between risk and uncertainty:

- Risk is a quantification of the potential variability in a value based on past data (eg, when a coin is tossed the outcome will either be heads or tails).
- Uncertainty on the other hand, is non-quantifiable (whether a key customer will be retained for the next two years).

Strictly speaking, risk should therefore be defined as a measure of the variability in the value of a factor that is capable of statistical or mathematical evaluation.
For the purposes of risk management, risk can be defined as the combination of the likelihood of an event and its consequences:

The severity of a potential risk can be determined by considering the likelihood of the risk occurring in relation to its potential impact (likelihood (impact). When considering the financial impact of risks this can be stated as: likelihood (financial consequences.

In practice, the distinction between risk and uncertainty is blurred. Huge losses by insurance underwriting syndicates show that assessments of risk used in insurance have been compromised by unanticipated events such as flooding and hurricanes from climate change and claims for industrial injury resulting from asbestos and stress.

Despite using terms like risk, many business strategies are actually taking place in situations of uncertainty. A management team that only undertakes strategies in which the likelihood of success or failure can be precisely quantified would launch no new products, enter no new markets, and research no new technologies.

Courtney et al (*Strategy Under Uncertainty*) describe four classes of uncertainty.

(a) **Clear enough futures**: The future can be assessed with reasonable accuracy because it follows on from the past without major change. Eg, the forecasts of bread sales made by management of a bakery.

(b) **Alternative futures**: Outcomes depend on an event, eg, the value of rights to make national football team merchandise depends on whether they qualify for the World Cup or not.

(c) **Range of futures**: Outcome varies according to a number of variables that interact, eg, hotel operator's forecasts of sales of holiday accommodation depend on level of temperature, prices of flights, levels of disposable income etc.

(d) **True uncertainty**: Very high uncertainty due to the number and unpredictability of the variables influencing the outcome, eg, investment in emerging economies where the outcome will be determined by political events, global economic developments, natural and man-made disasters, cultural and religious change etc.

The first two of these could be quantified with tolerable accuracy perhaps. The second two are much more uncertain.

Therefore, risk management requires management to treat risks that it can forecast but also to take courses of action to cope with risks it cannot forecast.

1.3 Why manage risk?

Corporate governance was covered in the chapter, 'Strategy and structure.' Corporate governance standards encourage organisations and public sector bodies to adopt good practices in risk assessment and risk management. The board's role is to provide entrepreneurial leadership of the organisation within a framework of prudent and effective controls which enables risk to be assessed and managed.

As we saw in the Strategy and structure chapter the **UK Corporate Governance Code (Financial Reporting Council, 2018)**, has adopted a risk-based management approach.

Shareholders of a company need to feel confident that the board of directors are aware of the risks facing the company and has a system in place to monitor and control them. Thus the Board should seek not only to adopt risk controls but also to make the deployment of such controls transparent and visible.

Whether a business thrives or fades is determined partly by how it manages risks and exploits opportunities. Thus risk management is not just a regulatory requirement or a defensive tactic to avoid losses but is integral to seeking and exploiting **competitive advantage.**

2 Introduction to risk management



Section overview

- Effective risk management should involve the implementation of a risk management policy involving all levels of management and staff in the identification, reporting and treatment of risk.

2.1 What is risk management?



Definition

Risk management: The process of identifying and assessing (analysing and evaluating) risks and the development, implementation and monitoring of a strategy to respond to those risks.

A risk management strategy involves the selection, implementation, monitoring and review of suitable risk treatments for each risk identified.

Effective risk management enables a business to:

- reduce business threats to acceptable levels; and
- make informed decisions about potential opportunities.

This allows stakeholders (investors, lenders, customers, suppliers, employees etc) to have confidence in the business and its future prospects.

2.2 Risk management policy

In business, risk is unavoidable and the strategy must be to reduce risks to acceptable levels. The effect of risk management should be to reduce the probability and/or consequences of any failure whilst retaining, so far as possible, the benefits of successes.

Central to the risk management strategy, therefore, will be the organisation's risk management policy describing its approach to and appetite for risk, along with any legal requirements the business faces such as health and safety legislation.

When implementing any risk management strategy there will need to be an effective system for risk management, risk reporting and communication involving all levels in the business:

- **The board** – who are in a position to take an overall business view and have the authority to demand policies be implemented and adhered to.
- **Managers of the business units** – who are in a position to assess risks from a business unit perspective but also must ensure that risk management policies are implemented.
- **Individuals** – who may need to be aware of or be responsible for managing certain risks.

Risk management strategy needs to be a top-down process to ensure it is integrated across the entire business. In so far as it is possible, the risk treatments should be embedded within the businesses' culture and systems so that it becomes an integral part of the operations and financing of the business. Senior management must translate the risk management strategy into tactical and operational objectives, with managers and employees given the responsibility and authority to deal with such matters.

Examples of risk management policies for a large corporation would include:

- **Corporate codes of conduct** – regulates how managers and staff relate to each other and to outsiders and will seek to control risks from discrimination, bullying, bribery, anti-social behaviour.
- **Environmental policies** – issues such as energy use, emissions, recycling, waste disposal etc.
- **Health and Safety policies** – requiring health and safety officers at all levels, setting up committees, requirement for routine testing and risk assessments, fire procedures.
- **Financial controls** – budgetary control to safeguard earnings and spending, capital expenditure authorisation procedures, financial accounting systems, credit control procedures, cash management procedures, insurance of assets.
- **Information systems controls and cyber security measures** – creation of information officers at all levels, regulations on use by staff, password and access controls, requirements for back-ups and stand-by systems, institution of firewalls and other security programmes.
- **Personnel controls** – policies on identity and background checks on new recruits, discipline and grievance procedures, door entry controls and conventions on wearing of ID, attendance monitoring. Appraisals of staff and management can provide early warnings of stress or potential inability to perform vital tasks.
- **Internal audit processes** – in addition to its familiar role in assuring financial systems in relation to the requirement for a statutory audit, many internal audit functions have an expanded business assurance remit which will report on the adequacy of the controls above.

Many of these policies fulfil other functions too. Here we are concerned with how they are used to mitigate the danger of financial loss to the organisation.

Such financial loss can arise from:

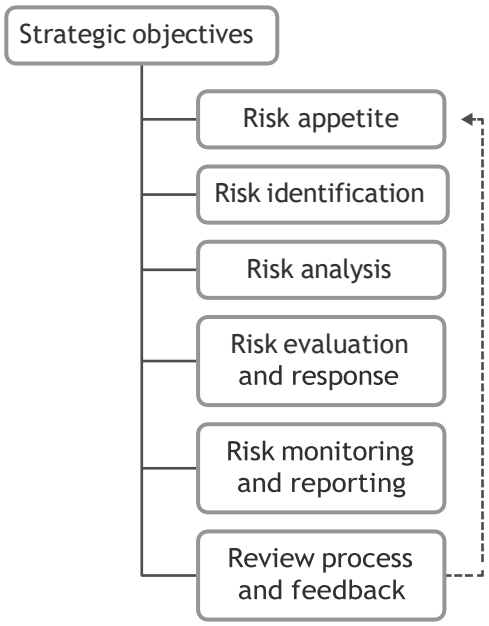
- Litigation from persons injured by the activities of the organisation and its staff
- Fines from regulatory bodies
- Loss of assets due to theft or damage
- Costs of making up for errors – eg, replacing lost data, apologising to injured parties, restoring lost corporate reputation
- Revenues lost due to breakdowns – eg, factory burned down, operations temporarily grounded by authorities
- Loss of reputation – customers, suppliers, investors etc lose faith in management

2.3 Risk management models

The management of risk is an ongoing business process involving continuous identification, assessment, treatment, monitoring and review.

Risk management models are designed to show that risk management is continuous and that it is a logical process. They aim to demonstrate the **interaction and comparison** of risks, as well as the **assessment of individual risks**. Risks change and compliance must be continuous. The management of risk is an ongoing business process involving continuous identification, assessment, treatment, monitoring and review. Though it is most convenient to discuss it as a linear process, it is in reality a circular one with the results of any monitoring and review feeding back into the process to refine the identification, assessment and treatment processes:

Figure 10.1: Risk management model



This framework will be used for the rest of this chapter.

3 Risk appetite

Section overview

- Risk appetite considers the extent to which an organisation is prepared to take on risk to achieve its objectives.
- Miles and Snow provide a useful characterisation of firms' attitudes to risk and how it influences their strategies (defenders, prospectors, analysers and reactors).
- Attitudes to risk will also be influenced by shareholder expectations, the regulatory framework and national and cultural factors.

3.1 What is risk appetite?

An organisation's risk management approach will depend on the appetite it has for bearing risks, which should link in with its business objectives and strategy.

Definition

Risk appetite: Is the extent to which a company is prepared to take on risks to achieve its objectives.

In broad terms, we can distinguish **risk averse** attitudes, **risk neutral** attitudes and **risk seeking** attitudes.

Management responses to risk are not automatic but will be determined by their own attitudes to risk, which in turn may be influenced by shareholder attitudes and cultural factors.

3.2 The influence of managerial culture – Miles and Snow

Miles and Snow undertook an in-depth cross-industry analysis of a sample of large corporations from which they developed a theory that there are four strategic types of business, defined by the orientations of their management to strategic challenges.

(a) **Defenders:** Firms with this culture like low risks, secure markets, and tried and trusted solutions. These companies have cultures whose stories and rituals reflect historical continuity and consensus. Decision taking is relatively formalised. (There is a stress on 'doing things right', that is, efficiency.)

(b) **Prospectors** are organisations where the dominant beliefs are more to do with results (doing the right things, that is, effectiveness), and therefore prospectors take risks.

(c) **Analysers** try to balance risk and profits. They use a core of stable products and markets as a source of earnings to move into innovative prospector areas. Analysers follow change, but do not initiate it.

(d) **Reactors**, unlike the three above, do not have viable strategies. Arguably, they do not have a strategy at all, unless it is simply to carry on living from hand to mouth, muddling through. Unlike the other three, which may exhibit superior performance, the Reactor is sub-optimal in its performance.

Their findings suggest that to be superior, there must be a clear and direct match between the organisation's mission/values, the organisation's strategies, and the organisation's characteristics and behaviour.

3.3 Other influences on risk appetite

Miles and Snow indicate the role of managerial culture in determining a firm's attitude towards the risks of strategic ventures.

Management may be responding to other factors shaping the risk appetite of the organisation. These include:

- **Expectations of shareholders**: If a firm has a long history of stable and unremarkable performance it will attract investors requiring 'blue chip' performance rather than sudden lurches into the unknown.
- **Organisational attitudes**: Management may be influenced by significant losses in the past, changes in regulation and best practice, or even changing views of the benefits risk management can bring.
- **National origin of the organisation**: Some national cultures exhibit uncertainty avoidance. Surveys suggest that attitudes to risk vary nationally according to how much people are shielded from the consequences of adverse events. National culture is a matter to consider when trying to establish an organisation-wide risk culture: a highly procedural approach, say, that is quite acceptable in the country where the head office is based, may be difficult to implement in other countries.
- **Regulatory framework**: Investment firms and banks are required to maintain prudent reserves to display capital adequacy to their regulators. They cannot afford to get involved in too many gambles.
- **Nature of ownership**: The management of state-owned enterprises stand to gain little from successful but risky ventures, but they will lose much from unsuccessful ones. Similarly, a family firm may be prevented from risk taking by the influence or dependence of family members on the 'family firm' and the potential shame of failure.
- **Personal views**: Surveys suggest that managers acknowledge the emotional satisfaction from successful risk-taking, although this is unlikely to be the most important influence on appetite. This has been attributed in part to the fact that, unlike shareholders, they will not suffer a loss of their investment if the decision doesn't pay off.

4 Risk identification

Section overview

- Risk can be categorised in a number of ways, including into strategic, operational, hazard and financial risks. It is important to recognise that such classifications form the overarching term 'entity risk' which is concerned with all risks (controllable and uncontrollable) that affect the organisation.
- Risks may be identified by reference to **risk sources**, ie, risk factors which can lead to variability of outcomes, or **risk events**, ie, events which are known in the industry and for which the contributory factors can be identified and treated.
- A risk description should be prepared for each risk to which the firm is subject.

Risk identification sets out to identify an organisation's exposure to risk.

This requires knowledge of the organisation, the market in which it operates and the legal, social, political and cultural environment in which it exists.

4.1 Types of risk

Before we explore the different types of risk that organisations face it is important to distinguish how the Business Strategy and Technology module classifies the concept of risk when compared to other Professional level modules. In particular, the Business Strategy and Technology module defines financial risk more widely than the definitions that you may have seen in your Financial Management studies.

Risk can be classified in a number of different ways depending on the perspective from which it is viewed. The list of risks set out below provides a number of possible definitions of risk as it relates to the entity. As we shall see the term 'entity risk' is the overarching umbrella term used to describe all of the possible risks that an organisation may face.

At this point, it is useful to make the distinction between controllable and uncontrollable risk.

Definitions

Controllable risk: Those risk factors which are within the ability of management to control to some extent. Often controllable risks relate to factors internal to the organisation and, as a result, may be easier to manage directly, however, this may not always be the case.

Uncontrollable risk: Risks outside of the organisation's direct control and tend to be driven by external changes; factors include changes in economic conditions and advances in technology.

You need to recognise that controllable and uncontrollable risks are the forms which various risks can take and are not types of risk themselves.

Definitions

Entity risks: Are all of the risks that affect an entity, how it trades, the markets and countries it operates in, the decisions that management make, the operational, strategic, hazard, financial and compliance risks the entity faces. It is important to recognise that 'entity risk' is wider than the term 'business risk.' All of the risks listed below make-up an organisation's entity risk:

Business risk: Is the variability of returns due to how a business trades or operates, its exposure to markets, competitors, etc.

Strategic risk: Risks associated with the long-term strategic objectives of the business, potential variability of business returns arising as a result of the company's strategy and its strategic position with respect to competitors, customers, reputation, legal or regulatory change, political change.
Strategic risk also encompasses knowledge management, ie, the effective management and control of the knowledge resources including key personnel, intellectual property and production technology.

The risks associated with information systems and knowledge management are dealt with in more detail in the chapter, 'Strategies for information.'



Definitions

Operational risk: Variability arising from the effectiveness of how the business is managed and controlled on a day-to-day basis, the accuracy and effectiveness of its information/accounting systems, its reporting systems and its management and control structures. Operational risk also encompasses compliance with issues such as health and safety, consumer protection etc.

Hazard risk: The exposure a business may have to natural events and their impacts. Such risks may arise from factors outside of the control of the entity. They may also arise from factors that would ordinarily be within the control of the organisation, such as the actions of employees, the consequences of accidents etc, be it on the business, its trading partners or customers.

Financial risk: Is due to the financial structure and policies of a business. It comprises controllable and uncontrollable considerations. The controllable element of financial risk is concerned with how the business chooses to finance itself. Issues cover the entity's choice of finance structure including the level of gearing or leverage, its exposure to credit risk and liquidity risks. The uncontrollable element of financial risk is likely to relate to factors beyond the entity's control such as interest and exchange rates, taxes and the state of economy. These factors may contribute to the risk of business failure; though they can be managed to some extent they cannot be controlled as such by the entity.

Financial risk tends to amplify inherent business risk at low levels of gearing, and at higher levels may directly contribute to the risk of business failure.

Uncontrollable elements of financial risk will bear more heavily on firms with operations limited to one country than they will upon a transnational operator.



Definitions

Compliance risk: The risk arising from non-compliance with laws or regulations. This includes breach of laws/regulations by the company, or breaches by a stakeholder (eg, customer or supplier) which may have consequences for the company. It may relate to financial laws/regulations (eg, contracts, tax, financial reporting, pensions and social security, company law etc) or to non-financial laws/regulations (eg, health and safety, employment law etc).

Cyber risk: The risk of financial loss, disruption or damage to the reputation of an organisation from some sort of failure of its information technology systems.

The increase in the use of IT in business exposes organisations to a range of threats in which both internal and external groups might attempt to steal confidential data or damage IT infrastructures. Common risks here include hackers, viruses and denial of service attacks. In chapter Strategies for information we consider the increasing importance of cyber security in tackling these risks.

The tools discussed in earlier chapters for analysing the internal position of a business and its external environment (SWOT, PESTEL, Porter's 5 forces) may be useful in identifying risk.

4.1.1 Climate risk

Definition

Climate risk: The risk posed to organisations and society at large from changes in global temperatures, resulting in changing and potentially damaging weather patterns and systems. Organisations can both contribute to and be negatively affected by climate risk. Scenario planning, which is useful where there are several key factors influencing the long-term strategy, can be used to better understand and plan for climate risk.

A warming planet and its associated climate effects, such as flooding, wildfires, droughts, hurricanes and extreme storms, create a range of problems for businesses. According to the results of a climate survey conducted by Deloitte (2021), over 80% of executives say their organisations are concerned about climate change and over 30% say that their organisations are now starting to feel the impact of climate related issues. These issues include:

- Scarcity of resources – severe drought and extreme weather systems are likely to cause shortages of crops used for human and animal feed as well as for manufacturing consumables (eg cotton, rubber).
- Impact on business operations – severe weather can disrupt business operations when facilities are damaged by storms or employees are prevented from working due to infrastructure damage.
- Damaged supply chains – with the existence of international supply chains and distribution networks, a severe weather event in one country can have knock on effects around the world through shortages of products and delays of shipments Climate change is expected to increase the risk of weather-related disruptions, particularly for supply that involves more vulnerable countries, such as in south-east Asia and sub-Saharan Africa.
- Coastal erosion can lead to the loss of coastal business and any supporting infrastructure as well as damaging tourism and other sectors reliant on coastal locations.
- Increased insurance costs – businesses in areas prone to flooding, erosion or wildfire will find it increasingly difficult to obtain insurance and any policies that are still available are likely to become prohibitively expensive.
- Reputation damage – as consumers become increasingly aware of climate related problems, any business whose activities harm or negatively impact on the environment are likely to suffer reputational damage and loss of customer goodwill.

(**Source**: Deloitte (2021) *2021 Climate Check: Business' views on environmental sustainability*. [Online] Available from: https://www2.deloitte.com/global/en/pages/risk/articles/2021-climate-check-business-views-on-environmental-sustainability.html [Accessed 18 July 2023]).

The risks which business and the public sector will face due to climate change can be categorised into two areas: physical risks and transition risks.

Definitions

Physical risks: *Physical risks arise from the physical effects of climate change such as storms, extreme temperatures, wildfires, flooding.*

Transition risks: *Relate to social and economic shifts to a low-carbon economy such as changes to policy, regulation, technology and markets.*

In the face of increasing climate-related impacts and dependencies, organisations need to focus on both climate change mitigation and climate adaptation activities.

Climate change mitigation: *Means avoiding and reducing emissions of greenhouse gases into the atmosphere to prevent the planet from warming to more extreme temperatures. This*

involves a transition away from fossil fuels to clean, renewable energy; halting deforestation and restoring natural habitats to reach net zero emissions.

Climate change adaptation: *Refers to adjustments of strategies and actions in response to the effects and future risks of climate change. These risks may be linked to the physical impacts of climate change; but also, the economic impact of a transition towards net zero. Identifying, managing and adapting to these risks is key for the development of a resilient business that can survive, and even thrive in the unprecedented physical and transitional changes ahead.*

Context example: World Economic Forum's Global Risks Report

The World Economic Forum's (WEF's) annual Global Risks Report explores some of the most severe risks the world may face over the next decade. It is underpinned by the WEF's annual Global Risks Perception Survey, bringing together leading insights from over 1,200 experts across the WEF's diverse network.

In 2023, perception of the most severe risks on a global scale over the next two and ten years were as follows:

	2 years	10 years
1	Cost-of-living crisis	Failure to mitigate climate change
2	Natural disasters and extreme weather events	Failure of climate-change adaptation
3	Geoeconomic confrontation	Natural disasters and extreme weather events
4	Failure to mitigate climate change	Biodiversity loss and ecosystem collapse
5	Erosion of social cohesion and societal polarization	Large-scale involuntary migration
6	Large-scale environmental damage incidents	Natural resource crises
7	Failure of climate change adaptation	Erosion of social cohesion and societal polarization
8	Widespread cybercrime and cyber insecurity	Widespread cybercrime and cyber insecurity
9	Natural resource crises	Geoeconomic confrontation
10	Large-scale involuntary migration	Large-scale environmental damage

Risk categories: Economic | Environmental | Geopolitical | Societal | Technological

(**Source**: https://www3.weforum.org/docs/WEF_Global_Risks_Report_2023.pdf)

4.2 Risk identification techniques

Management must identify the types of risk faced by its business. Risk identification must be a continuous process so that management can quickly identify new risks and changes that affect existing risks.

There are two broad approaches:

- **Risk sources** – the cause of potential problems, things (people/activities/events) that may give rise to risk that may trigger an event. These risk sources may be either internal or external to the business as discussed above. Management deals with the source.
- **Risk events (problems)** – specific identified threats or events themselves. Management can attempt to deal with the problem.



Context example: Print works

A printing company is conducting a risk assessment of its operations. A fire officer is looking at the machine room:

- Risk source approach – the fire officer sees machine minders smoking and also sees piles of loose discarded paper. Both are risk sources.
- Risk event approach – the fire officer knows that fires in machine rooms are a major cause of loss.

Seeing risks from both ends is complementary. It is obvious that an employee carelessly discarding a cigarette butt into a pile of paper may cause a fire. Using both approaches together will yield insights that neither alone would:

- **Risk source**: There are more risks arising from smoking than just fire. For example to the health of the employee and to passive smokers, using machines one-handed, triggering respiratory attacks in colleagues. Firms could face litigation from the effects of any of these. In fact, in the UK and many other European countries it is now illegal to smoke in any workplace or public place. Similarly, loose paper or can cause people to slip over, conceal health hazards, offer potential for good work to be thrown out along with scrap in a hasty tidy-up.
- **Risk event**: Fires are caused by more than physical sources and their effects depend on how they are handled. The officer might consider whether evacuation procedures are in place, whether extinguishers are regularly tested, whether smoke vents have been fitted to the roof. This assessment would enable management of risks arising from more than smoking such as electrical faults causing fires or poisonous fumes from chemical spillages.

4.3 Risk register



Definition

Risk register: Lists and prioritises the main risks the organisation faces. It is used as the basis for decision-making on how to deal with risks.

Organisations should have formal methods of collecting information on risk and response. A risk register **lists and prioritises the main risks** an organisation faces, and is used as the basis for decision-making on how to deal with risks. The register may also detail **who is responsible for dealing** with risks and the **actions taken**. The register may show the risk levels **before** and **after** control action is taken, to facilitate a cost benefit analysis of controls.

A risk register can be used to facilitate the identification and assessment of risks and may include:

- Description of the risk
- Scope of the risk – description of the events giving rise to the risk, their likelihood and the possible impacts of the risk
- Nature of the risk – ie, financial, strategic, operational, hazard
- Parties affected – both internal and external parties and how they will be influenced
- Quantification of the risk – the probability and scale of any losses or gains, possibly including Value at Risk assessments
- Risk tolerance/appetite – level of risk considered acceptable for this matter
- Risk treatment and control – the means by which the risk is managed at present and an assessment of the current risk controls in force
- Potential action for improvement – recommendations about further risk reduction options
- Strategy and policy developments – identification of function responsible for developing strategy and policy

Note: Only the first four of these can be completed at this risk identification stage, the remainder are completed as the process continues.

5 Risk analysis



Section overview

- Once risks have been identified, the organisation needs to understand and assess the scale of the risk. This can be done by risk assessment and profiling.
- The organisation's likely exposure to loss can be assessed by quantitative or non-quantitative methods for risk assessment and prioritisation.
- The result of this should be a risk profile of the firm which management can use to set priorities for risk mitigation.

5.1 Risk assessment



Definition

Risk assessment: Involves establishing the financial consequences of each risk event (severity) and its likelihood of occurrence (frequency).

In many cases, the financial consequences are easy to measure, eg, the value of lost inventories or the cost of rebuilding premises, although it may not be until after an event that the full cost of a loss can be recognised. Some consequences may be more awkward, particularly where loss of life is concerned.

The assessment of the probability of occurrence is often more problematic, particularly for the less likely events such as natural disasters.

Risk estimation can be quantitative, semi-quantitative or qualitative in terms of the probability of occurrence and the possible consequence.

Quantitative risk assessment involves the determination of measured figures for probabilities and consequences producing a specifically quantified measure of likelihood and of impact.

Some types of risk lend themselves to this process. Insurance companies have detailed statistical information on the occurrence of many risk events. They also have detailed estimates of the cost of repairing the insured loss, of say a car or house.

Others are very difficult to assess. For example, the impact of an event on the reputation of a business is much harder to quantify, and from this perspective risk assessment is more subjective.



Context example: Buying new aircraft

The decision to purchase new aircraft is a major decision for an airline. In recent years, many transnational airlines have needed to replace or expand their fleets. The investments were worth billions of pounds and the lifetime of the aircraft they were buying was 25 years. The airlines have faced a number of developments which could affect their decisions, including:

- National carbon taxes on airlines according to the CO_2 emissions from the planes
- The possibility that they could buy or sell licences to pollute
- Restrictions on noise where each airline would get a certain number of noise units per airport
- The possibility that surplus noise units could be bought and sold

However, there was uncertainty over the likelihood of these developments being introduced, and about their potential impact. Different countries could choose different policies and rates of charges, and some could even vary from airport to airport within a country according to the power of local stakeholders.

The planes the airlines were evaluating differed in their noise, fuel use and emissions. Choosing the wrong plane could impose financial risk from fewer flights, increased costs, lost opportunities to sell permits, defection of ecologically concerned passengers and exclusion from some countries.

One major airline based its decision on an NPV calculation into which the cost increases and savings etc, of each potential risk had been entered based on a subjective assessment of the likelihood of its occurrence in each country, its timing, and its potential financial impact. This was constructed as a model on an Excel spreadsheet with cost lines for each of the 120 destinations the airline intended to serve, reflecting the assumptions the airline had made about the likelihood and impact of the carbon and noise taxes at that destination.

It conducted the same exercise for its 150 existing planes to decide which to phase out first. Taking a systematic approach based on informed assumptions helped the airline to assess the risks that it faced.

5.2 Risk profiling

The result of the risk analysis process is an overall risk profile detailing each of the risks along with an estimate of the risk to the company. This risk profile ranks each identified risk so as to give a view of the relative importance, forming the primary tool for prioritising and addressing risks.

One way of doing this is to use a severity/frequency matrix (also known as a likelihood/consequences matrix).

Figure 10.2: The severity/frequency matrix

Frequency	Severity: Low	Severity: High
Low	Loss of small suppliers	Loss of senior or specialist staff Loss of sales to competitor Loss of sales due to macroeconomic factors
High	Loss of lower-level staff	Loss of key customers Failure of computer systems

This profile can then be used to set priorities for risk mitigation. Clearly risks categorised as high frequency and high severity should be prioritised and dealt with first.

The risk profile will:

- describe the risk and the business area affected;
- describe the primary control procedures in place; and
- indicate areas where the level of risk control investment might be increased, decreased or reapportioned.

The similarity of this to the techniques used in auditing a company's accounts will be obvious to you. This is because audit risk is an example of the sorts of more general risks discussed in this chapter.



Interactive question 1: Identification of risks facing an airline

As a consultant specialising in risk management, you have been appointed by the director of corporate development (DCD) to undertake a comprehensive review of the risks facing SkyWays Airlines (SWA) as a precursor to the latest strategic planning process.

You are told that the extended supply chain of SWA makes it reliant on suppliers of fuel, aircraft parts, air traffic control etc. SWA has increased its borrowings this year and its liquidity ratio has fallen below one and it has negligible retained earnings. It has also experienced increased dissatisfaction from employees as a result of voluntary redundancies arising from moving to a new more efficient terminal and, apparently, the loss of control over them by the decline in influence of the trade unions.

Requirement

From the information provided and your knowledge of the industry, prepare a report identifying the range of externally driven risks to which SWA is subject and any internally driven risks. Suggest appropriate improvements to controls for the risks you identify.

See **Answer** at the end of this chapter.

6 Evaluating and addressing risk

Section overview

- Risks are evaluated according to significance. The most significant and most probable risks will be prioritised for treatment.
- The possible strategies for dealing with a risk are avoidance, reduction, transfer or retention.
- The chosen response is likely to depend on the significance of the risk and the specific risk appetites of management.

6.1 Risk evaluation

Definition

Risk evaluation: The process by which an organisation determines the significance of any risk and whether those risks need to be addressed.

Risk evaluation should be carried out both for:

- New business proposals and changes to operations
- Existing business operations

Once risk analysis has been completed for these operations and the businesses risk tolerance established and accounted for, management should compare the identified risks to the risk criteria established by the business. This will allow them to make decisions about the significance of the risks to the organisation and whether each specific risk should be accepted or treated.

This risk criteria is liable to include a consideration of such factors as costs and benefits, legal requirements, socioeconomic and environmental factors, concerns of stakeholders, etc.

Interactive question 2: Risk assessment of outsourcing cleaning

The management of a state-funded hospital is considering outsourcing the cleaning of its premises. This will mean private firms taking over as employers of existing cleaning staff and assuming responsibility for the cleaning of the areas around beds, corridors and communal spaces.

Increases in incidents of infections during hospital stays by patients, some resulting in death, has been widely attributed by the media to poor hospital hygiene. Several legal cases for compensation have been decided against hospitals on the grounds of negligence by management.

Requirement

What factors should management consider in evaluating the proposal to outsource its cleaning?

See **Answer** at the end of this chapter.

Professional skills focus: Concluding, recommending and communicating

A question may require you to not only identify risk but also to provide potential solutions to risk. Any recommendations you make to mitigate risk must be practical and appropriate for the organisation in question.

6.2 Addressing risk

Addressing risk involves the selection of procedures to monitor, control and mitigate the effects of risk. The possible approaches to the treatment of risk are outlined as follows (sometimes referred to as the TARA approach):

- **T**ransfer
- **A**cceptance (Retention)
- **R**eduction
- **A**voidance (Abandon)

The ideal use of these strategies may not be possible, however, as some of them may involve trade- offs that are not acceptable to the business making the risk management decisions.

Risk response can be linked into the severity/frequency matrix, discussed earlier and also the organisation's **appetite** for risk-taking.

Figure 10.3: An example of a severity/frequency matrix

Frequency	Severity: Low	Severity: High
Low	**Retain or accept** Risks are not significant. Keep under view, but costs of dealing with risks unlikely to be worth the benefits.	**Transfer** Insure risk or implement contingency plans. Reduction of severity of risk will minimise insurance premiums.
High	**Control or reduce** Take some action, eg, enhanced control systems to detect problems or contingency plans to reduce impact.	**Avoid or abandon** Take immediate action, eg, changing major suppliers or abandoning activities.

6.2.1 Risk avoidance

Risk avoidance means not undertaking or terminating an activity that carries risk. Examples of this would be not entering a contract with many contingencies, or not buying a business to avoid any potential tax consequences. Avoidance may seem to be the obvious answer to all risks, but avoiding risks also means losing out on the potential return or profit associated with it.

6.2.2 Risk reduction

Risk reduction means retaining the activity in the business whilst undertaking actions to constrain the risk to acceptable levels, establishing systems and procedures to mitigate the effects or probability of any risk. Risk reduction examples include alarm systems to warn of a fire or sprinkler systems to reduce its effects.

Mitigating controls include:

- **Preventative controls** – controls designed to minimise the probability of occurrence of an undesired event. Many of the usual business internal controls such as segregation of duties, authorisation limits etc, fall into this category. A non-financial example is that no smoking rules reduce the probability of fires.
- **Corrective controls** – controls designed to correct the effects of an undesired event, such as the fire sprinkler system.
- **Directive controls** – controls designed to ensure a particular outcome is achieved, especially in the context of security or Health and Safety. For example protective clothing may be obligatory when undertaking certain tasks.
- **Detective controls** – detective controls are designed to identify the occurrence of risk events. Examples would include alarm systems for fire and security purposes, financial reconciliations, inventory checks.

6.2.3 Risk transfer

Risk transfer is the transfer of the risk to a third party either contractually or by hedging. Insurance is a contractual method of transferring risk as are many outsourcing contracts. Financial risks tend to be hedged through the use of offsetting derivatives positions or contractual arrangements.

6.2.4 Risk retention

Risk retention involves tolerating the loss when it arises. All risks that are not avoided or transferred fall into this category. Many risks are tolerable without any further action being taken. Risk retention is a viable strategy for small risks where the cost of insuring against the risk would be greater than the total losses sustained over time. This may be described as **self-insurance**.

Risk retention is also the only treatment for some uninsurable risks such as the effects of war. In this situation, the decision to tolerate the risk may, however, be supplemented by contingency planning to mitigate its effects. Furthermore, for most insured risks there is an excess which counts as a retained risk, as would any amount of a potential loss in excess of the insured sum.

6.2.5 Other considerations

Any system of risk treatment should, as a minimum, provide:

- Effective and efficient operation of the organisation
- Effective internal controls
- Compliance with laws and regulations

The effectiveness of an internal control can be assessed based on the degree to which it will either reduce or eliminate the associated risk. It is important, however, that the control put in place is proportional to the risk. The cost effectiveness of internal control, therefore, relates to the cost of implementing the control compared to the risk reduction benefits expected.

Compliance with laws and regulations is not optional; legal or regulatory breaches may result in severe penalties for a business. An organisation must understand the applicable laws and must implement a system of controls to achieve compliance.



Interactive question 3: Managing risks in an oil company

A multinational oil company is considering exploiting the gas and oil reserves in a country where the national government has a history of suddenly seizing control of foreign assets and of introducing taxes to ensure all the profits are taken away.

Requirement

Prepare a risk register for what you consider to be the **three** most significant political risks to the oil company. Use a table with three columns, for each risk which explains:

- The nature of risk
- The possible impact of the risk and likelihood of it occurring
- Possible risk management procedures

See **Answer** at the end of this chapter.

7 Risk monitoring, reviewing and reporting

Section overview

- The nature of risks and the adequacy of the risk management strategies will change over time.
- For this reason management should not treat risk management as a one-off exercise but instead set up systems to regularly monitor, review and report on risk (embedded risk management).
- Managing risk requires that organisations have procedures to detect lessons and to learn from them.

7.1 Systems to monitor, review and report on risk

Management must establish systems for the monitoring and review for two important reasons:

- To monitor the effectiveness of the current risk management processes
- To monitor whether the risk profile is changing or not

Processes should be put in place to review whether risks still exist, whether new risks have arisen or whether the likelihood or impact of a risk has changed. These processes should report significant changes that impact on risk priorities. These should be embedded into the normal reporting procedures of the company so risk management is regularly reported alongside other reporting practices such as monthly management accounting reports (embedded risk management).

In addition, the overall risk profile should be reviewed on a regular basis to give assurance that there are appropriate controls in place for the organisation's current activities and that the controls are understood and followed.

7.2 Examples of risk monitoring processes

Examples of risk monitoring processes include:

- Regular review of projects against specific costs and completion milestones
- Systems of notification of incidents (eg, accidents at work, near misses of aircraft)
- Internal audit functions (eg, financial, systems security, compliance with health and safety)
- Employment of compliance monitoring staff
- Skills assessment and medical examinations of staff and managers to assure competence and fitness to work
- Practices and drills to confirm readiness (eg, fire drills, evacuations, disruption to operations)

- Use of embedded IT 'intelligent agents' to monitor risks (eg, bad debts, unusual costs or revenue entries, attempts to access restricted files)
- Intelligence gathering on occurrences elsewhere (eg, experiences of frauds, equipment failures, outcomes of legal cases)
- Monitoring of the regulatory framework of the industry to ensure compliance

The monitoring and review process should also establish whether:

- The controls adopted achieved the desired result.
- The procedures adopted and information gathered for undertaking the assessment were appropriate.
- Improved knowledge would have helped to reach better decisions, identifying what lessons could be learned for future assessments.



Interactive question 4: Risk monitoring in a fast-food restaurant

What risk monitoring systems should be established by the management of a global fast-food restaurant chain?

See **Answer** at the end of this chapter.

7.3 Feedback, communication and learning

Organisations are dynamic and operate in dynamic environments. Changes in the organisation and the environment in which it operates must be identified and appropriate modifications made to systems. Thus, communication and learning is not a separate stage in the risk management process, rather it is something that must be in place and operating effectively at every stage of the process.

- **Learning from experience**: It is important that the effectiveness or otherwise of the planned risk management process is thoroughly reviewed and critically appraised so that risk plans can be revised as necessary in the light of anything learned eg, an IT department learning from restoring systems after a breakdown, an office learning from regular fire drills, emergency services learning from actual or simulated call-outs.
- **Constant updating**: In a dynamic business, the risks will be in a state of continuous flux. Management must ensure systems exist to identify any new risks or changes in risks. As a result, the risk management process must be a continuous ongoing one where risks are continuously being assessed and plans continuously refined (especially in light of the occurrence of any risk events) eg, money laundering practices change continuously as do the penalties for infringement of the law. The experiences of different divisions or offices must be shared.

Effective and efficient communication is vital for the business as it is essential that:

- Everyone in the risk management process is fully familiar with its importance to the business, the risk priorities of the business and their role within the process. Without this, risk priorities may be misinterpreted and risk controls may not be correctly integrated into business systems.
- Knowledge gleaned from any new risks identified by one area of the business or any lessons learnt from risk events is transferred to all other areas of the business in a considered and consistent manner, so that it can be correctly incorporated into the business-wide risk management strategy.
- All levels of management are regularly updated about the management of risk in their areas of responsibility, to enable them to monitor the adequacy and completeness of any risk plans and controls.
- There are procedures in place for escalation of any issues arising.

7.4 External considerations

No organisation operates in isolation; they all have trading partners/customers/suppliers.

Communication of risk issues with business partners is essential, especially when one business is dependent on another. Differing risk priorities mean that a partner may not have the requisite policies and systems in place to satisfy our own risk appetite. Management must gain assurance that its major partners have implemented an adequate and appropriate risk management strategy.

All business stakeholders are concerned by risk and so it is important that the business communicates the way it is managing risks. It is equally important that any business manages stakeholders' expectations on the subject of risk management through regular communication.

7.5 Reporting on risk management

The Financial Reporting Council's (2014) Guidance on Risk Management, Internal Control and Related Financial and Business Reporting states that the board has responsibility for an organisation's overall approach to risk management and internal control. The board should report in the annual report and accounts on its review of the effectiveness of the company's risk management and internal control systems. In its statement the board should, as a minimum, acknowledge that it is responsible for those systems and for reviewing their effectiveness.



Interactive question 5: Ferry

You are a senior manager in the internal audit department of Ferry.

In July 20X0, Ferry purchased exclusive rights to operate a car and passenger ferry route until December 20X9. This offers an alternative to driving an additional 150 kilometres via the nearest bridge crossing. There have been several ambitious plans to build another crossing but they have failed through lack of public support and government funds. Ferry refurbished two 20-year old roll on, roll off ('Ro-Ro') boats to service the route. The boats do not yet meet the emission standards of Environmental Protection Regulations which come into force in two years' time, in 20X6. Data relating to the boats and ferry crossings is provided in Exhibit 1 (see below).

Hot and cold refreshments and travel booking facilities are offered on the one-hour crossing. These services are provided by independent businesses on a franchise basis. Ferry currently receives a subsidy from the local transport authority as an incentive to increase market awareness of the ferry service and its efficient and timely operation. The subsidy increases as the number of vehicles carried increases and is based on quarterly returns submitted to the authority. Ferry employs 20 full-time crew members who are trained in daily operations and customer-service, as well as passenger safety in the event of personal accident, collision or breakdown.

The management of Ferry is planning to apply for a recognised Safety Management Certificate (SMC) in 20X5. This will require a ship audit including the review of safety documents and evidence that activities are performed in accordance with documented procedures. A SMC valid for five years will be issued if no major non-conformities have been found.

Exhibit 1 – Spreadsheet extract providing data relating to boats and ferry crossings

	A	B	C	D	E
1		**Two wheeled**	**Car**	**Multi-person vehicle (MPV)**	**Delivery**
2	Jan	345	9000	150	790
3	Feb	611	11021	614	580
4	Mar	560	8000	210	879
5	Apr	661	7652	346	678

	A	B	C	D	E
6	May	1200	6142	451	917
7	Jun	1000	6000	3000	873
8	Jul	285	7398	5049	708
9	Aug	743	8216	3569	912
10	Sep	956	7408	4198	878
11	Oct	1506	6999	4141	794
12	Nov	777	4590	1893	964
13	Dec	321	5048	1754	1048
14					
15	**Data**				
16	Average operational days per month	28			
17	Number of boats	2			
18	Boat capacity per journey (number of vehicles)	40			
19	Daily one-way crossings per boat	6			

Requirements

5.1 Identify and explain the risks facing Ferry which should be assessed.

5.2 Describe the processes by which the risks identified in 5.1 could be managed and maintained at an acceptable level by Ferry.

See **Answer** at the end of this chapter.

8 Risk and uncertainty in decision-making: Sensitivity, breakeven analysis and relevant cash flows

Section overview

- Business decisions are based on estimates and forecasts which are subject to varying degrees of uncertainty.
- The business can increase its confidence in a decision by trying to reduce uncertainty, using techniques such as sensitivity analysis and break-even. Techniques such as these could easily be examined in the Business Strategy and Technology exam where you are asked to prepare a specific calculation or provide supporting calculations as part of a narrative

answer. As a result you should ensure that you spend sufficient time when going through the content in this section.

- Scenario building can be used to develop contingency plans to cope with risks and as a prediction technique.
- Cash flows provide an alternative approach to addressing uncertainty when making business decisions as they more closely reflect the impact on shareholders' wealth than traditional profit related measures. Relevant cash flows are those which are affected by the decision. Opportunity costs reflect the cash foregone as a consequence of using resources.

8.1 Data related requirements in the exam

The techniques for dealing with uncertainty discussed in Sections 8 and 9 could easily form the basis of one of the data related requirements in the exam that we discussed in the Introduction to the Business Strategy and Technology exam chapter. Question requirements that request a specific calculation, or that require you to show supporting calculations, could ask you to draw upon your knowledge of the techniques covered here. You should read through the following sections carefully, answering the worked examples which show how the various techniques could be examined in the Business Strategy and Technology exam.



Professional skills focus: Structuring problems and solutions

When assessing risk within an organisation remember to review the qualitative information provided within the scenario as well financial and quantitative data. A question may not specifically signpost the required calculations, so be aware of the different techniques to use under conditions of risk or uncertainty.

8.2 Techniques for dealing with uncertainty

A business can build confidence into its decisions by reducing uncertainty.

Techniques for dealing with decision making under situations of risk and uncertainty include:

- Making prudent estimates of outcomes to assess the worst possible situation – eg, at what level of sales would the business become loss-making (break-even)
- Assessing the best and worst possible outcomes to obtain a range of outcomes

Thus, in assessing a business plan received from a company seeking finance, the bank or investor may want to consider the best and worst possible scenarios.

- Using sensitivity analysis to measure the impact of changes in forecast estimates – eg, by considering how much fixed costs could increase before the business failed to meet its profit target, or by measuring the margin of safety associated with the current level of operations (see below)
- Using trend analysis to make future predictions and develop strategy based on historical data – eg examine sales trends of product lines to make decisions about which ones to develop and which to curtail

8.3 Trend analysis

Trend analysis aims to uncover patterns in a company's data in order to predict future trends and support strategic decision making. Trend analysis involves collecting information from multiple time periods and plotting the information on a graph to assess whether the data points to an upward or downward trend. Examples of trend analysis include:

- Reviewing monthly revenue and cost information from the income statement to identify inconsistencies or fraud – eg, a spike in revenue in one period should be investigated to understand the cause
- Forecasting future revenues and costs, by extrapolating the trend line, for the purpose of budgeting
- Analysing and extrapolating historical data to support future strategic decisions such as investment in a new product or expansion into a new market



Worked example: Trend analysis

As part of the monthly re-forecasting process you have been asked to forecast the next five months of revenue for one of the games sold by toy manufacturer Fun4All. You have been given the data below, relating to actual sales of Product A for Months 1–9.

	A	B
1	Month	Product A revenue (£'000)
2	1	20
3	2	32
4	3	45
5	4	46
6	5	51
7	6	53
8	7	65
9	8	85
10	9	75

Requirement

Using spreadsheet functionality calculate forecast sales for Months 10–15.

Solution

To calculate forecast sales, you can use the spreadsheet function TREND.

=TREND(B2:B10,A2:A10,D2:D7)

	A	B	C	D	E
1	Month	Product A revenue (£'000)		Month	Product A revenue (£'000)
2	1	20		10	88[1]

3	2	32		11	95
4	3	45		12	102
5	4	46		13	109
6	5	51		14	116
7	6	53		15	123
8	7	65			
9	8	85			
10	9	75			

[1] TREND FUNCTION is used to calculate Months 10-15

8.4 Sensitivity analysis

In its simplest form, sensitivity analysis involves changing the value of one variable to test its impact on the final result. The sensitivity could be with respect to the break-even position, but this need not be the case.

Sensitivity analysis is an attempt at priority setting. By looking at how sensitive results are to changes in assumptions, it allows an organisation to ascertain which parameters will have the biggest impact on a decision and therefore which ones need to be forecast most accurately.

Various mathematical techniques exist for performing sensitivity analysis. Eg, in Financial Management you will look at sensitivity in the context of project evaluation and net present values.

On a practical level however, sensitivity analysis can be seen as a technique that allows an organisation to consider the range of possible outcomes by asking 'what if?' type questions. For example:

- What will happen to profits if the price of components increases by 10%?
- What would happen to demand and profit if the selling price were to be increased by 15%?
- What would happen to sales revenue if the business's market share drops by 5% etc?

Using sensitivity analysis a business can only consider changes in one variable or parameter at a time and therefore it does not allow for the interaction between variables. Techniques such as simulation remedy some of the shortcomings of sensitivity analysis by allowing the simultaneous change of values for key variables in the decision.

In determining whether to go ahead with a new product, or whether to create a new overseas subsidiary, the business may want to consider how much margin of safety exists between planned and break-even sales.

Worked example: Sensitivity analysis

Sensivite Ltd has estimated the following sales and profits for a new product which it may launch on to the market.

	£	£
Sales (2,000 units)		4,000
Variable costs:		
Materials	2,000	

Labour	1,000	
		3,000
Contribution		1,000
Less incremental fixed costs		800
Profit		200

Requirement

Analyse the sensitivity of the project.

Solution

Sensitivity:

(1) If incremental **fixed costs** are more than 25% above estimate, the project would make a loss.

(2) If unit costs of materials are more than 10% above estimate, the project would make a loss.

(3) Similarly, the project would be sensitive to an increase in unit labour costs of more than £200, which is 20% above estimate, or else to a drop in the unit selling price of more than 5%.

(4) The **margin of safety**, given a break-even point of 1,600 units, is (400/2,000) × 100% = 20%.

Management would then be able to judge more clearly whether the product is likely to be profitable. The items to which profitability is most sensitive in this example are the selling price (5%) and material costs (10%). Sensitivity analysis can help to **concentrate management attention** on the most important factors.

Weaknesses of sensitivity analysis include:

- It only examines the risks relating to one variable at a time. Changes in more than one variable are likely to occur simultaneously, particularly where they are interrelated.
- It measures the extent of the change needed before break-even is reached, but not the probability of this occurring. In the above example, to reach break-even it would take a 20% movement in sales volume, but only a 10% movement in material cost. Nevertheless, a 20% movement in sales volume may be far more likely to occur than the 10% movement in material cost and may therefore be the greater risk.

8.5 Spreadsheet functionality and 'What If' analysis

Spreadsheet functionality enables you to quickly carry out a range of simple 'What If analysis' calculations. By copying and pasting existing data analysis and changing key variables it is possible to assess the impact of the change in those variables. For example, in the Chapter 'Spreadsheet functionality for Business Strategy and Technology', part (b) of the worked example Pico Fogo uses this technique to calculate changing profit in a best and worst-case scenario.

After analysing the best-case scenario, students can copy and paste the data, changing one variable (the percentage of revenue retained from customers of small bags) to examine the worst-case scenario.

The worked example Zinnia demonstrates another example of 'What If' analysis using spreadsheet functionality. The question requirement asks students to calculate contribution under two sets of assumptions. After calculating contribution under the original working assumptions, students can copy their analysis and change the monthly subscription fee and average new monthly subscribers to quickly assess the impact on contribution of these changes.

Worked example: OM

CJ Goldman founded the OM yoga studio 15 years ago and now has 25 studios across the country. CJ is now looking to introduce a luxury branded yoga mat, made from sustainable materials with anti-bacterial properties, to sell directly to yoga studio customers and to wholesalers who will sell to small yoga studios and gyms. CJ has approached the bank for a business loan and has been asked to prepare a business plan in support of the loan application. The bank has requested a two-year
profitability forecast and an assessment of the impact on profit of worst-case and best-case scenarios of sales volumes. Assumptions to be used in the forecasts are as follows:

	A	B	C
1	**Total sales volume assumptions per year:**		
2	Year 1	Year 2	
3	6,200	8,800	
4	**Price per customer type:**		
5		**Price per yoga mat £**	
6	Studio customers	50	
7	Wholesale	30	
8	**Cost assumptions £:**		
9	Variable costs	13	
10	Annual fixed costs	98,000	
11	**Changes to sales volume assumptions:**	**Worst case**	**Best case**
12	Change versus original forecast	-25%	+40%

Requirement

Calculate the yearly profits and the total profit for the first two years, based on the original forecast assumptions.

Discuss the original level of total profit and the impact on it of the worst-case and best-case scenarios. Show supporting calculations.

Solution

Tutorial Note

Using the spreadsheet functionality, firstly calculate the original level of total profit in the spreadsheet software and copy the calculations into the final answer, in the word processing software. This analysis should then be copied and pasted twice in the spreadsheet software, changing the sales volume figures to reflect best and worst-case scenarios.

This allows you to quickly re-calculate profits, profit margins and differences to original profits under two scenarios. The final answer (copied into the word processing software) should present a summary of the best and worst-case profit calculations. The detailed calculations do not need to be copied into the final answer.

	A	B	C	D	E
13	Original scenario				
14		Year 1	Year 2	Total	

15	Sales volume				
16	Yoga studio	3,720	5,280		
17	Wholesale	2,480	3,520		
18	**Total**	**6,200**	**8,800**	**15,000**	
19					
20	**Revenue**				
21	Yoga studio	186,000	264,000		
22	Wholesale	74,400	105,600		
23		260,400	369,600	630,000	
24	Variable costs	80,600	114,400	195,000	
25	**Contribution**	**179,800**	**255,200**	**435,000**	
26	Annual fixed costs	98,000	98,000	196,000	
27	**Profit**	**81,800**	**157,200**	**239,000**	
28					
29			Total profit	239,000	
30			Margin	38%	
31			Average sales price	42	
32	**Best case**	**+40%**			
33		Year 1	Year 2	Total	
34	Sales volume				
35	Yoga studio	5,208	7,392		
36	Wholesale	3,472	4,928		
37	**Total**	**8,680**	**12,320**	**21,000**	
38	**Revenue**				
39	Yoga studio	260,400	369,600		
40	Wholesale	104,160	147,840		
41		364,560	517,440	882,000	
42	Variable costs	112,840	160,160	273,000	
43	**Contribution**	**251,720**	**357,280**	**609,000**	
44	Annual fixed costs	98,000	98,000	196,000	
45	**Profit**	**153,720**	**259,280**	**413,000**	
46			Total profit	413,000	
47			Margin	47%	

48			Av sales price	42	
49	**Worst case**	**-25%**			
50		Year 1	Year 2	Total	
51	Sales volume				
52	Yoga studio	2,790	3,960		
53	Wholesale	1,860	2,640		
54	**Total**	**4,650**	**6,600**	**11,250**	
55	**Revenue**				
56	Yoga studio	139,500	198,000		
	Wholesale	55,800	79,200		
58		195,300	277,200	472,500	
59	Variable costs	60,450	85,800	146,250	
60	**Contribution**	**134,850**	**191,400**	**326,250**	
61	Annual fixed costs	98,000	98,000	196,000	
62	**Profit**	**36,850**	**93,400**	**130,250**	
63			Total profit	130,250	
64			Margin	28%	
65			Av sales price	42	
66	**Summary**				
67		**Original forecast**	**Worst case**	**Best case**	**Average**
68	Profit/(loss)	239,000	130,250	413,000	260,750
35	Margin	38%	28%	47%	
70	Profit difference to original forecast		(108,750)	174,000	
37	% difference		(46%)	73%	

The original scenario results in a profit of £239,000 over two years, giving a margin of 38%.

In the best-case scenario, with a 40% increase in sales volumes, there is an overall profit for the two years of £413,000, which is an increase of £174,000 or 73%. This shows the potential upside for the yoga mat product which generates a profit margin of 47% under this scenario.

In the worst-case scenario, with a 25% drop in sales volumes, the profit overall would be £130,250 for the two years. This is a drop of £108,750 or 46%, compared to the original forecast. However, the profit margin is still healthy at 28% which, assuming that assumptions are well researched, should give the bank confidence to offer the loan.

The average profit for the three scenarios is £260,750. Assuming each scenario had an equal likelihood of occurring this would be a good expected profit for the first two years of trading.

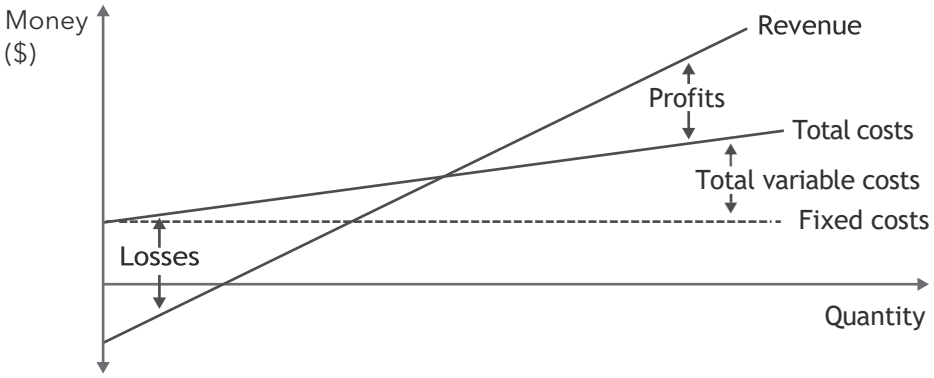
The yoga mat product appears to be a sound investment with strong profit margins in both the worst and best-case scenarios.

8.6 Break-even analysis and margin of safety

A simple method of evaluating one aspect of risk is break-even analysis. This technique is, in essence, a measure of the sensitivity of profit to changes in output. The examiner has highlighted the need for candidates attempting the Business Strategy and Technology exam to be comfortable with break- even and margin of safety calculations as they could easily form the basis of a question requirement in the exam. You might be expected to calculate the break-even and margin of safety as part of a requirement which specifies that you include these calculations, or you may be have to use your judgement when determining whether such calculations would enhance your answer when asked for supporting workings.

The break-even point occurs where total sales revenue equals total costs. The below chart shows the relationship between the different kinds of costs, revenue, profits and losses.

Figure 10.4: Break-even analysis



Break-even point: Fixed costs / Sales revenue per unit – Variable costs per unit

The bottom part of this formula, sales revenue-variable costs, is known as the contribution per unit.

The **margin of safety** is the extent to which the planned volume of output or sales lies above the break-even point.

The relationship between contribution and fixed costs is known as **operational gearing**. An activity with high fixed costs compared with its variable costs is said to have high operational gearing. Increasing the level of operational gearing makes profits more sensitive to changes in the volume of activity.

The calculations are derived as follows:

Total contribution – Total fixed costs = Profit

Total contribution = Contribution per unit × Output At the break-even point:
Total contribution = Total fixed costs Thus:
Contribution per unit × Output = Total fixed costs Therefore:
Break-even output = Total fixed costs/Contributions per unit To achieve a required level of profit (say £10,000) then:
Required output = Total fixed costs + £10,000 /Contribution per unit Margin of safety = Planned output – Break-even output /Planned output
The greater the margin of safety, the less sensitive the profits to a sudden fall in volume.

Worked example: Break-even

Selling price per unit £10

Variable cost per unit £6

Fixed costs £10,000 per month

Requirement

(1) Calculate the break-even volume per month.

(2) Calculate the volume of output needed to achieve a profit of £2,000 per month.

(3) Calculate the margin of safety if planned sales are 4,000 units per month.

Solution

(1) Contribution per unit = £4 Break-even = £10,000/£4
= 2,500

(2) Output = (£10,000 + £2,000)/4
= 3,000 units

(3) Margin of safety = (4,000 – 2,500)/4,000
= 37.5%

It is important to recognise that break-even calculations may be tested in the exam in different contexts, and will not always be concerned with the number of products that a company needs to produce in order to break-even. The following worked example is based on a question from the September 2018 Business Strategy and Technology exam.

Worked example: Break-even in a non-product setting

Crown College (CC) is a privately funded school based in Capital City. CC provides schooling for children aged 12 through to 16. CC is widely recognised for its high educational standards and small class sizes, and the Principal at CC has recently been approached by the local government authority in the wealthy town of Shipperton, which is located in the north of the country, approximately 200 miles from Capital City. The local authority has proposed that, together with CC, it forms a joint venture to establish a new college in the town of Shipperton to provide private education for children aged 12 to 16 years. The proposal would see CC and the local authority each owning 50% of the shares in the joint venture.

The desire to establish a privately funded college exclusively for fee paying parents in Shipperton has been driven by the closure, two years ago, of the town's only privately funded college. Since the closure, the local authority has been approached by the parents of 60 children keen to find a replacement school. Many of the children that attended the previous college were found places in state funded schools.

To facilitate the venture the local authority has proposed that a building it owns is converted for use as the site for the new college. All associated costs of the conversion would be met by the local authority. The use of the building would require annual rental payments of £350,000. The fixed costs associated with the joint venture would amount to £700,000 each year. Due to CC's recognised excellence in education they would oversee the new college's day-to-day operations and receive a management fee payment of £300,000 per annum from the joint venture entity.

Course fees would be set at £20,000 per child per year. Variable costs, including learning materials, are expected to be 10% of tuition fees.

Requirement

Calculate the number of children that would need to attend the college for it break-even in year 1. Comment briefly on the implications of your result and state any additional information that would be helpful in assessing the feasibility of the joint venture.

Solution

Fee per pupil = £20,000

Contribution per pupil = £20,000 × 0.90 = £18,000

Fixed costs = £700,000 + £350,000 (rent) + £300,000 (management fee) = £1,350,000

Break-even attendance = £1,350,000 / £18,000 = 75 pupils per annum

The analysis indicates that the new college would require a minimum of 75 pupils to attend the college in order for it to break-even. Based on the fact that the parents of only 60 pupils have expressed an interest in sending their children to the new school this indicates that the joint venture would not break-even in year 1 as there would be an insufficient number of children (15 pupils too few) to make the venture viable. Using the data provided, the joint venture would fail to break-even by £270,000 in its first year based on only 60 pupils attending (£1,350,000 – £1,080,000 = £270,000; based on £18,000 × 60 pupils = £1,080,000). The current situation would result in a margin of safety of –25% (60 pupils – 75 pupils needed to break-even/60 pupils = –25%).

Before a final decision is made to reject the proposal, additional information is needed to clarify the current situation. CC should seek to clarify why the previous college in Shipperton shut down. Clearly if this was due to a lack of pupil numbers then this would serve to undermine the viability of the current proposal. In the event that this was the case it would be worthwhile gaining an understanding of the fees that were being charged by the previous college. If the fees charged were higher than those currently proposed then this might help to explain why the previous college closed.

A structured market research exercise should be undertaken to provide a more realistic assessment of the likely numbers of children that would attend the new college if it were to be established. (For example, there could be some parents who would send their children to the new college who have not approach the council yet.)

The current proposal is based on idea that the new college would be provided exclusively to those willing to pay for their children to receive a private education in the town of Shipperton. In the event that it was found that 60 was in fact a realistic number of potential pupils then there could be scope to explore increasing the catchment area to include children living in the regions around Shipperton as this may help to make the venture viable provided at least 15 additional children can be found to attend.

8.6.1 Popularity and weaknesses of break-even analysis

Break-even analysis provides useful insights into the relationship between an organisation's fixed costs, variable costs and level of activity. It is a widely-used and popular planning tool.

There are, however, three main problems associated with break-even analysis.

- **Non-linear relationships**. Break-even assumes linear (straight line) relationships. This is unlikely in real life.
- **Stepped fixed costs**. Most fixed costs are not fixed over **all** volumes of activity and are more likely to be stepped.
- **Multi-product businesses**. Most businesses offer more than one product or service. It may be hard to identify which fixed costs belongs to which product, and the effect that the sale of one product may have on the sales of another.

8.7 Scenario building

Scenario planning was discussed in the chapter 'The macro environment.' Scenarios are used in two situations.

- **To develop contingency plans** to cope with the arrival of threats or risks which, although they may arise at any time, are of indeterminable probability. For example, a chemicals company may develop a scenario of a major spillage at one of its plants and then set up emergency routines to cope with it. They cannot assess how likely the spillage is to occur in actual practice.
- **As a prediction technique***:* A series of alternative pictures of a future operating environment are developed which are consistent with current trends and consistent within themselves. The impact of each different scenario upon the business is assessed and specific risks highlighted. Contingency plans are drawn up to implement in the event of a given scenario coming true, or to implement now to give protection against the scenario.

Approaches to choosing scenarios as a basis for decisions are as follows:

Assume the most probable: This would seem common sense but puts too much faith in the scenario process and guesswork. Also, a less probable scenario may be one whose failure to occur would have the worst consequences for the firm.

Hope for the best: A firm designs a strategy based on the scenario most attractive to the firm. Wishful thinking is usually not the right approach.

Hedge: The firm chooses the strategy that produces satisfactory results under all scenarios. Hedging, however, is not optimal for any scenario. The low risk is paid for by a low reward.

Flexibility: The firm plays a 'wait and see' game. This means that the firm waits to follow others. It is more secure, but sacrifices first-mover advantages.

Influence: A firm will try to influence the future, for example by influencing demand for related products so that its favoured scenario will be realised in events as they unfold.

8.8 Relevant cash flows

In the Business Strategy and Technology exam it is unlikely that you will be required to prepare complex net present value (NPV) calculations but knowledge of the concept of NPV workings will be expected (further consideration of net present values in the Business Strategy and Technology exam is covered in the section 'Perform a specific calculation requirement' later in this Chapter). It is more likely, however, that you will be required to evaluate whether the organisation featured in a question should undertake a proposed business strategy, eg, whether or not to enter into a proposed contract. Part of your evaluation may require you to include supporting calculations which consider the relevant cash flows of the contract to determine its viability.

You are strongly advised to read through the following sections covering the key features involved in relevant cash flow calculations especially if you attempted the Management Information exam at the Certificate level some time ago as this should serve to refresh your memory.



Definition

Relevant cash flows: Future, incremental, cash flows arising from the decision being made.

Relevant cash flows provide management with an alternative approach to making business decisions. Relevant cash flows can assist management in better understanding the uncertainty relating to different courses of action.

The relevant cash flow is the difference between:

- the cash flow if the course of action is taken; and
- the cash flow if it is not.

The assessment of relevant cash flows needs to be done from the point of view of the business as a whole and not individual divisions or departments.

Typical items which are excluded from the analysis as irrelevant are discussed below:

- **Sunk costs** – money already spent eg, when trying to determine whether an existing machine which cost £250,000 three years ago should be used on a new project, the analysis should ignore the £250,000 as nothing can be done about it; instead, the machine's current worth (either scrap value or cash benefits from retention) should be included.
- **Accounting entries that do not have a cash flow impact** – eg, depreciation is not a cash flow.
- **Unavoidable costs** – money already committed eg, a non-cancellable lease or apportioned fixed costs. As far as fixed costs are concerned it is the total amount of cash expenditure which is important (not any attempt to spread the fixed cost ie, apportionment). If the total changes, then this is relevant; if not, the fixed costs are ignored as they are unaffected by the decision. For example, if a firm can make a new product within its existing rented factory, then any share of the rent apportioned to the new product should be ignored as the total rent bill is unchanged. However, if a new factory needs to be rented, then the additional rent is relevant in the appraisal of the new product.
- **Finance costs** – eg, interest. If the firm has undertaken a discounted cash flow (DCF analysis), the discount rate will already reflect the cost of capital, including interest costs.

Specifically **include** all opportunity costs and revenues.

8.9 Opportunity costs and revenues

Definition

Opportunity cost: The cash flow foregone if a unit of the resource is used on the contract/project instead of in the best alternative way.

If there are scarcities of resources to be used on contracts/projects (eg, labour, materials, machines), then consideration must be given to revenues which could have been earned from alternative uses of the resources.

- Shareholders are concerned with the cash flows generated by the whole organisation in terms of assessing their impact on their wealth.
- The cash flows of a single department or division cannot therefore be looked at in isolation. It is always the cash flows of the whole organisation that must be considered.
- **For example**, the skilled labour needed for the new contract/project may have to be withdrawn from normal production, causing a loss in contribution. This is obviously relevant to the contract/project appraisal.

Worked example: Relevant cost of material

A new contract requires the use of 50 tonnes of metal ZX 81. This metal is used regularly on all the firm's projects. At the moment there are in inventory 100 tonnes of ZX 81, which were bought for
£200 per tonne. The current purchase price is £210 per tonne, and the metal could be disposed of for net scrap proceeds of £150 per tonne.

Requirement

With what cost should the new contract be charged for the ZX 81?

Solution

The use of the material in inventory for the new contract means that more ZX 81 must be bought for normal workings. The cost to the organisation is therefore the money spent on purchase, no matter whether existing inventory or new inventory is used on the contract.

Assuming that the additional purchases are made in the near future, the relevant cost to the organisation is current purchase price ie, 50 tonnes × £210 = £10,500.



Interactive question 6: Material with no alternative use

Suppose the organisation has no alternative use for the ZX 81 in inventory.

Requirement

What is the relevant cost of using it on the new contract?

See **Answer** at the end of this chapter.



Interactive question 7: Material with a scrap value

Suppose again there is no alternative use for the ZX 81 other than a scrap sale, but that there are only 25 tonnes in inventory.

See **Answer** at the end of this chapter.



Worked example: Relevant cost of labour

A mining operation uses skilled labour costing £8 per hour, which generates a contribution of £6 per hour, after deducting these labour costs.

A new project is now being considered which requires 5,000 hours of skilled labour. There is a shortage of the required labour. Any used on the new project must be transferred from normal working.

Requirement

What is the relevant cost of using the skilled labour on the project?

Solution

What is lost if the labour is transferred from normal working?

	£
Contribution per hour lost from normal working	6
Labour cost per hour which is not saved	8
Cash lost per hour as a result of the labour transfer	14
The relevant cost of skilled labour is 5,000 × £14	£70,000

Interactive question 8: Relevant cost of surplus labour

Facts as in the previous Worked Example, but there is a surplus of skilled labour sufficient to cope with the new project. The idle workers are being paid full wages.

See **Answer** at the end of this chapter.

8.10 Relevant cash flows in the Business Strategy and Technology exam

Requirements testing your knowledge of relevant cash flows in the Business Strategy and Technology exam will be set in a very practical context and are likely to feature as part of a specific calculation requirement or 'show supporting calculations' type of requirement. The question *Bagaj Lux Ltd*, in the March 2018 exam, is an example of a 'supporting calculations requirement.'

Bagaj Lux (BL) featured a company involved in the design and manufacturing of luxury luggage leather bags and suitcases. Bagaj Lux had built up a loyal customer base that was attracted by the company's distinctive designs and high-quality offering. The high-end nature of BL's products enabled it to generate a gross profit margin of 48%.

BL had recently been approached by Taraf Air Ltd (Taraf), an airline specialising in luxury travel, which had asked BL to tender for a contract to design and supply flight bags for its cabin crew. The bags to be provided would be made from lower quality materials which would be purchased from new suppliers. Candidates were provided with variable cost data relating to the associated production costs of making each type of bag, and details related to fixed production overheads.

For 12 marks candidates were asked:

'Explain the financial and non-financial factors that BL should consider in deciding whether to tender for the new contract with Taraf. Show relevant supporting calculations.'

To produce a well-balanced answer, candidates needed to ensure that they addressed both parts of the requirement, namely to recognise both the financial and non-financial factors, backed up by supporting calculations. Key non-financial factors included the fact that Taraf's offering as a luxury airline would be consistent with BL's own brand, but the proposed use of lower quality leather increased the potential for undermining BL's quality image.

Candidates were expected to use the financial data provided to prepare supporting calculations to determine the total costs that would be incurred in undertaking the contract and to work out the selling price that each bag would need to achieve in order to break-even on the contract. The quantity of bags required also meant that BL wouldn't have sufficient capacity to fulfil the contract as well as its existing bag production. Candidates could also use this information to highlight that undertaking the contract would potentially result in an opportunity cost if it led to the replacement of existing bag production.

Professional skills focus: Assimilating and using information

If you are provided with any quantitative data ensure you use it to the best of your ability to support your arguments. There are many marks available for discussion but discursive responses are always enhanced by the use of calculations and financial analysis.

9 Probability, expected values, statistical tools and standard deviation

Section overview

- Probability is a measure of likelihood, and expected values are weighted average values based on probabilities. These calculations and values are incorporated into decision trees to illustrate the possible choices and outcomes of decisions.

Decision trees can be very helpful tools for making strategic and operational decisions. Each branch of the tree represents the different outcomes that may occur. For the decision tree to be useful, each outcome should be assigned a probability and an expected value. This is so that we can evaluate how likely each outcome is to occur, and what will be achieved should that outcome actually occur. Let us first recap the basic concepts of probability and expected values before we go on to look at how these can assist decision making by incorporating them into decision trees.

9.1 Probability

Definition

Probability: Is a measure of **likelihood** and can be stated as a percentage, a ratio, or more usually as a number from 0 to 1. It is a measure of the likelihood of an event happening in the long run, or over a large number of times.

$$\text{Probability of achieving the desired results} = \frac{\text{Number of ways of achieving desired result}}{\text{Total number of possible outcomes}}$$

For example, tossing a coin has two possible outcomes (heads or tails). The probability of getting heads is P(Heads) = 1/2.

Mutually exclusive outcomes are outcomes where the occurrence of one of the outcomes excludes the possibility of any of the others happening – eg you cannot roll one dice and score both five and six simultaneously.

The probability of mutually exclusive events occurring can be calculated by adding the probabilities together. For example, the probability of rolling a dice once and scoring either a five or a six can be determined by adding together the probability of rolling five and the probability of rolling six.

1/6 + 1/6 = 2/6

Independent events are events where the outcome of one event in no way affects the outcome of the other events. For example, simultaneously rolling a dice and tossing a coin. The probability of both throwing a five and getting heads on the coin can be found by multiplying the probabilities of the two individual events.

1/6 × 1/2 = 1/12

The **general rule of addition** for two events, A and B, which are not mutually exclusive, is as follows: Probability of (A or B) = P (AUB) = P(A) + P(B) – P(A and B)

For example, in a standard pack of 52 playing cards, what is the probability of selecting an ace or a spade?

Ace = 4/52 Spade = 13/52
Ace of spades = 1/52

Therefore, the probability of selecting an ace or a spade is:

4/52 + 13/52 – 1/52 = 16/52 = 4/13

Definition

Conditional probability: Measures the likelihood of an event occurring, given that another event has already happened. It answers the question: 'what is the probability of event A happening given that event B has occurred?'

The probability of two dependent events occurring is calculated by **multiplying** the individual probabilities together. **Contingency** tables can be useful for dealing with conditional probability.

For example, the probability of rolling a six, followed by another six is:

1/6 × 1/6 = 1/36

Probability is used to help to calculate **risk** in decision making. The higher the probability of an event occurring, the lower the associated risk will be.

Risk involves situations or events which may or may not occur, but whose probability of occurrence can be calculated statistically and the frequency predicted.

Uncertainty involves situations or events whose outcome cannot be predicted with statistical confidence.

A popular quote that illustrates an element of the distinction between risk and uncertainty was given by the United States ex Secretary of Defence, Donald Rumsfeld:

'There are known knowns; there are things we know that we know. There are known unknowns; that is to say there are things that we now know we don't know. But there are also unknown unknowns – there are things we do not know, we don't know.'

9.2 Expected values

An **expected value** (or **EV**) is a weighted average value, based on probabilities. The expected value for a single event can offer a helpful guide for management decisions.

Although the outcome of a decision may not be certain, there is some likelihood that probabilities could be assigned to the various possible outcomes from an analysis of previous experience.

If the probability of an outcome of an event is p, then the expected number of times that this outcome will occur in n events (the expected value) is equal to n × p.

The concepts of probability and expected value are vital in **business decision-making**. The expected values for single events can offer a helpful guide for management decisions.

- A project with a positive EV should be accepted.
- A project with a negative EV should be rejected.
- When choosing between options the alternative which has the **highest EV of profit** (or the **lowest EV of cost**) should be selected.

Where probabilities are assigned to different outcomes we can evaluate the worth of a decision as the **expected value**, or weighted average, of these outcomes. The principle is that when there are a number of alternative decisions, each with a range of possible outcomes, the optimum decision will be the one which gives the highest expected value.

Expected values can be built into decision trees to aid decision making. The amount of expected profit is likely to be conditional on the result of various decisions. We will look at this

in more detail below. First, let us briefly consider some limitations of using expected values as a basis for decisions.

9.2.1 Limitations of expected values

Evaluating decisions by using expected values has a number of limitations.

(a) The **probabilities** used when calculating expected values are likely to be estimates. They may therefore be **unreliable** or **inaccurate**.

(b) Expected values are **long-term averages** and may not be suitable for use in situations involving one-off decisions. They may therefore be useful as a **guide** to decision making.

(c) Expected values do not consider the **attitudes to risk** of the people involved in the decision-making process. They do not, therefore, take into account all of the factors involved in the decision.

(d) The **time value of money may not be taken into account**: £100 now is worth more than £100 in 10 years' time.

Probabilities and expected values can be represented diagrammatically using **decisions trees** to aid decision making.



Professional skills focus: Applying judgement

It is important to remember that calculations, such as probabilities and expected values, have limitations so can only guide management decisions rather than providing a definitive solution. Apply your judgement to calculations when making recommendations.



Worked example: Probability and expected values

Mochin is an online retailer wishing to increase the sales generated from its website. Currently, there are 15,000 website visitors per month with an average spend of £30.

DKQ, a digital marketing company, has agreed to implement a year-long digital marketing campaign for Mochin with a view to increasing visitors to the website and the revenue generated by each. DKQ will charge Mochin a flat fee of £200,000 and a performance related fee of 20% of any increase in annual revenue.

There is a 10% chance that DKQ's campaign will not generate any additional website visits. There is a 55% chance that the campaign will lead to 6,000 more website visits with an average spend of £32. The final chance is that DKQ's campaign attracts an additional 9,000 website visits. In this case, there is a 45% probability of an average spend of £33, otherwise they will spend the same amount, on average, as Mochin's existing customers.

Requirement

Calculate the additional revenue that Mochin can expect if DKQ carries out a digital marketing campaign on their behalf.

Solution

Appendix of calculations

	A	B	C				
1		Number of monthly website visits	Probability		Average spend per visit (£)	x 12 months	Total annual revenue (£)

2	**Current**	15,000	1.0		30	12	5,400,000[1]
3							
4	**Additional**	0	0.10		0	12	0
5		6,000	0.55		32	12	1,267,200
6		9,000	0.35	0.45	33	12	561,330[2]
7		9,000	0.35	0.55	30	12	623,700
8					Total increase in revenue (£)		**2,452,230**[3]
9					DKQ 20% fee		490,446[4]
10					Flat fee		200,000
11					Revenue retained by Mochin		**1,761,784**[5]
12					Increase in Mochin revenue %		**32.6%**[6]

Workings

[1] =C2*B2*E2*F2 The formula can be copied into Cells G4 and G5

[2] =C6*B6*D6*E6*F6 The formula can be copied into Cells G6 and G7

[3] =SUM(G4:G7)

[4] =G8*0.2

[5] =G8-G9-G10

[6] =G11/G2

9.3 Statistical tools

Statistical analysis is the collection and interpretation of data in order to uncover patterns and trends, to help with decision making and to analyse risks. The statistical techniques covered here are:

- Mean (or average)
- Standard deviation
- Co-efficient of variation

Definition

Mean: The mean (or average) of a set of data is calculated by taking the sum of all the values and dividing by the number of values in the distribution. The mean can be taken as the expected value of a data set.

Context example: Mean

The daily customer footfall in a city centre clothing store last week was:

	A	B
1	**Day**	**Daily football**
2	Monday	10,500
3	Tuesday	9,300
4	Wednesday	10,010
5	Thursday	11,508
6	Friday	13,461
7	Saturday	29,461
8	Sunday	21,557
9	Total	105,546[1]
10	Average	15,078[2]

[1] =SUM(B2:B8)

[2] =AVERAGE(B2:B8)

The average (mean) daily footfall was 105,546 ÷ 7 = 15,078 per day.

Definition

Standard deviation: This shows the amount of variability in a data set, showing how far, on average, each result lies from the mean (or expected value).

The mean (or expected value) does not indicate the level of risk associated with an event. There could be two data sets that both have the same mean or expected values but very different risk profiles. Risk means the variability of outcomes and can be measured using standard deviation.

The lower the standard deviation the closer the data points are to the mean meaning the decision being taken has lower variability and therefore lower risk. Conversely, a higher standard deviation indicates that the data points are spread out over a wider range of values, increasing the risk of the expected return. A high or low standard deviation can also arise because the values in a data set are high or low. In this case, the co-efficient of variation gives a better indication of risk.

Context example: Standard deviation and climate

Standard deviation can be used to monitor daily maximum temperatures. Consider two cities, one on the coast and one inland. During the day they both have the same average maximum temperature of 25°C. Based on this data, it could be said that the temperatures of the two cities are the same.
However, let us examine the variation in temperatures further.

The coastal city has a more stable temperature than inland. Temperatures can rise to 28°C but rarely fall below 22°C.

The inland city sees greater temperature fluctuations. Temperatures have been known to rise to 40°C and fall to 10°C.

It can be seen that there is much greater variability in daily temperature in the inland city rather than the coastal city. The standard deviation for the inland city is therefore greater than that of the coastal city, whose temperatures are clustered around the mean. Standard deviation is useful in showing the level of variation and therefore uncertainty that exists.

9.4 Interpretation of standard deviation

Standard deviations can be used when evaluating the risks associated with particular strategies or decisions if the information is available. Strategies may be rejected if the standard deviation is considered too high, given the risk appetite of the organisation.

In the exam, you will not be required to use the standard deviation formula to perform calculations with a calculator. However, you may be told the standard deviation or be provided with pre- populated spreadsheet data allowing you calculate the standard deviation using spreadsheet functionality (see how to use the standard deviation function STDEV in the Chapter 'Spreadsheet formulae'). Once you have the standard deviation, it is vital that you interpret its meaning and explain what the implications are for the organisation in the scenario.



Worked example: Interpretation of standard deviation

Using the data from the example above (daily footfall), calculate and comment on the standard deviation of daily footfall. Use the STDEV spreadsheet functionality to perform your calculations.

Solution

The standard deviation of daily footfall is 7,584 (see Workings). This recognises that whilst expected daily footfall is 15,078 (average or mean) the actual daily footfall will differ from this. On some days, footfall will be lower and sometimes it will be significantly higher (for example at the weekends). On average the difference between actual daily footfall and the average (or mean) footfall will be 7,584.

From the perspective of a retail outlet this large standard deviation shows that customer footfall fluctuates widely. Shop managers must therefore be careful to monitor staffing requirements and inventory levels to ensure that the shop can meet the changing demand levels.

Workings

B10 =STDEV(B2:B8)

	A	B
1	**Day**	**Daily footfall**
2	Mon	10,500
3	Tues	9,300
4	Weds	10,010
5	Thurs	11,508
6	Fri	13,210
7	Sat	29,461
8	Sun	21,557

9	Total	105,546[1]
10	**Standard deviation**	**7,584**[2]

1 =SUM(B2:B8)

2 This is the standard deviation of daily footfall values taken from cells B2:B8

Interactive question 9: Gamma

Four mutually exclusive investment projects are being considered by Gamma, a start-up company with limited access to capital. The projects will be financed by a four-year loan with annual repayments of capital and interest. Gamma's owners have no preference which project they select but need to ensure that they have sufficient cashflows to meet the regular finance cost. They have prepared forecast cashflows of the four potential projects.

	A	B	C	D	E
1		Project 1	Project 2	Project 3	Project 4
2		Cashflows			
3		£'m	£'m	£'m	£'m
4	Year 1	2	22	8	14
5	Year 2	9	4	11	12
6	Year 3	15	3	12	9
7	Year 4	18	15	13	9

Requirement

Analyse the data provided, using statistical tools such as mean and standard deviation, and recommend which project is most suitable for Gamma, based on all the information provided. Ignore the time value of money.

See **Answer** at the end of this chapter.

Definition

Co-efficient of variation: Is the ratio of the standard deviation to the mean, calculated as (standard deviation ÷ mean)*100

Care must be taken when interpreting the standard deviation since it can be misleading. A standard deviation may be larger in comparison to others, simply because the values in the data set used to calculate the standard deviation are higher. A more meaningful measure in such circumstances is the co-efficient of variation which measures the standard deviation as a percentage of the mean. The higher the percentage, the wider the dispersion of data around the mean.

The co-efficient of variation therefore allows for meaningful comparisons between data sets when they have different mean values or different scales of measurement.

Worked example: Co-efficient of variation

ZZ plc, a manufacturing company, sources a key component from two countries: the USA and India. Analysis over the past five months reveals the prices paid per unit in each country. The procurement manager at ZZ is concerned about fluctuations and has prepared some calculations to assess this. They believe that prices fluctuate more in India based on the standard deviation they have calculated

	Unit price (US$)	Unit price (Rupees)
March	2.72	13,065
April	2.98	12,065
May	3.05	11,720
June	2.71	12,138
July	2.68	12,978
Mean	2.83	12,393
Standard deviation	0.17	596

Requirement

Using the data, assess whether the procurement manager is correct in their conclusion.

Solution

The standard deviation reveals the spread of the data around the mean. A higher standard deviation indicates that the data points are spread out over a wider range of values suggesting an increased variability in the Indian component prices. However, the procurement manager has not taken into consideration the scale of the data, caused by comparing different currencies. Indian rupee values are larger than dollar values resulting in a larger standard deviation.

If we calculate the co-efficient of variation (standard deviation ÷ mean) we can take account of the different scale of data and make a like for like comparison.

	Unit price (US$)	Unit price (Rupees)
Mean	2.83	12,393
Standard deviation	0.17	596
Co-efficient of variation	6.0%	4.8%

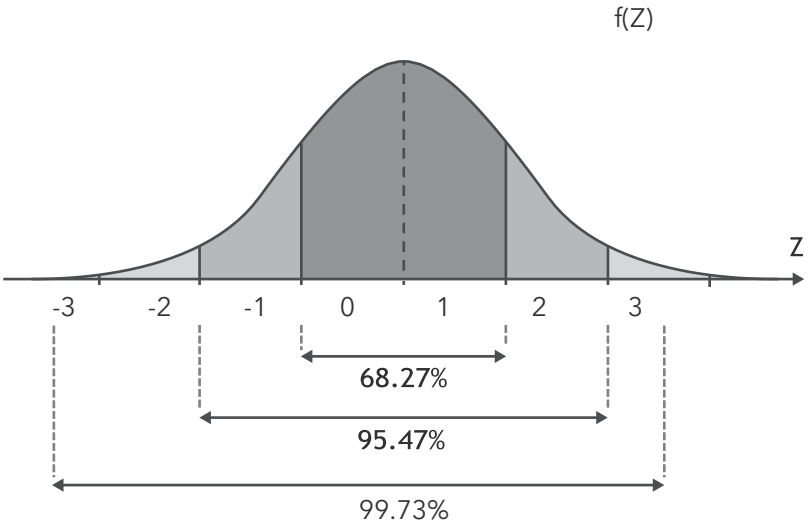
The co-efficient of variation is higher in the US (6%) than in India (4.8%) indicating that prices actually fluctuate more widely in the USA.

Definition

Normal distribution: A frequency distribution which is important because it arises frequently in 'real- life.' It is any distribution that is symmetrical around the mean.

In a normal distribution, 68% of the data is within one standard deviation above/below the mean. Standard deviation is calculated by squaring values so ignores positive/negative values. In general, 95% of the data lies within two standard deviations from the mean and 99.7% lies within three.

Figure 10.5: Normal distribution

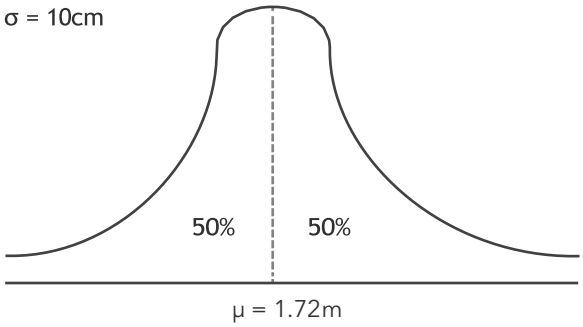


Standard deviation can also be interpreted using the concept of normal distribution. It has been found that many probability distributions are close enough to a normal distribution to be treated as one without any significant loss of accuracy. This means that the normal distribution can be used as a tool in business decision making involving probabilities.

For example, if we take the population of the UK and look at the distribution of the height of all adults it would almost certainly follow a normal distribution. This results in a bell-shaped curve, with the majority of heights lying near to the average (or mean) height.

This can be seen in the below diagram where the average (μ) height is 1.72m and the standard deviation (σ) is 10cm.

Figure 10.6: Standard deviation



The total area under the curve represents 100% of the population. The normal distribution range is approximately six standard deviations. In other words, adult heights range between:

μ -3σ = 1.72m - (3 x 10cm) = 1.42m

μ+3σ = 1.72m + (3 x 10cm) = 2.02m

This is more easily expressed in percentage terms since in a normal distribution 68%, 95%, and 99.7% of the values lie within one, two, and three standard deviations of the mean, respectively.

Applying this to the height example we can see that:

- 68% of the population lie within the height range of 1.62m to 1.82m (one standard deviation).
- 95% of the population lie within the height range of 1.52m to 1.92m (two standard deviations).
- 99.7% of the population lie within the height range of 1.42m to 2.02m (three standard deviations).

*The illustrations below, **Heidel plc** and **Bessie's Burgers**, show how standard deviation, co-efficient of variation and normal distribution may be examined in the Business Strategy and Technology exam. Note that candidates are not required to calculate the standard deviation of the data since it has already been provided in the question scenarios. The worked examples show how the normal distribution and the standard deviation can be used with the co-efficient of variation to evaluate risk. Spreadsheet functions are not needed for this, but the data can be copied and pasted from the question into the spreadsheet area of the exam in order to produce calculations for the answer.*

Definition

***Skewness:** A statistical measure that describes the asymmetry of a probability distribution. A normal distribution is symmetrical with its left and right sides being mirror images of each other. However, when a distribution is asymmetrical, its left and right sides are not identical.*

In a very skewed set of data, with extreme values at one end of the distribution, the mean of the data is not representative of the data as a whole. This means the data is more difficult to analyse using statistics. Skewness data can introduce bias in several ways:

- *Sampling bias – if the sample of data is not representative of the population, the distribution may be skewed.*
- *Measurement bias – if, for example, extreme results or outliers are excluded from the data, skewness may occur.*
- *Response bias – in surveys, people may respond inaccurately or untruthfully leading to skewness. For example, when doctors ask patients about their exercise habits, they are more likely to overestimate the amount of exercise they do.*
- *Survivorship bias – where the sample of data only contains items that survived some previous event. For example, online retailers may ask customers who purchased an item to comment on the ease of use of the website. The data excludes all the people who abandoned their purchase because they found the website hard to use, so the data is skewed towards the website being user friendly.*

Worked example: Evaluating sales contracts

Heidel plc is choosing between two potential new customers – Clawdon plc and Jakob plc – and the directors have made it clear that they want to avoid a negative net present value (NPV). Both contracts are for four years, and further details are below.

Clawdon plc

The mean estimated total present value (PV) of cash inflows over the four-year contract period is £3 million. There is a 50% probability that the PV of cash inflows will be between £2.5 million and £3.5 million. The standard deviation (SD) of the PV of cash inflows is £0.75 million.

The initial investment at the start of the four-year contract is £2.5 million.

Jakob plc

The mean estimated total PV of cash inflows over the four-year contract period is £4 million. There is a 50% probability that the PV of cash inflows will be between £3 million and £5 million. The SD of the PV of cash inflows is £1.5 million.

The initial investment at the start of the four-year contract is £3.4 million.

Requirement

Evaluate the risk of each contract using net present value (NPV), standard deviation, the coefficient of variation and the normal distribution of cashflows.

Solution

Net present value (NPV)

Clawdon plc *– NPV of contract 1 = £3m - £2.5m = £0.5m*

Jakob plc *– NPV of contract 2 = £4m - £3.4m = £0.6m*

The Jakob plc contract has the higher NPV so may therefore be seen as preferable.

Standard deviation

Clawdon plc *– £0.75m*

Jakob plc *– £1.5m*
Although the Jakob plc contract has the higher NPV, the standard deviation shows that it has higher risk than Clawdon plc.

However, standard deviation may be larger simply because the values of the data driving the PVs in the Jakob plc contract are higher. A more meaningful measure of relative risk is the coefficient of variation (CoV) which relates the standard deviation to the size of the mean PV.

Coefficient of variation

CoV is calculated as the SD divided by the mean PV.

CoV Clawdon plc *= £0.75m/£3m = 0.25*

CoV Jakob plc *= £1.5m/£4m = 0.375*

The CoV shows that the Jakob plc contract has a higher SD relative to the PV generated, so cashflows are more risky.

Normal distribution of cashflows

One of the concerns of the directors is to avoid a negative NPV. The PV of cash inflow estimates approximate to a normal distribution for both projects and are therefore symmetrical.

Clawdon plc

There is a 50% probability that the PV of estimated cash inflows will be between £2.5 million and £3.5 million. There is, therefore, a 25% probability that the PV cash inflows will be below the initial outlay of £2.5 million. Therefore, there is a 25% probability that there will be a negative NPV.

Jakob plc

There is a 50% probability that PV cash inflows will fall between £3 million and £5 million. There is therefore a 25% probability that the PV cash inflows will be below £3 million. The initial outlay is £3.4 million. Therefore, there is more than a 25% probability that there will be a negative NPV.



Worked example: Bessie's Burgers Ltd

1 Bessie's Burgers Ltd (BB) operates a successful chain of 20 mid-market burger restaurants located in major cities in the South of England (the South).

The BB board wishes to expand, but it has not been able to identify any further suitable new locations in the South. However, the board believes that there is likely to be demand for BB's restaurants in the North of England (the North), where three potential alternative locations have been identified: Liverpool, Leeds, and Newcastle. This year, it is possible for BB to open a restaurant in only one of these locations.

Market research methods

The BB board is uncertain whether tastes throughout the North will be similar to those in the South. It therefore chose to undertake market research to help decide which of the three locations will be the preferred option.

Desk-based market research based on data analytics was carried out on all three locations. The data analytics used data on population demographics, the regional economy and the restaurant industry in each location.

In addition, field research was undertaken, with separate marketing research teams being responsible for gathering data on expected profits and risks for each of the three locations.

The field research undertaken was as follows:

Liverpool: The city's demographics have a high proportion of younger age groups. To complete a questionnaire survey, the team members carried out face-to-face interviews between 5pm and 7pm on Monday to Friday in one week. The Liverpool team believed that BB appeals particularly to younger age groups so they invited people for interview if they appeared to be under 30 years old and were walking in the area where the restaurant would open. They conducted 57 interviews, which was one in three of the people invited to be interviewed.

Leeds: The team carried out a social media survey using a commercially available online survey tool to reach the widest possible number of respondents. The team advertised the survey on Leeds media channels to encourage participation. The team received 876 responses.

Newcastle: The team located a number of burger restaurants in the Newcastle area. They identified diners as they left these restaurants and invited them to attend a focus group in return for a £10 voucher to use at a wide range of Newcastle restaurants**.** They invited 100 people to attend a focus group, and 20 attended. The team enthusiastically described BB's products and restaurants to maximise the attendance rate.

All three marketing research teams asked a range of questions of participants including: the individual's personal details: their dining habits; their attitudes to burger restaurants; how frequently they would be likely to visit a BB restaurant if one opened in their locality; and the prices they would be prepared to pay.

Based on their field research and their desk-based data analytics, all three teams made a wide range of estimates of the possible demand outcomes in different scenarios.

Market research results

The results of the marketing research are inconclusive, so a risk remains that demand could vary significantly from expected levels.

BB's marketing director summarised the data collected by each team as follows:

	Expected mean annual contribution (Note 1)	Standard deviation (SD) of estimates of mean annual contribution	Expected annual fixed costs (Note 2)
	£	£	£
Liverpool	3,500,000	1,700,000	1,800,000
Leeds	2,800,000	700,000	1,400,000
Newcastle	2,400,000	(Note 3)	1,500,000

Notes

1. Annual contribution is calculated as: revenue less variable operating costs as cash flows. Annual contribution will be positive with a very high degree of confidence. The range of estimates of expected annual contributions approximate to a normal distribution.
2. Expected annual fixed costs are cash flows and are known with a very high degree of confidence. All restaurant properties would be leased as fully equipped restaurants so, although there are annual fixed costs, there are no significant initial cash flows on opening each restaurant.
3. The marketing research team in Newcastle comprised junior staff who were unable to determine the standard deviation of estimates of mean annual contribution. However, they estimated that there is a 95% probability that annual contribution will be between £1.6 million and £3.2 million.

The BB board meeting

A board meeting was held to discuss the marketing research results.

The finance director spoke first: 'It is really pleasing that the marketing research shows all three locations will generate an expected profit. However, we can only open one restaurant in the North this year, so we need to make a choice.

The board has a limited risk appetite and, in this context, I am particularly concerned about two aspects of risk:

- variability of cash flows – we need to make financial plans confidently and we do not want wide fluctuations in operating cash flows; and
- risk of losses – I am very keen to keep the risk of making a loss as low as possible, consistent with making a reasonable profit.'

The marketing director disagreed: 'It's simple. Liverpool expects the highest expected profit, so we should open in Liverpool.'

Requirements

1 Evaluate and explain the extent to which the marketing research data provided permits valid, unbiased and consistent analysis of each of the three proposed locations. Calculations are not required.

2 In order to make a choice between the three locations:
   - Prepare calculations which compare the expected relative profits and the relative risks of the three proposed locations.
   - Provide explanations of the calculations and give a reasoned recommendation for the board regarding where the new restaurant should be located.

Solution

1 All three marketing research teams used desk-based market research and applied data analytics, so the broad method appears to be consistent. More information is needed to determine whether the desk-based data captured was valid and unbiased.

   The data analytics used data on population demographics, the regional economy and the restaurant industry in each location. These are all important sources of background information, but more information would be needed on the type of analysis carried out for each location.

   A key additional source would be data on customer characteristics and customer preferences in the existing 20 BB restaurants in the South. While some adjustments might be needed to allow for different tastes and attitudes between the North and the South, the data would be a good benchmark and is specific to BB's products. Variations between individual restaurant customers in the South may give some indication of variations between customers in the North.

The three teams each used different methods of field research so the data captured is likely to exhibit inconsistencies according to the research method being used to capture data.

In addition, each of the data capturing methods and the way they have been applied by field research teams are likely to create questions over the validity of the data and the degree of data bias.

The extent and experience of recently-opened restaurants in each location at a similar level in the local market may give some useful further indicative information.

Liverpool field research

The team had an assumption that a new BB restaurant will appeal only, or mainly, to under 30s. Whilst this may be valid, there is a risk of cognitive bias based on a strong, preconceived notion of likely customer types for Liverpool. The preconceived notion may be based on existing information (eg from BB restaurants in the South), but may not apply in the North, which is the objective of the survey to determine. Evidence supporting the assumption needs to be clear to establish whether the proportion of potential customers over 30 is insignificant, otherwise the survey will exhibit bias. A bias may result in poor operating decisions, with a BB Liverpool restaurant overemphasising the tastes of under 30s.

The method of face-to-face interview may reveal bias because what people tell an interviewer they would do, may be different from how they would actually act.

How the face-to-face interviews take place may also create bias. Selection of people in the area of a potential restaurant may not be representative of customers who would visit the BB restaurant (eg, if they are prepared to travel to dine).

The timing of the interview (5-7pm Monday to Friday) may be relevant as it is likely that this only represents evening diners on weekdays. There may a large, unrepresented lunch-time market. There may also be a day-of-the-week effect, with weekend diners excluded.

In addition, only 171 people were invited to be interviewed, which is a small number and may not represent the broader group of potential customers. Moreover, only one in three were willing to be interviewed. The 57 people interviewed may be atypical of the 171 invited so there could be a bias in the data. This may be a positive bias, as the 57 may be more keen to be interviewed because they are more keen on the idea of a new burger restaurant than the remaining 114.

Leeds field research

The social media survey attracted a much larger number of respondents (876) than the questionnaire approach, but it may be less representative of potential future customers.

The social media survey differs from the other two surveys in that the respondents self-select to take part. This contrasts with the other two surveys where people are invited. As a result, there may be self-selection bias where, for example, people willing to respond to the survey are enthusiastic about restaurants and may therefore have a positive bias towards a new BB restaurant opening in Leeds.

However, it is difficult to restrict the respondents to the Leeds area and to people who may genuinely want to become customers of a future Leeds BB outlet. There may therefore be some 'random noise' in the responses. If factual filtering questions are asked about the respondents (eg, postcode, age, employment) the data could be cleaned to remove some of the 'random noise' (ie, fake or invalid respondents who are unlikely to visit a new BB restaurant in Leeds).

For genuine responses, further filtering of the data could take place to segment it by age, postcode and eating habits. This may yield some valid results in segmenting data to different groups. The size of the sample permits this sub-sampling approach, unlike the questionnaire or focus group sample sizes.

Newcastle field research

Focus groups are likely to have small samples but they gain more detailed information from each respondent than questionnaires or internet surveys.

Selection of people leaving restaurants is at least indicative of potential customers who visit restaurants, although they may include infrequent diners. The types of burger restaurant selected would need to be similar to BB restaurants, so they are appealing to BB's potential customers.

This issue of bias again arises in that the 20 respondents may be atypical of the 100 invitees.

Less than 30 attendees is both statistically low for a sample, and substantially lower than for the other two sites. Also, it may not be sufficient to obtain a broad range of views representing potential customers. However, it may still need to be divided into smaller focus groups to avoid bias from 'group think' or from a dominant personality.

The offer of the £10 voucher may have encouraged more attendees, but could introduce further bias, in that the people most attracted to the £10 for their time might be low-income groups who could least afford to dine out regularly paying full price at a mid-market restaurant such as BB.

Alternatively, they may be the keenest customers who like to dine out and therefore are unduly positively biased compared with the general population.

As the marketing research team enthusiastically described BB's products and restaurants to maximise the attendance rate, they may have induced favourable bias towards the idea of a new BB restaurant in Newcastle.

Conclusion

All three field research methods, and the ways they have been applied by the three marketing research teams, are likely to create bias. This means both that comparisons of outcomes may be invalid, and that extrapolating the data collected into the general population to predict actual demand is likely to be difficult and flawed.

Additionally, demand in the first year may differ from demand in later years as the restaurant becomes established. This trend is likely to be similar in nature for each of the three locations, but may differ in extent.

2 **Mean profit**

The below table shows the expected mean annual profit if the average expected contributions are realised. It shows, as indicated by the marketing director, that Liverpool has the highest expected mean annual profit.

	Expected mean annual contribution £	Expected annual fixed costs £	Expected mean annual profit £	Standard deviation (SD) £	Co-efficient of variation (CoV)
Liverpool	3,500,000	1,800,000	1,700,000	1,700,000	0.49
Leeds	2,800,000	1,400,000	1,400,000	700,000	0.25
Newcastle	2,400,000	1,500,000	900,000	400,000	0.17

Variability and standard deviation

A decision based on mean expected profit alone ignores the relative risks of the three locations. The finance director (FD) has indicated that the board's limited risk appetite demonstrates some degree of risk aversion.

The standard deviation (SD) for Newcastle can be determined because the estimates approximate a normal distribution. There is a 95% probability that annual contribution will be between £1.6 million and £3.2 million. In a normal distribution, plus or minus two SDs from the

mean correspond to approximately 95% of the distribution. The SD for Newcastle is therefore (£3.2m - £1.6m)/4 = £400,000.

The FD's concern about variability of cash flows is indicated by the high standard deviation. Liverpool has the highest mean profit and the highest SD. Indeed, the SD for Liverpool is much higher at £1.7m than for Leeds at £700,000.

Newcastle has the lowest mean profit and the lowest SD.

Relative risk and co-efficient of variation

However, it is difficult to compare the SDs without considering the size of each SD relative to the size of the mean contribution in order to assess relative risk on a consistent basis. This is because the standard deviation may be larger simply because the expected contributions are higher.

A more meaningful measure of relative risk is the coefficient of variation (CoV), which relates the standard deviation to the size of the mean contribution. CoV is calculated as the SD divided by the mean contribution.

It can be seen from the above table that while Liverpool has the highest SD compared with Leeds and Newcastle in absolute terms, it also has a higher CoV (ie a higher SD relative to the mean contribution generated).

Higher variability of cash flows, as the FD noted, makes planning more difficult and increases operating risk. A lower SD and CoV make planning easier as there is less variation.

Risk of making a loss

The FD emphasised that the board wants to reduce the risk of BB making a loss.

Liverpool

The expected mean profit for the Liverpool location is £1.7m. However, the SD is high as it is also £1.7m.

With a normal distribution, approximately 68% of the distribution falls within +/- one SD from the mean. Therefore, the probability of the contribution decreasing more than one SD at the lower tail of the distribution (which would generate a loss) is approximately 16% ((100-68)/2).

Leeds

The expected mean profit for the Leeds location is £1.4m. The SD is half this figure, at £700,000.

With a normal distribution, approximately 95% of the distribution falls within +/- two SD from the mean. Therefore, the probability of the contribution falling more than two SD at the lower tail of the distribution (which would generate a loss) is approximately 2.5% ((100-95)/2).

Newcastle

The expected mean profit for the Newcastle location is £900,000. The SD is less than half this figure, at £400,000.

Approximately 95% of the distribution falls within +/- two SD from the mean. The Newcastle location would require a fall of more than 2.25 SD (£900,000/£400,000) to start generating a loss.

Therefore, the probability of the contribution falling more than two SD at the lower tail of the distribution is even lower than the 2.5% of Leeds.

> **Tutorial Note**
>
> Probabilities can be calculated more precisely for a wide variety of outcomes using Z-Scores and normal distribution tables. You will not be expected to do this for BST exams.

Reasoned recommendation

Newcastle

Newcastle would be highly unlikely to be able to match the Liverpool location, if it achieved its expected mean profit.

Even if the Newcastle performance was two SD above the mean, it would only generate a profit equal to that of Liverpool's mean expected performance (£2.4m + (2 × £0.4m) – £1.5m = £1.7m). There is approximately only a 2.5% probability of this being achieved.

Thus, while Newcastle has the lowest probability of making a loss, it also has the least upside potential.

Liverpool

The Liverpool location has the greatest upside potential in terms of the highest mean profit. However, it also has the greatest downside potential for both of the FD's criteria: variability and probability of making a loss. Given the risk appetite of the board, this location is therefore probably too risky, despite having the highest expected mean profit.

Leeds

If the data captured is credible, then the Leeds location seems to offer the best compromise between profit and risk. In terms of relative risk, the CoV of Leeds is only slightly more than half that of Liverpool. The risk of making a loss at Leeds is approximately only 2.5% which appears acceptable for a new venture. It compares favourably with Liverpool which has a 16% probability of generating a loss.

In terms of upside potential, if Liverpool achieves its mean expected performance, it is possible that Leeds would be able to match this. If the Leeds performance were one SD above the mean it would generate a profit greater than that of Liverpool's mean expected profit (£2.8m + £0.7m – £1.4m = £2.1m).

Conclusion

It is recommended to open a restaurant in Leeds this year as it offers the best compromise between profit and risk. This does not exclude the possibility of opening restaurants in the other two locations in future years, as they would be expected to generate a positive profit, but the decision would be subject to the future risk appetite of the board.

9.5 Regression and correlation

Data analysis allows us to identify relationships between items in the data, to support forecasting and strategic decision making. The basic techniques used for such exploratory data analysis are regression analysis and correlation.



Definitions

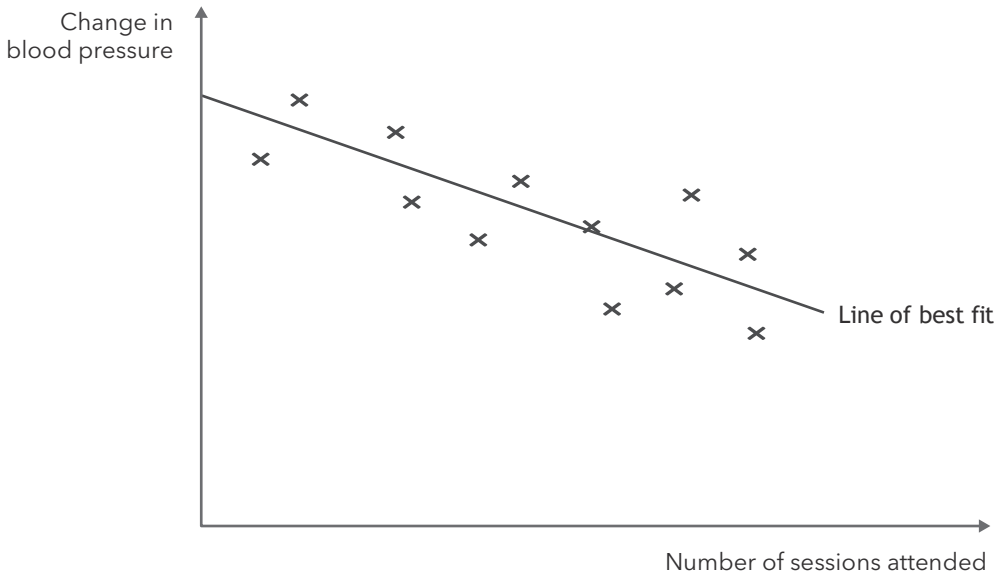
Regression analysis: Aims to specify the relationship between two or more variables. One of these variables is the dependent variable, whose value depends on the independent variable(s).

Correlation: Is a measure of the extent to which changes in the dependent variable are explained by changes in the independent variable.

9.5.1 Regression and correlation

A local authority wants to support residents to improve their health, focusing in particular on lowering blood pressure through increased exercise.

The authority is working with local leisure centres to demonstrate a link between the number of exercise sessions attended and the change in attendees' blood pressure. For the last six months leisure centres have asked a sample of attendees to record the number of sessions they have attended. Each week a fitness instructor also measures their blood pressure to monitor any change. The results are plotted on a simple graph or line chart:



A 'line of best fit' has been drawn in by eye on the chart to show the trend in how the variables relate to each other. We can see that there is a correlation between blood pressure and the number of exercise sessions attended because all the data is close to the line of best fit. The relationship suggests that as the number of exercise sessions increases blood pressure decreases, which is an example of negative correlation.

The line of best fit can be converted into a mathematical equation to show the relationship between the dependent variable (change in blood pressure) and the independent variable (number of classes attended). The line of best fit has an equation of the form y = ax + b, where:

- Positive – variables move in the same direction as each other, for example as hours worked increase, wage costs rise.
- Negative – variables move in the opposite direction to each other, for example as exercise increases blood pressure falls.
- No correlation – variables behave very differently and there is no obvious linear relationship, for example there is no correlation between sales revenue and depreciation charge.
- y is the predicted value of the dependent variable, given the value of the independent variable, x
- a shows how much the dependent variable changes for a unit change in the independent variable (how much blood pressure would decrease for each extra class attended)
- b shows what the value would be if the value of the independent variable were zero (blood pressure reading if no exercise classes were attended)

Tutorial Note

You would not be expected to perform regression analysis in the BST exam, but you need to be aware of what regression means and how it is used.

9.5.2 Correlation coefficient

Definition

Correlation coefficient: A statistical measure of the strength of the relationship between the relative movements of two variables. It shows what portion of the change in the dependent variable can be explained by changes in the independent variable.

If all the points in the data lie exactly on the line of best fit, this indicates that 100% of the change in the dependent variable are due to changes in the independent variable. The correlation coefficient can take a value between -1 and +1. If the value is minus, the dependent variable and independent variable are inversely related (negative correlation), which means that an increase in the dependent variable leads to a decrease in the independent variable. At a value of -1 or +1, all changes in the dependent variable are explained by the independent variable. As the value moves toward zero, the relationship becomes weaker, with the changes in the dependent variable explaining a lower portion of the changes in the independent variable.



Worked example: Correlation coefficient

The general manager of an independent cinema wants to review the current ticket pricing structure. As with many cinemas, prices are much higher in the evenings and weekends than they are in the day and during the week. The manager is aware of the assumed relationship between price and demand, with lower prices generating higher demand (negative correlation). The manager wants to understand whether this assumption applies to the cinema. Data extracted from the management information system showing a range of ticket prices operating on different days throughout the week, is as follows:

	A	B	C
1	Ticket price	Tickets sold	
2	6.99	287	
3	5.99	141	
4	6.99	187	
5	7.99	201	
6	8.99	266	
7	9.99	304	
8	10.99	324	
9	11.99	340	
10	5.99	140	
11	12.99	307	
12	5.99	75	

Requirement

Calculate the correlation coefficient using spreadsheet functionality and explain its meaning in the context of ticket prices and cinema visitors.

Solution

	A	B	C
1	Ticket price	Visitors	Correlation coefficient
2	6.99	287	0.85[1]
3	5.99	141	
4	6.99	187	

5	7.99	201	
6	8.99	266	
7	9.99	304	
8	10.99	324	
9	11.99	340	
10	5.99	140	
11	12.99	307	
12	5.99	75	

1 =CORREL(A2:A12,B2:B12)

To calculate the correlation coefficient the instruction would be =CORREL(A2:A12,B2:B12)

A correlation coefficient of 0.85 indicates strong positive correlation, indicating that as ticket prices rise demand for cinema tickets increases. This is not in line with the micro-economic law of demand that the cinema manager is aware of, which suggests that as prices rise demand decreases.

9.5.3 Correlation and causation

A cause-and-effect relationship (also known as a causal relationship) exists between two variables when a change in one causes the change in the other. For example, if a commuter drives further to work, their fuel costs rise. The increase in miles driven has caused the increase in fuel costs. There is a positive correlation between the number of miles driven and fuel costs that, in this case, can be described as a cause-and-effect relationship.

However, correlation does not necessarily mean that a cause-and-effect relationship exists.

There may be a reason for the correlation that is not causal. In the example above, there is a strong positive correlation showing that when the price of cinema tickets increase, the number of cinema visitors also increases. However the increase in price is not causing the increase in cinema visitors. In the case of the cinema, higher ticket prices are charged at the weekend when more people have time to go to the cinema. The third variable, namely the day of the week, influences both the ticket price and the number of people wishing to go to the cinema. This variable is known as a confounding variable.

Also, correlation may occur by pure chance; this is more likely to happen with a small set of data. This highlights the need to exercise professional scepticism when analysing data and drawing conclusions. Questions to consider might include:

- Does the relationship seem plausible?
- Has the data been accurately collected and who collected it? Consider any potential for bias.
- Could the relationship be because of coincidence or could a third variable be involved?
- Is the sample of data large enough to allow conclusions to be drawn?



Interactive question 10: Alpha and Gamma

Company Z is considering acquiring one of two companies, Alpha and Gamma.

Both companies have two divisions, each selling similar products in different markets.

Company Z is looking to invest in a growth company with steady cashflows. You have been provided with monthly revenue data for each company in a pre-populated spreadsheet.

	A	B	C	D	E	F	G
1		**Alpha Revenues £'000**			**Gamma Revenues £'000**		
2	Month	Division A	Division B	**Total**	Division A	Division B	**Total**
3	1	10	40	**50**	10	40	**50**
4	2	12	45	**57**	12	45	**57**
5	3	14	50	**64**	14	50	**64**
6	4	16	55	**71**	16	55	**71**
7	5	18	60	**78**	18	60	**78**
8	6	20	65	**85**	20	65	**85**
9	7	22	70	**92**	22	70	**92**
10	8	24	75	**99**	24	75	**99**
11	9	26	80	**106**	26	80	**106**
12	10	28	85	**113**	28	85	**113**
13	11	30	90	**120**	30	90	**120**
14	12	32	95	**127**	32	86	**118**
15	13	34	100	**134**	34	82	**116**
16	14	36	105	**141**	37	78	**115**
17	15	38	110	**148**	40	74	**114**
18	16	40	115	**155**	43	70	**113**
19	17	42	120	**162**	46	66	**112**
20	18	44	125	**169**	49	62	**111**
21	19	46	130	**176**	52	58	**110**
22	20	48	135	**183**	55	54	**109**
23	21	50	140	**190**	58	50	**108**

Requirement

Using spreadsheet functionality calculate the correlation and standard deviation for the data provided in the pre-populated spreadsheet. Comment on which company best fits with Company Z's acquisition goals.

See **Answer** at the end of this chapter.

9.6 Data sampling and bias

When performing statistical analysis, it is essential to be aware of whether the analysis is based on all the data we have available or just a sample of that data. We also need to be aware of potential data bias.

Definitions

Population: The entire set of data from which a sample is selected for analysis.

Sample: A subset of a larger population of data, facilitating more timely analysis of the data.

Developments in information technology and the growth of big data over the past 20 years has made it more feasible to analyse whole populations of data. However, there are still instances when it is not possible to analyse information about the whole population. This may be because the size of the data set is unmanageable, or because the costs of collecting the data are too high. There will also be instances when all the data is simply unavailable. Therefore, in order to perform statistical analysis, data from the sample is extrapolated and interpreted to understand the expected behaviour of a wider population of data.

Context example: Tracking the spread of Covid-19

During the Covid-19 pandemic the Office for National Statistics (ONS) monitored a sample of UK households to determine the prevalence and spread of coronavirus in the UK. The infection survey asked a sample of 400,000 people to regularly test for Covid-19, providing weekly data on the spread of infection and allowing a more targeted approach to controlling it. It would not be possible to test the entire UK population of 67 million people so a sample was used instead.

(**Source**: Office for National Statistics (2020) *Huge expansion of ONS-led testing study will provide new insight into spread of COVID-19 across the UK*. [Online] Available from: https://www.ons.gov.uk/news/news/newinsightintocovid19tobegainedfromhugeboosttonationaltesti ngstudyledbytheofficefornationalstatistics [Accessed 18 July 2023])

When making inferences, it is likely that the feedback from the sample will not be exactly the same as the population, so it has to be recognised that they are an estimate. In order to make estimates more reliable:

- The sample should be selected randomly, to avoid introducing bias.
- Larger samples are likely to be more representative of the population than small samples.

If the underlying data used in analysis is incorrect or the sample is too small, then the information that is the result of the analysis may be misleading. In particular, data may be biased which means it is not representative of the population from which it is drawn.

Professional skills focus: Assimilating and using information

Apply professional scepticism to any results obtained and conclusions drawn from sample data. Consider whether the sample was selected randomly and whether it is large enough to be representative of the wider data being studied.

Definition

Data bias: Data is biased when it is not representative of the population that is being analysed. Bias can be inherent in the data collected or introduced by those analysing the data.

There are many types of data bias, including:

Definitions

Selection bias: This describes bias caused by a lack of random data selection so that the sample of data is not representative of the population.

Self-selection bias: This occurs when individuals have the chance to select themselves to appear in a population of data. For example, a customer satisfaction survey is most likely to be answered by individuals who are either extremely happy or extremely unhappy with the service received. The majority of customers will simply not reply so the results are not representative of all customers.

Observer bias: This relates to interpretation and occurs when observing and recording results. The researcher allows their assumptions (which may be unconscious) to influence their observations.

Omitted variable bias: This occurs when a variable is excluded from the data model and therefore the cause of a change in one variable is incorrectly attributed to another variable in the model. For example, analysis of sales incorrectly attributes an increase to a new advertising campaign when it is in fact caused by a fall in interest rates that has encouraged consumer expenditure.

Cognitive bias: Relates to human perception and describes the way individuals interpret and understand information differently based on their own background, experiences and beliefs.

Context example: Cognitive bias

An example of cognitive bias that is used to good effect in marketing is the anchoring effect. To increase sales and encourage customers to feel they have got value for money, marketeers suggesting a recommended retail price (RRP) before discounting the price. The customer becomes 'anchored' to the RRP so is very willing to buy the product when it is discounted during a promotion, believing they have got a bargain.

The most important point to note is that professional scepticism should be used when analysing and evaluating data. Consider the accuracy and source of the data and ensure that decisions are not made without understanding the data limitations. For example, who has collated and interpreted the data and could this have resulted in any bias? What was the original use and intention of the data provided and is it relevant for the decision under consideration? Does the data cover a representative sample of the population?

Definitions

Confirmation bias: This occurs when people see data that confirms their beliefs and they ignore (consciously or sub-consciously) data that disagrees with their beliefs.

Survivorship bias: This is the tendency towards studying successful outcomes while excluding unsuccessful outcomes.

Context example: Survivorship bias

The New York Times reported on a 'groundswell' of students dropping out of University to follow in the footsteps of other University drop-puts such as Bill Gates (Microsoft) and Mark Zuckerberg (Facebook). Based on their enormous success it would seem that University is a waste of time and money. However, under-graduates choosing to follow this path are ignoring all the evidence that points to the importance of University in securing a successful, well-paid career. For example, in the 2018 the employment rate for graduates in the UK was 88% compared to 72% for non-graduates. Graduates were able to command a median annual salary

of £34,000 compared to the non-graduate median of £24,000. This example makes it clear that it is important to base decisions on the whole picture and not just on the survivors.

(**Sources**: Williams, A. (2012) Saying No to College. *The New York Times*. [Online] Available from: https://www.nytimes.com/2012/12/02/fashion/saying-no-to-college.html; Miller, B. (2020) *How 'survivorship bias' can cause you to make mistakes*. [Online] Available from: https://www.bbc.com/worklife/article/20200827-how-survivorship-bias-can-cause-you-to-make-mistakes [Accessed 18 July 2023]).



Professional skills focus: Applying judgement

Before drawing conclusions from any information, ensure that you have considered possible bias within the data. In particular, take into account the source of the data and whether it is complete and relevant to the decision being made. Consider whether further information is needed before a sound conclusion can be drawn.

9.7 Using statistical data presented in different formats in the exam

As we outlined in the chapter, 'Introduction to the Business Strategy and Technology exam', questions in the Business Strategy and Technology exam will feature different types of data, from a range of different sources, which may be presented in a range of different formats. Statistical data is one example of this that you may encounter in the exam. Further consideration of the data analysis skills that you will need to develop is provided in the chapter, 'Evaluating and analysing performance and strategies.' Any data provided in exam question scenarios is there for you to use, and as such it is important that you use it. The examiners have stated that any statistical data provided in question scenarios is intended to be used in a high-level manner.

You will be expected to use any data provided to inform and support the answers that you give. Statistical data in the Business Strategy and Technology exam is more likely to take the form of average values or ranges, for example, price averages or a range of prices that companies in a market charge for their products or services. Such data can be used when evaluating the position and performance of the entity featured in a question. It may also provide a basis for assessing the risks associated with a proposed pricing strategy or course of action. The inclusion of such data is to intended to give you points which you can refer to in your answer.

As data in the exam can come in many different formats you will need to develop your skills in using it regardless of how it is presented as it could relate to any of the four data related requirements that will appear in the Business Strategy and Technology exam.

Question 1 in the March 2019 exam (*Gadgy Ltd*) featured a leading company involved in the manufacture of wearable technologies (fitness trackers and smartwatches). The first requirement asked:

'Using the data in the Exhibits and the other information provided, analyse Gadgy's current product portfolio and competitive positioning in the UK. Discuss the implications of your analysis for the future sales growth of Gadgy's existing products in the UK.' **(17 marks)**

Candidates were provided with three Exhibits, which have been replicated as follows:

Exhibit 1 included specific data relating to Gadgy Ltd. Exhibit 2 provided candidates with data relating to the wearable technology market as a whole. Most notably it detailed the average market price for different types of wearable device which could be used to provide a point of comparison between the prices charged by Gadgy Ltd for its devices and the market as a whole. It also detailed the spread of prices (lowest to highest) that company's in the market charged for their wearable devices. Exhibit 2 also contained a pie chart which detailed the share of UK market revenue for Smartwatches by company in the market.

Exhibit 3 detailed the market revenue for Fitness trackers by company. Exhibit 3 also provided sales data relating to different types of device in different parts of the world to both corporate and individual customers.

Exhibit 1: Gadgy product and customer information Year ended 31 December 20X8

	Smartwatch	Fitness tracker	Total
Sales volume (number of devices)	237,500	688,00	925,500
Sales revenue	£42.75m	£51.60m	£94.35m
Gross profit	£21.38	£16.51m	£37.89m
Split of individual customers by gender (% male/female)	70/30	45/55	

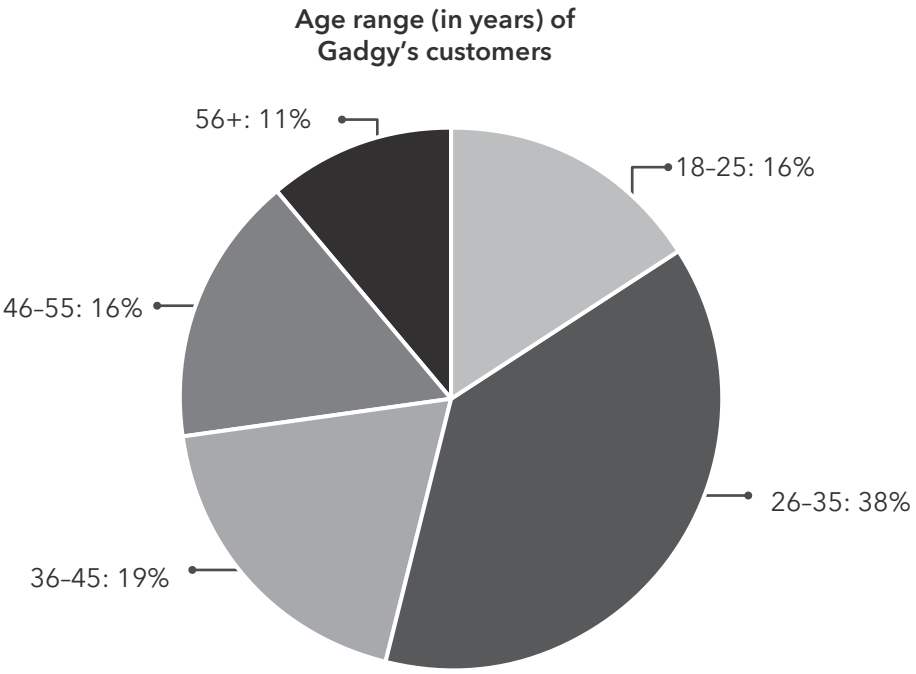


Exhibit 2: UK market information

Wearable technology sold to individual customers

Year ended 31 December 20X8

	Average device price £	Price range £	Market revenue £m	20X9 predicted growth rate £
Smartwatches	239	149–429	225	18%
Fitness trackers	100	50–290	129	(3)%
Smart clothing	125	90–150	35	21%
Smartglasses	720	540–1,500	79	27%
Other	n/a	n/a	14	8%
Total wearables			**482**	

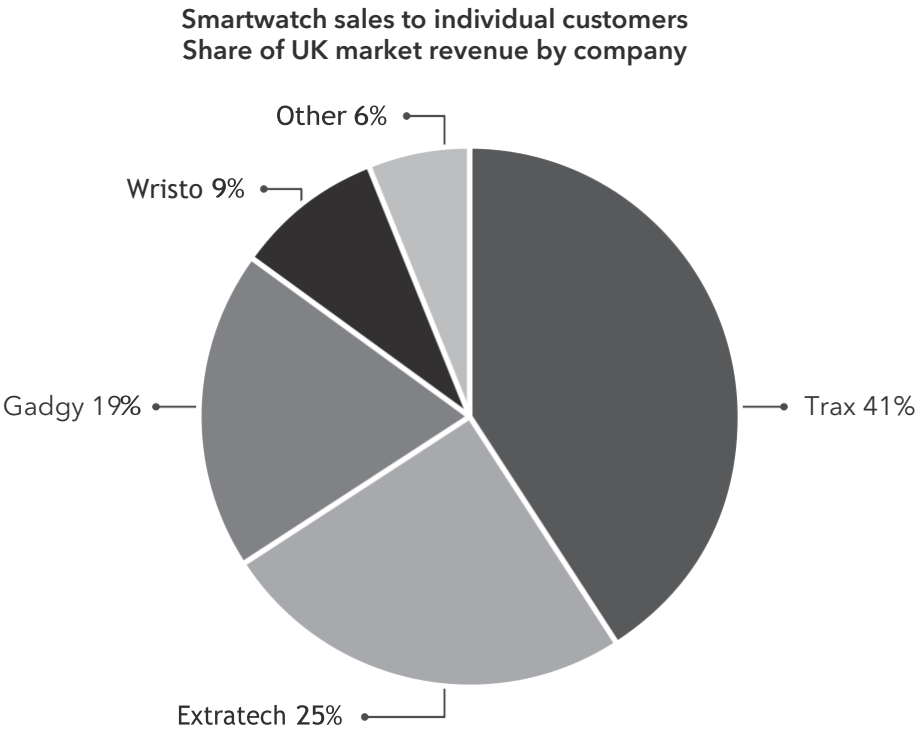
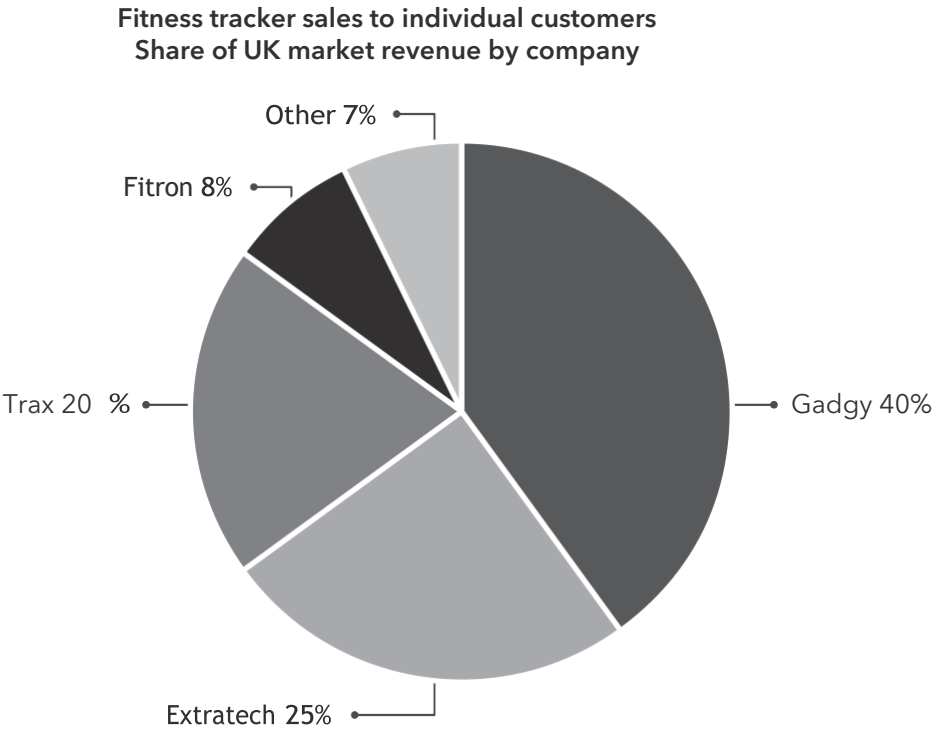


Exhibit 3: Global market information for wearable technology

Year ended 31 December 20X8



TOTAL MARKET (INDIVIDUAL CUSTOMERS AND CORPORATE CLIENTS)

By device (sales volumes)	%
Fitness trackers	49
Smartwatches	34
Smartglasses	13
Smart clothing	3
Other	1
	100

By region (sales revenue)	%
Asia Pacific	30
America	32
Europe	27
Other	11
	100

Corporate market only

Analysis by market sector (sales volumes)

	%
Fitness	24
Health	22
Insurance	20
Military	16
Industrial	14
Other	4
	100

Candidates were expected to make active use of the data provided to help shape their analysis of Gadgy Ltd's current portfolio and competitive position. Some of the ways in which the data provided in the Exhibits could be used when answering the requirement are set out below.

Using the data table in Exhibit 1 candidates could perform calculations which worked out:

- The sales price of Gadgy's Smartwatch's and Fitness trackers
- The sales revenue and volume mix percentages for both products
- The sales volume mix based on sales made to male and female customers
- The gross profit mix and gross profit margin percentages for both products
- Gadgy Ltd's gross profit margin

To develop their answers, candidates needed to avoid solely using the data in one Exhibit in isolation but to combine it with the other data provided. For example, the table showing the data for the wearable technology market in Exhibit 2 detailed the predicted percentage growth rates for different types of device. Candidates could have used this data in conjunction with the table in Exhibit 1 to predict Gadgy Ltd's future revenue and gross profit in 20X9. This approach helped to inform their answer in respect of the implications for Gadgy Ltd's future sales growth.

The data in Exhibit 2 could be used to:

- Compare Gadgy's sales price per product item (calculated using the data in Exhibit 1) with the market average device price.
- Calculate the prices per device sold by Gadgy Ltd as a percentage of the average market price.

- Calculate the estimated number devices sold in the market as a whole for each type of device, which could be contrasted against Gadgy Ltd's own sale volumes for Smartwatches and Fitness trackers.

The average market prices charged, coupled with the spread of prices in Exhibit 2, were included to provide candidates with a point of comparison when discussing Gadgy Ltd's position against its competitors.

Combining the predicted growth rate percentages for 20X9 in Exhibit 2 with the market share details of the competitors in the Smartwatch and Fitness tracker markets (from Exhibits 2 and 3) allowed candidates to prepare a BCG matrix analysis which could be used to develop their answers in respect of Gadgy Ltd's product portfolio and competitive position.

As this example highlights, data provided in question scenarios may lend itself to greater analysis beyond simply calculating absolute numerical changes or changes in the percentage mix of key figures, as it can also be applied to theoretical models such the BCG matrix (discussed in the chapter Strategic capability). Identifying which models or frameworks could be used in conjunction with the data provided is a key skill and helps to give you more to talk about in your answer. Developing your skills to use data in this context can be achieved by undertaking plenty of question practice.

Further consideration of the different ways in which data in the exam may be presented is given in the chapter 'Evaluating and analysing performance and strategies.'

9.8 Structure of decision trees

Tutorial Note

It is important to note that **in the Business Strategy and Technology exam you will *not* be required to draw decision trees**, but you may need to set out conditional probability calculations in the form of a table, or interpret a decision tree provided in the question scenario.

Decision trees are diagrams which illustrate the choices and possible outcomes of a decision.

A **decision tree** is a pictorial method of showing a sequence of interrelated decisions and their expected outcomes. Decision trees can incorporate both the probabilities of, and values of, expected outcomes.

Decision trees provide a clear and logical approach to problem solving by:

- Showing all possible **choices** as **branches** on the tree (squares)
- Showing all possible **outcomes** as **subsidiary branches** on the tree (circles)

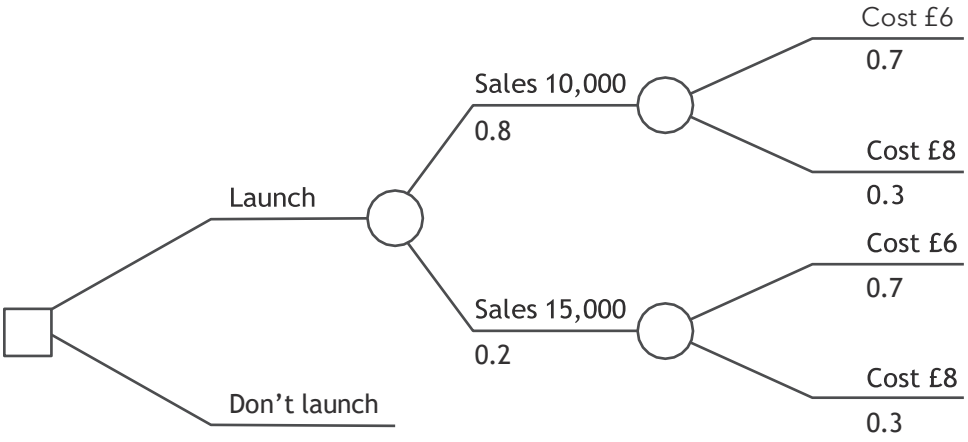
Decision trees begin with a decision point, usually represented by a **square**, and the various choices branch off from this, flowing from left to right.

If the outcome for any of those choices is certain, then the branch of the decision tree for that alternative is complete.

If the outcome of a particular choice is uncertain, then the various possible outcomes must be shown. This is done by inserting an **outcome point** on the branch. This is symbolised by a **circle**. Each possible outcome will then branch out from that outcome point. These are known as **subsidiary branches**.

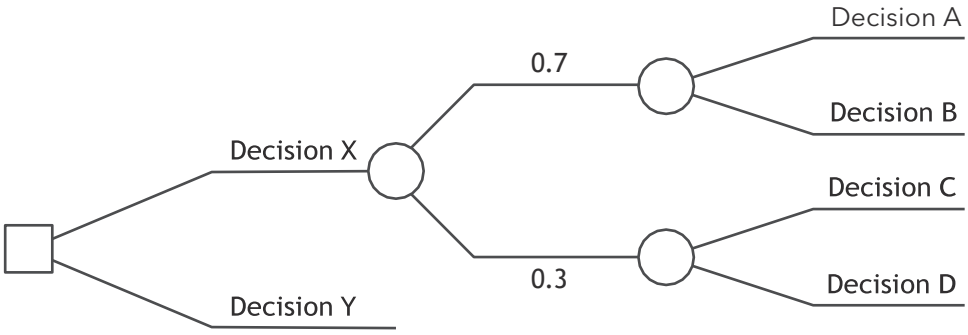
The **probability** of each outcome occurring should be written on the branch of the tree that represents that outcome.

Figure 10.7: Decision tree



Sometimes a **decision taken now** will lead to **other decisions** being taken in the future.

When this situation arises, the decision tree can be drawn as a **two-stage tree**, as shown below.
Figure 10.8: Decision tree



In this tree, either a choice between A and B or else a choice between C and D will be made, depending on the outcome which occurs if Decision X has previously been chosen.

The decision tree should be in chronological order from left to right.

9.8.1 Evaluating decisions with a decision tree

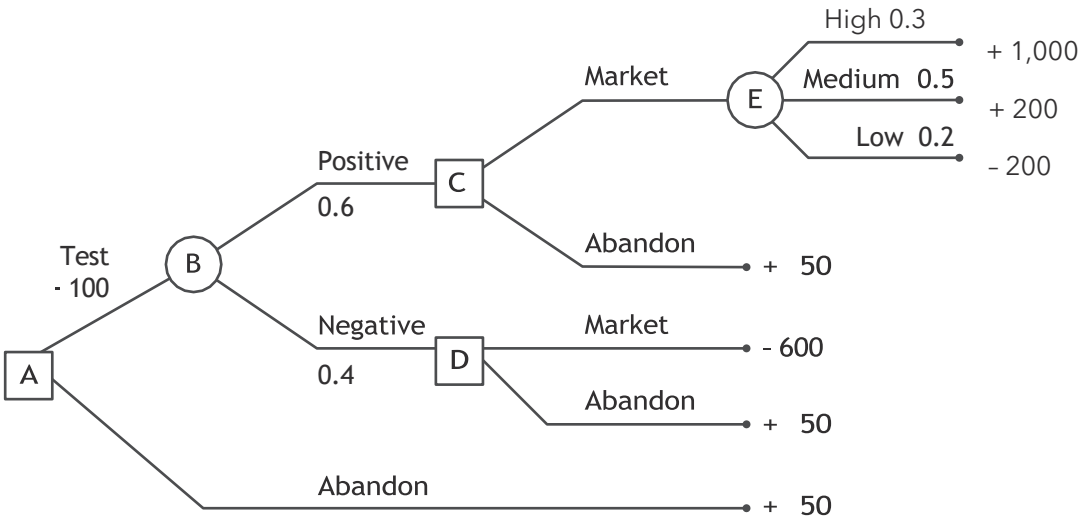
The EV of each decision option can be evaluated, using the decision tree to help with keeping the logic properly organised. Once the basic decision tree (ie, choices, outcomes and probabilities) has been drawn from left to right chronologically, the basic rules for attaching values to the decision process are as follows:

(a) We start on the **right-hand side** of the tree and **work back** towards the left-hand side and the current decision under consideration. This is sometimes known as the '**rollback' technique** or '**rollback analysis.'**

(b) Working from **right to left**, we calculate the **EV of revenue, cost, contribution or profit** at each outcome point on the tree.

Consider the decision tree below which has been prepared for a new product that has been developed. The decision is whether the new product should be test marketed or abandoned. The outcomes are high, medium or low demand and are dependent on whether the result of the test marketing is positive or negative.

Figure 10.9: Decision tree



The right-hand-most outcome point is point E, and the EV is as follows:

	Profit X	**Probability p**	**pX**
	£'000		**£'000**
High	1,000	0.3	300
Medium	200	0.5	100
Low	(200)	0.2	(40)
			EV 360

This is the EV of the decision to market the product if the test shows a positive response. It may help you to note the EV on the decision tree itself, at the appropriate outcome point (point E).

(a) **At decision point C**, the **choice** is as follows:

(1) Market, EV = +360 (the EV at point E)

(2) Abandon, value = +50

The choice would be to market the product, and so the EV at decision point C is +360.

(b) **At decision point D**, the **choice** is as follows:

(1) Market, value = – 600

(2) Abandon, value = +50

The choice would be to abandon, and so the EV at decision point D is +50.

The second stage decisions have therefore been made. If the original decision is to test market, the company will market the product if the test shows positive customer response, and will abandon the product if the test results are negative.

The evaluation of the decision tree is completed as follows:

(a) **Calculate the EV at outcome point B**.

0.6 × 360 (EV at C)

+ 0.4 × 50 (EV at D)

=216 +20 = 236.

(b) **Compare the options at point A**, which are as follows:

(1) Test: EV - EV at B minus test marketing cost = 236 – 100 – 136

(2) Abandon: Value = 50

The choice would be to test market the product, because it has a **higher EV of profit**. Evaluating decisions by using a decision tree has a number of limitations:

- The time value of money may not be taken into account.
- Decision trees are not suitable for use in complex situations (eg, probabilities could be continuous in the form of a normal distribution, rather than only two possible outcomes).
- The outcome with the highest EV may have the greatest risks attached to it. Managers may be reluctant to take risks which may lead to losses.
- The probabilities associated with different branches of the tree are likely to be estimates, and possibly unreliable or inaccurate.



Worked example: Baguetteri

Baguetteri, a bakery and sandwich shop, is considering two options to increase sales revenue across its branches. Data about each option is as follows:

	Launch loyalty card	***Launch premium range***
Probability of high sales	*0.5*	*0.6*
Probability of low sales	*0.5*	*0.4*
Result of high sales	*£1,200,000*	*£800,000*
Result of low sales	*£1,000,000*	*£600,000*
Investment cost	*£600,000*	*£750,000*

Requirement

Which option is most suitable for Baguetteri?

Solution

Option 1: Launch loyalty card

Option 1 High sales = (0.5 × £1,200,000) = £600,000

Option 1 Low sales = (0.5 × £1,000,000) = £500,000

Total expected value = £1,100,000

***Net gain**: Expected value – Investment = £1,100,000 – £600,000 = £500,000*

Option 2: Premium range

Option 2 High sales = (0.6 × £800,000) = £480,000

Option 2 Low sales = (0.4 × £600,000) = £240,000

Total expected value = £720,000

***Net loss**: £720,000 – £750,000 = (£30,000)*

The loyalty card option delivers a net gain whilst the premium range option delivers a net loss, so Baguetteri should not proceed with Option 2 unless it is able to lower costs or improve revenues.

Interactive question 11: Safe Storage Ltd

Safe Storage Ltd (SS) provides secure storage units to customers who are unable to store all of their personal belongings at their home. Many customers use the company's services during the process of moving house as an easy way of securely storing items until a new home purchase is completed. On average, customers store their items for a period of six to nine months. The company operates a number of storage sites around the country. At present, the direct costs of storing customer's goods are £202 per customer per annum.

SS is unique as it provides a delivery service to its customers of items held in storage. Customers can have their goods delivered to any UK location without charge for up to the first three deliveries.
Customers pay a £50 subscription per month for the use of the storage service. The company currently has 28,000 customers on average per year which generates revenue of £11 million.

SS has recently been approached by a large retailer, Furniture World plc, to enter into a contract to store furniture for the company over the next 12 months, after Furniture World's main depot was recently destroyed in a fire. Furniture World has requested a fixed price arrangement which would see SS hold inventories of furniture, with up to three deliveries over the course of the year being made to each of its 1,050 UK stores. Each store is to be treated as an individual customer as part of the arrangement. Although unlikely, in the event that more than three deliveries per store are needed Furniture World has agreed that its own fleet of trucks will collect furniture from SS and arrange delivery to store. Furniture World is renowned for driving a hard bargain and wants to receive a discount on all contracts it enters into, usually at 25% of the standard prices charged.

SS currently has spare capacity at some of its storage sites to hold furniture for Furniture World. The MD of SS has estimated that the probability of deliveries being needed over a 12-month period to Furniture World stores would be:

Number of requests	0	1	2	3
Probability	5%	10%	40%	45%

At present SS's average delivery costs are £32 per delivery made. Each delivery attracts an administration cost of £10, this relates to the processing of the delivery at the respective storage site. SS's current fixed costs amount to £143,000, however this would increase by £162,000 to £305,000 should the company accept the contract with Furniture World as additional storage sites would need to be rented at locations where SS has no spare capacity.

Requirement

Discuss how the discount requested would affect the profitability of the Furniture World contract. Show supporting calculations including a break-even price.

See **Answer** at the end of this chapter.

10 Risk management and business continuity planning

Section overview

- Risk can be mitigated by management having plans to deal with problems if they occur.

Definition

Business continuity planning: A process through which a business details how and when it will recover and restore any operations interrupted by the occurrence of a rare, but massive, risk event.

Because all businesses must accept some level of residual risk, business continuity planning has been developed to deal with the consequences of any realised residual risks. These are likely to be the unpredictable one-off events such as building fires, acts of terrorism, regional incidents like earthquakes, or national incidents like pandemic illnesses.

Factors that must be considered include:

- Securing interim management and staff
- Inventory replacement
- Restoration of data and other IT systems
- Securing interim premises
- Management of the PR issues

Though events bringing a business's existence into jeopardy do not arise on a regular basis, they do, nevertheless, arise occasionally and business continuity planning is concerned with crisis management and disaster recovery if an event of this magnitude occurs.

Scenario planning

Scenario planning is a strategic tool used by organisations to consider various possible future market conditions. Unlike PESTEL and Porter's Five Forces, which often focus on the 'most likely' future, in scenario planning, key environmental factors are identified, and the organisation considers how these might evolve. Plans are developed for each potential scenario.

The number of scenarios to plan for

The most common approach to scenario planning is to create three potential future scenarios:

- *The most likely scenario – reflects the expected future market conditions based on current trends and management's expectations.*
- *The best case scenario – reflects a position where the key environmental factors move favourably for the organisation (for example, if the product becomes fashionable, the economy improves, competitors fail to reach changing technology etc.).*
- *The worst case scenario – reflects a position where the environment turns against the organisation (for example, if there were more entrants into the market or if the economy were to suffer a period of recession)*

Organisations evaluate how they would respond to each scenario and create plans for each. They establish key performance indicators (KPIs) or key risk indicators (KRIs) to monitor which scenario is becoming more probable.

However, many strategists suggest that having three alternatives, and in particular a most likely scenario, can render this analysis meaningless. They suggest that this will narrow managers' focus to the most likely scenario at the expense of the others. They therefore argue that it would be better to have only two potential future scenarios rather than distorting managers' mind-sets with a 'most likely' scenario.

Also, the scenarios should be plausible alternatives rather than a consideration of every potential eventuality that can be created. For example, a financial services firm might use scenario planning to prepare for regulatory changes. They could develop scenarios for increased regulation, stable regulation, and deregulation, allowing them to adapt their strategies accordingly.

This approach is particularly useful in environments that are unpredictable or which change quickly and in unexpected ways. The aim here is to help managers become more aware of what the key environmental factors are and how they might influence the organisation in the future.

Benefits and problems of scenario planning

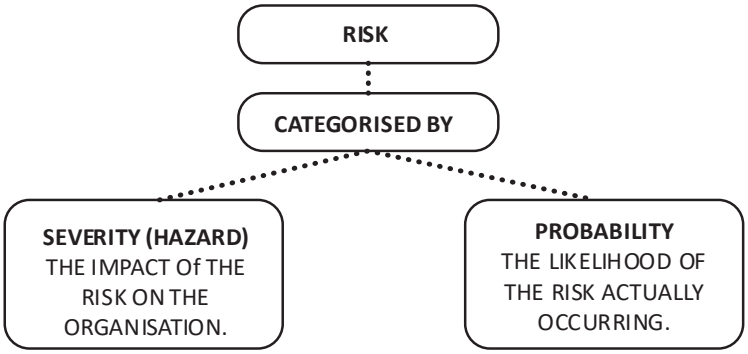
Benefits:

- *Greater awareness of key environmental factors*
- *Encourages preparation for potential challenges*
- *Increases organisational flexibility and adaptability*
- *May provide a strategic advantage in dynamic markets*

Problems:

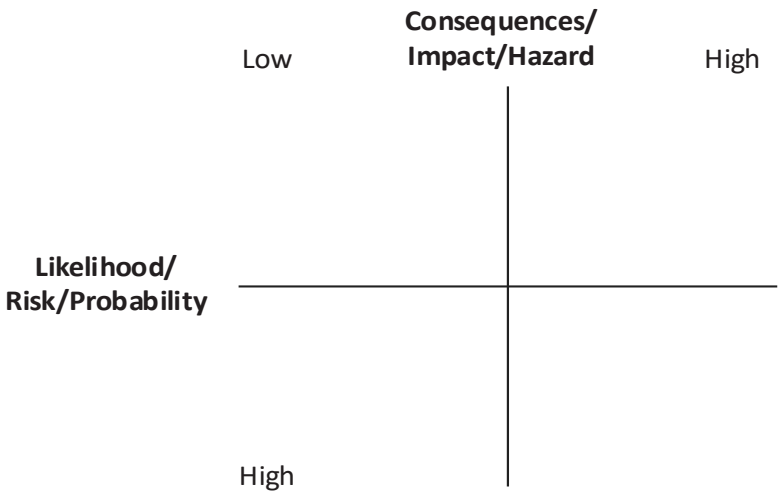
- *Can be time-consuming and costly (especially as most scenarios won't occur)*
- *Should not be confused with forecasts or replace budgeting systems*
- *Scenarios should not be set as targets, as some, like best-case scenarios, may be unrealistic and demotivating*

Assessing risks

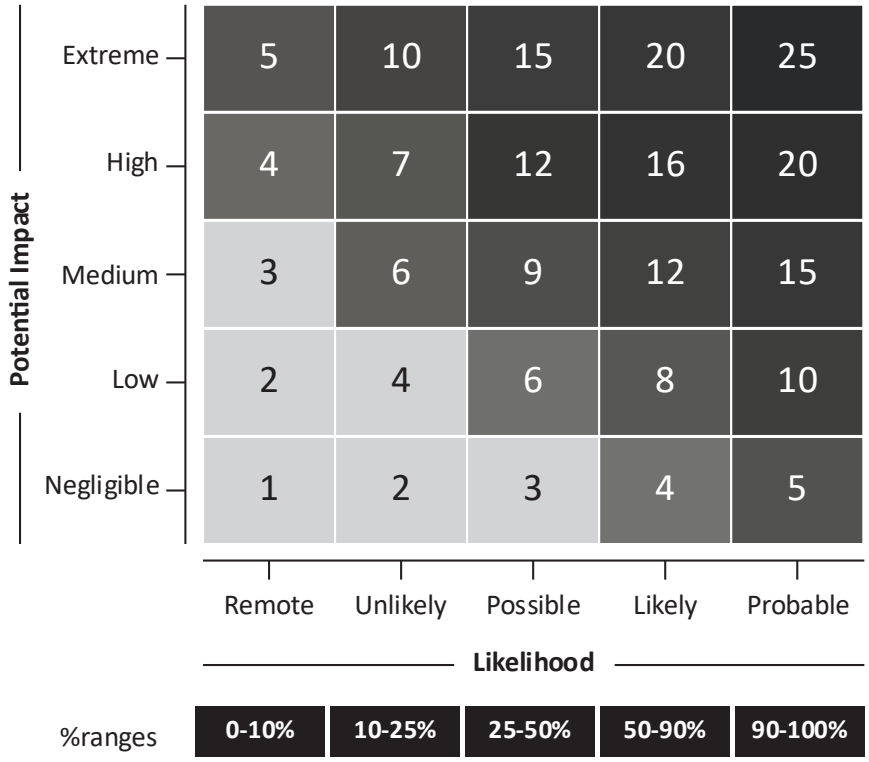


*A common qualitative way of assessing the significance of risk is to produce a '**risk map**':*

- *The map identifies whether a risk will have a significant impact on the organisation and links that into the likelihood of the risk occurring.*
- *The approach can provide a framework for prioritising risks in the business.*
- *Risks with a significant impact and a high likelihood of occurrence need more urgent attention than risks with a low impact and low likelihood of occurrence.*
- *The significance and impact of each risk will vary depending on the organisation:*
  – e.g. an increase in the price of oil will be significant for an airline company but will have almost no impact on a financial services company offering investment advice over the internet.
- *Risks can be plotted on a basic 2×2 matrix, as shown.*



A more detailed risk heat map can also be produced such as the one below.
Here the likelihood and impact are graded from 1–5 and then multiplied together to get a 'risk score':



A risk heat map is a tool used to present the results of a risk assessment process visually and in a meaningful and concise way.

Whether conducted as part of a broad-based enterprise risk management process or more narrowly focused internal control process, risk assessment is a critical step in risk management.

The development of an effective heat map has several critical elements – a common understanding of the risk appetite of the company, the level of impact that would be material to the company, and a common language for assigning probabilities and potential impacts.

Organisations generally map risks on a heat map using a 'residual risk' basis that considers the extent to which risk remains after being reduced by internal controls or other risk response strategies.

The risk management strategies that will be adopted depend on how risk is assessed on this map.

5 Strategic choices that integrate environmental, social, and governance (ESG) principles are increasingly decisive for long-term success, as they enhance resilience, stakeholder trust, and sustainable value creation. Companies that embed ESG into strategy outperform those that treat it as compliance or short-term optics.

Environmental Implications

- ***Resource Efficiency**: Strategic investments in renewable energy, waste reduction, and sustainable supply chains lower costs and mitigate regulatory risks.*
- ***Climate Resilience**: Firms that proactively address climate risks (carbon neutrality, green infrastructure) are better positioned against future disruptions.*
- ***Reputation & Market Access**: Environmentally responsible companies gain access to eco-conscious consumers and investors, strengthening brand equity.*

Social Implications

- ***Employee Engagement**: Prioritizing diversity, equity, and inclusion fosters innovation and reduces turnover.*
- ***Community Impact**: Strategic CSR initiatives (education, healthcare, local development) build goodwill and strengthen license to operate.*
- ***Customer Loyalty**: Transparent social practices (fair labor, ethical sourcing) enhance trust and long-term customer relationships.*

Governance Implications

- ***Risk Management**: Strong governance frameworks reduce fraud, corruption, and compliance failures.*
- ***Investor Confidence**: Transparent reporting and board accountability attract long-term institutional investors.*
- ***Decision Quality**: Independent boards and ethical leadership improve strategic agility and resilience.*

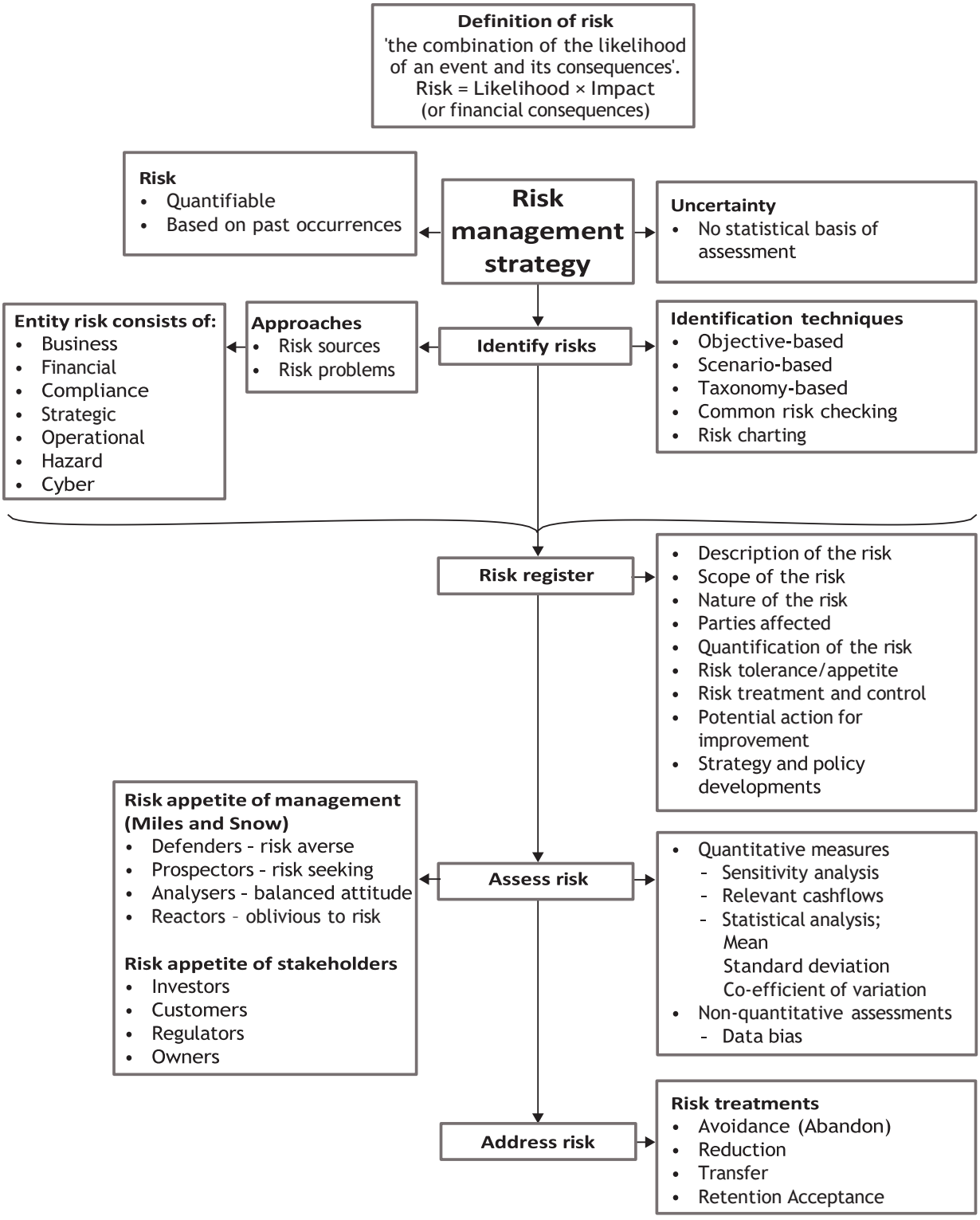
ESG and Long-Term Success

ESG Dimension	Strategic Choice	Long-Term Impact
Environment	*Renewable energy adoption*	*Reduced costs, regulatory compliance, climate resilience*
Social	*Inclusive hiring & fair wages*	*Higher productivity, stronger brand loyalty*
Governance	*Transparent reporting & board independence*	*Investor trust, reduced litigation risk*

⚠ *Risks of Ignoring ESG*

- ***Regulatory Penalties**: Non-compliance with evolving ESG standards leads to fines and restrictions.*
- ***Reputational Damage**: Social/environmental scandals erode consumer trust and investor confidence.*
- ***Capital Access**: ESG ratings increasingly influence access to financing; weak ESG reduces opportunities.*

Summary


Definition of risk
'the combination of the likelihood of an event and its consequences'.
Risk = Likelihood × Impact
(or financial consequences)
Risk
• Quantifiable
• Based on past occurrences
Risk management strategy
Uncertainty
• No statistical basis of assessment
Entity risk consists of:
• Business
• Financial
• Compliance
• Strategic
• Operational
• Hazard
• Cyber
Approaches
• Risk sources
• Risk problems
Identify risks
Identification techniques
• Objective-based
• Scenario-based
• Taxonomy-based
• Common risk checking
• Risk charting
Risk register
• Description of the risk
• Scope of the risk
• Nature of the risk
• Parties affected
• Quantification of the risk
• Risk tolerance/appetite
• Risk treatment and control
• Potential action for improvement
• Strategy and policy developments
Risk appetite of management (Miles and Snow)
• Defenders - risk averse
• Prospectors - risk seeking
• Analysers - balanced attitude
• Reactors - oblivious to risk
Risk appetite of stakeholders
• Investors
• Customers
• Regulators
• Owners
Assess risk
• Quantitative measures
- Sensitivity analysis
- Relevant cashflows
- Statistical analysis;
Mean
Standard deviation
Co-efficient of variation
• Non-quantitative assessments
- Data bias
Address risk
Risk treatments
• Avoidance (Abandon)
• Reduction
• Transfer
• Retention Acceptance

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
(1)	Do you know the difference between risk and uncertainty? (Topic 1)
(2)	What influences an organisation's risk appetite? (Topic 3)
(3)	Can you categorise the main sources of risk and give examples of each? (Topic 4)
(4)	What are the main approaches to address risk? (Topic 6)
(5)	Can you perform calculations to assess risk and uncertainty for decision making purposes? (Topic 8)
(6)	Are you able to assess strategic and operational decisions using expected value calculations and decision trees? (Topic 9)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test question is particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
4	This short question is intended to develop your ability to generate ideas, which is an important exam skill. You are asked to consider two sources of risk to which multinational firms are exposed.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Premier Paper Products plc (Practice Qs)	This question incorporates both theory and commercial awareness. The second part requires you to prioritise three business risks before explaining the implications of each and potential mitigating strategies. Use the scenario to generate relevant, applied recommendations.
Maya plc (June 2018)	This question develops your application skills. In part 1 you are required to explain the risks present in the scenario and develop appropriate mitigating strategies.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Self-test questions

Answer the following questions.

1 Distinguish between risk and uncertainty.

2 Explain the two general approaches to risk identification.

3 Identify four general strategies for risk management.

4 Identify two sources of risk to which multinational firms in particular are exposed.

5 Identify the four descriptions of management attitudes to strategic risk identified by Miles and Snow.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Report

To: Director of corporate development, SkyWays Airlines

From: Financial analyst

Date: XX/XX/XXXX

Subject: Risks faced by SWA

Terms of reference

This report has been commissioned by the director of corporate development to illustrate the risks facing SWA and to identify appropriate controls.

Introduction

Risk has been defined as 'a condition in which there exists a quantifiable dispersion in the possible outcomes from any given activity.' This report does not attempt to quantify the risks faced by SWA. Rather it seeks to identify the origins of such risk and, for each, suggest suitable controls to manage that risk.

Financial risks

Interest rate risk: A change in the interest rate can affect the cash flows of the company where there are debts owed by the company at variable rates. Similarly, any incomes related to interest rates, such as from short-term deposits or where passenger or freight volumes are affected by interest rates, will also be subject to risk.

This risk can be managed in a variety of ways:

- Avoidance of floating rate debt by switching funding to equity or fixed rate debt or interest hedging. (It might be noted however that fixed rate debt changes the type of risk but may not eliminate it altogether. Hedging avoids the cash flow risk in future interest payments but transfers risk into a fair value risk in term of the susceptibility of the value of the bond to market interest rate changes.)
- Deliberate purchase of floating rate debt such that the fall in earnings from business operations as rates rise can be offset by the increase in returns from the investments.
- Development of lines of business where earnings are negatively co-variant to those of SWA with respect to interest rates, ie, internal diversification.

Foreign exchange risk occurs when exchange rates change and affect the cost of servicing debts denominated in foreign currency, the receipts from payments denominated in foreign currency and the changes in the volumes of business as the foreign currency costs of tickets changes.

Methods of managing this risk include:

- Denomination of debts and sales in domestic currency where possible
- Exchange rate hedging
- Development of streams of earnings and expenditures that are matched for each currency

For example, if SWA needs to pay sterling for meals supplied on return journeys from London it should consider using the ticket revenues from sales in UK to pay this. If these are insufficient then a sterling denominated airline shop should be considered.

- Diversification of operations across several currency zones

Credit risk is the disruption to revenue streams by delayed payments from debtors or from bad debts.

This risk can be managed by:

- Credit control procedures
- Debt factoring

Operational risks

Regulation risk refers to the costs of complying with changes in aviation regulations, fines for non- compliance and of disruption to operations if aircraft are grounded.

This risk can be managed by:

- The creation of mechanisms for consultation and advance warning with regulators. The experience and contacts of SWA's engineering director will be an important part of this.
- Compliance with regulations. SWA will need to have robust procedures for all operations that can be inspected and verified by regulators.
- Transfer of sensitive operations outside the business. Outsourcing maintenance, staffing, catering etc, means that the expertise of the provider may reduce some of the risk but also that they will bear the costs of changes to regulation or fines for non-compliance. Loss of earnings due to disruption of these activities can be recovered by SWA through legal action.

Culture risk deals with the danger of commercial failure, reputation damage, or disruption to operations due to mismanagement of cultural interfaces in the business. Examples include the adverse effects of staffing or advertising decisions, poor product or service provision. At the highest level it can include the fall-out from national cultural clashes for the firms in those nations.

This risk can be managed by:

- **Taking appropriate advice on cultural issues:** Many consultancies will provide SWA with practical advice on doing business in particular countries to avoid damaging cultural sensibilities.
- **Business partnerships with local operators**: These will be more experienced in dealing with differences.
- **Diversity policy**: SWA could take deliberate action to ensure that the breadth of cultures that it deals with are represented within its staff at all levels. Staff could also be given culture awareness training such as BA did with cabin staff to make them aware of the variability of dietary conventions, body language, name conventions, forms of address etc, that will be encountered by a global airline.
- **Organisational development:** SWA could take the decision to shift from a national to a global organisation by a transformational change involving restructuring, recruitment and changing the perspective of existing staff towards persons from other cultures.

Board composition: To avoid operational risks, the board should have representatives of main operational areas such that the operational implications of board decisions receive proper consideration and that operational concerns receive a proper airing.

This risk can be managed by key operations having board representation.

Hazard risks

Contracts: The extended supply chain of SWA makes it reliant on suppliers of fuel, aircraft parts, air traffic control etc. Particular contract risks in SWA's present situation are its employment contracts with staff, and potential contracts with the makers of new aircraft. Risks arise where a counterparty is unable or unwilling to fulfil their obligations under the contract, such as a threat to strike or to withdraw service, or where SWA wishes to vary the terms of the contract but cannot.

Management of this risk can be assisted by:

- Proper procedures for supplier selection
- Development of dedicated procurement and contracts function within SWA
- Multi-sourcing of inputs to avoid excessive reliance on one
- Financial redress for non-performance of contract such as penalty payments

Relationship building with counterparties to develop trust and commitment. Regular meetings to air concerns and address grievances will assist and will also provide SWA with early warnings of potential risk from the contracts.

Natural events: For airlines this includes hurricanes, snow, rain and fog. These lead to cancellations and diversions of flights resulting in displaced passengers and aircraft with subsequent costs of relocation (buses, alternative flights, empty flights), compensation and lost revenue. Such events can also affect demand for air services such as a lack of snow reducing demand for flights to skiing resorts or the tragedy of a Tsunami making tourists unwilling to visit low-lying coastal resorts.

Management controls that can be used include:

- Contingency plans for dealing with disruptions such as alternative schedules, stand by arrangements with other transport providers and airports.
- Advance warning such as use of weather forecasts.
- Contractual clauses limiting SWA's liability for costs of losses due to natural events and force majeure.
- Risk assessment of airports used to assess vulnerability to fog, flood etc.

Suppliers: These are risks arising from the collapse or poor performance of suppliers or aggressive action on their part such as levying of increased prices.

Many of the management controls for contract risk discussed above apply here too. Additional controls would include:

- Engagement of suppliers in long-term contracts
- Creation of parallel sourcing strategies to ensure suppliers remain competitive and sourcing approach (eg, a sole reliance on agents or e-trading) is not an additional source of risk

Management controls include:

- Development of relationship with key stakeholders (eg, governments, environmental groups, local warlords etc)
- Improvement of physical security of operations
- Improvement of information available by environmental scanning and creation of knowledge management within SWA

Strategic risks

Competition: This imposes the commercial risk of reduced profits through lower prices and volumes and increased costs of participation in the industry (service quality, promotion etc).

Management controls include:

- Competitor monitoring and analysis
- Development of competitive advantage such as brand or unique access or technology
- Pre-emptive action such as developing 'flanker' businesses

Faced with challenges from low-cost airlines many full service airlines developed cheaper second brands (eg, in 2013 Aeroflot the Russian national carrier announced plans to launch Dobrolet, a low cost airline offering flights from St Petersburg to other Russian cities). Ryanair moved in the opposite direction by seeking to acquire the Irish long-haul operator Aer Lingus. In 2013, Ryanair's bid to acquire Aer Lingus was blocked by European competition authorities

- Diversification of business to reduce expose to particular competitors
- Negotiation of understandings with competitors (potentially unethical and illegal)
- Acquisition of competitors

Customer changes: Includes loss of key customers, failure of key target customers, or sharp changes in customer demand patterns. An example is the successful publicity by economy airlines to name and shame corporations who refuse to use them and hence expend shareholders' money on flying staff with expensive full-service airlines.

Management controls include:

- Operation of a flexible fleet able to be adapted to serve a variety of customer types
- Provision of a portfolio of ticket prices and service levels (eg, BA offer First, Business, Premium economy and economy classes)
- Avoidance of reliance on one or a few main clients or destinations
- Good quality customer information to detect changing tastes or defections to rivals

Industry changes: This includes the arrival of new competition, merger of rivals and the failure of rivals. These change the nature of competitive pressure. For example, a merger may create greater economies of scale for the larger firm, a threat to SWA, but may also reduce capacity in the industry and so relieve price pressure, an opportunity for SWA.

Management controls include:

- Environmental information on potential industry changes
- Ability to launch pre-emptive action such as appeals to regulatory authorities or to mount counter-bids
- Leasing some aircraft to enable reduction or changes in fleet composition

Customer demand: Refers to fluctuations in demand. These are inevitable for airlines as a consequence of the strategic choice to be an airline. Their profits and survival will depend on developing strategies to cope with these changes in demand. Management controls include:

- Use of flexible staffing (part-time, contract etc,) to cope with peaks and troughs in passenger volumes
- Dynamic pricing to raise or lower prices to shift demand towards unfilled seats
- Flexible service and maintenance schedules which allow planes to be pressed into service during peaks and rested during troughs
- Variety of plane sizes to enable low demand routes to have small planes and so re-deploy larger planes to busy routes
- Multi-skilled staff able to cope with changes of aircraft on their route (in particular pilots who must be able to switch flight decks) or being asked to work a different route and so be familiar with passenger demands and able to give information on customs formalities etc

Internally driven risks

These are ones that result from the operations of management. Some of these risks are incurred as a response to particular external risks, such as the investment of funds in R&D to gain strategic advantage to reduce strategic risk. Other internal risks leave the firm exposed to external risk, such as poor liquidity and cash flow leaving a firm exposed to the financial risks from higher interest rates or banks withdrawing credit. The internally driven risks that can be identified in SWA are discussed below.

Liquidity and cash flow: borrowing increased during the latest financial year. SWA has a liquidity ratio below 1. This means that any interruption to its business and cash flows could potentially leave it unable to pay its creditors. Moreover, it has insufficient retained earnings to meet its present operating capital needs, hence the increased borrowing in the last year despite a modest increase in business activity, and so may not be able to repay any loans falling due in the near future. Any fall in liquidity may make SWA unable to maintain its dividend and hence jeopardise its share price.

Employees and supply chain: both internal risk drivers are present with the increased dissatisfaction of employees with the voluntary redundancies resulting from the new terminal and, apparently, the loss of control over them by the decline in influence of the Trades Unions.

Public access is an inherent risk for all airlines. Admitting passengers and relatives to airport buildings, airplanes etc, also means admitting potential illnesses (such as the avian flu virus) or terrorists.

Intellectual capital: the customer and flight information held by SWA is of high commercial value, yet under the codeshare arrangement, is sometimes shared with potential rivals. The board should remember the scandal that engulfed BA when it was revealed that its seat reservation system, leased to other airlines for their use too, was being used to break into the passenger details held by Virgin Atlantic for the purposes of poaching customers – the so-called 'dirty tricks' campaign. The damage to BA's reputation and the commercial damage to Virgin Atlantic from this episode illustrates the risks inherent in high dependence of IT/IS.

Conclusions

This report has identified the range of risks present in SWA's environment and also those to which it is subject from its own internal structure and operations. It has been noted that at present there is no board position responsible for implementing and monitoring a risk management strategy at SWA. Some appropriate management controls have been suggested.

Recommendations

SWA should establish a role at board level for risk management by creating a new post or by extending the portfolio of an existing director. The first task of this role holder should be to assess internal controls at SWA and, on the basis of this, present a risk analysis to the board.

Tutorial Note

The solution to Interactive question 1 is more detailed than you would be expected to produce in light of the limited information provided in the question. It is included here as a learning tool.

Answer to Interactive question 2

Costs and benefits from outsourcing

- Fees charged by contactors
- Cost presently incurred by using own staff
- Financial returns from transfer of assets to contractor (floor polishing machines, vacuum cleaners etc)

- Potential redundancy costs of staff not transferred
- Costs of writing and agreeing suitable contracts and service level agreements
- Costs of monitoring compliance of contractors with service agreements

Risks from outsourcing

- Financial stability and robustness of the contractor
- Track record of contractor in delivering suitable service elsewhere
- Availability of controls over performance (eg, whether staff will take instructions from hospital managers, performance indicators, regular meetings, legal redress mechanisms)
- Potential staff and media criticism of decision
- Extent of proof of link between hospital cleanliness and acquired infections
- Extent of public hostility to outsourcing as a source of increased infections
- Will legal liability for negligence claim pass to the contractor or stay with the hospital?

Risks from continuing to provide cleaning in-house

- Operational risks from cleaners not being available (eg, strike action)
- Employment risks of having own staff (eg, claims for industrial injury, discrimination etc)
- Rising wages and other employment costs
- Legal costs of negligence claims resulting from poor cleaning
- Potential fines for inadequate monitoring of staff (work permits, benefit fraud, health and safety)

Risk environment and appetite

- Potential changes in government policy resulting in contract penalties
- Extent of pressure on hospital to cut costs
- Management's previous experience of outsourcing agreements
- Relative risks of other cost-cutting measures under consideration
- Degree of support management enjoys from influential stakeholders (eg, media, governors, doctors, nurses)
- Potential personal consequences for management of bad decision (eg, personal liability, career impact, stress of dealing with problems)

Answer to Interactive question 3

Risk	Impact and likelihood	Risk management
Loss of profits due to government seizing assets or imposing stringent taxes.	Potentially high significance (however will be determined by the size of the oil company's operations). High likelihood due to government's past behaviour of taking over assets belonging to privately owned companies.	Risk avoidance. Don't invest in the country. Risk reduction. Insist on written assurances from the government that they will not intervene or tax.
Loss of expensive resources (drilling equipment, pipelines leading out of the country and knowledge) if government takeover the company's assets.	High significance and likelihood as the government is unlikely to reimburse the oil company for any resources assumed.	Risk reduction. Retain as many of the venture's assets as possible outside the country. Or, invest small amounts incrementally.

Risk	Impact and likelihood	Risk management
A government takeover of the company's assets or operations may put the organisation as a whole under financial distress possibly causing bankruptcy.	Potentially highly significant with high likelihood depending on the global spread and size of the oil company's operations.	Risk transfer. Set up the venture as a separate company with own sources of finance. Or, use local sources of financing the assets (preferably government sources where possible). Sell the rights to the oil to third parties as soon as possible so they adopt the risk.

Other risk management strategies which you could have mentioned include:

Risk reduction

- Ensure the firm has other sources of oil and gas and of earnings
- Seek to influence the policy of the government by political lobbying
- Invite the government to be part owner of the venture

Risk transfer

- Insure the assets
- Invite involvement and investment from other oil firms or pipeline owners
- Sell the rights to the oil to third parties as soon as possible so they adopt the risk
- Enter into joint ventures

Risk retention

Accepting the remaining loss if and when it occurs

Note: This solution deals with only the political risks from the project. It has not dealt with other risks such as explosions, fall in the price of oil and gas, unexpected cost overruns, poor weather hampering production, industrial action, laws being passed to discourage use of fossil fuels to quote some of numerous examples.

Answer to Interactive question 4

At store level risk monitoring should be established for:

- Temperature of chilled and frozen foods such as alarm bells or luminescent strips that are activated if temperatures rise
- Compliance with food hygiene procedures such as visual inspections and questions to staff
- Compliance with customer service standards such as by mystery shoppers
- Financial integrity such as by close reconciliations between ingredients supplied and totals from sales data and wasted stock
- Staff integrity such as by existence checks on names and personal tax references, confirmations of employment from past employers

At national level risk monitoring should be established for:

- Compliance with laws on hygiene, employment, food labelling
- Impact of the competitive strategies of rivals
- Changes in the costs of ingredients, staffing or premises costs
- Impact of potential legislation
- Social attitudes towards the firm, its activities and its products
- Stability and performance of business partners

At global level monitoring should be established for:

- Changes in cost of capital resulting from market sentiments or interest rate movements
- Development of new country markets
- Developments in trading relations between host and home country that may affect access and earnings repatriation
- International pressure group activity aimed at the industry or firm

Answer to Interactive question 5

5.1 **Risks**

Rights to operate

The exclusive rights to operate are **only effective until 20X9**. Depending on the likelihood of these rights being renegotiated this raises questions about the ongoing viability of the business.

The right to operate may have been granted provided that **certain conditions** are met. If Ferry does not continue to satisfy these terms its operational existence may be called into question.

Future competition

Profitability could be affected by **future competition**. This might be the case if a new bridge is constructed or if the rights were no longer exclusive to Ferry.

Age of the ferries

It is likely that **running costs** will be higher than those for newer ships.

Fuel consumption is likely to be **higher** as the engines will be less efficient. This is of particular concern in periods when **fuel prices are volatile**. Ongoing maintenance is also more likely to be required.

Emission standards

The company will be required to meet the emission standards which come into force in 20X6. If the necessary modifications are not made the company could incur **substantial penalties**.

Custom may be lost due to the potential disruption caused to services during the period in which the modifications are made to the ferries.

Surplus capacity

The ferries are currently only operating at full capacity for **33% of the year** (4/12 months) during the summer months (see Appendix).

As a high proportion of the cost of each trip is likely to be fixed (ie, fuel), consideration needs to be given as to whether the business is **viable** at this level. The company is also likely to be sensitive to any downturn in business (for example, due to general economic conditions).

Franchise arrangements

The **quality of outsourced services** are outside the direct control of Ferry. Ferry may receive complaints and ultimately lose customers if services are poor.

Subsidy

Ferry may **depend on the subsidy** to continue in business.

Cash flow problems could arise if the subsidy stopped (ie, it may only be awarded for a given period or be dependent on certain quality standards being maintained.)

If sufficient controls are not in place returns may be **submitted late** or may include **inaccurate information**. **Cash flow problems** could result due to late or non-payment.

There is a risk that details on the return might be **deliberately inflated** to increase the payment received.

Health and safety

Ferry may **not be awarded its Safety Management Certificate** if it fails to meet the performance and documentation standards.

Ferry will find it difficult to **find and retain staff** if working conditions do not comply with health and safety regulations.

Litigation

Ferry may be **sued by customers** for personal injury and damage to, or loss of, property. In the case of serious injury or death damages could be substantial.

Serious incidents

A catastrophic incident could lead to a **loss of assets** which may threaten the operations in the short and long term.

Appendix

For more information on how to use spreadsheets and spreadsheet functionality in the exam, refer to the chapter Spreadsheet functionality.

	A	B	C	D	E	F	G
1		**Two wheeled**	**Car**	**MPV**	**Delivery vehicle**	**Total**	**Capacity**
2	Jan	345	9,000	150	790	10,285[1]	Under capacity[2]
3	Feb	611	11,021	614	580	12,826	Under capacity
4	Mar	560	8,000	210	879	9,649	Under capacity
5	Apr	661	7,652	346	678	9,337	Under capacity
6	May	1,200	6,142	451	917	8,710	Under capacity
7	Jun	1,000	6,000	3,000	873	10,873	Under capacity
8	Jul	285	7,398	5,049	708	13,440	Full capacity
9	Aug	743	8,216	3,569	912	13,440	Full capacity
10	Sep	956	7,408	4,198	878	13,440	Full capacity
11	Oct	1,506	6,999	4,141	794	13,440	Full capacity
12	Nov	777	4,590	1,893	964	8,224	Under capacity
13	Dec	321	5,048	1,754	1,048	8,171	Under capacity
14							
15	**Data**						
16	Average operational days per month	28					
17	Number of boats	2					
18	Boat capacity per journey	40					
19	Daily one - way crossings per boat	6					
20							
21	Full capacity	13440[3]					

[1] =SUM(B2:E2) The formula can be copied in F3:F13

[2] =IF(F2= $B$21, "Full capacity","Under capacity")

The $ symbol is used to create an absolute reference to the full capacity value at Cell B21. The formula can then be dragged down to populate Cells G2:G13

3 28 days x 2 boats x 40 vehicles x 6 crossings =B16*B17*B18*B19

5.2 **Rights to operate**

It is unlikely that the business is in a position to change the situation regarding the period for which the rights have been granted and therefore is a risk that the **business has to accept**. Management should be aware of any **conditions** which will affect the renewal of rights and take steps to ensure that these are complied with.

Relevant staff should be made aware of any **contractual conditions** and their responsibility for ensuring that these are met. Compliance should be **reviewed** and **monitored** by an appropriate level of management.

Future competition

Management should **monitor any plans** which would introduce new competition, for example the building of a new bridge. Management should also consider how it can **maintain its competitive advantage** by ensuring that its service meets the needs of its customers.

Age of the ferries

Running costs should be **adequately budgeted** for and **cash flows monitored** to ensure that these can be met.

Price structures should be **flexible** to allow increased fuel costs to be passed on to the customer.

Forward contracts could be **used to hedge** against the effect of changing oil prices.

Emissions standards

Management should **familiarise** themselves with the **Environmental Protection Regulations**. Funds should be made available and the work scheduled to ensure that the deadline for compliance is met.

Plans should be made to **minimise the inconvenience** to **the customer** eg, changes in the schedule should be advertised, the work should not be planned for peak periods in the year.

Surplus capacity

Management need to be aware of the **capacity** required to ensure that revenue at least covers costs (ie, break-even point). This should be **reviewed and monitored** on a continual basis.

Marketing strategies should be used to **encourage bookings and maximise revenues**, for example discounts for regular users and different price structures for peak and off peak travel.

Franchise arrangements

The **performance of other businesses/franchisees should be monitored** by Ferry through the press, observation etc.

Franchise agreements should stipulate **minimum quality standards** and should include **penalties/termination clauses** for consistent unsatisfactory performance.

Subsidy

Management should be aware of the conditions attached to the payment of the subsidy and ensure that **these targets** are met. If the subsidy is available for a limited period plans should be made to ensure that the business can remain viable by a long-term review of revenues and benefits.

Controls such as checking by other staff should be implemented to ensure that **returns are accurate** and completed on time. Checks by **Internal audit** may provide management with added assurance.

Fraudulent completion of returns is likely to be performed with the knowledge of management.

The **seriousness of this risk depends** largely on the **integrity** of the individuals involved.

Health and safety

Management should **monitor activities** and the **completion of safety documents**. This function could be performed by internal audit.

Litigation

Liability should be limited where possible (eg, telling passengers they leave valuables in unattended vehicles at their own risk).

Staff training should emphasise public safety. Safety drills should be practised regularly. The company should have adequate public liability insurance.

Serious incident

The ships should be maintained to a high standard and regular checks should be made to ensure that safety equipment is in working order, eg, life boats.

The ships should be fitted with up to date equipment to prevent or deal with serious incidents. This equipment should be tested and maintained regularly.

Answer to Interactive question 6

Now the only alternative use for the material is to sell it for scrap. To use 50 tonnes on the contract is to give up the opportunity of selling it for 50 × £150 = £7,500. The relevant cost of the material is therefore this amount.

Answer to Interactive question 7

The relevant cost of 25 tonnes is £150 per tonne. The organisation must then purchase a further 25 tonnes and, assuming this is in the near future, it will cost £210 per tonne.

The relevant cost of materials is:

	£
25 tonnes @ £150	3,750
25 tonnes @ £210	5,250
	9,000

Answer to Interactive question 8

What revenue is lost if the labour is transferred to the project from doing nothing? Nothing. The relevant cost is zero.

Answer to Interactive question 9

Firstly, calculate the mean (average). To do this for Project 1 cashflows, the correct instruction would be =AVERAGE(B4:B7). This is repeated for each project by copying the formula in Cell B8 across Cells C8, D8 and E8.

Then, calculate the standard deviation. The correct instruction for Project 1 cashflows would be =STDEV(B4:B7). This is repeated for each project. You can do this by copying the formula in Cell B9 across Cells C9, D9 and E9. This example has worked to one decimal place.

	A	B	C	D	E
		Project 1	Project 2	Project 3	Project 4
		Cashflows			
		£'m	£'m	£'m	£'m
	Year 1	2	22	8	14
	Year 2	9	4	11	12
	Year 3	15	3	12	9
	Year 4	18	15	13	9
	Average	11[1]	11	11	11
	Standard deviation	7.1[2]	9.1	2.2	2.4

[1] =AVERAGE(B4:B7)

[2] =STDEV(B4:B7)

Discussion

Mean values

An analysis of the forecast cashflows for the four projects reveals that average cashflows are the same at £11m per year on average. It will therefore not be possible to distinguish between projects based on this information alone.

Standard deviation

The standard deviation of the cashflows reveals to what extent annual cashflows vary from the mean of £11m. Gamma is financing the projects with a loan, which requires annual repayment of capital and interest, so they need a stable annual cash inflow to finance this.

Knowing the standard deviation for each project will help Gamma to understand the variability of cashflows so that they can ascertain whether they will have enough to cover loan repayments in any given year.

The projects with a lower standard deviation have annual cashflows closer to the mean of £11m whereas the higher standard deviation indicates that cashflows are spread out over a wider range of values, potentially making it harder to make loan repayments in some years.

Based on this information Project 3 has the lowest standard deviation of £2.2m so most cashflows are centred around the mean of £11m. Smooth annual cashflows will make it easier for Gamma to manage its cash and make loan repayments on time.

Cashflow certainty

Aside from the standard deviation, Gamma may wish to consider the certainty of future cashflows since the information provided is only a forecast.

Cashflows that are forecast for Years 1 and 2 are likely to have greater certainty than those in Year 3 and 4 because the information will be more accurate and up to date. The further we look into the future, the less certain the forecasts become.

Although Project 3 has the lowest standard deviation and therefore less variability in annual cashflows, the greatest cashflows are forecast to occur in Year 3 and 4 which are more difficult to predict. Project 4 on the other hand receives the largest cashflows in Years 1 and 2, giving more certainty.

Recommendation

In order to manage cash effectively and meet the annual loan repayments Gamma is advised to choose either Project 3 or 4, depending on the certainty of cashflows in later years.

If Gamma are confident that Year 3 and 4 cashflows will arise, Project 3 will enable Gamma to best manage cashflows and meet annual loan commitments.

Answer to Interactive question 10

Analysis of the pre-populated spreadsheet shows that for Alpha company both division's monthly revenues increase in parallel. There is therefore near perfect correlation shown by the correlation of 1(Cell B25) between the revenues of the two divisions.

Alpha fulfils Company Z's acquisition criteria in that both divisions are showing growth.

Although the standard deviation shows variability in monthly revenues, it is due to growth and is therefore a largely predictable variability.

Gamma company shows increasing revenue for Division A across the 21 months of data provided. Division B increases to month 13 and then falls to month 21.

The result is therefore a low correlation of 0.12 between divisional monthly revenues. The total revenue of the company has a much lower SD than the sum of the SDs of the two divisions because risk is offset between the two divisions in months 12 to 21 where revenues move in opposite directions.

Despite lower variability in cashflows, as shown by the standard deviation for Gamma, revenues are falling in Division B so Gamma does not fulfil Company Z's acquisition criteria.

	A	B	C	D	E	F	G
1		**Alpha Revenues £'000**			**Gamma Revenues £'000**		
2	Month	Division A	Division B	**Total**	Division A	Division B	**Total**
3	1	10	40	**50**	10	40	**50**
4	2	12	45	**57**	12	45	**57**
5	3	14	50	**64**	14	50	**64**
6	4	16	55	**71**	16	55	**71**
7	5	18	60	**78**	18	60	**78**
8	6	20	65	**85**	20	65	**85**
9	7	22	70	**92**	22	70	**92**
10	8	24	75	**99**	24	75	**99**
11	9	26	80	**106**	26	80	**106**
12	10	28	85	**113**	28	85	**113**
13	11	30	90	**120**	30	90	**120**
14	12	32	95	**127**	32	86	**118**
15	13	34	100	**134**	34	82	**116**
16	14	36	105	**141**	37	78	**115**
17	15	38	110	**148**	40	74	**114**

	A	B	C	D	E	F	G
18	16	40	115	**155**	43	70	**113**
19	17	42	120	**162**	46	66	**112**
20	18	44	125	**169**	49	62	**111**
21	19	46	130	**176**	52	58	**110**
22	20	48	135	**183**	55	54	**109**
23	21	50	140	**190**	58	50	**108**
24	Standard deviation	12.41[1]	31.02	43.43	14.71	14.35	21.76
25	Correlation Alpha	1[2]			Correlation Gamma	0.12[3]	

[1] =STDDEV(B3:B23) The formula can be copied into Cells C24:G24

[2] =CORREL(B3:B23,C3:C23)

[3] =CORREL(E3:E23,F3:F23)

Answer to Interactive question 11

Factors affecting profitability Calculation of the contract price:

Number of deliveries	0	1	2	3
Probability	5%	10%	40%	45%
Prob x number of deliveries	0	0.1	0.8	1.35

EV deliveries per store = 2.25

Incremental costs:

Direct storage costs (£202 × 1,050 stores)	£212,100
Delivery costs (£32 per delivery × 1,050 stores × 2.25)	£75,600
Administration costs (£10 admin charge × 1,050 × 2.25)	£23,625
Additional fixed costs	£162,000
Total costs	£473,325

Therefore, assuming that costs for the contract are comparable to those for existing customers, SS needs revenue of £473,325 to break-even on the contract.

The break-even contract price = £473,325. This equates to break-even prices of £450.79 per annum per store (£473,325/1,050 stores) or £37.57 per month per store.

SS's normal standard price for individual customers is £50 per month or £600 per annum.

Therefore, if SS charged £50 per store per month, SS would receive £630,000 per year from Furniture World, making £156,675 profit on the contract (£630,000 – £473,325). The maximum discount SS could offer on the standard price would be £156,675/£630,000 = 24.9%, but it would then only break-even.

Furniture World has asked for a discount of 25%, ie, a charge of £37.50 would result in revenue of £472,500, which based on original costs would result in a loss of £825 (being £472,500 – £473,325).

On the balance of the information provided it would be advisable for SS to not enter into a contract with Furniture World on the terms currently being requested.

Answers to Self-test questions

1 **Risk** – the possible variation in outcome from what is expected to happen

Uncertainty – the inability to predict the outcome from an activity due to a lack of information

2 **Risk sources** – the cause of potential problems, things (people/activities/events) that may give rise to risk that may trigger an event. These risk sources may be either internal or external to the business. Management attempt to deal with the source.

Risk events (problems) – specific identified threats or events themselves. Management can attempt to deal with the problem.

3 General strategies:

- Risk avoidance – not undertaking the relevant activity
- Risk reduction – taking steps to reduce the severity of the impact
- Risk transfer – passing the risk to a third party through hedging or insurance
- Risk retention – accepting the loss, if and when it occurs

4 Two of:

- Political risk
- Currency risk
- Cultural risk
- Trading risk

5 Four descriptions of management:

- Prospectors
- Defenders
- Analysers
- Reactors

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